THE LAW

OF

MONEY SECURITIES.

In Three Books.

I. PERSONAL SECURITIES.
II. SECURITIES ON PROPERTY.
III. MISCELLANEOUS.

BY

C. CAVANAGH, B.A., LL.B. (Lond.)

OF THE MIDDLE TEMPLE, BARRISTER-AT-LAW.

"Scribe decem a Nerio; non est satis: adde Cicutæ
"Nodosi tabulas centum, mille adde catenas:
"Effugiet tamen hæc sceleratus vincula Proteus."

HOR. SAT. II. 3.

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TO

THE RIGHT HONOURABLE

SIR FITZROY KELLY,

LORD CHIEF BARON,

WITH WHOSE ILLUSTRIOUS CAREER HAVE BEEN INTIMATELY ASSOCIATED

THE CAUSES CÉLÈBRES

OF THE GREATER PORTION OF THE NINETEENTH CENTURY

ON THE SUBJECTS HEREIN TREATED,

This Work

IS

BY KIND PERMISSION

MOST RESPECTFULLY DEDICATED.

INTRODUCTION.

—o—

In the department of law that treats of monetary transactions no country in the world commands so high an interest as England. Not only in the individual dealings of her own business men one with another; not only in her trade that has become essentially a trade on borrowed capital, but still more as the great international money centre, England occupies a unique position in regard to financial matters. Her Money Market and chief Stock Exchange in London hold incomparably the first place amongst similar organizations in the hierarchy of states, and exercise a preponderating influence of corresponding magnitude; it is in and through them that the majority of foreign payments and loans on a large scale are made or floated; hence a cosmopolitan importance attaching to everything connected therewith. In these facts, and in the singular absence of treatises on the subject, the following pages might alone find their justification, for although the primary end the author has had in view has been to compress into a single volume a clear and concise statement of the legal rules and principles which determine the effect of the instruments and modes whereby private loans and debts are secured, he has, in the pursuit of that end, and as ancillary thereto, discussed most points of any legal moment connected with loans and debts of a public or marketable character.

To the community generally, as largely composed of borrowers and lenders, of debtors and creditors, and more particularly to those whose avocations consist in the manipulation of advances and loans, no apology need be offered for the appearance of the present work.

Suffice it to say, that there exists no one complete book on Securities of a monetary nature to which reference can be made either by lawyers or by bankers, brokers, money lenders, companies, capitalists, or other classes in the commercial world; it is hoped that such want may be in part met by the treatise in hand, to the title and plan of which some words of explanation may now be devoted.

To most ears the term Money Security will perhaps sound strange; lawyers talk of securities for money, laymen of securities simply, and neither, if the truth must be told, with any very clear or definite idea of the object they mean to express. It is clear that bills of exchange, promissory notes, bonds (*a*), mortgages (*b*), and judgments (*c*) are securities for money in the strictest technical language of the law. On the other hand, it has been held that a bequest of money and securities for money does not pass an I O U (*d*)—a fact judicially characterised as a singularity (*e*)—nor bank stock and canal shares (*f*), nor does a bequest of "all bonds, promissory notes, and other securities for money" pass money due on banker's deposit receipts (*g*), nor does a bequest of "leaseholds and securities for money" include vendor's lien for purchase-money of such

(*a*) Langdale *v.* Whitfeld, 4 K. & J. 426.
(*b*) Knight *v.* Robinson, 2 K. & J. 503.
(*c*) Morgan *v.* Evans, 3 Cl. & F. 159.
(*d*) Barry *v.* Harding, 1 J. & L. 475.
(*e*) *Re* Mason's Will, 34 Beav. 499, *per* Romilly, M.R.
(*f*) Ogle *v.* Knipe, L. R. 8 Eq. 434.
(*g*) Hopkins *v.* Abbott, L. R. 19 Eq. 222; Bilborough *v.* Holmes, L. R. 5 Ch. D. 255; Parker *v.* Marchant, 1 Y. & C. C. C. 290.

leaseholds as testator had sold (*h*); but under a bequest of "all my monies" a balance due on a banker's deposit account, and secured by deposit notes bearing interest is comprehended (*i*), and it has been said that stock in the funds is considered a security for money, but shares in companies are not (*k*), and that the question whether stock passes under a bequest of securities for money depends upon the context of the will (*l*). Most of these distinctions are highly unsatisfactory; they are founded neither on common sense nor on legal principle. There is no reason in extending the term Security for Money to bonds and equitable mortgages and denying it to I O U's, banker's deposit receipt notes, and vendor's lien; but if the legal interpretation of securities for money errs on the side of narrowness, the popular use of the word Security errs still more on the score of vagueness. In ordinary parlance it usually denotes the public or investment securities quoted on the Stock Exchange; it also denotes all that is or may be properly called a security for money, or for property of any kind whatever; and it further denotes the deeds and documents that establish title to property, and sometimes even the property itself (*m*). Now there appear to be two, and only two, original senses in which the term Security can be intelligibly employed; it may signify any instrument, mode, or transaction which specifically ensures payment of a given sum or sums of money simply, or which ensures such payment as an equivalent or compensation for a given subject of property; hence, securities may be originally distinguished into securities for money, as bills of exchange, mortgages, life

(*h*) Goold *v.* Teague, 5 Jur., N. S. 116.

(*i*) Manning *v.* Purcell, 2 Sm. & G. 284; 7 D. M. & G. 55.

(*k*) *Re* Mason's Will, 34 Beav. 499, *per* Romilly, M.R.

(*l*) Bescoby *v.* Pack, 1 S. & S. 500, *per* Leach, V.C.; Ridge *v.* Newton, 2 D. & W. 239.

(*m*) Giffen's Stock Exchange Securities.

policies, guarantees, &c., and securities for property, as fire and marine insurance policies, warranties, &c. Deeds and documents that merely establish title to property, as purchase deeds, leases, court rolls, bills of lading, dock warrants, delivery orders, &c., are not properly styled securities, though they, as well as property of every description, may by deposit, pledge, or mortgage be all made to enter into the constitution of a security (*n*). Of so-called securities quoted on the Stock Exchange those which entitle the holder to participate as creditor in an unfunded loan and are in the form of individual instruments, as bonds, debentures, exchequer bills, &c., are genuine securities for money; funded Government stocks are securities for money in the sense that Parliament is pledged to provide a certain annual interest on each hundred pounds of stock; stocks and shares in companies cannot be designated as securities except by a metaphorical expression (*o*).

The scope of the present undertaking being limited to securities of a monetary character, the title Money Securities has been adopted as the most expressive and the least open to ambiguity; it at once excludes securities for property and includes private securities for money, whether technically or rationally so styled, as well as public securities quoted on the Stock Exchange; thus, it is trusted, professional accuracy has been reconciled with popular comprehensiveness.

From a legal, economic, or commercial standpoint, no more important classification of securities can present itself than that ordinarily marked by the phrases Personal Securities and Securities on Property. A personal security merely creates or

(*n*) *Post*, p. 223.
(*o*) See *post*, p. 496, where also a further distinction between securities is pointed out.

facilitates a right of action or execution against a given individual or body; it is founded on the credit, that is, the reliance which may be placed on the pecuniary fidelity of the party giving the same; a security on property binds some specific thing, out of which the debt or loan secured may be realised, it is founded on the sufficiency of the fund that may result from the realization of the thing bound. To emphasize the contrast now indicated, the phrases Securities on Credit and Funded Securities have been conjoined with the more familiar titles Personal Securities and Securities on Property, and the two classes of securities have been grouped in separate Books; the first Book is accordingly designated and treats of Personal Securities or Securities on Credit; the second, Funded Securities or Securities on Property. It should be observed that the word Funded, when applied to Government securities or stocks, bears a very different meaning to that here used (*p*); its etymology, however, fully justifies the signification attributed in the above title.

With the view of ensuring brevity and preventing repetition, those matters which are common to both personal securities and securities on property, have been dealt with in the third Book.

The arrangement throughout has been planned with a similar object; hence, what may seem to have been omitted in one place will be found to have been introduced more appropriately in another, the index affording a key which, it is believed, will, if consulted, clear up many apparent shortcomings.

To the student who seeks a clear statement of principles; to the legal practitioner who requires a handbook incorporating all the recent relevant cases and statutes; to the mercantile

(*p*) *Post*, pp. 496, 497.

man who desires a guide through intricacies of everyday occurrence; to the borrowing and lending public at large, this exhaustive treatise is submitted as a concise exposition of the existing state of the law in a province which has of late years undergone vast changes, and on subjects the importance of which cannot be overrated.

C. C.

5, Essex Court, Temple,
July, 1879.

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Page 80, n. (h).—London Assurance *v.* Mansel, since reported, L. R. 11 Ch. D. 363.

„ 83, n. (k).—*Read* "Mellor's" *for* "Mellar's."

„ 105.—On second line from bottom *read* "A. guaranteed only £600," *for* "A. guaranteed only £500."

„ 108, n. (c).—*Ex parte* the Postmaster-General; *In re* Bonham, reported L. R. 10 Ch. D. 595.

„ 168, n. (d).—Wright *v.* Redgrave, reported L. R. 11 Ch. D. 24.

„ 180, n. (d).—*Ex parte* Astrup; *In re* Lefevre, reported L. R. 11 Ch. D. 303.

„ 241, n. (e).—*Read* "Meyerstein" *for* "Myerstein."

„ 344 n. (c).
„ 351 n. (x). } *Ex parte* Cooper; *In re* McLaren, reported L. R. 11 Ch. D. 68.

„ 397, n. (h).—*Ex parte* Carr; *In re* Hoffman, reported L. R. 11 Ch. D. 62.

„ 411, n. (o).—*Add* "This section does not extend to the County Courts, Cole *v.* Wood, L. T. 14th June (1879), 120."

„ 326, n. (e).—*Read* "*post*, p. 437" for "*post*, p. 432."

„ 535, n. (u).
„ 537, n. (e). } *Read* "Commission" for "Commissioners."

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THE

LAW OF MONEY SECURITIES.

BOOK I.

PERSONAL SECURITIES OR SECURITIES ON CREDIT.

CHAPTER I.

I O U.

An *I O U* is the simplest of all valuable securities. It is a mere acknowledgment in writing of a debt due from one person to another, and is in the following form :—

London, 1st January, 1879.

A. B.

I O U £100.

C. D.

The creditor (A. B.) should be addressed as above, but an omission of his name will not vitiate the document if produced in evidence (*a*). No promise of payment or other addition should be made, as the character of the instrument might be thereby changed and become void for want of a stamp (*b*). An

(*a*) Curtis *v.* Rickards, 1 M. & G. 46.
(*b*) Brooks *v.* Elkins, 2 M. & W. 74; Melanotte *v.* Teasdale, 13 M. & W. 216.

I O U does not alter the relation between debtor and creditor further than to show an account is stated between them, and is not evidence of money lent (*c*); it is only *primâ facie* evidence of the existence of a debt, and as such may be rebutted (*d*). It is not a negotiable instrument in the sense that it may be indorsed over to a succession of persons; but the chose in action of which it is proof may now be assigned by the creditor, and the assignee may sue for the debt in his own name, and use the I O U in evidence (see Assignments) (*e*). The mere giving of an I O U, like the acceptance of a bill of exchange, does not preclude the defendant from showing there was no consideration (*f*).

(*c*) Fesenmayer *v.* Adcock, 16 M. & W. 449; Buck *v.* Hurst and Bailey, L. R. 1 C. P. 297.

(*d*) *In re* Farrow, 22 Beav. 400.

(*e*) *Post*, chap. xxix.

(*f*) Hinton *v.* Sparkes, L. R. 3 C. P. 161.

CHAPTER II.

PROMISSORY NOTES.

A PROMISSORY note or note of hand is an unconditional promise in writing undertaking that the person or persons making and signing the promise (the maker or makers) shall pay to the person or persons to whom the promise is made (*a*) (the payee or payees), or to his or their order, or to bearer, a given sum of money (*b*), at a time certain (*c*), and is in the following form :—

London, 1st January, 1879.

£100.

On demand (or at sight, or at —— days after sight or date), I (or we) promise to pay John Smith (or John Smith or order, or bearer) one hundred pounds.

Thomas Brown (or Brown & Co.).

A promissory note must bear a stamp before it is issued or transferred, such stamp to be impressed if the note be inland (*d*). The undertaking must always be absolute—that is, payment must not depend upon any uncertain event or contingency (*e*). Like every simple contract, a promissory note must be supported by a valuable consideration, but in the case of a promissory note the law presumes such consideration until the contrary

(*a*) Holmes *v.* Jaques, L. R. 1 Q. B. 376.

(*b*) Smith *v.* Nightingale, 2 Stark. 375 ; Ayrey *v.* Fearnsides, 4 M. &. W. 168 ; 3 & 4 Ann. c. 9.

(*c*) 3 & 4 Ann. c. 9 ; Goss *v.* Nelson, 1 Burr. 226 ; Clayton *v.* Gosling, 5 B. & C. 360.

(*d*) 33 & 34 Vict. c. 97, ss. 23, 51, see *post*, chap. xxxiii.

(*e*) Kingston *v.* Long, 4 Doug. 9 ; Colehan *v.* Cooke, Willes 394 ; Clarke *v.* Perceval, 2 B. & Ad. 660.

be shown (*f*), and, against a *bonâ fide* holder for value, no defence founded on want of consideration can avail (*g*). Thus, if A. without receiving any valuable consideration give B. a promissory note, B. cannot recover in an action to which A. pleads want of consideration (*h*), though in the absence of such plea B. would be entitled to succeed without proof that there had been a consideration (*i*); and if the note were negotiable and *bonâ fide* discounted by C., he could recover against A. (*k*).

Promissory notes are either inland or foreign; at present we deal only with the former, which for practical purposes may be divided into three classes:—1. Notes payable to a certain person. 2. Notes payable to a certain person or his order. 3. Notes payable to bearer. Of these in order:—

1. When a promissory note is made payable to a certain person (*l*), no one but that person or his representatives can sue the maker (*m*). A mere transferee by delivery with (*n*), or without (*o*), indorsement cannot recover, except such transfer amounts to an assignment of the chose in action in the manner hereafter mentioned (*p*). If the note is payable on demand or at sight (*q*), the maker is bound to pay immediately on presentment; if so many days after sight or after date, he will not be bound to pay till after the lapse of such days and three more days, called days of grace (*r*), to be computed exclusive of the day on which the note falls due and inclusive of the last day of grace (*s*). When the last day of grace is Sunday (*t*), Christmas Day, Good Friday, or a day of public fast or thanksgiving, the instrument

(*f*) Mills *v.* Barber, 1 M. & W. 425; Fitch *v.* Jones, 5 El. & B. C. 238.

(*g*) Masters *v.* Ibberson, 8 C. B. 100.

(*h*) Chitty on Contracts, 10th ed. 17.

(*i*) Holliday *v.* Atkinson, 5 B. & C. 500, 501.

(*k*) Chitty on Contracts, *supra*; Hogarth *v.* Latham, L. R. 3 Q. B. 643.

(*l*) See *post*, p. 5.

(*m*) Holmes *v.* Jaques, L. R. 1 Q. B. 376. Hyde *v.* Skinner, 2 P. Wms. 196; Murray *v.* East India Co., 5 B. & Ald. 204.

(*n*) Plimley *v.* Westley, 2 Bing. N. C. 249.

(*o*) Byles on Bills of Exchange, 12th ed. 147.

(*p*) *Post*, chap. xxix; Brice *v.* Bannister, L. R. 3 Q. B. D. 569, 580.

(*q*) 34 & 35 Vict. c. 74; Chartered Bank of India, &c. *v.* Dickson, L. R. 3 P. C. 574.

(*r*) Coleman *v.* Sayer, 2 Stra. 829.

(*s*) Withersheim *v.* Lady Carlisle, 1 H. Bl. 631.

(*t*) Tassell *v.* Lewis, 1 Lord Raym. 743; Haynes *v.* Birkes, 3 B. & B. 599.

is payable on the day before (*u*); a note due and payable on a bank holiday becomes payable on the following day, with relation to which, notice of dishonour, presentment, and transmission by post or otherwise must be made or given (*x*).

2. When a note is made payable to a certain person or his order, the maker is liable to the persons before mentioned and also to a transferee after indorsement by the payee (*y*). The payee may simply write his name on the back of the note, or he may, in addition, direct payment to some given person or his order; if the payee simply writes his name, he is said to indorse in blank; if he directs payment to some given person, he is said to indorse specially or in full. By indorsement in blank the note becomes payable to bearer (*z*), but any holder may, if he chooses, make a special indorsement and so restrict the negotiability of the instrument (*a*). By indorsement in full, which is in this form—"Pay Mr. John Smith or order. Thomas Brown" (name of payee)—the note becomes payable to the indorsee and must be indorsed by him to pass to a subsequent holder—such indorsement may be in blank or in full, and will be attended with respective consequences as above stated (*b*). The negotiability of a note originally made payable to a person or his order cannot be absolutely restricted by indorsement; it can only be partially modified. Thus, if the payee or any holder after his indorsement should specially indorse to a given person without adding, "or his order," such special indorsee will still be able to transfer the instrument by indorsement, as the power conferred on the payee is held to extend to every subsequent indorsee or holder (*c*). An indorsement as here spoken of consists, not merely of a written indorsement, but includes also a delivery of the indorsed instrument with the intention of transferring the property therein (*d*).

(*u*) 39 & 40 Geo. III. c. 42; 7 & 8 Geo. IV. c. 18; 9 Geo. IV. c. 24, ss. 9—11.

(*x*) 34 Vict. c. 17.

(*y*) Gibson *v.* Minet, 1 H. Bl. 605; Callow *v.* Laurence, 3 M. & S. 98.

(*z*) Peacock v. Rhodes, Doug. 611.

(*a*) Walker *v.* M'Donald, 2 Ex. 527.

(*b*) Moore *v.* Manning, Com. Rep. 311.

(*c*) Gay *v.* Lauder, 6 C. B. 336.

(*d*) Arnold *v.* City Bank, L. R. 1 C. P. D. 578; Chartered Mercantile Bank of India Co. *v.* Dickson, L. R. 3 P. C. 574; Green *v.* Carhill, L. R. 4 Ch. D. 882.

Any person who puts his name to a note with the intention of passing the same by the indorsement (*e*), may, on its dishonour, be sued by any subsequent holder, unless the indorsement repudiates liability, as where the words "sans recours," or "without recourse to me," are added to the name of the indorser (*f*); or unless the indorser signs in a representative character (*g*), which is so described (*h*), or unless the indorsement was obtained by fraud (*i*). In order, however, to make an indorser liable, the note must on its maturity be duly presented for payment to the maker, and notice of the dishonour must be given within a reasonable time to the party whom it is sought to charge (*k*). What is a due presentment will depend on the circumstances of each particular case, and is a question for a jury to determine; the holder is only bound to use reasonable diligence as estimated by the particular case in question (*l*). By notice within a reasonable time is meant notice on the day of, or the day following, the dishonour, if holder and indorser live in the same town (*m*); or, if they live in different towns, notice by letter posted on the day of (*n*), or on the day following (*o*), the dishonour. Any indorser, who has received such notice, may, on giving a similar notice to any prior indorser, make the latter liable to him, and such latter may by notice in the same way make a still prior indorser liable to him, and so on (*p*); but this rule only applies as between independent parties to the instrument, not as between a holder and his agent (*q*). A substantial satisfaction of the debt by any one party will discharge all subsequent parties (*r*).

(*e*) Denton *v.* Peters, L. R. 5 Q. B. 475.

(*f*) Goupy *v.* Harden, 7 Taunt. 160, 161; Leadbitter *v.* Farrow, 5 M. & S. 345, 349.

(*g*) Alexander *v.* Sizer, L. R. 4 Ex. 102.

(*h*) Dutton *v.* Marsh, L. R. 6 Q. B. 361.

(*i*) Foster *v.* Mackinnon, L. R. 4 C. P. 704.

(*k*) *In re* East of England Banking Co., L. R. 4 Ch. 15; Buckley *v.* Jackson, L. R. 3 Ex. 153.

(*l*) Chartered Mercantile Bank of India, &c. *v.* Dickson, L. R. 3 P. C. 574.

(*m*) Rowe *v.* Tipper, 13 C. B. 249.

(*n*) Burbidge *v.* Manners, 3 Camp. 193; *Ex parte* Moline, 19 Ves. 216.

(*o*) Williams *v.* Smith, 2 B. A. 496; Scott *v.* Tifford, 9 East, 347.

(*p*) Horne *v.* Rouquette, L. R. 3 Q. B. D. 516, 517; Geill *v.* Jeremy, Moo. & M. 68.

(*q*) *In re* Leeds Banking Co.; *Ex parte* Prange, L. R. 1 Eq. 1.

(*r*) Windham *v.* Wither, 1 Stra. 515.

3. When a note is made payable to bearer, or being originally payable to a given person or order, is indorsed in blank by the payee, it is transferable by mere delivery without other formality (*s*). Any holder may sue the maker, but no previous holder is liable either on the instrument or on the consideration unless he indorses his name (*t*).

(*s*) Peacock *v.* Rhodes, Doug. 612.

(*t*) Gurney *v.* Womersley, 4 E. & B. 133; Rogers *v.* Langford, 6 B. & C. 373.

CHAPTER III.

BILLS OF EXCHANGE.

A BILL of exchange is an unconditional order or request in writing from some specified person or persons (the drawer or drawers) calling on a person or persons named (the drawee or drawees) to pay to some other person or persons named (the payee or payees), or to his or to their order, or to bearer, a given sum of money at a time certain, and is in the following form (*a*) :—

£100.

London, 1st January, 1879.

On demand (or at sight, or at days after sight or after date), pay John Smith, Esq. (or Smith & Co., or John Smith Esq., or order, or bearer, or to my order), one hundred pounds.

To William Jones, Esq. (or Messrs. Jones & Co.), Lombard Street, London. } Thomas Brown, or Messrs. Brown & Co.

Except in the case of a bill payable on demand liable only to the duty of one penny, every inland bill of exchange must bear an impressed stamp before it is issued or transferred (*b*).

Before a bill of exchange (not payable on demand) falls due, the payee or holder should present it to the drawee to ascertain if he will honour it at muturity; if he undertakes to do so, he is said to accept the bill, his undertaking is called an acceptance and he is thenceforth called the acceptor. Every acceptance must be in writing on the bill, or, if there be more than one

(*a*) That intention of the parties may convert into bills what are strictly promissory notes, see Willans *v.* Ayers, L. R. 3 App. Cas. 133, P. C.

(*b*) 33 & 34 Vict. c. 97, ss. 53, 54, *post*, chap. xxxiii.

part of the bill, on one of the said parts, and signed by the acceptor or some person duly authorized by him, otherwise it cannot be the subject of an action (*c*). It was very recently held that since the 19 & 20 Vict., it was not sufficient for the drawee merely to write his name across the face of the bill, but that for a valid acceptance there must also be on the face of the bill some word or words indicating an intention on the part of the drawee to be bound by it as acceptor (*d*). It is, however, now enacted that the signature of the drawee alone shall constitute a valid acceptance, except as to any verdict or judgment recovered or given before the passing of the new Act (*e*). The person primarily liable on a bill of exchange is the acceptor, who, however, is only liable from acceptance (*f*); and, even then, is not estopped from challenging the character of the drawer (*g*). The latter and the indorsers (if any) are liable as sureties on the acceptor's default (*h*): and that in the order in which they stand on the bill (*i*).

The observations above made as to unconditional payment (*k*) and valuable consideration (*l*), apply also to bills of exchange, which are likewise either inland (of which we for the present treat), or foreign, and admit of a similar threefold division (*m*), with the same practical consequences as to the necessity for and effect of indorsement (*n*), and as to days of grace and bank holidays, with relation to which also protest in the case of bills must be made (*o*). If the bill be dishonoured, the holder, or an indorser who has paid the amount, may, on due notice thereof, the instrument having been previously duly presented, call upon the drawer as well as any prior indorser (*p*), to pay the amount

(*c*) 19 & 20 Vict. c. 97, s. 16.

(*d*) Hindhaugh *v.* Blakey, L. R. 3 C. P. D. 136.

(*e*) 41 Vict. c. 13.

(*f*) Heylin *v.* Adamson, 2 Burr. 674; Frith *v.* Forbes, 31 L. J. Ch. 793; Yglesias *v.* River Plate Bank, L. R. 3 C. P. D. 60, 330.

(*g*) Garland *v.* Jacomb, L. R. 8 Ex. 216.

(*h*) Smith *v.* Knox, 3 Esp. 47; Philpot *v.* Bryant, 4 Bing. 720.

(*i*) Dingwall *v.* Dunster, Doug. 249.

(*k*) *Ante*, p. 3; Horne *v.* Rouquette, L. R. 3 Q. B. D. 514.

(*l*) *Ante*, pp. 3, 4.

(*m*) *Ante*, p. 4.

(*n*) *Ante*, p. 5.

(*o*) *Ante*, pp. 4, 5; 39 & 40 Geo. III., c. 42; 7 & 8 Geo. IV. c. 18; 9 Geo. IV. c. 24, ss. 9—11; 34 Vict. c. 17.

(*p*) Foster *v.* Parker, L. R. 2 C. P. D. 18.

due on the security (*q*). In case an indorser pays the transferee the amount of a bill or note, he is said to "retire" the instrument which he then holds with all his remedies intact; but, if an acceptor or maker retires or pays at maturity, all the remedies are extinguished (*r*); the liability of the transferor of a bill is to be measured by that of the acceptor whose surety he is (*s*).

Due presentment of bills is of two kinds:

1. Presentment for acceptance.
2. Presentment for payment.

In the case of a bill payable on demand, there is no presentment except for payment, and that presentment should be made within the next day after the payee has received the bill, or the bill should be sent by post within that time to be presented, according as the parties live in the same or different towns (*t*); but the above times for due presentment will be extended by putting the instrument into immediate circulation (*u*). If the bill be not payable on demand or at sight, it ought to be presented for acceptance within a reasonable time, as to which there is no absolute rule, but such presentment is not absolutely necessary except in the case of bills made payable a certain time after sight (*x*), or after demand, and the time will be extended by immediate circulation of the instrument (*y*). Due presentment for payment of a bill not payable on demand is made by presentment on the third day after the bill falls due, (*i. e.*, the last day of grace) (*z*), and in the manner prescribed by the acceptance (*a*). An acceptance may be general or special; 1st, the drawee may simply undertake to honour the bill; or

(*q*) Whitehead *v.* Walker, 9 M. & W. 516.

(*r*) Elsam *v.* Denny, 15 C. B. 87.

(*s*) Rouquette *v.* Overmann, L. R. 10 Q. B. 525.

(*t*) Moore *v.* Warren, 1 Stra. 415; Byles on Bills of Exchange, 210, 12th ed.

(*u*) Shute *v.* Robbins, M. & W. 133. Muilman *v.* D'Eguino, 2 H. Bl. 565.

(*x*) Which means after acceptance or protest for non-acceptance, Byles 80, 12th ed.

(*y*) The Bank of Van Diemen's Land *v.* The Bank of Victoria, L. R. 3 P. C. 526.

(*z*) *Ante*, p. 4.

(*a*) Muilman *v.* D'Eguino, *ubi supra*; Radikissen *v.* Mallick, 9 Moore, P. C. 67.

2nd, he may undertake to honour it at a particular banker's or other place; or 3rd, to honour it at a particular banker's or other place "only, and not otherwise or elsewhere." In the first case, which is a general acceptance, presentment must be made to the acceptor himself or at his residence; in the second case, presentment may be made either to the acceptor himself or at the particular banker's or other place; in the third case, presentment must be made at the particular banker's or other place (*b*); the second and third are special acceptances. We may here observe there is no privity between the drawer and the banker at whose house the acceptor undertakes to honour the bill, so that the drawer cannot maintain an action against a bank into which the acceptor pays funds to meet the acceptance when the bank dishonours the bill (*c*). The 1 & 2 Geo. IV. does not extend to promissory notes; they must be presented at the particular banker's or other place named for payment, if such place be inserted in the body of the note (*d*), but not otherwise (*e*).

Due notice of dishonour of a bill is given by notice to any party sought to be charged in the same manner, and within the same time after presentment as that above stated in the case of promissory notes (*f*); and that whether the dishonour occur on presentment for acceptance or for payment (*g*).

Sometimes a bill is drawn, accepted or indorsed for accommodation, that is, a person puts his name to a bill without receiving consideration, in order to enable the party accommodated to raise money, and on the understanding that the latter will provide funds when the debt falls due. In such case, on due presentment and dishonour, no notice need ever be given to the party accommodated to make him liable either by a holder or an indorser (*h*); and, where it is the intention of all the parties to

(*b*) 1 & 2 Geo. IV. c. 78; 9 Geo. IV. c. 24; Halstead *v.* Skelton, 5 Q. B. 93.

(*c*) Hill *v.* Royds, L. R. 8 Eq. 290.

(*d*) Sands *v.* Clarke, 8 C. B. 751.

(*e*) Williams *v.* Waring, 10 B. & C. 2.

(*f*) *Ante*, p. 6; Horne *v.* Rouquette, L. R. 3 Q. B. D. 514.

(*g*) Blessard *v.* Hurst, 5 Burr, 2, 672; Roscon *v.* Hardy, 12 East, 434; Smith *v.* Mercer, L. R. 3 Ex. 51.

(*h*) Bickerdike *v.* Bollman, 1 M. & G. 753; *Ex parte* Baker; *In re* Bellman, L. R. 4 Ch. D. 795; Gladwell *v.* Turner, L. R. 5 Ex. 59; Berridge *v.* Fitzgerald, L. R. 4 Q. B. 639.

the bill that it should be met by the last indorser, previous indorsers cannot be sued unless they have had notice of dishonour (*i*).

A bill that is dishonoured may be protested; but, if inland, only when drawn for a sum of £5 or upwards at a certain time after date, and when dishonoured on due presentation for payment upon a written acceptance (*k*). The protest consists in a formal statement of the dishonour, and is made by a solemn declaration written by a notary under a copy of the bill, stating that payment or acceptance has been demanded and refused, the reason, if any, assigned, and that the bill is therefore protested (*l*). As a step preparatory to protest, a bill may be noted by a notary affixing his initials, the month, day, and year, and his charges, at the time of refusal to accept or pay (*m*). In the case of an inland bill the protest should be made on the day following the dishonour (*n*), and must be stamped with the same duty as the bill or with a duty of one shilling, according as the duty on the bill does or does not exceed one shilling (*o*).

When a bill is protested for non-acceptance, any one may accept it, supra protest, for the honour of the drawer or any other party liable; by such an acceptance the acceptor engages on certain conditions to pay the bill at maturity (*p*). An acceptance supra protest is made by the intending acceptor appearing personally with witnesses before a notary public, and declaring that he accepts supra protest, and that he will duly satisfy the same, and then subscribing the bill with his own hand thus—

"Accepted supra protest, in honour of X. Y.," or "Accepts, S. P." (*q*).

The holder of a dishonoured bill accepted supra protest must present it at maturity to the drawee for payment; and, if the

(*i*) Turner *v.* Samson, L. R. 2 Q. B. D. 23. See further Harris *v.* Sterling, I. R. 9 C. L. 198; Torrance *v.* British Bank of North America, L. R. 5 P. C. 246; Bank of Ireland *v.* Dunne, 2 L. R. Ir. 2; Hood *v.* Stallybrass Balmer & Co. L. R. 3 App: Cas. 880.

(*k*) 9 & 10 W. III. c. 17; 9 Geo. IV. c. 24, s. 4.

(*l*) *Ibid.*

(*m*) Leftley *v.* Mills, 4 T. R. 175.

(*n*) 9 & 10 W. III. c. 17.

(*o*) 33 & 34 Vict. c. 97, s. 116: sch.

(*p*) Williams *v.* Germaine, 7 B. & C. 477.

(*q*) Beawes, pl. 38.

latter continues to dishonour, the holder must protest a second time for non-payment, he may then present for payment to the acceptor for honour (*r*). A party paying supra protest, provided the protest were made before payment, may sue the party for whom payment was made, and all other parties that party and the party from whom he receives the bill could have fallen back upon (*s*). An acceptor supra protest discharges all the parties subsequent to the one for whose honour he took up the bill, and he cannot indorse the bill over (*t*); an acceptance for honour of a forged bill binds the acceptor (*u*).

Under the law as it now exists an inland bill or note is a bill drawn and payable within the limits of the British isles (*x*); all other are foreign bills or notes, though, for the purposes of the Stamp Act, only such bills or notes as are, or purport to be, made out of the United Kingdom are to be deemed foreign (*y*), and though every bill or note is *primâ facie* presumed to be inland until the contrary appear (*z*).

Foreign differ from inland bills in the following particulars :—

1. The former usually circulate in several sets or counterparts, each of which is numbered and refers to the others, and is conditioned to be payable only so long as none of them are paid.

2. If not made payable at so many months or days after date or sight, they are usually drawn at one or more usances or periods for payment customary between the countries or places where the bill is drawn and made payable (*a*).

3. On the dishonour of a foreign bill, whether by non-acceptance or non-payment, it is not sufficient to give notice to a party sought to be charged, but, further, the instrument must be duly protested (*b*).

(*r*) Hoare *v.* Cazenove, 16 East, 391 ; Williams *v.* Germaine, *ubi supra.*

(*s*) Vaudervall *v.* Tyrrell, 1 M. & W. 87.

(*t*) *Ex parte* Swan, L. R. 6 Eq. 344.

(*u*) Phillips *v.* im Thurn, L. R. 1 C. P. 463.

(*x*) 19 & 20 Vict. c. 97, s. 7.

(*y*) 33 & 34 Vict. 97, ss. 51, 52.

(*z*) Armani v. Castrique, 13 M. & W. 443.

(*a*) For table of usances between different countries, see Chitty on Bills of Exchange, 260—363 n, 11th ed.

(*b*) Gale *v.* Walsh, 5 T. R. 239.

4. A foreign bill is partly governed by foreign, partly by English, law.

The following is an example of a foreign bill:

Londres, le 29 Octobre, 1847.

Pour fcs. 19,478·05

A cinq jours de date payez par cette première de charge, la 2nde et la 3me ne l'étant à l'ordre de Messieurs Poirier, Frères, la somme de dix neuf mille quatre cent soixante dix huit francs, cinq centimes, valeur de Messieurs Coates & Co., que passerez suivant l'avis de Morris, Prevost & Co.

A. M. Are Dassier, Paris.

The bill is drawn by Morris & Co., of London, on A. Dassier, of Paris, in favour of Messrs. Poirier. (*c*).

Regular payment and cancellation of any one set of a bill circulating in sets, extinguishes all. A transferor is bound to hand over all the parts of a bill in his possession to a transferee; and as between *bonâ fide* holders for value of different parts, he who first obtained his part is first entitled to payment (*d*). The drawee should accept only one of the sets of a bill; otherwise he may become liable to pay all the sets he has accepted by the same getting into separate hands (*e*). And, if he pay a set with a forged indorsement, he is liable to pay the real owner of another set (*f*). Whatever be the usance, that period must be extended by the days of grace (if any) which are allowed by the custom of the place where the bill is payable (*g*). Protest in this country is made in the form before described (*h*), and should be begun on the day the dishonour takes place (*i*); elsewhere, according to the country in which it is made, it must take place within the time and in the manner prescribed by the law of the

(*c*) Poirier *v.* Morris, 2 El. & Bl. 89.

(*d*) Byles on Bills of Exchange, 390, 391, 12th ed.

(*e*) Holdsworth *v.* Hunter, 10 B. & C. 449.

(*f*) Cheap *v.* Harley, 3 T. R. 127; Baxendale *v.* Bennett, L. R. 3 Q. B. D. 525.

(*g*) Chitty on Bills of Exchange, 263, 264, 11th ed. For table of days of grace in various countries, see *ibid*, 266, 269 (*n*).

(*h*) *Ante*, p. 12.

(*i*) 6 B. N. P. 272.

place where the bill is payable (*k*). To avoid the necessity of protest or expense, a drawer may subscribe the words "retour sans protêt" or "sans frais;" the effect of which is to render himself liable without protest by a holder (*l*). The drawer in a foreign country of a bill accepted in England, is entitled upon dishonour and protest to recover from the acceptor the amount of the bill, interest, and all reasonable expenses caused by the dishonour, including the expenses of re-exchange (*m*). The right to re-exchange in the absence of express agreement arises when the holder of a bill who has contracted for the transfer of funds from one country to another has sustained damage by its dishonour from having to obtain funds in the country where the bill was payable; re-exchange is the measure of those damages (*n*). A bill drawn by the holder for the amount of a dishonoured bill on the drawer or indorser thereof for the amount due thereon and re-exchange, is called a "retraite" (*o*).

The extent to which a foreign bill is governed by foreign and English law, respectively, is determined by general rules which apply to all foreign contracts, and by special rules derived from the peculiar nature of the bill in question. There are two general rules: 1. That the mutual rights and obligations of the parties to a contract are determined by the *lex loci contractûs* or law of the place where the contract was made (*p*), or if made in one country to be performed in another, according to the law of the latter (*q*). 2. That the mode of enforcing those rights and obligations is determined by the *lex fori* or place where the contract is sought to be put into effect by action or other judicial process (*r*). Thus, suppose A. bring an action in England against B, on a guarantee entered into abroad seven years ago;

(*k*) Rouquette *v.* Overmann, L. R. 10 Q. B.

(*l*) Chitty on Bills of Exchange, 120, 121, 11th ed.

(*m*) *In re* General South American Co., L. R. 7 Ch. D. 637.

(*n*) Willans *v.* Ayers, L. R. 3 App. Cas. P. C.

(*o*) Suse *v.* Pomp, 8 C. B. N. S. 538, 564.

(*p*) Trimbey *v.* Vignier, 1 Bing. N. C. 151; Fergusson v. Fyffe, 8 Cl. & F. 121, 140.

(*q*) Robinson *v.* Bland, 1 Bl. 256, 259; Roquette *v.* Overmann, L. R. 10 Q. B. 525.

(*r*) Dow *v.* Lippman, 5 Cl. & F. 1; Story, Conflict of Laws, S. 556.

the effect and construction of the guarantee would be according to the law abroad, but our Courts would admit a defence under the Statute of Limitations, as that is a mere matter of procedure (*s*).

Precisely a similar result would follow in the case of a purely foreign bill, that is, a bill drawn, accepted, indorsed, and payable in some place abroad. On the dishonour of such a bill, the right to recover in an action brought in an English Court against the drawer, acceptor, or indorsee would depend on the foreign law, though any defence founded on our procedure would well avail (*t*). It is, however, only in such an instance that foreign bills are simply governed by the two general rules above mentioned, for where a bill is drawn in one country and accepted, indorsed, or made payable in another, the individual attributes of the instrument must also be taken into account. Let a bill be drawn in France, accepted in Germany, indorsed in Russia, and made payable in England, then the primary liability of drawer (*u*) will be determined by French law, of acceptor (*x*) by German law, and of indorsee (*y*) by Russian law—that is to say, those several laws determine whether the respective parties can incur any liability whatever, so that if the drawing of the bill be not valid according to French law, or the acceptance according to German law, or the indorsement according to Russian law, the drawer, acceptor, or indorser, will be exonerated from all liability. But it is only the primary liability of the parties that is thus determined by the *lex loci contractûs*. As regards due presentment and payment or discharge, notice of dishonour and protest, these depend on the *lex loci solutionis* or law of the place where the acceptor undertakes to perform his part of the contract. Thus, in the above example presentment to and payment by the acceptor (*z*), or notice

(*s*) The British Linen Co. *v.* Drummond, 10 B. & C. 903; Huber *v.* Steiner, 2 Bing. N. C. 202.

(*t*) Story on Conflict of Laws, ss. 279, 316a, 317; Story on Bills, s. 129.

(*u*) Potter *v.* Brown, 5 East, 124.

(*x*) Burrows *v.* Jemimo, 2 Stra. 733.

(*y*) Trimbey *v.* Vignier, 1 Bing. N. C. 151; Horne *v.* Rouquette, L. R. 3 Q. B. D. 514.

(*z*) Ralli *v.* Dennistoun, 6 Exch. 483.

of dishonour to the drawer and indorser, and protest (*a*) must be given and made by the holder according to the law of England.

The *lex loci solutionis* is held to apply to the former case, because such is the obvious effect of the agreement as to the acceptor (*b*); to the latter case, because notice of dishonour and protest are regarded as integral portions not of the remedy but of the contract (*c*), and because the liabilities of the drawer and indorser ought to be measured by those of the acceptor whose sureties they are (*d*).

Hence, where in consequence of the late Franco-Prussian war, several laws were passed in France successively deferring the payment and protest of bills, and a bill which was so deferred and payable in France was eventually dishonoured by the acceptor, it was held that notice of dishonour and protest thereupon given was good to charge an English indorser, although the time for taking those steps, according to English law, had long since elapsed (*e*). In considering these questions, it should be remembered that a bill accepted generally is payable where the acceptor resides or carries on his business, and that to change this rule a special place for payment must be named (*f*). A bill drawn and payable in England is an inland bill, and as such should be dealt with; thus, if such a bill be indorsed or transferred in France, the liability of the indorser will be determined by the law of this country, at least as regards the holder (*g*), though it is not so clear if the same rule would obtain as between a mere subsequent indorsee who was not the holder (*h*).

Somewhat in conflict with the foregoing principles, it has been decided that interest, when not specified on the face of a bill, is recoverable from a drawer or indorser at the rate current in the place where the bill was drawn or indorsed, not at the rate

(*a*) Rothschild *v.* Currie, 1 Q. B. 43.
(*b*) Allen *v.* Kemble, 6 Moo. P. C. 314.
(*c*) Rothschild *v.* Currie, *ubi supra.*
(*d*) Rouquette *v.* Overmann, L. R. 10 Q. B. 525, 537; Horne *v.* Rouquette, *ubi supra.*
(*e*) Rouquette *v.* Overmann, *ubi supra.*
(*f*) Don *v.* Lipman, 5 Cl. & Fin. 1, 12, 13.
(*g*) Lebel *v.* Tucker, L. R. 3 Q. B. 77.
(*h*) Hirschfeld *v.* Smith, L. R. 1 C. P. 340; Horne *v.* Rouquette, *ubi supra.*

where the bill was accepted and dishonoured (*i*); but it may be questioned if these decisions would be upheld in the present day (*k*).

Foreign promissory notes need not be protested (*l*); in other respects they are governed by the same rules *mutatis mutandis* as foreign bills.

(*i*) Gibbs *v.* Fremont, 9 Ex. 31; Cooper *v.* Earl of Waldegrave, 2 Beav. 282.

(*k*) See observations of Cockburn, C. J., in Rouquette *v.* Overmann, *ubi supra*.

(*l*) Bonar *v.* Mitchell, 5 Ex. 415.

CHAPTER IV.

CHEQUES.

A CHEQUE is an inland bill of exchange drawn by a customer on his bankers, and payable on demand to a specified person or persons, or to his or their order, or to bearer, and is of the following form —:

Union Bank of London.

No. A. 1.

London, 1st January 1879.

The Union Bank of London,
Chancery Lane Branch.

Pay A. B. (or Order), (or Bearer),
One hundred pounds.
£100 : 0 : 0.

Stamp One Penny.

C. D.

Subject to a few modifications, cheques are governed by the same rules and admit of the same threefold division as inland bills of exchange payable on demand (*a*). Thus, the payee or holder must present the cheque for payment within banking hours on the day following that on which he received it at latest, provided that there are the ordinary means of doing so (*b*); upon such presentment and dishonour he must give notice thereof on the same or the following day to the parties he wishes to charge (*c*), but the time for presentment will be extended by putting the cheque into immediate circulation.

(*a*) *Ante*, pp. 4—11.

(*b*) Moule *v.* Brown, 4 Bing. N. C. 268; Heywood *v.* Pickering, L. R. 9 Q. B. 428; Prideaux *v.* Criddle, L. R. 4 Q. B. 455.

(*c*) Rickford *v.* Ridge, 2 Camp. 539.

Again, unless the drawer has been actually damnified by want of due presentment or notice of dishonour (*d*), as by failure of the bank, he will be liable even in the absence of such presentment and notice to a holder otherwise entitled to sue on a dishonoured cheque (*e*); thus notice of dishonour is unnecessary to a drawer who has no effects in his banker's hands (*f*). The time for presenting a cheque is not extended by passing the same through a banker (*g*), and, as an instrument payable on demand, no days of grace are allowed (*h*), nor does payment become due before demand. A cheque is an appropriation of the amount out of the drawer's money in his banker's hands (*i*), and by the death of the drawer, the banker's authority to pay is revoked (*k*), though payment by him without notice of such death will be good (*l*).

The drawer of a cheque may expressly prohibit his banker cashing the same; the effect of the prohibition, or of stopping the cheque, as it is called, is to revoke the conditional payment *ab initio*, so that the debt for which the cheque was given may be considered as existing all along (*m*). Unless revoked, it is not only the banker's authority but also his duty, having sufficient funds paid in a reasonable time before presentment, to honour his customer's drafts, and on breach of that duty the banker will be liable in an action by his customer to pay substantial damages (*n*). What is a reasonable time between the payment in and the crediting of funds to a customer's account will vary according to the size of the bank and the pressure of its business (*o*); thus, it has been held that an interval of two hours was a reasonable time (*p*).

(*d*) Hopkins *v.* Ware, L. R. 4 Ex. 268.

(*e*) Laws *v.* Rand, 27 L. J. C. P. 76; Robinson *v.* Hawksford, 9 Q. B. 52.

(*f*) Wirth *v.* Austin, L. R. 10 C. P. 689; Carew *v.* Duckworth, L. R. 4 Ex. 313.

(*g*) Alexander *v.* Burchfield, 7 M. & G. 10, C. 1.

(*h*) *Ante*, pp. 4, 10.

(*i*) Keene *v.* Beard, 8 C. B. 372; 381; Lynn *v.* Bell, J. R. 10 C. L. 487.

(*k*) Billing *v.* Devaux, 3 M. & G. 571.

(*l*) Tate *v.* Hilbert, 2 Ves., Jun. 118. *Post*, chap. xxxi., p. 415.

(*m*) Cohen *v.* Hale, L. R. 3 Q. B. D. 371.

(*n*) Rolin *v.* Steward, 14 C. B. 595.

(*o*) Whitaker *v.* Bank of England, 1 Cr. & M. & R. 744.

(*p*) Marzetti *v.* Williams, 1 B. & Ad. 415.

The loss of money paid on a forged cheque will or will not fall on the bank paying, according to the nature of the forgery; if the cheque be a pure forgery, or if the drawer's name be forged, the bank must suffer, even when the cheque-book has been left carelessly about, so as to conduce to the fraud, for a banker is bound to know his customer's handwriting (*q*); if the forgery consist in an alteration of the amount named by a customer, then the latter will have to suffer if he has been guilty of such gross negligence as to lead directly to the fraud, but not otherwise; thus, where a man gave his wife several blank forms of cheques signed with his name, and she filled one in for £52 2*s*., leaving a space before the amount, and beginning with a small f in the body of the cheque; it was held that the customer must bear the loss of £352 2*s*., into which the sum had been fraudulently altered, and which the bank *bonâ fide* paid (*r*). Negligence in order to estop must be negligence in the transaction itself; negligence in the custody of a draft, or in its transmission by post, will not disentitle the owner of it to recover the draft or its proceeds from one who has wrongfully obtained its possession (*s*); if the payee's indorsement is forged to a cheque payable to a given person or his order, and payment *bonâ fide* made by the bank, the latter is exonerated (*t*), and the payee or drawer will have to suffer according as the cheque was or was not accepted in payment of a debt, and, if not so accepted, according as the payee has or has not by his negligence enabled the fraud to be committed. A *bonâ fide* holder for value claiming through a forged indorsement has no title, and the drawer may recover from him (*u*). Any draft or order drawn upon a banker for a sum of money payable to order on demand, which shall, when presented for payment, purport to be indorsed by the person to whom the same shall be drawn payable, shall be a sufficient authority to

(*q*) Bank of Ireland *v.* Evans Charities, 5 H. L. C. 389.

(*r*) Young *v.* Grote, 4 Bing. 253; Baxendale *v.* Bennett, L. R. 3 Q. B. D. 525.

(*s*) Arnold *v.* City Bank; Same *v.* Cheque Bank, L. R. 1 C. P. D. 578.

(*t*) S. 19, 16 & 17 Vict. c. 59.

(*u*) Bobbett *v.* Pinkett, L. R. 1 Ex. D. 368.

such banker to pay the amount of such draft or order to the bearer thereof; and it shall not be incumbent on such banker to prove that such indorsement, or any subsequent indorsement, was made by or under the direction or authority of the person to whom the said draft or order was or is made payable either by the drawer or any indorser thereof (*x*). This section only protects the bankers upon whom the cheque is drawn, not any other person who takes the same upon the faith of a forged indorsement (*y*); but such bankers are protected whether the unauthorised indorsement purport to be that of the payee himself or of his agent (*z*). Hence, the indorsement of a cheque payable to order (1) by an agent having no authority to indorse, (2) by a forger who forges the name of an agent having authority to indorse, or (3) by a person having no authority to indorse, but purporting to be the agent of the person to whose order the cheque is payable, is sufficient authority to the banker upon whom the cheque is drawn to pay the amount thereof. Thus, S. K., an agent of S. & Co., the plaintiffs having authority to sell goods for them and receive payment by cash or cheque, but not to indorse cheques so obtained, received from the defendants in payment for goods supplied a cheque drawn on their bankers, payable to S. & Co. or order. S. K. indorsed it "S. & Co., per S. K., agent" (*a*), received the money from the bankers, and misappropriated part of it. The bankers returned the cheque to the defendants, and the amount was allowed in account by the latter. Under these circumstances it was held that the payment was protected, and the plaintiffs could not maintain an action against the defendants either for the price of the goods sold or for the cheque given (*b*). Besides the threefold division already alluded to, and applicable to negotiable instruments in general (*c*), cheques admit of another division into the two classes —Open cheques and Crossed cheques. An open cheque is a

(*x*) S. 19, 16 & 17 Vict. c. 59.
(*y*) Arnold *v.* City Bank, L. R. 1 C. P. D. 578; Ogden *v.* Benas, L. R. 9 C. P. 513; Halifax Union *v.* Wheelwright, L. R. 10 Ex. 183.
(*z*) Charles *v.* Blackwell, L. R. 2 C. P. D. 151.
(*a*) *Ibid.*
(*b*) *Ibid.*
(*c*) *Ante*, p. 4.

cheque directly payable to the payee or holder thereof, and is simply in the form above given.

A crossed cheque is a cheque only payable through a banker, and is in the following form :—

Union Bank of London.

No. A. 1.

London, 1st January 1879.

The Union Bank of London,
Chancery Lane Branch.

Pay A. B.
One hundred pounds.
£100 : 0 : 0.

& Co.

Stamp One Penny.

C. D.

We have, so far, been dealing with the law of open cheques. The same law is also applicable to crossed cheques, except where modified by the Crossed Cheques Act, 1876 (*d*), which is at once a repeal and substitute of and for former legislation on the same subject (*e*). By that statute a cheque may be crossed in either of two ways, viz., generally or specially, and that before issue, by the drawer, or after issue, by any lawful holder, and in either case the drawer or a lawful holder may add the words, "not negotiable" (*f*) after such crossing, and from thenceforth the person taking the cheque shall not have or be capable of giving a better title thereto than that of the person from whom he took the same (*g*). The crossing once made, forms a material part of the cheque, and none but the alterations authorised by the Act are lawful (*h*). When a crossed cheque, which has come to the hands of the payee, has been duly paid by the banker upon whom it is drawn, he and the drawer are entitled to the same rights as if the payment had been made to the true

(*d*) 39 & 40 Vict. c. 81.

(*e*) By 19 & 20 Vict. c. 25, "and Company," or "& Co.," written across the face of a cheque constituted the instrument a crossed cheque. By 21 & 22 Vict. c. 79, two transverse lines drawn across the face of a cheque had the same effect. Both these statutes are now repealed, 39 & 40 Vict. c. 81, sch.

(*f*) Ss. 4, 5, 39 & 40 Vict. c. 81.

(*g*) *Ibid.*, s. 12.

(*h*) *Ibid.*, s. 6.

owner (*i*). A banker paying a cheque contrary to the provisions of the Act is liable therefor to the true owner (*k*); but if the cheque, when presented, does not appear to be crossed, the banker paying the cheque in good faith and without negligence, is discharged from liability (*l*), nor does he incur any obligation to the true owner by merely receiving payment, in good faith and without negligence, for a customer, of a cheque crossed generally or specially to himself. A cheque is crossed generally by writing "and Company" (*m*), or any abbreviation thereof between two transverse lines, or by drawing two transverse lines simply across the face of an open cheque (*n*), and the banker upon whom a cheque so crossed is drawn is bound to pay the same to any banker duly presenting, but he is not bound to pay a private holder, and if he do so, he acts at his peril (*o*). A cheque is crossed specially by writing the name of some banker across the face of a cheque open or crossed generally (*p*); but no cheque can be crossed specially with more than one banker's name, except that the banker in whose name a cheque is crossed may cross specially to a banker who is his agent for collection, and the banker upon whom a cheque crossed specially is drawn, is bound, on due presentment, to pay the same to the banker or his agent for collection, specially named, but he is not bound to pay any other banker or any private holder, and if he do so, he acts at his peril (*q*). The chief object of the Crossed Cheques Act was to afford the payee of a crossed cheque some of the protection already granted to the drawer. Thus, by 19 & 20 Vict. c. 25, s. 1, and 21 & 22 Vict. c. 79, ss. 1, 4, the drawer of a cheque crossed specially could not be charged by his bankers for a payment made to any holder other than to the particular bank specified (*r*), but the payee of such a cheque who had indorsed in blank was held to have no claim against the drawee bank, which paid the amount to a bank different from that

(*i*) *Ibid.*, s. 9.
(*k*) *Ibid.*, s. 10.
(*l*) *Ibid.*, s. 11.
(*m*) *Ibid.*, s. 12.
(*n*) *Ibid.*, s. 4.
(*o*) *Ibid.*, s. 7.
(*p*) *Ibid.*, s. 8.
(*q*) *Ibid.*, ss. 7, 10.
(*r*) Bobbett *v.* Pinkett, L. R. 1 Ex. D. 368.

specified (*s*). In future the payee or other the true owner of the cheque will in such a case be able to recover from the drawee bank (*t*), and the drawer and payee of a cheque payable to order will be able to protect themselves against the 16 & 17 Vict. c. 59, s. 19 (*u*), for, by a special crossing to a solvent banker, the cashing of a cheque through that banker is insured, and if the name of the payee be forged, and payment so obtained, the drawer will have the solvent banker to recover against (*x*).

A cheque crossed generally or specially without more, and payable to bearer, is still a negotiable instrument; therefore, if such a crossed cheque be lost or stolen, and the finder or thief pass it to a *bonâ fide* transferee for value, the latter will become the true owner, and the loser or person robbed will cease to have any title (*y*). But the negotiability of a crossed cheque may be annulled by the words "not negotiable" added after the crossing by any lawful holder, and the effect of such addition is to render the cheque a merely assignable chose in action (*z*), so that thenceforth any assignee takes subject to all the equities (*a*). Hence, in a case similar to that above supposed, the loser or person robbed would continue true owner, had the words "not negotiable" been added before the loss or theft (*b*).

(*s*) Smith *v.* Union Bank of London, L. R. 10 Q. B. D. 291; *Ibid.*, 1 Q. B. D. 31.

(*t*) Ss. 7, 10, 39 & 40 Vict. c. 81.

(*u*) *Ante*, p. 22.

(*x*) Arnold *v.* City Bank; Same *v.* Cheque Bank, L. R. 1 C. P. D. 578.

(*y*) *Ante*, p. 7, and *post*, p. 27.

(*z*) S. 12, 39 & 40 Vict. c. 31.

(*a*) *Post*, chaps. 27, 29.

(*b*) *Post*, *Ibid.*

CHAPTER V.

BANK NOTES.

THE instruments with which we are now to deal do not strictly fall within the compass of the present work, inasmuch as they are not properly speaking securities for money, but are themselves treated as money or cash (*a*); and are so much a part of the circulating medium that they are not subject to the Statutes of Limitation (*b*). Still these instruments may well find a place in a treatise which embraces the law of bills of exchange and promissory notes, for the former are but an important species of which the latter are the genus, and as such are subject in great measure to the same fundamental principles.

A bank note may be defined as any bill, draft, or note which is issued by any banker or the agent of any banker, for the payment of money to the bearer on demand, which shall entitle, or be intended to entitle, the bearer or holder thereof without indorsement, or without any further or other indorsement than may be thereon at the time of the issuing thereof, to the payment of any sum of money on demand, whether the same shall be so expressed or not, in whatever form and by whomsoever such bills, drafts, or notes shall be drawn or made (*c*).

Bank notes may practically be divided into four classes:—

I. English bank notes. II. Irish bank notes. III. Scotch bank notes. IV. Foreign bank notes. Let us take each in order:—

(*a*) Miller *v.* Race, 1 Burr. 452, J. S. Mill's Principles of Political Economy, Bk. III. c. 12.

(*b*) Norton *v.* Ellam, 2 M. & W. 461; 8 & 9 Vict. c. 37, s. 17; 8 & 9 Vict. c. 38, s. 8.

(*c*) 17 & 18 Vict. c. 83, s. 11; 33 & 34 Vict. c. 97, s. 45.

I. English bank notes are of two kinds, viz.—1. Bank of England notes; 2, English bank notes, other than Bank of England notes; and first, of Bank of England notes, of which the well-known form is as follows* :—

Bank of England

I promise to pay the bearer on demand
the sum of five pounds
1879 May 1 London 1 May 1879
For the Governor and Company of the
BANK OF ENGLAND.
F. May
Chief Cashier.

£ Five

A Bank of England note, as is evident from the above, is in form a promissory note, made by the Governor and Company of the Bank of England, and payable to bearer on demand, and as such, it has the attributes of a similar note made by a private person, except in so far as the same are modified by statute; thus, a Bank of England note passes from hand to hand by mere delivery, so as to vest an absolute title in a *bonâ fide* transferee for value (*d*); hence, a person who in good faith without notice of the loss or robbery gives change or other value for a lost (*e*) or stolen (*f*) Bank of England note, obtains an indefeasible title thereto, and the Bank is bound to pay him the amount, even though the note be stopped (*g*); hence, also, there is never any danger in cashing a genuine Bank of England note (*h*); the only precaution necessary is to distinguish such a note from its forged imitation. The points in which a Bank of England note, under various enactments, is made to differ from a similar promissory note made by a private person, regard—(1), its issue; (2), its exemption from stamp duty; (3), its effect as legal tender in payment of a debt.

* The number of the note impressed on the words "promise" and "demand" is omitted.

(*d*) *Ante*, p. 7.

(*e*) Solomons *v.* Bank of England, 13 East, 135, n.

(*f*) Miller *v.* Race, *ubi supra.*

(*g*) Benjamin *v.* Bank of England, 3 Camp. 417.

(*h*) Raphael *v.* Bank of England, 25 L. J. C. P. 33.

(1.) The Bank of England was founded in 1694 by royal charter made in pursuance of 5 & 6 W. & M. c. 20, and dated 27th July of that year. Under that charter the subscribers to a loan of £1,200,000 for the public service were incorporated into a society denominated the Governor and Company of the Bank of England, with the constitution and privileges therein specified; and by s. 28 bills obligatory and of credit under the seal of the corporation were made assignable by indorsement of the holder. It is foreign to the purpose of the present undertaking to trace the history of that great corporation (*i*); all we are concerned with is to state the existing powers of the Bank to issue bank notes. These powers are now prescribed by the Bank Charter Act, 1848 (*k*) (which separates the Issue from the Banking Department) (*l*), and are to the following effect:—The Bank may issue notes to the amount of £14,000,000 on the credit of equivalent securities transferred and appropriated to the issue department (*m*); it may also be empowered by order in council to issue on the credit of equivalent securities, transferred and appropriated to the issue department, notes to the amount of two-thirds of the notes issued by any English bank which relinquishes its right of issue (*n*); beyond the above, the Bank is prohibited from issuing notes except in exchange for gold and silver coin, or bullion (*o*), and such silver bullion is not to exceed one-fourth of the gold coin and bullion held in the issue department at the same time (*p*). The Bank is bound to give any person applying for the same bank notes in exchange for gold bullion at the rate of £3 17*s.* 9*d.* per ounce of standard gold, to be assayed by persons appointed by the Bank at the expense of the applicant (*q*). Since its passing it has been found necessary, in consequence of a commercial crisis, to suspend the above Act on three different occasions, viz., in 1847, 1857, and 1866; during its suspension

(*i*) For which see M'Culloch's Commercial Dictionary, 1869, ed. 97.
(*k*) 7 & 8 Vict. c. 32.
(*l*) *Ibid.*, s. 1.
(*m*) *Ibid.*, s. 2.
(*n*) *Ibid.*, s. 5.
(*o*) *Ibid.*, s. 2.
(*p*) *Ibd.*, s. 3.
(*q*) *Ibid.*, s. 4.

the Bank was empowered to issue notes at its discretion (*r*). The amount for which a Bank of England note may be issued was limited by 7 Geo. IV. c. 6, to the sum of £5 or upwards, the issue in England of any promissory note payable to bearer on demand for a less amount being prohibited (*s*). Forgery of Bank of England, as well as other bank notes, is felony, punishable with penal servitude for life, or for any term not less than five years, or, with imprisonment, with or without hard labour, and with or without solitary confinement, for any term not exceeding two years (*t*).

(2.) Bank of England notes are entirely exempted from stamp duty (*u*); moreover, it is only the Bank of England which has the right of issuing, on unstamped paper, notes payable on demand within the City of London or three miles thereof (*x*).

(3.) In England or Wales, but not in Ireland or Scotland, Bank of England notes payable to bearer on demand are a legal tender for any sum above £5, so long as the bank continues to pay its notes in legal coin, except at and by the bank itself or its branches (*y*); the bank in London is bound on presentation to pay the holder of any of its notes in money, its branches are bound to pay in money only such notes as are made specially payable at the branch where the note is presented for payment (*z*). The sense in which a legal tender is here spoken of is that a creditor for any sum above £5 cannot object to payment of the exact debt in Bank of England notes; but he may object to receive a note for a debt above £5, which more than satisfies the debt, and the balance on which the debtor requires him to reimburse; thus, a creditor for a debt of £7 is not bound to accept a £10 note, and hand over the change to his debtor; the proper legal tender for such a debt would either be seven pounds in gold, or a £5 note, and two pounds in gold. We may here

(*r*) As to the policy and economical bearings of the Bank Charter Act, see J. S. Mill's Principles of Political Economy, Bk. III., chap. 24; M'Culloch's Commercial Dictionary, 1869, ed. 102.

(*s*) S. 4.

(*t*) 24 & 25 Vict. c. 98, s. 12.

(*u*) 7 & 8 Vict. c. 32, s. 7; 33 & 34 Vict. c. 97, sch. Bill of Exchange.

(*x*) 9 Geo. IV. c. 23, ss. 1, 15.

(*y*) 3 & 4 Will. IV., c. 98, s. 6.

(*z*) *Ibid.*

observe that, as regards money, a good legal tender is made by copper coin for any debt not exceeding 1s.—by silver coin, for any debt not exceeding £2—and by gold coin, for any sum whatever, such coins being issued by the mint and of standard weight (*a*).

In order to secure safe transmission by post or otherwise, bank notes may be cut in halves (*b*), which may then be despatched in separate parcels (*c*). The holder of a half note may recover against the maker on giving an indemnity as provided by the Common Law Procedure Act (*d*), and the real owner may after demand recover a half note by action (*e*).

2. The form of bank notes other than Bank of England notes varies, but, as a rule, it in general resembles that of a Bank of England note, and, like it, has the attributes of a similar promissory note made by a private person payable on demand (*f*), except in so far as the same are modified by statute. We may conveniently consider these modifications under three heads corresponding to those above mentioned (*g*). (1.) There is only one class of banks other than the Bank of England which is entitled to issue bank notes, viz., banks existing as banks of issue on 6th May, 1844 (*h*); of such banks there are two descriptions—(A) banks consisting of not more than six partners (*i*); (B) banks consisting of more than six partners (*k*). The former description of banks, except within the City of London or three miles thereof (*l*), are entitled to issue notes payable on demand for any sum not less than £5 (*m*), but so long only as the number of partners does not exceed six in the whole (*n*). The latter class of banks, except within the City of London, and sixty-five

(*a*) 33 Vict. c. 10, s. 4.
(*b*) Redmayne *v.* Burton, 2 L. T. N. S. 324.
(*c*) 17 & 18 Vict. c. 125, s. 87; M'Donnell *v.* Murray, 9 Ir. C. L. R. 495; Grant's Law of Bankers, 434, 3rd. ed.
(*d*) Smith *v.* Mundy, 29 L. J. Q. B. 172.
(*e*) Mossop *v.* Eadon, 16 Ves. 430, 3rd ed., 436, n.
(*f*) *Ante*, pp. 4, 5.
(*g*) *Ante*, p. 27.
(*h*) 7 & 8 Vict. c. 32, s. 10.
(*i*) 9 Geo. IV. c. 23, s. 1; 3 & 4 Will. IV. c. 98, s. 2.
(*k*) 7 Geo. IV. c. 46, s. 1; 9 Geo. IV. c. 23, s. 1; 3 & 4 Will. IV. c. 98, s. 2.
(*l*) 7 Geo. IV. c. 6, s. 3.
(*m*) *Ibid.*
(*n*) 7 & 8 Vict. c. 32, ss. 10—12.

miles thereof (*o*), are entitled to issue similar notes for similar amounts (*p*); but they forfeit that right by setting up a place of business within the above limits (*q*). With regard to both descriptions of banks, the amount of notes that may be issued is fixed at the average certified to have been in circulation during the twelve weeks preceding the 27th April, 1844 (*r*); and banks which once discontinue the issue of notes cannot resume the same (*s*); but no change in the personal composition of the company or partnership is to prejudice the right of issue (*t*), with the limitation above mentioned as to a partnership not exceeding six members (*u*). From the definition in the Stamp Act (*x*), it would seem that country bank notes for less than £5 may now be lawfully issued (*y*).

(2.) By 9 Geo. IV. c. 23, s. 1, English bank notes may be issued on unstamped paper, except within the City of London, or within three miles thereof, by bankers duly licensed so to issue (*z*). With that exception, bank notes must be stamped as provided by s. 45, 33 & 34 Vict. c. 97; and the default of a banker in issuing unduly stamped notes or of any person in knowingly receiving or taking such notes in payment or as a security is punishable by a penalty of £50 or £20 respectively (*a*). Further than the above penalties, default in stamping entails no disability; so that, unlike a simple promissory note (*b*), a wrongly stamped bank note, is still a valid instrument. Once duly stamped, a bank note may be re-issued without further stamping (*c*).

(3.) No bank notes, except those of the Bank of England, are a legal tender (*d*) in England or Wales; nevertheless, when bank notes are offered and accepted without objection in payment on a present transaction, as on a sale of goods, the purchaser will be

(*o*) 9 Geo. IV., c. 23, s. 1; 3 & 4 Will. IV., c. 98, s. 2.
(*p*) 7 Geo. IV., c. 46, s. 1.
(*q*) *Ibid.*; 27 & 28 Vict. c. 32, s. 1.
(*r*) 7 & 8 Vict. c. 32, s. 13.
(*s*) *Ibid.*, s. 12.
(*t*) *Ibid.*
(*u*) *Ante*, p. 30.
(*x*) 33 & 34 Vict. c. 97, s. 45.
(*y*) Chitty on Bills, 11th. ed., 15; *sed quære.*
(*z*) 7 & 8 Vict. c. 32, s. 22; 17 & 18 Vict. c. 113, ss. 12, 2, 4, 7.
(*a*) 33 & 34 Vict. c. 97, s. 47.
(*b*) *Ibid.*, s. 54.
(*c*) *Ibid.*, s. 46.
(*d*) *Ante*, pp. 29, 30.

absolutely discharged (*e*); so, any creditor who accepts bank notes in payment of a debt takes them at his peril, except the debt be pre-existing (*f*), or the taker can show there was fraud or forgery (*g*), but even in such cases the debtor will be discharged, unless the creditor do all that the law requires to obtain payment, as duly presenting to the bank for payment (*h*), or, on the bank's insolvency, tendering the notes for payment to the person from whom the holder received them (*i*).

A bank note ought to be presented within a reasonable time, as measured by the circumstances of each particular case (*k*); but such time is extended by putting the note into immediate circulation, or by passing the same through the hands of any third person, even those of one's own servant, so long as his capacity does not identify him with his master (*l*). Neither the insolvency nor the statement of a banker's intention to refuse payment will absolve the holder from presenting and demanding payment of notes within a reasonable time (*m*). Notice of dishonour of bank notes must be given within the same time as on bills (*n*).

II. Irish bank notes are of two kinds, viz.:—

1. Bank of Ireland notes.
2. Irish bank notes, other than Bank of Ireland notes.

1. The Bank of Ireland was founded in 1783 by charter made in pursuance of 21 & 22 Geo. III. c. 16, and dated 10th May, of that year; under that charter the subscribers to a loan of £600,000 for the public service were incorporated into a society, denominated the Governor and Company of the Bank of Ireland, with the constitution and privileges therein specified. The powers of the Bank to issue bank notes are now prescribed by 8 & 9 Vict. c. 37; the effect of that statute is to prohibit any banker in Ireland from having in circulation during any period

(*e*) Polglass *v.* Oliver, 2 C. & J. 15.
(*f*) Timmins *v.* Gibbins, 21 L. J. Q. B. 402.
(*g*) Fuller *v.* Smith, R. & M. 49.
(*h*) Camidge *v.* Allenby, 6 B. & C. 373.
(*i*) Howe *v.* Bowes, 5 Taunt. 30.
(*k*) Camidge *v.* Allenby, *ubi supra.*
(*l*) James *v.* Houlditch, 8 D. & R. 3.
(*m*) Howe *v.* Bowes, 5 Taunt. 30.
(*n*) Williams *v.* Smith, 2 B. & A. 496, *ante*, pp. 6, 11.

of four consecutive weeks an amount of notes exceeding both the amount he had in circulation for a corresponding period during the year ending 1st May, 1845, as ascertained from the average, certified to have been in circulation during that year, and the average amount of gold and silver coins held by such banker during the said period of four weeks (*o*). The Bank of Ireland may, however, acquire the right to issue an additional amount of notes equal to that which might have been lawfully issued by a banker relinquishing his right of issue (*p*).

To Bank of Ireland notes the account above given (*q*) of Bank of England notes applies in many respects: thus, a Bank of Ireland note is a promissory note of a similar description (*r*); its forgery is felony liable to the same punishment (*s*); it is entirely exempt from stamp duty (*t*); it must be cashed on presentation for payment at the bank in Dublin. Yet there are several notable differences between a Bank of England and a Bank of Ireland note: thus, the latter may issue for £1 or any multiple, but not fractional part, thereof (*u*), though any note for less than £5 must be drawn in a prescribed form (*x*), a restriction which has at times been dispensed with (*y*); so, there are no provisions for the exchange of Bank of Ireland notes for bullion (*z*), or that such notes should be a legal tender (*a*); hence, it would seem that gold is, strictly speaking, the only legal tender in Ireland for sums above £2 (*b*); so, all promissory notes issued by any banker in Ireland must be payable at the place of issue (though they may be made payable at other places as well), which must be expressly mentioned in the instrument (*c*).

2. Irish bank notes, other than Bank of Ireland notes, can only be issued by bankers lawfully issuing their own notes on

(*o*) 8 & 9 Vict. c. 37, ss. 8, 14, 19.
(*p*) *Ibid.*, s. 12.
(*q*) *Ante*, pp. 27—30.
(*r*) *Ante*, p. 27.
(*s*) 24 & 25 Vict. c. 98, s. 12.
(*t*) 33 & 34 Vict. c. 97, sch.
(*u*) 8 & 9 Vict. c. 37, s. 15.
(*x*) *Ibid.*, s. 25.
(*y*) 27 & 28 Vict. c. 20; 36 & 37 Vict. c. 75.
(*z*) *Ante*, p. 28.
(*a*) *Ante*, p. 29.
(*b*) *Ibid.*, p. 30.
(*c*) 9 Geo. IV., c. 81.

6th May, 1844, and not relinquishing, but continuing to exercise, their right of issue from that time (*d*); the amount of notes which a banker having a right of issue may keep in circulation has been already mentioned (*e*). Irish banks of issue, other than the Bank of Ireland, were formerly divisible, 1st, into such (consisting of not more than six partners), as had a right to issue notes and carry on their business in any part of Ireland (*f*); and, 2nd, into such (consisting of more than six partners), as had a similar right, except in Dublin, and within fifty miles thereof (*g*). But this distinction has been swept away by allowing every Irish bank to carry on its business, and, if it be a bank of issue, to issue its notes in Dublin or elsewhere, in Ireland indifferently (*h*).

The principles which govern Irish country bank notes are the same as those already described in the case of English country bank notes (*i*).

III. Scotch bank notes are of two kinds :

1. Bank of Scotland notes.
2. Scotch bank notes, other than Bank of Scotland notes.

The Bank of Scotland was established by act of the Scotch Parliament, Will. III., 1 Parl. s. 5, with a constitution and privileges similar in most respects to those of the Bank of England.

The amount of notes it and other Scotch banks may now issue is regulated by 8 & 9 Vict. c. 38, which extends to Scotland enactments, similar to those applied to Ireland, by the 8 & 9 Vict. c. 37 (*k*). So far as not provided for by statute, the rights and liabilities on a Scotch bank note depend upon Scotch law, which is beyond the scope of the present undertaking.

IV. Foreign bank notes may all be resolved into bank notes issued abroad—(1) by foreign governments; (2) by persons or bodies other than foreign governments. As regards the first description, the holder will have only moral not legal rights against

(*d*) 8 & 9 Vict. c. 37, s. 15.
(*e*) *Ante*, pp. 32, 33.
(*f*) 21 & 22 Geo. III. c. 16 [I].
(*g*) 1 & 2 Geo. IV. c. 72.
(*h*) 8 & 9 Vict. c. 37, s. 1.
(*i*) *Ante*, pp. 30—32.
(*k*) *Ante*, pp. 32—34.

the issuer (*l*); as regards the second description, the holder will have legal rights against the issuer, determined by the law of the country where the notes were issued, or are payable, in the manner above described for foreign bills and notes payable on demand (*m*). The solvency of the issuer and the convertibility of foreign paper currency (*n*) are the chief practical points to which the transferee of a foreign bank note has to look (*o*).

(*l*) *Post*, chap. xii.
(*m*) *Ante*, pp. 13—18.
(*n*) Principles of Political Economy, J. S. Mill, Bk. III. c. 13.
(*o*) For an account of the principal foreign banks, see M'Culloch's Commercial Dictionary "Banks" (Foreign).

CHAPTER VI.

BANK POST BILLS.

A BANK post bill may be defined as a promissory note or bill of exchange, made or drawn and accepted by a bank payable to order so many days after sight or date, and is of the following form:—

Bank Post Bill.

No. 1.

London, 1st November, 1878.

At seven days' sight I promise to pay this my sole bill of exchange to A. B., or order, five hundred pounds sterling. Value received of Messrs. C. D. & Co.

Accepted 1st November, 1878,
E. F.

For the Governor and Company of the Bank of England.
G. H.

£500. J. K.

Ent. L. M. (*a*).

A bank post bill may be regarded as either a bill or a note (*b*), but it is perhaps more properly the latter, inasmuch as a bill drawn by a man upon himself is considered a note of which he is the maker (*c*). Bank post bills are subject to the same rules as similar bills or notes payable to order, except in so far as those rules are modified by statute; thus, on indorsement by the payee in blank, a bank post bill becomes a negotiable instrument (*d*). Moreover, a person receiving a bank post bill without

(*a*) Willis *v.* Bank of England, 4 A. & E. 22, n.

(*b*) *Ibid*; Forbes *v.* Marshall, 11 Exch. 167.

(*c*) Block *v.* Bell, 1 M. & Rob. 149.

(*d*) Forbes *v.* Marshall, *supra*.

objection takes it as money (*e*), and one who in good faith gives value to a bankrupt for such a bill—as by changing the same—is within the savings of the Bankruptcy Act, protecting certain transactions (*f*). Payment of Bank of England bank post bills issued in London cannot be enforced at one of the bank's branches; but ordinarily no such branch nor country bank would object to cash such a bill for a small commission (*g*). No London bank, except the Bank of England, issues bank post bills (*h*). In Ireland bank post bills must be payable at the place of issue, in the same way as Irish bank notes (*i*). In Scotland, bank post bills may be issued in the same manner as in England (*k*).

(*e*) Caine *v.* Coulton, 1 H. & C. 764; Tiley v. Courtier, 2 C. & J. 16.

(*f*) 32 & 33 Vict. c. 71, s. 94, *post*, chap. xx; Willis *v.* Bank of England, *supra*.

(*g*) *Ibid.*

(*h*) Such we are informed is the universal practice; but it would seem that since the 7 & 8 Vict. c. 32, s. 26, any London Bank may lawfully issue bank post bills.

(*i*) 9 Geo. IV. c. 81, *ante*, p. 33.

(*k*) 5 Geo. III. c. 49, s. 2.

CHAPTER VII.

BANKERS' DEPOSIT RECEIPT NOTES.

A BANKER'S deposit receipt or accountable note may be defined to be an instrument in writing, given and signed by a banker, acknowledging that a certain sum of money has been lodged in his hands in favour of a given person, and that he holds the same on the terms therein mentioned. The form of these instruments varies very considerably; thus, they are sometimes, mere receipts, as "Mr. T. has left in my hands £200" (*a*); sometimes, they are both receipts and agreements, as the following:—

Bank Office, Brechin, 25th March, 1803.

£60.

Received from Mr. James Watson, Brechin, sixty pounds sterling at his credit, bearing interest at the rate of 3 per cent. on demand, or 4 per cent. if not returned in six months.

SMITH & SONS (*b*).

Sometimes they are mere promissory notes. The nature and attributes of deposit receipt notes will vary according to their form; accordingly we can only lay down a few general propositions on this subject.

First, then, a receipt given for money deposited in any bank, or with any banker, to be accounted for and expressed to be received of the person to whom the same is to be accounted for, is exempted from the stamp duty payable on an ordinary

(*a*) Tomkins *v.* Ashby, 6 B. & C. 541.

(*b*) Bank of Scotland *v.* Watson, 1 Dow. 40; see Taylor *v.* Steele, 16 M. & W. 665; Sutton *v.* Toomer, 7 B. & C. 416; Hopkins *v.* Abbott, L. R. 19 Eq. 222.

receipt (*c*). This exemption does not appear to extend to the case of a deposit receipt, which includes an agreement for the payment of interest or otherwise; the question was raised but not decided in the case from which the second of the above forms is taken (*d*); we conceive, however, that such a receipt is within s. 36 of the Stamp Act, and requires a sixpenny stamp. As interest is not usually payable by a banker on money in his hands (*e*), it would formerly have required a special agreement to make him liable for interest on a deposit note; but since the 3 & 4 Will. IV., c. 42, s. 28, interest would be recoverable in the nature of damages without any agreement (*f*). The agent of a banker has no implied authority to receive money on deposit, so as to bind his principal, and, therefore, a deposit note issued by such an agent, without any reference to the principal bank expressed on the face of the instrument, will not bind the principal, although the depositor intended and directed that the deposit should be to the latter (*g*).

A person who deposits money with a firm of bankers is not affected by a change in the firm until the same is brought positively home to his knowledge by express notice or otherwise; thus, he does not transfer the liability by merely receiving interest from the new firm, but retains his rights against the retired partner or his estate to the extent to which such partner was liable at the time of retirement (*h*). A deposit receipt note may be the subject of a *donatio mortis causa* (*i*); but for a transfer, *inter vivos*, something more than delivery is required, unless the note be a promissory note or other negotiable instrument, which admits of such transfer independently of its being a deposit receipt as well. The contrary has no doubt been held in regard to an instrument which was certainly not negotiable *per se*—the learned Vice-Chancellor considering that a deposit note for money

(*c*) 33 & 34 Vict. c. 97, sch. Receipt.

(*d*) Bank of Scotland *v.* Watson, *ubi supra*; Sibree *v.* Tripp, 15 M. & W. 23; *sed quære*, Grey *v.* Smith & Anr., 1 Camp. 387.

(*e*) Edwards *v.* Vere, 5 B. & Ad. 282.

(*f*) *Post*, chap. xxxii.

(*g*) Bank of Scotland *v.* Watson, *ubi supra*.

(*h*) Daniel v. Cross, 3 Ves. 277; Gough *v.* Davies, 4 Price. 200; Bilborough *v.* Holmes, L. R. 5 Ch. D. 255

(*i*) Hewitt *v.* Kaye. L. R. 6 Eq. 198

must be put on the same footing as a deposit note for goods (*k*). That analogy, however, can have no application, unless the money be locked up in a box, which the banker does not open, or unless the identical money is to be returned (*l*); the deposit of money in the usual way gives rise to what in Roman law was termed a contract *mutuum*, the essential attribute of which was to transfer the property in the subject deposited to the depositee; thenceforth the depositor could not sue to recover the actual subject but only an equivalent, whereas a deposit of goods was termed a contract *depositum*, by which the possession, but not the property in the subject deposited, passed from the depositor to the depositee (*m*). The same rule, it is submitted, must apply in English law (*n*); so that the depositor of money in the usual way loses his right of property, and becomes entitled to a chose in action, the nature and transfer of which must be according to those of other choses in action (*o*); and that was the principle upon which the above case was argued on both sides. In issuing a deposit note, a banker ought to take care that the same be delivered to the person in whose favour it is given; otherwise he may lay himself open to a double liability (*p*). The Statute of Limitations applies to money deposited with a banker. (*q*).

(*k*) Woodhams *v.* The Anglo-Australian and Universal Family Assur. Co., 3 Giff. 238.

(*l*) Sibree *v.* Tripp, 15 M. & W. 23, 37.

(*m*) Just. Insts. Lib. iii. Tit. xiv.; Dig. xii. 1, 9, pr. and 3; Dig. xliv. 7, 1, 5.

(*n*) See judgment of Holt, C. J., in Coggs *v.* Bernard, Ld. Raym. 909.

(*o*) *Post*, chap. xxix.

(*p*) Cochrane *v.* O'Brien, 2 J. & L. 380.

(*q*) Pott *v.* Clegg, 16 M. & W. 311.

CHAPTER VIII.

LETTERS OF CREDIT AND CIRCULAR NOTES.

A LETTER of credit is a written request or authority to honour the drafts of a person or persons named therein, empowering the person or persons so honouring, to charge the amount advanced to the account of the person or persons from whom such request or authority moves, and is of the following form :—

Union Bank, London, 1st January, 1878.

Please to honour the drafts of Messrs. A. & B. to the extent of one hundred pounds, and charge the same to the Union Bank, London.

I am, your, &c. &c. &c.,

£100 0 0 JOHN SMITH, Cashier.

To the National Bank of Liverpool, Liverpool.

A letter of credit may be addressed to some specified person or persons, in which case (as in the instance given) the instrument is a special letter of credit, and only authorises the person or persons so addressed to make advances; or a letter of credit may not be addressed to any one, in which case the instrument is a general letter of credit, and authorises any one who is willing to honour the drafts, in pursuance of such letter, to make advances (*a*). Letters of credit are employed for the purpose of transmitting money to a distance, whether within the United Kingdom, to the colonies, or abroad, with the view of obviating the inconvenience and risk attendant upon

(*a*) British Linen Co. *v.* Caledonian Insurance Co., 4 Macq. 113 n. *In re* Agra and Masterman's Bank; *Ex parte* Asiatic Corporation L. R. 2 Ch. 391. A letter of credit must be stamped as a bill of exchange, 33 & 34 Vict. c. 97, s. 48.

personal carriage of large sums; thus, suppose a tradesman in London has to go over to Paris to make purchases, he may avoid exposing the funds that are to defray the price, to the dangers of the journey, by paying in the same to a London banker or merchant, and receiving in return a letter of credit for the amount addressed to a Paris banker or merchant, upon whom he can draw when his destination is reached; in that way he need only have about him as much cash as will suffice for travelling expenses. A simple letter of credit, such as we have now described, is not a negotiable instrument, nor is the granter of such a letter answerable for any advances, not made in strict conformity with its terms (*b*); hence, if the instrument be lost or stolen, and money be paid on forged drafts, the granter will not be liable for such payments, but the person making the same must bear the loss, unless the true owner of the letter has conduced to the fraud, in which event the loss will fall on him, if the forgery of the draft be a forgery, that in the case of a cheque would have left the drawer to sustain such loss(*c*).

The 16 & 17 Vict. c. 59, s. 19, does not apply to letters of credit; hence, bankers who pay forged drafts purporting to be drawn in accordance with genuine letters of credit, are in no better position than other persons making similar payments (*d*).

If the drafts of the true owner of a letter of credit are not honoured, or if they do not exhaust the amount of the credit, he is entitled to recover from the granter the funds he may have given therefor, or the balance that may still be remaining in the granter's hands, but the latter is not bound to return such funds, unless the letter of credit be re-delivered to him, or, in case of its loss or destruction, unless he receive an indemnity against any claim thereunder (*e*). Possession of the letter of credit is no poof that money has been paid in pursuance thereof; the proper evidence of that fact is furnished

(*b*) Orr and Barber *v.* Union Bank of Scotland, 1 Macq. 513. *Post*, p. 44.

(*c*) British Linen Co. *v.* Caledonian Insurance Co. 4 Macq. 107. *Ante*, pp. 20, 22.

(*d*) British Linen Co. *v.* Caledonian Insurance Co., 4 Macq. 107.

(*e*) The Conflans Quarry Co. *v.* Parker, L. R. 3 C. P. 1.

by possession of the drafts that have been honoured according to its tenor (*f*).

By a letter of credit authority may be given either to draw drafts for money directly or to draw bills of exchange, and, in the latter instance, the letter of credit is frequently written in the margin of a blank bill; the whole instrument is then called a marginal letter of credit, and is of the following form (*g*):—

No. 39.

Credit for £2,000 stg. in duplicate. 4907.

113625

National Bank of Scotland,
Edinburgh, 24th June, 1864.

To Messrs. Fletcher & Company, China.

I hereby, for the National Bank of Scotland, authorize you to draw the annexed bill of exchange at six months' sight for two thousand pounds sterling on Messrs. Glyn & Co., bankers, in London, who will honour the same in conformity with its tenor, if presented along with this letter of credit within one year from this date.

Thos. Anderson, Secretary.
Jno. J. Shearer, P. Manager.

First of Exchange for £2,000 sterling. No. $\frac{3}{4}\frac{9}{9}\frac{}{0}\frac{}{7}$ F.

Place and date of drawing,
Shanghai, 5th April, 1865.

Six months after sight pay this first of exchange (second of the same tenor and date not being accepted or paid), to our order, the sum of *two thousand pounds sterling*, which charge to the National Bank of Scotland as per annexed Letter of Credit.

To Messrs. Glyn & Co.,
Bankers, London.

Drawer signs here
Fletcher & Co.

A marginal letter of credit partakes of the nature of a simple bill of exchange; as such, it is a negotiable instrument, at least to the extent of the undertaking it purports to contain; there-

(*f*) Orr and Barber *v.* Union Bank of Scotland, 1 Macq. 513.

(*g*) Maitland *v.* The Chartered Mercantile Bank of India, London, and China, 38 L. J. Ch. 363.

fore a *bonâ fide* holder for value cannot be affected by a private arrangement between the granter and the drawer, but in the absence of notice will be entitled to sue the former, although the bill was drawn and indorsed in violation of such arrangement. Where a marginal letter of credit is granted on the understanding that the parties to whom it is granted will take up when due any bills drawn thereunder, or that the moneys realised are to be invested in the purchase of goods to be consigned to this country, and that, on receipt of the bills of lading, the granters will accept and pay the bills of exchange, it is usual to require a guarantee from some house in this country for the due performance on the part of the foreign firm of the engagement entered into (*h*).

Marginal letters of credit are divided into two classes, viz.—(1) open credits, or letters of credit, which unconditionally undertake that the accompanying bill of exchange shall be accepted, subject or not to a proviso that the bill shall be drawn or presented within a given time (*i*); (2) documentary credits, or letters which undertake that the accompanying bill shall be accepted, on condition that the bills of lading and other shipping documents of title to goods consigned by sea are delivered to the intending acceptors before presentment of the bill of exchange (*k*); the delivery of the document of title is in such case a condition precedent to the acceptance of the bill of exchange; the insolvency of the drawees does not absolve the drawers from offering such documents, as the insolvents may possibly provide funds to meet the demand (*l*). Where the A. bank granted a letter of credit to the S. H. Company on B. & Co.'s guarantee that the company would perform stipulated conditions, the failure of the bank after accepting certain of the drafts was held not to exonerate the company from the performance, and that therefore B. & Co.'s were not released from

(*h*) Banner *v.* Johnstone, L. R. 5 H. L. 157.

(*i*) *In re* Agra and Masterman's Bank; *ex parte*, Asiatic Corporation, L. R. 2 Ch. 391.

(*k*) Banner *v.* Johnstone, *ubi supra.*

(*l*) *In re* Agra Bank; *ex parte* Tondeur, L. R. 5 Eq. 160.

their guarantee (*m*). On the failure of the granter of a marginal letter of credit the grantee is empowered to recover commission, notarial, and other necessary expenses he has been put to in getting the bills taken up (*n*). If such granter be a company the drawer of bills accepted by the company can only prove in the winding up for the balance after realization of any security the company holds from him as mortgagee (*o*). It was otherwise, however, when the company being wound up was mortgagor, for there the secured creditor was entitled to prove for the amount due when his claim was sent in, without regard to securities, which had been realized by him between the sending in of his claim and its being adjudicated upon (*p*); but since the 1st November, 1875, a secured creditor of a company, the winding up of which began after that date, can only prove as in bankruptcy (*q*).

Circular notes closely resemble simple letters of credit, in their nature and incidents; the chief difference is that the former are issued for definite amounts, the payment of more or less than which is not authorised, and that they are cashed directly without the intervention of drafts. It is usual to accompany the issue of circular notes with a letter of credit, requesting the person or persons to whom the notes are addressed, to pay the same to the person or persons whose signature or signatures are attached to the letter of credit, and in whose favour such letter and notes are granted. The letter of credit is then called a letter of indication; and it should be signed by the person to whom the notes are payable before starting for the place where they are to be cashed, as by that means the risk of forgery in case of loss is obviated. The following is a form of circular note:—

(*m*) *Ex parte* Agra Bank; *in re* Barber & Co., L. R. 9 Ex. 75, *post*, chap. xv.

(*n*) Prehn. and Anr. *v.* Royal Bank of Liverpool, L. R. 5 Ex. 92.

(*o*) *In re* Barned's Banking Co.; Coupland's Claim, L. R. 5 Ch. 167.

(*p*) Kellock's Case, L. R. 3 Ch. 767; *in re* Barned's Banking Co.; Forwood's Claim, L. R. 5 Ch. 18; Fottrell *v.* Kavanagh, I. R. 10 Eq. 256.

(*q*) S. 10, 38 & 39 Vict. c. 77; *In re* Coal Consumers' Association, L. R. 4 Ch. D. 625; *In re* Westbourne Grove Drapery Co., L. R. 5 Ch. D. 248; *In re* Joseph Suche & Co. L. R. 1 Ch. D. 48. *Post*, chap. xxxi.

"The National Bank.

"No. 2663. Lettre de Crédit Circulaire pour £10 0 0 sterl.

"Londres, ce 23 mai, 1866.

"A Messieurs les banquiers designés
dans nos Lettres d'Indication.

"Messieurs,—Cette lettre vous sera remise par M.——— dont vous trouverez la signature dans notre lettre d'indication sous-dite. Je vous prie de vouloir bien lui compter sans frais quelconque la valeur de dix livres sterling au cours d'usance sur Londres, contre sa traite ci-jointe sur cette banque.

"J'ai l'honneur d'être, Messieurs,

"Votre très obéissant Serviteur,

"——— *Secrétaire*" (*r*). "John Parker, *Gérant*."

At the back was printed the following form of draft on the National Bank :—

"The National Bank,

"£10 0 0 "London.

"A sept jours de vue préfix payez à l'ordre de M. —— dix livres sterling, valeur reçue à ———

"Ce ———, 1866."

The letter of indication which accompanied the circular notes was as follows :—

"Lettre d'Indication.

"The National Bank,

"Londres, ce 23 mai, 1866.

"Messieurs,—Le porteur de cette lettre, M. ———, pour lequel nous réclamons vos attentions, est muni de nos billets de

(*r*) The Conflans Quarry Co. *v.* Parker, L. R. 3 C. P. 1.

change circulaires pour son voyage. Nous vous prions de lui en fournir la valeur sur son double acquit au cours du change à usance sur notre place, et sans déductions de frais.

"Si la ville où il en touchera le montant n'a pas de change direct sur Londres, vous voudrez bien en combiner un avec la place cambiste la plus voisine.

"Vous observerez que tout agis sur espèces d'or ou d'argent, et tous frais extraordinaires dans le cas d'un remboursement indirect, doivent être supportés par le porteur, et ne peuvent être à notre charge.

"Cette lettre devant accompagner nos billets circulaires doit rester dans les mains de leur porteur jusqu'à leur épuisement.

"Nous avons l'honneur d'être, Messieurs,

"Vos très humbles et très obéissants Serviteurs,

"Signature du proteur "———— *Secrétaire,*

"————————." "———— *Gérant.*"

At the back of the letter of indication was conspicuously printed in red ink the following :—

"Particular attention is requested to the following note.

"The bearer of this letter is requested to insert his usual signature in the blank space at the foot of the letter, before setting out, as an indispensable precaution against forgery, should the circular notes fall into improper hands. He should also be careful to keep this letter apart from the notes; and he is particularly requested not to indorse them, except in the presence of the banker of whom payment is required. The full amount, at the annual rate of exchange, will then be paid without any deduction in respect of commission.

"It is essential that the name of the place where each note is changed, and the date, should be inserted in the blank spaces in bill at the back of the note."

The names and addresses of various banking firms were appended to the letter of indication as the persons to whom it was addressed (*s*).

(*s*) *Ibid.*

CHAPTER IX.

POST OFFICE MONEY ORDERS.

A POST office money order is a printed instrument issued by the Postmaster-General under the sanction of Parliament (*a*), at the instance of a person paying into the money order department of a post office a certain sum of money in favour of a given person, and made payable by such instrument at a given place, and when inland is substantially of the following form:

No.———.

Stamp of Issuing Office.

£	s.	d.

MONEY ORDER.

PAY the Person named in my Letter of Advice the Sum of

£———s.———d.

To the Post Office at———.

———Controller.

Received the above

———{ Signature of Payee.

B. { I request that this may be exchanged for a new Order payable at *——— } Signature.

* Here state the name of office.

C. { I request that this Order may not be paid until ten days after date of issue. } Signature of Remitter.

Stamp of Paying Office.

(*a*) 3 & 4 Vict. c. 96, s. 38.

On the face of the instrument are printed instructions for the modes in which the several signatures are to be filled up; on the back are further instructions for the mode of applying for a money order, and as to the time and stoppage of payment of the same, also as to exoneration of the department when payment is once made, and as to alteration in the name of the payee, and application for duplicate orders. A postmaster on issuing a money order sends a letter of advice to the postmaster of the office where the order is payable; in the case of some foreign orders—as those on the German Empire—no order is issued in this country, but only a receipt is given and a letter of advice sent to the foreign country; in the case of other foreign orders, as those on France, an order is issued in this country, which, however, differs in some respects from an inland order.

Post office orders are either inland or foreign, according as they are issued, payable within the United Kingdom or at certain places abroad; in both instances they are only issued for sums not exceeding £10; and, in both, the Postmaster-General is empowered to refund to the grantee the amount of the order, and thereupon his liability shall cease (*b*).

The scale of charges for inland money orders is now as follows:—

For sums under 10*s.*	...	...	...	...	2*d.*
„	„	of 10*s.* and under £2	...	...	3*d.*
„	„	„ £2	„	£3	...	...	4*d.*
„	„	„ £3	„	£4	...	...	5*d.*
„	„	„ £4	„	£5	...	...	6*d.*
„	„	„ £5	„	£6	...	...	7*d.*
„	„	„ £6	„	£7	...	...	8*d.*
„	„	„ £7	„	£8	...	...	9*d.*
„	„	„ £8	„	£9	...	...	10*d.*
„	„	„ £9	„	£10	...	...	11*d.*
„	„	„ £10	...	...	...	...	1*s.*

(*b*) 11 & 12 Vict. c. 88, s. 3.

The scale of charges for foreign money orders, and the places (*c*) on which the same (*d*) are issued are as follows :

For sums not exceeding	£2.		£5.		£7.		£10.	
	s.	*d.*	*s.*	*d.*	*s.*	*d.*	*s.*	*d.*
If payable in Belgium, Denmark, France, the German Empire, Heligoland, Holland, Dutch East Indian Possessions, Italy, Norway, Switzerland, Gibraltar, Malta, Constantinople, or Smyrna (*e*).	0	9	1	6	2	3	3	0
If payable in any other place abroad, authorized to transact money order business with this country, including :—Alexandria, Berbice (New Amsterdam), Belize (British Honduras), British Columbia, Cape of Good Hope, Canada, Ceylon (Colombo), Coquimbo, Demerara (Georgetown), Egypt, Falkland Islands, Gold Coast, Hong Kong, India, Mauritius, Natal, New Brunswick, Newfoundland, New South Wales, New Zealand, Nova Scotia, Panama, Prince Edward Island, Queensland, St. Helena, Seychelle Islands, Shanghai, South Australia, Straits Settlements, Suez, Tasmania, United States, Valparaiso, Victoria, West Coast of Africa, West Indies, Western Australia, Yokohama.	1	0	2	0	3	0	4	0

(*c*) Considerable variations in the rates of exchange with any foreign country may occasionally necessitate an increase or decrease of the commission.

(*d*) When a whole country is named, money orders may be drawn, as a rule, on any important town in that country, as also on the many smaller towns, of which complete lists are kept at every Money Order Office.—*British Postal Guide.*

(*e*) On some countries actual orders are issued—*e.g.*, on France. To other countries only letters of advice are sent—*e.g.*, the German Empire—the applicant merely receiving a receipt for his money.

The power to issue, and the conditions upon which money orders are issued, are determined by 3 & 4 Vict. c. 96, s. 38, 11 & 12 Vict. c. 88, as amended by 38 & 39 Vict. c. 66, and the Regulations made by the Postmaster-General, with the assent of the Commissioners of Her Majesty's Treasury, which have the same force as legislative enactments (*f*). By the 3 & 4 Vict. c. 96, s. 38, the regulations and conditions upon which money orders were then issued—that is, in 1840—were confirmed so long as the Commissioners of the Treasury should not otherwise order. By 11 & 12 Vict. c. 88, s. 2, the Postmaster-General is empowered, with the assent of such Commissioners, to make regulations relating to money orders which are to have the same effect as if inserted in the statute. No action is to be brought against the Postmaster-General or any officer of the Post Office, or any other person whomsoever for or by reason of such regulations, or by reason or in consequence of refusal or delay in payment of any money order through the accidental neglect, omission, or mistake, by or on the part of any officer of the Post Office, or for any other cause whatsoever, without fraud or wilful misbehaviour on the part of such officer (*g*). By s. 3 (*h*), the Postmaster-General may refund the amount of any money order to the person or his executors or administrators to whom such money order has been granted, whether the same shall remain or be in the possession of such person or not; and upon such repayment all liability of the Postmaster-General or of any officer of the Post Office or of the Post Office Revenue, shall absolutely cease and determine. By s. 4 (*i*), any officer of the Post Office issuing a money order with fraudulent intent is guilty of felony in England or Ireland, and of a high crime and offence in Scotland, and may be punished with penal servitude for any term not exceeding seven years, or with imprisonment for any term not exceeding three years (*k*).

(*f*) 11 & 12 Vict. c. 88, s. 2.

(*g*) Sec. 2 does not seem to exonerate the Postmaster-General for his own default.

(*h*) *Ibid.*

(*i*) *Ibid.*

(*k*) 20 & 21 Vict. c. 3, s. 2; 27 & 28 Vict. c. 47, s. 2.

By s. 5 (*l*), in indictments for offences relating to the Post Office, it is sufficient to lay the property in "Her Majesty's Postmaster-General," and so to describe him as the party intended to be defrauded. By s. 6 (*m*), the order, consent, or direction of the Commissioners (*n*) of Her Majesty's Treasury to anything to be done in pursuance of the Act, may be signified under the hands of such Commissioners, or under the hand of one of their secretaries or assistant-secretaries. By s. 7 (*o*), printed copies of the "London Gazette" are to be evidence of the regulations issued under the Act. By s. 8 (*p*), the Act is to be deemed a Post Office Act, and to be construed as 3 & 4 Vict. c. 96.

The regulations issued in pursuance of 11 & 12 Vict. c. 88, s. 2, are practically contained in the "British Postal Guide;" the most important, in addition to those already mentioned which provide for the commission, amounts, and places, on or for which money orders are issued, may be thus stated (*q*): No money order can be issued unless the applicant furnish, in full, the surname, and at least the initial of one Christian name, both of the remitter and the payee, together with the remitter's address. In the case of foreign orders the full address of the payee must be given; and if the order be payable to a native of British India, the tribe or caste, and the father's name, must also be furnished.

Exceptions.—1st. When the remitter directs at the time of issue (which he is at liberty to do), that the order, by being crossed like a cheque, be made payable only through a bank, it is left to his option to give or withhold the name of the payee.

2nd. If the remitter or payee be a peer or a bishop, his ordinary title is sufficient.

3rd. The usual designation of a firm is sufficient, except in the case of a company trading under a title which does not consist of the names of the persons composing it, as the "Carron Company."

(*l*) *Ibid.*
(*m*) *Ibid.*
(*n*) 38 & 39 Vict. c. 66.
(*o*) 11 & 12 Vict. c. 88.
(*p*) *Ibid.*
(*q*) *Ante*, pp. 49, 50.

The holder of a money order is always at liberty to direct, by crossing it, that the order be paid through a bank, even though its payment was not originally so restricted; and when the order is thus presented, the question put on the presentation of an ordinary money order is dispensed with; and it is sufficient that it be receipted (without regard to any discrepancy between the signature and the name in the advice), and that it be presented (crossed with the name of the receiving bank), by some person known to be in the employment of the bank. A money order not crossed will be paid on presentation, provided the postmaster find the payee's signature to agree with the advice, and that the applicant give the correct name of the remitter, unless the postmaster have good reason for believing that the applicant is neither the rightful claimant, nor deputed by him. But in no case can payment be demanded on the day the order was issued; and, on the other hand, an order still unpaid becomes void at the end of twelve months from the date of issue, though an application for payment, subject to a certain deduction, where good reason can be given for the delay in presentment is entertained. But no application can be entertained for compensation for alleged injury from the non-payment of a money order at the expected time, and after once paying a money order, by whomsoever presented, the office is not liable to any further claim.

An order once issued cannot be cancelled; but payment may be stopped—of an inland order, on application at the office where the order is payable, and on payment of a second commission—of an order issued by a colony in the United Kingdom, on application to the controller of the metropolitan office of that portion of the kingdom where such colonial order is payable, and on payment of an additional British rate of commission inclosed with the application. Transfer of payment of an inland order from one office to another in the United Kingdom, or repayment of the amount of the order, may be obtained on application, inclosing the order to the postmaster at whose office the order is payable, who will transmit in exchange a new order, payable

at the place desired, but for a less sum than the original order by the amount of the second commission charged for the re-issue; the form of application may be obtained at any money order office. Postmasters in the United Kingdom have power to transfer to other offices in the United Kingdom payment of colonial and foreign orders originally drawn on their own offices.

Alteration in the name of the payee or remitter of an inland money order may be obtained on application, accompanied by the payment of a second commission to the postmaster of the office at which the order was issued. Duplicate orders, on written application, with the necessary particulars, being forwarded to the controller of the money order office in England, Ireland, or Scotland respectively, are granted of inland orders on the following terms:—(1), in case of miscarriage or loss in transmission through the post, free of charge; (2), in case of loss after delivery of the letter inclosing order, on payment of 1*s.* commission of an order not exceeding £5, or on payment of 2*s.* commission of an order above £5, and not exceeding £10; such commission to be forwarded in postage stamps together with the application.

Duplicates of orders issued by a colony on the United Kingdom may be obtained in the same way as stoppage of such orders is effected. A money order payable in London, or at any other town where there is more than one money order office, can only be cashed at the head office, unless the remitter name some other particular office when he applies for the order. A money order may be made payable ten days after date, by the remitter, in presence of the postmaster, when he obtains the order affixing thereto, in the space after the request C., a penny receipt stamp, and writing his signature across the stamp; except for this purpose no receipt stamp is required. To secure the safe transmission of a money order, the remitter is recommended to sign the letter inclosing the order with his initials only, or make the order payable ten days after date, or register the letter inclosing it, or make it payable through a bank by cross-

ing it like an ordinary cheque, or send the remitter's name and the order by different letters (*r*).

Orders issued in the United Kingdom, and payable in the German Empire, are subject to the conditions that govern the payment of orders in that Empire. Orders issued in France on the United Kingdom cannot be paid after three months from the date of issue, without the authority of the French post office, and orders issued in the United Kingdom on France, cannot be paid after three months from the month of issue without the authority of the chief office, London. Orders issued in the United Kingdom, on Italy, and *vice versâ*, cannot be paid after three months from the month of issue without the authority of the chief office of the country of issue.

Such then being the enactments and regulations under which post-office orders are issued, we may next consider the nature and effect of these instruments. Looking at their mere skeleton form, apart from the instructions, it seems impossible to deny that money orders are genuine bills of exchange; the only points of difference from ordinary bills being that the name of the payee does not appear on their face when issued, and that, instead of being addressed to a given person, they are drawn on an office, but neither circumstance is essential to the existence of a bill, provided the name of the intended payee be afterwards duly filled up, and that they are accepted at the place on which they are drawn (*r*). The question, therefore, is, whether the (*s*) conditions under which these orders are issued, and the instructions thereon, rob such instruments of their primary character: we submit that those conditions and instructions have each that effect. No matter what the nature of money orders originally was in strict point of law, there can be very little doubt that in the year 1840 they were issued by the Postmaster-General under regulations which assumed that they were not bills of exchange. Whether that assumption was right or wrong it received the confirmation of Parliament in that year;

(*r*) Crutchley *v.* Mann, 5 Taunt. 529; Attwood *v.* Griffin, Ry. & Mod. 425; Hogarth *v.* Latham, L. R. 3 Q. D. 643.
(*s*) Gray *v.* Milner, 3 Moore, 90.

therefore, from that day to this, money orders have been issued under statutory conditions which denied to them the character of bills of exchange. As regards the instructions, they have no bearing unless they both form a material part of the instrument, and are inconsistent with the same being a bill of exchange. It does not appear important to ask whether at Common Law they would form such a part, for we may again assume that by virtue of 3 & 4 Vict. c. 96, or of 11 & 12 Vict. 88, the money order is issued, subject to those instructions; but even at Common Law indorsed conditions may transform a bill into a different contract (*t*). We have, therefore, only to inquire whether an instrument into which such provisions are incorporated can amount to a bill of exchange; we submit that it cannot, on the simple ground that the effect of these provisions, at least such as are indorsed, is to render payment conditional within the meaning of the authorities which decide that no conditional order for the payment of money can constitute a bill of exchange (*u*). Apart from the conditions and instructions under which they are issued, money orders would, we have said, be genuine bills of exchange; but they would be non-negotiable bills, for they are only drawn in favour of a particular person, (*x*) not of such person or his order, or bearer.

It is another but very important question whether money orders are bills of exchange within the meaning of the Stamp Act, 1870; this is no doubt a highly arguable point, unless regulations, as authorised by 11 & 12 Vict. c. 88, have been issued since the passing of the Act of 1870, dispensing with the necessity of a stamp on such orders, and even then the validity of such regulations might not be beyond dispute. If language has meaning, money orders are clearly within the term "bill of exchange," as defined by s. 48 of the Stamp Act, and such was the opinion of the judges under a corresponding provision in 55 Geo. III. c. 184, which was hardly as comprehensive as the

(*t*) Leeds *v.* Lancashire, 2 Comp. 205.

(*u*) Kingston *v.* Long, 4 Doug. 9; Worley *v.* Harrison, 3 A. & G. 669 & 674. *Ante*, pp. 3, 9.

(*x*) *Ante*, pp. 4, 9.

existing law (*y*). But a decision on the point was avoided by holding that before the 3 & 4 Vict. c. 88, money orders were issued unstamped, and that by s. 38 of that statute the practice was legalised; therefore it was unnecessary actually to decide on the construction of 55 Geo. III., since the case at bar was taken out of its operation (*z*). It may seem a preposterous notion to suppose that a special enactment like the 3 & 4 Vict. c. 88, could be overridden, without express mention by a general measure like the Stamp Act; but from a recent analogous case (*a*) it would seem that such a result is possible, and that the principle *generalia specialibus non derogant* is subject to many limitations. In case the Stamp Act does override the 3 & 4 Vict. c. 96, money orders must bear a stamp in the absence of express regulations to the contrary, issued pursuant to 11 & 12 Vict. c. 88, since the Stamp Act came into force; whether such regulations have power to curtail the operation of that Act, must depend on the prospective effect to be given to 11 & 12 Vict. c. 88.

If money orders be bills of exchange within the Stamp Act, then the want of a stamp subjects the person issuing, transferring, negotiating, receiving, or suing upon such orders, to the penalties and disabilities mentioned in s. 54 of that Act (*b*). We shall hereafter see that no action can be maintained on such a bill, nor can the same be made available by the holder for any civil purpose, though the above section contains a proviso by which a bill payable on demand may be stamped subsequent to its issue.

The inclusion or exclusion of money orders within or from bills of exchange as defined by the Stamp Act, leaves their general nature still undetermined; it would seem, however, that a money order is a peculiar kind of valuable security, the attributes of which can only be ascertained from the conditions and

(*y*) Reg. *v.* Gilchrist, 1 Car. & Mar. 224.
(*z*) *Ibid.*
(*a*) Garnett *v.* Bradley, L. R. 3 App. Cas. 944, overruling Court of Appeal, L. R. 2 Ex. D. 349; *ex parte* Mercers' Co. 10 Ch. D. 481.
(*b*) Reg. *v.* Gilchrist, *ubi supra.*

regulations under which it is issued, rather than from the language in which it is couched. Those conditions and regulations do not appear to contemplate the transfer of money orders by the payee—and, if payment be made through a bank or other third party, it is as to the payee's agent; hence, whatever custom there may be for payees' to pass orders by mere delivery to third parties, such custom cannot confer negotiability (*c*), and therefore a *bonâ fide* transferee for value of a money order takes no better title than the person from whom he received it (*d*). A money order, as we have seen, may be crossed; when it is so, payment will only be made to the bank to which it is crossed, but the payee's signature is not required. It is not altogether clear whether ss. 2, 3 of the Crossed Cheques' Act (*e*) may not cover money orders issued by the Post Office; we apprehend that such orders are not within those sections (*f*), and therefore not within the Act; consequently the effect of crossing a money order must be solely determined by the regulations under which the same is allowed by the Post Office.

We may conclude these observations by allusion to a recent County Court case, the facts of which were these:—A post office order made payable to A. and B., solicitors, was stolen by their clerk, C., who forged the signature A. & Co. C. then requested D. to change the order, which she *bonâ fide* did; D. then paid the order into her banker's and they got it cashed by the Post Office. In an action by A. and B. to recover the amount of the order from D., the learned judge decided in favour of the defendant, on the ground—1st, that a post office order is a negotiable bill of exchange, the conditions on the back not being sufficient to make it a conditional order; 2nd, that, being a bill of exchange within the Stamp Act, it could not be sued upon without being duly stamped (*g*). The first of these grounds is in our view untenable (*h*); the second may perhaps be maintained (*i*).

(*c*) *Post*, chap. xxvii.
(*d*) *Ibid.*; *post*, chap. xxix.
(*e*) 39 & 40 Vict. c. 81.
(*f*) As to the meaning of "Persons," see Guardians of St. Leonard, Shoreditch *v.* Franklin, L. R. 3 C. P. D. 377.
(*g*) Evans and Anr. *v.* Smith, S. J., vol. xxii., No. 28, p. 551.
(*h*) *Ante*, pp. 55, 56.
(*i*) *Ante*, pp. 56, 57.

In the above case there was evidence that a post office would pay a bank whether the signature (*k*) were real, fictitious, or absent, and, therefore, it was considered unnecessary for D. to trace her title through the forgery. We cannot subscribe to that doctrine. The Post Office may, indeed, under its special regulations, be exonerated from liability for payment on a forged order; but how could the Bank or D., when there is an actual forgery, be heard to say that they do not claim through the forgery? They claim through an instrument, a material part of which has been forged; it is impossible to disintegrate the forgery from the instrument; therefore the claim is really through a forged instrument, and, as such, both the bank and D. should be held liable either to the remitter or to the correct payee, on principles we have already explained (*l*).

(*k*) As to wrong description of payee, see Gordon *v.* Strange, 1 Ex. 477.

(*l*) *Ante*, pp. 21, 22.

CHAPTER X.

BONDS AND POST OBITS.

A BOND is a specialty or deed-poll, by which a person binds himself and his representatives to perform or forbear from some given act towards some other person. A deed-poll is an instrument in writing, sealed and delivered by a party or the parties thereto on one side only, and is opposed to an indenture or deed *inter partes*, which is a writing sealed and delivered by the parties thereto on both sides (*a*). The party delivering a bond is called the obligor; the party to whom the obligor becomes bound—the obligee.

A bond, being a species of deed, possesses the following attributes:—1st, It merges or extinguishes a simple contract, whether verbal or in writing not under seal, with which it is co-extensive. Thus, if a debtor give his creditor an I O U and then a bond for one and the same debt, the two instruments varying only in form and degree of solemnity, the creditor can no longer sue on the I O U, but must bring his action on the covenant (*b*); 2nd, it works an estoppel—that is, the grantor or obligor and other executing parties and their representatives are not, in the absence of mistake (*c*), allowed to dispute the facts witnessed or recited by the deed, or offer evidence to contradict them (*d*); 3rd, it imports a consideration—that is, a party cannot escape the obligation of the agreement by showing he received no valuable consideration therefor, though he may by showing there

(*a*) Co. Litt. 229*a*; 35*b*, 36*a*.

(*b*) Price *v.* Moulton, 20 L. J. C. P. 102.

(*c*) Brooke *v.* Hames, L. R. 6 Eq. 25; Simpson's Case, L. R. 9, Eq. 597.

(*d*) Lanison *v.* Tremere, 1 A. & E. 792; Duchess of Kingston's Case, Notes II. Sm. L. 6, 7th ed., 777.

was an illegal or immoral consideration (*e*); 4th, it can vest property in goods and chattels personal, without delivery of the possession (*f*); 5th, it may be sued upon at any time within twenty years from an actionable breach of one of its covenants, or from an acknowledgment in writing signed by the party liable or his agent, of a part payment or satisfaction on account of principal or interest (*g*), whereas a simple contract can only be sued upon within six years from the time the right of action accrued (*h*); 6th (lastly), it cannot, before breach of its covenants, be discharged except by due performance of its terms, or by an instrument of equal or higher solemnity, but after breach it may be discharged by accord and satisfaction, as verbally or otherwise agreed by the parties (*i*). Through the foregoing attributes of a deed a bond-creditor enjoys several advantages over a simple contract creditor—the chief value of a security under seal, as compared with a security not under seal, consisting in its superiority as an instrument of evidence, and in the more extended interval during which it keeps a right of action alive. In other respects the two classes of creditors are now on the same footing. Thus, in the administration of a bankrupt (*k*) or deceased (*l*) debtor's estate, specialty have no priority over simple contract debts, but both are paid *pari passu*. Again, a security on property may be created by writing under seal, or not under seal, and if well created, will be equally effectual by either instrument; but in many cases, as we shall hereafter see, a deed is necessary to the creation of such a security (*m*).

Bonds are of two kinds, viz.,—1, Simple Bonds; 2, Double Bonds. A simple bond binds the obligor to the performance of a given act absolutely, *e.g.*, payment of £1,000 on a given day. A double bond binds the obligor to the payment of

(*e*) Irons *v.* Smallpiece, 2 B. & A. 551; Collins *v.* Blantern, 2 Wils. 347; Smith *v.* Sorby, L. R. 3 Q. B. D. 552.

(*f*) Ward *v.* Audland, 16 M. & W. 862.

(*g*) 3 & 4 Will. IV. c. 42, ss. 3, 5; *post*, chap. xvii.

(*h*) 21 Jac. I. c. 16, s. 3; 19 & 20 Vict. c. 97, s. 9; Batley *v.* Faulkner, 3 B. & A. 288; *post*, chap. xxxi.

(*i*) Peytoe's Case, 6 Rep. 77; Preston *v.* Christmas, 2 Wils. 86; *post*, chap. xxxi.

(*k*) 32 & 33 Vict. c. 71, s. 32.

(*l*) 32 & 33 Vict. c. 46, s. 1.

(*m*) See *post*, chaps. xvii., xx., xxvii.

a given sum of money, called the penalty, in case a given act is or is not performed, *e.g.*, payment of £2,000 if the obligor shall or shall not carry on a particular trade within defined limits (*n*). If the given act upon which the penalty is conditioned be the payment of a sum of money, the penalty is usually twice the amount of such sum. Thus, a bond for £2,000 would be given to secure payment of £1,000. It is only in form that the obligee on such a double bond is liable to the penalty; he can at any time discharge the obligation by performing the specified act, and if he be sued on the bond, not the amount of the penalty, but either damages for the actual injury sustained or the sum secured (if such there be), interest and costs can only be recovered against him (*o*). Formerly it was otherwise at Common Law, but now, even independently of the statutes empowering legal tribunals to grant relief (*p*), the universal adoption by the Judicature Act of equitable doctrines renders it impossible to enforce any civil claim in the nature of a penalty (*q*). By a penalty, as here spoken of, is meant a sum of money merely intended to secure the performance of an agreement, not a sum agreed upon by the parties as liquidated damages or the price for doing, or refraining from doing, some particular act, in which case such sum would be recoverable (*r*).

There are, notwithstanding, several good reasons for still employing double bonds. Thus, as a general rule, no sum beyond the penalty can be recovered for principal and interest (*s*), though it is otherwise if the same be secured by a mortgage (*t*), or if damage to a greater amount be sustained (*u*),

(*n*) Forrest *v.* Elwes, 4 Ves. 492.

(*o*) Sloman *v.* Walter, 1 Bro. C. C. 478; Peachey *v.* the Duke of Somerset, 1 Stra. 447; Thompson *v.* Hudson, L. R. 4 H. L. 15.

(*p*) 8 & 9 Will. III. c. 11, s. 8; 4 & 5 Anne, c. 16, ss. 12, 13; 23 & 24 Vict. c. 126, s. 25; 3 & 4 Will. IV. c. 42, ss. 16, 18.

(*q*) 36 & 37 Vict. c. 66, s. 25, subs. 11.

(*r*) French *v.* Macale, 2 D. & War. 274; Rolfe *v.* Peterson, 2 Bro. P. C. 436; *In re* Newman; *ex parte* Capper, L. R. 4 Ch. D. 124; Magee *v.* Lavell, L. R. 9 C. P. 107; Parfitt *v.* Chambre, L. R. 15 Eq. 36; Lea *v.* Whitaker, L. R. 8 C. P. 70; Jones *v.* Heavens, L. R. 4 Ch. D. 636.

(*s*) White *v.* Sealy, Doug. 49; Tew *v.* Lord Winterton, 3 Bro. C. C. 489.

(*t*) Clarke *v.* Lord Abingdon, 17 Ves. 106.

(*u*) Duvall *v.* Terry, Show. P. C. 15; Lord Lonsdale *v.* Church, 2 T. R. 388.

or if, by the special agreement of the parties, the interest is devoted to some particular purposes (*x*). Again, in an action on a bond conditioned for the performance of any covenants or agreements other than for the payment of a single lesser sum of money, judgment may be given for the actual damages sustained, and may also be entered up for the full penalty as security against future breaches (*y*). Thus, on breach of a bond for £2,000, conditioned for the payment of £1,000 by monthly instalments of £100, by defendant failing to pay an instalment, the plaintiff may have judgment and damages and costs for the actual breach, and also judgment for £2,000, on which execution will be stayed on defendant paying the actual damages and costs into court (*z*). It is to be observed that the 4 & 5 Anne, c. 16, and the 23 & 24 Vict. c. 126, do not extend to such bonds, which are solely governed by 8 & 9 Will. III. c. 11 (*a*).

Bonds, whether single or double, may be absolute or contingent (*b*). By an absolute bond the obligee is bound to perform a given act unconditionally—*e.g.*, a single or double bond for payment of £1,000 on a given day. By a contingent bond the obligee is bound to perform a given act on the happening of an uncertain event, *e.g.*, a single or double bond for payment of £1,000 if a certain trade should be carried on within prescribed limits. When the event upon which a contingent bond depends is the death or partly the death of a given person, such bond is termed a post-obit. Thus, a bond that the obligee shall pay £1,000 out of the property to which he may succeed by the will or on the intestacy of a given person is a post-obit (*c*). In the case put, the obligee has a mere expectancy in the property in question, but the obligation will, if that expectancy be realised, become as binding as if he had a vested interest, *e.g.*, as a bond that the obligee shall pay £1,000 out of property to which he is entitled in remainder.

(*x*) Mathews *v.* Keble, L. R. 3 Ch. 691; L. R. 4 Eq. 467.
(*y*) 8 & 9 Will. III., c. 11, s. 8.
(*z*) Preston *v.* Daina, L. R. 8 Ex. 19; Smith *v.* Bond, Wms. Saunds.
(*a*) *Ibid.*
(*b*) Beckham *v.* Drake, 2 H. L. Ca. 579, 598, 628.
(*c*) For the form of a post-obit, see H. Hughes' Concise Conv. 486, 2nd. ed.

The law is now well settled that in the complete absence of fraud and unconscionable dealing, post-obits are a perfectly valid kind of security, and they will have priority over subsequent settlements made by the obligor *inter vivos* (*d*); nor can they be any longer impeached merely on the ground of under value (*e*). As, however, it is generally with young expectants, who may be easily imposed upon, that unfair and catching bargains are made through post-obits, the Court will look vigilantly at all such transactions, and set aside, on payment by the obligee of the actual sum advanced and interest thereon at 5 per cent., anything and everything which in the least savours of fraud either actual or constructive (*f*). Under the Infants' Relief Act, 1874 (*g*), the contracts of infants for repayment of money lent, whether by special or simple contract, are rendered absolutely void and incapable of confirmation (*h*).

(*d*) Adames *v.* Hallett, L. R. 6 Eq. 468.

(*e*) 31 & 32 Vict. c. 4, Webster *v.* Cook, L. R. 2 Ch. 542.

(*f*) Chesterfield *v.* Janssen, 2 Ves. 157; Beynon *v.* Cook, L. R. 10 Ch. 389; Earl of Aylesbury *v.* Morris, L. R. 8 Ch. 484; Tyler *v.* Yates, L. R. 6 Ch. 665; L. R. 11 Eq. 265; Miller *v.* Cook, L. R. 10 Eq. 641; Howley *v.* Cook, Ir. R. 8 Eq. 570.

(*g*) 37 & 38 Vict. c. 62.

(*h*) *Ex parte* Lynch, L. R. 2 Ch. D. 227; *ex parte* Kibble; *in re* Onslow, L. R. 10 Ch. 373; Coxhead *v.* Mullis, L. R. 3 C. P. D. 439.

CHAPTER XI.

EXCHEQUER BILLS, EXCHEQUER BONDS, AND TREASURY BILLS.

We have next to advert to the securities upon which the Government of this country borrows money (*a*). The expense of the public service is defrayed out of the proceeds of the various taxes; once in each year the Chancellor of the Exchequer presents an estimate to the House of Commons of the probable expenditure and revenue of the ensuing twelvemonth, and according to the calculation of the budget so presented taxation is increased or diminished, so as to balance the debit and credit sides of the account. Income from taxation is only gradually collected, and cannot therefore supply a direct fund to meet the necessity of an immediate outlay; to provide for such an exigency the Government is specially empowered by Acts of Parliament passed *pro re natâ*, to obtain loans to a given amount. The mode in which such loans are raised is by the issue of three classes of instruments, termed, respectively, —Exchequer Bills, Exchequer Bonds, and Treasury Bills. An Exchequer Bill is an instrument in writing, securing payment of a given sum of money with interest thereon, at a certain rate to bearer or to a certain person, issued by the Commissioners of Her Majesty's Treasury in pursuance of a special Act of Parliament, authorising them so to raise money, and is of the following form:—

No. £ . By virtue of an Act
for raising the sum of £ , by Exchequer bills, for the

(*a*) As to the application of the term "Securities" to the Funds, see *Ante*, Introd., and *post*, chap. xxxv.

service of the year , this bill entitles , or order, to one thousand pounds, and interest after the rate of twopence-halfpenny per centum per diem, payable out of the and this bill is to be current and pass in any of the public revenues, aids, taxes, or supplies, or to the account of Her Majesty's Exchequer at the Bank of England, after the day of . Dated at the Exchequer this day of . If the blank is not filled up, this bill will be paid to bearer. The cheques must not be cut off.

The issue, payment, and discharge of Exchequer bills are regulated by the Exchequer Bills' and Bonds' Act, 1866 (*b*), the Sinking Fund Act, 1875 (*c*), and the Treasury Bills' Act, 1877 (*d*), by the first of which enactments all former legislation of a similar character is superseded (*e*). In future the Commissioners of Her Majesty's Treasury, when authorised by statute to raise money on Exchequer bills, may, by warrant under their hands, or under the hands of any two of them, countersigned by the Comptroller and Auditor-General, direct that Exchequer bills, with coupons for interest thereon, for any period not exceeding five years from date thereof, be made out at the Bank of England (*f*). Every Exchequer bill shall be signed by the Comptroller and Auditor-General in his own name, but no such bills shall be signed or put into circulation until a notice of the authority so to sign, under the Act of 1866, has been given in the "London Gazette" (*g*). To prevent imposition, the Bank of England and the Comptroller and Auditor-General are each to retain a counterfoil of every Exchequer bill issued (*h*).

The interest on Exchequer bills is to be at such rate not exceeding five pounds ten shillings per cent. per annum, as the Treasury may from time to time determine, and is to be payable at the Bank of England half-yearly (*i*). The Bank of England is to issue the Exchequer bills ordered to the person or officer

(*b*) 29 & 30 Vict. c. 25.
(*c*) 38 & 39 Vict. c. 45.
(*d*) 40 Vict. c. 2.
(*e*) 29 & 30 Vict. c. 25, s. 1.
(*f*) *Ibid.*, s. 3.
(*g*) *Ibid.*, s. 12.
(*h*) *Ibid.*, s. 4.
(*i*) *Ibid.*, s. 5.

named in the Treasury warrant, who is chargeable therewith (*k*); the moneys raised on such bills are to be carried to the account of the Consolidated Fund (*l*). Exchequer bills are charged upon the Consolidated Fund, but in certain cases both principal and interest are to be paid out of the permanent annual charge for the National Debt (*m*). Not later than ten days prior to the expiration of each twelve months from the respective dates of Exchequer bills during their legal currency, the Treasury are to give notice in the "London Gazette" of the day or days on which claim for payment, and payment should and shall be made by and to the holders of such bills, of the principal moneys therein contained; such payment shall be at the Bank of England, and if not duly claimed, the bills not so paid off shall have legal currency for the next following twelve months, and so on from year to year until so paid off, or exchanged for new bills; but the holders are not entitled to claim payment at any interval between the times fixed by such yearly notices (though the Treasury may, at any time, direct such payment), except that, during the last six months of every year from the date during which Exchequer bills have legal currency, they are to pass current for payment of Customs or any duties whatsoever, and interest due to the day of such payment is to be allowed to the persons paying the same, but is thenceforth to cease, and such persons are to write their names and the date of payment upon such bills (*n*). The Treasury may issue Exchequer or Treasury bills during any financial year to such an amount as will replace the principal money of bills paid off or paid in for duties during that financial year, and may issue new Exchequer bills to replace other Exchequer bills with exhausted coupons; notice of such issue shall be given in the "London Gazette" not later than twenty-one days prior to the day on which the last half-yearly coupons for interest on such bills shall become due, and the interest on such bills, if not exchanged,

(*k*) *Ibid.*, s. 6.

(*m*) S. 2, 38 & 39 Vict. c. 45.

shall cease on the day of exchange, and the principal moneys of such bills when thereafter presented for payment, shall be paid off in money (*o*). The Treasury may issue new Exchequer bills to replace any bills accidentally defaced, and, on the certificate of the Chief Baron and other the Barons of the Exchequer Division of the High Court, or of any of them, that they or he is satisfied by the oath or oaths of one or more credible witnesses, that any Exchequer bill has by casualty or mischance been lost, burnt, or otherwise destroyed, may cause the money due thereon to be paid off in like manner as if the original bill were brought in to be paid off, provided the person so receiving payment, give security to the Queen to repay the amount so paid, in case the said bill be thereafter produced (*p*).

Exchequer bills when discharged and paid off are to be cancelled and made void at the Bank of England, and that body is empowered to advance or lend to Her Majesty on the credit of Exchequer bills any sum or sums not exceeding in the whole the principal sums contained in such bills.

Exchequer bonds were first introduced in the year 1853 by an "Act for redeeming or commuting the annuity payable to the South Sea Company, and certain annuities of three pounds per centum per annum, and for creating new annuities of three pounds ten shillings per centum per annum, and two pounds ten shillings per centum per annum, and issuing Exchequer bonds."

The following is the form in which bonds were issued under the above statute:—

No. Exchequer Bond. £

By virtue of an Act of the Session, holden in the 16th and 17th years of Her Majesty Queen Victoria, chapter Twenty-three, and of a Treasury warrant, bearing date the 22nd July, 1853.

This bond entitles the bearer to £ carrying interest at the rate of £2 15*s.* per centum per annum, payable half-

(*o*) *Ibid.*, ss. 12—14.

(*p*) *Ibid.*, s. 16.

yearly, on the 1st day of March and 1st day of September, from the date hereof, up to the 1st day of September, 1864, inclusive, and thenceforth at the rate of £2 10s. 3*d.* per centum per annum, payable half-yearly, in like manner, until and including the 1st day of September, 1894, and, thereafter, is subject to redemption on payment of such principal sum of £ , at the option of the Commissioners of Her Majesty's Treasury, so soon as Parliament shall have made due provision in respect thereof; and until such redemption, such principal sum of £ will continue to carry interest at the said rate of £2 10s. per centum per annum. The several sums in respect of interest, mentioned in the annexed certificates, are transferable by delivery of such respective certificates, and will be payable to the persons producing and delivering the same at the Bank of England.

Dated at the Exchequer, at Westminster, this 9th day of June, 1853.

N.B.—The cheques must not be cut off.

Signed in the presence of }

Certificates for Interest.

No. A or C £

Interest Certificate on Exchequer Bond for £

Per Act 16 Vict., chap. 33.

This Certificate entitles the Bearer to interest at per centum per annum, payable at the Bank of England, for a half-year ending 18 .

MONTEAGLE (*q*).

In the year 1854 an Act was passed for raising the sum of six millions by Exchequer bonds and Exchequer bills, and since that time Exchequer bonds have been issued for large amounts under various Acts of Parliament. The Exchequer bonds so raised resemble Exchequer bills, and in many particulars are governed by the same rules; thus, the provisions in the Ex-

(*q*) "London Gazette," 1853, III. 2275—2276.

chequer Bills' and Bonds' Act which regulate the preparation and issue of Exchequer bills and the rate of interest thereon, which provide for the re-issue or payment of defaced or lost bills, and the cancellation of discharged bills, which enable the Treasury to pay off bills at any time, which make old outstanding bills a charge on the Consolidated Fund, and which empower the Bank of England to advance money on the credit of Exchequer bills, are applicable to Exchequer bonds, *mutatis mutandis* (*r*). On the other hand, Exchequer bonds are made payable to bearer simply, and may or may not be charged on the Consolidated Fund, according to the terms of the particular enactment authorising their issue, which also determines the time when the principal moneys on such bonds should be discharged (*s*); further, Exchequer bonds are not payable for duties, nor is the Treasury empowered to issue new Exchequer bonds for bonds, the coupons of which are exhausted, unless specially authorised, as is the case with regard to the bonds issued under 16 Vict. c. 23, and 16 & 17 Vict. c. 132 (*t*). Moreover, the Treasury may from time to time by warrant under their hands to be published in the "London Gazette," provide for the registration of any such Exchequer bonds as may be delivered up by the holders thereof for that purpose, and for the delivery of certificates of such registration in lieu thereof, which shall be transferable by entries, in a register provided for the purpose. In all the above particulars Exchequer bonds differ from Exchequer bills.

Treasury bills were introduced by the Treasury Bills' Act, 1877 (*u*), which empowers the Treasury to issue such bills when authorised by any Act of Parliament to raise money by the issue of Exchequer bills or of Treasury bills (*x*). Such Treasury bills are to be for the payment of the principal sum named therein, in the manner and at the date therein mentioned, which latter must not be less than three, nor more than twelve months from date of the bill; interest is to be payable at such rate and

(*r*) S. 26, 29 & 30 Vict. c. 25.
(*s*) See 34 & 35 Vict. c. 52; 39 Vict. c. 1.
(*t*) S. 27, 29 & 30 Vict. c. 25.
(*u*) 40 Vict. c. 2.
(*x*) *Ibid.*, s. 3.

in such manner as the Treasury shall direct (*y*). The following is the form of a Treasury Bill :—

A. 0 0 0 0. 1. Due, June 28, 1877. A. 0 0 0 0. 1.
£———— £————

By virtue of an Act 40 Vict. c. 2.

London, March 28, 1877.

This Treasury Bill entitles* ———— or order to payment of ——— pounds at the Bank of England out of the Consolidated Fund, on the 28th June, 1877.

In pursuance of ————.

Signed ————

Comptroller and Auditor-General.

* If this blank be not filled up, the bill will be paid to bearer.

All money raised by the issue of any Treasury bill is to be paid into the Exchequer; and the principal money and interest expressed in any Treasury bill (*z*) to be payable shall be charged on the Consolidated Fund. The Treasury may issue Exchequer bills or Treasury bills in lieu of bills paid off during the same financial year (*a*); the mode of issuing Treasury bills is similar to that of issuing Exchequer bills (*b*). The Treasury may from time to time make regulations as to the preparation, issue, and cancellation of and prevention of fraud as to Treasury bills; such regulations are to be laid before both Houses of Parliament, within one month after they are made, if Parliament be then sitting, or, if not, within one month after the then next meeting of Parliament (*c*). The Bank of England may lend to Her Majesty, upon the credit of Treasury bills, any sum or sums, not exceeding in the whole the principal sums named in such bills (*d*). Exchequer bonds are purely negotiable instruments; so are Exchequer bills and Treasury bills, so long as their blanks are not filled up, but if they be filled up the bills are only then

(*y*) *Ibid.*, s. 4.
(*z*) *Ibid.*, s. 5.
(*a*) *Ibid.*, s. 6.
(*b*) *Ibid.*, s. 7.
(*c*) *Ibid.*, s. 8.
(*d*) *Ibid.*, s. 12.

payable to the person named (*e*). The three classes of securities are subject to the general lien of bankers, unless expressly deposited for a particular purpose, as, *e. g.*, to be exchanged for new securities (*f*); moreover, bankers who *bonâ fide* make advances on the deposit of forged bills or bonds, may recover back the amount advanced as soon as such bills or bonds are repudiated at the Exchequer (*g*).

As the State has frequently to borrow money for the public service of this country, so also has it frequently to borrow money for the government of India. The usual mode in which such loans are effected is by special Act of Parliament, empowering the Secretary of State in Council for India to raise money to a given amount by the creation and issue of bills, bonds, and debentures under the hands of two members of the Council of India, and countersigned by such Secretary of State, or by his Under-Secretary or Assistant Under-Secretary; the bonds and debentures so issued are charged upon the revenues of India, and are to be paid off at par at the times mentioned thereon, with interest payable half-yearly, either at the Treasury of the Secretary of State in Council in London, or at the Bank of England. Such bonds and debentures, and the coupons for interest thereon, are made transferable by delivery, and are purely negotiable instruments; power is given to issue new bonds and debentures, and to pay off the principal moneys due in the original bonds and debentures (*h*).

(*e*) Wookey *v.* Pole, 4 B. & Ald. 1.

(*f*) Brandao *v.* Barnett, 12 Cl. & F. 787.

(*g*) Bank of England *v.* Tomkins, 6 Jur. 348.

(*h*) 40 & 41 Vict. c. 51.

CHAPTER XII.

FOREIGN GOVERNMENT MONEY SECURITIES.

FOREIGN governments borrow money to a large extent in England; the securities issued upon such transactions claim accordingly some attention. Foreign loans are submitted to the British public through some great house or bank having an establishment in this country; the members of such house or bank are the avowed agents of the foreign government, and as such are not liable for acts done in that capacity; hence, any claim on a foreign government security can only avail against the principal or foreign government (*a*). Between the latter, and the private individuals from whom it borrows in England, a relationship is constituted which confers a moral right to the fulfilment of the engagement entered into; but as the sovereign power of a nation or independent political society can owe no legal obligation (*b*), it follows that the above relationship does not amount to a legal contract and does not create a legal right against the foreign government, to whose *bona fides* and honesty alone, therefore, the lender must look for satisfaction of his claim. The terms of a foreign loan may be that the debt thereby incurred should become part of the national or funded debt of the country; or that the debt thereby incurred should bear interest at a certain rate, and be paid off at a certain time. In the first instance the lender acquires a right of property in the dividends payable on the amount of funded debt assigned to

(*a*) Twycross *v.* Dreyfus, L. R. 5 Ch. D. 605.

(*b*) Austin's Jurisprudence, Lect. VI.

him, and occupies a position analogous to that of a person in whose name English consols are standing; in the second instance, the lender acquires a right to repayment of the advance on the particular terms stipulated, and occupies a position analogous to that of the holder of an English Exchequer bill or Exchequer bond (*c*). It is to the securities issued in the latter instance that we have now to address ourselves; and these are usually in the form of bonds or scrip, entitling the holder to bonds on the performance of certain conditions (*d*). The frame of such instruments varies greatly in different cases, but most frequently their purport is that the sovereign or government of the State issuing the loan undertakes to pay to the holder for the time being, or to bearer, the amount specified on the face of the instrument. Whether a bond or scrip so issued be negotiable depends in the first place on the law of the foreign country issuing the loan, but, if there be no evidence upon that point, the question is determined by the general custom of the money-market in dealing with such instruments (*e*). Hence, bonds of a foreign government, payable to bearer, and by custom transferable by delivery, are negotiable instruments (*f*); so, scrip of a foreign government promising, after all instalments have been paid up thereon, to give bearer a bond for the amount, with interest, is by the custom of all European stock-markets a negotiable instrument, and therefore passes by mere delivery to a *bonâ fide* holder for value (*g*). If a foreign bond purport to be payable to bearer, yet by custom is never sold without an accompanying certificate, such bond is not negotiable *per se*, and if transferred without the certificate, is taken by the transferee, subject to the equities (*h*) attaching to it in the hands of the transferor (*i*). It would seem that even

(*c*) *Ante*, pp. 65, 68.

(*d*) *Ante*, p. 60.

(*e*) Smith *v.* Weguelin, L. R. 8 Eq. 212, 213; The King of Spain *v.* Machado, 4 Russ. 225.

(*f*). Gorgier *v.* Mieville, 3 B. & C. 45; Atty.-Gen. *v.* Bowens, 4 M. & W. 171; Heseltine *v.* Siggers, 18 L. J. Ex. 166; Jones *v.* Peppercorne, 28 L. J. Ch. 158.

(*g*) Goodwin *v.* Robarts, L. R. 1 App. Cas. 176.

(*h*) *Post*, chaps. xxvii., xxix.

(*i*) Laing *v.* Smyth, 7 Bing. 284.

a custom of recent origin to pass foreign securities by mere delivery is sufficient to establish their negotiability; whereas in the case of inland securities a custom to be effectual for that purpose is required by the law merchant to have extended over a considerable period of time (*k*). It has, however, been very recently held that scrip certificates of the following or similar form:—"This is to certify that the sum of £10 per share has been paid in respect of the above shares (being £5 per share) on account of capital, and £5 per share on account of premium, and that after the payment of the undermentioned further instalments to the London Joint-Stock Bank, Princes Street, London, the bearer hereof will be entitled to be registered as the holder of ten shares of £20 each in the Anglo-Egyptian Banking Company, Limited," such certificates bearing the several dates when the moneys were paid, and containing bankers' receipts in blank for instalments as they became due, and being, in fact, supposed negotiable, and being so treated by the financial world to which they had been issued from fifteen to thirty years by various companies, passed by mere delivery as negotiable instruments (*l*). But scrip certificates transferable to bearer do not pass shares in a company which are required by Act of Parliament to be transferred by deed, and alteration in the register (*m*).

An English court has no jurisdiction to enforce the contracts of a foreign government against the property of such government in England (*n*), nor to attach the proceeds of goods in the hands of the agents of a foreign government, which were intended to be applied in payment of bonds issued by such government in England (*o*). But one of our courts having a trust fund under its control, may well proceed to administer that fund, even although a foreign government might be interested in it, and

(*k*) Crouch *v.* Credit Foncier of England, L. R. 8 Q. B.

(*l*) Rumball *v.* Metropolitan Bank, L. R. 2 Q. B. D. 194.

(*m*) McEuen *v.* West London Wharves and Warehouses Co., L. R. 6, Ch. 655.

(*n*) Smith *v.* Weguelin, *ubi supra.*

(*o*) Twycross *v.* Dreyfus, *ubi supra*; Vavasseur *v.* Krupp, L. R. 9 Ch. D. 351.

might not be before the court or subject to its jurisdiction (*p*); so, whilst our courts do not entertain an action against a foreign government, on a contract entered into between such government and an English subject, yet a foreign State recognized by Her Majesty's government may sue in England in its own name as so recognized (*q*).

(*p*) Morgan *v.* Larivière, L. R. 7 H. L. 423.

(*q*) United States of America *v.* Wagner, L. R. 2 Ch. 582; Hullett *v.* King of Spain, 2 Bli. N. S. 31.

CHAPTER XIII.

LIFE POLICIES.

THE contract, commonly called life assurance, is a contract to pay a certain sum of money on the death of a person in consideration of the due payment of certain annual premiums during his life (*a*). The contract may, however, depend on any event contingent upon human life; thus, a certain sum may be agreed to be paid on a specified birth in consideration of certain annual payments. The contract itself is called a policy of insurance; the consideration or annual payment—the premium; the person who receives the premium and undertakes the liability of payment on the death or the event—the assurer or insurer; the person who pays the premium, and to whom or to whose representatives the assurers are to pay the amount of the policy, the assured or insured; and the contingency issued against —the risk. If the insurers be a company completely registered under the Company's Registration Act, 1844 (*b*), the policy must be by deed signed by two of the directors; but, if the company be registered under the Company's Act, 1862 (*c*), such signature is not required, and contracts with such companies may be by simple writing, or by deed, as they might be, were they between private persons only, and, if required to be signed, may be signed by any person acting under the express or implied authority of the Company. The formation of future, and the conduct, amalgamation, and winding-up of existing and

(*a*) Dalby *v.* India and London Life Assurance Co., 15 C. B. 365; 24 L. J. C. P. 2.

(*b*) 7 & 8 Vict. c. 110, ss. 44—46. Contracts are available against but not by the Company, though the prescribed formalities be omitted. Smith *v.* The Hull Glass Co., 8 C. B. 668; see also Xenos *v.* Wickham, L. R. 2 H. L. 296.

(*c*) 25 & 26 Vict. c. 89; 30 & 31 Vict. c. 131, s. 37.

future Insurance Companies are governed by the Life Assurance Companies' Acts, 1870—72 (*d*).

The following is a form of policy :—

This Policy of Assurance witnesseth that Whereas being interested in the life of , and being desirous of making an assurance thereon for , and having subscribed, or caused to be subscribed, and delivered into this office, a declaration as the basis of the said assurance, setting forth certain particulars and statements therein mentioned, and having paid to the Life Insurance Company the sum of as a consideration for the assurance of the sum undermentioned for one year, from the day of 18 .

Now know all men by these Presents, That in case the said shall die within the term of one year as above set forth, the stock and funds of the Company shall be liable to pay to the said executors, administrators, or assigns within three months after the demise of the said shall have been duly certified to the Company, the sum of . *And it is hereby further agreed*, that this policy may be continued in force from YEAR to YEAR until the expiration of the term first above-mentioned, provided the said assured shall duly pay, or cause to be paid, to the Company on or before the day of next ensuing, the sum of , and the like sum annually, on or before the day aforesaid, which annual payments shall be accepted, at every such period, as a full consideration of such assurance.

Provided also, That this policy shall not become void, in consequence of non-payment of the said premium, until the expiration of thirty days from the said day of , and in case the said life assured shall die within such thirty days in any year, the premium due shall be deducted from the principal sum to be paid by the Company.

Provided nevertheless, That should the life assured depart

(*d*) 33 & 34 Vict. c. 61 ; 34 & 35 Vict. c. 58 ; 35 & 36 Vict. c. 41.

beyond the limits of Europe, die upon the seas (except in passing, during peace, from any part of Europe to any other part of Europe), or engage in any military or naval service, then this policy shall be void, and the premiums already paid shall be retained by the company.

In Witness whereof we (three of the directors for the said Company), have hereunto set our hands, this day of 18 .

Entered (*e*).

The material parts of the above are:—

1. The description of the assured and the life assured.
2. The declaration upon which the contract is founded.
3. The time for which the assurance remains in force.
4. The renewal of the policy from year to year by annual premiums.
5. The avoidance of the policy by certain contingencies.
6. The subscription by the directors.

1st. By 14 Geo. III., c. 48, s. 2, the names of all persons interested in the policy must be inserted therein, otherwise the same will be unlawful. Accordingly a policy effected on the life of a married woman, and expressed to be made between her (described as a married woman) and the Company, but in reality as a security to a third party who had undertaken to indemnify her trustees (she being a minor) for an advance made by them to the husband, was held void as not containing the name of the husband, or other person interested (*f*). So, it is not enough that the name of the person interested appear in the policy, unless such person be described as so interested (*g*).

2nd. When a person applies to an Insurance Company for the purpose of effecting a life policy, he is furnished with a list of questions concerning the age, health, habits, and general circumstances of the life intended to be assured. These questions, and

(*e*) Pelican Life Insurance Company, established 1797.

(*f*) Evans *v.* Bignold, L. R. 4 Q. B. 622.

(*g*) Hodson *v.* Observer Life Assurance Co., 8 El. & Bl. 40.

the answers thereto by the assured, are called the proposal, such proposal, with any accompanying declaration, is incorporated with and forms the basis of the contract. As insurance is an agreement where *uberrima fides* or the utmost good faith is required, any erroneous statement on the part of the assured in the proposal, or during the negotiations will, in general, vitiate the policy. Thus, even an unintentional mistake will suffice to avoid the contract, as if it is said the life assured has never had some disease, when, in fact, the reverse is the truth, although the malady in question is of no material importance (*h*). If, however, the mis-statement be without fraud, and the risk has never attached, the premiums are recoverable (*i*). Upon this subject it is important to distinguish between a mere representation and a warranty. If from the form of the proposal, or otherwise, the assured makes a statement amounting to a warranty (and no statement can amount to a warranty unless expressly set out, or by reference incorporated in the policy), that statement must be literally true, or else the policy may be avoided (*k*). If, on the other hand, the statements of the assured are mere representations, it is sufficient that those statements are substantially though not literally true (*l*). In order to obviate the danger of the contract being set aside by reason of any erroneous statement, some companies issue indisputable policies, or policies which cannot be called in question on account of any unintentional mis-statement; such policies will, however, be defeated by proof of wilful misrepresentation or fraud (*m*)

3rd. The contract may be in force for any stipulated period, and, if the death of the person whose life is assured takes place within such period, the Company will be liable for the amount

(*h*) Smith *v.* Accident Insurance Co., L. R. 5 Ex. 302; Cazenove *v.* British Equitable Insurance Co., 29 L. J. C. P. 160; London Assurance *v.* Mansel, W. N. (1879) 37.

(*i*) *In re* Albert Assurance Co., Cook's Policy, L. R. 9 Eq. 703.

(*k*) Macdonald *v.* Law Union Insurance Co., L. R. 9 Q. B. 328.

(*l*) Wheelton *v.* Hardisty, 26 L. J. Q. B. 265; 29 *ib.* 241; Goram *v.* Sweeting, Wms. Saund. II. 557 n.

(*m*) Benham *v.* The United Guarantee and Life Assurance Co., 7 Ex. 744; Wheelton *v.* Hardisty, 8 El. & El. 232; Wood *v.* Dwarris, 11 Ex. 493.

under the policy (*n*), but not, according to the usual terms, until such death is duly certified (*o*). The important consequence of this latter condition is that the right of action against the company does not accrue from the death, but from due certification thereof, from which period therefore time under the Statute of Limitations begins to run.

4th. By punctual payment of the premium at the day appointed the insurance is annually renewed, so long as the life endures. In default of such payment there are generally thirty additional days, called days of grace, within which the premium is allowed to be paid, either with or without some fine, so as to save a forfeiture of the policy; and in some companies a renewal, or revival of the policy, will be granted even after the lapse of thirty days (*p*). Actual payment of the premium within the days of grace, or as otherwise specially provided, is absolutely necessary (*q*), so that if the life drop during the days of grace, and no payment of premium be made within that time, the policy becomes forfeited, unless there be a condition that the premium be set off against the sum assured (*r*).

5th. In most companies, by payment of a fine or higher premium, provision is made for allowing the person whose life is assured to go beyond Europe or to enter into military or naval service; and in some cases, where it is highly improbable such person will go out of Europe or enter into either of the services, "unchallengeable policies," or policies without the above restrictions, may be obtained. In addition to these restrictions, "own policies," (*s*) which have not been assigned, are also avoided by the felonious death of the assured, whether by his own hand or by the hands of Justice; nor does it matter whether or no the contract so provides (*t*). If, however, the policy be assigned, or if it be a nominee policy, then the felonious death of the life

(*n*) Lockyer *v.* Offley, 1 T. R. 260.

(*o*) Higgins *v.* Sargent, 2 B. & C. 348. As to presumption of death, see Prudential Assurance Co. *v.* Edmonds, L. R. 2 App. Cas. 487.

(*p*) Want *v.* Blunt, 12 East, 183.

(*q*) Acey *v.* Fernie, 7 M. & W. 151.

(*r*) Simpson *v.* The Accidental Death Assurance Co., 2 C. B. N. S. 257.

(*s*) *Infra.*

(*t*) Amicable Society *v.* Bolland, 4 Bli. N. S. 194.

assured will not vitiate the policy in the absence of a stipulation to that effect between the assurer and the assured (*u*); such assignment, however, must be voluntary, and not by mere operation of law as bankruptcy (*x*).

6th, As to the subscription of the directors see *supra*, p. 77.

Life policies are either "own policies" or "nominee policies." An own policy is an insurance effected by the assured on his own life, and as every one has an indefinite interest in his own life, the policy may be for any amount, and will be enforceable by the assignees of the assured, or, if not assigned, by his executors or administrators (*y*). A nominee policy is an insurance effected by the assured on the life of some third person, and for such policy to be valid the assured must have an insurable interest in the life assured (*z*), beyond the amount of which interest he cannot recover on the contract (*a*). By an insurable, is meant a pecuniary interest (*b*); thus, a creditor has an insurable interest in the life of his debtor (*b*); so, a trustee has an insurable interest in a life upon which the subject or part of the subject of the trust depends (*c*); so, a wife has an insurable interest in the life of her husband (*d*); on the other hand, a parent, as such, has not an insurable interest in the life of his child for his own benefit (*b*), nor has an expectant devisee, heir, or next of kin an insurable interest in the life of a testator ancestor, or relative (*e*). So, a husband has not an insurable interest in the life of his wife (*f*)—a rule somewhat at variance with the principle of the Common Law—that the wife's separate existence is merged in that of the husband, so that they form but one person in legal contemplation. By the Married Women's Property Act, 1870 (*g*), a married woman may effect a

(*u*) White *v.* British Empire Mutual Life Assurance Co., L. R. 7 Eq. 394.

(*x*) Stokoe *v.* Cowan, 30 L. J. Q. B. 882; Jackson *v.* Foster, 29 L. J. Q. B. 8.

(*y*) Wainwright *v.* Bland, 1 M. & R. 481.

(*z*) 14 Geo. III. c. 48, s. 1; extended to Ireland 29 & 30 Vict. c. 42.

(*a*) 14 Geo. III. c. 48, s. 3.

(*b*) Holford *v.* Kymer, 10 B. & C. 724.

(*c*) Tidswell *v.* Angerstein, Peake N. P. Cas. 151.

(*d*) Reed *v.* Royal Exchange Assurance Co., Peake, Add. Cas. 70.

(*e*) Cooke *v.* Field, 15 Q. B. 460.

(*f*) Lucena *v.* Crawford, 2 Bos. & P. 324.

(*g*) 33 & 34 Vict. c. 93, s. 10.

policy on her own life, or on that of her husband for her separate use, and a policy so effected, and purporting to have been so effected, shall enure as if made with an unmarried woman. By the same statute a married man may effect a policy on his own life for benefit of his wife or children or any of them; and a policy so effected, and purporting to have been so effected, shall enure as a trust for the benefit of his wife for her separate use, or for his wife and children or any of them, according to the intention expressed, and shall, so long as any object of the trust continues, be exempt from the control of the husband or his creditors, and shall not form part of his estate. A policy issued after the passing of the Act, in exchange for a policy issued before the passing of the Act, is within this clause (*h*). A trustee of such policy may be appointed by the Chancery Division of the High Court of Justice or by the County Court judge of the district in which the insurance office is situate, and the receipt of such trustee shall be a good discharge to the company; but proof that the policy was effected and the premiums paid by the husband to defraud his creditors shall entitle the latter to receive out of the sum secured an amount equal to the premium so paid (*i*). Where a deceased had effected a policy on his own life for the benefit of his wife and children, without declaring the interests they should take, the Court appointed trustees to hold the policy-monies on the trusts of a strict settlement (*k*).

The insurable interest must exist at the time the policy is effected, but it need not continue afterwards; thus a policy effected by a creditor on the life of his debtor is not cancelled by subsequent payment of the debt (*l*). Hence, life insurance differs from marine and fire insurance in not being a contract of mere indemnity, so that the insurers on a life policy are liable to pay the amount of the policy, although the insured receives full compensation for the risk from other sources.

(*h*) Holt *v.* Everall, L. R. 2 Ch. D. 266.

(*i*) 33 & 34 Vict. c. 93, s. 10.

(*k*) *In re* Mollar's Policy Trusts, L. R. 6 Ch. D. 127.

(*l*) Dalby *v.* India and London Life Assurance Co., 15 C. B. 365; 24 L. J. C. P. 2.

In the interesting case of a policy effected by his creditors on the life of Mr. Pitt, the statesman, Lord Ellenborough held that the insurers were not liable thereon, as the debts were discharged out of public money by a vote of Parliament; thus ruling that the contract was one of pure indemnity (*m*). This decision, however, has been long overruled, and the law is now beyond dispute, that in such case the insurers are liable (*n*)—their liability being limited by the amount of the insurable interest at the time the contract is entered into, so that in no case can the assured recover a greater amount (*o*), and if he effects several policies on the same life he can still only recover the value of his interest in that life (*p*); thus, where A. and B. entered into a joint bond for £300, and A. effected a policy on B.'s life for the same amount, it was held that the policy was only valid for half the sum secured by the bond, since that was the full interest of A. in B.'s life (*q*). The absence of an insurable interest avoids a policy only as against the insurers, so that if they waive the objection the instrument is valid; thus, where an insurance company paid the moneys secured by a policy effected by a father on his son's life, in which he had no insurable interest, in the name of the son, but really for his own benefit, it was held that the father having taken out administration was to be preferred to the son's estate (*r*).

Life policies may be divided into—1. Ordinary policies, or policies under which a given sum is payable to the assured either absolutely, on the lapse of the life assured, such as we have considered, or conditionally, provided that lapse occur within a given time. 2. Endowment policies, or policies under which a given sum is payable on the attainment of a specified age by the life assured, or on the lapse of such life in case the specified age be not attained. 3. Issue policies, or policies under which a given sum is payable on the birth or absence of

(*m*) Godsall *v.* Boldero, 9 East, 72.

(*n*) Dalby *v.* The India and London Life Assurance Co., 15 C. B. 365.

(*o*) 14 Geo. III. c. 48, s. 3.

(*p*) Hebden *v.* West, 32 L. J. Q. B. 85.

(*q*) Branford *v.* Saunders, 25 W. R. 650.

(*r*) Worthington *v.* Curtis, L. R. 1 Ch. D. 419.

issue. Under such an instrument a person having a reversionary interest defeasible by the birth or absence of issue may secure himself against such contingency. 4. Survivorship policies, or policies under which a given sum is payable on the decease of one person provided another be then living. 5. Annuity policies, or policies under which a given annual sum is payable to the survivor of two persons during the remainder of his life.

Another division of policies is into (1) participating and (2) non-participating policies, according as it is agreed the assured shall or shall not respectively share in a certain portion of the profits of the company. A share so agreed to be allotted is termed a bonus, and it is commonly stipulated such bonus shall either be added to the sum on the policy or be payable in cash, or be applied in reduction of premium, at the option of the assured. A bonus follows the interest in the policy, so that the person entitled to the latter will also be entitled to the former (*s*). On the declaration of a bonus the assured acquires a definite right thereto (*t*), and an apportionment thereof will be enforced from an ascertained surplus (*u*). The holder of a participating policy does not become a partner in the company by the mere receipt of bonuses or participation in profits (*x*).

Policies of assurance were not assignable at law until the year 1867. Before that time the assignee of a life policy could not sue thereon in his own name, except in a Court of Equity. By the Policies of Assurance Act, 1867, any person having at the time of action brought, by assignment or other derivative title, the right in equity to receive and give an effectual discharge to the company liable for the moneys secured by the policy, may sue thereon at law, provided a written notice of the date and purport of the assignment has been previously given

(*s*) Gilly *v.* Burley, 22 Beav. 619; Roberts *v.* Edwards, 9 Jur. N. S. 1219.

(*t*) Carlisle *v.* The Southampton Rly. Co., 1 Mc. N. & G. 689.

(*u*) *In re* The London and Westminster Mutual Life Assurance Co., 14 Jur. 929; Macdonald *v.* Irvine, L. R. 8 Ch. D. 101.

(*x*) *Re* English and Irish Church and University Insurance Society, 1 Hem. & M. 85; Cox *v.* Hickman, 8 H. L. Cas. 268.

to the assurance company liable thereunder, at their principal place of business (*y*). The date of the receipt of such notice is to regulate the priority of all claims under the assignment, and any *bonâ fide* payment made in respect of the policy before such receipt is to be valid against the assignee giving notice (*z*). The principal place of business, where notices of assignment may be given, is to be specified in the policy (*a*). On the written request of the person, or of his executors or administrators, giving such notice, and on payment of a fee not exceeding 5s. an insurance company is to deliver an acknowledgment in writing under the hand of one of their principal officers, of the receipt of such notice; and such acknowledgment, if signed by a person being *de jure* or *de facto* such officer, shall be conclusive evidence against the company of the receipt of such notice (*b*).

It is to be observed that the above is not a mere enabling statute; it is also disabling. For, whilst an assignee is empowered to sue at law in his own name on certain conditions, he is prohibited from suing elsewhere on any other conditions. The words of the statute are—"no assignment to be made after the passing of this Act of a policy of life assurance shall confer on the assignee therein named any right to sue for the amount of such policy, or the money thereby secured, until a written notice," &c. (*c*). Hence a policy of life insurance can no longer, like other choses in action, be the subject of an equitable assignment, so as to give the assignee the right to sue on verbal notice before an equitable tribunal, and for the statutory transfer the assignment must be absolute (*d*). Accordingly, where S., on effecting certain policies on his own life, expressly informed the insurance company by letter that the same were to be given to his creditor C. as security for a debt, and then inclosed the policies to C. in a letter requesting him to have an assignment prepared by his solicitor, it was held that, on the death of S.

(*y*) 30 & 31 Vict. c. 144, ss. 1, 3.
(*z*) *Ibid.*, s. 3.
(*a*) *Ibid.*, s. 4.
(*b*) *Ibid.*, s. 6.
(*c*) *Ibid.*, s. 3.

(*d*) *Post*, p. 309; *In re* Foster, I. R. 7 Eq. 294. For what was sufficient notice of an assignment before the statute, see Alletson *v.* Chichester, L. R. 10 C. P. 319.

before any assignment was prepared, the company were justified in refusing to pay the policy moneys to C. in the absence of S.'s personal representatives, although a receipt in the terms of section 6 had been given by the company acknowledging notice from C.'s solicitor of the death of S. (*e*).

No particular form is required for the assignment of a policy. So long as the provisions of the 30 & 31 Vict. are complied with, the right of the assignee will avail, whether the assignment be or be not in writing, and whether, if in writing, that writing be or be not under seal. For a mere assignment without any collateral covenant no more simple form can be devised than that furnished in the schedule to the above Act (*f*), which may be either indorsed on the policy or contained in a separate instrument (*g*), duly stamped. Where, besides the assignment, there is a concurrent agreement, it may be convenient to include the whole transaction in a single instrument, and, speaking generally, assignments are usually made by deed. Sometimes the benefit of a policy is transferred by surrender and re-grant; that is, a new policy is issued on similar terms to the transferee, on delivery up of the original contract. The advantage of such a mode of transfer is perhaps counterbalanced by the danger of its being an act *ultra vires* (*h*).

The conditions upon which insurance companies make advances on their own policies vary in different institutions. As a rule, no advance will be made in the absence of approved collateral securities until the premiums have been paid for some three or four years, and the policy has thus acquired appreciable value. In some cases, however, an advance is immediately made on the borrower insuring his life for double the amount in the office advancing, and on entering into a bond, with two sureties, for due payment of the loan. The policy is either assigned to or deposited with the company; in the former case

(*e*) Crossley *v.* City of Glasgow Life Assurance Co., L. R. 4 Ch. D. 421; Spencer *v.* Clarke, L. R. 9 Ch. D. 137.

(*f*) "I, A. B., of, &c., in consideration of, &c., do hereby assign unto C. D., of, &c., his executors, administrators, and assigns, the [within] Policy of Assurance, granted, &c. [here describe the policy]. In witness, &c."

(*g*) *Ibid.*, s. 5.

(*h*) Windus *v.* Lord Tredegar, 15 L. T. N. S. 108 H. L. See *post*, pp. 268, 269, 274.

there will be a legal, in the latter, an equitable mortgage of the policy (*i*).

A policy of insurance being a chose in action, the priorities of successive assignees or mortgagees will depend on the priority not of their several assignments or mortgages, but of the notices thereof given to the insurance company. Under this rule, many difficult questions formerly arose under the order and disposition clause in the Bankruptcy Acts as to priority between the general assignee in bankruptcy and a particular assignee (*k*). For the future, however, no such questions can be raised in England, as it is held that a policy of insurance is a chose in action which does not pass to the trustee in bankruptcy under section 15 of the Act of 1869 (*l*).

Priority of notice by a subsequent equitable mortgagee does not give priority of title over a prior equitable mortgagee having an actual deposit of the policy (*m*). The relation between an insurance company and the assignee of one of its policies is that of debtor and creditor, not that of trustee and *cestui que* trust; hence, a company cannot exonerate itself as against such assignee by payment into Court of the policy monies under the Trustee Relief Act, unless the monies be subject to a trust, or there have been a statutory assignment under the Judicature Act (*n*). An assignee, however, by petitioning under the Trustee Relief Act, gives the Court jurisdiction to allow the company their costs as between solicitor and client, but no allowance will be made for their charges or expenses (*o*).

(*i*) *Post*, p. 109.

(*k*) *Post*, pp. 308, 309.

(*l*) *Ex parte* Ibbotson; *in re* Moore, L. R. 8 Ch. D. 519.

(*m*) Spencer *v.* Clarke, L. R. 9 Ch. D. 137.

(*n*) Matthew *v.* Northern Assurance Co., L. R. 9 Ch. D. 80; *post*, pp. 315—326.

(*o*) *In re* Haycock's Policy, L. R. 1 Ch. D. 611; *In re* Sutton's Trusts, W. N. (1879), p. 45; *post*, p. 326.

CHAPTER XIV.

JUDGMENT SECURITIES.

THE securities of which we have hitherto treated form either simple or special contracts; the usual mode of enforcing them is by action in the High Court of Justice (*a*). By the judgment given in such an action, the security sued upon becomes extinguished or merged—*transit in rem judicatam*—from that moment the litigants become parties to a contract of record, the highest of all contracts known to the English law; by which contract alone their future relations must be determined (*b*). A judgment, then, stands above all other contracts in point of solemnity, and also in point of efficacy, since it may be immediately put into effect by execution; hence, the propriety of employing judgments for the purpose of securities. There are three modes in which this object may be attained, viz.:—(1) by a warrant of attorney; (2) by a *cognovit actionem*; (3) by a Judge's order; the chief difference between them being that, the two latter are given in the course of an action already commenced, whilst the former may be given independently of any action. By each of the above methods judgments may be had without going through the regular course of an action, and such judgment will, with certain modifications, possess the attributes previously enumerated as appertaining to a deed (*c*). Thus, the doctrines of merger, estoppel, and implication of consideration, apply to judgments in the same manner as to specialities, except that the parties to a judgment are generally precluded from inquiring into any illegality or fraud in the transaction which formed its

(*a*) See *post*, chap. xxxiv.

(*b*) Higgins's Case, 6 Rep. 44 C.; King *v.* Hoare, 13 M. & W. 494; Todd *v.* Stewart, 9 Q. B. 759; Kendall *v.* Hamilton, L. R. 3 C. P. D. 403.

(*c*) *Ante*, pp. 60, 61.

foundation (*d*). So, a judgment can only be discharged by being duly satisfied, or by being set aside by the Court in which it was obtained, or by becoming barred by lapse of time (*e*). A judgment remains in force for twelve years (*f*), and as between the original parties thereto, execution may issue at any time within six years from the recovery of the judgment; where such six years have elapsed, or any change has taken place by death or otherwise, in the parties entitled or liable to execution, the party alleging himself to be entitled to execution may obtain an order from the Court or a Judge to issue execution accordingly, or that any issue or question necessary to determine the rights of the parties shall be tried in any of the ways in which any question in an action may be tried (*g*). If the effect of such an order be equivalent to that of a revivor by *scire facias*, a new right to proceed within twelve years will be thereby given (*h*). In the administration of a deceased person's estate, judgment debts had priority over speciality or simple contract debts, for the 32 & 33 Vict. c. 46 only put the two latter classes of debts on an equality (*i*); the above priority, however, did not obtain where the assets were merely equitable, for there the maxim, *æquitas sequitur legem*, had no application, and the principle of equal distribution was consequently thorough-going. A creditor of a deceased person who recovered judgment for the debt against his representatives, obtained the priority of a judgment creditor in the administration, and judgment creditors ranked *inter se*, according to the order of time in which their judgments were entered up (*k*). Judgment creditors have no priority in bankruptcy, until execution is issued and realised as hereafter

(*d*) *In re* European Central Rly. Co.; *Ex parte* Oriental Financial Corporation, L. R. 4 Ch. D. 33.

(*e*) Flower *v.* Lloyd, L. R. 6 Ch. D; Girdlestone *v.* Brighton Aquarium Co., L. R. 3 Ex. D. 137; W. N. (1879), 67. 297, 10 Ch. D. 327; Moore *v.* Bowmaker, 7 T. R. 97.

(*f*) 3 & 4 W. IV., c. 27, s. 40; 37 & 38 Vict. c. 57, s. 8. *Quære*, if six years be not a bar, unless land be delivered in execution under 27 & 28 Vict. c. 112.

(*g*) 38 & 39 Vict. c. 77, sch. O. xlii. rr. 18, 19.

(*h*) Farran *v.* Beresford, 10 Cl. & Fin. 319; Farrell *v.* Gleeson, 11 Cl. & Fin. 702.

(*i*) Norris *v.* Sadleir, I. R. 8 Eq. 160, 519; Hanley *v.* M'Dermott, I. R. 9 Eq. 35.

(*k*) *In re* Williams, L. R. 15 Eq. 398.

stated; and the same rule now obtains in the administration of the assets of any person dying insolvent after 1st November, 1875 (*l*). In times past one of the greatest advantages of a judgment was that it gave a lien on the judgment debtor's lands, but now no judgment entered up after 29th July, 1864 (*m*), shall affect any land, until such land shall have been actually delivered in execution, by virtue of a writ of *Elegit*, or other lawful authority in pursuance of such judgment (*n*); and every writ or other process of execution of any judgment by virtue whereof any land shall have been actually delivered in execution, shall be registered in the name of the judgment debtor in a book to be kept for the purpose by the Senior Master of the Common Pleas Division of the High Court of Justice (*o*); and every judgment creditor, to whom any land of his debtor shall have been actually delivered in execution, by virtue of any such judgment, and whose writ or other process of execution shall have been duly registered, shall be entitled forthwith, or at any time afterwards, while the registry of such writ or other process shall continue in force, to obtain from the Chancery Division, upon petition in a summary way, an order for the sale of his debtor's interest in such land; the proceedings upon such order for sale are the same as those adopted by the Court on the sales of the real estates of deceased persons for payment of their debts (*p*). All incumbrancers on the land are enabled to have the benefit of the sale, the proceeds of which are to be distributed according to the priority of the several charges (*q*); and all persons claiming any interest in the land through or under the debtor by any means subsequent to the delivery of such land as aforesaid, shall be bound by every such order of sale, and by all the proceedings

(*l*) *Post*, pp. 396, 397; s. 10, 38 & 39 Vict. c. 77; *In re* Hastings; Shirreff *v.* Hastings, L. R. 6 Ch. D. 610; *In re* Knott, L. R. 7 Ch. D. 549 n.

(*m*) 27 & 28 Vict. c. 112; the Act does not extend to Ireland. S. 7.

(*n*) *Ibid*, s. 1; Rorke *v.* Sherlock, Ir. R. 11 Eq. 510.

(*o*) *Ibid*, s. 3; s. 3, 23 & 24 Vict. c. 38.

(*p*) S. 4, 27 & 28 Vict. c. 112; Semble that Rly. Co.'s interest in its railway is not saleable, under s. 4, but there may be exceptions as to surplus land. *In re* Calne Rly. Co., L. R. 9 Eq. 658; *In re* Bishop's Waltham Rly. Co., L. R. 2 Ch. 382.

(*q*) *Ibid.*, s. 6.

consequent thereon (*r*). The effect of the foregoing enactments is, that judgments can only charge at law such lands or interests therein as are capable of being delivered in actual execution, and cannot create a charge thereon till such lands are actually delivered in execution (*s*); therefore, estates and interests, such as an equity of redemption (*t*), or an equitable leasehold interest (*u*), or an estate in remainder (*x*) which cannot be delivered in execution, are incapable at law of being charged by judgments; but lands are held to be delivered in execution when sequestrators are in receipt of the rents and profits (*y*), or when a writ of execution is returned by the sheriff, and generally, the order of the court (*e. g.*, by writ of assistance, or sequestration, or appointment of receiver) effects as to equitable interests what the action of the sheriff does as to legal estates (*z*). Equitable interests such as an equity of redemption are within s. 1, 27 & 28 Vict. c. 112; and, where a judgment creditor is unable to obtain a delivery-in execution by elegit on account of the legal estate being outstanding, he should apply to the Chancery Division to remove the impediment, and the order of the Court will be a "delivery in execution" (*a*). The priority of judgment creditors is, according to the order of time in which their writs of execution are put into the hands of the sheriff, not according to the dates of the judgments (*b*). Although judgments are now no longer a charge on the debtor's land until the same is delivered in execution, yet a judgment creditor may claim to redeem and foreclose when the writ of execution cannot be enforced by reason of the legal estate being outstanding in a prior incumbrancer (*c*); but, on the other hand, a judgment creditor who has issued no writ or other process, nor

(*r*) S. 6, 27 & 28 Vict. c. 112.

(*s*) Thornton *v.* Finch, 4 Giff. 515; 34 L. J. Ch. 466.

(*t*) Thomas *v.* Cross, 2 Dr. & Sm. 413.

(*u*) *In re* Duke of Newcastle, L. R. 8 Eq. 700; Moher *v.* O'Grady, 4 L. R. Ir. 54.

(*x*) 1 & 2 Vict. c. 110, s. 11; *In re* South, L. R. 9 Ch. 369; Neat *v.* Duke of Marlborough, 3 My. & Cr. 407.

(*y*) *In re* Rush, L. R. 10 Eq. 442; but see Johnson *v.* Burgess, L. R. 15 Eq. 398.

(*z*) Hatton *v.* Haywood, L. R. 9 Ch. 229.

(*a*) Anglo-Italian Bank *v.* Davies, L. R. 9 Ch. D. 275.

(*b*) Guest *v.* Cowbridge Rly. Co., L. R. 6 Eq. 619.

(*c*) Beckett *v.* Buckley, L. R. 17 Eq. 435; Jefferys *v.* Dickson, L. R. 1 Ch. 183.

taken any step to enforce his judgment, need not be made a party to a foreclosure suit instituted by a mortgagee or other incumbrancer of or on the judgment debtor's lands (*d*). At the same time a judgment creditor may obtain a garnishee order binding the debts due or accruing to his judgment debtor (*e*), or a charging order upon his stock or shares in public companies (*f*), and by that means acquire a specific lien on such debts or shares, but in all such cases the judgment creditor can obtain no higher rights than those held by the judgment debtor (*g*), and, therefore, a prior judgment creditor is postponed to an equitable mortgagee of stock, though no notice had been given of the mortgage, when the same was effected before the charging order was made (*h*). Having sued out an elegit, which cannot be executed because the legal estate is outstanding, a judgment creditor may obtain a decree for a receiver and sale, to which the judgment debtor and subsequent incumbrancers only are parties, without redeeming prior incumbrancers (*i*). In being deprived of their power to bind land until delivered in execution, judgments have no doubt lost their most valuable recommendation as securities; still have they these advantages: they admit of speedy realisation (*k*); they bind all parties, even infants and other persons under disability, until duly set aside (*l*); they enable the party entitled to their benefit to obtain a garnishee or charging order (*m*); hence, judgment securities may sometimes, as the law at present stands, be usefully employed.

We may now proceed to deal with each kind in detail, beginning with—

(*d*) Earl of Cork *v.* Russell, L. R. 13 Eq. 210; Mildred *v.* Austin, L. R. 8 Eq. 220—disapproved.

(*e*) 37 & 38 Vict. c. 83, 1 Sch. O. xlv; Stevens *v.* Philips, L. R. 10 Ch. 417; Hall *v.* Pritchett, L. R. 3 Q. B. D. 215; Dolphin *v.* Layton, L. R. 4 C. P. D. 130; Patterson *v.* Doyle, 4 L. R. Ir. 33.

(*f*) 37 & 38 Vict. c. 83; 1 Sch. O. xlvi; 1 & 2 Vict. c. 110, ss. 14, 15; 3 & 4 Vict. c. 82, s. 1; Bagnall *v.* Carlton, L. R. 6 Ch. D. 130; Burns *v.* Irving, L. R. 3 Ch. D. 291; Gill *v.* Continental Gas Co., L. R. 7 Ex. 332; Craig *v.* Taylor, L. R. 2 Ex. 131; Hopewell *v.* Barnes, L. R. 1 Ch. D. 630; Finney *v.* Hinde, L. R. 4 Q. B. D. 102.

(*g*) *In re* Onslow's Trusts, L. R. 20 Eq. 677.

(*h*) Scott *v.* Lord Hastings, 4 K & J. 633.

(*i*) Wells *v.* Kelpin, L. R. 18 Eq. 298.

(*k*) Smith *v.* Smith, L. R. 9 Ex. 12.

(*l*) Henry *v.* Archibald, Ir. R. 5 Eq. 559.

(*m*) 37 & 38 Vict. c. 83, 1 Sch. O. xlv, xlvi.

SECTION I.

Warrants of Attorney.

A warrant of attorney is a written authority, addressed to one or more solicitors named by a third party, empowering such solicitor or solicitors to appear and receive a statement in an action brought or to be brought by such third party against the person giving authority, and to confess the same or suffer judgment by default. A warrant of attorney may be executed as a security for the performance of any agreement between the parties; but it does not extinguish an original debt, or affect the right to sue thereon until judgment has been signed, for until this is done it is merely a collateral security (*n*). It is usual to make the warrant subject to be defeated on the performance of certain conditions, and when this is the case they are set forth in an agreement, hence called the defeasance. The defeasance is not a contract but merely a description of the object of the security and of the means of enforcing payment. A warrant of attorney, dated 2nd May, 1864, with following defeasance:—"The within written warrant of attorney is given for securing the payment of the sum of £1,330, with interest thereon, at and after the rate of £5 per cent. per month, on the second day of June next. Judgment to be entered up forthwith, and in case of default of payment of said sum of £1,330 and interest thereon, on the day aforesaid, execution or executions, and other processes may then issue for said sum of £1,330 and interest together with costs of entering up judgment and all other incidental expenses whatever," was held to be only an authority to enter up judgment for these various sums to be ascertained on 2nd June, 1864, after which time the holder of the security would merely stand as a creditor for the sums so ascertained, and the statutable rate of interest thereon that might be allowed him by the jury or by the court (*o*). A warrant of attorney need not be

(*n*) Cuthbert *v.* Dobbin, 1 C. B. 278; Davison *v.* Overend, 6 C. P. 222, *post*, chap. xxxi.

(*o*) Cook *v.* Fowler, L. R. 7 H. L. 27. *Post*, p. 422, 423.

under seal, unless it authorise a release of errors (*p*); both itself and the defeasance (if any), must be signed by the party who gives it, or by some other person in his presence for him, and, if under seal, the party must also make due delivery (*q*). By 32 & 33 Vict. c. 62, s. 24 (*r*), a warrant of attorney to confess judgment in any personal action or *cognovit actionem*, given by any person, shall not be of any force, unless there is present some solicitor of the Supreme Court on behalf of such person expressly named by him, and attending at his request, to inform him of the nature and effect of such warrant or cognovit before the same is executed, which solicitor shall subscribe his name as a witness to the due execution thereof, and thereby declare himself to be solicitor for the person executing the same and state that he subscribes as such solicitor (*s*). By s. 25 a warrant of attorney to confess judgment, or *cognovit actionem* not executed in manner aforesaid, shall not be rendered valid by proof that the person executing the same did, in fact, understand the nature and effect thereof, or was fully informed of the same (*t*). By s. 26, where in an action a warrant of attorney to confess judgment, or a *cognovit actionem* is given, and the same or a true copy thereof is not filed with the officer acting as clerk of the docquets and judgments in the Court of Queen's Bench within twenty-one days next after the execution thereof, as required by 3 Geo. IV. c. 39, for preventing frauds upon creditors by secret warrants of attorney to confess judgment, the same shall be deemed fraudulent, and shall be void; and if any such warrant of attorney, or *cognovit actionem*, so filed, was given subject to any defeasance or condition, such defeasance or condition shall be written on the same paper or parchment with the warrant or cognovit before the filing thereof, otherwise the warrant or cognovit shall be void. In entering up judgment, the authority given by the

(*p*) Kinnersley *v.* Mussen, 5 Taunt. 264; Brutton *v.* Burton, 1 Chit. 707; Solomon *v.* Graham, 5 El. & Bl. 309.

(*q*) *Ante*, p. 60.

(*r*) The Debtors Act, 1869; the Irish Act is 35 & 36 Vict. c. 57. See also James *v.* Magennis, I. R. 5 C. L. 253; 3 C. L 100.

(*s*) 36 & 37 Vict. c. 66, s. 87; Lucey *v.* Murphy, I. R. 7 C. L. 494.

(*t*) Walsh *v.* Nally, I. R. 11 C. L. 337.

warrant should be strictly pursued. Judgment may be entered up at the time allowed by the warrant within a year and a day next after the date of the warrant, as of course. After that time, or if there be a change in the parties, the leave of a judge must be obtained (*u*), unless the warrant or defeasance, in express terms, dispense with the necessity for such leave (*x*). Leave to enter up judgment on a warrant of attorney, above one and under ten years old, is granted by a judge's order, made *ex parte*; but, if ten years old, or more, upon a summons to show cause (*y*); the application is made to a judge at chambers, and founded on an affidavit stating (*z*) 1, the execution of the warrant; 2, the consideration therefor, and the amount remaining due to the plaintiff; 3, that the defendant is alive. The execution should be deposed to by the attesting witness; the plaintiff himself should swear to the consideration and sum remaining due, and if he does not so swear, the affidavit must show the reason why not (*a*); the fact that the defendant is alive is proved by the deponent's oath that he saw him alive, or that he was alive within a reasonable time before the application was made, and that deponent believes he is still alive (*b*). By Reg. Gen. 1853, H. T. r. 25, no judgment shall be signed on any cognovit, or warrant of attorney, without such cognovit or warrant being delivered to and filed by the master, who is hereby ordered to file the same in the order in which it is received. Judgment is signed in the division of the High Court pointed out by the warrant, and must be entered up in the names of the parties for and against whom the warrant gives authority (*c*). As soon as judgment is signed, the plaintiff may sue out execution as in ordinary cases, unless prevented from so doing by the terms of the defeasance. The defeasance generally dispenses with the necessity of reviving a judgment where more than six years have elapsed since it was signed. The writ of execution must not

(*u*) II. Ch. Pr. 12th ed. 965.
(*x*) Sherran *v.* Marshall, 13 L. J. Q. B. 66.
(*y*) Reg. Gen. H. T. 1853, r. 26; Sherburne *v.* Lord Huntingtower, 11 W. R. 145.
(*z*) Handley *v.* Roberts, 17 Jur. 440.
(*a*) Barton *v.* Turner, 8 D. P. C. 122.
(*b*) Jordan *v.* Farr, 4 N. & M. 347.
(*c*) Doe *v.* Stewart, 1 D. Q. B. N. S. 813.

be indorsed to levy a greater amount than that authorised by the warrant and defeasance. If there has been a change of the parties to a judgment, the same course to make fresh parties must be taken as in ordinary cases (*d*). By 3 Geo. IV. c. 39, s. 8, it shall be lawful for any of the judges of the Court in which a warrant of attorney or *cognovit actionem* is given to order a memorandum of satisfaction to be written upon such warrant or cognovit, or a copy thereof, respectively, as aforesaid, if it shall appear to him that the debt for which such warrant or cognovit was given as a security shall have been satisfied or discharged. A warrant of attorney, and judgment thereon, may be set aside for fraud, or for non-compliance with 32 & 33 Vict., on application of the defendant (*e*).

Section II.

Cognovit Actionem.

A *cognovit actionem* is a defendant's written confession of an action brought against him, usually given upon condition that he shall be allowed a certain time for the payment of the debt or damages, the amount of such debt or damages being, in general, first ascertained and agreed upon. It is supposed to be given in Court, and it impliedly authorises the plaintiff's solicitor to do everything necessary to obtain judgment. It may be given at any time after process sued out; if given after the statement of a defence it usually contains an agreement to withdraw such defence, in which case it is called *a cognovit actionem relicta verificatione* (*f*). It also generally contains an agreement that the defendant will not take any proceedings to delay judgment or execution—a stipulation which can be enforced against the defendant but not against his personal representatives (*g*). No prescribed form of cognovit is in general requi-

(*d*) Brown *v.* Barton, 5 D. & L. 289; Wentworth *v.* Bullen, 9 B. & C. 840, II. Ch. Pr. 12th ed. 973; 38 & 39 Vict. c. 77, 1 Sch. O. xlii. r. 19.

(*e*) Adlam *v.* Noble, 9 D. P. C. 322.

(*f*) II. Ch. Pr. 12th ed. 942.

(*g*) Sherran *v.* Marshall, 13 L. J. Q. B. 66.

site; the terms, however, upon which it is given ought expressly to appear (*h*). If the action be against two or more defendants the cognovit should be signed by all to warrant a judgment against them, and, where one of several parties signs after the others, his signing relates back to the time of their signing (*i*). The requisites for the due attestation and filing of a cognovit, and for entry of satisfaction of the judgment thereon have been already described (*k*). If the cognovit be made unconditionally, the plaintiff may sign judgment and sue out execution when he pleases (*l*), even after a year has elapsed from the giving of the cognovit or the taking of any step under it (*m*). But judgment cannot be signed or execution sued out contrary to the terms of the cognovit (*n*). If the defendant has not appeared, an appearance must be entered for him before judgment can be signed, but no statement of claim need be delivered or filed, unless delivered before the cognovit was given. If by the terms of the cognovit the costs are to be taxed, they must be taxed accordingly before judgment can be signed, unless the plaintiff chooses to waive his right to them, in which case express notice should be given to the defendant before signing judgment for the debt (*o*).

SECTION III.

Judge's Order.

In an action for debt, a judge's order—with consent of both parties—may be obtained for stay of proceedings, with a condition that final judgment shall be signed, and execution issued in the event of the debt and costs not being paid within a certain time. By Reg. Gen. Hil. Ter. 1853, r. 155, all written consents

(*h*) II. Chitt. Pr. 12th ed. 943.
(*i*) Perry *v.* Turner, 1 D. P. C. 300.
(*k*) *Ante*, pp. 95—97.
(*l*) Calvert *v.* Tomlin, 5 Bing. 1.
(*m*) Thompson *v.* Langridge, 1 Ex. 35.
(*n*) Halton *v.* Young, 2 W. Bl. 543.
(*o*) II. Ch. Pr. 12th ed. 945.

upon which orders for signing judgments are obtained, shall be preserved in the chambers of the judges of the respective courts. By r. 156, in actions where the defendant has appeared by solicitor, no such order shall be made unless the consent of the defendant be given by his solicitor or agent (*p*). By r. 157, where the defendant has not appeared or has appeared in person, no such order shall be made, unless the defendant attends the judge, and gives his consent in person, or unless his written consent be attested by a solicitor acting on his behalf, except in a case where the defendant is a barrister, conveyancer, special pleader, or solicitor. By 32 & 33 Vict. c. 62, s. 27, where a judge's order, made by consent, is given by a defendant in a personal action, whereby the plaintiff is authorised forthwith, or at any future time, to sign or enter up judgment, or to issue or to take out execution, whether such order is made subject to any defeasance or condition or not, then, if the action is in the Queen's Bench Division, the order, and if the action is in any other division of the High Court, a true copy of the order, shall, together with an affidavit of the time of such consent being given, and a description of the residence and occupation of the defendant be filed, with the officer acting as clerk of the docquets, and judgments in the Queen's Bench Division within twenty-one days after the making of the order, otherwise the order, and any judgment signed or entered up thereon, and any execution issued or taken out on such judgment shall be void.

By s. 28, the provisions of the 3 Geo. IV. c. 39, and 6 and 7 Vict. c. 66, for liberty to file a warrant of attorney or *cognovit actionem*, or a copy thereof, with the clerk of the docquets and judgments, and for that clerk to make certain entries and searches in relation thereto, and for entering satisfaction thereon, and for fees for search and filing and taking office copies, shall extend to and be applicable to every such judge's order.

(*p*) As to the jurisdiction of judges of different Divisions of the High Court, see 1 & 2 Vict. c. 145; 36 & 37 Vict. c. 66, s. 87; Hillman *v.* Mayhew, L. R. 1 Ex. D. 132.

If the debt and costs be not paid according to the terms of the order, judgment may be signed. If not agreed upon, the costs must be taxed in the usual manner as on a cognovit. For the purpose of enforcing a judge's order, it is no longer necessary that judgment thereon should first be signed, as execution may now issue directly on a judge's order in the same manner as on a judgment (*q*). It has been held, however, that an order obtained by a defendant dismissing an action with costs for want of prosecution is not equivalent to a judgment, so as to be within the provisions as to attachment of debts (*r*). Whether an action will lie upon a judge's order, depends upon the nature of the agreement evidenced by the terms of the order; the agreement may or may not limit the plaintiff to a particular remedy (*s*); "the contract of the parties is not the less a contract and subject to the incidents of a contract because there is superadded the command of a judge" (*t*). No appeal lies from a judge's order made by consent of the parties, except by leave of the judge making the order (*u*). The order may in most cases be made at chambers by a Master of the Queen's Bench, Common Pleas, or Exchequer Divisions, or by a registrar of the Probate, Divorce, and Admiralty Division (*x*).

(*q*) 38 & 39 Vict. c. 77; O. xlii, r. 20.

(*r*) Cremetti *v.* Crom, 27 W. R. 411; W. N. (1879) 53.

(*s*) Lievesley *v.* Gilmore, L. R. 1 C. P. 570; Hookpayton *v.* Bussell, 23 L. J. Ex. 267.

(*t*) Wentworth *v.* Bullen, 9 B. & C. 840, per Parke, B.

(*u*) 36 & 37 Vict. c. 66, s. 49.

(*x*) 38 & 39 Vict. c. 77; O. liv., r. 2.

CHAPTER XV.

GUARANTEES.

So far we have been dealing with transactions in which there was a principal debtor or debtors only. We proceed to inquire under what conditions a person becomes liable by his own agreement to answer for the debt of another. Such an agreement is styled a guarantee, the original debtor is termed the principal, and the person who undertakes to be responsible for his engagement the surety.

It is obvious that on the same contract there can be no subordinate liability attaching to one party, unless there is a primary liability attaching to some other party. The relation of principal and surety cannot exist except where the former is under a legal obligation, in the first place, to perform or forbear from some given act; hence, the fundamental element to the liability on a guarantee for the payment of money is the existence of a principal debt. If that debt be extinguished in any way, the guarantee is also extinguished (*a*). Nay, further, if that debt be modified between the creditor and the principal debtor without the consent of the surety, the latter will in general be discharged from all liability on the contract (*b*). Thus, if a guarantee be given for a debt payable immediately, a binding agreement by the creditor with the debtor to make no

(*a*) Lakeman *v.* Mountstephen, L. R. 7 H. L. 17; Wilkes *v.* Dudlow, L. R. 19 Eq. 198; Mallet *v.* Bateman, L. R. 1 C. P. 663; Bank of Montreal *v.* Munster Bank, I. R. 11 C. L. 47; Butcher *v.* Stuart, 11 M. & W. 873; Birkmyr *v.* Darnell, 2 Ld. Raymd. 1085.

(*b*) Polak *v.* Everett, L. R. 1 Q. B. D. 669; City Discount Bank *v.* M'Lean, L. R. 9 C. P. 692; Saunderson *v.* Aston, L. R. 8 Ex. 73; Phillips *v.* Foxall, L. R. 7 Q. B. 666; Malling Union *v.* Graham, L. R. 6 C. P. 203; Tayleur *v.* Wildin, L. R. 3 Ex. 303; Barry *v.* Morony, I. R. 8 C. L. 554.

claim for a certain time, either against himself or even merely against the surety, will exonerate the latter, unless he has been a consenting party to the arrangement (*c*); but there must be a binding agreement, not a mere proposal therefor, to have such effect (*d*). The same result will follow if the creditor surrenders a security given by the debtor before or concurrently with the guarantee (*e*); or if by the laches of the creditor the benefit of a bill of sale is defeated for want of registration (*f*); or if the debtor enters into a composition with his creditors to which the guaranteed creditor agrees without reservation (*g*); or if a material change of circumstances supervene, and is concealed by the person receiving the guarantee (*h*). The death of a guarantor does not alone determine the guarantee, but notice to guaranteed creditors that there is no personal estate may disentitle them to a charge on the real estate of the guarantor (*i*). A surety on a promissory note is not discharged by the acceptance by the payee, in good faith and without notice, of payment from the maker which is afterwards avoided as a fraudulent preference (*k*). Where the principal and sureties are bound for a series of separate payments, time given to the principal as to one payment discharges the sureties as to that, but not as to the other payments (*l*), and in every case a creditor may give time to the principal and by express stipulation still reserve his rights against the surety (*m*), but for the reservation to be effectual, there must, it would seem, be a distinct expression of intention to that effect (*n*). In the absence of such reservation a surety is discharged by a voluntary composition on the

(*c*) Rees *v.* Berrington, 2 Ves. Jun. 540; Wilson *v.* Lloyd, L. R. 16 Eq. 60; Maingay *v.* Lewis, Ir. R. 5 C. L. 229; 3 C. L. 495.

(*d*) Torrance *v.* British Bank of N. America, L. R. 5 P. C. 246.

(*e*) Liquidators of Overend, Gurney & Co. *v.* Liquidators of Oriental Financial Corporation, L. R. 7 H. L. 348.

(*f*) Wolff *v.* Jay, L. R. 7 Q. B. 766.

(*g*) Williams *v.* Bayley, L. R. 1 H. L. 200; Davies *v.* London and Provincial Marine Insurance Co., L. R. 8 Ch. D. 469.

(*h*) Cragoe *v.* Jones, L. R. 8 Ex. 81.

(*i*) Harris *v.* Fawcett, L. R. 8 Ch. 866.

(*k*) Petty *v.* Cooke, L. R. 6 Q. B. 690.

(*l*) The Croydon Commercial Gas. Co. *v.* Dickinson, L. R. 2 C. P. D. 46.

(*m*) Muir *v.* Crawford, L. R. 2 H. L. Sc. 456; Glegg *v.* Gilbey, L. R. 2 C. P. D. 6, 209; *Ex parte* Charlton; *Re* Charlton, 36 L. T. 561.

(*n*) Liquidators of Overend, Gurney & Co. *v.* Liquidators of Oriental Financial Corporation, L. R. 7 H. L. 348.

part of the principal in which the guaranteed creditor joins (*o*), but not by an order of discharge in bankruptcy or liquidation (*p*). An agreement by the creditor to accept a less sum in satisfaction of the debt within a given time (*q*), or the taking of a further security, not in lieu of, but in addition to, the original one, does not affect a guarantee (*r*), unless it be a consideration for giving time to the principal (*s*); and, generally, any stipulation between the creditor and debtor which must be for the benefit of the surety, or at least cannot be to his detriment, will be attended with a similar consequence (*t*), and the question whether or not there has been a material alteration in the relation of the parties will be for a judge or jury to decide, according to the particular circumstances (*u*).

Next, as to the form of a guarantee:—

No action can be brought against a surety unless on an agreement or some note or memorandum thereof in writing, signed by him or by his agent thereunto lawfully authorised (*x*). It is enough if there be a written guarantee, or a sufficient note thereof, so signed; neither the original contract between the creditor and debtor, nor the authority of the agent (if any) who signs for the surety, need be in writing (*y*), nor is it necessary the creditor or principal debtor should sign the guarantee (*z*), to which, indeed, the only proper parties are the former and the surety. The signature, however, must be so introduced as to govern or authenticate every material and operative part of the instrument (*a*). The guarantee may or may not be under seal. In the former case, according to the general principle that a deed imports a consideration, a gratuitous surety will be liable; in

(*o*) Green *v.* Wynn, L. R. 4 Ch. 204; 7 Eq. 28; Leathley *v.* Spyer, L. R. 5 C. P. 595; Bateson *v.* Gosling, L. R. 7 C. P. 9.

(*p*) Breslauer *v.* Brown, L. R. 3 App. Cas. 672; Megrath *v.* Gray; Gray *v.* Megrath, L. R. 9 C. P. 216; *Ex parte* Jacobs. *In re* Jacobs, L. R. 10 Ch. 211.

(*q*) Bell *v.* Banks, 3 Sc. N. R. 497.

(*r*) Gordon *v.* Calvert, 4 Russ. 581.

(*s*) Liquidators of Overend, Gurney & Co. *v.* Liquidators of Oriental Financial Corporation, *ubi supra.*

(*t*) Hulme *v.* Coles, 2 Sim. 12.

(*u*) Holme *v.* Brunskill, L. R. 3 Q. B. D. 495; Caton *v.* Caton, L. R. 2 H. L. 127; Davies *v.* London and Provincial Marine Insurance Co., L. R. 8 Ch. D. 469.

(*x*) 29 Car. II. c. 3, s. 4.

(*y*) Graham *v.* Musson, 7 Sc. 769; Rossiter *v.* Miller, L. R. 3 App. Cas. 1124.

(*z*) Laythoarp *v.* Bryant, 3 Sc. 238.

(*a*) Caton *v.* Caton, L. R. 2 H. L. 127.

the latter case, a surety will not be liable unless his undertaking is supported by a valuable consideration (*b*). Thus, if C. guarantees (1) by bond a past advance of £1,000, (2) by his note of hand a past advance of £500, (3) by bill a past advance of £200, and a present or future advance of £100, from A. to B, C. will be liable on the bond and bill, but not on the note, for a merely past transaction is no consideration (*c*). Until the Mercantile Amendment Act, it was necessary that the consideration should appear on the face of a guarantee, as it was held the contract would not otherwise be reduced to writing, since the consideration formed a material part thereof (*d*). By the above statute, the consideration need no longer be expressed (*e*), but the necessity for its existence is left unchanged.

The following is a simple form of guarantee not under seal:—

London, the day of , 18 .

In consideration that Mr. C. D. will, at my request, (or "has at my request") [here state the consideration for which the guaranty is given], I do hereby guarantee to him the said Mr. C. D. [here state the sum or thing guaranteed]. This guaranty is to continue in force for the period of [state period, if agreed on], and no longer.

Witness my hand, A. B. (*f*.)

We have mentioned on a former page that one of the attributes of a deed is that it cannot be discharged except by due satisfaction of its terms, or by an instrument of equal or higher solemnity (*g*). To this rule, however, a guarantee under seal is an exception, for it will be avoided by the creditor giving time to the principal debtor, just as much as if it were a guarantee not under seal, and the observations above made as to the exoneration of a surety apply in common to all contracts, whatever their solemnity, under which his liability is incurred (*h*).

(*b*) Harris *v.* Venables, L. R. 7 Ex. 235.
(*c*) Russell *v.* Moseley, 3 B. & B. 211.
(*d*) Wain *v.* Warlters, 5 East. 10.
(*e*) 19 & 20 Vict. c. 97, s. 3.
(*f*) Smith's Mercantile Law, 9th ed., 660 n.
(*g*) *Ante*, p. 61.
(*h*) Rees *v.* Berrington, 2 Ves. Jun. 540.

From the nature of a guarantee, a surety cannot be called upon to fulfil his engagement until the principal debtor has made default (*i*). When the debt falls due, the surety may bring an action to compel the principal to discharge him from his liability (*k*). If, by default of the principal, the surety is compelled to pay the debt, he is entitled, besides his own remedies against the debtor, to have a delivery of all collateral securities the creditor may hold for the debt, which securities the surety may realise or proceed upon as the latter might have done (*l*).

A guarantee may be given by one or by several sureties, and in the latter case the creditor, on default of the principal debtor, is entitled to sue all or any one of the sureties. Supposing one or some only of a number of sureties are sued and compelled to discharge the debt, such surety or sureties, besides his or their rights against the principal debtor and the creditor, will be entitled to contribution in proportionate shares from his or their co-sureties for the amount he or they had to disburse (*m*), and also to the benefit of any security any of them may have taken from the principal by way of general indemnity (*n*). The mode of contribution is in proportionate shares—that is, each surety will have to pay a sum proportionate to the amount for which he is liable, and if any surety become insolvent, the additional burthen thereby caused will be divided proportionably amongst the remaining sureties. Thus, if one of three sureties, A., has been forced to pay the amount on a guarantee for a debt of £900, he is entitled to contribution of £300 a piece from each of his co-sureties, B. and C., supposing they have each guaranteed the full amount; and if C. becomes bankrupt with no assets, A. will then be entitled to contribution of £450 from B. If, on the other hand, A. guaranteed only £500, B. £500, and C. £400, then A. would not in any event be called upon to contribute

(*i*) Warre *v.* Calvert, 7 A. & E. 143.

(*k*) Woolridge *v.* Norris, L. R. 6 Eq. 410.

(*l*) 19 & 20 Vict. c. 97, s. 5; Brandon *v.* Brandon, 28 L. J. Ch. 147, *post*, pp. 407—411.

(*m*) Dering *v.* Earl of Winchelsea, 1 Cox. 318; 36 & 37 Vict. c. 66, s. 25, sub-s. 11.

(*n*) Swain *v.* Wall, 1 Ch. Rep. 149, *post*, pp. 407.—411.

more than £600, nor B. more than £500, nor C. more than £400; and if A., B., and C. are solvent, A. will contribute £360, B. £300, and C £240; but, if C. be insolvent, then A. will have to contribute £500, and B. £400 (*o*). Contribution obtains alike whether the sureties are bound by the same or by different instruments (*p*); but in all cases, so long only as the principal debtor and their engagement remain the same.

The amount for which a surety may make himself liable may be certain or unascertained; the time during which his liability is to continue may be fixed or indefinite, hence the division of guarantees into—(*A*) 1, limited, and 2, unlimited; (*B*) 1, specific, and 2, continuing. (*A.*) A limited guarantee may mean (1) limited as to part of the account to which it is to be applied, *e.g.*, "I will be liable for the amount which A. B. shall owe you, subject to this limitation, that I shall not be called on to pay more than £250;" or (2) limited as to the total amount to be recovered, *e g.*, "I will be liable for £250 of the amount which A. B. shall owe you." In this second sense the guarantee is really absolute as to so much; hence the guarantor in such case is not entitled, on the bankruptcy of the principal debtor, to any dividend the creditor may receive. In the first sense the guarantee is in fact restrictive, yet extends to the whole debt, therefore the guarantor is entitled, on the bankruptcy of the principal, to any dividend the creditor may receive (*q*). In other words, a surety has a right to reduce his liability by a ratable proportion of the dividends paid under the bankruptcy of the principal debtor, where he is surety for only part of the debt, or his suretyship is to secure a floating balance; but where a suretyship limited in amount is for a debt already ascertained, which exceeds that limit, it is not *primâ facie* to be construed as security for part of the debt only (*r*).

(*o*) *In re* M'Donagh's, J. R. 10 Eq. 269.

(*p*) Whiting *v.* Burke, L. R. 6 Ch. 342, 10 Eq. 539.

(*q*) Hobson *v.* Bass, L. R. 6 Ch. 792; *Ex parte* Gilbey; *In re* Bedell, L. R. 8 Ch. D. 248.

(*r*) Ellis *v.* Emmanuel, L. R. 1 Ex. D. 157; Midland Rly. Co. *v.* Chambers, L. R. 4 Ch. 398; Wright *v.* Hickling, L. R. 2 C. P. 199; *Ex parte* Midland Banking Co.; *Re* Sellers, 38 L. T. 395.

(*B*) There is no universal criterion by which a specific can be distinguished from a continuing guarantee. The question whether the liability of a surety is confined to a single transaction, or extends to a series of transactions—whether the guarantor is bound to answer for one individual debt or for any debt of a specified class, is to be determined by the language of the instrument taken in connection with the surrounding circumstances. Thus, the following guarantee—"I do hereby, in consideration of your forbearing to take immediate steps for recovery of said sum, guarantee payment of, and agree to become responsible for, any sum of money for the time being due from the said D. to you, whether in addition to the said sum of £2,205 3*s.* 9*d.* or no,"—was held to be unlimited both as to time and as to amount (*s*). So an instrument in this form—"£50. I, J. M., of, &c., will be answerable for £50 sterling, that W. Y., of, &c., may buy of M. J. H., of," &c.,—was held to be a continuing guarantee (*t*). The following guarantee—"In consideration of your having at my request agreed to supply and furnish goods to C. (guarantor's husband), I do hereby guarantee to you the sum of £500. This guarantee is to continue in force for the period of six years, and no longer,"—given by a married woman having separate estate, to procure credit for her husband, was held to be limited to goods actually supplied to the husband after it was given (*u*).

It would seem that a general or continuing guarantee under seal may be withdrawn upon paying all that may be due under it at the time of giving notice of withdrawal (*x*); moreover, a continuing guarantee will be discharged by appropriation of funds of the surety in the creditor's hands (*y*).

There are certain guarantees, such as bail bonds (*z*), adminis-

(*s*) Coles *v.* Pack, L. R. 5 C. P. 65.

(*t*) Heffield *v.* Meadows, L. R. 4 C. P. 595; Nottingham Hide Co. *v.* Bottrel, L. R. 8 C. P. 694; Wood *v.* Priestner, L. R. 2 Ex. 66, 282.

(*u*) Morrell *v.* Cowan, L. R. 7 Ch. D. 151.

(*x*) Burgess *v.* Eve, L. R. 13 Eq. 450.

(*y*) Kinnaird *v.* Webster, L. R. 10 Ch. D. 139; Browning *v.* Baldwin, W. N. (1879) 44.

(*z*) See Cootes' Admr. Pr., 2nd ed., 40—45, 219, 220; 24 & 25 Vict. c. 10, s. 33; The Freedom, 3 A. & E. 495.

tration bonds (*a*), and recognizances, the incidents on which are mainly determined by statute. A recognizance may be defined as an acknowledgment of indebtedness made before a duly authorised tribunal or officer, and entered on the rolls of a court, usually subject to a condition for avoiding such indebtedness on the performance of a specified act, for fulfilment whereof the acknowledgment is given as security. The person who makes the acknowledgment (the cognizor) will be principal or surety, according as the act conditioned is that of himself or of some other person; the person in whose favour the acknowledgment is made (the cognizee) may be either the Crown or a private individual. A recognizance wherein a private individual is cognizee may, like a bond, be put in suit within twenty years from forfeiture; on due enrolment it affects and may be realised out of the cognizor's lands in the same manner as a judgment; it is ordinarily proceeded upon by writ of *scire facias* (*b*). A recognizance wherein the Crown is cognizee may, when estreated, be enforced by *capias*, *scire facias*, information, or extent (*c*). The debt created by the forfeiture of a duly recorded recognizance to the Crown has preference, as a Crown debt, over all other debts, and binds the debtor's lands for sixty years from its accrual, except as against purchasers or mortgagees for value, whether with or without notice (*d*).

(*a*) 20 & 21 Vict. c. 77, ss. 81, 83; In the Goods of Brackenbury, L. R. 2 P. D. 272.

(*b*) 3 & 4 Will. IV. c. 42, ss. 3, 5; *ante*, p. 61; *post*, pp. 131, 139; 29 Car. II. c. 3, s. 17; 27 & 28 Vict. c. 112; *ante*, pp. 91, 93; 15 & 16 Vict. c. 76, ss. 131, 132.

(*c*) 33 Hen. VIII. c. 39, s. 37; 3 & 4 Will. IV. c. 99, ss. 32, 46; 28 & 29 Vict. c. 104, ss. 31—52; *In re* Arthur Heavens' Smith, L. R. 2 Ex. D. 47; *Ex parte* the Postmaster-General; *In re* Bonham, W. N. (1879) 24; Churchill's Sheriff, 254—258. As to justices of the peace, see 11 & 12 Vict. c. 42, ss. 23, 24; 3 Geo. IV. c. 46; 4 Geo. IV. c. 37.

(*d*) 33 Hen. VIII. c. 39, ss. 51, 52; 9 Geo. III. c. 16; 24 & 25 Vict. c. 62; 48 Geo. III. c. 47; 39 & 40 Vict. c. 37; 28 & 29 Vict. c. 104, s. 48.

BOOK II.

FUNDED SECURITIES, OR SECURITIES ON PROPERTY.

CHAPTER XVI.

MORTGAGES.—GENERAL PRINCIPLES.

A MORTGAGE is a conditional transfer of property to become absolute in the event of the transferor (the mortgagor) or some other person failing to pay to the transferee (the mortgagee) or some other person, a given sum of money at a given time, for the securing of which payment such transfer is made (*a*). Thus, a conveyance of property with proviso that the same shall be defeated in case the grantor repay the grantee a certain loan within a specified period constitutes a mortgage (*b*).

As regards their form and effect mortgages are divided into two classes—

I. Legal mortgages, or actual conveyances.

II. Equitable mortgages, or executed agreements for such conveyances (*c*).

(*a*) See *post*, Chaps. XVII—XXIII. This definition is accurately true of mortgages where fulfilment of the condition, as in the example, simply avoids the conveyance; but not of mortgages, where the condition is for re-conveyance, so far as the Common Law estate or interest is concerned. But even in such mortgages the definition is true of the equitable or beneficial interest, and is the most general, we can frame.

(*b*) For the general nature of Mortgage, see Sir T. Plumer's Judgment in Cholmondeley *v.* Clinton, 2 Jac. & Walk. 182.

(*c*) Russell *v.* Russell. See *post*, Chap. XXIII.

As regards their subject-matter, mortgages are divided into—

I. Mortgages of immovables, or of real property.

II. Mortgages of movables, or of personal property.

Before dealing with any particular kind of mortgage, we shall state the general nature of all mortgages, and a few common principles applicable thereto. By a mortgage, then, an owner loses only some of his original rights of ownership in the first instance; thus, he will be restrained from exercising the *jus abutendi* or the right to alter or waste the subject mortgaged, so as to render the security insufficient (*d*), whilst the right to use and enjoy the same or the *jus utendi-fruendi* belongs, in the absence of agreement to the contrary, to the mortgagee, who may enter into possession and take the rents and profits, for which, however, he will have to account (*e*); but if he abstain from entering into possession, the mortgagor may continue to take the rents and profits without any liability to account therefor (*f*). On the other hand, the mortgagor can claim the property against all the world except the mortgagee (*g*); he may also dispose of the property to whomsoever he will, or, if he please, he may mortgage it again and again—such disposition or mortgages being always subject to the original mortgage so long as that remains unsatisfied, and in the absence of any subsequent agreement altering the relations of the parties; thus, the *jus vindicandi* and *jus disponendi* remain vested in the mortgagor, subject to the incumbrance or incumbrances—in the mortgagee, to the extent of his security. Even when the contingency, upon which the property is to pass to the mortgagee, does fall out, the mortgagor still retains a right to redeem the property (called an equity of redemption) on payment of the debt, interest, and cost of re-conveyance, nor can that right which is in fact an estate or interest (*h*) be extinguished

(*d*) King *v.* Smith, 2 Hare, 239; as to ameliorating waste, see Doherty *v.* Allman, L. R. 3 App. Cas. 709.

(*e*) Wilson *v.* Cluer, 3 Beav.; Parkinson *v.* Hanbury, L. R. 2 H. L. 1; Lows *v.* Telford, L. R. 1 App. Cas. 414.

(*f*) Collins *v.* Lamport, 34 L. J. Ch. 196; The Innisfallen, L. R. 1 Ad. 72; Johnson *v.* Royal Mail, &c. Co., L. R. 3 C. P. 38; Bradley *v.* Copley, 1 C. B. 685; Wheeler *v.* Montefiore, 2 Q. B. 133.

(*g*) S. 25, sub-s. 5, 36 & 37 Vict. c. 66.

(*h*) Casborne *v.* Scarfe, 1 Atk. 605; *In re* Dudson's Contract, L. R. 8 Ch. D. 628.

except by lapse of time under the Statutes of Limitation (*i*), by absolute decree of foreclosure (*k*), or by sale in pursuance of judicial decree (*l*), or power conferred by agreement of the parties or the nature of the mortgage (*m*). Whether a sale takes place under an order of the Court or according to voluntary stipulation, the proceeds are first applied to discharging the legal expenses and incumbrances, over and above which any remaining balance accrues to the mortgagor (*n*).

A mortgage is thus throughout a security, and so construed; hence the universal principle—"*Once a mortgage always a mortgage*"—which nullifies a stipulation whereby the mortgagor would forego his equity of redemption (*o*). The right of the mortgagee to keep the estate does not, however, depend upon his right to recover the debt in an action, but the two rights are wholly independent—the one of the other. The right of the mortgagee is not to recover the money, but to keep the estate till the money is paid, which is a totally different thing (*p*). A mortgagee may, however, assign (*q*) over the mortgage debt; the assignee will then take, subject to the equities between the mortgagor and mortgagee; hence the propriety of obtaining the concurrence of the mortgagor in any assignment (*r*).

To constitute a mortgage, no particular form of words is required, it is enough that a transfer of property is made with the mutual intention that it shall be a security for money or any other incumbrance (*s*), though it is sometimes necessary the conveyance should be by deed or other formal instrument (*t*).

By due payment of the debt the mortgage becomes extinguished and cannot be made a continuing security for further

(*i*) Raffety *v.* King. See *post*, pp. 130—141.

(*k*) Prees *v.* Coke, L. R. 4 Ch. 645.

(*l*) 15 & 16 Vict. c. 86, s. 48. Corsallis *v.* Patman, L. R. 4 Eq. 156.

(*m*) Carter *v.* Wake, L. R. 4 Ch. D. 605; 23 & 24 Vict. c. 145.

(*n*) Rushbrook *v.* Laurence, L. R. 5 Ch. 3; Perry *v.* Barker, 13 Ves. 205; Mayer *v.* Murray, L. R. 8 Ch. D. 424; Langton *v.* Waite, L. R. 6 Eq. 165.

(*o*) Howard *v.* Harris, 1 Vern. 33, 190; Chapple *v.* Mahon, Ir. R. 5 Eq. 225.

(*p*) *Ex parte* Sheil; *In re* Lonergan, L. R. 4 Ch. D. 789.

(*q*) *Post*, p. 313.

(*r*) Walker *v.* Jones, L. R. 1 P. C. 50.

(*s*) Maston *v.* Woods, L. R. 4 Q. B. 293.

(*t*) Kelly *v.* Hutton, L. R. 3 Ch. 703, and see *post*, pp. 120, 142, 150.

advancements (*u*); and, if such payment be before condition broken, the title is revested in the mortgagor according to the form of mortgage (*x*), either absolutely both at law and in equity, or absolutely in equity, the legal estate remaining vested in the mortgagee (*y*) as a bare trustee for the mortgagor, who at any time may call for a re-conveyance, and he is entitled to the delivery of the mortgage deeds, and to cancellation of the incumbrance on the register, if there have been registration (*z*); but such payment after breach of condition does not revest the title, which can only be passed by a regular instrument of conveyance from the mortgagee (*a*); nor, after such breach, can the mortgagor see the title deeds without paying the mortgagee his principal, interest, and costs (*b*). A mortgage to secure a given sum and future advances will not, as to advances made subsequent to notice of a second mortgage, have priority over such second mortgage (*c*).

As already stated, there may be several mortgages on the same property; let us consider in what order these various securities may be realised. All persons who have acquired any interest in the property mortgaged by operation of law or otherwise in privity of title, have a right to disengage the property from all incumbrances in order to enforce their own claims (*d*); hence, any subsequent mortgagee can insist on redeeming the property with a view towards foreclosure, on offering to pay off all prior mortgagees, their debts, and interest (*e*). The question is, How do successive mortgages take precedence of each other? to which the general answer is furnished by the maxim—*qui prior est tempore, potior est jure*—that is, any prior mortgagee

(*u*) Matthews *v.* Wallwyn, 4 Ves. 118; Withington *v.* Tate, L. R. 4 Ch. 288; Heyman *v.* Dubois, L. R. 13 Eq. 158.

(*x*) *Ante*, p. 109, n. (*a*).

(*y*) Dobson *v.* Land, 4 De G. & S. 575, 581.

(*z*) 7 Ann. c. 20, s. 16; 8 Ann. c. 10, s. 3; 5 Ann. c. 18, s. 10; 6 Ann. c. 35, s. 27; 8 Geo. II. c. 6, s. 32; 17 & 18 Vict. 104, s. 68.

(*a*) Pearce *v.* Morris, L. R. 5 Ch. 227; 8 Eq. 217.

(*b*) Chichester *v.* Marquis of Donegal, L. R. 5 Ch. 497.

(*c*) Hopkinson *v.* Rolt, 9 H. L. Cas. 541; Menzies *v.* Lightfoot, L. R. 11 Eq. 459; Dunn *v.* City of London Brewery Co., L. R. 8 Eq. 155.

(*d*) Dawson *v.* Bank of Whitehaven, L. R. 6 Ch. D. 218; Jackson *v.* Innes, 1 Bli. 104; Jackson *v.* Parker, Amb. 687.

(*e*) Fell *v.* Brown, 2 Bro. C. C. 276; Palk *v.* Clinton, 12 Ves. 48.

is entitled to have the subject of the mortgage applied in satisfaction of his claim before any subsequent mortgagee (*f*). This rule, however, is governed by what is known as the doctrine of "tacking" (*g*)—a principle which arose out of the two kinds of interest in property—legal and equitable—heretofore recognised in Courts of Law and Equity respectively (*h*). By this principle that mortgagee, who has or acquires both the legal and equitable estates or interests in the subject of the mortgage, takes precedence of every other mortgagee, no matter what his priority in point of time, provided he had no notice of any pre-existing mortgage when he made his advance (*i*). Thus, suppose land freehold, copyhold, or leasehold is successively mortgaged to A., B., and C.; then the legal estate is vested in A., who, to the amount of his debt, has also an equitable interest through which he can hold against B. and C., who have merely equitable interests. If C. had originally no notice of B.'s mortgage, and A. assigns his mortgage to C., the latter is entitled to join or tack his debt to A.'s, and to hold the property against B. until both his own (C.'s) and A.'s debts are discharged (*k*). Or, again, let a moveable or chattel personal be mortgaged, without deed, to A., B., and C., successively, and possession be delivered to B., who, with C., has no notice of A.'s mortgage; then, the legal interest is vested in B., who, to the amount of his debt, can hold against A. and C., who have merely equitable interests, and if B. assigns his mortgage with possession to C., the latter can tack and hold the property against A., until both his own (C.'s) and B.'s debts are discharged (*l*).

The principle of tacking extends not only to mortgages but to incumbrances in general, which have been created on a given

(*f*) Mackreth *v.* Symmons, 15 Ves. 354.

(*g*) By s. 7, 37 & 38 Vict. c. 78 tacking was abolished; but this section was repealed and the old law restored by s. 129, 38 & 39 Vict. c. 87.

(*h*) Wortley *v.* Birkhead, 2 Ves. 573.

(*i*) Marsh *v.* Lee, 2 Vent. 337; *In re* Russell Road, L. R. 12 Eq. 78.

(*k*) Brace *v.* Duchess of Marlborough, 2 P. Wms. 491; Young *v.* Young, L. R. 3 Eq. 801; Baker *v.* Harris, 16 Ves. 397.

(*l*) Daniel *v.* Russell, 14 Ves. 392; Dearle *v.* Hall, 3 Russ. 1, 22; Loveridge *v.* Cooper, 3 Russ. 30, 58.

subject of property upon the faith and security of which advances have been made (*m*); but the principle is inapplicable where there is no existing debt or legal estate (*n*).

So far we have considered several mortgages of the same property, and have tacitly assumed that that property more than covers the first debt to be paid off; we have next to inquire into the relations that arise when several mortgages, each comprising different property, are made by the same owner. Supposing the mortgages are all to different persons, the mortgagor will stand to each mortgagee in the relations already described.

Suppose, however, that A. mortgages to B. Whiteacre for £1000, and Blackacre for £2000, and that after breach of condition A. offers to pay off the £2000, and so extinguish the mortgage on Blackacre, B. cannot be compelled to part with the latter security unless A. at the same time offer to pay off the £1000 due on the security of Whiteacre. In other words, a mortgagee is entitled to hold all securities as against a mortgagor, until his advances are discharged or adequately covered; this practice is called the consolidation of mortgages, and obtains with mortgages of personal as well as of real property (*o*), or though the property be of different kinds (*p*), or though the legal estate be not conveyed (*q*). It avails in favour of the holder of several mortgages created by the same person, whether he claim as an original incumbrancer, or through derivative title, as assignee or otherwise; and it avails against all parties standing in the place of the mortgagor no less than against the mortgagor himself. Thus, the purchaser of the equity of redemption of a particular mortgage cannot redeem without redeeming all mortgages created by the same mortgagor, and united in the holder of the particular mortgage, whether that union take place before

(*m*) Averall v. Wade, Lloyd & Gool, R. 252; Matthews *v.* Cartwright, 2 Atk. 347.

(*n*) *In re* Kirkwoods, 1 L. R. Ir. 106.

(*o*) Demandray *v.* Metcalf, Pre. in Ch. 419; Jones *v.* Smith, 2 Ves. 372.

(*p*) Tassell *v.* Smith, 2 De. G. & J. 713; Cracknall *v.* Janson, W. N. (1879) 42.

(*q*) Neve *v.* Pennell, 3 L. J. Ch. 19.

or after the purchase, and whether with or without notice of the other mortgages (*r*). As between mortgagor and mortgagee, the principle is through-going; so, as between subsequent mortgagee and prior mortgagees; so, as between second mortgagee and holder of prior mortgage, who, without notice of second mortgage, obtains transfer of third, or other subsequent mortgage, but otherwise if there be such notice. Thus, where A. mortgaged Whiteacre first to B., then to C., and subsequently mortgaged Blackacre to D., who, at the time of making his advance, had notice of C.'s mortgage, it was held that D., having obtained a transfer of B.'s mortgage, could not consolidate as against C. (*s*). A mortgagee who receives the assignment of a debt due to the mortgagor after notice of the latter's insolvent position, is not permitted to consolidate (*t*).

Besides tacking and consolidation, there is another mode of obtaining priority, viz., by greater diligence. Thus, when a subsequent mortgagee, without notice of a prior incumbrance at the time of advancing his money, gives notice of his charge to the trustee or other person in whom the legal interest is outstanding, he will be entitled to rank before a prior mortgagee who has omitted to give such notice (*u*). So, an incumbrancer, who gets the first stop-order on a fund in court, gains priority over all other incumbrancers on the same fund (*x*), and that, whether the fund be carried to a separate account, or be undivided; hence, a mortgagee, who obtained a stop-order on a general fund when undistributed, was allowed priority over another mortgagee, who, on a subsequent order for distribution, obtained a stop-order against the particular fund (*y*).

It is a general principle that a Court of Equity will not decree specific performance of a mere agreement to advance money (*z*), but a decree may be obtained for the specific per-

(*r*) Bevor *v.* Luck, L. R. 4 Eq. 537.
(*s*) Baker *v.* Gray, L. R. 1 Ch. D. 491.
(*t*) *Ex parte* Hodgkin. *In re* Softley, L. R. 20 Eq. 746.
(*u*) Foster *v.* Cockerell, 9 Bli. 375, 376.
(*x*) Lister *v.* Tidd, L. R. 4 Eq. 462.
(*y*) Ward *v.* Booth, L. R. 14 Eq. 195. As to priority under Solicitor's Act, 23 & 24 Vict. c. 127, s. 28. See Faithfull *v.* Ewen, L. R. 7 Ch. D. 495.
(*z*) Larios *v.* Bonany y Gurety, L. R. 5 P. C. 346.

formance of an agreement to execute a mortgage in consideration of an existing debt, or where an actual advance has been made (*a*), and that, though the mortgage contain an immediate power of sale (*b*).

A mortgage is extinguished by a pure and simple purchase by the mortgagee of the equity of redemption, and one purchasing an equity of redemption cannot set up a prior mortgage of his own, nor, conversely, a mortgage which he has got in against subsequent incumbrances of which he had notice (*c*). This last proposition is thus interpreted:—

"In the case of a purchase from the owner of an equity of redemption, in which the purchase-money is partly applied in paying off incumbrances, the purchaser with notice, whether actual or constructive of other incumbrances, is not, in the absence of any contemporaneous expression of intention, entitled as against the other incumbrancers, of whose securities he has notice, to say afterwards that the incumbrances so paid off are not existing" (*d*).

But it is otherwise if there be a contemporaneous expression of intention to keep the incumbrances on foot; hence, where on a decree for foreclosure, the mortgagor's trustee in bankruptcy assigned the equity of redemption to a mortgagee, and the deed of assignment expressly provided that the same should be subject to the mortgagee's claim, it was held that there was a sufficient intention to keep the incumbrance alive (*e*). A *bonâ fide* subsequent mortgagee, who becomes a purchaser under a prior mortgagee's power of sale, acquires an irredeemable title (*f*); but a mortgagor who so purchases will be considered to have only paid off the debt due to the vendor, and will hold the property subject to all other charges (*g*).

(*a*) Ashton *v.* Corrigan, L. R. 13 Eq. 76; Hermann *v.* Hodges, L. R. 16 Eq. 18.

(*b*) Yardley *v.* Holland, L. R. 10 Ch. 428.

(*c*) Toulmin *v.* Steere, 3 Mer. 210; O'Loughlin *v.* Fitzgerald, I. R. 7 Eq. 483.

(*d*) Adams *v.* Angell, I. R. 5 Ch. D. 634, per Jessel, M. R.

(*e*) *Ibid.*

(*f*) Shaw *v.* Bunny, 2 De G. J. & S. 468; Dicker *v.* Angerstein, L. R. 3 D. 600.

(*g*) Otter *v.* Lord Vaux, 25 L. J. Ch. 734.

We have said that a mortgagor's equity of redemption becomes extinguished by decree for foreclosure absolute (*h*); thereupon the mortgagor forfeits his title to the estate, though it still lies in the discretion of the Court to allow him to redeem as a matter of favour. The granting of this favour, or the opening of the foreclosure, as it is called, depends upon the circumstances of each particular case; amongst the circumstances of most weight are the promptness with which the mortgagor claims indulgence, great difference in value between the amount of the debt and the worth of the estate, accident in non-payment of what was due, the fact that the property is a family estate (*i*).

To insure precise payment, interest is often reserved at a certain percentage, reducible to a lower rate, if paid punctually, and, under such a stipulation, the higher rate may be recovered in the event of the interest falling in arrear; but, if it were stipulated that a certain rate of interest should be reserved, and, on default of due payment, a higher rate should be charged, such higher rate could not be recovered in the event of default, because it is in the nature of a penalty, which will not be enforced (*k*). The reservation, however, of a right to have full payment of money actually due on an existing contract, should there be a failure to pay a smaller sum on a given day, cannot be treated as a penalty (*l*).

The seller or mortgagor of land, or chattels, real or personal, or choses in action, conveyed or assigned to a purchaser or mortgagee, or the solicitor or agent of any such seller or mortgagor, who after the 13th August, 1859, conceals from the purchaser or mortgagee any settlement, deed, will, or other instrument material to the title of the property sold or mortgaged, or any incumbrance thereon, or who falsifies any pedigree upon which the title does or may depend, with intent in any of such

(*h*) *Ante*, p. 111.

(*i*) Campbell *v.* Holyland, L. R. 7 Ch. D. 166.

(*k*) Eyre *v.* Hughes, L. R. 2 Ch. D. 115; *In re* Daghenham (Thomas) Dock Co.; *Ex parte* Hulse, L. R. 8 Ch. 10—22; Parfitt *v.* Chambre; *Ex parte* D'Alteyrac, L. R. 15 Eq. 36.

(*l*) Thompson *v.* Hudson, L. R. 4 H. L. 1.

cases to defraud, shall be guilty of a misdemeanour, and being found guilty, shall be liable to fine or imprisonment for any time not exceeding two years, with or without hard labour; and also liable to an action for damages at suit of the purchaser or mortgagee, or those claiming under such purchaser or mortgagee for loss sustained by such concealment or falsification; but no prosecution under the above provisions is to be commenced without the sanction of the Attorney-General or Solicitor-General, to be given after notice to the accused of the application for leave to prosecute (*m*).

(*m*) 22 & 23 Vict. c. 35, s. 24; 23 & 24 Vict. c. 88, s. 8.

CHAPTER XVII.

MORTGAGES OF FREEHOLDS.

As already mentioned (*a*), mortgages may be divided into—
I. Mortgages of Immovables.
II. Mortgages of Movables.

We will begin with the former. Mortgages of immovables or lands embrace—1. Mortgages of freeholds; 2. Mortgages of leaseholds for years; 3. Mortgages of copyholds—the mode of creating, and the nature of each of which, except so far as treated of in our previous general observations, we shall now proceed to explain.

The form of mortgage of freehold estates now in ordinary use is a grant by the mortgagor to the mortgagee in fee simple, subject to a proviso, that, if the money is paid on a day named, which is usually six months from the date of the deed, the mortgagee shall re-convey the property to the mortgagor. Then follow covenants by the mortgagor with the mortgagee for payment of principal and interest on the appointed day, and if the principal is not paid on that day, for the future payment of interest half-yearly; then, if the property consists of houses or buildings, a covenant for assurance, with provisions enabling the mortgagee to insure, in case of the mortgagor's default, then covenants for title, which are always absolute, and lastly, the power of sale. It is sometimes agreed that the mortgagor shall have the right to remain in possession until default made in payment of principal or interest, or waste, or other injury committed, in which case a provision to that effect should be inserted in the mortgage

(*a*) *Ante*, p. 110.

instrument (*b*). The same is executed by being signed and delivered by the mortgagor to the mortgagee, who should thereupon have it duly registered if the lands mortgaged be situate within a register county (*c*). A mortgage of freeholds must be by deed (*d*), which, in the absence of any agreement to the contrary, is prepared, after searches for incumbrances and requisitions usual on a transfer of land, by the mortgagee or his solicitor from the deeds and an abstract of title going back for sixty years furnished by the mortgagor (*e*), by whom the expenses of both abstract and mortgage instruments are borne (*f*).

A mortgage of land registered under the Land Transfer Act (*g*), to avail against subsequent registered dealings with the land, must be in the form prescribed by the rules and orders, dated 24th December, 1875 (*h*).

The respective rights and liabilities of the mortgagor and mortgagee of freeholds are governed by the general principles already laid down (*i*), and by special statutes and rules only applicable to incumbrances on land; these it will now be our business to expound.

In the absence of express powers usually conferred on the mortgagee of lands, and if the statute be not otherwise directly or indirectly excluded, it is enacted that mortgagees may at any time after the expiration of one year from the time the principal money shall have become payable according to the terms of the deed, or after any interest on such principal money shall have been in arrear for six months, or after any omission on the part of the mortgagor to pay any premium on any insurance for which he was liable under the deed, sell, insure, or obtain, the

(*b*) *Ante*, p. 110.

(*c*) In England, only Middlesex, Yorkshire, and Kingston-on-Hull; in Ireland, the whole country, *post*, pp. 238, 239.

(*d*) 8 & 9 Vict. c. 106.

(*e*) S. 1, 37 & 38 Vict. c. 78, substitutes 40 for 60 years' title on a sale, apparently leaving the longer period still proper on other transfers. As to when a 20 years' may be a good title under s. 2, subs. 2, see Bolton *v.* The School Board for London, L. R. 7 Ch. D. 766.

(*f*) Wilkinson *v.* Grant, 25 L. J. C. P. 233.

(*g*) 38 & 39 Vict. c. 87.

(*h*) 11 W. N. 34.

(*i*) *Ante*, pp. 109—118.

appointment of a receiver of any hereditaments mortgaged to them by deed as effectually as if conferred by the party creating the charge (*k*).

The receipts of the persons exercising the above power of sale are to be sufficient discharges to the purchaser (*l*), but six months' notice in writing is to be given to the person entitled to the property subject to the charge before a sale is to take place (*m*); the proceeds of a sale are to be applied to payment—1st, of the expenses incident thereto; 2nd, of the interest and costs and principal money due; 3rd, and any remaining balance is to go to the person entitled to the property subject to the charge (*n*); the person exercising the power of sale is empowered to convey all the estate and interest of the person who created the charge (*o*), and entitled to call for the title deeds and a conveyance of the legal estate, if that be outstanding in a trustee (*p*).

A receiver may be appointed by the person entitled to obtain such appointment from amongst any persons named in the deed of charge for that purpose, or, if no such persons be named, then, after ten days' notice in writing to the person entitled to the property to appoint a receiver, and his default to comply with such notice (*q*); the receiver is to be deemed the agent of the mortgagor (*r*), and is given full power to demand, receive, and give effectual receipts for all the rents, issues, and profits of the property over which he is appointed (*s*); the moneys received by him are to be applied to the payment—1st, of all taxes, and assessments whatsoever, of his own commission, and of the premiums on insurance, if any; 2nd, of interest accruing due on the principal money secured; 3rd, of the balance to the person entitled to the property subject to the charge (*t*).

On the execution of the mortgage, the mortgagee in the

(*k*) 23 & 24 Vict. c. 145, ss. 11, 32.
(*l*) *Ibid.*, s. 12.
(*m*) *Ibid.*, s. 13.
(*n*) *Ibid.*, s. 14.
(*o*) *Ibid.*, s. 15.
(*p*) *Ibid.*, s. 16.
(*q*) *Ibid.*, s. 17.
(*r*) *Ibid.*, s. 18.
(*s*) *Ibid.*, s. 19.
(*t*) *Ibid.*, s. 23.

absence of any stipulation to the contrary may enter into possession of the tenements (*u*); if he refrains from doing so, the mortgagor becomes his tenant at will, *quodam modo*, and, on breach of condition, his tenant at sufferance, *quodam modo* (*x*), and may at any time thereafter be ejected by him without notice (*y*). So long, however, as the mortgagor is permitted to remain in possession, he is entitled to receive the rents and profits for his own use without any liability to account to the mortgagee (*z*), and, if need be, to distrain for the same (*a*); he is also entitled to cut timber unless the estate would be thereby rendered a scanty security (*b*); and now, a mortgagor entitled for the time being to the possession or the receipt of the rents and profits of any land as to which no notice of his intention to take possession or to enter into the receipt of the rents and profits thereof shall have been given by the mortgagee, may sue for such possession, or for the recovery of such rents or profits, or to prevent or recover damages in respect of any trespass or other wrong relative thereto, in his own name only, unless the cause of action arises upon a lease or other contract made by him jointly with any other person (*c*). When a mortgage is effected for a time certain, neither mortgagor nor mortgagee can enforce payment before the appointed period; though if the creditor accept payment before such period the condition will be performed (*d*). If default in payment be then made, the mortgagee is entitled to six months' notice of the mortgagor's intention to pay off the security, or to six months' interest in lieu of such notice (*e*); but no such right accrues to a mortgagee who himself demands payment, and that, even from the representatives of a deceased mortgagor; thus, it was held that a mortgagee

(*u*) Doe d. Roylance *v.* Lightfoot, 8 M. & W. 553.

(*x*) I. Fisher on Mortgs., 3rd ed., p. 442; I. Pow. Mortgs. 157 b. n.

(*y*) Doe d. Roby *v.* Maisey, 8 B. & C. 767.

(*z*) Drummond *v.* Duke of St. Albans, 5 Ves. 438.

(*a*) Trent *v.* Hunt, 9 Exch. 14.

(*b*) Usborne *v.* Usborne, 1 Dick, 75; Hampton *v.* Hodges, 8 Ves. 105.

(*c*) 36 & 37 Vict. c. 66, s. 25, sub-s. 5; Fairclough *v.* Marshall, L. R. 4 Ex. D. 37.

(*d*) Day *v.* Day, 31 Beav. 270; Browne *v.* Lockhart, 10 Sim. 424; Keene *v.* Biscoe, L. R. 8 Ch. D. 201; Seaton *v.* Twyford, L. R. 11 Eq. 591.

(*e*) Burgoyue *v.* Spurling Cro. Car. 283.

who had filed a bill for the administration of the estate charged and was thereupon paid his principal, interest, and a sum for costs by a surety of the deceased mortgagor was not entitled to six months' interest in lieu of notice (*f*). If money secured on mortgage be made payable to the mortgagee, his heirs, executors, administrators or assigns, the mortgagor, on the death of the mortgagee, has an option to pay either the heir (who, however, will be a trustee for the executor or administrator), or the executor or administrator, provided payment be punctually made on the day named in the agreement between the original parties; but if no such day be named, or if the day named be past, the mortgagor has no option, and must pay the personal not the real representative (*g*). Until foreclosure or release of the equity of redemption, the heir of the mortgagee is only a trustee for the mortgagee's executors; but after foreclosure or release of the equity of redemption the estate belongs to the heir for his own benefit (*h*). On payment of principal and interest the mortgagor is entitled to a reconveyance of the property mortgaged, either by the mortgagee or, in case of his death, by his real or personal representative (*i*). Under the Building (*k*) and Friendly (*l*) Societies' Acts, a prescribed form of receipt for moneys advanced by the society vacates the mortgage or charge, and revests the legal estate in the owner of the equity of redemption or person best entitled to call for the legal estate (*m*).

A mortgagee who enters into possession of the mortgaged property in his character of mortgagee is bound to account for the rents and profits thereof to the mortgagor; both those which he actually received and those which he might have received but for his wilful default (*n*); and in taking such

(*f*) Letts *v.* Hutchins, L. R. 13 Eq. 176.

(*g*) Thornborough *v.* Baker, 1 Ch. Cas. 283.

(*h*) Thompson *v.* Grant, 4 Mad. 438.

(*i*) 37 & 38 Vict. c. 78, s. 4 [I. Dart V. & P. 5th ed. p. 16; II. Fisher Mortgs., 3rd ed. p. 1006].

(*k*) 6 & 7 Will. IV. c. 32, s. 5; 37 & 38 Vict. c. 42, s. 42.

(*l*) 38 & 39 Vict. c. 60, s. 16.

(*m*) Pease *v.* Jackson, L. R. 3 Ch. 576; Wright *v.* Monarch Investment Building Society L. R. 5 Ch. D. 726.

(*n*) Ward *v.* Carttar, L. R. 1 Eq. 79; Parkinson *v.* Hanbury, L. R. 2 H. L. 1; Elmer *v.* Creasy, L. R. 9 Ch. 69; Mayer *v.* Murray, L. R. 8 Ch. D. 424.

account the Court will under certain circumstances allow annual rests, that is, will charge the mortgagee with compound interest on the balance that has come to his hands from such rents and profits, after deduction of the interest due on the mortgage, and any other expenses that may be allowed (*o*). Thus, if the mortgagee enter into possession when no arrears of interest are due, or if any agreement exist between the parties by which interest in arrear is converted into principal, or if a mortgagee who, on entering into possession, was not liable to account with annual rests, continue in possession after a settled account by which it appeared either that no interest was due or that any interest which was due was satisfied as interest by being converted into principal—in these several cases annual rests will be made (*p*). So, though interest is in arrear, if part of the mortgaged property is sold by the mortgagee, producing more than the interest due, there must be a rest, and the surplus applied to reduction of principal; it cannot be retained as a fund to meet future interest (*q*).

Generally, annual rests are not required in England (though it is otherwise in Ireland, where they are made half-yearly without special direction by the Court (*r*))—thus, they are not required where the interest of the mortgage is in arrear at the time when the mortgagee takes possession (*s*), even although the rents and profits may exceed the annual interest (*t*), nor until the principal debt is entirely paid off (*u*). A mortgagee in possession is allowed his expenses for all repairs necessary for the support of the property (*v*), and for his costs in defending the title thereto (*w*), but not for general improvements made without the acquiescence or consent of the mortgagor (*x*); and

(*o*) Thomson *v.* Hudson, L. R. 10 Eq. 497; Douglas *v.* Culverwell, 4 De G. F. & J. 20.

(*p*) Wilson *v.* Cluer, 3 Beav. 136; Yates *v.* Humbly, 1 Mad. 14; Cotham *v.* West. Rolls, 15th Nov., 1836, R. L.; Thornecroft *v.* Crockett, 2 H. L. C. 239.

(*q*) Thomson *v.* Hudson, L. R. 10 Eq. 497.

(*r*) Davis *v.* May, 19 Ves. 382; Graham *v.* Walker, 11 Ir. R. Eq. 415.

(*s*) Stephens *v.* Willings, 4 L. J. N. S. 481; Wilson *v.* Cluer, *ubi supra.*

(*t*) Baldwin *v.* Lewis, 4 L. J. N. S. Ch. 113; Shepherd *v.* Elliot, 4 Mad. 254.

(*u*) Wilson *v.* Cluer, *ubi supra*; Scholefield *v.* Lock, 32 Beav. 439.

(*v*) Godfrey *v.* Watson, 3 Atk. 518.

(*w*) Lomax *v.* Hide, 2 Vern. 184.

(*x*) Sandon *v.* Hooper, 6 Beav. 246.

in no case will a Court of Equity permit a mortgagee, merely as such, to commit waste or do damage to the estate, as, for example, by pulling down cottages (*y*), or opening mines, without being answerable for the damage or profits (*z*). The mortgagee is bound by leases made before the mortgage, but he may recover in ejectment without notice to quit against a tenant who claims under a lease granted by the mortgagor without his privity after the mortgage (*a*.) He may, however, adopt such a lease, and once he has expressly or impliedly recognised the claimant as tenant, he cannot go back upon the transaction, but is thenceforth invested with the rights and liabilities of lessor under the agreement (*b*.)

From the time a mortgagee enters into possession he becomes entitled not only to future rents but also to any arrears of rent that may be then due (*c*), and, after a tenant has notice of the mortgagee's claim, he is liable to the latter, for such rents and arrears (*d*) but he is not liable for rents due and paid to the mortgagor before such notice, though, if he pay the mortgagor in advance, and the mortgagee enters into possession before the rent falls due, he cannot resist the mortgagee's demand for the amount on its falling due (*e*.)

As the debts of a deceased person are in the first instance payable out of his personal estate, it was formerly held that an executor or administrator was bound to pay off the testator or intestate's mortgage debts, even when the property charged was freehold (*f*). To this rule there were some exceptions; thus, if the mortgage debt had not been contracted by the deceased person, but the land had come to his hands charged, then, as his personalty had not had the benefit of the advance, so it was not

(*y*) *Ibid.*

(*z*) Hughes *v.* Williams, 12 Ves. 493; Thornycroft *v.* Crockett, 16 Sim. 445; Millett *v.* Davey, 31 Beav. 470.

(*a*) Keech *v.* Hall, Doug. 21.

(*b*) Smith *v.* Egginton, L. R. 9 C. P. 145; Gibbs *v.* Cruickshank, L. B. 8 C. P. 454.

(*c*) Moss *v.* Gallimore, Doug. 279; 4 Ann. c. 16. 16, s. 9.

(*d*) Rawson *v.* Dicke, 7 A. & E. 451.

(*e*) Cook *v.* Guerra, L. R. 7 C. P. 132; De Nicholls *v.* Saunders, L. R. 5 C. P. 589.

(*f*) Howell *v.* Price, 1 P. Wms. 291; Pockley v. Packley, 1 Vern. 36; Belvedere *v.* Rochfort, 5 Bro. P. C. 299.

charged with its repayment, but the land, in the absence of a contrary provision by settlement or will, was first subject to the debt in the hands of the heir or devisee (*g*). Again, if a mortgage were effected under a power to mortgage, and the person executing the power pay off the mortgage, he will be an incumbrancer for the amount so paid off, and the land would be the primary fund for discharge of the incumbrance (*h*). The same rule obtained when one mortgaged as surety, as, for example, when husband and wife joined in mortgaging the wife's freeholds; in such case the money, whether paid to her and her husband or to him alone, is *primâ facie* considered to be borrowed for his advantage, and his estate is first liable, even where the husband subsequently pays off the mortgage and takes an assignment in trust for himself (*i*); but the wife's land may be rendered primarily liable to the debt by extrinsic evidence that the mortgage money was paid for her benefit (*j*).

Under Locke King's Act (*k*), and its two amending Acts (*l*), lands in mortgage or subject to vendor's lien for purchase-money are, on the death of the mortgagor or vendor, and in the absence of a contrary intention signified by him, now charged with the mortgage debt or purchase-money. The effect of these enactments is as follows: By 17 & 18 Vict. c. 113, it is enacted that the heir or devisee of any person dying after 31st December, 1854, seized of or entitled to any estate or interest in any land charged at the time of his death with the payment of any sum or sums of money by way of mortgage, and not signifying any contrary or other intention by his will, or deed, or other document, shall not be entitled to have the mortgage debt discharged or satisfied out of the personal or any other real estate of such person, but that the land so charged shall, as between the different persons claiming through or under the deceased

(*g*) Lawson *v.* Hudson, 2 Bro. C. C. 77; Scott *v.* Beecher, 5 Mad. 96.

(*h*) Jenkinson *v.* Harcourt, Kay, 688; *Ex parte* Digby, Jac. 235; *In re* Betteris Trust Estates, L. R. 12 Eq. 553.

(*i*) Huntingdon *v.* Huntingdon, 2 Vern. 437.

(*j*) Hudson *v.* Carmichael Kay, 613.

(*k*) 17 & 18 Vict. c. 113.

(*l*) 30 & 31 Vict. c. 69; 40 & 41 Vict. c. 34.

person, be primarily liable to the payment of all mortgage debts with which the same shall be charged, every part thereof according to its value bearing a proportionable part of the mortgage debt charged on the whole thereof. The Act does not interfere with nor affect the rights of the mortgagee to obtain full payment or satisfaction out of the personal estate of the person so dying as aforesaid or otherwise (*m*); it applies to copyholds (*n*) and to equitable mortgages by deposit and memorandum (*o*), but not to vendor's lien (*p*), nor to leaseholds (*q*), nor semble to land devised upon trusts for conversion and taken in its converted state (*r*). In a mortgage of both realty and personalty, the realty is not primarily but only rateably liable to the payment of the mortgage debt (*s*).

What amounts to an effectual declaration that land mortgaged should be exonerated from the debt is an extremely difficult question; it is, however, a general rule that a "contrary intention" is signified by a testator providing a fund of any description whatever for payment of his debts (*t*).

It has been held that a direction in a will that all testator's debts should be paid by his executors out of his estate, followed by a gift of all testator's real and leasehold estates (which were subject to a mortgage) to trustees, who with testator's wife were also named executors, was not a sufficient expression of a contrary intention within the meaning of the statute (*u*); but that a bequest of personalty *subject to the payment thereout of all the testator's debts*, following a devise of land in mortgage was a sufficient indication of such intention (*v*), and so was a specific devise of the equity of redemption of one of two estates comprised in the same mortgage, the equity of redemption in the

(*m*) Lipscomb *v.* Lipscomb, L. R. 7 Eq. 501.

(*n*) Piper *v.* Piper, 1 Johns. & H. 91.

(*o*) Pembroke *v.* Friend, 1 Johns. & H. 132.

(*p*) Barnwell *v.* Ironmonger, 1 Drew. & S. 255.

(*q*) *In re* Wormsley's Estate; Hall *v.* Wormsley, L. R. 4 Ch. D. 665; Solomon *v.* Solomon, 32 L. J. Ch. 473.

(*r*) Lewis *v* Lewis, L. R. 13 Eq. 218.

(*s*) Trestrail *v.* Mason, L. R. 7 Ch. D. 655; Leonino *v.* Leonino, L. R. 10 Ch. D. 460.

(*t*) Maxwell *v.* Hyslop, L. R. 4 Eq. 407; but see *In re* Newmarch; Newmarch *v.* Storr, L. R. 9 Ch. D. 12.

(*u*) Woolstoncroft *v.* Woolstoncroft, 2 De G. F. & J. 347.

(*v*) Mellish *v.* Vallens, 2 J. & Hem. 194.

other being allowed to pass under a residuary devise, and thus the latter estate made liable for the whole debt (*w*).

Since these decisions, it has been enacted that a general direction in a will for payment of a testator's debts out of his personal estate is not, as to wills of persons dying after 31st December, 1867, to be deemed an expression of an intention contrary to the rule established by Locke King's Act, unless such contrary or other intention be further declared by words expressly or by necessary implication referring to all or some of the testator's debts or debt charged by way of mortgage on any part of his real estate (*x*). In the construction of the statute the word mortgage extends to vendor's lien for purchase-money, the purchaser being a testator (*y*). "If then a freehold or copyhold estate is contracted to be sold, and the purchaser dies before the whole of the purchase-money is paid, and by his will he makes a general or specific devise of such estate, the purchased estate will be the primary fund for the discharge of the unpaid purchase-money. If, however, the purchaser dies intestate, his personal estate will be the primary fund for this purpose" (*z*). The Act extends to a will made before 1st January, 1868, directing all debts to be paid out of testator's estate (*a*). It will be observed that the 30 & 31 Vict. c. 69, speaks only of wills; where the mortgagor declares his intentions as to the discharge of the mortgage debt in a deed or other non-testamentary document the exoneration of the estate charged will depend upon the construction put upon the 17 & 18 Vict. c. 113, and if a vendee die intestate the provision as to vendor's lien has no application (*b*).

During the year 1877 an Act (*c*) to amend Locke King's Act, and its amending Act, was passed and came into operation on

(*w*) Brownson *v.* Laurence, L. R. 6 Eq. 1. See also Sackvill *v.* Smyth, L. R. 17 Eq. 153; Coote *v.* Lowndes, L. R. 10 Eq. 376.

(*x*) 30 & 31 Vict. c. 69; *In re* Newmarch; Newmarch *v.* Storr, L. R. 9 Ch. D. 12.

(*y*) Harding *v.* Harding, L. R. 13 Eq. 493.

(*z*) Prideaux, Preceds. in Convey. I. 470, 8th ed.

(*a*) Brownson *v.* Lawrence, *ubi supra.*

(*b*) Harding *v.* Harding, *ubi supra.*

(*c*) 40 & 41 Vict. c. 34. The Act does not extend to Scotland, s. 2.

the 1st January 1878, it provides as follows: The 17 & 18 Vict. c. 113, and the 30 & 31 Vict. c. 69, shall, as to any testator or intestate dying after the 31st day of December, 1877, be held to extend to a testator or intestate dying seised or possessed of, or entitled to any land or other hereditaments of whatever tenure, which shall at the time of his death be charged with the payment of any sum or sums of money by way of mortgage or any other equitable charge, including any lien for unpaid purchase-money, and the devisee or legatee or heir shall not be entitled to have such sum or sums discharged or satisfied out of any other estate of the testator or intestate unless (in the case of a testator) he shall within the meaning of the said Acts have signified a contrary intention, and such contrary intention shall not be deemed to be signified by a charge of, or direction for, payment of debts upon or out of residuary real and personal estate, or residuary real estate (*d*). The principal changes introduced by this enactment seem to be these:—

1. The operation of Locke King's Act is extended to lands of every tenure; hence, leaseholds will in future be subject to the same rule as freeholds; therefore Solomon *v.* Solomon (*e*), and that class of cases, cease to be law.

2. Locke King's Act and its amending Act are extended to charges on land by equitable charge, including lien for unpaid purchase-money as well as to charges by way of mortgage, and that whether the deceased died testate or intestate; thus, Harding *v.* Harding ceases to be law (*f*).

3. A charge of, or direction for, payment of debts due upon or out of residuary real and personal estate, or residuary real estate, shall not amount to a signification of a contrary or other intention within the meaning of the Acts.

It may not be here out of place to observe that a mortgage of land without more passes the fixtures annexed to (*g*), and the trade profits and goodwill of any business carried on on the premises mortgaged (*h*); but on and after 1st January, 1879, a

(*d*) 40 & 41 Vict. c. 34, s. 1.
(*e*) *Ante*, p. 127.
(*f*) *Ante*, p. 128.
(*g*) Meux. *v.* Jacobs, L.R. 7 H. L. 481.
(*h*) Pile *v.* Pile; *Ex parte* Lambton, L. R. 3 Ch. D. 36.

mortgage of land and fixtures, including trade machinery, will not avail as to the trade machinery against the mortgagor's execution creditors or trustee in bankruptcy, unless the mortgagee take possession, or the mortgage be duly registered under 41 & 42 Vict. c. 31 (*i*).

On the mortgagor's default to pay off the mortgage debt at the time stipulated, the estate mortgaged became, at Common Law, absolutely vested in the mortgagee (*j*); but in equity the mortgagor was still allowed to redeem the property provided he offered to do so within a reasonable time (*k*). This equity of redemption is not a mere right to re-acquire what has been forfeited, but is an actual estate in the land, subject to the rules and incidents which govern the devolution of other freehold estates; thus, if undisposed of, it descends to the mortgagor's heir, subject, since the year 1833, to the mortgagor's widow's dower, if not barred (*l*); it is liable to the claim of a widower as tenant by the curtesy; it may be entailed or otherwise settled, and, if entailed, may be set free by a disentailing deed (*m*); finally, it is assets in the hands of an heir or devisee for payment of his ancestor or testator's debts (*n*). An equity of redemption may be lost on the ground that an existing incumbrance has not been disclosed; for by 4 & 5 Will. & Mary, c. 16, s. 2, where a debtor upon judgment, statute, or recognisance, shall take up money of another upon mortgage, without notice of the judgment to the mortgagee, he loses his right to redeem; and by ss. 3, 4, a person mortgaging twice without giving notice of the first mortgage, loses his equity of redemption, provided that under-mortgagees may redeem. The above being a penal statute is construed strictly, and is therefore held not to apply to equitable mortgages (*o*).

Another mode in which an equity of redemption may be lost

(*i*) *Post*, pp. 210—212.
(*j*) Litt. s. 332.
(*k*) Casborne *v.* Scarfe, 1 Atk. 603; Pawlett *v.* Attorney-General, Hardres, 465, 469.
(*l*) 3 & 4 W. IV. c. 105, s. 2.
(*m*) Casborne *v.* Scarfe, *ubi supra*; *In re* Dudson's Contract, L. R. 8 Ch. D. 628.
(*n*) 3 & 4 W. IV. c. 104.
(*o*) Kennard *v.* Furtvoye, 2 Giff. 81.

is by lapse of time, and this leads us to consider the Statutes of Limitation as bearing upon the relations of mortgagor and mortgagee in general. The legislative enactments upon this subject are comprised in four Acts of Parliament, viz., 3 & 4 Will. IV. c. 27; 3 & 4 Will. IV. c. 42; 7 Will. IV. & 1 Vict. c. 28; and 37 & 38 Vict. c. 57; of these, the second namedre lates to actions brought upon the covenants entered into, the other three relate to actions brought to recover the mortgage debt or mortgaged land respectively.

By ss. 3—5, 3 & 4 Will. IV. c. 42, all actions of covenant or debt upon any specialty must be commenced and sued within twenty years after the cause of action, or within twenty years after any acknowledgment shall have been made, either by writing signed by the party liable by virtue of any such specialty, or his agent (*p*), or by part payment or part satisfaction on account of any principal or interest being then due thereon; or in case the person entitled to any such action be at the time the cause of action accrues within the age of twenty-one years, *feme covert*, *non compos mentis* [or beyond seas] (*q*), then within twenty years after such person shall come or be of full age, discovert, of sound memory [or returned from beyond seas] (*r*).

By s. 28, 3 & 4 Will. IV. c. 27, when a mortgagee shall have obtained the possession or receipt of the profits of any land, or the receipt of any rent comprised in his mortgage (*s*), the mortgagor, or any person claiming through him, shall not bring any action to redeem the mortgage but within twenty years next after the time at which the mortgagee obtained such possession or receipt, or within twenty years next after the time at which an acknowledgment in writing of the title of the mortgagor, or of his right to redemption, shall have been given to the mortgagor or some person claiming his estate, or to the agent of such mortgagor or person, signed by the mortgagee or the person claiming through him; such acknowledgment, if

(*p*) Forsyth *v.* Bristowe, 22 J. L. Ex. 255.

(*q*) This privilege abolished 19 & 20 Vict. c. 97, s. 10.

(*r*) Pears *v.* Laing, L. R. 12 Eq. 41.

(*s*) Security in form of trust for sale within this section, Locking *v.* Parker, L. R. 8 Ch. 30.

there be several mortgagors, avails all equally, though only given to one; but, if there be several mortgagees or persons claiming the mortgagee's estate or interest, such acknowledgment avails only against that one or more of such mortgagees or persons as have signed the acknowledgment, and does not give the mortgagor or mortgagors a right to redeem the mortgage as against the person or persons entitled to any other undivided or divided part of the money or land, or rent (*t*); and the mortgagor is empowered, if the person giving the acknowledgment is entitled to a divided part of the land or rent, to redeem the same on payment, with interest, of a part of the mortgage money, which shall bear the same proportion to the whole mortgage money as the value of the divided part of land or rent shall bear to the value of the whole land or rent comprised in the mortgage.

By s. 40, 3 & 4 Will. IV. c. 27, no action shall be brought to recover any sum of money secured by any mortgage, judgment, lien, or otherwise charged upon or payable out of any land or rent but within twenty years next after a present right (*u*) to receive the same shall have accrued to some person capable of giving a discharge or release for or of the same; or within twenty years after payment of some part of the principal money or interest thereon (*x*); or within twenty years after some acknowledgment of the right thereto shall have been given in writing, signed by the person by whom the same shall be payable, or his agent, to the person entitled thereto, or his agent (*y*).

By 7 Will. IV. & 1 Vict. c. 28, any person entitled to or claiming under any mortgage of land (*z*), may make an entry or bring an action to recover such land at any time within twenty years next after the last payment of any part of the principal money or interest secured by such mortgage, although more

(*t*) Richardson *v.* Younge, L. R. 6 Ch. 478; 10 Eq. 275.

(*u*) Farran *v.* Beresford, 10 Cl. & Fin. 334.

(*x*) Homan *v.* Andrews, 1 Ir. Eq. Rep. N. S. 106.

(*y*) Binns *v.* Nichols, L. R. 2 Eq. 256; Greenfell *v.* Girdlestone, 2 Y. & Coll. 676.

(*z*) Doe d. Palmer *v.* Eyre, 26 L. J. Q. B. 431.

than twenty years may have elapsed since the time at which his right to make such entry, or bring such action, shall have first accrued, anything in 3 & 4 Will. IV. c. 27 notwithstanding (*a*).

By s. 16, 3 & 4 Will. IV. c. 27, if a person be under the age of twenty-one years, *feme covert*, *non compos mentis* [or absent beyond the seas] (*b*) at the time at which his right to make an entry or distress, or to bring an action to recover any land or rent (*c*) first accrues, then such person, or the person claiming through him, may make an entry or distress, or bring an action to recover such land or rent, at any time within ten years next after the time at which the person to whom such right shall have first accrued shall have ceased to be under any such disability, or shall have died (whichever of those two events shall have first happened) (*d*).

By s. 17, 3 & 4 Will. IV. c. 27, the entry, distress, or action mentioned in section 16 must be brought within forty years next after the time at which the right to bring the same shall have first accrued, although the person entitled shall not have ceased to be under disability during the whole forty years, or although the term of ten years from the time at which he shall have ceased to be under disability, or have died, shall not have expired (*e*).

By s. 18, 3 & 4 Will. IV. c. 27, when any person who is under any of the disabilities mentioned in section 16 at the time at which his right to make an entry or distress, or to bring an action to recover any land or rent, shall have first accrued dies without having ceased to be under such disability, no time to make an entry or distress, or to bring an action to recover such land or rent beyond the said period of twenty years next after the right of such person shall have first accrued, or the said period of ten years next after the death of such person, shall be allowed by reason of any disability of any other person (*f*).

(*a*) Doe d. Baddeley *v.* Massey, 20 L. J. Q. B. 434.

(*b*) Abolished, 19 & 20 Vict. c. 97, s. 10.

(*c*) Owen *v.* De Beauvoir, 16 M. & W. 567, 568.

(*d*) Borrows *v.* Ellison, L. R. 6 Ex. 129.

(*e*) Doe d. Corbyn *v.* Bramston, 4 A. & E. 63; Fulton *v.* Creag, 3 J. & L. 329.

(*f*) Devine *v.* Holloway, 9 W. R. 642.

By s. 14, 3 & 4 Will. IV. c. 27, when an acknowledgment (*g*) of title has been given to a person entitled to any land or rent, or to his agent (*h*), in writing, signed by the person in possession or in receipt of the profits of such land, or in receipt of such rent, then such possession or receipt of or by the person giving the ackowledgment is to be deemed the possession or receipt of or by the person to whom or to whose agent such acknowledgment has been given at the time of giving the same, and the right of such last mentioned person to make an entry or distress, or bring an action to recover such land or rent, shall be deemed to have first accrued at and not before the time at which such acknowledgment was given.

By s. 25, 3 & 4 Will. IV. c. 27, the right of a *cestui que trust*, or any person claiming through him, to bring an action against his trustee, or any person claiming through him, to recover any land or rent vested in such trustee upon any express trust (*i*), shall be deemed to have first accrued at and not before the time at which such land or rent shall have been conveyed to a purchaser for a valuable consideration, and shall then be deemed to have accrued only as against such purchaser and any person claiming through him. A security in form of a trust for sale is within this section (*k*), but not a mere constructive trust (*l*), nor vendor's lien for purchase money (*m*), nor general charge of debts on real estate, with direction to raise sufficient, by mortgage or otherwise, to pay them (*n*).

(*g*) Doe d. Curzon *v.* Edmonds, 6 M. & W. 295; Incorporated Society *v.* Richards, 1 Dru. & W. 290.

(*h*) Goode *v.* Job, 28 L. J. Q. B. 1; Ley *v.* Peter, 27 L. J. Ex. 239; Joyne *v.* Hughes, 24 L. J. Ex. 113.

(*i*) Mutlow *v.* Bigg, L. R. 18 Eq. 246. By s. 25, sub-s. 2, 36 & 37 Vict. c. 66, no claim of a *cestui que trust* against his trustee for any property held on an express trust is to be barred by any statute of limitations. See also Lewis *v.* Duncombe, 30 L. J. Ch. 732; Matthew *v.* Brise, 14 Beav. 341; s. 10, 37 & 38 Vict. c. 57, *post*, p. 135.

(*k*) Locking *v.* Parker, L. R. 8 Ch. App. 30.

(*l*) Young *v.* Lord Waterpark, 15 L. J. Ch. 68; Man *v.* Ricketts, 13 L. J. N. S. Ch. 194; Harris *v* Harris, 29 Beav. 110; Petre *v.* Petre, 1 Drew. 393.

(*m*) Toft *v.* Stephenson, 21 L. J. Ch. 129.

(*n*) Dickenson *v.* Teasdale, 32 L. J. Ch. 37. See also Knox *v.* Gye, L. R. 5 H. L. 656; Bourdick *v.* Garrick, L. R. 5 Ch. 233; Stone *v.* Stone, L. R. 5 Ch. 74; Watson *v.* Woodman, L. R. 20 Eq. 721; Cunningham *v.* Foot, L. R. 3 App. Cas. 974.

By s. 42, 3 & 4 Will. IV. c. 27, no arrears of rent or interest upon any sum of money charged upon or payable out of any land or rent, or any damages in respect of such arrears, shall be recovered by distress or action but within six years next after the same shall respectively have become due, or next after an acknowledgment of the same in writing shall have been given to the person entitled thereto, or his agent, signed by the person by whom the same was payable or his agent; provided that a person entitled to a subsequent mortgage or incumbrance on any land may recover in an action brought within one year after a prior mortgagee or incumbrancer shall have been in possession of such land, or in receipt of the profits thereof, the arrears of interest which shall have become due during the whole time such prior mortgagee or incumbrancer was in such possession or receipt, although such time may have exceeded six years.

The 37 & 38 Vict. c. 57 (Real Property Limitation Act, 1874), which, however, only commences and comes into operation on 1st January, 1879, modifies the foregoing provisions of 3 & 4 Will. IV. c. 27 in the following respects:—1st. It substitutes twelve for the twenty and six for the ten years' limitation that occur in the earlier statute (ss. 3, 7, 8, 9). 2nd. It allows no time for absence beyond seas (s. 4), a privilege which had already been abolished in general by 19 & 20 Vict. c. 97, s. 10 (*o*). 3rd. It substitutes thirty for forty years (allowed by s. 17, 3 & 4 Will. IV. c. 27) as the utmost allowance for disabilities (s. 5). 4th. It declares that no action shall be brought to recover any sum of money or legacy charged upon or payable out of any land or rent, and secured by an express trust, or to recover any arrears of rent or of interest in respect of such sum of money or legacy, or any damages in respect of such arrears, except within the time the same would be recoverable if there were no such trust (s. 10).

The foregoing provisions determine the time within which the

(*o*) Pardo *v.* Bingham, L. R. 4 Ch. 735.

following classes of actions must be brought:—(1) Action on covenant, (2) mortgagor's action to redeem, (3) mortgagee's action to recover money secured by mortgage, (4) action by person entitled to or claiming under any mortgage to recover land mortgaged, (5) action to recover arrears of rent or interest upon money charged upon or payable out of any land or rent, or to recover damages in respect of such arrears. Each of the above actions becomes barred by lapse of time computed from the period:—(1) when the cause of action accrued, (2) when a written and signed acknowledgment of liability was last given, (3) when any principal or interest was last paid, (4) when a party ceased to be under disability. Under the statutes of William IV. a cause of action accrues:—(1) to a covenantee on breach of the covenant by the covenantor (*p*); (2) to a mortgagor, from the time the mortgagee (after default made in payment of the mortgage debt) obtained possession or receipt of the profits of the land, or of the rent mortgaged (*q*); (3) to a mortgagee (1°) to recover money secured by mortgage, from the time a present right to receive the money shall have accrued to some person capable of giving a discharge or release for the same (*r*); (2°) to recover the land or rent mortgaged, from the time the mortgagee might have entered upon the land (*s*), *i.e.*, from execution of the mortgage in the absence of a stipulation that the mortgagor may remain in possession; (4) to a person entitled to arrears of rent or interest upon money charged upon or payable out of any land or rent, from the time the rent or interest fell due (*t*). In the first three cases the suit may be instituted within twenty years, in the last case within six years from the time the cause of action accrued (*u*). The restriction to recovery of six years arrears of rent or interest applies to suits instituted by the party entitled; hence, in a foreclosure suit a mortgagee can only recover six years' arrears of interest (*x*), and the same

(*p*) 3 & 4 Will. IV. c. 42, ss. 3—5.
(*q*) 3 & 4 Will. IV. c. 27, s. 28.
(*r*) *Ibid.*, s. 40.
(*s*) 7 Will. IV. & 1 Vict. c. 28.
(*t*) 3 & 4 Will. IV. c. 27, s. 42.
(*u*) Pears *v.* Laing, L. R. 12 Eq. 41.
(*x*) Hunter *v.* Nockolds, 1 Mac. & Gif. 641.

rule obtains where a mortgagee presents a petition for discharge of his debt out of money paid into Court for purchase of the property under the Lands Clauses Consolidation Act (*y*). In an action by a mortgagor to redeem, it is not yet decided whether the mortgagee is entitled to more than six years' arrears of interest, but it would seem he ought to be so entitled on the ground that the statute in this respect only bars the remedy, and therefore does not preclude a defendant from insisting on his right to be paid a subsisting debt in full (*z*). On the other hand, it is said that the price of redemption ought to be uniform, that therefore the Court ought not to allow a mortgagee more interest in a redemption suit than the statute allows in a foreclosure suit. If a mortgagee realise his security by sale, he has a right of retainer over the proceeds for all arrears of interest, nor will that right be affected by payment of such proceeds into Court to the credit of the mortgagee's estate which is being administered (*a*). When there is a covenant under seal to pay rent or interest, an action on the covenant will lie to recover twenty years' arrears of such rent or interest; hence, a mortgagee with whom the mortgagor has covenanted to pay interest on the debt is a secured creditor for six of twenty years' arrears of such interest, and an unsecured creditor for the remaining fourteen years' arrears (*b*).

The case, however, is different where the mortgagee claims against the heir of a mortgagor who has covenanted for payment for himself and his heirs; for there, to avoid circuity of action, the mortgagee will be allowed to tack the specialty to the mortgage debt, and thus he becomes a secured creditor for twenty full years' arrears of interest (*c*). The rule that prohibits more than six years' arrears of interest being recovered does not extend to an action brought by a person entitled to a subsequent

(*y*) *In re* Stead, L. R. 2 Ch. D. 717; 8 & 9 Vict. c. 18.

(*z*) See *post*, p. 382.

(*a*) Edmunds *v.* Waugh, L. R. 1 Eq. 418.

(*b*) Dav. Prec., 3rd ed., vol. ii., pt. 2, 572 n. In Ireland more than six years' arrears of interest are recoverable against the personal assets of a judgment debtor under 16 & 17 Vict. c. 113, s. 20; Breslin *v.* Hodgens, Ir. R. 10 Eq. 260.

(*c*) Elvey *v.* Norwood, 5 De G. & Sm. 541.

mortgage or other incumbrance on land, within one year next after any prior mortgagee or other incumbrancer has been in possession of the same land or in receipt of the profits thereof; in such action the plaintiff may recover the arrears of interest which shall have become due during the whole time that such prior mortgagee or incumbrancer was in the aforesaid possession or receipt, although such time may have exceeded six years (*d*). A judgment creditor who has the first security upon the estate, and gets into possession, is a prior incumbrancer within this section (*e*).

Equity follows the law in the matter of limitations (*f*); in cases of adverse possession where there is no trust, no infancy, no fraud, no suppression, where, in short, there is a mere *bonâ fide* adverse possession, it is not according to the course of the Court to carry back the account of rents beyond the filing of the bill (*g*) —the principle of which rule is, that in order to disentitle the plaintiff to an account of rents before the institution of the suit, there must be neglect in bringing the suit when he could have brought it (*h*).

Subject to the exception mentioned in s. 42, twenty and six years from the time the cause of action accrued are the respective periods within which the four classes of suits above-mentioned must be brought; those periods, however, may be extended by (1) a written and signed acknowledgment of liability, (2) payment of principal, interest, or rent, (3) the disability of a party to sue.

(1.) A written acknowledgment of liability, signed by a party liable on a covenant or his agent, operates as a renewal of the cause of action for twenty years from such acknowledgment (*i*); a written acknowledgment of the mortgagor's title, signed by the mortgagee or party claiming through him, and given to the mortgagor or person claiming through him, or to the agent of either within twenty years from the time

(*d*) S. 42, 3 & 4 W. IV. c. 27; Smith *v.* Hill, L. R. 9 Ch. D. 143; Cunningham *v.* Foot, L. R. 3 App. Cas. 974.

(*e*) Henry *v.* Smith. 2 Dru. & War. 38

(*f*) Knox *v.* Gye, L. R. 5 H. L. 656.

(*g*) Hicks *v.* Sallitt, 3 D. M. N. G. 782.

(*h*) Hickman *v.* Upsall, L. R. 4 Ch D. 144.

(*i*) 3 & 4 W. IV. c. 42, ss. 3—5.

an action to redeem accrued to the mortgagor, gives the latter a right to redeem within twenty years from such acknowledgment (*k*); a written acknowledgment of the right to a sum of money charged upon land, signed by the person by whom the same is payable or his agent, and given to the person entitled thereto or his agent, within twenty years from the time, a present right to receive such sum of money accrued to some person capable of giving a discharge or release for or of the same, authorises an action to be brought for the recovery of such money within twenty years from such acknowledgment (*l*); a written acknowledgment of arrears of rent or interest being due, signed by the person by whom the same was payable or his agent, and given to the person entitled thereto or his agent, authorises an action to be brought for recovery of such arrears within six years from such acknowledgment (*m*). Section 5, 3 & 4 Will. IV. c. 42, and s. 42, 3 & 4 Will. IV. c. 27, do not require the acknowledgment to be given at any specified period, whilst ss. 28, 40, 3 & 4 Will. IV. c. 27, declare that no actions shall be brought after twenty years from the accrual of the cause of action, unless in the meantime the requisite acknowledgment be given. In a case within s. 28, 3 & 4 Will. IV. c. 27, an acknowledgment was held good, though given after twenty years from the accrual of the cause of action (*n*), but it may be doubted if this decision can be supported (*o*).

(2.) Part payment or part satisfaction on account of any principal or interest due on covenant under seal (*p*), or payment of any part of a sum of money charged upon land, or of any interest thereon (*q*), enables the covenantee or person to whom a present right to receive the same has accrued, or who is entitled or claiming under any mortgage, to bring an action for breach of the covenant, or to recover principal and interest charged on

(*k*) 3 & 4 W. IV. c. 27, s. 28; Trulock *v.* Robey, 12 Sim. 406; Lucas *v.* Dennison, 13 Sim. 584.

(*l*) 3 & 4 W. IV. c. 27, s. 40.

(*m*) *Ibid.*, s. 42.

(*n*) Stansfield *v.* Hobson, 3 De G. M. & G. 620.

(*o*) Darby & Bosanq., Limit. 364, see s. 34, 3 & 4 W. IV. c. 27; Dawkins *v.* Ld. Penrhyn, L. R. 6 Ch. D. 318; *In re* Alison; Johnson *v.* Mounsey, W. N. (1879) 50.

(*p*) 3 & 4 W. IV. c. 42, s. 5.

(*q*) 3 & 4 W. IV. c. 27, s. 40.

land, or to recover land so charged (*r*), within twenty years from such payment. Section 5, 3 & 4 Will. IV. c. 42, and the 7 Will. IV. & 1 Vict. c. 28, do not require the payment to be made at any specified period. Section 40, 3 & 4 Will. IV. c. 27, bars an action after twenty years from accrual of the cause thereof, unless in the meantime the requisite payment be made.

(3.) If a person entitled to bring an action on a covenant under seal, or to recover land or rent, be under disability of infancy, coverture, or mental incapacity when the cause of action accrues, an action on the covenant may be brought within twenty years from the time the disability ceases (*s*); an action to recover the land or rent within ten years from the time the disability ceases, or the death of the person labouring under it, whichever event shall first happen (*t*); but an action to recover land or rent must, notwithstanding the continuance of disability, be brought within forty years from the accrual of the cause thereof (*u*), and no time beyond ten years from the death of a person under disability is allowed by reason of the disability of any other person (*x*).

The result of the statutes of Will. IV. and the Real Property Limitation Act, 1874, may be thus summarised :—a covenantee may bring an action on a covenant under seal within twenty years from accrual of the cause of action (*y*), or within twenty years from any due acknowledgment of liability (*z*), or if under disability when the cause of action accrues within twenty years from the time the disability ceases (*a*); a mortgagor may bring an action to redeem within twenty (or twelve) (*b*) years from accrual of the cause of action, or within twenty (or twelve) years from due acknowledgment of his title given within twenty (or twelve) years from accrual of the cause of action (*c*), or if under

(*r*) 7 W. IV. & 1 Vict. c. 28.
(*s*) 3 & 4 W. IV. c. 42, s. 4.
(*t*) 3 & 4 W. IV. c. 27, s. 16.
(*u*) *Ibid.*, s. 17.
(*x*) *Ibid.*, s. 18.
(*y*) 3 & 4 W. IV. c. 42, s. 3 ; Paget *v.* Foley, 2 Bing. N. C. 679.
(*z*) 3 & 3 W. IV. c. 42, s. 5 ; Roddam *v.* Morley, 1 De G. & J. 67 ; Moodie *v.* Bannister, 4 Drew. 433 ; Howcutt *v.* Bonsor, 3 Ex. 491.
(*a*) 3 & 4 W. IV. c. 42, s. 4.
(*b*) On and after 1st January, 1879, 37 & 38 Vict. c. 57.
(*c*) 3 & 4 W. IV. c. 27, s. 40.

disability when the cause of action accrues, within ten (or six) (*d*) years from the time such disability ceases (*e*), provided such period does not exceed forty (*f*) (or thirty) years from accrual of the cause of action; a mortgagee may bring an action to recover money (*g*) secured by a mortgage on land within twenty (or twelve) years from accrual of the cause of action, or within twenty (or twelve) years from due acknowledgment of the right to such money given within twenty (or twelve) years from accrual of the cause of action, or within twenty (or twelve) years from due payment of any part of such money or of the interest thereon, made within twenty (or twelve) years from accrual of the cause of action (*h*); a mortgagee may bring an action to recover any land or rent mortgaged within twenty (or twelve) years from accrual of the cause of action, or within twenty (or twelve) years from due payment of any part of the principal or interest thereon (*i*), or if under disability when the cause of action accrues, within ten (or six) years from the time such disability ceases (*k*), provided such period does not exceed forty (or thirty) (*l*) years from accrual of the cause of action; a person entitled to any arrears of rent or interest upon money charged upon or payable out of any land or rent, may bring an action to recover such arrears within six years from accrual of the cause of action, or within six years after due acknowledgment of such arrears being due, or, if a subsequent incumbrancer seeking to recover arrears of interest which became due during the possession of a prior incumbrancer, within any time from accrual of the cause of action, provided the action be brought within one year from the time the prior incumbrancer ceased to be in such possession (*m*).

(*d*) On and after 1st January, 1879, 37 & 38 Vict. c. 57.
(*e*) *Ibid.*, s. 16.
(*f*) *Ibid.*, s. 17.
(*g*) *Ibid.*, s. 40.
(*h*) 3 & 4 W. IV. c. 27, s. 40.
(*i*) 7 W. IV. & 1 Vict. c. 28.
(*k*) 3 & 4 W. IV. c. 27, s. 16.
(*l*) *Ibid.*, s. 17.
(*m*) 3 & 4 W. IV. c. 27, s. 42; Smith *v.* Hill, L. R. 9 Ch. D. 143; *In re* West's Estate, 4 L. R. Ir. 124.

CHAPTER XVIII.

MORTGAGES OF LEASEHOLDS FOR YEARS.

A MORTGAGE of a leasehold term for years is effected either by demise or by assignment; by a demise, an estate for years is created; by an assignment, an estate for years is transferred. A demised estate for years must be carved, either directly out of the freehold, as when a term is granted by tenant in fee, in tail, or for life—or directly out of a subsisting leasehold, and indirectly out of the freehold, as when tenant for years underlets for a term less than his own. In the case of an underlease the sub-lessee holds of the original lessee, but in the case of an assignment or conveyance by which a tenant for years passes his whole interest in the term, the assignee holds of the original lessor, to whom he will be liable on the assignors' covenants in the lease which as such run with the land (*a*). To avoid this liability, it is usual on the part of a mortgagee of leaseholds to insist that the mortgage should be by way of underlease, and as any demise short by a single day of the original term will constitute an underlease, a mortgage in that mode may be made for an interest all but as durable as the interest of the mortgagor. By the joint effect of the Statute of Frauds (*b*) and the Act further to amend the law of property (*c*), all mortgages by way of demise (*d*), except such as do not exceed three years from the making thereof and whereon two-thirds of the full improved value is reserved as rent (*e*), and all mortgages by way of assignment with perhaps

(*a*) Spencer's Case, 5 Rep. 16; Moule *v.* Garrett, L. R. 7 Ex. 95; Cornish *v.* Stubbs, L. R. 5 C. P. 334, per Willes, J.

(*b*) 29 Car. II. c. 3.
(*c*) 8 & 9 Vict. c. 106.
(*d*) 29 Car. II. c. 3, s. 1.
(*e*) *Ibid.*, s. 2.

a similar exception, are required to be by deed (*f*). The form and contents of the deed are similar to the form and contents of a mortgage deed of freeholds, except that the words appropriate to the limitation of chattels are used, that the mortgagor covenants that he has good title to demise or assign, that, besides the recital of the agreement for a loan, there is a preceding recital of the indenture of lease under which the mortgagor holds, and that where the mortgage is by way of underlease, it is provided that in the event of the mortgagee exercising his power of sale, the mortgagor should stand possessed of the residue of the original term in trust for the purchaser. The mortgage deed is prepared and its expenses borne in the manner before described, and in the absence of agreement dispensing with production of title deeds the lessor's title as well as the subsequent title to the term must be shown (*g*); even though the lease which is the root of title is more than sixty years old (*h*). Where leaseholds are registered under the Land Transfer Act, they may be mortgaged in the manner prescribed by that statute, and the rules made in pursuance thereof (*i*).

The principles and statutes that govern the relations of the mortgagor and mortgagee of leaseholds are for the most part the same as those that govern similar relations in the case of freeholds; in two particulars, however, viz., 1st, registration; 2nd, limitation of actions, mortgages of freeholds and leaseholds stand on a different footing:— 1st. The Acts requiring registration of memorials of conveyances of lands do not extend to any leases at rack-rent, or for a term not exceeding twenty-one years, where the actual possession and occupation go with the lease (*k*).

(*f*) 29 Car. II. c. 3, s. 3. Chitty on Contracts, 10th ed., 291, 292.

(*g*) I. Dart. V. & P., 5th ed., 290. Under s. 2 (1), 37 & 38 Vict. c. 78, the intended grantee or assign on a contract for sale of a term of years is no longer entitled to call for the title to the freehold.

(*h*) Frend *v.* Buckley, L. R. 5. Q. B. 213.

(*i*) 38 & 39 Vict. c. 87; 11 W. N. 34.

(*k*) 2 & 3 Ann. c. 4, s. 17; 6 Ann. c. 35, s. 29; 7 Ann. c. 20, s. 18; 8 Geo. II. c. 6, s. 34; 6 Ann. Ir. c. 2, s. 14.

Hence, in the absence of a stipulation depriving the mortgagee of his right to enter and occupy, it seems unnecessary to register a mortgage (either by demise or assignment) of a term not exceeding twenty-one years; and on the other hand registration would appear indispensable if the mortgagee be debarred of entry and occupation until default made by the mortgagor or other event, and perhaps also if he do not take actual possession. In practice, however, it is usual to register all mortgages of leaseholds, whether or not the mortgagee enter into possession (*l*). 2nd. The general effect of the Statutes of Limitation in regard to mortgages of land, is to bar after a given period actions which have the following objects:—(1) to recover land mortgaged; (2) to recover money charged on land; (3) to recover arrears of interest on money charged on land, or to recover arrears of rent; (4) to recover damages for breach of covenant under seal (*m*). It is only in respect to actions for the recovery of the land mortgaged that a difference exists in the provisions of the above Acts between mortgages of freeholds and mortgages of leaseholds; hence, in treating of the latter we may confine ourselves to an indication of the points in which that difference consists, referring to our previous observations for an account of the rules which effect mortgages of freeholds and leaseholds alike. There are, then, three separate sections in the Statutes of Limitation which specially modify the general clauses relating to the recovery of mortgaged land, and bear directly on leaseholds. By s. 3, 3 & 4 Will. IV. c. 27, the right to bring an action to recover land accrues to a reversioner thereof at the time when the estate in reversion shall become an estate in possession. By section 8, in cases of tenancies from year to year or other period without any lease in writing, the right is to accrue at the determination of the first of such years or other periods, or at the last time when any rent shall have been received (which shall last happen). By section 9, in case of a lease in writing with

(*l*) Sug. V. & P., 14th ed., 732.

(*m*) *Ante*, p. 136.

twenty shillings rent or upwards, and the rent shall have been wrongfully received by a person claiming to be entitled to such rent or reversion immediately expectant on the determination of such lease, and no payment shall have been made to the party rightfully entitled, the right is to accrue at the time of the first wrongful payment, and not at the determination of the lease (*n*). From the accrual of the cause of action as so defined, the same periods are allowed for bringing the action as in other cases; that is, the party entitled may sue within twenty (or twelve) (*o*) years from such accrual, or if under disability at the time of such accrual, within ten (or six) years from the time such disability ceases, provided the action be brought within forty (or thirty) years from its accrual (*p*). Thus, a tenant of leaseholds who mortgages the same by way of underlease can bring an action to redeem within the specified periods from the expiration of the underlease, unless indeed a rent of twenty shillings or upwards has been reserved on such underlease, and such rent has been wrongfully received, and no payment made to the mortgagor as described in section 9, in which case the mortgagor in his character of reversioner, can only bring an action to redeem within the specified periods from the first wrongful payment, and not from the expiration of the underlease. Where the underlease creates a tenancy from year to year, or other period without any lease in writing, the determination of the first of such years, or other periods, or the last receipt of rent (which shall last happen) is to be deemed the expiration of the underlease. The right of the mortgagor to bring an action as reversioner is cumulative on his right to bring an action as mortgagor; in other words, mortgagors of freeholds and leaseholds have as such the same time to redeem, but a mortgagor of leaseholds has in addition a further time for that purpose in his capacity of reversioner. In case a mortgagor

(*n*) Williams *v.* Pott, L. R. 12 Eq. 149.

(*o*) *Ante*, pp. 140, 141.

(*p*) On and after 1st January, 1879; 37 & 38 Vict. c. 57,

has as such lost his right of redemption, it may be a question whether he can bring an action to redeem as reversioner until the falling in of the reversion; thus, if tenant for fifty years mortgages for a term of thirty years, and the mortgagee remain in possession for twenty years, so as to bar action to redeem, brought by the mortgagor as such, it is not clear whether the mortgagor as reversioner can institute an immediate suit, or must wait till the expiration of the term of thirty years. If the mortgagor fail to redeem within the time allowed him, either as mortgagor or as reversioner, the mortgagee obtains an irredeemable estate in the mortgagor's term. On the determination of such term the original lessor may eject the mortgagee, but if he fail to do so within twenty (or twelve) years from such determination, and no acknowledgment of his title have been meantime given, the mortgagee will, on the expiration of such twenty (or twelve) years, obtain an indefeasible estate as against such lessor (*q*). The estate so acquired will be commensurate in quantity of interest with the estate of the lessor, so that, according as the latter was tenant in fee or of a less estate, will an estate in fee or for a less interest be acquired by the mortgagee. When a leasehold is mortgaged by assignment of the term, the mortgagor, having no reversion, can only redeem within the time allowed a mortgagor as such; the lessor is in this case the immediate reversioner; from him the mortgagee holds as tenant, and on determination of the term an indefeasible estate as against the lessor may be obtained by the mortgagee in the manner just described. The lessor's power to eject is subject to the restriction contained in s. 9, 3 & 4 Will. IV. c. 27 (*r*).

(*q*) *Ante*, p. 141.

(*r*) See Governors of Magdalen Hospital *v.* Knotts, L. R. 8 Ch. D. 679, 725; Adnam *v.* Earl of Sandwich, L. R. 2 Q. B. D. 485.

CHAPTER XIX.

MORTGAGES OF COPYHOLDS.

A MORTGAGE of a copyhold estate is effected by a conditional surrender of the estate to the use of the mortgagee, the condition being that the surrender shall be void if the money advanced be duly re-paid at a fixed day, but otherwise shall remain in full force and effect By the surrender nothing passes until due entry upon the Court Rolls (*a*); these acts being completed, the mortgagee generally abstains from taking admittance until it becomes necessary or desirable to do so; in this way the fines and fees are saved, and the mortgagee escapes the incidents of the tenancy, for before admittance a surrenderee's estate is merely equitable, the surrenderor remaining liable to the lord for the services and for forfeiture (*b*). Except by special custom, the lord cannot compel the mortgagee to take admittance either before or after breach of the condition (*c*); upon such breach, however, and admittance the mortgagee's estate becomes absolute, and his title relates back to the surrender, so that he acquires priority over all admitted surrenderees subsequent thereto (*d*). The terms upon which the mortgage is made are contained in a deed, the form of which is similar to a mortgage deed of freeholds, except that in place of the granting clause and the proviso to re-convey on re-payment of the debt, there is a covenant to surrender, or cause the copyholds to be surrendered to the use of the mort-

(*a*) Burgaine *v.* Spurling, Cro. Car. 283; Fawcett *v.* Lowther, 2 Ves. 303; 4 & 5 Vict. c. 35 s. 90.

(*b*) Doe d. Shewen *v.* Wroot, 5 East 132; Minton *v.* Kirkwood, L. R. 1 Eq. 449; I. Fisher Mortgs. 3rd ed. 21.

(*c*) Watk. Cop. 1, 148 n.

(*d*) Holdfast d. Woolams *v.* Clapham, 1 T. R. 600; I. Fisher Mortgs. 3rd ed. 22; see Wade's Case, 5 Co. 114 b; Co. Litt. 209*a*, *et seq.*

gagee, and a proviso making void the surrender on re-payment of the debt. Where a mortgage is effected on the joint security of copyholds and freeholds, or leaseholds, the mortgage may be comprised in a single deed which should contain the covenant to surrender, and make the covenants for title extend to the copyholds. When a mortgagor fails to surrender pursuant to his covenant, the mortgagee may obtain the estate by a vesting order under the Trustee Act, 1850 (*e*), and the Trustee Extension Act, 1852 (*f*).

The Land Transfer Act does not extend to copyholds.

With a few exceptions, mortgages of copyholds, like mortgages of leaseholds, are governed by the same principles and statutes as govern mortgages of freeholds: (1) registration; (2) entry of satisfaction; and (3) limitation of actions, furnish the chief exceptional matters of difference. (1) The Acts requiring registration of memorials of conveyances of lands do not extend to copyholds (*g*), yet it is considered advisable, though not clearly necessary, to register leases of copyholds where leases of freeholds (*h*) would be registered. the lease being a Common Law interest. (2) On discharge of the mortgage debt, the mortgagor requires no fresh admittance, unless the mortgagee have been admitted, and the day of payment be past, otherwise it is sufficient to enter satisfaction on the Rolls (*i*). (3) There are no special provisions in the Statutes of Limitations as to copyholds; hence the general clauses relating to mortgages would seem to put copyholds and freeholds on the same footing, so far as time may bar a mortgagor or mortgagee from bringing an action. Of the actions that may be brought, the only class in dispute is that which embraces actions for recovery of the land mortgaged; the other classes of actions are (*k*)

(*e*) 13 & 14 Vict. c. 60, ss. 3, 20; *In re* Crowe's Mortgage, L. R. 13 Eq. 26; *In re* Walker's Mortgage Trusts, L R. 3 Ch. D. 209.

(*f*) 15 & 16 Vict. c. 55, s. 2; *In re* Cuming, L. R. 5 Ch. 72.

(*g*) See the Sections quoted *supra*, p. 143.

(*h*) Sug. V. & P. 14th ed. 732.

(*i*) Gilb. Ten. 276; Simonds *v.* Lawnds, Cro. Eliz. 239; 1 Scri. 194, 4th ed.; II. Fisher, 1067, 3rd ed.

(*k*) *Ante*, p. 136; see Hodgson *v.* Hooper, 6 Jur. N. S. 911; Barron *v.* Martin, 19 Ves. 327.

subject to the same rules, whether the property in question be freehold or copyhold. Now with regard to actions for recovery of copyhold land, there are two periods to which the accrual of the cause of action may be referred—either the time of the surrender, or the time of the admittance, and according as the action is deemed to accrue at the first or at the second of these periods, mortgaged copyholds will or will not respectively be recoverable by action within the same time as mortgaged freeholds are recoverable. In a recent case, it was held that the heir of a tenant of copyholds, which were seized by the lord *quousque*, not having claimed to be admitted till over twenty years after the seizure, was barred of his right to admittance by the Statutes of Limitation (*l*). There, however, the plaintiff, as devisee, was in the situation of a surrenderee on an absolute surrender, whereas a mortgagee is only a surrenderee on a conditional surrender; and it may therefore be consistent with the above authority to refer to the admittance as the true period at which causes of action to recover mortgaged copyholds accrue. From the time of such accrual, actions must be commenced within the same periods as are allowed from the cause of action in the case of freeholds (*m*).

(*l*) Walters *v.* Webb, L. R. 5 Ch. 531.

(*m*) *Ante*, pp. 140, 141.

CHAPTER XX.

MORTGAGES OF SHIPS.

MORTGAGES of ships, and shares therein, are effected in the mode prescribed by the Merchant Shipping Act, 1854 (*a*). By that statute all British sea-going vessels are required to be registered (*b*), and the property in every registered ship is divided into sixty-four equal shares, of any one or more of which any person or persons (not exceeding five for a single share), may be registered as owners, provided the total number of such owners does not exceed thirty-two (*c*). There are two ways in which a registered ship, or any shares therein, may be mortgaged; (1) by a direct mortgage and registration thereof; (2) by mortgage under a mortgage certificate.

(1) The mortgage instrument must be in the form supplied by the Act; it is executed by the mortgagor subscribing his name and affixing his seal in presence of a witness who then subscribes (*d*). On its execution, the instrument should be taken to a registrar for registration; it will be registered in the order of its production to that officer, and thereupon indorsed by him with a memorandum of such registration (*e*). For the assignment of such mortgages, a special form of transfer is provided, and, on the production of such form duly executed, the registrar will enter the name of the transferee or mortgagee on the register, and indorse the instrument with a memorandum of

(*a*) 17 & 18 Vict. c. 104. As to Foreign Ships, see Hooper *v.* Gunner, L. R. 2 Ch. 282.

(*b*) *Ibid.*, s. 18; Union Bank of London *v.* Lenanton, L. R. 3 C. P. D. 243.

(*c*) *Ibid.*, s. 37.

(*d*) *Ibid.*, s. 66.

(*e*) *Ibid.*, s. 67. Form I.

record (*f*). In case of the transmission of a mortgagee's interest by death, bankruptcy or marriage, the person to whom such interest is transmitted is to make a formal declaration authenticating the fact, and, on such declaration and the production of satisfactory evidence, the registrar will enter, as mortgagee on the register, the person so proved to be entitled (*g*). When the mortgage is discharged, an entry to that effect may be made on the register (*h*).

As to the effect of a mortgage of a ship or share (*i*): "The statutory instrument when duly executed by the owner passes the property to the mortgagee, in the mean time, as against the mortgagor, and, when registered, as against third parties. The registered mortgagee is thereupon protected against the trustee in bankruptcy, or the execution creditor of the mortgagor; he may entitle himself to the accruing freight by taking possession of the ship before the termination of the voyage (*k*), but until he does that, or something equivalent to it, he has no right thereto, and when he has done so, though not liable for debts incurred before that time for the purpose of the ship, he is so far bound by her engagements that he may not do aught inconsistent with their being fulfilled" (*l*). Between mortgagor and mortgagee, then, registration is not compulsory, nor does it as between them affect the validity or effect of the mortgage, the only consequence of non-registration being to postpone a prior mortgagee or transferee to a subsequent mortgagee or transferee, whose mortgage or transfer is registered. So, even an unregistered mortgage passes to the mortgagee the ownership of the ship as against a subsequent equitable assignment of the freight to a third party—at all events in the absence of fraud, or such gross and wilful negligence as is equivalent to fraud (*m*); but the first registered mortgagee of a ship by taking possession before the freight is

(*f*) 17 & 18 Vict. c. 104, s. 73. Form K.

(*g*) *Ibid.*, ss. 74, 75. Form L.

(*h*) *Ibid.*, s. 68.

(*i*) Beynon *v.* Godden, L. R. 3 Ex. D. 264.

(*k*) Brown *v.* Tanner, L. R. 5 Ch. 597; Rusden *v.* Pope, L. R. 3 Ex. 269.

(*l*) Maclachlan Merchant Shipping, 2nd ed. pp. 40, 41.

(*m*) Keith *v.* Burrows, L. R. 1 C. P. D. 722; 2 C. P. D. 160; 2 App. Cas. 636.

completely earned, obtains the legal right to receive the freight, and to retain thereout, not only what is due on the first mortgage, but also the amount of any subsequent charge which he may have acquired on the freight in priority to any equitable charge of which he had no notice (*n*); and it matters not that a subsequent incumbrancer was first to give notice to the charterers of his charge (*o*). Once a discharge is entered on the register, the mortgage cannot be revived by entry of a memorandum that the receipt had been given by mistake; the Admiralty division, however, may on a suit *in rem*, declare the purchaser from a mortgagee whose title had by mistake been cancelled on the register entitled to possession of the ship (*p*). A mortgagee cannot recover back freight which he has allowed the mortgagor to receive, but may at any time intercept freight by giving notice to the mortgagor, consignee, or charterer that he intends to exercise his right of property, and require the freight to be paid to him (*q*). The master of a ship has a maritime lien on the freight for his wages and disbursements in priority to the claims of mortgagees (*r*), and such lien is not affected by his being part owner of the ship; but mortgagees are entitled to priority over material men, who at the time of supplying the materials were not in such actual possession of the ship as to give them a possessory lien over her (*s*). Nothing is freight unless there is involved in it a contract to carry, for freight is a sum payable in respect of a contract to carry, and, if there is no contract to carry, then, although the sum to be paid may be called freight, it is not in point of law freight within the rule that the mortgagee is entitled to the accruing freight (*t*). So long as he does not interfere nor claim possession, a mortgagee may fairly be taken to have allowed the mortgagor to enter into all engagements for the

(*n*) Liverpool Marine Credit Co. *v.* Wilson, L. R. 7 Ch. 507.

(*o*) Bell *v.* Blyth, L. R. 4 Ch. 136; 6 Eq. 201.

(*p*) The Rose, L. R. 4 Ad. & Eccl. 6.

(*q*) Wilson *v.* Wilson, L. R. 14 Eq. 32.

(*r*) The Feronia, L. R. 2 Ad. & Eccl. 65.

(*s*) The Scio, L. R. 1 Ad. & Eccl. 353.

(*t*) Keith *v.* Burrows, *ubi supra*.

ship usually entered into by the person who has the apparent control and ownership (*u*); and a mortgagee in possession is not liable for necessaries, unless the master in ordering them acted as his agent (*x*), or unless the creditor obtain a maritime lien under 24 Vict. c. 10, s. 5 (*y*).

Moreover, subject to the provisions relating to the rights of registered owners or incumbrancers, equities may be enforced against mortgagees in respect of their interests in ships or shares, in the same way as equities in respect of any other personal property (*z*). Thus, a transfer registered as absolute may be shown to be only a security, and in an action in the Admiralty Division, under 24 & 25 Vict. c. 10, s. 11, by the registered transferee of a mortgage of an arrested ship, the Court will enforce equities between the owner and mortgagee, and consider all transactions between the parties, and not merely the registered documents (*a*).

Registered mortgagees have priority according to the order of date in which their respective mortgages are recorded in the register books (*b*). A power of sale is conferred upon them irrespective of any agreement to that effect, but no subsequent mortgagee can sell without the concurrence of every prior mortgagee, except under the order of a court having cognizance of such matters (*c*). A mortgagee is not deemed an owner, except so far as to make the ship or share mortgaged a security for the mortgage debt (*d*), and registered mortgages are not affected by any act of bankruptcy committed by the mortgagor after the date such mortgages are recorded (*e*).

(2) A mortgage certificate is a power authorising a given person or persons to effect a mortgage or mortgages on a registered ship or any share therein for an amount and within a time

(*u*) Johnson *v.* Royal Mail Steam Packet Co., L. R. 3 C. P. 38.

(*x*) The Troubadour, L. R. 1 Ad. & Eccl. 302.

(*y*) The Two Ellens, L. R. 4 P. C. 161.

(*z*) 25 & 26 Vict. c. 63, s. 3; Union Bank of London *v.* Lenanton, L. R. 3 C. P. D. 243.

(*a*) The Cathcart, L. R. 1 Ad. & Eccl. 314.

(*b*) 17 & 18 Vict. c. 104, s. 69.

(*c*) *Ibid.*, s. 71.

(*d*) *Ibid.*, s. 70.

(*e*) *Ibid.*, s. 72.

certain, either generally or at some specified place. Such certificates are granted by the registrar on application by the owners (1°) for any place out of the United Kingdom, except a British Possession being the port of registry (*f*); (2°) for places within the United Kingdom, if the port of registry be abroad (*g*). Before the grant of a certificate, the following particulars have to be stated to the registrar and entered on the register:—(I.) The names of the persons by whom the power mentioned in the certificate is to be exercised, and the maximum (if it be intended to fix one) of the amount of charge to be created; (II.) the specific place where the power is to be exercised, or if no place be specified, then that it may be exercised anywhere; (III.) the limit of time within which the power may be exercised (*h*).

Forms of certificates are provided, which, in addition to the particulars entered on the register, contain any registered mortgages or certificates of mortgage affecting the ships or shares, in respect of which such certificates are given (*i*), and certain directions which it is requisite to follow (*k*).

Under these latter, a record of every mortgage made in pursuance of the certificate must be indorsed thereon by a registrar or British Consular officer, and the mortgages so registered on the certificate have priority over all mortgages created subsequently to the entry of the certificate in the register book, whilst several mortgages created under a certificate have priority *inter sese*, according to the respective dates at which a record of each instrument is entered on the certificate (*l*).

The discharge of a mortgage created under a certificate may be indorsed thereon by a registrar or British Consular officer. All undischarged mortgages are to be entered on the register.

(*f*) 17 & 18 Vict. c. 104, s. 76.
(*g*) *Ibid.*, s. 77.
(*h*) *Ibid.*, s. 78.
(*i*) *Ibid.*, s. 79, Form M.
(*k*) *Ibid.*, s. 80.
(*l*) *Ibid.*, s. 80.

CHAPTER XXI.

MORTGAGES OF STOCK AND SHARES IN COMPANIES.

BANK stock, government securities, and shares in companies are mortgaged by being transferred on the books of the Bank of England, or on the register of shareholders, respectively, from the name of the mortgagor to that of the mortgagee or of a trustee, and by delivery to the mortgagee or trustee of a warrant or certificate (*a*) showing his title to the stock or shares so transferred. In the case of bank stock the mode of transfer is as follows:—A transfer ticket, containing the name of the transferor or mortgagor, and of the transferee or mortgagee, is taken to the Bank and there copied into a book, which, and a receipt prepared from the ticket, the transferor signs; these signatures are thereupon countersigned by the bank clerk, and the receipt is handed to the transferee, who should also sign the book, and so accept the transfer. Where the transferor is not a member of the Stock Exchange, and employs a broker, the latter should sign the transfer-ticket, to prove the identity of his principal. No one but the proprietor or his lawful attorney so constituted under a power of attorney can transfer stock or receive dividends thereon. Regularly, transfers should be made on the public transfer days set apart for that purpose, but transfers may also be made at other times on payment of a small fee (*b*). An independent agreement specifies the terms of mortgage.

(*a*) As to nature of certificate in Rly. Cos., see Shropshire Union Rlys. & Canal Co. *v.* The Queen, L. R. 7 H. L. 496.

(*b*) As to the ordinary mode of buying and selling stock and shares on the Stock Exchange, see Grissell *v.* Bristowe, L. R. 4 C. P. 36; Coles *v.* Bristowe, L. R. 4 Ch. 3; *post*, chap. xxxv.

Shares in companies formed under the Act of 1862 are transferable in the manner provided by the regulations of the company (*c*). Subject thereto (*d*) the instrument of transfer (which need not be under seal, though it generally is so) (*e*) should be executed both by the transferor and transferee, and thereupon the certificate of the shares, which furnishes *primâ facie* evidence of title to those specified therein (*f*), should be handed over by the former to the latter, and the transfers be registered in the company's books; until which registration the legal ownership does not pass to the transferee (*g*). Under the Companies Act, 1867, companies whose capital consists of stock or fully paid up shares may issue share warrants transferable by delivery, or by indorsement and delivery if not drawn payable to bearer. By such transfer the legal ownership in the shares represented by the warrants passes without registration (*h*). The effect of registration is to render the person whose name is registered, and who has agreed to become such, a member of the company, with all the rights and liabilities attaching to that character (*i*). And again, so long as registration is omitted or defective, the person whose name was last effectually registered remains legal owner. Thus, on an equitable mortgage of shares by deposit of the certificates, the shares will remain within the order and disposition of the mortgagor, so long as his name continues on the register (*k*); and, on the other hand, a registered mortgagee who, on payment of his debt, transfers the mortgaged shares to a person incapable of holding the same, will continue legal owner, although such person's name is substituted on the register (*l*); but a mortgagee whose debt has been paid off, and whose name has never been on the register cannot be

(*c*) S. 22, 25 & 26 Vict. c. 89.
(*d*) *Ibid.*, ss. 14, 15.
(*e*) *Ibid.*, Sch. 1, Tab. A. (9).
(*f*) *Ibid.*, s. 31.
(*g*) *Ibid.*, Tab. (8).
(*h*) 30 & 31 Vict. c. 131, ss. 27—36.
(*i*) 25 & 26 Vict. c. 89, ss. 23, 38; Weikersheim's Case, L. R. 8 Ch. 831.
(*k*) Royal Bank of India's Case, L. R. 7 Eq. 91, 4 Ch. 252.
(*l*) Addison's Case, L. R. 5 Ch. 294.

made a registered holder at the mere caprice of the company or its liquidator (*m*).

The mortgagee is bound to re-transfer the same identical stock or shares mortgaged on due payment of the mortgage debt, and must account for any bonus, profit, or interest which accrues during the time the mortgage subsists (*n*); but the mortgagor may deprive himself of any remedy by dealing with other stock or shares which may have been transferred in substitution (*o*). On the other hand, the mortgagor must bear any loss which arises in the interval between the cessation of the mortgage and re-conveyance.

When shares are mortgaged by absolute transfer and registration, the mortgagee is liable for any calls that may be made on such shares, but if the mortgagor elect to redeem, he is bound to indemnify the mortgagee for any liabilities the latter may have incurred (*p*). To escape the liability of becoming a registered holder, a mortgagee may take a mortgage of shares in the name of a trustee. In such case it has been held that the mortgagee is to be regarded as a creditor, not as a member of the company; but it may be questioned if this expedient would stand in all cases. In the case of stocks and shares, as with other personal property, a sale, on due notice to the mortgagor, is substituted for a foreclosure (*q*), and where stock transferred as a security for a floating balance, and under an agreement to continue it, was transferred and re-transferred by the creditor by way of loan, it was held that such transfer by the creditor amounted to a sale (*r*).

Under a general power of attorney to sell, assign, and transfer shares, and to receive and give discharges for the

(*m*) Sichell's Case, L. R. 3 Ch. 119.

(*n*) Langton *v.* Waite, L. R. 6 Eq. 165.

(*o*) Langton *v.* Waite, L. R. 4 Ch. 402.

(*p*) Phene *v.* Gillan, 5 Hare 1.

(*q*) City Terminus Hotel Co., South Eastern Rly. Co.'s Claim, L. R. 14 Eq. 10.

(*r*) Tucker *v.* Wilson, 1 P. Wms. 261; Lockwood *v.* Ewer, 2 Atk. 303; Bryant *v.* Carson, 3 Nev. 313; Carter *v.* Wake, L. R. 4 Ch. D. 605.

purchase moneys, the party empowered cannot mortgage or pledge the shares (*s*).

The transfer of stock or shares by a trustee may be summarily restrained by writ of distringas (*t*), or restraining order (*u*), to be obtained by any party claiming to be beneficially interested in such stock or shares, on due affidavit (*x*). The foregoing is an account of mortgages of stock and shares which are themselves made the subject of security; sometimes, however, they are made the subject of loan, the borrower entering into a bond to replace the stock or shares on a future day, and meantime to pay interest at a rate varying with the dividends. In an action for breach of such bond, damages are assessed at the price of the stock or shares on the day of trial or the day previous (*y*), and a lender is only entitled to have the stock or shares replaced or their price at that time, not to their market value at the time the covenant should have been fulfilled, unless, indeed, an express election is given (*z*).

(*s*) *Ex parte* Dennison, 3 Ves. 552.

(*t*) De Bouchout *v.* Goldsmid, 5 Ves. 211.

(*u*) 5 Vict. c. 5, s. 5, Sch. 1; 38 & 39 Vict. c. 77, O. xlvi. r. 2; Consol. O. xxvii. r. 72–4.

(*x*) 5 Vict. c. 5, s. 4, 2 Dan. Ch. Pr. ed. 1537.

(*y*) Harrison *v.* Harrison, 1 C. & P. 412; Owen *v.* Routh, 14 C. B. 327.

(*z*) Blyth *v.* Carpenter, L. R. 2 Eq. 501; Chippendale *v.* Thurston, 4 C. & P. 98.

CHAPTER XXII.

BILLS OF SALE.

MORTGAGES of movables or of personalty comprise:—1. Mortgages of goods and chattels of a corporeal nature other than registered ships. 2. Mortgages of registered ships and shares therein. 3. Mortgages of stock and shares in companies. 4. Mortgages of other incorporeal personal property (*a*). Of these four classes of mortgages, the first three call for special treatment; the last will be dealt with under the general head of assignments; to proceed, then, with mortgages belonging to the first class:—The instrument by which mortgages of goods and chattels personal of a corporeal nature are effected, is called a bill of sale, which, in its most usual acceptation, may be described as a regular assignment either by deed or by writing not under seal, of furniture, machinery, stock-in-trade, agricultural produce or other chattels personal, capable of complete transfer by delivery. For the mortgage of a chattel personal nothing beyond the mutual agreement of the contracting parties is absolutely indispensable (*b*); no registration, however, of the mortgage can take place under the Bills of Sale Acts (*c*), unless a written instrument be employed, and most bills of sale are and ought to be in writing under seal. In form a mortgage deed of goods closely resembles a mortgage deed of a leasehold house (*d*); but the former con-

(*a*) See *ante*, p. 109, for definition and general classification of mortgages, and general principles thereof.

(*b*) Litt. s. 365; Flory *v.* Denny, 21 L. J. Ex. 223; Reeves *v.* Capper, 8 L. J. C. P. 44; Shep. Touch. 120.

(*c*) 17 & 18 Vict. c. 36; 29 & 30 Vict. c. 96; 41 & 42 Vict. c. 31. See *post*, p. 197, *et seq.*

(*d*) *Ante*, p. 143.

tains some additional provisions, as covenant by the mortgagor not to remove the chattels mortgaged from the premises wherein he is allowed their use and possession, power to the mortgagee to enter and take possession on default of payment according to the stipulated condition, and that he may at all reasonable times enter and view the chattels mortgaged. Moreover, when the articles comprised in a bill of sale are numerous or of a varied character, it is usual to describe them particularly in an accompanying inventory or schedule. The office of such inventory is to identify the property disposed of; it does not *per se* limit the generality of the words in the body of the deed (*e*), nor can it pass things not therein contained (*f*): thus, an "assignment of looms on the said premises, and other effects and things thereto belonging, more particularly set forth in the schedule," passes articles used with the looms and on the premises, although the looms only were mentioned in the schedule, whilst an assignment of steam-engines and other chattels "more particularly enumerated in an inventory of even date, to be read and construed as forming part of these presents," but omitting the stock-in-trade, does not pass the stock-in-trade, notwithstanding the same was mentioned in the schedule (*g*). A bill of sale transferring "all the goods, fixtures, &c., in and about the messuage in, &c.; whereof the chief articles are enumerated in a schedule hereunto annexed," is admissible in evidence without the schedule (*h*): so, in an action on a covenant in a bill of sale the schedule need not be produced (*i*). The schedule, however, may be so incorporated with the deed as to be an essential condition for the transfer of the property assigned; thus, a bill of sale assigning all the household goods of every kind in the house, &c., more particularly mentioned in an inventory of even date herewith, passes only such goods as are mentioned in the inventory (*k*); so, where the descrip-

(*e*) Coot *v.* Sagar, 27 L. J. Ex. 378.
(*f*) *Ex parte* Jardine; *In re* McManns, L. R. 10 Ch. 322.
(*g*) *Ibid.*
(*h*) Dyer *v.* Green, 16 L. J. Ex. 239.
(*i*) Danns *v.* Heath, 16 L. J. C. P. 117.
(*k*) Wood *v.* Rowcliffe, 20 L. J. Ex. 285.

tion was "All the articles as per schedule annexed" (*l*). There are two principal rules for ascertaining the joint operation of a deed and schedule; the first is—*Falsa demonstratio non nocet cum de corpore constat*, which means, that, if there be an adequate and sufficient description with convenient certainty of what was meant to pass, a subsequent erroneous addition will not vitiate; the character of cases within the rule is that the description so far as it is false applies to no subject at all, and so far as it is true, applies to one only (*m*); the second rule is—*Non accipi debent verba in demonstrationem falsam quæ competunt in limitationem veram*, which means, that, if it stand doubtful on the words whether they import a false reference or demonstration, or whether they be words of restraint that limit the generality of the former words, the law will never import error or falsehood (*n*).

Under a bill of sale, either actually existing and acquired property or future and after acquired property may be assigned; at Common Law, however, none but actually acquired property in chattels personal could be transferred, though a power or license to seize future property might be validly conferred, so as to vest the subject when the power or license was duly exercised. The law is thus laid down in one of Lord Bacon's maxims: *Licet dispositio de interesse futuro sit inutilis; tamen fieri potest declaratio præcedens quæ sortiatur effectum, interveniente novo actu.* The *declaratio* here spoken of need not necessarily be expressed, but may be implied by the assignment itself (*o*); by the *novus actus* is understood the taking of possession or the performance of some similar act of dominion. After acquired property may be freely disposed of by equitable assignment: thus, the profits of an intended voyage, goods to be purchased with the proceeds of goods mortgaged, a ship and

(*l*) Weeks *v.* Maillardet, 14 East 568.
(*m*) Travers *v.* Blundell, L. R. 6 Ch. D. 436; Homer *v.* Homer, L. R. 8 Ch. D. 758.
(*n*) Morrell *v.* Fisher, 19 L. J. Ex. 273.
(*o*) Hope *v.* Hayley, 5 El. & Bl. 830; Congreve *v.* Evetts, 10 Ex. 298; Merchant Banking Co. *v.* Spotten, Ir. R. 11 Eq. 586; Robinson *v.* Macdonnell, 5 M. & S. 228; Bucknal *v.* Roiston, 1 Pre Ch. 285; Curtis *v.* Auber, 1 I. & W. 526; Douglas *v.* Russell, 4 Sim. 524, Br.

its present and future earnings, freight earned and to be earned, the interest of an expectant devisee or legatee (*p*), materials to be brought on premises for a specific purpose (*q*), new machinery to be substituted in place of worn out machinery (*r*), and, in general, all after acquired property whatever and every interest therein, provided it be of a definite and ascertained character, and such that a contract relating thereto would be specifically enforced, may be assigned or charged in equity (*s*). Elsewhere we state the nature and requisites of a valid equitable assignment (*t*); here it is sufficient to point out the difference between such an assignment and a transfer of, or power to seize, property at Common Law; for, by the former, an equitable title only is conferred, but such title may be given to future property the moment it comes into existence (*u*); by the latter, a legal title is conferred, but such title cannot be given to future property without some further act when the property comes into existence. A present contract that a mortgagee shall have a right and an interest attaching immediately by force of the contract upon all that property which *in futuro* may be brought on the premises is clearly different from a contract that the mortgagee shall have power of entering upon the premises for the purpose of seizing and taking possession of that future property; thus, an assignment of existing chattels empowering the mortgagee to put a manager in possession and giving the mortgagee a license to enter and seize after acquired chattels, does not amount to an equitable assignment, and therefore the mortgagee has no title to such after acquired chattels, until entry and seizure (*x*). A conveyance of present and future property does not pass the latter until seizure, the

(*p*) Beckley *v.* Newland, 2 P. Wms. 191.

(*q*) Langton *v.* Horton, 11 L. J. Ch. 299.

(*r*) Holroyd *v.* Marshall, 10 H. L. C. 191.

(*s*) Abbott *v.* Stratton, 3 J. & L. 603; Metcalfe *v.* The Archbishop of York; Wilcocks *v.* Wilcocks, 2 Vern. 855.

(*t*) *Post*, p. 303, *et seq.*

(*u*) All divisions of the High Court are now bound to give effect to valid equitable assignments, *post*, p. 317—319.

(*x*) Reeve *v.* Whitmore, Martin *v.* Whitmore, 4 De G. J. & S. 1; 32 L. J. Ch. 497; Belding *v.* Read, 34 L. J. Ex. 212; *Ex parte* James; *In re* Bamford, W. N. (1879) 53.

bankruptcy of the grantor intervening will consequently defeat the grant as to all future property not actually seized by the grantee before the act of bankruptcy.

Bills of sale may be divided into—

I. Absolute bills of sale.

II. Conditional bills of sale.

By an absolute bill of sale, the property granted passes immediately to the grantee—so that he from that moment becomes the real and true owner; thus, an assignment by A. of his furniture to B. to secure an advance of £50, vests in B. the property in the furniture, and he instantly becomes the true owner thereof; by a conditional bill of sale the property granted does not pass immediately to the grantee, but its transfer is limited on some future or uncertain event, on the happening of which the property will pass to the grantee, so that he will then become the real and true owner; thus, an assignment by A. of his furniture to B., in case A. shall fail to pay B. £50 on a given day, and in the meantime and until default in payment, that the furniture shall continue A.'s, does not vest the property in B. unless and until default in payment by A., from which time B. becomes the real and true owner. It is of the last importance that the distinction between an absolute and a conditional bill of sale should be carefully borne in mind, for, not only as between themselves, but still more as regards the world at large, do the mutual rights of the parties to the instrument differ essentially in each case. As a rule the grantee of even an absolute bill of sale refrains from taking immediate possession, although there be no stipulation to that effect; but it is usual to insert an express provision that it shall be lawful for the grantor to continue in possession until default on demand, or otherwise, in payment of the money secured, and that upon such default it shall be lawful for the grantee to enter and seize, or seize and sell the goods in question. Unless the power of entry be expressly reserved, the grantee is not entitled to enter on the grantor's premises to take possession,

and if he does so in the absence of such power of entry, he becomes a trespasser (*y*). An express power to take possession and sell on default of payment, on demand, must be reasonably exercised; thus, it would be unreasonable for a creditor to refuse to take a cheque or allow his debtor time to cash it. Where a creditor is entitled by his bill of sale to seize and sell immediately upon default of payment, on demand, that cannot and does not mean that he is to seize and sell instantaneously on demand. For instance, a man worth £1000, if a demand is made on him to pay £200, requires some time even to go up-stairs and get that sum out of his desk or drawer (*z*); so, a proviso "instantly on demand and without delay, on any pretence whatsoever to pay the sum due, such demand to be made personally on the debtor, or by giving or leaving verbal or written notice to or for him at his place of business, &c., so nevertheless that a demand be in fact made"—means that notice in the absence of the debtor must give him an opportunity of complying with it within a reasonable time (*a*). Sometimes a bill of sale provides that the debt secured shall be paid off by periodical instalments, and that on default in payment of any of the instalments, it shall be lawful for the creditor to take possession. Under a bill of sale so worded, the omission duly to pay an instalment may be waived by parol, but it would be otherwise if the deed simply declared that it should be lawful for the grantee to take possession, in case the grantor failed to pay an instalment, without adding, on default of the grantee (*b*).

A power of sale is almost uniformly inserted in bills of sale; hence, the grantee has rarely to resort to judicial proceedings for the realisation of his security.

The observations hitherto made, deal with the nature and

(*y*) Williams *v.* Morris, 8 M. & W. 488; Brierly *v.* Kendall, 21 L. J. Q. B. 21.

(*z*) Wharlton *v.* Kirkwood, 22 W. R. 4 Ex.13; Brightley *v.* Norton, 32 L. J. Q. B. 39; Toms *v.* Wilson, 32 L. J. 382.

(*a*) Massey *v.* Sladen, *et al.* L. R.

(*b*) Albert *v.* The Grosvenor Investment Co., Limited, L. R. 3 Q. B. 123.

validity of a bill of sale as between the parties thereto. We have next to consider under what further conditions a bill of sale will avail against third persons. In prosecuting this inquiry we must constantly have regard to the distinction between an absolute and a conditional bill of sale, and also, to the further circumstance whether in point of fact the grantor or the grantee is in possession of the chattels granted. Speaking generally, there are three classes of persons who may impeach or defeat a bill of sale—1st, the grantor's creditors; 2nd, his landlord, or other person having a right of distress against him; 3rd, his trustee in bankruptcy; to be an unobjectionable security, then, a bill of sale must stand good against all and each of the above classes.

Section I.

Validity of Bills of Sale as against the Grantor's Creditors.

By the 13 Eliz. c. 5, and the 29 Eliz. c. 5, all gifts and grants (except those made *bonâ fide* for valuable consideration) of lands or goods made with intent to defeat, delay, or hinder the donor or grantor's creditors from obtaining payment of their just debts, are rendered fraudulent and void as against such creditors. No gift or grant accordingly by bill of sale can be upheld against the donor or grantor's creditors unless it fulfil the condition imposed by the above provisions; in other words, that a bill of sale may certainly avail against the grantor's creditors, it is necessary that it should be made *bonâ fide* and for valuable consideration. *Bonâ fides* depend primarily on the motives of the parties to the transaction (*c*); in judging of these we must be guided by the presence or absence of certain circumstances which are regarded as badges of fraud. The

(*c*) Nunn *v.* Willsmore, 8 T. R. 521.

leading authority on this subject is Twyne's Case (*d*), where a debtor having made a general assignment of all his goods and chattels to one of his creditors, who allowed him to remain in possession and act as if owner, the gift was held fraudulent for the following reasons:—(1) because it was general without exception even of wearing apparel; (2) because donor remained in possession and acted as owner; (3) because the gift was secret; (4) because it was made pending an action brought by another creditor; (5) because there was a trust between the parties, which is the cover of fraud; (6) because the deed of gift contained unusual averments, which always occasion suspicion. Of these circumstances, the strongest as evidence of fraud are the second and third above enumerated, the whole question of fraud, or no fraud, however, being for the jury to determine (*d*). The continued possession of the grantor does not render a grant fraudulent where there are countervailing facts, as, *e. g.*, where, on a public sale by the sheriff, a third person takes a bill of sale and allows the debtor to remain in possession (*e*), or where without such sale a third person remains in joint possession with the debtor, who acts as his tenant (*f*), or where the continued possession of the mortgagor is in accordance with the provisions of the mortgage deed (*g*). This last case embraces conditional bills of sale, where a continued possession of the grantor until performance of the condition, *e. g.*, until default made on payment of a given sum of money is not *per se* fraudulent, but may be rendered so by other circumstances, as by a grossly inadequate consideration (*h*), by allowing executions to be levied by the grantor's creditors against the goods in question (*i*), or by other conduct on the part of the grantee inconsistent with his rights of ownership. Speaking generally, the grantee of an absolute bill of sale will

(*d*) 3 Rep. 806; Martindale *v.* Booth, 3 B. & A. 488.

(*e*) Kidd *v.* Rawlinson, 2 P. & P. 59.

(*f*) Jezaph *v.* Ingram, 8 Taunt. 838.

(*g*) Edwards *v.* Harben, 2 T. R. 587; Cadogan *v.* Kennett, Cowp. 432.

(*h*) Dewey *v.* Bayntun, 6 El. 257.

(*i*) Lady Arundell *v.* Phipps, 10 Ves. 151.

not be safe unless his possession follow and accompany the deed, and be exclusive of that of the grantor (*k*); but the want of possession can be no index of fraud (*l*), if, as in the case of goods at sea, it be impossible for the grantee immediately to obtain it (*m*). In Twyne's Case there were several concurring facts, each of which was considered an individual indication of the fraudulent nature of the gift; at the same time it must not be supposed that the existence or non-existence of any or one or more of these facts will necessarily determine whether or no a gift be fraudulent; for, on the one hand, there are many other evidences of fraud, *e. g.*, the reservation of a power of revocation (*n*); that the grantee permits third persons to treat the property as the grantor's (*o*); that the settlor keeps the deed in his own custody (*p*); that there is no schedule to the deed (*q*); that the deed does not represent the real contract between the parties (*r*); and, on the other hand, no single circumstance as a rule is conclusive of fraud; thus, a conveyance of a debtor's whole property to one of his creditors in consideration of a previous debt is not *per se* fraudulent within 13 Eliz. (*s*), and even a number of circumstances *primâ facie* pointing to fraud, may be explained away (*t*). Indeed, it is impossible to pronounce almost any gift or grant fraudulent until the chief incidents connected therewith are ascertained and duly considered; fraud is an inference founded not on one or two details, but on the general complexion of any given transaction. We must carefully bear this fact in mind whilst dealing with the consideration upon which a gift or grant of chattels is made, as here again there is no absolute criterion for the detection of fraud. A voluntary settlement is not necessarily fraudulent as against creditors; whether so or not

(*k*) Edwards *v.* Harben, *ubi supra*.
(*l*) Wordall *v.* Smith, 1 Camp. 333.
(*m*) Atkinson *v.* Maling, 2 T. R. 472.
(*n*) Peacock *v.* Monk, 1 Ves. 132.
(*o*) Lady Arundell *v.* Phipps, 10 Ves. 151.
(*p*) Doe d. Grimsby *v.* Ball, 11 M. & W. 533.
(*q*) Cadogan *v.* Kennett, Cowp. 432.
(*r*) Graham *v.* Furber, 23 L. J. C. P. 51.
(*s*) Alton *v.* Hamin, L. R. 4 Ch. 622.
(*t*) Gale *v.* Williamson, 8 M. & W. 405; Latimer *v.* Batson, 4 B. & C. 652; *In re* Gass, I. R. 2 Eq. 284.

must be determined by the surrounding circumstances. If, at the time of the execution of such a settlement, the settlor is indebted, and in the result any prior creditor is delayed in payment of his debt, then, however solvent the settlor may have been at the time, and however free from any fraudulent intention the settlement may have been, it may be set aside even at the suit of a subsequent creditor (*u*). So, if a person on the eve of engaging in trade executes a voluntary settlement, the burden rests upon him of showing that he was in a position to make it, and where such settlement takes the bulk of the settlor's property out of the reach of his creditors, it may be set aside by subsequent creditors (*x*). However, a deed conveying the whole of a debtor's property for the benefit of some of his creditors, with proviso that he should remain in possession for six months, unless execution issued against him, is valid if *bonâ fide*, and if the debtor retain no benefit for himself (*y*). A voluntary assignment to defeat creditors is *primâ facie* void (*z*); so, if the consideration be entirely inadequate (*a*), though the Court will not in general inquire whether the consideration be equivalent (*b*), and a conveyance where no fraud is shown, and a consideration is in fact given, will stand good (*c*). Valuable consideration means money or money's worth, and under the latter comes the consideration of marriage; hence, an ante-nuptial settlement is unimpeachable so far as consideration is concerned (*d*); but even such a settlement may be defeated by proof that the intended husband or wife, as the case may be, had notice that the settlor was insolvent, and that the object of the settlement was to place the property settled beyond the reach of the settlor's creditors (*e*).

(*u*) Freeman *v.* Pope, L. R. 5 Ch. 538; Reese Silver Mining Co. *v.* Atwell, L. R. 7 Ex. 347.

(*x*) Mackay *v.* Douglas, L. R. 14 Eq. 106; Kent *v.* Riley, L. R. 14 Eq. 191; Cornish *v.* Clark, L. R. 14 Eq. 184.

(*y*) Power *v.* Harrison, L. R. 4 Ch. 622.

(*z*) Hammond *v.* Russel Bull, N. P. 259; Countess of Strathmore *v.* Bowes, 1 Ves. 27.

(*a*) Mathews *v.* Fraser, 1 Cox, 278.

(*b*) Thompson *v.* Webster, 28 L. J. Ch. 700; *In re* Foster & Lister, L. R. 6 Ch. D. 87.

(*c*) Gale *v.* Williamson, 8 M. & W. 405.

(*d*) Kevan *v.* Crawford, 6 Ch. D. 29; Wright *v.* Redgrave, W. N. (1879) 30, 32.

(*e*) Columbine *v.* Penhall, 1 Sm. & Gif. 228; Fraser *v.* Thompson, 4 De G. & J. 661.

There is no absolute rule as to the extent a grantor must be indebted to bring the grant within the statutes of Elizabeth (*f*). Simple indebtedness is not sufficient, nor is absolute insolvency necessary; but an intention to delay or defraud creditors will be imputed, if it can be reasonably inferred the grantor had just cause to believe that his assets after deduction of the property (*g*) granted would be insufficient to pay his debts (*h*). What is a sufficient consideration to exclude 13 Eliz. c. 5 is frequently a difficult question to determine; it has been recently held that the assignment of leasehold property, to which a liability is attached, is in itself a conveyance for valuable consideration (*i*). A fraudulent gift, though set aside as against the donor's creditors, is not set aside as against the donor himself, or his privies; thus, a voluntary settlement binds the settlor and his representatives (*k*).

The statutes of Elizabeth do not prevent a debtor from preferring one of his creditors to the rest (*l*), nor from transferring his property to trustees for the benefit of all his creditors, provided the transaction be open and *bonâ fide* (*m*). It follows that a debtor having several creditors has it in his power to defeat a judgment creditor at any time before execution levied; thus, if A. have two creditors, B. a simple contract creditor, and C. a judgment creditor, and A. assign his property to B., such assignment will well avail at least to the value of B.'s debt (*n*), nor can C. in any way attack B.'s title except by proceeding against A. in bankruptcy (*o*). A person who seeks to avoid a transaction as fraudulent must be injured by the fraud (*p*); but it is immaterial whether the injury be direct

(*f*) See Miller & Collier's Bills of Sale, 4th ed.

(*g*) Derring *v.* Ware, 22 Beav. 189.

(*h*) Townend *v.* Toker, L. R. 1 Ch. 446; Price *v.* Jenkins, L. R. 5 Ch. 619; Bayspoole *v.* Collins, L. R. 6 Ch. 228; Ware *v.* Gordon, L. R. 7 Ex. 317.

(*i*) Teasdale *v.* Brathwaite, L. R. 5 Ch. D. 630.

(*k*) Boughton *v.* Boughton, 1 Atk. 625.

(*l*) Gidstock *v.* Lyster, 3 M. & S. 371.

(*m*) Riches *v.* Evans, 9 C. & P. 642; Spenser *v.* Slater, L. R. 4 Q. B. D. 13.

(*n*) Holbird *v.* Anderson, 5 T. R. 235; Gladstone *v.* Padwick, L. R. 8 Ex. 19.

(*o*) See *post*, p. 191; Darvill *v.* Terry, 30 L. J. Ex. 353.

(*p*) Haves *v.* Leader, Cro. Jac. 270; Steel *v.* Brown, 1 Taunt. 381.

or only consequential; hence, as we have seen, a fraudulent gift or grant may be set aside at the instance of the donor or grantor's creditors who became such as well subsequent as prior to the gift or grant (*q*).

SECTION II.

Validity of Bills of Sale as against Persons having a right of Distress against the Grantor.

Next, as to the grantor's landlord or other person having a right of distress against him. By the Common Law every landlord on non-payment of rent is entitled to seize, with certain exceptions, whatever chattels may be on the premises —even those of a stranger—and distrain them until his claim is satisfied. If, therefore, the property comprised in a bill of sale be left on tenements for which a distress may be levied, such property will not be secure from seizure, unless privileged from distress. Hence, an article to be free from landlord's claim must be privileged, and to be valuable to the grantee of a bill of sale must also be removable by him. At Common Law things privileged from distress are divisible into two classes—(I.) things absolutely privileged; (II.) things conditionally privileged; *i. e.*, provided that there be other sufficient distress upon the premises.

I. Of things absolutely privileged there are six classes:—

1. Things annexed to the freehold.

2. Things delivered to a person exercising a public trade to be carried, wrought, worked-up, or managed in the way of his trade or employ.

3. Cocks and sheaves of corn.

4. Things in actual use.

5. Animals *feræ naturæ*, and other things wherein no valuable property is in any person.

(*q*) Taylor *v.* Jones, 2 Atk. 601.

6. Things in the custody of the law, such as property already taken damage feasant, or in execution.

II. Of things conditionally privileged there are two classes :—

1. Beasts of the plough and instruments of husbandry.

2. The instruments of a man's trade or profession (*r*).

By 2 W. & M. c. 5, s. 3, cocks and sheaves of corn lying upon any part of land chargeable with rent may be seized in the nature of a distress and sold (*s*) ; we may, therefore, dismiss this class of goods, and, also, as irrelevant to the present purpose, the privileged articles classified under 2, 4, and 5 *supra*, I. ; thus, then, for the purposes of bills of sale, the following is a sufficient enumeration of articles privileged from distress :— A. Things *annexed to the freehold.* B. Things *in the custody of the law.* C. Beasts of the plough and implements of husbandry ; and, generally, the instruments of a man's trade or profession.

A. Things *annexed to the freehold* are distinguishable into :— (1) Natural products, of which it is sufficient to observe that corn, grass, and similar products growing on any part of the land demised are now made liable to distress, which, however, cannot be levied upon crops actually severed from the soil and sold (*t*) ; and that trees, shrubs, or other plants to which the process of ripening, and being cut, gathered, made, and laid up when ripe, is not incidental, are not made distrainable ; (2) Fixtures or buildings, and other works artificially erected upon or connected with the land, otherwise than by mere juxtaposition, as to which the general rule of law is, that they become part of the realty and belong to the owner thereof— *Quicquid plantatur solo solo cedit* (*u*). The term fixture has a variety of meanings, but we restrict its signification to anything annexed to the freehold in the sense above explained,

(*r*) Hartopp *v.* Simpson, 1 Sm. L. C. 7th ed., 238.

(*s*) 11 Geo. II. c. 19, s. 8.

(*t*) 56 Geo. III. c. 50, s. 6.

(*u*) Holland *v* Hodgson, L. R. 7. C. P. 328 ; Culling *v.* Tufnell Bull, N. P. 34 ; Wiltshear *v.* Cottrell, 1 E. & B. 674.

either actually or constructively (*x*). Fixtures, then, as thus understood, being privileged from distress, we have to inquire under what circumstances they are removable by a grantee of a bill of sale under which they have been assigned. Questions as to the right to remove fixtures arise—1st, between heir and executor of the owner of the inheritance (*y*); 2nd, between executor and remainderman or reversioner; 3rd, between landlord and tenant; 4th, between vendor and vendee, mortgagor and mortgagee; 5th, between the trustees of bankrupts and other parties; 6th, between heir and devisee. In determining the mutual rights of the above sets of competitors we also determine the right of the grantee of fixtures under a bill of sale; for a grantee can take no higher right or title than his grantor (*z*). As it is only with a tenant's right to remove fixtures that we shall concern ourselves, we may pass over the other cases in which a similar question may arise with a few brief remarks. Bearing in mind the general rule that anything annexed to the freehold becomes part thereof, it is laid down—(1) as between heir and executor the privilege of removal is most limited, the heir being a greater favourite of the law than the executor (*a*); (2) as between the executors of tenant for life or in tail and the remainderman or reversioner, the privilege is more in favour of the executor than in the former case (*b*); (3) as between landlord and tenant, the greatest latitude and indulgence is allowed to the privilege of removal; (4) as between vendor and vendee, mortgagor and mortgagee—fixtures on a sale or mortgage will pass in the absence of any express provision to the contrary; (5) as between the trustees of bankrupts and other parties, the trustees take not only such fixtures as the bankrupt was entitled to in his own right, but also such fixtures as were in his order and disposition, with the consent of the true owner at the time of the bankruptcy; (6) as between heir and devisee of

(*x*) Co. Litt. 53*a*; Dearden *v.* Evans, 5 M. & W. 11.

(*y*) Weston's Case, 14 Hen. VIII., 25*b*; Liford's Case, 11 Co. 50.

(*z*) The London Discount Co. *v.* Drake, 6 C. B. N. S. 798.

(*a*) Elwes *v.* Mawe, 3 East. 38.

(*b*) *Ibid.*; see Finney *v.* Grice, L. R. 10 Ch. D. 13.

a tenant for life or in tail the heir will take, unless the fixtures could pass to the devisor's executors (*c*).

In considering the mutual rights of landlord and tenant we may conveniently classify fixtures under three heads, viz. :— 1. Agricultural. 2. Trade. 3. Ornamental (*d*).

1. Agricultural fixtures or fixtures set up for the mere purposes of husbandry are rarely, if ever, removable at Common Law (*e*); there the general rule is that, when a lessee having annexed anything to the freehold during his term afterwards takes it away, it is waste (*f*). An agricultural fixture, however, set up for the purposes of trade is removable; thus, trees or shrubs planted, or greenhouses or hothouses erected by nurserymen and gardeners with a view to sale, may be removed (*g*). With this exception the Common Law does not permit the removal by a tenant of an agricultural fixture; but this rigidness has been modified in several important aspects by two recent statutes. By 14 & 15 Vict. c. 25, s. 3, it is enacted that a tenant of a farm or lands shall be entitled to buildings, engines, or machinery, which shall not have been put up in pursuance of some obligation in that behalf, but erected at his own cost with the written consent of his landlord, for agricultural or for agricultural and trade purposes; and such tenant may remove such buildings, engines, or machinery, provided he give his landlord or his agent one month's written notice of his intention to remove same, and leave his landlord's premises in the same plight and condition as the same were before the erection removed; but no removal is to take place if the landlord elects to purchase the articles in question, for which he has a month's option from the time of receiving the tenant's written notice.

By the 38 & 39 Vict. c. 92 (the Agricultural Holdings' (England) Act, 1875), it is enacted that a tenant shall be entitled to any engine, machinery, or other fixture he affixes to his hold-

(*c*) Hitchman *v.* Walton, 4 M. & W. 409.
(*d*) Horn *v.* Baker, 9 East. 215.
(*e*) Shep. Touchet, 469, 470, 4 Co. 62.
(*f*) Elwes *v.* Mawe, 3 E. 38, II. Sm. L. C., 7th Ed., 162.
(*g*) Penton *v.* Robart, 2 E. 91.

ing for which he is not under the Act or otherwise entitled to compensation, and which is not affixed in pursuance of some obligation in that behalf, or instead of some fixture belonging to his landlord, provided as follows:—(1) Before removal of the fixture the tenant shall pay all rent due, and perform or satisfy all his other obligations to his landlord in respect of the holding; (2) in the removal the tenant shall not do any avoidable damage to any building or other part of the holding; (3) immediately after the removal the tenant shall make good all damage caused thereby to any building or other part of the holding; (4) the tenant shall not remove any fixture without giving his landlord one month's previous notice in writing of his intention to do so; (5) at any time before the expiration of such notice, the landlord may, by notice in writing to the tenant, elect to purchase any fixture comprised in the notice of removal, and any fixture thus elected to be purchased shall become the property of the landlord, who shall pay the tenant the fair value thereof to an incoming tenant of the holding; any difference as to value to be settled by reference under the Act. But nothing in the above section shall apply to a steam-engine erected by a tenant without notice in writing to his landlord of his intention to do so, or when such erection is objected to by the landlord in a written notice to the tenant (*h*). The Act applies to tenancies created after its passing (*i*), except so far as excluded by written agreement, by which the parties are enabled to adopt or reject as much thereof as advisable, but not to current tenancies, except to those from year to year or for a less term (*k*), as to which, however, its operation might have been excluded within two months after its passing by a written notice on either side (*l*). The Act has no application except to holdings—(1) either wholly agricultural, (2) or wholly pastoral, (3) or in part agricultural, and as to the residue pastoral, (4) of two acres or more in extent (*m*). If now we

(*h*) S. 53.
(*i*) S. 56.
(*k*) S. 54—65.
(*l*) S. 57.
(*m*) S. 58.

compare the 14 & 16 Vict. c. 25 with the 38 & 39 Vict. c. 92, we observe that the former extends to every tenancy for agriculture or for agricultural and trade purposes, whereas the latter extends only to tenancies purely agricultural or agricultural and pastoral; that the former requires the landlord's previous express consent in writing to the erection of a fixture, whereas the latter requires no such consent except in the case of a steam-engine; that the former has no provisions as to compensation, whereas the latter specially provides that a tenant shall not be entitled to fixtures where he is allowed compensation, as for the drainage, irrigation, boning, or scientific manuring of the land (*n*).

2. The rule as to trade fixtures or fixtures set up by a tenant for the purposes of trade was at an early period thus laid down: "If a lessee for years make a furnace for his advantage, or a dyer make his vats or vessels to occupy his occupation during his term, he may remove them; but if he suffer them to be fixed to the earth after the term, then they belong to the lessor. And so of a baker" (*o*). We shall presently allude to the time within which the right to remove fixtures must be exercised; here we need only remark that the instances given in the above extract are only illustrations, for the law is now fully established that it is the general right of the tenant to remove the utensils he has set up in relation to trade (*p*), subject to any special agreement between the parties (*q*), and to any reasonable local custom (*r*), and subject also to this important qualification, that the principal thing shall not be destroyed by the accessory. A building, however, which is but an accessory to a fixture, and built to cover it, as an engine-house, is as much removable as the fixture itself (*s*).

(*n*) S. 5, 53, Brown on Fixtures, 3rd ed., 33.

(*o*) 20 Hen. VII. fo. 13, pl. 24; 42 Ed. III. fo. 6, pl. 19.

(*p*) Lawton *v.* Lawton, 3 Atk. 13; Dean *v.* Allally, 3 Esp. 11.

(*q*) Naylor *v.* Collinge, 1 Taunt. 19.

(*r*) Culling *v.* Tuffnall, B. N. P. 34.

(*s*) Foley *v.* Addenbrooke, 13 M. & W. 174.

3. As to ornamental fixtures (*t*) or fixtures set up for purposes of ornament or convenience, the tenant's right of removal is chiefly determined: (1) by their mode and extent of annexation, (2) by their nature and construction—as temporary or permanent, (3) by the amount of damage their removal would cause to the freehold, (4) by the existence of a custom or usage applicable to the particular case (*u*.) Thus, hangings, looking-glasses (*v*), wainscot fixed by screws, marble chimney-pieces (*w*), stoves and grates fixed into the chimney with brickwork, cupboards supported by holdfasts (*x*), a pump fastened to the wall by an iron pin going through same, have been held removable by the tenant (*y*). On the other hand, a conservatory erected in a brick foundation fifteen inches deep, and intimately connected with the dwelling-house (*z*), and tapestry, forming part of the architectural design of a house, were held to be irremovable (*a*). With regard to ornamental fixtures, it has been laid down that every case of this sort must depend upon its peculiar circumstances (*b*).

Coming now to the time within which a tenant's right to remove fixtures must be exercised, it was said by Lord Holt that "after the term they become a gift in Law to him in the reversion, and are not removable" (*c*). According to modern decisions the tenant's right to remove continues during his original term, and during such further period of possession by him as he holds the premises under a right still to consider himself as tenant (*d*); but an outgoing tenant after expiration of his term (*e*), where the same is of certain duration, is not entitled to re-enter to remove; the rights of the parties, how-

(*t*) See Poole's case, 1 Salk. 368; Herlakenden's case, 4 Rep. 84.

(*u*) Amos, 2nd ed. 92.

(*v*) Beck *v.* Rebow, 1 P. Wms. 94.

(*w*) *Ex parte* Quincey, 1 Atk. 478.

(*x*) Ray *v.* St. Dunstan, 4 B. & C. 686.

(*y*) Grymes *v.* Boweren, 6 Bing. 437.

(*z*) Buckland *v.* Butterfield, 2 B. & B. 54.

(*a*) D'Yncourt *v.* Gregory, L. R. 3 Eq. 382.

(*b*) Buckland *v.* Butterfield, *ubi supra.* Climie *v.* Wood, L. R. 4 Ex. 328; Pugh *v.* Orton, L. R. 8 Eq. 626.

(*c*) Poole's Case, *ubi supra.*

(*d*) Weston *v.* Woodcock, 7 M. & W. 14.

(*e*) Leader *v.* Homard, 5 C. B. N. S. 546; Naylor *v.* Collinge, 1 Taunt. 19.

ever, may be determined by special agreement or perhaps by custom (*f*).

B. Things in the custody of the law form another class of articles which are privileged from distress; how far the privilege in regard to the most important species of such articles, viz., things taken in execution, has been modified by statute, it shall now be our business briefly to explain. By the 8 Anne, c. 14, it is made unlawful to remove goods taken in execution until all arrears of rent that may be due, not exceeding one year's rent, shall have been first paid to the landlord of the premises from which it is sought to remove the goods (*g*). If a lessee fraudulently carry off goods in order to avoid a distress, the lessor is empowered within five days thereafter to seize and sell the same, as if they had been actually distrained (*h*), except where, before such seizure, there has been a sale to a *bonâ fide* purchaser for valuable consideration (*i*). A distress for rent in arrear upon an expired lease may be levied even after the determination of the lease (*j*), provided the levy be within six calendar months after such determination, and during the continuance of the landlord's title (*k*). By 7 & 8 Vict. c. 97, s. 67, the landlord of a weekly or less than yearly tenancy, can only claim four weeks or a single greater periodical arrears of rent upon goods taken in execution. By 11 Geo. II. c. 19, ss. 1, 2, 7, landlords are empowered to distrain and sell goods fraudulently carried off the premises by the tenants, or their agents, or persons aiding and abetting them, within thirty days thereafter, and to break open houses to seize such goods fraudulently secured therein, except where before such distress there has been a sale to a *bonâ fide* purchaser for valuable consideration. By the 56 Geo. III. c. 50, sheriffs having written notice of a covenant entered into for the benefit of the owner or landlord, that any straw, grass, &c., shall be consumed on the pre-

(*f*) Wansborough *v.* Maton, 4 A. & E. 884.
(*g*) S. 1; Risoley *v.* Ryle, 11 M. & W. 21; Colyer *v.* Speer, 2 Bro. & B. 67.
(*h*) S. 2.
(*i*) S. 3.
(*j*) S. 6; Taylerson *v.* Peters, 7 Ad. & El. 110.
(*k*) S. 7.

mises, are prohibited from selling or carrying off same therefrom contrary to such covenant (*l*); but are empowered to dispose of such straw, grass, &c., subject to an agreement that the same shall be expended on the land (*m*), whereupon the purchasers shall not be liable to distress (*n*). By the 14 & 15 Vict. c. 25, s. 2, growing crops seized and sold under execution are to be liable for accruing rent on default of other distress so long as they remain on the premises. The operation of the above enactments is somewhat singular; the 8 Anne, for instance, does not render goods taken under an execution distrainable; the execution remains valid, subject to the landlord's right to prevent their removal until any arrears of rent, up to one year's arrears, are discharged (*o*). The statute applies whether the goods belong to a tenant or to a stranger, but not where the landlord is himself the execution creditor; nor to any but subsisting tenancies; so that a sheriff is not liable for removing goods taken in execution where the tenancy has determined before seizure, though within six months of it (*p*). The claim of a landlord is discharged by taking security for the rent from a third person (*q*.) The 11 Geo. II. does not extend to the goods of strangers (*r*), nor to any removal of goods which takes place before the rent became due (*s*), nor to a removal of the tenant's goods by one of his creditors to whom he has assigned the same in satisfaction of his debt, provided the same be *bonâ fide*, and that, although the creditor takes possession, knowing the debtor to be in distressed circumstances, and under an apprehension that the landlord will distrain (*t*).

C. Beasts of the plough, implements of husbandry, and generally the instruments of a man's trade or profession, form a class of articles privileged from distress *sub modo*, *i. e.*, privi-

(*l*) S. 1.
(*m*) S. 3.
(*n*) S. 6.
(*o*) Wharton *v.* Naylor, 12 Q. B. 673; Forster *v.* Cookson, 1 Q. B. 419; Taylor *v.* Lanyon, 6 Bing. 536; Iredale *v.* Kendall, W. N. (1879) 20.
(*p*) Cox *v.* Leigh, 9 Q. B. 333.
(*q*) Rothery *v.* Wood, 3 Camp. 24.
(*r*) Thornton *v.* Adams, 5 M. & Sel. 38.
(*s*) Watson *v.* Main, 3 Esp. 16; Rand *v.* Bayham, 11 Bing. N. C. 767.
(*t*) Bach *v.* Meats, 5 Man. & Sel. 200.

leged only so long as there is other sufficient distress on the premises (*u*). The privilege does not extend to cattle generally; and the enumerated articles may be distrained before growing crops and other things distrainable only by statute (*v*). At Common Law the privilege does not avail against the landlords of third persons to whom an owner commits his goods, except in the case of goods delivered to a person exercising a public trade, to be carried, wrought, worked up, or managed in the way of his trade or employ (*w*). The Legislature, however, has intervened in favour of wollen, worsted, linen, cotton, flax, mohair, and silk hosiery manufacturers, for it is now enacted that frames, looms, machines, materials, tools, or apparatus entrusted to any person for the purpose of being used in the above manufactures, shall not be liable to be distrained for rent, unless such rent be due from the owner of such frames, &c. (*x*).

By the Lodgers' Goods Protection Act (*y*), under-tenant lodgers may protect their goods from distress by the superior landlord, by service on him of a declaration specifying that the goods contained in an annexed inventory are theirs, and by a tender to him of the rent (if any) which they may owe their immediate landlord—payment of which thus made is to be a good discharge as against the latter.

Section III.

Validity of Bills of Sale as against the Grantor's Trustee in Bankruptcy.

A person becomes a bankrupt by adjudication of a registrar in Bankruptcy, on petition presented to such registrar by a creditor (*z*), or two or more creditors, whose debt or debts

(*u*) Peacock *v.* Purvis, 2 Brol. & Bing. 562.

(*v*) Piggott *v.* Birtles, 1 M. & W. 441.

(*w*) Miles *v.* Furber, L. R. 8 Q. B. 77; Co. Litt. 47*a*.

(*x*) 6 & 7 Vict. c. 40, s. 18.

(*y*) 34 & 35 Vict. c. 97; Phillips *v.* Henson, L. R. 3 C. P. D. 26.

(*z*) *Ex parte* Cooper; *In re* Baillie, L. R. 20 Eq. 762; *Ex parte* Culley; *In re* Adams, L. R. 9 Ch. D. 307.

amount to a sum not less than £50, and founded on some act of bankruptcy. The following constitute acts of bankruptcy:—

I. That the debtor has, in England or elsewhere, made a conveyance or assignment of his property to a trusteee or trustees, for the benefit of his creditors generally.

II. That the debtor has, in England or elsewhere, made a fraudulent conveyance, gift, delivery, or transfer of his property or of any part thereof (*a*).

III. That the debtor has, with intent to defeat or delay his creditors, done any of the following things, namely, departed out of England (*b*), or being out of England remained out of England, or being a trader departed from his dwelling-house, or otherwise absented himself (*c*), or begun to keep house or suffered himself to be outlawed.

IV. That the debtor has filed in the prescribed manner in the Court a declaration admitting his inability to pay his debts.

V. That execution issued against the debtor on any legal process for the purpose of obtaining payment of not less than £50, has, in the case of a trader, been levied by seizure and sale of his goods.

VI. That the creditor presenting the petition has served in the prescribed manner on the debtor a summons requiring the debtor to pay a sum due, of an amount of not less than £50, and the debtor, being a trader, has for the space of seven days, or, not being a trader, has for the space of three weeks succeeding the service of such summons, neglected to pay such sum or secure or compound for the same (*d*).

But no person shall be adjudged a bankrupt on any of the above grounds, unless the act of bankruptcy on which the adjudication is grounded has occurred within six months before the presentation of the petition for adjudication.

(*a*) Philips *v.* Hornstedt, L. R. 1 Ex. D. 62; L. R. 8 Ex. 26; *Ex parte* Gearson; *In re* Mortimer, L. R. 8 Ch. 666.

(*b*) *Ex parte* Crispin; *In re* Crispin, L. R. 8 Ch. 374.

(*c*) *Ex parte* Meyer; *In re* Stephany, L. R. 7 Ch. 374.

(*d*) 32 & 33 Vict. c. 71, s. 6; *Ex parte* Weir; *In re* Weir, L. R. 6 Ch. 875; *Ex parte* Astrup; *In re* Lefevre, W. N. (1879) 62, 63.

By section 11 the bankruptcy relates back to and commences at the time the act of bankruptcy was completed on which the adjudication is founded; or, if there have been several acts of bankruptcy, at the time the first of such acts shall be proved to have been committed, within twelve months next preceding the order of adjudication; or at the time of committing a still prior act of bankruptcy, if the bankrupt was then indebted to some creditor or creditors in a sum or sums sufficient to support a petition in bankruptcy, and such debt or debts are still due at the time of the adjudication (*e*). Under this section the trustee in bankruptcy of the granter of an unregistered bill of sale is preferred to the grantee, who takes possession on the day following a secret act of bankruptcy (*f*). The filing of a petition for liquidation by arrangement is an act of bankruptcy to which the title of the trustee relates back; he, therefore, will be preferred to an execution creditor seizing subsequently to such filing (*g*). A resolution for composition, however, has no retrospective effect so as to invalidate securities obtained by a creditor between the filing of the petition and the first meeting of creditors (*h*). The debt on which the bankruptcy is founded must exist at the time of the act of bankruptcy (*i*).

By section 4 property shall mean and include money, goods, things in action, land, and every description of property, whether real or personal; also obligations, easements, and every description of estate, interest, and profit, present or future—vested or contingent—arising out of or incident to property, as above defined.

By section 15, the property of the bankrupt divisible amongst his creditors, and in the Act referred to as the property of the bankrupt, shall not comprise the following particulars:—

(*e*) *Ex parte* Crosbie; *In re* Bedell, L. R. 7 Ch. D. 123.

(*f*) *Ex parte* Attwater; *In re* Turner, L. R. 5 Ch. D. 27.

(*g*) *In re* Bissell Brothers, L. R. 11 Eq. 684.

(*h*) *Ex parte* Jones; *In re* Jones, L. R. 10 Ch. 663; *In re* Kearley and Clayton's Contract, L. R. 7 Ch. D. 615

(*i*) *Ex parte* Hayward; *In re* Hayward, L. R. 6 Ch. 546.

1. Property held by the bankrupt on trust for any other person.

2. The tools (if any) of his trade, and the necessary wearing apparel and bedding of himself, his wife, and children, to a value—inclusive of tools, and apparel, and bedding—not exceeding £20 in the whole.

But it shall comprise the following particulars :—

3. All such property as may belong to or be vested in the bankrupt at the commencement of the bankruptcy, or may be acquired by or devolve on him during its continuance.

4. The capacity to exercise and to take proceedings for exercising all such powers in, or over, or in respect of, property as might have been exercised by the bankrupt for his own benefit at the commencement of his bankruptcy, or during its continuance, except the right of nomination to an ecclesiastical benefice.

5. All goods and chattels being, at the commencement of the bankruptcy, in the possession, order, or disposition of the bankrupt, being a trader, by the consent and permission of the true owner, of which goods and chattels the bankrupt is reputed owner, or of which he has taken upon himself the sale or disposition as owner, provided that things in action, other than debts due to him in the course of his trade or business, shall not be deemed goods and chattels within the meaning of this clause.

Under the Bankrupt Act all persons are divided into (1) traders and (2) non-traders. The status of each class is sometimes the same, sometimes different, as may be seen from the above sections. The distinction should be borne in mind when dealing with bills of sale. Under section 6, sub-section 2, the assignment by a debtor of the whole of his property for a pre-existing debt is an act of bankruptcy (*k*), but the sale, at a fair price, of all a debtor's stock-in-trade to a *bonâ fide* purchaser, ignorant of a fraudulent intention of the seller, is not an act of

(*k*) Siebert *v.* Spooner, 1 M. & W. 714.

bankruptcy, whatever that intention may be (*l*), nor the assignment of all a debtor's property in consideration of fresh advances (*m*), nor necessarily when there is also a power to seize after-acquired property (*n*), nor when the consideration is partly for an antecedent debt, and partly for a fresh advance, provided the latter be really substantial, and there be no fraud between the parties (*o*). An assignment of only part of a debtor's property in consideration of a pre-existing debt is not, in the absence of positive fraud, an act of bankruptcy (*p*). To render such an assignment fraudulent, it must be made voluntarily and in contemplation of bankruptcy, hence an assignment made in consequence of a creditor's importunity is not fraudulent (*q*); nor is the assignment of his whole property in England by a foreign trader having property abroad an act of bankruptcy (*r*).

The result of the authorities is that, when a debtor assigns his whole property as a security for a past debt only, the assignment is an act of bankruptcy, whatever the intentions of the parties may have been. If there is also a further advance, it is not a question whether the further advance is great or small, but whether there was a *bonâ fide* intention of carrying on the business (*s*). In each case, looking at all the circumstances, you have to answer these questions: Does the assignment include all the property, or is there a substantial exception? Is it wholly to secure a pre-existing debt? and, if there is a further advance, is it a substantial one, or only one intended to give colour to a security, which is in reality made only for the purpose of securing a pre-existing debt? These are questions of fact, and the answers to be given depend upon

(*l*) Baxter *v.* Pritchard, 1 Ad. & Ell. 456; Leake *v.* Young, 5 El. & Bl. 955.

(*m*) Bittlestone *v.* Cooke, 6 El. & Bl. 296.

(*n*) Hutton *v.* Cruttwell, 1 El. & Bl. 15.

(*o*) Allen *v.* Bonnett, L. R. 5 Ch. 580.

(*p*) Smith *v.* Timms, 32 L. J. Ex. 215; Tomkins *v.* Saffery, L. R. 3 App. Cas. 213.

(*q*) Arbouin *v.* Hanburg, Holt, 577; Assignees of Taylor *v.* Killileagh Flax Spinning Co., Ir. R. 4 C. L. 120.

(*r*) *Ex parte* Defries; *Re* Myers, 35 L. T. 392.

(*s*) *Ex parte* Ellis; *In re* Ellis, L. R. 2 Ch. D. 797, per Mellish, L. J.; Lomax *v.* Buxton, L. R. 6 C. P. 107.

circumstances (*t*). Accordingly, the assignment of one's whole property—by the acceptor to the drawer of a bill of exchange in consideration of payment thereof by him where the advance is substantial (*u*), by a debtor for a past debt and future credit for goods to be supplied by the creditor (*x*), by the grantor of a bill of sale in pursuance of a previous agreement to assign on demand for a *bonâ fide* substantial advance where such agreement involves an absolute promise (*y*), even though the agreement be parol (provided it be contemporaneous, and the advances are in fact made), and the assignment be by deed which contains no covenant binding the assignee to make an advance (*z*),—has been held not to constitute an act of bankruptcy; whilst the assignment of one's whole property, with an exception, which would not pass to the trustee in bankruptcy (*a*), or with a colourable exception for a past debt (*b*), or by bill of sale made in pursuance of an agreement for an advance, but deferred until the debtor's circumstances are hopeless, are acts of bankruptcy (*c*).

We have already seen that the goods of a stranger are, under certain circumstances, liable to be distrained for rent by the possessor's landlord (*d*). We have now to consider how the property of third parties may come to form part of a bankrupt's estate, and so accrue to his trustee. For this purpose we may inquire—1. Of what the property must consist. 2. In whose possession it must be. 3. At what time that possession should exist.

By section 15, sub-section 5, 32 & 33 Vict. c. 71, the property must consist of goods and chattels—which include all

(*t*) *Ex parte* King; *In re* King, L. R. 2 Ch. D. 256, per James, L. J.; *Ex parte* Chester; *In re* Dungate, L. R. 1 Ch. D. 293; Mercer *v.* Peterson, L. R. 3 Ex. 104.

(*u*) *Ex parte* Reed & Steel; *In re* Tweddell, L. R. 14 Eq. 586.

(*x*) *Ex parte* Sheen; *In re* Winstanley, L. R. 1 Ch. D. 560.

(*y*) *Ex parte* Izard; *In re* Cook, L. R. 9 Ch. 271; *Ex parte* Fisher, L. R. 7 Ch. 636.

(*z*) *In re* Winstanley, L. R. 1 Ch. D. 290; *In re* Gibson; *ex parte* Bolland, L. R. 8 Ch. D. 830.

(*a*) *Ex parte* Hawkes; *In re* Keely, L. R. 7 Ch. 214.

(*b*) *Ex parte* Foxley; *In re* Nurse, L. R. 3 Ch. 515.

(*c*) *Ex parte* Greener; *In re* Vane, 46 L. J. Ch. 76.

(*d*) *Ante*, p. 170.

movable chattels, *e.g.*, furniture (*e*), pictures (*f*), stock-in-trade (*g*), and exclude fixtures (*h*), *e.g.*, fixed machinery, such as steam-engines, though removable without injury, and as between landlord and tenant (*i*)—and the property must not consist of things in action, except debts due to the bankrupt in the course of his trade or business. Thus, only a special class of choses in action enters into a bankrupt's assets (*k*).

The goods and chattels must be in the possession, order or disposition of the bankrupt, being a trader, by the consent and permission of the true owner, and the bankrupt must be the reputed owner, or must have taken upon himself the sale or disposition of such goods as owner (*l*). The general rule is that all chattels in the bankrupt's possession, but not belonging to him are, in the absence of explanation, deemed to be in his order and disposition as reputed owner—thus, goods purchased from a trader and left undistinguished from the rest of his stock, are in his possession as reputed owner (*m*). So, chattels leased with or without land, will be in the reputed ownership of the lessee, if he be held out to the world as owner, and obtain credit by the possession (*n*); if the lease be to a stranger, the onus of proving the reputed ownership rests on the bankrupt's trustee (*o*); if to the former owner the onus of disproving the reputed ownership rests on the real owner (*p*); but, generally, a bill of sale demising chattels to the mortgagor for a limited period cannot avail against the latter's trustee in bankruptcy (*q*). Goods sold and taken back on hire by the vendor are within his order and disposition (*r*); where A. pur-

(*e*) Hickinbotham *v.* Groves, 2 Car. & P. 492.

(*f*) *Ex parte* Castle, 3 Man. D. & De G. 117.

(*g*) Freshney *v.* Carrick, 1 H. & N. 653.

(*h*) Horn *v.* Baker, 9 East. 215; *In re* Bowker; *Ex parte* Houghton, W. N. (1879) 22.

(*i*) Whitmore *v.* Empson, 23 Beav. 215.

(*k*) *Ante*, p. 182.

(*l*) S. 15, sub-s. 5, 32 & 33 Vict. c. 71; *Ex parte* Roy; *In re* Sillence, L. R. 7 Ch. D. 70.

(*m*) White *v.* Wilks, 3 Taun. 116; Thackwaite *v.* Cock, 3 Taun. 487.

(*n*) Hickinbotham *v.* Groves, *ubi supra*; Meggy *v.* Imperial Discount Co., L. R. 3 Q. B. D. 711.

(*o*) Lingard *v.* Messiter, 1 B. & C. 315.

(*p*) Oliver *v.* Bartlett, 1 Brod. & Bing. 269.

(*q*) Spackman *v.* Miller, 12 C. B. N. S. 659.

(*r*) *Ex parte* Loveridge; *In re* Jones, L. R. 9 Ch. 621.

chased her father's furniture from his trustee in liquidation, but no assignment thereof was made to her, and she continued to live with her father, whose name was over the door of the house in which the furniture was, and who paid the rates and taxes, it was held that on the father's subsequent bankruptcy, the furniture passed to his trustee (*s*). Possession to take goods out of the order and disposition of a debtor must be rightful, therefore seizure by the sheriff of goods, which had been granted away by a prior registered bill of sale, does not take such goods out of the order and disposition of the grantor (*t*); but constructive or symbolical possession is in some instances as effectual as actual possession in defeating a bankrupt's trustee; thus, the delivery of a silver fork in the name of the whole furniture comprised in a bill of sale, together with the keys of the house containing same, is apparently, when stated in attestation clause, a sufficient delivery of possession (*u*). Goods comprised in a bill of sale (executed before the year 1879), which entitles the holder to take possession upon default in payment after demand, remain until demand in the reputed ownership of the grantor, and this, notwithstanding the registration of the bill of sale (*x*). To be in the order and disposition of a bankrupt, goods must be in his sole possession and sole reputed ownership; therefore goods of partners, one of whom was an infant, are not in the order and disposition of the firm which commits an act of bankruptcy (*y*). Property vested in trustees, or deposited with an agent, and assigned over, remains in the reputed ownership of the assignor until notice of the assignment is given to such trustee or agent (*z*). It was formerly

(*s*) *Ex parte* Moore; *Re* Cook, 36 L. T. 560.

(*t*) *Ex parte* Eddy; *In re* Cuthbertson, L. R. 19 Eq. 264.

(*u*) *Ex parte* Cox; *In re* Reed, L. R. 1 Ch. D. 302; *Ex parte* National Guardian Assurance Co.; *In re* Francis, L. R. 10 Ch. D. 408.

(*x*) *Ex parte* Harding; *In re* Fairbrother, L. R. 15 Eq. 223; *post*, pp. 215, 216, 221.

(*y*) *Ex parte* Dorman; *In re* Lake, L. R. 8 Ch. 51; *Ex parte* Brown; *In re* Reed, L. R. 9 Ch. D. 389; *Ex parte* Hayman; *In re* Pulsford, L. R. 8 Ch. D. 11; Reynolds *v.* Bowley, L. R. 2 Q. B. 474.

(*z*) *Ex parte* Barry; *In re* Fox, L. R. 17 Eq. 113; Kitchen *v.* Ibbotson, L. R. 17 Eq. 46; *Ex parte* Caldwell; *In re* Currie, L. R. 13 Eq. 188.

doubtful whether the doctrine of reputed ownership was affected by the fact that the possession of a mortgagor was consistent with the express provisions of the mortgage deed (*a*), but it would seem that this question is now to be answered in the negative, and that goods in the possession of a person at the time of his bankruptcy, subject to a bill of sale, which entitles him to possession until demand of the debt and default in its payment, are within his order and disposition (*b*).

Many things, however, are held to be exempt from reputed ownership; of these, the following are the principal:—

1. Things that are not goods and chattels, or debts due to the bankrupt in the course of his trade, within the meaning of s. 15, sub.-s. 5 of the Act (*c*).

2. Property settled ante-nuptially to the separate use of a married woman (*d*).

3. Chattels bequeathed to go along with a mansion-house, and not to be removed therefrom (*e*).

4. Partnership property (*f*).

5. Things that are the subject of transactions governed by the custom of trade (*g*).

6. Goods entrusted to mercantile agents (bankers, factors, brokers, &c.), for sale or safe custody (*h*).

7. Goods appropriated from a general stock to a purchaser's use (*i*).

8. Property held in *auter droit* (*k*).

(*a*) Ashton *v.* Blackshaw, L. R. 9 Eq. 516; *Ex parte* Homan; *In re* Broadbent, L. R. 12 Eq. 598.

(*b*) *Ex parte* Harding; *In re* Fairbrother, L. R. 15 Eq. 223; *Ex parte* Cox; *In re* Reed, *ubi supra*; Spackman *v.* Miller, *ubi supra*; see also *Ex parte* Crawcour; *In re* Robertson, L. R. 9 Ch. D. 419.

(*c*) *Ante*, p. 173.

(*d*) Jarman *v.* Woolston, 3 T. R. 618.

(*e*) Earl of Shaftsbury *v.* Russell, 1 B. & C. 666.

(*f*) *Ex parte* Dorman; *In re* Lake; *Ex parte* Brown; *In re* Reed, *ubi supra*.

(*g*) *Ex parte* Powell; *In re* Mathers, L. R. 1 Ch. D. 501; *Ex parte* Vaux; *In re* Couston, L. R. 9 Ch. 602; *Ex parte* Watkins; *In re* Couston, L. R. 8 Ch. 520; *Re* Shaw, I. R. 11 Eq. 632; *Ex parte* Ludlow; *In re* Hancock, W. N. (1879) 65.

(*h*) Mace *v.* Caddell, 1 Con. 232; *In re* Fawcus; *Ex parte* Buck, L. R. 3 Ch. D. 795; *Ex parte* Bright; *In re* Smith, L. R. 10 Ch. D. 566.

(*i*) *Ex parte* Marrable, 1 Gly. & Jar. 402.

(*k*) S. 15, sub-s. 1, 32 & 33 Vict. c. 71; *In re* Blanchard; *Ex parte* Hattersley, L. R. 8 Ch. D. 601; see Millar and Collier's Bills of Sale, 4th ed., 216, *et seq.*

In these several cases the things in question, though in the possession, will not be in the reputed ownership of, respectively, the bankrupt trader, husband, tenant, partner, possessor subject to a custom, agent, vendor, or trustee.

"Debts due to the bankrupt in the course of his trade," includes debts payable *in præsenti* or *in futuro*, but not debts which at the commencement of the bankruptcy are only contingent (*h*), nor debts which are unconnected with the bankrupt's trade (*i*). Shares in a company are not deemed "things in action" within s. 15, sub.-s. 5, hence an equitable mortgagee of such shares who fails to give the company notice of his title, is postponed to the mortgagor's trustee in bankruptcy (*k*). On the other hand, a debenture issued by a Joint-Stock Company undertaking to pay a sum of money with interest, and charging the company's undertaking and property with the payment thereof, is a "thing in action" within the above section; accordingly, the assignment of such a debenture by indorsement in blank, confers a good title on the assignee, although no notice of the assignment is given to the company until after the commencement of the assignor's bankruptcy (*l*).

With regard to transactions governed by the custom of trade, it has been decided that a custom to let certain articles on hire must be clearly proved to be known to persons in the same trade as the hirer, and to others who are likely to become his creditors, in order that such custom may defeat the order and disposition clause (*m*); however, evidence, though slight, is, if uncontradicted, sufficient for this purpose (*n*).

Goods and chattels in the reputed ownership of a bankrupt are not available to his trustee, unless such ownership be with the consent and permission of the true owner or person who

(*h*) *Ex parte* Kemp; *In re* Fastnedge, L. R. 9 Ch. 383.

(*i*) *In re* Pryce; *Ex parte* Rensburg, L. R. 4 Ch. D. 685.

(*k*) *Ex parte* Union Bank of Manchester; *In re* Jackson, L. R. 12 Eq. 354; but see *Ex parte* Ibbotson; *In re* Moore, L. R. 8 Ch. D. 519.

(*l*) *In re* Pryce; *Ex parte* Rensburg, *ubi supra*.

(*m*) *In re* Hill, L. R. 1 Ch. D. 503 n.

(*n*) *Ex parte* Powell; *In re* Mathers *ubi supra*.

has the legal right to possess and deal with the property (*o*), a description which includes a mortgagee or trustee (*p*). In the following instances such consent has been held to be wanting: (1) where the goods were transferred to the bankrupt's possession without the knowledge of the true owner (*q*); (2) where the true owner *bonâ fide* demands restitution of the goods (*r*); (3) where the bankrupt obtained the goods by fraud (*s*); (4) where the true owner does all he can to take the goods out of the order and disposition of the bankrupt—such effort or demand being made before the act of bankruptcy (*t*); (5) of goods and chattels in the reputed ownership of the bankrupt by the consent and permission of the true owner, only such as were in his possession at the commencement of the bankruptcy, pass to his trustee (*u*). Hence goods (1) coming into possession of the bankrupt after his bankruptcy (*x*); or (2) arriving on sale or return on evening preceding his bankruptcy, and not selected before that event (*y*); or (3) removed by the true owner at any time before the act of bankruptcy (*z*), do not belong to his estate; but whether a seizure by sheriff under a *fi. fa.* against the reputed owner of goods, who is allowed to remain in possession, takes them out of his order and disposition, is doubtful (*a*).

By 13 Eliz., c. 5, gifts made *bonâ fide* for valuable consideration are not to be deemed fraudulent, valuable consideration being money or money's worth, under which latter comes the consideration of marriage. The joint effect of this statute, and s. 6, sub.-s. 2 of the Bankruptcy Act, is to render an ante-

(*o*) S. 15, subs. 5, 32 & 33 Vict. c. 71. Pulling, L. R. 8 Ch. 48.

(*p*) *Ex parte* Dale, Buck, 366; Ryall *v.* Rolle, 1 Atk. 165.

(*q*) Townley *v.* Crump, 5 Nev. & Man. 606.

(*r*) *Ex parte* Ward; *In re* Couston, L. R. 8 Ch. 144; Smith *v.* Topping, 2 Nev. & Man. 421.

(*s*) Load *v.* Green, 15 M. & W. 223.

(*t*) Burn *v.* Carvalho, 4 My. & Cr. 690; Taylor *v.* Eckersley, L. R. 5 Ch. D. 740; Ancona *v.* Rogers, L. R. 1 Ex. D. 185; *Ex parte* Harris; *In re*

(*u*) S. 15, sub-s. 5, 32 & 33 Vict. c. 71.

(*x*) Lyon *v.* Weldon, 2 Bing. 334.

(*y*) *Ex parte* Wingfield; *In re* Florence, L. R. 10 Ch. D. 591; Gibson *v.* Bray, 1 Moore 519.

(*z*) Price *v.* Groom, 2 Ex. 542.

(*a*) *Ex parte* Foss, 2 De G. & J. 230; Barrow *v.* Bell, 5 El. & Bl. 540; Fletcher *v.* Manning, 12 M. & W. 581. See Millar and Collier's Bills of Sale, 4th ed., 229, 230.

nuptial settlement of property valid, though its validity may be impeached by proof that the intended wife had notice that her intended husband (the settlor) was insolvent, and that the settlement was to place his property out of the reach of his creditors (*b*); but a bill of sale cannot be impeached by the grantor's trustee in bankruptcy, on the mere ground that it was founded on an illegal consideration, where no offence against the bankruptcy laws has been committed (*c*).

The above enactments apply to all settlements, and to them alone are the settlements of non-traders subject; but the settlements of traders are subjected to additional restrictions, for by s. 91 of the Bankruptcy Act, all settlements made by traders, except those (*A*) made before and in consideration of marriage; (*B*) made in favour of purchasers or incumbrancers in good faith, and for valuable consideration; (*C*) made after marriage on the wife or children of the settlor of property which has accrued to him in right of his wife are: (1) if the settlor becomes bankrupt within two years after the date of the settlement absolutely void against his trustee in bankruptcy; or (2) if the settlor becomes bankrupt within ten years after such date, *primâ facie* void against such trustee, *i.e.*, such settlements are void unless the parties claiming thereunder can prove that the settlor was at the time of making the settlement able to pay all his debts without the aid of the property comprised in the settlement (*d*). Further, every contract or covenant to settle after acquired property (not being property of or in right of his wife), even though made in consideration of marriage, is in like manner void, if the settlor becomes bankrupt before the actual transfer of such property (*e*).

Section 91 applies to settlements executed before, as well as after, the Act came into operation (*f*), but its operation is

(*b*) Colombine *v.* Penhall, 1 Sm. & Gif. 228; Fraser *v.* Thompson, 4 De G. & J. 661.

(*c*) *In re* Mapleback; *Ex parte* Coldecott, L. R. 4 Ch. D. 150.

(*d*) See *In re* Andrews' Trusts, L. R. 7 Ch. D. 635; *Ex parte* Hillman; *In re* Pumfrey, L. R. 10 Ch. D. 622.

(*e*) S. 91, 32 & 33 Vict. c. 71.

(*f*) *Ex parte* Dawson; *In re* Dawson, L. R. 19 Eq. 433.

modified by the Married Women's Property Act, 1870 (*g*). A voluntary settlement by a trader is avoided by his subsequent insolvency within two years, if at the time the settlement was executed his debts exceeded his assets; nor does it matter that no debt which then existed remains due when the insolvency supervenes (*h*). So, a voluntary settlement of an estate subject to a mortgage, with a covenant that the settlor would pay interest on the mortgage, and when required would pay off the principal, is avoided by the bankruptcy of the settlor, if his assets, exclusive of the mortgaged estate, though sufficient to pay his debts other than the mortgage debt, be insufficient to pay both (*i*). A covenant to settle money on the trustees of a trader's marriage settlement is not a covenant within s. 91, for the future settlement of money or property in which the trader had no interest (*k*). A bill of sale giving a power to seize after acquired property is defeated by the liquidation of the grantor under the Bankruptcy Act (*l*).

The 13 Eliz. c. 5, does not prevent a debtor from preferring one of his creditors, but by section 92 of the Bankruptcy Act, which extends to non-traders as well as traders, all conveyances, payments, obligations, or judicial proceedings made, incurred, taken, or suffered in favour of a creditor, with a view of giving him a preference over his other creditors, by a person who becomes bankrupt within three months thereafter, are to be void against his trustee in bankruptcy; but this section does not affect the rights of a purchaser, payee, or incumbrancer, in good faith, and for valuable consideration. To constitute a fraudulent preference under section 92, there must be (1) a contemplation of bankruptcy by the person making the transfer or payment, (2) such transfer or payment must be voluntary on his part (*m*).

(*g*) Holt *v.* Everall, L. R. 2 Ch. D. 211.

(*h*) *Ex parte* Huxtable; *In re* Conibeer, L. R. 2 Ch. D. 54; Crossley *v.* Elworthy, L. R. 12 Eq. 158.

(*i*) Taylor *v.* Cockrum, L. R. 1 Ch. D. 636; *Ex parte* Cox; *In re* Reed, L. R. 1 Ch. D. 302.

(*k*) *Ex parte* Bishop; *In re* Tonnies, L. R. 8 Ch. 718; *Ex parte* Bolland; *In re* C——t, L. R. 17 Eq. 115.

(*l*) Thompson *v.* Cohen, L. R. 7 Q. B. 527; *Ante*, p. 181.

(*m*) Middleton *v.* Pollock; *Ex parte*

The rule appears now to be so far settled. A debtor must not of his own mere motion, without pressure or application, give a security to a creditor on the eve of bankruptcy, and, if he does, that is a fraudulent preference. But, if there be any pressure or negotiation for a security on the part of the creditor, then the fact that the creditor knows the debtor to be in embarrassed circumstances, is no objection to the validity of the security. He may know him to be greatly pressed—he may know him to be surrounded with difficulty, and yet may urge him for a security, and if in consequence of that pressure he gets a security it is within the saving of the 92nd section (*n*). The present Bankruptcy Act does not avoid a transaction which was not a fraudulent conveyance under the old law (*o*); therefore, a conveyance or payment in pursuance of a previous verbal agreement is not a fraudulent preference (*p*); and, unless it is clear to the Court that the debtor's sole motive was to prefer the creditor paid, to the other creditors, a payment cannot be impeached, even although it be obviously in favour of a creditor (*q*). Where a debtor assigns his whole property to a creditor, it rests upon the latter to prove there has been no fraudulent preference (*r*). Pressure, however, is no answer, if the transaction be fraudulent in its inception (*s*), nor is the assignment of part of his property by a man who is unable to meet his engagements to a trustee for a special class of creditors, prevented from being a fraudulent preference by any amount of pressure (*t*). In fact, any *cessio bonorum* made by an insolvent on the eve of his bankruptcy, for the benefit of some creditors to the exclusion of others, or any scheme or arrangement made for the distribution of the assets by such person otherwise than according to the provisions of the bank-

Elliott, L. R. 2 Ch. D. 489; *In re* Craven & Marshall, L. R. 10 Eq. 83; Hunt *v.* Mortimer, 10 B. & C. 44.

(*n*) Smith *v.* Pilgrim, L. R. 2 Ch. D. 127, per Malins, V.C.

(*o*) *In re* Craven & Marshall, L. R. 6 Ch. 70; 10 Eq. 83.

(*p*) *Ibid.* *Ex parte* Kevan; *In re* Crawford, L. R. 9 Ch. 752; Smith *v.* Pilgrim, *ubi supra.*

(*q*) *Ex parte* Topham; *In re* Walker, L. R. 8 Ch. 614; *Ex parte* Halliday; *In re* Liebert, L. R. 8 Ch. 283.

(*r*) *Re* Tate; *Ex parte* Tate, 25 W. R. 52.

(*s*) *Ex parte* Reader; *In re* Wrigley, L. R. 20 Eq. 763.

(*t*) Tomkins *v.* Saffery, L. R. 3 App. Cas. 213; 4 Ch. D. 555.

ruptcy laws, is a plain and palpable fraud on the bankruptcy laws, a plain and palpable fraud upon the creditors, who are excluded or disappointed, or who may be delayed or hindered thereby (*u*). On the other hand, pressure or no pressure does not in the slightest degree matter, if there is not a fraudulent intent to prefer one creditor to the others, and does not invalidate a transaction subject to the protection of the concluding words of the section (*x*). The words are:—"This section shall not affect the rights of a purchaser, payee, or incumbrancer, in good faith, and for valuable consideration;" which is thus interpreted:—"payee" means a person receiving payment as a creditor; "in good faith" means without notice that any fraud or fraudulent preference is intended; "for valuable consideration" means other than on a voluntary bond or covenant for which no value was given, or else applies to a purchaser or incumbrancer, and not to a payee (*y*). The Legislature, it is suggested, intended to say—if you, the debtor, for the purpose of evading the operation of the bankrupt laws, and in order to give a fraudulent preference, make this payment or this charge, it shall be wholly done away with except in cases where the person you have so favoured is wholly ignorant of your intentions to favour him, and receives payment simply for valuable consideration and *bonâ fide*, *i. e.*, without any notice of any intention on your part fraudulently to favour one creditor above another; a *bonâ fide* creditor is therefore protected (*z*).

Persons, having notice of an act of bankruptcy, available for adjudication, cannot prove for any debt or liability contracted with them by the bankrupt subsequent to the date of such

(*u*) *Ex parte* Saffery; *In re* Cooke, L. R. 4 Ch. D. 555.

(*x*) *Ex parte* Bolland; *in re* Cherry, L. R. 7 Ch. 24; *Ex parte* Blackburn; *in re* Cheeseborough, L. R. 12 Eq. 358; *Ex parte* Carlisle Banking Co.; *Re* Walton, 36 L. T. 522.

(*y*) Butcher *v.* Stead, L. R. 7 H. L. 839; *Ex parte* Butcher; *in re* Meldrum, L. R. 9 Ch. 752; *Ex parte* Norton; *in re* Golden, L. R. 16 Eq. 397; *Ex parte* London & City Banking Co.; *in re* Brown, L. R. 16 Eq. 391.

(*z*) Butcher *v.* Stead, *ubi suprà*.

notice (*a*); but a bill of sale, executed with notice of an act of bankruptcy by the mortgagor, is good for the amount paid by the mortgagee in discharge of prior registered bills of sale executed before the act of bankruptcy, although the old bills are not transferred to the new mortgagee, but satisfaction is entered up upon them (*b*).

Moreover, the following transactions are expressly made valid:—1st, payments in good faith and for value received; 2nd, payments or delivery of money or goods belonging to a bankrupt; 3rd, contracts or dealings in good faith and for valuable consideration—made to or with a bankrupt before the date of the order of adjudication by a person not having at the time of such payment, delivery, contracts, or dealings, notice of any act of bankruptcy committed by the bankrupt and available against him for adjudication (*c*). Section 94, sub.-s. 3, modifies section 15, sub-s. 5, so that goods in the order and disposition of a debtor at the time of his bankruptcy, may nevertheless avail the holder of a bill of sale, who, *bonâ fide*, and without notice of an act of bankruptcy, takes possession before the date of the order of adjudication (*d*), such taking of possession being a dealing with the bankrupt within the section (*e*). Notice of an intention to commit an act of bankruptcy is not notice of an act of bankruptcy, and the creditor receiving such notice is not bound to inquire whether the act has been committed, but is entitled to avail himself of his remedies just as if he had received no notice (*f*).

Again, where the goods of any trader have been taken *in execution* in respect of a *judgment exceeding* £50 *and sold*, the sheriff, or, in the case of a sale, under the direction of the County Court, the high bailiff of the County Court shall retain the proceeds of such sale in his hands for a period of fourteen days, and upon notice being served on him within

(*a*) S. 31, 32 & 33 Vict. c. 71.
(*b*) *Ex parte* Harris; *in re* James, L. R. 19 Eq. 253.
(*c*) S. 94, 32 & 33 Vict. c. 71.
(*d*) *Ex parte* Barbidge; *in re* Pooley, L. R. 8 Ch. D. 367.
(*e*) *In re* Wright; *Ex parte* Arnold, L. R. 3 Ch. D. 70.
(*f*) *Ibid.*

that period of a bankruptcy petition having been presented against such trader, shall hold the proceeds of such sale after deducting expenses, on trust to pay the same to the trustee; but if no notice of such petition having been presented be served on him within such period of fourteen days, or if such notice having been served, the trader against whom the petition has been presented is not adjudged a bankrupt on such petition, or on any other petition of which the sheriff has notice, he may deal with the proceeds of such sale in the same manner as he would have done had no notice of the presentation of a bankruptcy petition been served on him (*g*). The 87th section virtually classifies executions against bankrupts under two heads—1st, against non-traders for any sum and traders for any sum less than £50; 2nd, against traders for any sum of £50 or more; execution creditors under executions belonging to the first class become secured by seizure of the sheriff (*h*); execution creditors, under executions belonging to the second class, do not become secured until a seizure and sale by the sheriff, and a lapse of fourteen days from such sale within which no notice of the presentation of a bankruptcy petition against the execution debtor is given to the sheriff. The seizure before an act of bankruptcy for a debt less than £50 is good, though there be no sale till after the adjudication (*i*), and, where the execution debtor is a non-trader, such seizure is good for a debt of any amount (*k*). An execution levied by seizure and sale of a trader's goods for over £50 is an act of bankruptcy, yet not a void proceeding, so that if no notice of a petition for adjudication be given to the sheriff within fourteen days of the sale, the execution creditor is entitled to the proceeds (*l*); but if there be two executions by the

(*g*) S. 87, 32 & 33 Vict. c. 71. An execution issued for less than £50 on a judgment signed for more than £50 is not within the section; *In re* Hinks; *Ex parte* Berthier, L. R. 7 Ch. D. 882.

(*h*) *Post*, pp. 396, 397.

(*i*) Slater *v.* Pinder, L. R. 6 Ex. 228; 7 Ex. 95; *Ex parte* Lovering; *in re* Peacock, L. R. 17 Eq. 452.

(*k*) Sneary *v.* Abdy, L. R. I. Ex. D. 299; *Ex parte* Williams; *in re* Davies, L. R. 13 Eq. 314; *Ex parte* Bailey; *in re* Jeeks, L. R. 13 Eq.

(*l*) *Ex parte* Villars; *in re* Rogers, L. R. 9 Ch. 432; *Ex parte* James, L. R. 9 Ch. 609; Stock *v.* Holland, L. R. 9 Ex. 147.

same creditor against a trader, each for over £50, the proceeds of the second execution will belong to the debtor's trustee in bankruptcy (*m*). When the debt for which execution is levied, and the sheriff's fees together exceed £50, the execution is within section 87 (*n*); such fees include all expenses the sheriff is entitled to charge at the time of sale; therefore possession money may be included where the sheriff is compelled to take possession (*o*). The assignment by a trader of property seized for a debt of more than £50 to the judgment creditor, in consideration of his withdrawing the execution, is an act of bankruptcy, and a void proceeding (*p*); but payment to the sheriff before delivery in execution is not an act of bankruptcy (*q*); so, the sheriff may sell the goods seized to the execution creditor by private contract, and of goods seized on different days, the sale by the sheriff is considered one transaction (*r*). However, an order for sale and payment to an execution creditor is defeated by the subsequent bankruptcy of the debtor before the sheriff has sold (*s*).

The notice to the sheriff of the presentation of a petition of bankruptcy, against an execution trader debtor for over £50, should identify the debtor as a trader, otherwise the sheriff need pay it no attention (*t*). Section 87 of the Bankruptcy Act applies to companies in liquidation, under section 10, 38 & 39 Vict. c. 77 (*u*).

Subject to ss. 87, 91, 92, the following transactions are valid:—

(*m*) *Ex parte* Dawes; *in re* Husband, L. R. 19 Eq. 438.

(*n*) *Ex parte* Liverpool Co.; *in re* Bullen, L. R. 7 Ch. 733.

(*o*) Howes *v.* Young; Howes *v.* Stone, L. R. 1 Ex. D. 146; *Ex parte* Sims; *in re* Grubb, L. R. 5 Ch. D. 735; 4 Ch. D. 521.

(*p*) Woodhouse *v.* Murray, L. R. 4 Q. B. 27; *Ex parte* Cooper; *In re* Baum, L. R. 10 Ch. D. 313; Philips *v.* Hornstedt, L. R. 1 Ex. D. 62, disapproved.

(*q*) Stock *v.* Holland, L. R. 9 Ex. 147; *Ex parte* Brooke; *in re* Hassell, L. R. 9 Ch. 301.

(*r*) *Ex parte* Villars; *in re* Rogers, *ubi suprà*.

(*s*) *Ex parte* Holling; *in re* Haydon, L. R. 7 Ch. D. 157.

(*t*) *Ex parte* Spooner; *in re* Smith L. R. 10 Ch. 168; *Ex parte* Rayner; *in re* Johnson, L. R. 7 Ch. 325; *Ex parte* Viness; *in re* Gwynne, L. R. 10 Eq. 419; *In re* Norton, L. R. 10 Eq. 425; *Ex parte* Key; *in re* Skinner, L. R. 10 Eq. 32.

(*u*) *In re* Printing & Universal Registering Co., L. R. 8 Ch. D. 535; *In re* Thérèse and Co., W. N. (1879) 31; Moor *v.* Anglo-Italian Bank, L. R. 10 Ch. D. 681; *sed quære In re* Richards and Co., W. N. (1879) 65.

1st. Dispositions of property,—

2nd. Executions or attachments executed by seizure against a bankrupt's land,—

3rd. Executions or attachments executed by seizure and sale of a bankrupt's goods,—made in good faith before the date of the order of adjudication, with or on account of any person, not having at the time of such disposition or execution notice of any act of bankruptcy committed by the bankrupt and available against him for adjudication (*x*).

Under the above provisions notice of an act of bankruptcy means notice of an act of bankruptcy upon which an adjudication may be founded (*y*), committed prior to the seizure; the onus, however, of proving the want of notice is on the execution creditor who claims protection (*z*). Notice may be actual or constructive as by wilfully abstaining from acquiring knowledge (*a*); actual notice should convey specific information as to acts constituting bankruptcy, and not leave room for doubt; thus, a notice stating circumstances which may or may not amount to an act of bankruptcy is insufficient (*b*). Moreover, the notice must be to the person actually dealing with the bankrupt (*c*); hence, notice to the sheriff's officers in possession under an execution against the bankrupt is not notice to the creditor (*d*).

Section IV.

The Bills of Sale Acts.

We have now stated under what conditions a bill of sale will avail against the grantor's creditors, landlord, and trustee in bankruptcy; by fulfilment of those conditions a bill of sale in

(*x*) 32 & 33 Vict. c. 71, s. 95; *Ex parte* Cochrane; *In re* Cross, W. N. (1879) 28. Where the transaction is avoided under Bills of Sale Act, ss. 94, 95 are inoperative, see *post*, pp. 214, 215. *Ex parte* Attwater; *in re* Turner, L. R. 5 Ch. D. 27.

(*y*) *Ex parte* Gilbey; *in re* Bedell, L. R. 8 Ch. 248.

(*z*) *Ex parte* Schulte; *in re* Matanlé, L. R. 9 Ch. 409.

(*a*) Bird *v.* Bass, 6 M. & G. 143.

(*b*) Evans *v.* Hallam, L. R. 6 Q. B. 713.

(*c*) Green *v.* Steer, 1 Q. B. 710.

(*d*) *Ex parte* Schulte; *in re* Matanlé, *ubi supra*.

its inception avails against the world at large. But only in its inception; for when comprising property left in the possession or apparent possession of the grantor, if not duly registered within twenty-one (or within seven) (*e*) days from its execution, it will avail against the grantor, his representatives and subsequent grantees of bills of sale, but not against the grantor's trustee in bankruptcy, his assignees under any assignment in liquidation for benefit of his creditors, against the sheriffs officers seizing in execution of process, or against persons on whose behalf such process shall have been issued (*f*); and such registration must be renewed every five years, otherwise it will cease to be of any effect at the expiration of any such period during which it has not been renewed (*g*). A bill of sale is registered by being itself or a true copy (which is the more usual and may in future be the necessary course) (*e*) (*h*) filed within twenty-one (or within seven) days (*e*) from the time it was made with the clerk of the docquets or master acting as registrar in the Queen's Bench Division, together with an affidavit of the time of such bill of sale being made or given (and of its due execution and attestation) (*e*) (*h*), and a description of the residence and occupation of the party giving the same, or against whom process issued, if given in the execution of any process, and of the witness or witnesses who must all attest such affidavit (*i*). The bill of sale must be produced to the officer duly stamped (*k*), though an instrument improperly stamped originally may be properly stamped on registration (*l*); and any defeazance must be written on the same paper or parchment as the bill, before the same or a copy thereof can be filed (*m*). On and after January, 1879, the execution of every

(*e*) If made in England on or after 1st January, 1879; 41 & 42 Vict. c. 31, ss. 2, 3, 8, 24.

(*f*) 17 & 18 Vict. c. 36, s. 1. The corresponding Irish Act is 17 & 18 Vict. c. 55.

(*g*) 29 & 30 Vict. c. 96, s. 4; 41 & 42 Vict. c. 31, s. 11.

(*h*) 41 & 42 Vict. c. 31, ss. 10, 12, *post*, p. 219.

(*i*) S. 1, 17 & 18 Vict. c. 36; s. 10, subs. 2, 41 & 42 Vict. c. 31; Pickard *v.* Marriage, L. R. 1 Ex. D. 364.

(*k*) 33 & 34 Vict. c. 97, s. 57.

(*l*) Bellamy *v.* Saul, 32 L. J. Q. B. 366.

(*m*) S. 2, 17 & 18 Vict. c. 36; s. 10, subs. 3, 40 & 41 Vict. c. 31.

bill of sale shall be attested by a solicitor of the Supreme Court and the attestation shall state that before the execution of the bill of sale the effect thereof has been explained to the grantor by the attesting solicitor (*n*). The registration of a bill of sale is renewed by some person filing in the office of the Masters of the Queen's Bench Division (being the officers acting as clerk of the docquets and judgments in the Court), an affidavit stating the date of such bill of sale (and the last registration thereof), and the names, residences, and occupations of the respective parties thereto as stated therein, and that such bill of sale is still a subsisting security, and such master shall thereupon number such affidavit, and renumber the original bill of sale or copy, filed in the office with a similar number (*o*); such affidavit must bear an adhesive Common Law stamp of the value of 5*s*., which is the only fee chargeable (*p*). In the office of the Masters of the Queen's Bench Division a book is kept in which are entered in a form prescribed, as and when all bills of sale, copies, and affidavits of renewal were respectively filed, also the name, residence, and occupation of every person by whom a bill of sale is given, or, if given by a person under execution of process, then the name, residence, and occupation of the person against whom such process issued; also, the name of the person to whom or in whose favour the bill is given, together with the number and date of the bill or copy thereof, the date of registration, and the date of filing the affidavit of renewal (*q*), and any one may search the said book and bills of sale, or copies and affidavits filed as aforesaid, on payment of 1*s*. for every search against one person; and office copies of a bill of sale or affidavit of renewal may be had on payment for the same at the like rate as for office copies of judgments in the Queen's Bench Division (*r*). Any judge of the Queen's Bench Division may

(*n*) *Ibid.*, subs. 1.

(*o*) S. 5, 29 & 30 Vict. c. 96; s. 12, 41 & 42 Vict. c. 31.

(*p*) S. 6, 29 & 30 Vict. c. 96, Sch. A; s. 18, 41 & 42 Vict. c. 31, Sch. A.

(*q*) S. 7, 29 & 30 Vict. c. 96, Sch. B; s. 12, 41 & 42 Vict. c. 31, Sch. B.

(*r*) S. 8, 29 & 30 Vict. c. 96; s. 15; 17 & 18 Vict. c. 36; s. 16, 41 & 42 Vict. c. 31.

order an entry of satisfaction on any bill of sale or copy thereof filed as aforesaid, if it shall appear to him that the debt for which such bill was given is satisfied (*s*), but on and after 1st January, 1879, the above power is transferred to the Masters of the Queen's Bench Division acting as registrar (*t*).

In construing the Act the following words and expressions shall have the meanings hereby assigned to them, unless there be something in the subject or context repugnant to such constructions (that is to say) :—

The expression "bill of sale" shall include bills of sale, assignments, transfers (*u*), declarations of trust without transfer (*x*) [inventories of goods with receipt thereto attached, or receipt for purchase moneys of goods] (*y*), and other assurances of personal chattels, and also powers of attorney, authorities or licenses to take possession of personal chattels (*z*), as security for any debt, [and also any agreement whether intended or not to be followed by the execution of any other instrument by which a right in equity to any personal chattels, or to any charge or security thereon shall be conferred] (*y*), but shall not include the following documents; that is to say, assignments for the benefit of the creditors of the person making or giving the same (*a*); marriage settlements; transfers or assignments of any ship or vessel or any share thereof (*b*); transfers of goods in the ordinary course of business of any trade or calling (*c*); bills of sale of goods in foreign parts or at sea; bills of lading; India warrants, warehouse keepers' certificates, warrants or orders for the delivery of goods, or any other documents used in the ordinary course of business as proof of the possession or control of goods, or authorising or purporting to authorise,

(*s*) S. 6, 17 & 18 Vict. c. 36.

(*t*) S. 15, 41 & 42 Vict. c. 31.

(*u*) Robinson *v.* Collingwood, 34 L. J. C. P. 18.

(*x*) Coole *v.* Braham, L. R. 4 Ex. 183.

(*y*) On and after 1st January, 1879, 41 & 42 Vict. c. 31, ss. 2—4.

(*z*) *Ex parte* Crawcour; *in re* Robertson, L. R. 9 Ch. D. 419.

(*a*) The General Furnishing and Upholstery Co. *v.* Venn, 32 L. J. Ex. 220.

(*b*) The Union Bank of London *v.* Lenanton, L. R. 3 C. P. D. 243.

(*c*) Merchant Banking Co. *v.* Spotten, Ir. R. 11 Eq. 586.

either by indorsement or by delivery, the possessor of such document to transfer or receive goods thereby represented (*d*):

The expression "personal chattels" under 17 & 18 Vict. c. 36 shall mean goods, furniture, fixtures, and other articles capable of complete transfer by delivery, and shall not include chattel interests in real estate, nor shares or interests in the stock, funds, or securities of any government, or in the capital or property, of any incorporated or joint-stock company, nor choses in an action, nor any stock or produce upon any farm or lands which by virtue of any covenant or agreement or of the custom of the country, ought not to be removed from any farm where the same shall be at the time of the making or giving of such bill of sale.

Personal chattels shall be deemed to be in the "apparent possession" of the person making or giving the bill of sale, so long as they shall remain or be in or upon any house, mill, warehouse, building, works, yard, land, or other premises occupied by him, or as they shall be used and enjoyed by him in any place whatever, notwithstanding that formal possession thereof may have been taken by or given to any other person (*e*).

The questions to which the Bills of Sale Acts have so far given rise may be ranged under the five following heads :—

1. What instruments answer the description of bills of sale requiring registration.
2. What property is included in the expression "personal chattels."
3. What is sufficient to constitute apparent possession.
4. What description in the bill of sale and accompanying affidavit satisfies the prescribed requirements.
5. What is the general effect of the three statutes.

1. *What instruments answer the description of bills of sale requiring registration.*—Section 1, 17 & 18 Vict. c. 36, provides that every bill of sale made after the passing of the Act, either

(*d*) S. 7, 17 & 18 Vict. c. 36; S. 4, 41 & 42 Vict. c. 31.

(*e*) *In re* Bainbridge; *ex parte* Fletcher, L. R. 8 Ch. D. 218.

absolutely or conditionally, or subject or not subject to any trusts, and whereby the grantee or holder shall have power either with or without notice, and either immediately after the making of such bill of sale, or at any future time, to seize or take possession of any property and effects comprised in or made subject to such bill of sale, and every schedule or inventory which shall be thereto annexed or therein referred to, or a true copy thereof, and of every attestation of the execution thereof, shall be registered in the prescribed manner (*f*). This, with the explanatory section above quoted, furnishes the means of determining whether, as the law now exists, and will continue to exist up to 1st January, 1879, any given instrument requires to be registered; and, applying this test, the Court holds that an equitable assignment of goods (*g*), or an agreement to give a bill of sale, if relied on as an equitable assignment of property (*h*), or an assignment in trust operating as a bill of sale (*i*), or, in general, any equitable security which gives a right to take possession through the agency of the Court (*k*), is within the required formality; also, that the registration of a deed which omitted a parol agreement, that the debt should be paid off by weekly instalments, is insufficient, on the ground that such agreement amounts to a condition or defeazance, and therefore requires registration (*l*), but a memorandum for payment of £30 bonus is not a condition requiring registration (*m*).

A deed by which a debtor covenants that, if the debt be not paid on a day named, certain chattels shall be charged with it, and that, when required, he will assign them to the creditor as security, requires registration (*n*); but an agreement to give a bill of sale need not be registered, and where a bill was exe-

(*f*) S. 7, 17 & 18 Vict. c. 36.

(*g*) *Ex parte* Coming; *in re* Steele, L. R. 16 Eq. 414.

(*h*) *Ex parte* Mackay; *ex parte* Brown; *in re* Jeavons, L. R. 8 Ch. 643.

(*i*) Ashton *v.* Blackshaw, L. R. 9 Eq. 510.

(*k*) Edwards *v.* Edwards, L. R. 2 Ch. D. 291.

(*l*) *Ex parte* Southam; *in re* Southam, L. R. 17 Eq. 578.

(*m*) *Ex parte* Collins; *in re* Lees, L. R. 10 Ch. 637.

(*n*) Edwards *v.* Edwards, *ubi supra*.

cuted in 1870, in pursuance of an agreement made in 1868, and the grantor filed a liquidation petition on the day the bill was executed, but subsequent to the execution thereof, it was held that, on registration within twenty-one days, the bill of sale was good against the grantor's trustee in bankruptcy (*o*). A receipt, which is really a mortgage, requires to be registered (*p*); but not a mere receipt for a past debt (*q*), nor an equitable interest, as distinguished from a power to seize (*r*), nor a mercantile transaction of advance and pledge, nor a letter of hypothecation which only gives a promise to grant possession, not a power to seize (*s*), nor an agreement giving a lien on bills of lading and each shipment of goods in transit outwards, or in the hands of consignees or any other person, and also upon the proceeds or produce purchased with the proceeds of each such shipment in the hands of consignees or any other person, or in the transit homewards (*t*), nor the assignment of a bill of sale executed before the Act came into operation (*u*).

Thus far, then, as to the law up to the 1st January, 1879. On and after that date the Bills of Sales Acts, 1854, 1866, are repealed (except as regards bills of sale executed before that date), and the Bills of Sale Act, 1878, comes into force (*x*). The general effect of that statute will be considered under our fifth head (*y*); under the present head we have only to inquire what instruments will in future answer the description of bills of sale requiring registration. At first sight, it would seem that all instruments which had to be registered under the old, will also have to be registered under the new legislation, which,

(*o*) *Ex parte* Homan; *in re* Broadbent, L. R. 12 Eq. 598.

(*p*) *In re* Bamfield; *ex parte* Newport Credit Co., 20 W. R. 925.

(*q*) Byerly *v.* Prevost, L. R. 6 C. P. 124; Allsop *v.* Day, 31 L. J. Ex. 105; *sed quære Ex parte* Cooper; *In re* Baum, L. R. 10 Ch. D. 313; *ex parte* Odell; *In re* Walden, L. R. 10 Ch. D. 76. See Woodgate *v.* Godfrey, L. R. 4 Ex. D. 59.

(*r*) Brown *v.* Bateman, L. R. 2 C. P. 272.

(*s*) *Ex parte* North-Western Bank; *in re* Slee, L. R. 15 Eq. 69.

(*t*) *Ex parte* Watson; *in re* Love, L. R. 5 Ch. D. 35; Graham *v.* Wilcockson, 46 L. J. Ex. 35.

(*u*) *Re* Shaw; *ex parte* Shaw, 36 L. T. 805, 25 W. R. 686.

(*x*) S. 23, 41 & 42 Vict. c. 31.

(*y*) *Post*, p. 219.

so far from curtailing the scope of registration, expressly extends it to several cases where it was formerly unnecessary (*z*). We must not, however, be too hasty in concluding between the relative comprehensiveness of the two statutes, for it is perhaps doubtful if the recent enactments extend to conditional bills of sale. The language of section 3 (*a*) does not much differ from that of section 1 of the earlier Act, except that nothing is said of bills of sale made conditionally; hence, the inference that such bills of sale are not within the wording of the new Act, though they are clearly within its spirit; indeed, it may be urged that the expression, "bill of sale, made or given subject to any defeazance or condition," occurring in section 10, covers the case of conditional bills of sale, notwithstanding a similar provision in the earlier statute (*b*). Whatever be the true construction on that point, it is clear that in other respects the Act of 1878 is more comprehensive than its predecessor. Thus, in addition to the instruments included under the latter, the expression bill of sale shall also for the future include—(1) inventories of goods with receipt thereto attached; (2) receipts for purchase moneys of goods; (3) any agreement whether intended or not to be followed by the execution of any other instrument, by which a right in equity to any personal chattels, or to any charge or security thereon, shall be conferred (*c*); (4) any attornment, instrument, or agreement, not being a mining lease, whereby a power of distress is given or agreed to be given by any person to any other person by way of security for any present, future, or contingent debt or advance, and whereby any rent is reserved or made payable as a mode of providing for the payment of interest on such debt or advance, or otherwise for the purpose of such security only as regards any personal chattels which may be seized or taken under such power of distress, provided that the above shall not extend to any mortgage of any estate or interest in any land, tenement, or hereditament which the mortgagee,

(*z*) *Infra.*
(*a*) 41 & 42 Vict. c. 31.
(*b*) *Ibid.*, s. 10 (3); 17 & 18 Vict. c. 36, s. 2.
(*c*) S. 4, 41 & 42 Vict. c. 31.

being in possession, shall have demised to the mortgagor at a fair and reasonable rent (*d*).

It is not without much diffidence that we submit the foregoing as an accurate statement of the new classes of instruments to which the expression bill of sale is extended. We are not at all sure that to be within the recent Act the inventories and receipts above specified must not be given *as security for some debt.* No doubt the punctuation in section 4 (*e*) excludes that qualification, but the subsequent provision in the same section, that transfers of goods in the ordinary course of business of any trade or calling, shall not be included in the expression bill of sale, appears to be at variance with what had gone before, and one can hardly believe that the Legislature intended to abolish the distinction that had been taken on the 17 & 18 Vict., between a mere receipt and a receipt that really amounts to a mortgage (*f*). If such be the intention, a person who goes into a shop and gets receipts for the goods he has purchased and paid for, will not be safe unless he remove such goods, or duly register such receipts—a consequence which might result in putting a purchaser who had obtained no receipt in a better position than one who had (*g*). It will be observed that the inventories spoken of are inventories *with receipt thereto attached.* It is not quite plain whether this provision will in any way affect the old rule, which is re-enacted in sect. 10, sub-s. 2, 41 & 42 Vict. c. 31, requiring registration of every inventory annexed or referred to in a bill of sale. To us it appears that section 4 only contemplates inventories which are unaccompanied by any other

(*d*) *Ibid.*, s. 6; *In re* Stockton Iron Furnace Co., L. R. 10 Ch. D. 335; *Ex parte* Auckland Building Society; *In re* Raine, W. N. (1879) 28; *Ex parte* Williams; *In re* Thompson, L. R. 7 Ch. D. 138.

(*e*) 41 & 42 Vict. c. 31.

(*f*) *In re* Bamfield; *ex parte* Newport Credit Co., 20 W. R. 905; Byerly *v.* Prevost, L. R. 6 C. P. 124. *Ante*, p. 203.

(*g*) We do not urge this as an argument against the literal construction, inasmuch as that result is accepted in similar cases without demur, as in the instance of an equitable mortgage of lands within a register county, where the omission to register a memorandum accompanying the deposit of the deeds, will put the mortgagee in a position worse than if there had been no memorandum; *post*, pp. 224, 225. We are here only stating an inference. See Woodgate *v.* Godfrey, L. R. 4 Ex. D. 59.

instrument, and does not interfere with the subsequent section, and that if, therefore, there be a bill of sale and a distinct inventory not annexed or referred to, but specifying the goods contained in the bill of sale, the non-registration of such inventory cannot invalidate the registration of the bill of sale.

In extending the expression bill of sale to the agreements comprising the third of the classes above mentioned (*h*), Parliament has apparently left no loophole for evading registration of an instrument which in substance confers the same advantages as a formal bill of sale. For the future, a person who is virtually an unregistered mortgagee of personal chattels cannot escape the Bills of Sale Act by merely setting up the absence of a formal or final instrument, and that his title is only equitable; such a doctrine as that laid down in *ex parte* Homan, *in re* Broadbent, is overruled (*i*). Indeed, so sweeping are the words of section 4, that it seems impossible to frame a security not needing registration, and not being specially exempted therefrom, and at the same time giving any kind of specific right to personal chattels. And that result is further insured by section 6, which prevents the indirect evasion of section 4 by requiring registration of instruments which under the guise and power of distress are really securities for the payment of interest, enabling the creditor to seize his debtor's goods. From the operation of section 6 are exempted—(1) mining leases; (2) demises by a mortgagee in land in possession to the mortgagor as his tenant, at a fair and reasonable rent; (3) instruments reserving a power of distress, and rent other than as a means of securing any debt or interest thereon only. The foregoing exemptions are subject to the provisions regarding trade fixtures (*k*).

2. *What property is included in the expression "personal chattels."*—To the above phrase, the Bills of Sale Act, 1854, has attached a peculiar meaning, which is at once in some respects more, and in other respects less, comprehensive than

(*h*) *Ante*, p. 204.
(*i*) *Ante*, p. 203.
(*k*) *Post*, p. 210, *et seq.*

its usual signification in the law; more comprehensive, because the term is made to embrace fixtures—less comprehensive because it is denied to shares in government securities and joint-stock companies, to choses in action and to certain stock or produce upon any farm or lands (*l*). The chattels contemplated by the Act are confined to goods capable of present delivery and removal; thus, growing crops are not within section 7, yet an assignment of standing wheat which the assignee is to cut and carry away at any time he may require, is within the statute, as the intention is apparent to pass the immediate property (*m*). A separate assignment of fixtures requires registration (*n*), but not a mortgage of freeholds or leaseholds with fixtures (*o*); such a mortgage passes all fixtures which are removable by the tenant, even those subsequently added, unless expressly excepted. Thus, where the lessee of a public-house deposited the lease thereof by way of equitable mortgage, together with a memorandum stating that the deposit was made to secure a loan of £800, and any money that might become due to the depositee for goods sold, and for the expense of "insuring the premises and fixtures and fittings therein" from fire, and the memorandum also contained an undertaking to execute a legal mortgage when required, it was held that all fixtures and fittings attached to the premises passed by such equitable mortgage, that the same did not require registration, and that therefore the title of the equitable mortgagee prevailed over that of the grantee of a bill of sale, to whom the fixtures had been subsequently assigned by the mortgagor (*p*). But where the fixtures are kept distinct from the lands, although they are assigned by the same instrument, they are within the Bills of Sale Act and registration is necessary; hence, where the lease of a ship-building yard and

(*l*) S. 7, 17 & 18 Vict. c. 36.

(*m*) Brantom *v.* Griffits, L. R. 2 C. P. D. 212, 349.

(*n*) Mather *v.* Frazer, 2 K. & J. 536.

(*o*) Waterfall *v.* Penistone, 6 El. & Bl. 876.

(*p*) Meux *v.* Jacobs, L. R. 7 H. L. 481; *In re* S. J. Eslick; *Ex parte* Phillipan, L. R. 4 Ch. D. 496; Civil Service Building Society *v.* Mahony *et al.*, I. R. 10 C. L. 363; *In re* Dawson, Tate & Co., I. R. 2 Eq. 218.

trade fixtures therein were assigned to hold the leasehold for the residue of the term granted by the lease, and to hold the trade fixtures absolutely, and subsequently the lease and assignment were deposited by the assignee with his brokers as security for advances, without memorandum of charge, it was decided that the assignee's trustee in bankruptcy was entitled to the fixtures, as against the brokers (*q*). The true test whether a mortgage deed of a building and fixtures requires registration as respects the fixtures is, whether it gives power to the mortgagee to sell or take possession of the fixtures separately from the building (*r*). With regard to the nature of the fixtures that pass by a mortgage of the land to which they are attached, it may be stated that there is no relationship in which chattels are so much identified with the premises wherewith they are connected as in the relationship of mortgagor and mortgagee (*s*), so that a person with a limited interest in land may have a right to remove fixtures as against the freeholder where a mortgagor has no such right as against a mortgagee (*t*). Thus, machinery annexed to the floor, ceilings, and sides of a building in a *quasi* permanent manner by bolts and screws, passes by an equitable mortgage of the building, although the object of annexation was merely to steady the machines when in use, and although they were removable without injury to them or to the freehold, and were in the nature of trade fixtures, which would as between landlord and tenant belong to the tenant (*u*). So, trade fixtures annexed to a freehold for the more convenient using of the premises, and not to improve the inheritance, pass to the mortgagee of the freehold (*x*), as does also a portable engine

(*q*) *In re* Trethowan; *Ex parte* Tweedy, L. R. 5 Ch. D. 559; *In re* E. Eslick; *Ex parte* Alexander, L. R. 4 Ch. D. 503; *Ex parte* Daglish; *In re* Wilde, L. R. 8 Ch. 1072; Begbie *v.* Fenwick, L. R. 8 Ch. 1075 n.; Hawtry *v.* Butlin, L. R. 8 Q. B. 290.

(*r*) *Ex parte* Barclay; *In re* Joyce, L. R. 9 Ch. 576; *Ex parte* Brown; *In re* Reed, 9 Ch. D. 389.

(*s*) *Ante*, p. 172.

(*t*) Climie *v.* Wood, L. R. 4 Ex. 328.

(*u*) Longbottom *v.* Berry, L. R. 5 Q. B. 123.

(*x*) Climie *v.* Wood, *supra*.

and boiler bolted to a wooden frame work embedded in mortar laid upon a brick foundation (*y*), and where a mill passes under an equitable mortgage anything which belongs to the machine as part of it passes as fixtures (*z*).

Under the Bills of Sale Act, 1878, the meaning attributed to the expression "personal chattels" is the same as that defined by the earlier statute, except in the two important cases of growing crops and fixtures. In order to show the changes that have been effected, we must first observe that fixtures are distinguished into three classes, viz. :—1. "Trade machinery." 2. Machinery used in or attached to any "factory or workshop," exclusive of trade machinery. 3. All other fixtures ; which last, for the sake of conciseness, we shall call general fixtures.

(A). Let us begin with growing crops and general fixtures ; these two classes of personal chattels seem to be put on a similar footing differing somewhat from that which either at present occupies by virtue of the 17 & 18 Vict. as interpreted by judicial decisions. Growing crops, we have seen, are or are not within the statute now in force according to the intention that an assignment of such crops shall or shall not pass the immediate property therein (*a*) ; fixtures are or are not within the statute according as they are assigned separately from or along with the land to which they are attached (*b*), and to constitute a separate assignment it is not necessary that the fixtures should be assigned by a separate instrument, for if land and fixtures pass by the same instrument, and the two are kept distinct, the fixtures are held to be separately assigned, the test of such separate assignment being the assignee's power to sell or take possession of the fixtures separately from the land (*c*). The effect of the Act of 1878 on this point, is to confine the expression "personal chattels" to growing crops

(*y*) Cross *v.* Barnes, 46 L. J. Q. B. D. 479 ; Civ. Serv. Build. Soc. *v.* Mahony, Ir. R. 10 C. L. 363.

(*z*) *Ex parte* Lloyd's Banking Co. ; *In re* Richard, L. R. 4 Ch. 430.

(*a*) Brantom *v.* Griffits, *ante*, p. 207.

(*b*) *Ex parte* Daglish ; *In re* Wilde, *ante*, p. 208.

(*c*) *Ex parte* Barclay ; *In re* Joyce, *ante*, p. 208 ; *Ex parte* Brown ; *In re* Reed, L. R. 9 Ch. D. 393. S. 7, 41 & 42 Vict. c. 31, abolishes this rule even as to bills of sale executed before 1879.

and general fixtures assigned or charged, and that by a separate instrument separately from any interest in the land to or on which they are affixed or grown (*d*). To growing crops and general fixtures assigned otherwise than as so described, the expression personal chattels does not apply (*d*).

(B). "Trade machinery," as defined by the Act, is in all cases to be deemed personal chattels, and any mode of disposition of trade machinery by the owner thereof, which would be a bill of sale as to any other personal chattels, is to be deemed a bill of sale (*e*). The change here introduced is plain enough; a mortgage of land and fixtures, comprising "trade machinery," will in future be a bill of sale as to such trade machinery, and as such require registration; thus, the principle so recently affirmed in Meux *v.* Jacobs, and adopted by the statute itself in the case of growing crops and general fixtures, that an assignment of land and fixtures without more does not require registration, is, as to trade machinery, over-ruled (*f*). "Trade machinery," means the machinery used in or attached to any factory or workshop, exclusive (1) of the fixed motive powers, (2) of the fixed power machinery, (3) and of the pipes for steam, gas, and water in the factory or workshop; "factory or workshop," means any premises on which any manual labour is exercised by way of trade, or for purposes of gain, in or incidental (1) to the making any article or part of an article, (2) to the altering, repairing, ornamenting, finishing of any article, (3) to the adapting for sale any article (*g*). It is obvious that amongst the articles to which the term trade machinery is denied are enumerated just those things which one would say were unequivocally designated thereby; hence, the difficulty of showing the application of the new provision. There is no definition of the word machinery, which we regard as a serious omission, inasmuch as the phrase is in common parlance highly ambiguous; thus, some people refuse to give

(*d*) S. 4, 7, 41 & 42 Vict. c. 31.
(*e*) *Ibid.*, ss. 4, 5.
(*f*) *Ante*, p. 207.
(*g*) S. 5, 41 & 42 Vict. c. 31.

the name of machinery to anything which is not worked or set in motion by the inanimate forces of nature, such as water or steam; others do not regard the source of power, but look only to the complexity of a contrivance, and designate as machinery any combination of levers, pulleys, or other of the mechanical powers; whilst others again assign as many different meanings as there are technical senses in which the phrase machinery is employed in different trades. Whatever be the true interpretation of "machinery," no machinery can be trade machinery which is not used in or attached to a factory or workshop as above defined; we interpret the definition to exclude from "trade machinery" all machinery which is worked by the owner in person, and produces merely for his own actual use or consumption, or which is used in storing or otherwise passively dealing with an article, not thereby preparing it for sale. Thus, the machinery used in a brewery or distillery will or will not be trade machinery according as the produce is made the subject of business profit or is devoted to the producer's own wants, whilst the fittings or fixtures of a shop, whether wholesale or retail, which fairly answer the description of machinery will or will not be trade machinery according as their employment does or does not result in the production of an article for gain, or its preparation for sale. The definition, that factory or workshop means any premises on which any manual labour is exercised by way of trade, or for purposes of gain, in or incidental to the purposes specified is open to a variety of explanations, the ambiguity arising from the difficulty of determining to what subject the words "by way of trade or for purposes of gain" are to be referred. The reference may be—(1) to the labour simply; (2) to the product of the labour simply; (3) to both labour and product; hence, factory or workshop may mean—1. Any premises where paid manual labour is exercised in or incidental to the purposes specified, whether the results of such labour are or are not traded with or made the subject of gain; *e.g.*, a brewery, the produce of which, though solely devoted to the proprietor's

own wants, is raised by paid labour. 2. Any premises where manual labour, whether paid or not, is exercised in or incidental to the purposes specified, provided the results of such labour are traded with or made the subject of gain; *e.g.*, a brewery, the produce of which is solely raised by the proprietor, and by him traded with or made the subject of gain. 3. Any premises where paid manual labour is exercised in or incidental to the purposes specified, provided the results of such labour are traded with or made the subject of gain; *e.g.*, a brewery, the produce of which is raised by paid labour, and traded with or made the subject of gain. It is, perhaps, this third signification which best satisfies the language and aim of the Bills of Sale Act; but, unfortunately, both it and the second of the above significations involve an ambiguity of their own, viz., whether it is necessary that the products of the labour in question be themselves made the subject of trade or gain by direct disposition, or whether it is sufficient that they are used as instruments for the purposes of trade or gain without any disposition. Take the case of a railway or steam ship company which supplies its own rolling stock; are the premises on which such stock only is manufactured within the meaning of factory or workshop? or, is it necessary that the manufacture should extend to other stock intended for sale or other transfer by the manufacturers? Without pausing further on this subject, let us next turn to the remaining of the three classes into which fixtures are distinguished, viz., machinery used in or attached to any factory or workshop, exclusive of trade machinery (*h*).

(C). This class of fixtures includes three different denominations of machinery :—

1st. Fixed motive powers, such as water-wheels and steam-engines, and the steam boilers, donkey engines, and other fixed appurtenances of the said motive powers;

2nd. Fixed power machinery, such as the shafts, wheels, drums, and other fixed appurtenances, which transmit

(*h*) *Ante*, p. 209.

the action of the motive powers to the other machinery fixed and loose.

3rd. The pipes for steam, gas, and water in the factory or workshop (*i*).

Machinery or effects falling within any of the above denominations shall not be deemed personal chattels within the meaning of the new Act; thus, a large and most important class of fixtures, the separate assignment of which requires registration under the law now existing, will, on and after the 1st January, 1879, absolutely cease to be within the substituted legislation.

3. *What is sufficient to constitute apparent possession*:— The object aimed at by the statutes of Elizabeth and by the Bills of Sale Acts is to prevent persons in insolvent circumstances from fraudulently obtaining credit by keeping up a fictitious appearance through the possession, or apparent possession, of property, of which they have ceased to be or never were the true owners. By taking possession within twenty-one days (*k*) of the execution of a bill of sale, the grantee acquires, under 17 & 18 Vict. c. 36, a *primâ facie* security of title against the world at large, and it becomes unnecessary to register his grant (*l*); otherwise, if the goods remain in the apparent possession of the grantor, as defined by s. 7, 17 & 18 Vict. c. 36 (*m*), the grantee's title is liable to be defeated by the grantor's trustee in bankruptcy, or execution creditors. To constitute apparent possession the occupation of the premises on which the personal chattels remain must be *de facto*, so that if the grantor resides elsewhere they are not in his apparent possession (*n*), and the possession which excuses registration must be actual physical possession taken by the holder of the bill of sale before default, nor can a holder who is a mere trespasser take constructive possession of part of the goods for

(*i*) S. 5, 41 & 42 Vict. c. 31.

(*k*) S. 1, 17 & 18 Vict. c. 36.

(*l*) *Ex parte* Northern Investment and Discount Co.; *In re* Carlisle, 27 L. J. N. S. 520; Brignall *v.* Cohen, 21 W. R. 25; Gough *v.* Everard, 32 L. J. Ex. 210; *Ex parte* Mutton; *In re* Cole, L. R. 14 Eq. 178; *Ex parte* Harris; *In re* Pulling, 27 L. J. N. S. 501; 21 W. R. 44.

(*m*) *Ante*, p. 201.

(*n*) Robinson *v.* Briggs, L. R. 6 Ex. 1.

the whole (*o*). Goods bailed are in the possession of the bailor, for the purposes of the Bills of Sale Act (*p*), but goods in a house where a business is carried on, and where the grantor of a bill of sale comprising the goods is allowed to live and have the use of the same as part of his salary—the grantee living elsewhere—are not in the apparent possession of the grantor within the Act (*q*); the same is true of goods (though still in the house of the grantor) of which possession is taken by the grantee, and which are advertised for sale as the goods of the grantor sold under a bill of sale (*r*). It is expressly provided that apparent possession shall not be avoided by mere formal possession (*s*); hence, putting a man in possession with the former owner does not take the goods out of the apparent possession of the latter, and placards that the furniture is to be sold, not showing that the sale was under a bill of sale, do not cure the defect (*t*); so, where two men sent to take possession remained in the house where the goods were, allowing the debtor the use of the same as before, it was held that the goods continued in the debtor's apparent possession (*u*). The forcible removal of goods by the grantee of a bill of sale who has taken possession before the grantor's trustee in bankruptcy whilst the latter is in possession is unjustifiable (*x*). The order and disposition clause under the Bankruptcy Act must be distinguished from the apparent possession clause under the Bills of Sale Act; under the former the consent of the true owner is necessary to the goods being in the order and disposition of a third person; under the latter, no such consent is necessary to the goods being in the apparent possession of the grantor of a bill of sale. Accordingly, an unsuccessful demand

(*o*) *Ex parte* Fletcher; *In re* Henley, L. R. 5 Ch. D. 809.

(*p*) Ancona *v.* Rogers, L. R. 1 Ex. D. 185; *Ex parte* Wood; *In re* Newsham, W. N. (1879) 3.

(*q*) Pickard *v.* Marriage, L. R. 1 Ex. D. 364.

(*r*) Emmanuel *v.* Bridger, L. R. 9 Q. B. 286; *In re* Bainbridge; *Ex parte* Fletcher, L. R. 8 Ch. D. 218.

(*s*) S. 7, 17 & 18 Vict. c. 36.

(*t*) *Ex parte* Lewis; *In re* Henderson, L. R. 6. Ch. 626; *Ex parte* Mutton, *ubi supra.*

(*u*) *Ex parte* Jay; *In re* Blenkhorn, L. R. 9 Ch. 697; *Ex parte* Hooman; *In re* Vining L. R. 10 Eq. 63.

(*x*) *In re* Fells; *Ex parte* Andrews, L. R. 4 Ch. D. 509.

for possession by the grantee of an unregistered bill of sale, who is entitled to the possession, does not take the goods granted out of the apparent possession of the grantor, nor is the case different if the demand be to a bailee of the goods (*y*). The question of apparent possession cannot arise, unless a bill of sale has been actually executed, but the question of order and disposition may arise, whether or not an instrument amount to a bill of sale; thus, in an action to enforce an agreement by B. to give a bill of sale of his furniture and effects, A. obtained the appointment of a receiver who entered into possession on the 16th March, 1876, and served the customers; during the night B. absconded, and next day, 17th March, filed a liquidation petition under which a receiver in bankruptcy was appointed, and the two receivers then remained in joint possession; under these circumstances it was held that the case was not within the Bills of Sale Act; that the possession of A's. receiver had taken the goods out of the order and disposition of B. at the time of his bankrupcy, and that A's. title consequently prevailed (*z*). When the goods comprised in a bill of sale were in two separate houses, it was held that possession taken of the goods in one of the houses before the act of bankruptcy, took the goods in both houses out of the bankrupt's order and disposition (*a*). Section 7 does not apply to choses in action; hence a bill of sale of a partner's share need not be registered (*b*).

In the Bills of Sale Act, 1878, apparent possession is defined in precisely the same words as in the Act of 1854; but the time allowed for registration is cut down from twenty-one to seven days from the execution of the bill of sale (*c*); and due registration is to have the effect of taking the goods comprised in the bill of sale out of the grantor's possession, order, or

(*y*) Ancona *v.* Rogers, L. R. 1 Ex. D. 285.

(*z*) Taylor *v.* Eckersley, L. R. 5 Ch. D. 740.

(*a*) *In re* S. J. Eslick; *Ex parte* Alexander, L. R. 4 Ch. D. 496.

(*b*) *In re* Bainbridge; *Ex parte* Fletcher, L. R. 8 Ch. D. 218.

(*c*) S. 8, 41 & 42 Vict. c. 31.

disposition within the meaning of the Bankruptcy Act, 1869 (*d*). By this provision the necessity for distinguishing apparent possession from order and disposition will be obviated wherever there is a bill of sale duly registered, but in no other case; thus, on the bankruptcy of the grantor of an unregistered bill of sale within seven days from its execution, the question will arise whether the goods granted were in the order and disposition of the bankrupt, but not whether they were in his apparent possession, inasmuch as the grantee has until the expiration of the seven days for due registration.

4. *What description in the bill of sale and accompanying affidavits satisfies the prescribed requirements.*—The Bills of Sale Act, 1854, requires the filing not only of the bill of sale, or a copy thereof (which latter will be available, though the original be destroyed), but also of an affidavit of the time of such bill of sale being made or given, and a description of the occupation and residence of the parties thereto, of the person filing the same, and of each and every attesting witness (*e*). The names of the parties though necessary to be entered on the register need not strictly be stated in the bill of sale or affidavit (*f*). What will answer to a description of the occupation and residence of the parties is a difficult question. As to the occupation:—"If the party has an occupation it must be correctly described; if he has none, it does not follow that the description of 'gentleman' is proper, but if such an addition is in common parlance not so far inapplicable to the rank of society in which he moves as to mislead, the bill of sale will not be avoided if it be employed" (*g*). Thus, a person who had been a proctor's clerk six years before and had since lived on an allowance from his mother, but had sometimes collected debts and written letters for other persons, and had drawn four bills of sale, without, however, having any regular occupation, was held to be cor-

(*d*) *Ibid.*, s. 20.
(*e*) S. 1, 17 & 18 Vict. c. 36; s. 7, 29 & 30 Vict. c. 96.
(*f*) *Ex parte* M'Hattie; *In re* Wood, L. R. 10 Ch. D. 398; Gardner *v.* Shaw, 24 L. T. N. S. 319; 19 W. R. 753.
(*g*) Smith *v.* Chase, L. R. 1 C. P. D. 60, *per* Lindley, J.

rectly described as a "gentleman (*h*);" but the description of solicitor's clerk as such in the bill of sale, but as "gentleman" in the affidavit, without reference to the bill of sale, is insufficient (*i*); so, the grantee of a bill of sale, who was the lessee and manager of a theatre, was held to be wrongly described simply as "esquire" (*k*); so a grantee, who was clerk in the accountant's department at a railway station, but in his leisure time occasionally balanced tradesmen's books, is wrongly described in the affidavit as an accountant (*l*); but where an accountant's clerk, who was occasionally allowed to do business on his own account, and was known to the neighbours by the name of an accountant, and received letters addressed to him under that designation, in a town numbering 40,000 inhabitants, it was decided that under the circumstances the following was a sufficient description, "I reside at Henley, in the city of Stafford, and am an accountant" (*m*). In this last instance an extraordinary latitude was shown, so that the decision cannot be quoted as an authority, except in a precisely analogous case (*n*). It should be observed that the grantee's residence and occupation should be described as they exist at the time of the grant, not as they exist at the time of the filing (*o*). As to the true residence of the parties:—An inconsistency between the number of the street given in the bill of sale and in the affidavit is fatal (*p*); but it is sufficient if the deponent in the affidavit describe the grantor's occupation and residence "to the best of his belief," provided such description be true in fact; and where a company established for trading purposes gives a bill of sale, the name of the company and its principal office is a sufficient description (*q*).

(*h*) *Ibid.*

(*i*) Brodrick *v.* Scale, L. R. 6 C. P. 98.

(*k*) *Ex parte* Hooman; *In re* Vining, L. R. 10 Eq. 63.

(*l*) Larchin *v.* The North Western Deposit Bank, L. R. 10 Ex. 64.

(*m*) Briggs *v.* Boss, L. R. 3 Q. B. 268.

(*n*) Larchin *v.* The North Western Deposit Bank, *suprà*.

(*o*) London and Westminster Loan Co. *v.* Chace, 31 L. J. C. P. 314.

(*p*) Murray *v.* Mackensie, L. R. 10 C. P. 625; *Ex parte* M'Hattie; *In re* Wood, *suprà*; Blount *v.* Harris, 27 W. R. 202.

(*q*) Roe *v.* Bradshaw, L. R. 1 Ex. 106; Shears *v.* Jacob, L. R. 1 C. P. 513.

Although only one witness is required to attest a bill of sale before it can be registered (*r*), yet if there be several attesting witnesses the residence and occupation of every one of them must be truly described; hence a description of one of two attesting witnesses is insufficient (*s*). The description in the affidavit may be supplemented by that in the annexed copy of the bill of sale (*t*), and a merely clerical error in the affidavit may be amended after registration (*u*); a registered bill or affidavit erroneous in a material point must not be taken off the file, but a new bill and affidavit should be filed with an indorsement referring to the previous bill or affidavit, and declaring that the subsequent registration was to rectify the error that had arisen (*x*). Under 14 & 15 Vict. c. 99, an office copy of a registered bill and affidavit is admissible in evidence (*y*), but the production of a bill of sale and the following certificate, stamped with the seal of the Queen's Bench Division—"Johnson and Mason. A document purporting to be a copy bill of sale, and dated the 8th day of April, 1875, indorsed with the above names, was registered at the judgment office of the Court of Queen's Bench, on the 15th day of April, 1875,"—is no evidence that an affidavit satisfying all the requirements of the Act had been filed with the bill of sale (*z*).

The Bills of Sale Act, 1878, requires the filing of a copy bill of sale and accompanying affidavit containing the same descriptions as those prescribed by the Act of 1854, except that the affidavit must also depose to the due execution and attestation of the bill of sale (*a*). The attestation must, as we have seen, be by a solicitor of the Supreme Court (*b*); the affidavit may be sworn before a master of any division of the High Court of Justice, or before a commissioner for taking affidavits

(*r*) S. 1, 17 & 18 Vict. c. 36.

(*s*) Pickard *v.* Marriage, L. R. 1 Ex. D. 364; Deffel *v.* White, L. R. 2 C. P. 144.

(*t*) Jones *v.* Harris, L. R. 7 Q. B. 157.

(*u*) Hollingworth *v.* White, 16 W. R. 619; 6 L. T. N. S. 604; Elliott *v.* Freeman, 7 L. T. N. S. 715; Lamb *v.* Bruen, 45 L. J. Ex. D. 538; Corbett *v.* Rowe, 25 W. R. 59.

(*x*) *In re* O'Brien, 10 Ir. C. L. R. Ap. xxxiii.

(*y*) Grindell *v.* Bendon, 28 L. J. C. P. 333; Sutton *v.* Bath, 27 L. J. Ex. 388.

(*z*) Mason *v.* Wood, L. R. 1 C. P. D. 63; Emmott *v.* Marchant, L. R. 3 Q. B. D. 555.

(*a*) S. 10, (2), 41 & 42 Vict. c. 31.

(*b*) *Ibid.* (1).

in the Supreme Court (*c*). It is not quite clear whether registration may on and after 1st January, 1879, be ever effected by filing the original bill of sale itself; or whether the filing of a copy is in all cases absolutely indispensable. Under section 10 the filing of the original is evidently inadmissible; section 12, however, contemplates that either the original or a copy may be filed at option, as was the case under the 17 & 18 Vict. c. 36; of course a copy would naturally be filed for the sake of convenience, but it is only proper to point out that the convenient will apparently in future be the necessary mode, and that particular care should be taken not to confound the original with the copy bill of sale.

5. *The general effect of the Bills of Sales Acts.*—Registration under the 17 & 18 Vict. c. 36, and 29 & 30 Vict. c. 96 (*d*), confers no new security, so that a registered bill of sale may be defeated by the grantor's creditors, landlord, or trustee in bankruptcy, whenever an unregistered bill could be so defeated (*e*). Nor does such registration confer any original priority; thus, the grantee of an unregistered bill of sale will have precedence over the grantee of a subsequent registered bill comprising the same goods (*f*), and where there are two registered bills of the same goods, the grantee of the second bill does not acquire any priority by being the first to take possession (*g*). An execution, however, or an adjudication of bankruptcy against the grantor of a bill of sale, entirely displaces an unregistered bill, and on such displacement the grantee of a subsequent registered bill of the same property can hold against the execution creditors (*h*), or the trustee in bankruptcy (*i*); the grantee of a first bill of sale, which is un-

(*c*) *Ibid.*, s. 17.

(*d*) Scotland and Ireland are expressly excluded from the operation of 17 & 18 Vict. c. 36, 29 & 30 Vict. c. 96, and 41 & 42 Vict. c. 31, but the 17 & 18 Vict. c. 55, supplies to Ireland what the 17 & 18 Vict. c. 36 had previously enacted for England. Coote *v.* Jeeks, L. R. 13 Eq. 597.

(*e*) Stansfeld *v.* Cubbitt, 27 L. J. Ch. 266; Badger *v.* Shaw, 29 L. J. Q. B. 73.

(*f*) Maugham *v.* Sharpe, 17 C. B. N. S. 443, 456.

(*g*) *Ex parte* Allen; *Ex parte* Page; *In re* Middleton, L. R. 11 Eq. 209.

(*h*) Richards *v.* James, L. R. 2 Q. B. 285.

(*i*) *Ex parte* Leman; *In re* Barrand, L. R. 4 Ch. D. 233; 3 Ch. D. 324.

registered, cannot, however, set up the registered title of the grantee of a second bill of sale against the trustee in bankruptcy (*k*). A bill of sale which may be defeated for want of registration, nevertheless passes the property in the goods it comprises until proceedings are taken against the grantor, either in bankruptcy or by the levy of an execution (*l*). Notice to an execution creditor at the time his debt was contracted that the debtor had given a bill of sale, does not prevent him from subsequently availing himself of the objection that the bill is not registered (*m*). An assignment of a bill of sale does not affect the obligation to renew the registration every five years; hence, if a grantee before the period for renewal assign his interest to a third person, the assignee after the time for renewal has passed, and on his default to renew, will have no title as against an execution creditor of the grantor (*n*). To avoid the publicity of registration, a bill of sale is sometimes renewed once in every twenty-one days; such renewed bill is valid as against the grantor's execution creditors, though no new consideration pass on each renewal (*o*), but is invalid against his trustee in bankruptcy, or liquidation, unless a fresh advance be each time made (*p*), and if the grantor's whole property be comprised in the original bill of sale, such renewal without a fresh advance is an act of bankruptcy (*q*). Where a bill of sale was renewed in pursuance of an agreement that neither the original bill, nor any which might be successively substituted, should be registered unless the grantor got into difficulties; and the renewed bill was registered, the original bill remaining unregistered and uncancelled in the hands of the grantee, it was held that the substitution of the second for the first bill amounted to a conveyance from the grantee to

(*k*) Nicholson *v.* Cooper, 27 L. J. Ex. 393.

(*l*) Reg. *v.* Creese, L. R. 2 C. C. 105.

(*m*) Edwards *v.* Edwards, L. R. 2 Ch. D. 291.

(*n*) Karet *v.* Kosher Meat Supply Association, L. R. 2 Q. B. D. 361.

(*o*) Ramsden *v.* Lupton, L. R. 9 Q. B. 17.

(*p*) *Ex parte* Cohen; *In re* Sparke, L. R. 7 Ch. 20.

(*q*) *Ex parte* Stevens; *In re* Stevens, L. R. 20 Eq. 786; *Ex parte* Furber; *In re* Pellew, L. R. 6 Ch. D. 181.

the grantor, and a reconveyance from the grantor to the grantee, so that the property passed under the second bill to the grantee, which, being registered before the expiration of twenty-one days from its execution, prevailed against an execution creditor (*r*). Successive renewals to defeat the operation of the bankruptcy law are utterly invalid (*s*), yet a substituted bill of sale may stand good against the grantor's trustee in bankruptcy where the original bill would have been defeated for want of registration, but in such case there must be a consideration for the substituted bill, or at least something more than the substitution of a subsequent for a prior bill comprising the same property; thus, where a second bill of sale was given in pursuance of an agreement not to register the first bill on the debtor's promise to give another bill when so required by the creditor, and such second bill was registered and possession taken by the grantee two months before the grantor's bankruptcy, it was held that the grantee's title could not be impeached by the grantor's trustee in bankruptcy (*t*). The duties of the officer in filing an affidavit are purely ministerial (*u*).

By the Bills of Sale Act, 1878, rules very different to those we have just been considering are laid down. Priority of registration is to confer priority of title (*v*), and due registration, as we have already pointed out, is to defeat the order and disposition clause in the Bankruptcy Act (*x*). Thus, as against the first registered grantee of a bill of sale, a prior unregistered grantee cannot prevail, even though the seven days from the execution of his bill of sale have not elapsed. Again, the evasion of registration by successive renewals of a bill of sale is for the future done away with, for it is enacted that a subsequent bill of sale executed within, or on the expiration of seven days after the execution of a prior unregistered bill of sale,

(*r*) Ramsden *v.* Lupton, L. R. 9 Q. B. 17; Smale *v.* Burr, L. R. 8 C. P. 64.

(*s*) *Ex parte* Furber; *In re* Pellew, *ubi supra*; *Ex parte* Cohen; *In re* Sparke, L. R. 7 Ch. 20; Stansfeld *v.* Cubbitt, 27 L. J. Ch. 266.

(*t*) *In re* Jackson; *Ex parte* Hall, L. R. 4 Ch. D. 682.

(*u*) Needham *v.* Johnson, 8 B. & S. 190.

(*v*) S. 10, 41 & 42 Vict. c. 31.

(*x*) *Ibid.*, s. 20; *ante*, pp. 215, 216.

and comprising all or any part of the personal chattels comprised in such prior bill of sale, when given as a security for the same debt as is secured by the prior bill of sale, or for any part of such debt, shall, to the extent to which it is such security, and so far as respects the personal chattels, or part thereof comprised in the prior bill, be absolutely void, unless it is proved to the satisfaction of the Court having cognizance of the case that the subsequent bill of sale was *bonâ fide* given for the purpose of correcting some material error in the prior bill of sale, and not for the purpose of evading the Act (*y*). By this enactment successive renewals of an unregistered bill of sale are put on the same footing as regards the grantor's other grantees, his trustee in bankruptcy, or his execution creditors; in all such cases, so far as the same debt is secured, the substituted bill of sale is absolutely void.

The Act of 1854 did not require the consideration for which a bill of sale was given to be stated therein, but the Act of 1878 requires such statement, otherwise the bill of sale will be fraudulent and void in the same manner as if it were not registered within seven days from its execution (*z*). With regard to the computation of such seven days, it is provided that when the time for registering a bill of sale expires on a Sunday, or other day on which the registrar's office is closed, the registration shall be valid if made on the next following day on which the office is open (*a*). Provision is also made for rectification of the register, when through accident or inadvertence there has been an omission to register a bill of sale or affidavit of renewal within the time or in the manner prescribed by the Act (*b*). Finally, rules for the purposes of the Act may be made by the like persons and in the like manner in which rules may be made under and for the purposes of the Supreme Court of Judicature Acts, 1873—1875 (*c*).

(*y*) *Ibid.*, s. 9.
(*z*) *Ibid.*, s. 8.
(*a*) *Ibid.*, s. 22.
(*b*) *Ibid.*, s. 14.
(*c*) *Ibid.*, s. 21; 36 & 37 Vict. c. 66; 38 & 39 Vict. c. 77.

CHAPTER XXIII.

EQUITABLE MORTGAGES.

By an equitable mortgage is sometimes understood any mortgage which does not vest the legal ownership of property in the mortgagee, and which formerly would only be recognized and enforced in a Court of Equity. We, however, use the term in a more restricted sense, and mean by an equitable mortgage a mortgage by deposit of title deeds or documents. By such a deposit the mortgagor contracts that his interest shall be liable to the debt, and that he will make such conveyance or assurance as may be necessary to vest that interest in the mortgagee (*a*). In general, all property, whether real or personal, in possession or expectancy (*b*), is susceptible of being equitably mortgaged by giving the mortgagee possession of the documents that establish title to such property as security for the payment of a given sum of money, or for the performance of any other engagement. Thus, if a conveyance of real estate, a policy of insurance, or a certificate of shares in a company be deposited to secure a past, present, or future advance, an equitable mortgage will be thereby created on such real estate, policy, or shares, respectively. So, the deposit of the registered mortgage of a ship will well avail as an equitable mortgage (*c*); and, generally, even a delivery of deeds for the purpose of preparing a

(*a*) Pryce *v.* Bury, 2 Drew. 42, Per Kindersley. V. C.

(*b*) Martin *v.* London & Dann. Rly. Co., L. R. 1 Ch. 501; Forhall *v.* Forhall, L. R. 7 Eq. 286.

(*c*) Lacon *v.* Liffen, 4 Gif. 75; *Ex parte* Hodgkin; *In re* Softley, L. R. 20 Eq. 746.

legal, will constitute a valid equitable, mortgage (*d*). When the title to land is registered under the Land Transfer Act, an equitable mortgage on such land is effected by a deposit of the land certificate, or office copy, of the lease, according as the property in question is freehold or leasehold (*e*). A certificate of shares is merely a solemn affirmation under the seal of a company that a certain amount of stock stands in the name of the individual mentioned in the certificate. It is the duty of a person receiving, as equitable mortgagee of railway stock, certificates of shares therein, to inquire what is the real position of the person pretending to mortgage, for, if such person has only the legal title by having the certificates in his possession, but is, in truth, merely the trustee for another, the equitable mortgagee will be unable to enforce his claim in opposition to the original *cestui que trust.* The *onus probandi* that a pre-existing title is taken away lies on the person seeking to affect such title; nor can the same be taken away by a mere breach of trust which does not pass the legal estate or interest (*f*).

An equitable mortgage by deposit is not within the Statute of Frauds, as it is held to be an executed agreement; hence, no writing or other formality need accompany the deposit (*g*). There may, indeed, be an express verbal or written contract as well as the deposit, in which case the transaction will be governed by the conditions agreed upon (*h*), the rule being that a deposit of title deeds as security for a debt without more creates a charge upon the property, but where accompanied by a written document the terms of that document must be referred to in order to ascertain the exact nature of the charge (*i*). And where there is such accompanying document or memorandum, but not otherwise (*k*), an equitable mortgage of land by

(*d*) White & Tudor's Lead. Cas. I. 733, 734, 5th ed.; Tebb *v.* Hodge, L. R. 5 C. P. 73.

(*e*) S. 81, 38 & 39 Vict, c. 87.

(*f*) Shropshire Union Ry. & Canal Co. *v.* The Queen, L. R. 7 H. L. 496.

(*g*) Russell *v.* Russell, 1 Bro. Ch. 269.

(*h*) *Ex parte* Combe, 17 Ves. 369.

(*i*) Shaw *v.* Foster, L. R. 5 H. L. 321, per Cairns, L. C.

(*k*) Sumpter *v.* Cooper, 2 B. & Ad. 223; *In re* Driscoll's Estate, Ir. R. 1 Eq. 285.

deposit of title deeds is within the Registry Acts (*l*); so, a memorandum of the deposit of deeds to secure an annuity charged on land must be registered in the Common Pleas Division for the charge to avail against purchasers, mortgagees, or creditors (*m*). On the other hand, a company may effect mortgages by deposit without the formalities required by the articles of association for the execution of mortgage deeds (*n*); but such mortgages will not be upheld in favour of an officer, *e. g.*, the company's solicitor, whose duty it is to see the prescribed formalities carried out (*o*), for which purpose the company's bankers are not deemed officers (*p*). To create an equitable mortgage it is not necessary to deposit all the material title deeds (*q*); it is sufficient if the material evidences of title are deposited with the intention of creating a charge (*r*), but the charge will only extend to the property comprised in the documents deposited, so that a deposit of deeds relating to part only of an estate, with a representation that they relate to the whole, will not create an equitable mortgage over anything beyond the part in question (*s*). Even a direction by a person whose title deeds are in the possession of a third party, that such party hand them over to another, will constitute an equitable mortgage (*t*), whilst a letter may either explain an actual deposit or create without deposit a valid equitable security as a declaration of trust (*u*).

Having explained the nature and form of an equitable mortgage, let us next consider the rights it confers.

The first effect of the deposit is to give the depositee a lien on—that is, a power to retain the documents so long as his

(*l*) Neve *v.* Pennell, 2 H. & M. 170. As to registry under Bankers' Act (Ireland), see Copland *v.* Davies, L. R. 5 H. L. 358.

(*m*) 18 & 19 Vict. c. 15, s. 12.

(*n*) *In re* General Provident Assurance Co.; *ex parte* National Bank, L. R. 14 Eq. 597; *In re* Patent File Co. L. R. 6 Ch. 83.

(*o*) *In re* Patent Bread Machinery Co. L. R. 7 Ch. 289; *In re* Wynn Hall Co. L. R. 10 Eq. 515; *post*, p. 276.

(*p*) *In re* Imperial Land Co. of Marseilles, L. R. 10 Eq. 298.

(*q*) Lacon *v.* Allen, 26 L. J. Ch. 18.

(*r*) *Ibid.*

(*s*) Jones *v.* Williams, 24 Beav. 47.

(*t*) Daw *v.* Terrell, 33 Beav. 218.

(*u*) Dixon v. Muckleston, L. R. 8 Ch. 155.

claim for which they are security remains undischarged. No such lien can be set up if either the transaction do not amount to an equitable mortgage, or if it be a conditional mortgage, and the mortgagee fails to perform the required condition. Thus, a creditor with whom a box full of title deeds and securities is deposited for safe custody, cannot retain the same for the debts due to him from the depositor (*x*). So, where deeds were deposited with the following memorandum—"In consideration of your lending F. B., £1000 for seven days from this date, I deposit, &c.," and the depositees (bankers) did not place £1000 to credit of F. B., but during the next seven days allowed him by cheques drawn in the ordinary way to overdraw his account to an amount somewhat less than £1000, it was held that the depositees had no lien on the deeds, for that they had not fulfilled the condition (*y*). A *bonâ fide* equitable mortgagee without notice of a prior incumbrance, though postponed in the realisation of his charge, cannot in general be compelled to relinquish his lien, and yield up the documents deposited. If indeed, in such a case the Court order a sale, the depositee may be ordered to produce, but not to deliver up, the documents (*z*), and the inability to order such delivery is a reason why the Court should not exercise its power under 15 & 16 Vict. c. 86, s. 48, of decreeing a sale instead of a foreclosure (*a*). But a depositee's lien cannot avail against a purchaser for valuable consideration without notice, for the right to the estate confers the right to possession of the muniments of title thereto (*b*). Where there are equitable mortgagees for value, who, through the fraud of the mortgagor's agent, are without notice of a prior mortgage, a decree for foreclosure by the first mortgagees will be directed, but there will be no order for delivery up of the title deeds by the second mortgagees (*c*). In

(*x*) Leese *v.* Martin, L. R. 17 Eq. 224 ; *post*, pp. 356, 357.
(*y*) Barton *v.* Gray, L. R. 8 Ch. 932.
(*z*) Thorpe *v.* Houldsworth, L. R. 7 Eq. 139.
(*a*) Heath *v.* Crealock, L. R. 10 Ch. 22.
(*b*) Newton *v.* Newton, L. R. 4 Ch. 143.
(*c*) Waldy *v.* Gray, L. R. 20 Eq. 238.

illustration of an equitable mortgagee's lien may be mentioned a case, where a loan having been made to a building society without borrowing powers, and secured by the promissory notes of the trustees, and by deposit by them of mortgage deeds executed by members of the society, it was held, without deciding the right of the lender to enforce his security, that the official liquidator of the society was not entitled to deprive the lender of the documents deposited without payment of the money he advanced (*d*). An equitable mortgage with memorandum of charge by a devisee is an alienation which *pro tanto* prevents a creditor from subsequently obtaining a charge on the devised estate as assets under 3 & 4 Wm. IV. c. 104 (*e*).

An equitable mortgage is *primâ facie* a security only for the sum due at the time of the deposit, but parol evidence is admissible to show that the deposit was also intended to secure future advances (*f*). By the custom of trade a lien on documents deposited to secure a particular debt may be extended to cover the general balance of account (*g*). Thus, as between banker and customer, whatever number of accounts are kept in the books, the whole is really but one account, and it is not open to the customer in the absence of some special contract to say that securities which he deposits are only applicable to one account. Hence, where the O. bank kept a loan account, a discount account, and a general account with the A. bank, and entered advances which they received from the A. bank in the loan account, and deposited securities with the A. bank to meet the same, it was held that the A. bank might retain three bills of exchange given as collateral security to allow credit for a draft of £10,500 drawn by the O. bank for the balance of the general account (*h*). So, where title deeds were deposited with a bank as "collateral securities for bills under discount," a lien on the proceeds of sale of the property to which the deeds

(*d*) *In re* Durham County Permanent Investment Land *v.* Building Society; Wilson's Case, L. R. 12 Eq. 521.

(*e*) British Mutual Investment Co. *v.* Smart, L. R. 10 Ch. 567.

(*f*) *Ex parte* Whitbread, 19 Ves. 209.

(*g*) *In re* Witt; *ex parte* Shoebrook, L. R. 2 Ch. D. 489; *post*, pp. 355—358.

(*h*) *In re* European Bank; Agra Bank Claim, L. R. 8 Ch. 41.

related was allowed for the whole amount due to the depositor besides such bills (*i*). The general lien of bankers does not extend to documents deposited for safe custody, or other purpose, outside the relation of banker and customer (*j*), and it may in all cases be excluded by an express security (*k*).

We have described an equitable mortgage as an executed agreement for a legal mortgage, and it may therefore be inferred that an equitable mortgagee may in the absence of a stipulation to the contrary call for such legal mortgage (*l*). That right may be enforced at any time, and thereupon title to possession of the documents deposited will depend on the nature of the mortgage (*m*). An equitable mortgage may, however, be directly realised without intervention of a legal mortgage; a depositee may in the first instance apply to the Court for a foreclosure (*n*) or sale of the property, of which he holds the title deeds, but such foreclosure or sale cannot take place until default made in satisfying the claim secured (*o*). An equitable mortgagee, on bringing an action for foreclosure, is entitled to a declaration that the deposit operated as a mortgage, that in default of payment the mortgagor shall convey, that the mortgagor is a trustee of the legal estate for him, and to an order that the mortgagor do convey. Hence, a decree for foreclosure of an equitable mortgage is much more extensive than a decree for foreclosure of a legal mortgage; and hence the dismissal of an action brought by the mortgagor for redemption of an equitable mortgage does not operate as a

(*i*) *In re* General Provident Assurance Co.; *ex parte* National Bank, L. R. 14 Eq. 507.

(*j*) Brandao *v.* Barnett, 1 M. & G. 908; 12 Cl. & F. 787; Leese *v.* Martin, L. R. 17 Eq. 224; *Re* Williams, I. R. 3 Eq. 346.

(*k*) *In re* Leith's Estate; Chambers *v.* Davidson, L. R. 1 P. C. 296.

(*l*) *Ante*, p. 109; Grugeon *v.* Gerrard, 4 Y. & C. 119; Malone *v.* Geraghty, 1 H. L. C. 81; 3 D. & W. 246.

(*m*) *Quære* if mere deposit give right to call for legal mortgage, Metcalfe *v.* Archbishop of York, 1 My. & C. 257; Sporle *v.* Whayman, 20 Beav. 607.

(*n*) Where lands are equitably mortgaged by deposit of title deeds, the proper remedy is foreclosure, not sale, except where there is an agreement for a legal mortgage; James *v.* James, L. R. 16 Eq. 153; Backhouse *v.* Charlton, L. R. 8 Ch. D. 444; Waddell *v.* Toleman, L. R. 9 Ch. D. 212; York Banking Co. *v.* Artley, W. N. (1879) 68; it is just the reverse where the subject mortgaged is a chattel personal; Carter *v.* Wake, L. R. 4 Ch. D. 605; Owen *v.* Braddell, I. R. 7 Eq. 358.

(*o*) Yeatman *v.* Reed, 36 L. J. Ch. 136.

decree for foreclosure, whilst such a dismissal (except for want of prosecution) in the case of a legal mortgage does so operate (*p*).

An equitable mortgagee is entitled to fixtures (*q*), and to the proceeds of the good-will of a business carried on on the premises to which the deeds deposited relate (*r*); and, on the other hand, the depositee of a lease cannot be compelled by the lessor to take a legal assignment thereof, and does not become liable for the rent and covenants, even though he take possession (*s*). The proceeds from the property comprised in an equitable mortgage are, in the first place, applicable to the discharge of the particular debt secured, any balance will go to satisfy the claims of subsequent incumbrancers, or, if there be no such incumbrancers and the proceeds have come to the hands of the first mortgagee, who has other debts giving a right of retainer, then in satisfaction of such debts, or, if there be no such debts, to the mortgagor or his representatives. Thus, the depositees of a policy of insurance on the life of the depositor, having received the amount of the policy which more than covers the debt for which it was deposited, will not be allowed as against the general creditors of the deceased to retain the balance in discharge of his other liabilities towards them (*t*) unless they possess an independent lien as executors or otherwise (*u*). But, as against incumbrancers who have specific charges on the fund, no such retainer is admitted, and this leads us to make a few observations on the important subject of priority.

We have on a former page (*v*) explained what is meant by tacking and by consolidation of mortgages, and we mentioned

(*p*) Marshall *v.* Shrewsbury, L. R. 10 Ch. 250.

(*q*) Meux *v.* Jacobs, L. R. 7 H. L. 481; Cullick *v.* Swindell, L. R. 3 Eq. 247; *Ex parte* Tagart, 1 De G. 531; *In re* S. J. Eslick; *Ex parte* Phillipan, L. R. 4 Ch. D. 496. As to registration under the Bills of Sale Act, 1878, see *ante*, pp. 209—212.

(*r*) Chissum *v.* Dewes, 3 Russ. 29. See Levy *v.* Walker, L. R. 10 Ch. D. 436; Stewart *v.* Gladstone, L. R. 10 Ch. D. 626.

(*s*) Moore *v.* Gregg, 2 Phil. 717.

(*t*) Talbot *v.* Frere, L. R. 9 Ch. D. 568; *In re* Haselfoot's Estate; Chauntler's Claim, L. R. 13 Eq. 327 disapproved.

(*u*) Richmond *v.* White, L. R. 10 Ch. D. 727; *In re* Hodgson; Hodgson *v.* Fox, L. R. 9 Ch. D. 673.

(*v*) *Ante*, pp. 112—115.

that the latter principle applies even where the several charges are purely equitable (*w*); hence, an original depositee or a depositee by assignment of different sets of documents deposited by the same person to secure different debts, cannot be compelled to part with any one set on payment of the particular debt thereby secured; the mortgagee or his representative cannot insist on redeeming one without redeeming all charges (*x*). As the principle of tacking depends on the co-existence of a separate legal and equitable estate or interest in the same subject of property, it follows there can be no tacking where all the outstanding interests are equitable. Suppose the title deeds to an estate are made up into three several parcels, and the owner of the estate successively obtains advances by severally depositing a parcel with A., with B., and with C., who have no notice of any incumbrance at the time of making their respective loans, then it is held that the charges rank according to the order of time in which the deposits were made; that is, A. has priority over B., and B. has priority over C., and this original precedence cannot be disturbed by assigning A.'s charge to C., or C.'s charge to A., for as between persons having merely equitable interests, and being equally free from all blame, he who is first in time is entitled to have his rights first satisfied (*y*). But mere priority in time, it has been said, is the last consideration to which the Court resorts in determining the claims of conflicting parties (*z*); that element only has weight when the equities are in all other respects equal, so that a subsequent will be preferred to an antecedent incumbrancer, if the former has by his own diligence or by the negligence of the latter acquired a more meritorious position in the view of an equitable tribunal (*a*).

Thus, where the purchaser of an unpaid-for estate deposited the title deeds, upon which the vendor had indorsed a receipt for the purchase-money, with a person who made an advance

(*w*) *Ante*, p. 114.
(*x*) *Ante*, p. 113.
(*y*) Roberts *v.* Croft, 24 Beav. 223.
(*z*) Rice *v.* Rice, 23 L. J. Ch. 289.
(*a*) *Ibid.*; Spencer *v.* Clarke, L. R. 9 Ch. D. 137.

without notice of any incumbrance, it was held that the depositee's charge had priority over the vendor's lien for the unpaid price. So, where a solicitor to two mortgagees having without authority put up the mortgaged estate to auction, and professed to buy the same, and thereupon a conveyance to him under the mortgagee's powers of sale was prepared and executed by them, and receipts signed thereon for the purchase-money, it was decided that a deposit of the title deeds by the solicitor, who had entered into possession and represented to the depositee that the estate was his own and unincumbered, gave such depositee priority over the mortgagees, although the solicitor had deceived one and been implicitly trusted by the other (*b*). It is, perhaps, impossible to lay down any hard and fast rules on the general question of priority, for in each instance the Court will take account of all the facts of the case and weigh the several particulars with the utmost nicety, so that the most trifling difference will frequently serve to incline the scale of justice (*c*). Priority, in truth, is emphatically, and in the first place a matter of circumstance, and as such cannot be reduced to a set of unbending canons; yet at the same time some three or four leading circumstances may be enumerated, which principally affect and govern this subject. Of these circumstances, the most fundamental turns upon the notice parties have of charges on the property with which they are dealing. If a person purchase, advance money, or otherwise become an incumbrancer on property with notice that the same is subject to some lien or claim, he will be compelled to give effect to such lien or claim (*d*), nor can that liability, except in one or two anomalous instances, be in any way avoided (*e*). Thus, as we have seen, a third mortgagee who at the time of making his advance has notice of a second mortgage

(*b*) Hunter *v.* Walters; Curling *v.* Walters; Darnell *v.* Hunter, L. R. 7 Ch. 75.

(*c*) Rice *v.* Rice, *ubi suprà*; Allen *v.* Knight, 11 Jur. 527.

(*d*) Maundrell *v.* Maundrell, 10 Ves. 260; Birch *v.* Ellames, 2 Anst. 427.

(*e*) A purchaser with notice of a dowress's title may protect himself against same by getting in a prior legal title or term. Co. Litt. 208 a.

cannot by subsequently getting in the legal estate tack, so as to cut out the mesne incumbrancer (*f*). On the other hand, a purchaser or incumbrancer without notice of any pre-existing lien or claim, may frequently, on acquiring knowledge thereof, protect himself against the same by taking some precaution, which the person entitled to the prior charge has omitted. Thus, if a debtor create successive charges on a fund held for him in trust, the parties in whose favour the charges are made will be entitled in the order in which notice is given to the trustee of their respective rights (*g*). When we speak of a lien or claim, we mean a lien or claim which can be judicially enforced; hence, a purchaser for valuable consideration of an estate, whereof the vendor has already made a voluntary conveyance, can even with notice of such conveyance hold against the voluntary grantee; for though a voluntary grant of land cannot be directly defeated by the grantor (*h*), nor an unwilling purchaser be compelled to take the title by a vendor who has made such grant (*i*), yet neither can it stand against a purchaser for valuable consideration (*k*); nay, further, if made without power of revocation, it will be set aside on the ground of presumed mistake, unless it is clear the settlor intended it to be irrevocable (*l*). And once a good title to an incumbered estate is obtained by passing into the hands of a *bonâ fide* purchaser for value without notice, that good title will be transmitted to subsequent alienees, even with notice of the original charge; thus, if A. purchase an estate with notice of an incumbrance, and then sell it to B., who has no notice, and B. afterwards sells it to C., who has notice, the estate in the hands of C. will be discharged of the incumbrance (*m*); but if

(*f*) *Ante*, p. 113.

(*g*) Loveridge *v.* Cooper, 3 Russ. 30; Foster *v.* Cockerell, 9 Bli. 332; *In re* Smallman's Estate, I. R. 2 Eq. 34; *In re* Freshfield's Trust, W. N. (1879) 41. See Assignments, *post*, p. 307.

(*h*) 27 Eliz. c. 4.

(*i*) Peter *v.* Nicolls, L. R. 11 Eq. 391.

(*k*) Buckle *v.* Mitchell, 18 Ves. 100.

(*l*) Hall *v.* Hall, L. R. 14 Eq. 365.

(*m*) Harrison *v.* Forth, Pre. Ch. 61; McQueen *v.* Farquhar, 11 Ves. 477.

the estate become re-vested in A., he will be bound by the original equity (*n*).

With this brief sketch of the effect of notice, let us next turn to its forms and kinds. Notice is either actual—that is, positive knowledge of the fact brought directly home to the party (*o*), of which it is sufficient to observe that to be effective it must proceed from some person interested in the property (*p*), and may be either verbal or written; or constructive notice, that is, evidence of notice, the presumption of which is so strong, that the Court will not allow of its even being controverted (*q*). Cases of constructive notice have been resolved into two classes:—1st, where the party charged has actual notice that the property in dispute is incumbered or in some way affected, and the Court thereupon binds him with constructive notice of facts and instruments, to a knowledge of which he would have been led by inquiry after the incumbrance or other circumstance affecting the property, of which he had actual notice; 2nd, where the Court is satisfied, from the evidence before it, that the party charged designedly abstained from inquiry for the very purpose of avoiding notice (*r*). Under the first class of constructive notice, it is held that whatever is sufficient to put a party upon inquiry (that is, whatever has a reasonable certainty as to time, place, circumstances, and persons) is good notice to bind him (*s*); thus, notice of a lease is notice of its contents (*t*); so, notice of charges upon an estate will be notice of all consequential charges (*u*); so, a mortgagee with notice that property mortgaged belongs jointly to mortgagor, and a third person, who carry on partnership business, is liable to be postponed to such third person (*x*).

Under the second class of constructive notice, it has been

(*n*) Kennedy *v.* Daly, 1 Sch. & Lef. 379.

(*o*) As to actual notice through an agent, see *infrd*, p. 234, *et seq*.

(*p*) Natal Land Co. *v.* Good, L. R. 2 P. C. 121.

(*q*) Plumb *v.* Fluitt, 2 Anst. 438.

(*r*) Jones *v.* Smith, 1 Hare 43.

(*s*) Smith *v.* Low, 1 Atk. 490.

(*t*) Hall *v.* Smith, 14 Ves. 426; Fielden *v.* Slater, L. R. 7 Eq. 523; Hyde *v.* Warden, L. R. 3 Ex. D. 72.

(*u*) Ware *v.* Lord Egmont, 4 De G. M. & G. 460; Armstrong *v.* Lynn, Ir. R. 9 Eq. 186.

(*x*) Cavander *v.* Bulteel, L. R. 9 Ch. 79.

decided that a *bonâ fide* incumbrancer honestly believing he has got the necessary deeds, is not bound to examine the same, or bound by constructive notice of their actual contents, or of any deficiences he might have discovered by examination of them (*y*). So, where the solicitor of a legal mortgagee omitted to examine a parcel which was given to him previously to the execution of the mortgage deed, and which purported to contain all the title deeds, but in fact contained only the earlier deeds, the conveyance to the mortgagor having been previously deposited by way of equitable mortgage, it was held there was not such wilful negligence as would fix the legal mortgagee with constructive notice of the prior charge, over which accordingly he was allowed preference (*z*). But where an equitable mortgagor attempted by marriage articles to settle the property charged on his intended wife, and in answer to her solicitor's inquiries said that the deeds were unincumbered, but at his banker's (the depositees), it was held the answer was insufficient to excuse further inquiry, and that, consequently, the wife must be taken to have had constructive notice of the mortgage (*a*).

To charge a party with notice, it is not necessary that he himself should have information; notice to one's solicitor, counsel, or agent, is notice to oneself, though no communication on the subject ever pass between adviser and client (*b*). The notice may be either actual or constructive, but to bind the principal it must be received by the agent in the same transaction or course of employment (*c*), or it must be shown that at the time of the negotiation the knowledge, if obtained on a different occasion, is positively and distinctly in the mind of the agent (*d*).

The doctrine that notice to a professional adviser is notice to

(*y*) Dixon *v.* Muckleston, L. R. 8 Ch. 155.

(*z*) Ratcliffe *v.* Barnard, L. R. 6 Ch. 65[2].

(*a*) Maxfield *v.* Burton, L. R. 17 Eq. 15.

(*b*) Le Neve *v.* Le Neve, 3 Atk. 646; Saffron, &c., Soc. *v.* Rayner, L. R. 10 Ch. D. 696.

(*c*) Warrick *v.* Warrick, 3 Atk. 292; Worseley *v.* Earl of Scarborough. 3 Atk. 292.

(*d*) Hargreaves *v.* Rothwell, 1 Keen, 154; Ogilvie *v.* Jeaffreson, 5 Jur. N. S. 970; Banco de Lima *v.* Anglo Peruvian Bank, L. R. 8 Ch. D. 160.

his client, is supported on two grounds, viz.:—(1) that the former is presumed to communicate to the latter any material information concerning him (*e*); (2) that the former is the representative or *alter ego* of the latter (*f*); whence it follows that the doctrine cannot apply so as to impute to the client, notice of his adviser's fraudulent conduct or its consequences, since these would be kept carefully concealed by the wrong-doer (*g*). What precise conduct is fraudulent within the meaning of this rule it is usually extremely difficult to determine, and space forbids us to attempt more than a rough statement of a few leading points. A client will be exonerated from knowledge of a material fact personal to his adviser and suppressed by him as a thing done by him in direct violation of his duty as trustee; thus, where A., a trustee having duly invested the trust funds on mortgage, subsequently delivered up the title deeds to the mortgagor, who deposited the same, with the exception of the mortgage deed with his bankers, by way of equitable mortgage, and the bankers sent the deeds to A. for his approval as to the goodness of the mortgagor's title, and A. certified the same to be good; it was held that the bankers by reason of A.'s fraud had no notice of the prior incumbrance, and were therefore entitled to rank as second mortgagees after the *cestui que trust* (*h*). On the other hand, it has been decided that, where A. one of three trustees executed an assignment of leasehold property held jointly by them, forging the signatures of his two co-trustees, and the requisite assent of the *cestui que trust*, the purchaser for whom A. acted as solicitor had constructive notice of the trust, even as to A.'s third share in the property, which alone passed, and of which, therefore, a re-conveyance was ordered (*i*).

The suppression of a deed is not a sufficient fraud on the part of an agent to prevent notice to him, being notice to his

(*e*) Jennings *v.* Moore, 2 Keen, 609.

(*f*) Rolland *v.* Hart, L. R. 6 Ch. 678.

(*g*) Kennedy *v.* Green, 3 My. & K. 699; *In re* European Bank; *ex parte* Oriental Bank, L. R. 5 Ch. 328; Bradley *v.* Riches, L. R. 9 Ch. D. 189.

(*h*) Waldy *v.* Gray, L. R. 20 Eq. 238.

(*i*) Bursot *v.* Savage, L. R. 2 Eq. 134.

principal (*k*); but the presumption of constructive notice cannot be acted upon in the face of positive evidence adduced by the party charged; hence, the mortgagee of a *feme covert's* real estate, having been informed by her and her husband there was no incumbrance thereon, was held not to be affected by the knowledge of a person who acted as solicitor for both parties that the mortgagors were under an obligation to settle the property, such solicitor having told the mortgagors he would not communicate the fact to the mortgagee (*l*). If a mortgagor act as solicitor for the mortgagee, the latter will be bound by all facts within the knowledge of the former, so far only as he would be, were the same facts within the knowledge of an independent solicitor. Hence, in such case, if a mortgagee use due diligence in making inquiries, he will not be postponed because the mortgagor does not inform him of a prior incumbrance; therefore, where a solicitor created a legal mortgage on a leasehold and gave the mortgagee a reasonable excuse for not delivering the lease, which, in fact, he had previously deposited as an equitable mortgage, it was held the legal mortgagee was entitled to priority as having no notice of the equitable mortgage (*m*).

This last case suggests another leading circumstance affecting priority, viz., possession of the legal estate. It is a general principle that between several incumbrancers on the same property, he who has got both the legal and equitable interest is entitled to the first charge; but this preference will not be allowed if the party seeking to enforce it has been guilty of gross negligence (*n*). The law is "that a legal mortgagee is not to be postponed to a prior equitable one, upon the ground of his not having got in the title deeds, unless there be fraud or gross negligence on his part; that the Court will not impute fraud, or gross or wilful negligence to the mortgagee, if he has *bonâ fide* inquired for the deeds, and a reasonable excuse has

(*k*) Atterbury *v.* Wallis, 8 D. M. & G. 484.
(*l*) Sharp *v.* Foy, L. R. 4 Ch. 35.
(*m*) Espin *v.* Pemberton, 28 L. J. Ch. 308.
(*n*) Wortley *v.* Birkhead, 2 Ves. 573.

been given for the non-delivery of them, but that the Court will impute fraud or gross and wilful negligence to the mortgagee if he omits all inquiry as to the deeds" (*o*). The mere fact, then, of a mortgagee leaving the title deeds in possession of the mortgagor without fraud, will not postpone such mortgagee to a second mortgagee who has taken the title deeds without notice of the prior incumbrance; indeed, if a mortgagee were absolutely bound to get in the title deeds, it would be impossible for a man to mortgage a part of an estate without throwing a cloud over the title to the whole, inasmuch as a mortgagee cannot be compelled to produce the mortgage deed, and hence a subsequent incumbrancer could not be certain how much of the property was charged (*p*). At the same time, a legal mortgagee who gives up the title deeds to the mortgagor, even for a specific purpose, is guilty of such carelessness, that he will be postponed to an equitable mortgagee acting *bonâ fide*, with whom the mortgagor, in breach of his engagement, deposits such deeds (*q*). As between two equitable mortgagees, possession of the title deeds gives priority in case the first mortgagee has been guilty of default, or of acquiescence amounting to default, but not otherwise (*r*). An equitable mortgagee of land is entitled to enforce his charge in priority to a creditor of the mortgagor, who, without notice of the equitable mortgage, subsequently thereto recovers judgment against the mortgagor and obtains actual possession of the lands under an *elegit* (*s*); but an equitable mortgagee does not gain priority by getting in the legal estate after notice that the mortgagor has made himself trustee for the owner of a prior equity (*t*); nor will a conveyance of property (in breach of trust), the title deeds to which have been previously deposited with the grantor's bankers, to secure the balance of his current

(*o*) Hewitt *v.* Loosemore, 9 Hare, 449; Agra Bank Limited *v.* Barry, L. R. 7 H. L. 135.

(*p*) West *v.* Reid, 2 Hare, 249.

(*q*) Briggs *v.* Jones, L. R. 10 Eq. 92.

(*r*) Thorpe *v.* Holdsworth, L. R. 7 Eq. 139; Layard *v.* Maud, L. R. 4 Eq. 397; Spencer *v.* Clarke, L. R. 9 Ch. D. 137.

(*s*) Whitworth *v.* Gaugain, 15 L. J. Ch. 433.

(*t*) Mumford *v.* Stohwasser, L. R. 18 Eq. 556.

account with a memorandum of agreement to execute any instruments necessary for legally carrying out the security, avail a subsequent purchaser for value without notice (*u*).

One more circumstance which has a most important part in determining the priority of incumbrancers, is that of registration, of which we need only consider two kinds, viz.: 1. Registration of assurances of lands in Ireland (*x*), and in the counties of Middlesex (*y*) and Yorkshire (*z*); 2. Registration of titles under the Land Transfer Act (*a*), the Merchant Shipping Act (*b*), and the practice governing the transfer of stock or shares in the Bank of England or public companies.

1. By several Acts of Parliament, it is provided that registers of memorials of deeds and wills affecting lands in Ireland (*c*) and in the counties of Middlesex (*d*) and Yorkshire (*e*) shall be kept, and that brief abstracts of such deeds and wills shall be entered thereon. The effect of registration under these statutes is not to confer a title, but to furnish authentic evidence of dealings with the lands concerned; hence, whilst a person who registers a conveyance cannot pass his interest thereunder by mere entry on the register, he can rely upon the latter as proof of his right to hold against persons claiming under unregistered instruments. Thus, a *bonâ fide* purchaser for value, or incumbrancer, who duly registers, will be preferred to a party entitled under a prior instrument, no memorial of which has been entered on the register; but as the object of registration is to afford information of the charges affecting the lands, no preference will be allowed over an unregistered purchase or incumbrance, of which a subsequent purchaser or incumbrancer who registers has notice at the time he contracts (*f*). However, to deprive a second incumbrancer of priority gained by registration

(*u*) Maxfield *v.* Burton, L. R. 17 Eq. 15; *sed quære* Pilcher *v.* Rawlins, L. R. 7 Ch. 259.

(*x*) 6 Anne, c. 20.

(*y*) 7 Anne, c. 20.

(*z*) 2 & 3 Anne, c. 4; 6 Anne, c. 35; 8 Geo. II. c. 6.

(*a*) 38 & 39 Vict. c. 87.

(*b*) 17 & 18 Vict. c. 104.

(*c*) 6 Anne, c. 2.

(*d*) 7 Anne, c. 20.

(*e*) 2 & 3 Anne, c. 4; 6 Anne, c. 35; 8 Geo. II. c. 6.

(*f*) Credland *v.* Potter, L. R. 18 Eq. 350; *In re* Wright's Mortgage Trust, L. R. 16 Eq. 41.

there must be actual notice amounting to fraud (*g*), and, for this purpose, a solicitor's knowledge of a prior incumbrance, which he does not communicate to his client, is such notice to the client (*h*); nor is a client's case aided because an instrument drawn by a solicitor having such information is afterwards registered by a solicitor without such information (*i*). If a party or his solicitor *bonâ fide* makes inquiry for the title deeds, and a reasonable excuse is given for their non-production, the party is not affected with notice of an equitable mortgage made by their deposit; and a party who after such inquiry takes a legal mortgage and registers the same will be preferred to a prior unregistered equitable mortgagee (*k*). Equitable mortgages of lands are within the Registry Acts, and earlier registration, even on the same day, gives priority (*l*). In England registration of a second mortgage will not prevent a prior mortgagee from tacking a third mortgage when he had no actual notice of the second mortgage (*m*).

2. The principle of registration of title, whether the subject be land, ships, stocks, or shares in private companies, is to enable the person whose name is entered on a public record, as owner or incumbrancer of property, to deal with the same free from all restrictions, save those which appear on such record (*n*); and to give to the several persons, having charges upon the same property, priority amongst themselves according to the order in which their charges are entered on the record, no matter in what order the charges were created (*o*). Persons whose names are so recorded are owners or incumbrancers of legal interests only, and to protect equitable interests in the same property the parties entitled must enter notices or cautions on the register, or obtain a writ or order preventing a disposition of

(*g*) Agra Bank Limited *v.* Barry, L. R. 7 H. L. 135. See cases there cited.

(*h*) Le Neve *v.* Le Neve, 3 Atk. 646.

(*i*) Rolland *v.* Hart, L. R. 6 Ch. 678.

(*k*) Agra Bank *v.* Barry *ubi suprâ*.

(*l*) Neve *v.* Pinnell, 2 Hem. & Mil. 170; *ante*, pp. 224, 225.

(*m*) Bedford *v.* Backhouse, 2 Eq. Abr. 615, Pl. 12.

(*n*) 38 & 39 Vict. c. 87, ss. 7—9, 13—15.

(*o*) *Ibid.*, ss. 28, 49, 53, 54; 17 & 18 Vict. c. 104, s. 69; 8 & 9 Vict. c. 16, ss. 18, 20; *post*, pp. 281, 284.

the fund without their knowledge or consent (*p*). The dates of these notices will regulate the priority of the parties equitably interested, and they will rank in that order amongst even legal owners or incumbrancers. Equitable interests not protected by notices cannot be enforced against registered owners or incumbrancers as such—that is, any person who acquires a registered title acquires it absolutely, so that the property is free from any secret equities it may have been subject to in the hands of the transferor, against whom the party equitably interested can only have a personal remedy.

(*p*) *Ante*, p. 158; see also 25 & 26 Vict. c. 89, s. 30, and Buckley's Companies Acts, 3rd ed., 72 *et seq.*

CHAPTER XXIV.

PAWNS AT COMMON LAW.

A PAWN or pledge is a transfer of the possession, and of a special ownership in a given subject of property, to secure the payment of a certain sum of money, or the performance of any other engagement on the part of the transferor (the pawnor or pledgor) towards the transferee (the pawnee or pledgee) (*a*). There are three kinds of securities on property—the first, a simple lien; the second, a mortgage passing the property out and out; the third, intermediate between a lien and a mortgage—viz., a pledge where by contract a deposit of goods is made a security for a debt, and the right to the property vests in the pledgee, so far as is necessary to secure the debt (*b*). A pawn thus differs from a mortgage in requiring a transfer of possession, and in conferring a limited, not a conditional, dominion; but a physical transfer of possession is not necessary, for the possession of the pledgor may be agreed to be the possession of the pledgee (*c*), and if the creditor be already in possession of the thing proposed to be pledged, that thing will vest in him as a pledge by virtue of the contract (*d*). In English law only one species of property is susceptible of being pawned, viz., chattels personal, corporeal, or otherwise capable of actual or symbolic (*e*) transfer by delivery, of which the

(*a*) Jones *v.* Smith, 2 Ves. Jr. 378.

(*b*) Halliday *v.* Holgate, L. R. 3 Ex. 299, per Willes, J.; Mulliner *v.* Florence, L. R. 3 Q. B. D. 484.

(*c*) Reeves *v.* Capper, 5 Bing. N. C. 136. See Maugham *v.* Sharpe, 17 C. B. N. S. 443; Ryall *v.* Rolle, 1 Atk. 164.

(*d*) S. 297, Story Bailments.

(*e*) Myerstein *v.* Barber, L. R. 2 C. P. 38; Ayers *v.* South Australasian Banking Co., L. R. 3 P. C. 554.

pawnor, or some person for whom he pawns, has the title, and generally also the present possession (*f*).

There are three classes of persons to or by whom pawns may be made:—(1) Private individuals, (2) pawnbrokers, (3) mercantile agents. The rights and liabilities of the first class are governed by the Common Law, those of the second and third by certain Acts of Parliament.

At Common Law no writing or formality is necessary to the validity of a contract of pawn; but, of course, if a written instrument is employed, the parties will be bound by its terms. The agreement may or may not fix a time for redemption of the pawn. In the former case the pawnee is entitled, on the pawnor's default to redeem at the stipulated period, to sell the pawn (*g*), but if he does not do so, the pawnor is entitled to redeem, on tender of the amount due; in the latter case, the pawnor has his whole life to redeem, but the pawnee may at any time determine that right by demanding fulfilment of the engagement secured, and by giving the pawnor notice that if such demand be not complied with, the pawn will be sold within a reasonable time (*h*), but until such sale the pawnor may, as before, still redeem (*i*). Upon payment or tender of the debt due to the pledgee, the property in the goods is instantly re-vested in the pledgor, even though the pledgee refuse to deliver them, and in case of such refusal the pledgor may bring an action founded thereon or for the wrongful detention (*k*). If the pawn is sold, the pawnee must return to the pawnor any balance from the proceeds after payment of the sum secured, interest (if any) agreed upon, and costs of the sale (*l*). It would seem that a pawnor having only a special property cannot bring an action for fore-

(*f*) Young *v.* Lambert, L. R. 3 P. C. 142; Berry *v.* Gibbons, L. R. 8 Ch. 747.

(*g*) Pothonier *v.* Dawson, N. P. C. 383.

(*h*) Martin *v.* Reid, 31 L. J. C. P. 126; Glanville, Lib. x. caps. 1, 6, 8.

(*i*) Pigot *v.* Cubley, 15 C. B. N. S. 701.

(*k*) Isaac *v.* Clark, 2 Bulst. 306.

(*l*) Wilson *v.* Tooker, 5 Bro. P. C. 193; Attenborough *v.* St. Katharine's Dock Co., L. R. 8 C. P. D. 464.

closure (*m*). The contrary, however, has been laid down (*n*), but no English case appears to support the latter view, and the latest authority is directly the other way (*o*).

The pawnee is bound to use ordinary diligence in keeping the pawn, but, if he do so, and the pawn is notwithstanding lost, he is not precluded from suing to enforce the engagement secured. "If the pawn be such as will be the worse for using, the pawnee cannot use it—as clothes, &c.; but if it be such as will be never the worse, as jewels pawned to a lady, she might use them, but then she must do it at her peril; for whereas, if she keeps them locked up in her cabinet, if her cabinet should be broken open, and the jewels taken from thence, she would be excused,—if she wears them abroad, and is there robbed of them, she will be answerable. And the reason is, because the pawn is in the nature of a deposit, and is not liable to be used. But if the pawn be of such a nature that the pawnee is at any charge about the thing pawned to maintain it, as a horse, cow, &c., then the pawnee may use the horse in a reasonable manner, or milk the cow, &c., in recompense for the meat (*p*)."

A pawnee may re-pledge a pawn to the extent of his own interest, but he cannot further bind the rights of the owner, except when the thing pawned is a negotiable security, which he may sell or pledge so as to confer an unimpeachable title (*q*). If a pawn be re-pledged, the original owner cannot sue the second pawnee for detinue without tendering the amount due to the first pawnee (*r*). On the other hand, a pawn which is under the control of the pawnee remains good, though the pawnor have the use thereof (*s*). So a person may sell or transfer his rights in the pawn, and the purchaser or transferee,

(*m*) I. Fisher on Mortgages, 3rd. ed., 486 n.

(*n*) Story Bailments, s. 310; Turner's Contract of Pawn, 155.

(*o*) Carter *v.* Wake, L. R. 4 Ch. D. 605.

(*p*) Coggs *v.* Bernard, 2 Ld. Raym. 917, per Holt, C. J.

(*q*) Story Bailments, s. 296.

(*r*) Donald *v.* Suckling, L. R. 1 Q. B. 585.

(*s*) Crowfoot *v.* London Dock Co., 2 Cr. & M. 637.

on tender of the amount due to the pawnee, and his refusal, after sufficient evidence of the sale or transfer, to deliver up the property, may sue for the detention and redemption thereof (*t*).

As against a pawnor or mortgagor of personal property, the doctrine of tacking is more extensive than that previously described in general (*u*). Thus, a pawnee or mortgagee of personalty is considered to have a lien on the property pawned or mortgaged for subsequent debts and advances, though not contracted and made on such security (*v*), but this lien does not avail against the pawnor or mortgagor's creditors, or against subsequent purchasers (*w*).

In Equity the representatives of a deceased pawnor have the same right of redemption as the pawnor himself (*x*); at Common Law it was otherwise where no time for redemption was agreed upon, though the pawnor had a legal right of redemption against the representatives of a deceased pawnee, to whose executor or administrator tender of the amount due should be made, even where the pawn is in re-pledge (*y*). So long as the pawn continues in possession of the pawnee or his representatives, and in the absence of special agreement to the contrary, the right of redemption is unaffected by the Statutes of Limitations, except perhaps where a certain period for payment and redemption is defined, from the expiration of which, time, it would seem, begins to run (*z*).

(*t*) Franklin *v.* Neate, 13 M. & W. 481.

(*u*) *Ante*, pp. 113, 114.

(*v*) Demandray *v.* Metcalf, Pre. in Ch. 419.

(*w*) Talbot *v.* Frere, L. R. 9 Ch. D. 568; Adams *v.* Claxton, 6 Ves. 226; Vanderzee *v.* Willis, 3 Bro. C. C. 21.

(*x*) Demandray *v.* Metcalf, *supra*.

(*y*) Ratcliff *v.* Davis, Yelv. 178.

(*z*) Kemp *v.* Westbrook, 1 Ves. 278; Gage *v.* Bulkeley, Ridg. Cases Temp. Hardwicke, 278.

CHAPTER XXV.

PAWNS UNDER THE PAWNBROKERS' ACT.

In England and (subject to a few minor differences) in Scotland, but not in Ireland (*y*), the whole law relating to pawnbrokers is now consolidated in the Pawnbrokers' Act, 1872, by which all former legislation on the same subject is, as regards Great Britain, repealed (*z*), yet so as not to interfere with any local or personal Act for the time being in force in any city, town, burgh, or other place (*a*). The statute does not extend to pawns upon which a pawnbroker lends any sum exceeding £10 (*b*), nor, so far as its operation is excluded by special contract made at the time of pawning, to pawns upon which a pawnbroker lends a sum exceeding 40s. and not exceeding £10 (*c*). In these cases the contract is governed by the Common Law. In all other cases in which a pawnbroker lends money on pawn, the statute strictly applies, and its provisions must be scrupulously followed. Under those provisions pawns are divided into two classes—(1) those on which a sum of 10s. or less is lent, (2) those on which a sum above 10s. is lent. We shall deal with each class separately, but we must first summarise the general clauses of the statute.

A pawnbroker is defined to be every person who carries on the business of taking goods and chattels in pawn—that is, every person who keeps a shop for the purchase or sale of goods or chattels, or for taking in goods or chattels by way of security for money advanced thereon, and who purchases or

(*y*) S. 56, 35 & 36 Vict. c. 93.
(*z*) *Ibid.*, 1st Sch.
(*a*) *Ibid.*, s. 57.
(*b*) *Ibid.*, ss. 5, 6.
(*c*) *Ibid.*, ss. 10, 21.

receives, or takes in, goods or chattels, and pays or advances, or lends thereon any sum of money not exceeding £10, with or under an agreement or understanding expressed or implied, or to be, from the nature and character of the dealing, reasonably inferred that those goods or chattels may be afterwards redeemed or repurchased on any terms; and every such transaction, article, payment, advance, and loan shall be deemed a pawning, pledge, and loan respectively within this Act (*d*). No one can legally act as a pawnbroker without a licence for that purpose (*e*). Every pawnbroker is required to keep a pledge-book, in which he is to enter, on the day of pawning, or within four hours after the end of that day, his name and place of business, the date of redemption, the profit charged, the amount of loan, the number of pledge in the month, the name of the pawnor, the address of the pawnor, the name of the owner, if other than pawnor, the address of owner, if other than pawnor, the list of articles pawned, as described on the pawn-ticket (*f*); to keep, also, a sale-book for loans above 10*s*., in which he shall enter the date and place of sale, the name and place of business of the auctioneer, the number of pledge as in pledge-book, the date of pawning, the name of the pawnor, the amount of loan, the amount for which pledge sold, as stated by auctioneer (*g*); to have his name printed legibly over his door, and exhibit tables of the allowed rates of interest in his shop (*h*); to deliver the prescribed form of pawn-ticket on each pawn (*i*), and to take no higher profit or charge than that specified (*k*). The holder of a pawn-ticket is the person entitled to redeem the pledge (*l*), which the pawnbroker is not bound to re-deliver until such ticket be delivered to him (*m*). Owners of articles pawned, and pawnors not having pawn-tickets to produce, may, by applying to the pawnbroker, obtain a printed form of declara-

(*d*) *Ibid.*, ss. 5, 6.
(*e*) *Ibid.*, ss. 37—44.
(*f*) *Ibid.*, s. 12, Sch. 3.
(*g*) *Ibid.*
(*h*) *Ibid.*, s. 13.
(*i*) *Ibid.*, s. 14.
(*k*) *Ibid.*, s. 15, Sch. 4.
(*l*) *Ibid.*, s. 25.
(*m*) *Ibid.*, s. 26.

tion, which the applicant and a person identifying him should make before a Justice of the Peace, and on the re-delivery to the pawnbroker of such form, not later than on the third day after the day on which the form was delivered to the applicant by the pawnbroker (exclusive of a day or days on which the pawnbroker is prohibited from carrying on business), the applicant shall have the same rights and remedies as between him and the pawnbroker as if he produced the pawn-ticket, and the pawnbroker is indemnified for *bonâ fide* delivering the pledge in conformity with the declaration (*n*). In case a pledge is destroyed by fire, the pawnbroker is liable within the time the same is redeemable, to pay to the person entitled to redeem the value of the pledge, less the loan and profit thereon—such value (to the extent of which the pawnbroker may insure) to be the loan and profit and twenty-five per cent. on the loan (*o*). The pawnbroker is also liable to make compensation for depreciation of the pledge through his own default (*p*). Courts of summary jurisdiction, on conviction of the offender, are empowered to order delivery to the owner of property unlawfully pawned, either on or without payment of the loan or any part thereof, as seems just (*q*). They may also make a summary order for the delivery of a pledge to the person entitled (*r*).

Pawnbrokers are prohibited from taking pawns from persons appearing to be under the age of twelve years, or to be intoxicated; from purchasing or taking in pawn or exchange a pawn-ticket issued by another pawnbroker; from employing any servant or other person under the age of sixteen years to take pledges in pawn; from carrying on their business on Sunday, Good Friday, Christmas Day, or a day appointed for public fast, humiliation, or thanksgiving; from purchasing, except at public auction, anything pledged with themselves; from suffering any pledge while in pawn with themselves to be redeemed with a view to

(*n*) *Ibid.*, s. 29; Burslem *v.* Attenborough, L. R. 8 C. P. 122.
(*o*) *Ibid.*, s. 27.
(*p*) *Ibid.*, s. 28.
(*q*) *Ibid.*, s. 30.
(*r*) *Ibid.*, s. 31.

the purchasing of it; from making agreements with the pawnor for disposition of the pledge within the time of redemption; from selling or otherwise disposing of any pledge pawned with them otherwise than as authorised by the Act (*s*), and from knowingly taking in pawn any linen, apparel, unfinished goods, or materials intrusted to any person to wash, manufacture, or work up (*t*), and a search warrant for such linen, &c., unlawfully pawned may be obtained from a justice of the peace (*u*). Persons unlawfully pawning goods are liable to a penalty not exceeding £5, and to pay a sum not exceeding the full value of the pledge as ascertained by the Court (*x*); and any person offering an article in pawn, of which he cannot give a satisfactory account, may be seized by a pawnbroker and handed over with such article to a constable (*y*).

Three forms of pawn-tickets are provided, viz., for loans of 10*s*., or under; for loans above 10*s*. and under 40*s*.; for loans above 40*s*., and not above £10.

On the first three forms are described—(1) the parties to the contract, (2) the articles pawned, (3) the rate of interest chargeable, (4) the time for redemption (and in case of loans for above 10*s*. that the pawnbroker's books may be inspected within three years after sale by the pawnor on payment of one penny, and that the pawnor may receive any surplus produced by the sale), (5) the pawnbroker's liability to pay the value of the pledge if destroyed or damaged by fire, (6) provision for a declaration if the ticket be lost. The allowed rate of profit is as follows:—On a loan of 40*s*. or under:—

For any time during which the pledge remains in pawn, not exceeding one month, for every 2*s*. or fraction of 2*s*. lent—$\frac{1}{2}d$.

For every month after the first, including the current month in which the pledge is redeemed, although that month is not expired, for every 2*s*. or fraction of 2*s*. lent—$\frac{1}{2}d$.

(*s*) *Ibid.*, s. 32.
(*t*) *Ibid.*, s. 35.
(*u*) *Ibid.*, s. 36.
(*x*) *Ibid.*, s. 33.
(*y*) *Ibid.*, s. 34.

If the pledge is redeemed before the end of the first fourteen days after the expiration of any month, the pawnbroker shall, in respect of those fourteen days, be entitled to take half of the amount which he would be entitled to take for the whole month.

B. On a loan of above 40*s*:—

For every month or part of a month, for every sum of 2*s*. 6*d*. or fraction of 2*s*. 6*d*.—½*d* (*z*).

The charge for a form of declaration when a pawn-ticket is lost is, for a loan of 5*s*. or under—½*d*.; for a loan of 5*s*.—1*d*., and these must be paid by the applicant at the time of applying for such form (*a*).

Such are the general provisions of the Pawnbrokers' Act; we have next therefore to consider the two classes of pawns (*b*). As to pledges for 10*s*., or under, all that need be added is that, if not redeemed within the appointed time, they become absolutely forfeited to the pawnbroker, who may thereupon retain or dispose of them as he pleases (*c*); also that the charge for pawn-tickets for such pledges is—½*d* (*d*). Pledges for above 10*s*. and not above 40*s*., are absolutely subject to the Pawnbrokers' Act; so are pledges for above 40*s*. and not above £10, in the absence of a special contract entirely or partially excluding its operation (*e*). Such special contracts, however, can only be entered into by a special contract-ticket, signed by the pawnbroker, a duplicate of which shall be signed by the pawnor (*f*). Unless, then, in the case of special contracts, the following rules obtain:—

Pledges for above 10*s*. are redeemable until sale (*g*), and can only be disposed of by the pawnbroker through a sale at public auction, at which, however, the pawnbroker may bid and purchase, and on such purchase becomes absolute owner (*h*).

(*z*) *Ibid.*, Sch. 3.
(*a*) *Ibid.*, Sch. 4.
(*b*) *Ante*, p. 245.
(*c*) *Ibid.*, s. 17.
(*d*) *Ibid.*, Sch. 4. Pt. II.
(*e*) *Ibid.*, ss. 10, 24.
(*f*) *Ibid.*, Sch. 3.
(*g*) *Ibid.*, s. 18.
(*h*) *Ibid.*, s. 19.

Auctioneers at such sales are to cause all pledges to be exposed to public view; to publish specified catalogues thereof; to insert advertisements of notice of the sale in some public newspaper; to take a pawnbroker's bid in the same way as that of any other person, and, if he becomes purchaser, audibly to declare his name as such; within fourteen days after the sale to deliver to the pawnbroker for whom he was selling a catalogue authenticated by his signature, and filled up with the amounts for which the several pledges were sold, which catalogue the pawnbroker must preserve for at least three years after the auction; pictures, prints, clocks, and certain other enumerated articles are to be sold by auction by themselves apart from other pledges, and that four times only in every year, viz., on the first Monday in January, April, July, and October, and on the following day or days, if the sale exceeds one day (*i*). The holder of a pawn-ticket for a pledge above 10*s.* may inspect (for which inspection one penny is chargeable) the entry of sale in the pawnbroker's sale-book within three years after the pledge has been sold by auction (*k*); and within that time he will be entitled on demand to any surplus from the proceeds, after deducting loan and profit due at the time of sale, and necessary costs and charges thereof, subject, however, to such surplus being set off by the pawnbroker against a deficit that may have resulted on the sale of a pledge or pledges of the same person twelve months before or after the sale in question (*l*). Offences against the Pawnbrokers' Act, in the case of pledges for above 10*s.*, are punishable by penalty not exceeding £10 to the person aggrieved on conviction of the offender in a court of summary jurisdiction (*m*); finally, the charge for a pawn-ticket for a pledge above 10*s.* is one penny (*n*).

The law of pawnbroking in Ireland is regulated by 26 Geo. III. c. 43 [I.]; 28 Geo. III. c. 49 [I.]; 48 Geo. III. c. 140, ss.

(*i*) *Ibid.*, Sch. 5; Morley *v.* Attenborough, 18 L. J. Ex. 148.
(*k*) *Ibid.*, s. 21.
(*l*) *Ibid.*, s. 22.
(*m*) *Ibid.*, s. 23.
(*n*) *Ibid.*, Sch. 4, Pt. II.

50, 69; 5 Geo. IV. c. 102, s. 22; 5 & 6 Will. IV. c. 62, s. 12; 5 & 6 Vict. ss. 6, 17, &c.; 16 & 17 Vict. c. 59, s. 20; 17 & 18 Vict. c. 83, s. 20; 27 & 28 Vict. c. 56, s. 6—a series of enactments which we shall not attempt to analyse; but which we commend to the notice of any Member of Parliament who is at a loss for a subject for reform.

CHAPTER XXVI.

PAWNS OR PLEDGES UNDER THE FACTORS' ACTS.

At Common Law an agent intrusted with the possession of goods, or of the documents of title to goods, cannot validly sell or pledge the same in the absence of an authority from his principal for that purpose (*o*). The authority may be either actual, that is express, or apparent, that is implied from the course of dealing between the parties (*p*); thus, a factor or mercantile agent intrusted with the possession (*q*) and apparent ownership of property to be sold for his principal, is, by his employment authorised to sell, but yet he cannot pledge such property; and, on the other hand, an agent who is employed to pledge cannot sell the property of his principal (*r*). To the above rules there is one and only one exception in the case of ordinary merchandise, viz., a sale in market overt; by such a sale an unauthorised agent may indefeasibly transfer goods in his possession to a *bonâ fide* purchaser (*s*).

Great hardship and mischief were frequently caused by the strictness of the Common Law in the above respects; hence, the Legislature interposed, and under the Factors' Acts conferred on a certain limited class of agents a power to sell or pledge the goods

(*o*) Cole *v.* North-Western Bank, L. R. 10 C. P. 354; L. R. 9 C. P. 470; Johnson *v.* The Credit Lyonnais, L. R. 3 C. P. D. 32; 2 C. P. D. 224.

(*p*) Wilkinson *v.* King, 2 Camp. 335; Pickering *v.* Busk, 13 East 38; Dyer *v.* Pearson, 3 B. & C. 38.

(*q*) Factors are entrusted in their professional capacity with both the possession and the disposition of property; but brokers only with the disposition of property. Chitty on Contracts, 10th ed., 189.

(*r*) As to set-off by a person purchasing from a factor, see *Ex parte* Dixon; *in re* Henley, L. R. 4 Ch. D. 133.

(*s*) Cole *v.* North-Western Bank, *ubi supra*. See The Case of Market-Overt, 5 Rep. 836; Cundy *v.* Lindsay, L. R. 3 App. Cas. 459.

or documents of title to goods with which they are intrusted. The Factors' Acts are four in number, viz., 4 Geo. IV. c. 83; 6 Geo. IV. c. 94; 5 & 6 Vict. c. 39, and 40 & 41 Vict. c. 39. Let us take each separately.

By 4 Geo. IV. c. 83 (intituled an Act for the better protection, of the property of merchants and others, who may hereafter enter into contracts or agreements in relation to goods, wares, or merchandize intrusted to factors or agents), s. 1, the consignees of goods intrusted to any person or persons for sale, and shipped in his or their names, are given a lien on such goods, to the same extent as if such person or persons were the true owners, for advances thereon made by such consignees to such person or persons without notice that he or they are not the actual *bonâ fide* owners; and the person or persons in whose name or names goods are shipped, shall be taken to be intrusted therewith, unless the contrary shall be shown in evidence by any person disputing the fact.

By s. 2 the consignee or consignees of goods may deposit or pledge the same, or the bills of lading for delivery thereof with a third person, so as to confer his or their own rights thereto on the depositee or pledgee.

By s. 3 the owners of goods may recover the same from their agents, before they are pledged, and from consignees and depositees, on payment of the advance made, or if the goods have been sold by such consignees or depositees, then the owners may recover from them the proceeds of the sale less the advance made on security of such goods.

The 6 Geo. IV. c. 94 (intituled an Act to alter and amend 4 Geo. IV. c. 83), (1) enlarges the provisions of the former statute, and (2) adds new ones. 1st. In the first place, the person or persons intrusted with the goods may be an agent for consignment as well as for sale; and the fact, that a person in whose name goods are shipped is not intrusted therewith, may be shown by bill of discovery or otherwise no less than by the evidence of a person disputing the fact (*t*). Again, notwithstanding the

(*t*) S. 1, 6 Geo. IV. c. 94; Johnson *v.* Credit Lyonnais, L. R. 3 C. P. D. 45.

depositee or pledgee's notice of the agency, a deposit or pledge of goods or documents of title to goods (whether shipped or not) by an agent with or to whom the same are intrusted or consigned, is valid to the extent of the agent's interest therein at the time of the deposit or pledge (*u*). Moreover, the power of redemption is extended to meet the larger rights conferred on an agent; thus, the owners of the goods may recover the same from their agents before they are sold or pledged, or if sold, may recover the purchase-money from the purchaser, subject to any right of set-off by him against the agent, or, if deposited or pledged, may recover the goods on payment of the advance made to the agent, and on payment of any sum advanced by the agent to the owner (*x*). 2nd. In the second place there are the following new enactments: Persons intrusted with and in possession of, bills of lading, India warrants, dock warrants, warehouse keepers' certificates, wharfingers' certificates, warrants or orders for delivery of goods, may validly contract as if they were owners, for the sale, deposit, pledge, or disposition of the goods therein mentioned, provided the parties with whom they contract had no notice that such persons were not the actual and *bonâ fide* owners (*y*). For an antecedent debt a deposit or pledge by a person intrusted with goods or documents of title to goods is only valid to the extent of the depositor or pledgor's interest in such goods or documents of title (*z*). Contracts in the usual and ordinary course of business for purchase of goods intrusted or consigned to agents, and payments made to them in pursuance thereof, are valid against the owners, notwithstanding notice to the purchasers of the agency, but not if the purchasers have notice that the agents have no authority to sell (*a*); the consideration for the above purchases may be a past debt due by the agent as well as a present advance by the purchaser (*b*).

(*u*) S. 5, 6 Geo. IV. c. 94.
(*x*) S. 6.
(*y*) S. 2.
(*z*) S. 3.
(*a*) S. 4.
(*b*) Thackrah *v.* Ferguson, 25 W. R. 307.

The 5 & 6 Vict. c. 39 (intituled an Act to amend the law relating to advances *bonâ fide* made to agents intrusted with goods) invests agents with a power to pledge goods similar to the power of sale with which they were invested by the last preceding statute (*c*). Thus, a *bonâ fide* pledgee of goods or documents of title pledged by an agent intrusted therewith is given a lien on such goods for any *advance*, or continuing advances he may make although he has notice the pledgor is only an agent; and if such pledgee restore to the agent such goods or documents of title, in exchange for other goods or documents of title, his original lien will attach to the latter, yet only to the value of the same at the time of the exchange. Documents of title include the instruments (except wharfingers' certificates) enumerated in s. 2, 6 Geo. IV., or any other document used in the ordinary course of business as proof of the possession or control of goods, or authorising or purporting to authorise, either by indorsement or delivery, the possessor of such documents to transfer or receive the goods thereby represented (*d*). None but *bonâ fide* contracts and loans are upheld (*e*); nor are pledges for antecedent debts due from the agent to the pledgee protected (*f*); nor is an agent authorised to deviate from the express orders of his principal (*g*); nor his civil liability for breach of duty altered (*h*). Loans or advances *bonâ fide* made to an agent intrusted with and in possession of goods or documents of title to goods, on the faith of a contract in writing by such agent to consign, deposit, transfer, or deliver such goods or documents of title, are, when the same are actually received by the person making the loan or advance, without notice that the agent was not authorised to make the pledge, to be construed as made on the security of such goods or documents of title, although the same are not so received until after the loan or advance is made. An agent

(*c*) S. 4, 6 Geo. IV. c. 94, Cole *v.* North-Western Bank, *ubi suprà*; Jewan *v.* Whitworth, L. R. 2 Eq. 692.
(*d*) S. 4, 5 & 6 Vict. c. 39.
(*e*) S. 3.
(*f*) Macnee *v.* Gorst, L. R. 4 Eq. 315.
(*g*) S. 4; Jewan *v.* Whitworth, L. R. 2 Eq. 692.
(*h*) S. 7.

intrusted with a document of title and possessed thereof, either directly through the owner or by reason of having been intrusted with possession of the goods or of any other document of title, is deemed to be intrusted with possession of the goods. Goods or documents of title are in an agent's possession when they are in his actual custody or in that of some other person, subject to his control (*i*). An agent in possession of goods or documents of title is taken to be intrusted therewith, unless the contrary can be shown by the owner. The contract for the deposit, or pledge of goods, or documents of title may be with the agent's clerk or other person on his behalf as well as with the agent himself; and the advance thereon may be paid in money, bills, or other negotiable securities (*k*). The owner of the goods or documents of title has, *mutatis mutandis*, a right to redeem as above mentioned (*l*).

The 40 & 41 Vict. c. 39 (intituled an Act to amend the Factors' Acts), applies only to acts done and rights acquired after its passing (10th August, 1877) (*m*); subject to this limitation, it supplements the previous legislation, which with the recent enactment may in future be shortly cited as the Factors' Acts, 1823 to 1877 (*n*), in three important particulars; 1st, it protects dealings with persons whose agency or authority has been secretly revoked; 2nd, it puts vendors and vendees, who are in possession of the documents of title to the goods sold, on the same footing, in regard to persons without notice of the sale, as agents were under the previous statutes; 3rd, it invests the transfer of a document of title to goods by a vendee to a *bonâ fide* transferee with the same power of defeating the vendor's lien or right of stoppage *in transitu* as the transfer of a bill of lading has for defeating this latter right. The following are the provisions by which these objects are accomplished:—

When any agent or person has been intrusted with, and continues in possession of, any goods or documents of title to

(*i*) S. 4, 5 & 6 Vict. c. 39.
(*k*) *Ibid.*
(*l*) *Ibid.*, s. 7.
(*m*) S. 6, 40 & 4 Vict. c. 39.
(*n*) *Ibid.*, s. 1.

goods within the meaning of the Factors' Acts, 1823 to 1877, any revocation of his entrustment or agency shall not prejudice or affect the title or rights of any other person, who, without notice of such revocation, purchases such goods, or makes advances upon the faith or security of such goods or documents (*o*).

When any goods have been sold, and the vendor or any person on his behalf continues or is in possession of the documents of title thereto, any sale, pledge, or other disposition of the goods or documents made by such vendor or any person or agent entrusted by the vendor with the goods or documents within the meaning of the Factors' Acts, 1823 to 1877, so continuing or being in possession, shall be as valid and effectual as if such vendor or person were an agent or person intrusted by the vendee with the goods or documents within the meaning of the Factors' Acts, 1823 to 1877, provided the person to whom the sale, pledge, or other disposition is made has not notice that the goods have been previously sold (*p*). When any goods have been sold or contracted to be sold, and the vendee, or any person on his behalf, obtains the possession of the documents of title thereto from the vendor or his agents, any sale, pledge, or disposition of such goods or documents by such vendee so in possession or by any other person or agent entrusted by the vendee with the documents within the meaning of the Factors' Acts, 1823 to 1877, shall be as valid and effectual as if such vendee or other person were an agent or person entrusted by the vendor with the documents within the meaning of the Factors' Acts, 1823 to 1877, provided the person to whom the sale, pledge, or other disposition is made has not notice of any lien or other right of the vendor in respect of the goods (*q*).

When any document of title to goods has been lawfully indorsed or otherwise transferred to any person as a vendee or

(*o*) S. 2.
(*p*) S. 3, Johnson *v.* Credit Lyonnais Co., L. R. 3 C. P. D. 36, 48.
(*q*) S. 4.

owner of the goods, and such person transfers such document by indorsement (or by delivery where the document is by custom, or by its express terms transferable by delivery, or makes the goods deliverable to the bearer) to a person who takes the same *bonâ fide* and for valuable consideration, the last-mentioned transfer shall have the same effect for defeating any vendor's lien or right of stoppage in transitu as the transfer of a bill of lading has for defeating the right of stoppage in transitu (*r*).

In the foregoing account we have offered a summary of the Factors' Acts considered individually; to complete our task we shall deal under several heads with the law as it exists in general by force of those enactments.

Nature of the Subject of Sale or Pledge.—Section 1, 4 Geo. IV., and ss. 1, 4, 6 Geo. IV., extend to goods, wares, and merchandizes only; s. 2, 6 Geo. IV. extends to documents of title only, whilst s. 2, 4 Geo. IV., s. 5, 6 Geo. IV., the 5 & 6 Vict., and 40 & 41 Vict., extend in common to goods and documents of title. Under s. 1, 4 Geo. IV., and s. 1, 6 Geo. IV., the goods must have been intrusted for sale, or consignment or sale, and shipped in the name of the person to whom they were intrusted, in which case a lien on such goods was given to a consignee without notice making advances thereon to the person intrusted therewith (*s*). Under s. 4, 6 Geo. IV. the goods need only have been intrusted or consigned to agents to enable them to make valid sales thereof. By s. 2, 6 Geo. IV., persons intrusted with, and in possession of, certain documents of title are empowered to contract for the sale, deposit, pledge, or disposition of the goods therein mentioned. Section 2, 4 Geo. IV. enables the consignee of goods that are shipped to deposit or pledge such goods or the bills of lading therefor to the extent of his own interest therein (*t*).

By a document of title, properly so called, is understood

(*r*) S. 5.
(*s*) Johnson *v.* Credit Lyonnais Co., L. R. 3 C. P. D. 47.
(*t*) Blandy *v.* Allen, 3 Car. & P. 447.

something which represents the goods, and from which either immediately or at some future time the possession of the goods may be obtained, as, for example, a bill of lading or delivery order; the delivery of a wharfinger's certificate passes no title to the goods to which it relates, and such instrument would seem for the purposes of the Factors' Acts not to be a document of title, except so far as expressly made so by s. 2, 6 Geo. IV. (*u*).

Power of Sale, Pledge, or Disposition.—Under s. 5, 6 Geo. IV., an agent intrusted with goods, or documents of title, may pledge the same to the extent of his own interest therein, and under 5 & 6 Vict., he may pledge them absolutely. Pledges, deposits, sales, and dispositions within s. 1, 4 Geo. IV., and ss. 1, 2, 6 Geo. IV. cannot avail if the pledgee, depositee, vendee, or disponee have notice that the pledgor, depositor, vendor, or disponor is not the true owner; but, transactions within ss. 4, 5, 6 Geo. IV. and 5 & 6 Vict. c. 39 are valid, notwithstanding such notice, provided the party dealing with the agent has not notice that the latter is without authority to enter into such transactions, and notice of such want of authority must be found categorically by the jury to bring it within the proviso (*x*).

By 40 & 41 Vict. the powers of agents, as just described, are conferred on agents whose authority has been revoked, and on vendors and vendees in possession of the documents of title to the goods sold, provided the persons with whom they deal are without notice of such revocation and sale respectively. A factor by pledging goods in his possession or under his control as agent for an amount which does not exhaust their value has not thereby parted with his control over the goods, but may make further pledge for balance of their value (*y*).

To whom the Goods or Documents of Title must be Intrusted.—The power conferred by the Factors' Acts to deal with the

(*u*) Gunn *v.* Bolckow, Vaughan & Co., L. R. 10 Ch. 491; *post*, pp. 341—343.

(*x*) Gobin Chunder Sein (Bengal) *v.* Ryan, 8 Jur. N. S. 843.

(*y*) Portalis *v.* Tetley, L. R. 5 Eq. 140.

property of others is limited to those who answer a prescribed description. In s. 1, 4 Geo. IV. and s. 1, 6 Geo. IV., that description is "persons intrusted with goods for sale or for consignment or sale, in whose name the goods shall be shipped." In s. 2, 6 Geo. IV., the description is persons intrusted with and in possession of documents of title; in ss. 4, 5, 6 Geo. IV., the description is agents intrusted with goods, or to whom the same may be consigned; in 5 & 6 Vict. the description is agents intrusted with goods or documents of title. "Persons intrusted" appears to be a more comprehensive designation than "agents intrusted," but it has been laid down that the former designation in s. 2, 6 Geo. IV. must be read as if the words were "intrusted to a factor or agent as such" (*z*). Section 2, 6 Geo. IV. is not affected by the subsequent statute, except as to pledging of documents of title intrusted to an agent. The term "agent," as used in the Factors' Acts, does not include a mere servant or care taker, or one who has possession of goods for carriage, safe custody, or otherwise as an independent contracting party, but only persons whose employment corresponds to that of some known kind of commercial agent like that class (factors), from which the Act has taken its name (*a*). By the the word "agent" the Legislature meant only such agents as in the usual course of business sell goods for their principals and receive payments, such as factors, brokers, &c., and did not mean to include bailees, warehousemen, carriers, and others who may in one sense, no doubt, be called agents, but who, as a rule, do not sell or receive payment for goods intrusted to them by those employing them (*b*). To answer, then, the description in ss. 4, 5, 6 Geo. IV., and in 5 & 6 Vict. c. 39, the person disposing of the goods or documents of title must be an agent intrusted as such, and ordinarily having as such agent a power of sale or pledge (*c*); hence, carriers, warehousemen,

(*z*) Johnson *v.* Credit Lyonnais, L. R. 3 C. P. D. 43—48.

(*a*) Hayman *v.* Flewker, 32 L. J. C. P. 132.

(*b*) Cole *v.* North Western Bank, L. R. 10 C. P. 368.

(*c*) *Ibid.*

packers, wharfingers (*d*), clerks, or servants (*e*), although intrusted with goods, are not agents within the above description; the same was also held to be true of vendors (*f*) and vendees (*g*), who were in possession of the documents of title to the goods sold, and of agents whose authority to sell had been secretly revoked (*h*); though a merchant, who had enabled his factor to raise money fraudulently, could claim no redress against the party who had *bonâ fide* made the advance, for goods or symbols of property entrusted to a factor may be regarded by unsuspecting third parties as his own, and dealt with accordingly (*i*). By the 40 & 41 Vict. c. 39, agents or persons entrusted with goods, or documents of title thereto, whose authority has been revoked, and vendors and vendees in possession of the documents of title to the goods sold, are to be deemed agents or persons entrusted within the meaning of the Factors' Acts in regard to all persons who deal with them without notice of their true characters (*k*).

What Persons are deemed to be Intrusted with Goods or Documents of Title.—By s. 1, 4 Geo. IV., and s. 1, 6 Geo. IV., persons in whose names goods are shipped shall be taken to be intrusted therewith, unless the contrary shall be shown in evidence by some person disputing the fact, or by bill of discovery or otherwise.

The 6 Geo. IV. contains no interpretation of "persons intrusted" within the other sections, but s. 4, 5 & 6 Vict., enacts that an agent in possession of goods or documents of title shall be taken to be intrusted therewith, unless the contrary can be shown by the owner; and that an agent intrusted with a document of title shall under circumstances be deemed to be intrusted with the possession of the goods therein de-

(*d*) Monk *v.* Whittenbury, 2 B. & Ad. 484.

(*e*) Lamb *v.* Attenborough, 31 L. J. Q. B. 41.

(*f*) Johnson *v.* Credit Lyonnais, L. R. 3 C. P. D. 32.

(*g*) Jenkyns *v.* Usborne, 8 Sc. N. R. 405.

(*h*) Fuentes *v.* Montis, L. R. 3 C. P. 268.

(*i*) Vickers *v.* Hertz, L. R. 2 H. L. Sc. 113.

(*k*) S. 2—4, *ante*, pp. 257, 258; *post*, pp. 341—343.

scribed (*l*). It has been held that a factor intrusted with the bill of lading for goods is not under s. 2, 6 Geo. IV. intrusted with the dock warrant, which represents those goods, notwithstanding that the possession of the bill of lading enables the holder of it to obtain possession of the dock warrant (*m*). To make the factor entrusted with the dock warrant under this section, it must appear that the owner of the goods intended that the factor should be possessed of it at the time of the pledge, or that he should exercise the power which the bill of lading gave him of obtaining the dock warrant, whenever he in his discretion might think fit (*n*).

These decisions are now met by the 5 & 6 Vict. c. 39, s. 4, which provides that an agent intrusted with a document of title by reason of being intrusted with some other document of title shall be deemed to be intrusted with the possession of the goods represented by such document of title (*o*).

(*l*) *Ante*, pp. 255, 256.

(*m*) Hatfield *v.* Phillips, 12 Cl. & Fin. 343.

(*n*) Phillips *v.* Huth, 6 M. & W. 572.

(*o*) Cole *v.* North Western Bank, L. R. 10 C. P. 370; Gunn *v.* Bolckow, Vaughan & Co., L. R. 10 Ch. 491.

CHAPTER XXVII.

DEBENTURES.

BEFORE we attempt to deal with these securities, it will be useful to ascertain the nature of instruments called negotiable; for, without a preliminary inquiry into that subject, our subsequent remarks would be fraught with confusion. In treating of promissory notes and bills of exchange, we pointed out the practical difference that exists between the modes in which payment may be directed, and stated that the payee of a bill or note payable to order may, by indorsement in blank, make the instrument payable to bearer (*a*). Now a bill or note payable to bearer, whether originally or by indorsement, is a purely negotiable instrument; a bill or note payable to order is not negotiable until duly indorsed in blank; a bill or note payable only to a given person and not to his order, nor to bearer, is non-negotiable. A negotiable instrument, properly so termed, circulates and has the same legal attributes as money; thus, a person who *bonâ fide* becomes a holder for valuable consideration of a stolen bill, payable to bearer, is entitled to retain the same against the true owner in the same way as he would be entitled to retain stolen money he had *bonâ fide* accepted in payment of the price of goods, or of a debt due from the thief (*b*). Any *bonâ fide* holder for value of a negotiable instrument can sue thereon in his own name, but as this right is inconsistent with the common law principle that

(*a*) *Ante*, pp. 5, 9.

(*b*) Solomons *v.* Bank of England, 13 East. 135; Miller *v.* Race, 1 Burr. 452; Belfast Banking Co. *v.* Doherty, 4 L. R. Ir. 124.

choses in action are not assignable (*c*), the negotiability of an instrument must depend either on an express provision of the Legislature, or on a custom established by the Law Merchant and sanctioned by the Courts.

As regards the latter, it is laid down that "where an instrument is by the custom of trade transferable, like cash by delivery, and is also capable of being sued upon by the person holding it *pro tempore*, there it is entitled to the name of a negotiable instrument, and the property in it passes to a *bonâ fide* transferee for value, though the transfer may not have taken place in market overt. But that, if either of the above requisites be wanting, *i.e.*, if it be either not accustomably transferable, or though it be accustomably transferable, yet, if its nature be such as to render it incapable of being put in suit by the party holding it *pro tempore*, it is not a negotiable instrument, nor will delivery of it pass the property of it to a vendee, however *bonâ fide*, if the transferor himself have not a good title to it, and the transfer be made out of market overt" (*d*). Hence, it does not follow that an instrument is negotiable because there is a custom of trade to pass it by delivery (*e*); without a concomitant right of action accruing to the transferee, such custom cannot constitute negotiability; nor is it competent to private parties to confer such, for the law does not either in Scotland or England enable any man by a written engagement to give a floating right of action at the suit of any one into whose hands the writing may come, and who may thus acquire a right of action better than the right of him under whom he derives title (*f*). If a custom to treat an instrument as negotiable can be proved to form part of the Law Merchant, then the instrument is *ipso facto* negotiable (*g*); but no custom which is in contravention of a statute, or of very

(*c*) *Post*, p. 300, *et seq.*

(*d*) I. Sm. L. C. (Note to Miller *v.* Race), 7th ed., 539.

(*e*) Crouch *v.* Credit Foncier of England, L. R. 8 Q. B. 374.

(*f*) Dixon *v.* Bovill, 3 Macq. Sc. Ap. 1, per Cranworth, L. C.

(*g*) Merchant Banking Co. of London *v.* Phœnix Bessemer Steel Co., L. R. 5 Ch. D. 205.

recent origin, can be part of the Law Merchant, even though it obtain generally amongst merchants (*h*). To render a party signing liable on a negotiable instrument, it is not necessary that the instrument should be complete at the time of signing, for, if a person puts his name to a paper which either is, or by being filled up or indorsed, may be converted into, a negotiable security, and allows such paper to get into the hands of another person who transfers the same to a holder for consideration and without notice, such party is liable to such *bonâ fide* holder, however fraudulent or even felonious, as against him, the transfer may have been (*i*). The liability thus incurred is in accordance with the general principle, that, where one of two innocent parties must suffer in consequence of the fraud or wrongful act of a third party, the loss will fall on him who has put it in the power of such third party to commit the fraud or wrongful act in question. Even where there is no fraud or misconduct, a party may by his own acts or representations estop himself from setting up a defence which would otherwise be available, and in that way a non-negotiable instrument may, as regards him, become practically negotiable (*k*). For example, a bond pure and simple is non-negotiable, and being a chose in action is non-assignable at Common Law; in Equity, however, and under the Judicature Act (*l*), every chose in action may be assigned, but in neither case does the assignee take any better title than the assignor, or, as it is said, the assignee takes subject to the equities attaching to the chose in action in the hands of the assignor (*m*). Suppose, then, that A. enters into a bond for payment of £100 to B., or bearer, and B. assigns and delivers over the bond to C. for valuable consideration, who thereupon gives notice of the assignment to A., by whom such

(*h*) Crouch *v.* Credit Foncier of England, *ubi suprà*.

(*i*) Watson *v.* Russell, 3 B. & S. 34, per Cockburn, C. J., Baxendale *v.* Bennet, 3 Q. B. D. 484; Hogarth *v.* Latham, L. R. 3 Q. B. D. 643. As to 37 & 38 Vict. c. 62 (*ante*, p. 64), see Belfast Banking Co. *v.* Doherty, 4 L. R. Ir. 124.

(*k*) Dickson *v.* Swansea Vale Ry. Co., L. R. 4 Q. B. 44; Hirschfield *v.* London, Brighton & South Coast Ry. Co., L. R. 2 Q. B. D. 1.

(*l*) 36 & 37 Vict. c. 66, s. 25, sub-s. 6.

(*m*) See *post*, pp. 311, 312.

notice is accepted without demur; in such case A. by so accepting notice, precludes himself from setting up against C. any claim he might have for relief against B. (*n*). Here the acceptance of notice by A. amounts to a release of his equities against B. in favour of C.; and to be effectual, the release need not be positively expressed by words or writing, but may be implied from a general course of conduct (*o*). Thus, where debentures payable to H., or his assigns, were issued by a company and assigned by H. to C. and S., to whom transfers were duly registered, and certificates describing them as registered proprietors delivered, it was held that the company had by its conduct lost its equity to set off H.'s debts against the claims of C. and S. (*p*). So, a body corporate, which had issued assignable debentures purporting to have been executed pursuant to powers conferred by statute, was estopped from alleging against an innocent assignee for value, that the debentures were issued illegally, and in contravention of the statutory powers (*q*) With regard to estoppel by representations or conduct, we may observe that, if persons make assertions of facts, as to which they are ignorant, whether such assertions are true or untrue, they become in a civil point of view as responsible as if they had asserted that which they knew to be untrue (*r*); and if a man misrepresents a fact, to that fact he is bound, if any other person misled by such misrepresentation acts upon it and thereby suffers damage (*s*). When there has been fraudulent or wilful concealment of facts by which a person has been induced to enter into a contract, it is no answer to his claim to be relieved from it, that he might have known the truth by proper inquiry (*t*); the only question one

(*n*) *In re* Hercules Insurance Co.: Brunton's Claim, L. R. 19 Eq. 302.

(*o*) *In re* North Assam Tea Co.; *Ex parte* Universal Life Assurance Co., L. R. 10 Eq. 458.

(*p*) Higgs *v.* North Assam Tea Co., L. R. 4 Ex. 387.

(*q*) Webb *v.* The Commissioners of Herne Bay, L. R. 5 Q. B. 642.

(*r*) Reese River Silver Mining Co. *v.* Smith, L. R. 4 H. L. 64.

(*s*) Beattie *v.* Lord Ebury, L. R. 7 H. L. 102.

(*t*) Directors of Central Ry. Co. of Venezuela *v.* Kisch, L. R. 2 H. L. 99; Cargill *v.* Bower, L. R. 10 Ch. D. 502.

has to ask himself in these cases is, what has been the conduct of the real owner in equity who has possessed the interest; has he forfeited his right? (*u*).

With these observations we may proceed to consider the law that governs debentures—a class of securities of a somewhat anomalous description, brought but recently into vogue through the formation of companies.

A debenture is an instrument in writing, generally under seal, creating a definite charge on a definite or indefinite fund or subject of property, in favour of a given person, or of a given person and his order or bearer, and constituting a member in a series of similar instruments, each entitling the original holder thereof to similar rights. Hence, a debenture is distinguished —(1) from a mortgage, which is an actual transfer of property; (2) from a bond, which does not directly affect property; and (3) from a mere charge on property, which is individualised and does not form part in a series of similar charges (*x*). Debentures may be issued by a single person, by a partnership, or by a corporation; debentures issued by corporations are subjected to certain peculiar restrictions, imposed either by the nature of those bodies, or by positive enactment of the Legislature; all other debentures are governed solely by the general principles of the law of contract and of property. Debentures issued by corporations, of which alone we shall treat, to avail as charges against the corporate property, must be made within the borrowing powers of the corporation; and these are either expressly prescribed, or are to be gathered from the nature and objects of the association in question. At Common Law, a corporation could bind itself to do anything to which a natural person could bind himself, and to deal with its property as a natural person might deal with his own (*y*); in the matter of form, however, a contract to bind

(*u*) Shropshire Union Rys. & Canal Co. *v.* The Queen, L. R. 7 H. L. 496.

(*x*) *In re* Florence Land and Public Works Co.; *Ex parte* Moor, L. R. 10 Ch. D. 530; Moor *v.* Anglo-Italian Bank, L. R. 10 Ch. D. 681.

(*y*) Ashbury Ry. Carriage and Iron Co. *v.* Riche, L. R. 7 H. L. 653; Hawkes *v.* Eastern Counties Ry. Co., 5 H.L. C. 331.

a corporation was always required to be under seal (*z*), unless, indeed, it was an agreement in pursuance of the very object for which the corporation was created, in which event the corporation would be bound in the same mode as a natural person (*a*). The status of a corporation as a contracting party has been recently very much altered by the growth and development of the doctrine of *ultra vires*, in virtue of which a corporation cannot be made liable on contracts that are deemed to be beyond its scope and province as authorised by the instrument of incorporation, and the purposes for which the same was made; hence the capacity of a corporation to incur obligations has ceased to be co-extensive with that of a natural person. A corporation is now usually created either by special Act of Parliament, or by the formation of a Company under the Companies' Act, 1862 (25 & 26 Vict. c. 89); in the former case its status is determined by a particular statute, in the latter by the memorandum and articles of association. A statutory corporation created by Act of Parliament for a particular purpose is limited as to all its powers by the purposes of its incorporation, as defined in that Act (*b*), and a contract made by the corporation which discloses on the face of it that if carried out it will cause an appropriation of the funds to purposes other than those authorised, cannot be enforced (*c*); thus, a railway company authorised by special Act to borrow £100,000 on debentures is precluded from obtaining a loan beyond that amount, and debentures for any sum in excess are issued *ultra vires*, and cannot stand. The purposes for which a company formed under the Companies' Act is established, must be looked for in the memorandum of association, with which it is the duty of a person taking shares in the company to make himself acquainted (*d*). With regard to the memorandum of associa-

(*z*) Bac. Abr. Corporations (E), 3; East London Waterworks Co. *v.* Bailey, 4 Bing. 283.

(*a*) *In re* Contract Corporation Claim of Ebb Vale Co., L. R. 8 Eq. 14; Mayor of Kidderminster *v.* Hardwick, L. R. 9 Ex. 13.

(*b*) Hawkes *v.* Eastern Counties Ry. Co., *ubi suprà*.

(*c*) Taylor *v.* Chichester and Midhurst Ry. Co., L. R. 2 Ex. 356.

(*d*) Oakes *v.* Turquand & Harding, L.

tion, that is, as it were, the charter, and defines the limitation of the powers of a company to be established under the Act (*e*). With regard to the articles of association, they play a part subsidiary to the memorandum, defining the powers of the directors as between themselves and the company; where anything is beyond the memorandum, the question is whether that is an act *ultra vires* the company as well as the directors; where anything is beyond the articles, the question is whether that is an act *extra vires* the directors, but *intra vires* the company (*f*); thus the contraction by a company of a loan, beyond the amount authorised by the memorandum, is an act *ultra vires*, and any debentures securing such loan cannot stand; but debentures issued within the amount authorised by the memorandum, but beyond that authorised by the articles, may be ratified by the company (*g*).

Debentures, as we have seen, are distinguished from bonds and mortgages, but as all these instruments when issued under the borrowing powers of corporations, have many incidents in common, it will be convenient to comprise them in one general survey. For this purpose we may divide such instruments into the following classes:—

I. Those issued by Joint Stock Companies, registered under the Companies' Act (*h*).

II. Those issued under the Mortgage Debenture Acts, 1865, 1870 (*i*).

III. Those issued in pursuance of the Companies' Clauses Acts, 1845 and 1863 (*k*).

IV. Those issued in pursuance of the Commissioners' Clauses Act, 1847 (*l*).

R. 2 H. L. 325; *In re* Patent File Co.; L. R. 2 App. Cas. 366; Royal British Bank *v.* Turquand, 5 El. & Bl. 248; 6 El. & Bl. 327.

Ex parte Birmingham Banking Co., L. R. 6 Ch. 83; Harrison *v.* Mexican Ry. Co., L. R. 19 Eq. 35.

(*e*) *Ex parte* Sargent, L. R. 17 Eq. 273; *In re* Penmar Ry. Co., L. R. 2 Ch. 617.

(*f*) Ashbury Ry. Carriage and Iron Co. *v.* Riche, L. R. 7 H. L 653.

(*g*) Irvine *v.* Union Bank of Australia,

(*h*) 25 & 26 Vict. c. 89.

(*i*) 28 & 29 Vict. c. 78; 33 & 34 Vict. c. 20.

(*k*) 8 & 9 Vict. c. 16; 26 & 27 Vict. c. 118.

(*l*) 10 & 11 Vict. c. 16. See also 38 & 39 Vict. c. 83.

Instruments belonging to any of the foregoing classes are usually issued without priority *inter se*, that is, mortgagees as between themselves, or obligees as between themselves, are entitled to the same rights irrespective of the dates which the several mortgages or bonds bear, an attribute which is also implied in our definition of debenture (*m*). Mortgages and debentures are also as a rule made a primary charge on the corporate property or undertaking, and, as such, will have priority over judgments obtained by general creditors, and over the claims of shareholders of the corporation; bonds bind the corporate body and its successors, not its property or effects (*n*).

We now proceed to consider the several classes of instruments above mentioned.

SECTION I.

Debentures issued by Joint Stock Companies, registered under the Companies' Act.

The debentures and bonds of joint stock companies are usually issued by the directors or managing officers of such bodies, under express powers to borrow or raise money contained in the articles of association. As the authority thereby conferred varies in different companies, and as no particular frame of instrument is prescribed by the statute of 1862, the debentures and bonds of joint stock companies differ greatly in form and effect.

The following is a form of mortgage debenture :—

The Panama, New Zealand, and Australian Mail Company, Limited.

No. 404 "Mortgage Debenture." £100.

By virtue of the powers contained in our articles of associa-

(*m*) *Ante*, p. 267.

(*n*) *In re* Panama, New Zealand, and Australian Royal Mail Co., L. R. 5 Ch. 318; *In re* Regent's Canal Iron Works Co.; *Ex parte* Grissell, L. R. 3 Ch. D. 111; *In re* Florence Land and Public Works Co.; *Ex parte* Moor, L. R. 10 Ch. D. 530.

tion, we, the P., N. Z. & A. Royal Mail Company, Limited, in consideration of the sum of £100 paid to us by J. E. Naylor, of, etc., and the Rev. T. H. Stokoe, of, etc., are held and firmly bound, and do truly for ourselves, our successors, and assigns, charge the said undertaking, and all sums of money arising therefrom, and all the estate, right, title, and interest of the company therein, with the payment, to the said J. E. Naylor and T. H. Stokoe, their executors, administrators, and assigns of the said sum of £100, together with interest for the same at the rate of 6 per cent. by the year. The principal sum to be repaid on the 2nd of January, 1870, and the interest to be payable in the meantime half-yearly, on the 1st of January and the 1st of July in each year, until the repayment thereof. Given under our common seal, etc. (*o*)

Sometimes the instrument is in form a mere bond or a mere debenture, sometimes a bond and debenture at the same time, sometimes apparently a mere promissory note. It is still a question whether a writing under seal can constitute a promissory note. On the one hand, the Statute of Anne (*p*), which puts promissory notes on the same footing as bills of exchange, speaks of the execution of those instruments by corporations, and, as the latter at Common Law contract under seal, it may be argued that a writing to which the seal of a corporate body is affixed may avail as a promissory note. Accordingly, a document by which a company in consideration of £1000 undertook to pay to H.'s order £1000 with interest (*q*), and an instrument headed a debenture bond, and stamped as a bond, by which a company "bound themselves and their successors to pay to the bearer the principal sum of £20 on the 31st March, 1872," with interest half-yearly, according to the annexed coupons (*r*), were both held, though sealed with the company's seal, to be promis-

(*o*) *In re* Panama, New Zealand, and Australian Mail Co., Limited, L. R. 5 Ch. 318.

(*p*) 3 & 4 Anne, c. 8.

(*q*) *Re* General Estates Co. ; *Ex parte* City Bank, L. R. 3 Ch. 672.

(*r*) *In re* Imperial Land Company of Marseilles ; *Ex parte* Colborne, L. R. 11 Eq. 490.

sory notes. On the other hand, the decision that East India bonds, though in form promissory notes, were not negotiable instruments (*s*), and the omission of any contradiction to that view in the statute which made them so (*t*), as well as the special powers to issue promissory notes under seal, conferred in Acts of Parliament constituting corporations, and the provision in the Companies' Act, 1862 (*u*), enabling the authorised officer of the company to draw bills and make notes on behalf of the company, would appear to show that no instrument under seal can be a promissory note, unless expressly made so by statute (*x*). If a debenture or bond be held to amount to a promissory note, and be made payable to order, and indorsed by the payee in blank, or payable to bearer, then it will have all the incidents of a negotiable promissory note; hence, any *bonâ fide* transferee for value takes a good and complete title against the world at large (*y*), and all persons who have indorsed their names without restriction will be sureties for due payment (*z*). If, on the contrary, a debenture or bond be held not to amount to a promissory note, it will then be either a purely negotiable instrument, or a merely assignable chose in action; in the former case, any *bonâ fide* transferee for value takes a good and complete title against the world at large; in the latter case, the assignee takes no better title than that of the assignor, unless the original issuer of the debenture or bond by his conduct is estopped from setting up the equities that would otherwise attach, in which event the assignee takes a good and complete title as against the issuer, whatever may have been the title of his assignor (*a*). In no case, however, are the indorsers of a mere debenture or bond sureties for its payment, since that is an attribute which belongs exclusively to bills of exchange and promissory notes.

What conduct will suffice to estop the issuer of a non-

(*s*) Glyn *v.* Baker, 13 East 509.
(*t*) 51 Geo. 3, c. 64.
(*u*) 25 & 26 Vict. c. 89, s. 47.
(*x*) Crouch *v.* Credit Foncier of England, L. R. 8 Q. B. 374.
(*y*) *Ante*, p. 7.
(*z*) *Ante*, p. 6.
(*a*) *Ante*, p. 265.

negotiable instrument from claiming the benefit of any equities he may have against an intermediate holder, has already been indicated in a general way, and, in the two cases above cited, it was ruled that the absolute undertaking there held out would of itself preclude the issuers of the bonds from claiming a right to set off an amount of debts due from the original holders (*b*). So, where debentures, by which a company covenanted to pay the sum therein mentioned to "B. and D., their executors, administrators, and assigns, or to the bearer hereof," were issued in pursuance of an agreement to that effect sanctioned by the articles of association, it was held that a *bonâ fide* transferee for value was unaffected by the equities between the company and B. and D. (*c*); but where debentures by which a company undertook to pay the sum therein mentioned, "with interest to C. or his executors, administrators, or transferees, or to the holder for the time being of this debenture bond," were issued in pursuance of an agreement which was silent as to the form of the debentures, it was held that *bonâ fide* holders for value were subject to all the equities subsisting between the original parties to the contract (*d*); in both these instances the debt was held to be due on the previous agreement, not on the instrument, and hence the difference of result according as the antecedent stipulation did or did not provide for the form of instrument. From these authorities it may be inferred that the extent to which a bond or debenture is negotiable or *quasi* negotiable can only be ascertained by considering the circumstances attending its issue taken together with its actual purport.

As to the nature of the charge created by a mortgage or debenture, this will depend, for its validity, on the borrowing powers conferred by the articles of association or by the objects for which the company was formed, and, for its effect, on the wording of the particular security in question (*e*). In illus-

(*b*) *Ante*, pp. 265, 266.

(*c*) *In re* Blakely Ordnance Co.; *Ex parte* New Zealand Banking Corporation, L. R. 3 Ch. 154.

(*d*) *In re* Natal Investment Co., Claim of the Financial Corporation, L. R. 3 Ch. 355.

(*e*) *Ante*, pp. 268, 269; *In re* Florence Land, &c., Co.; *Ex parte* Moor, L. R. 10 Ch. D. 530.

tration of the doctrine of *ultra vires*, for which we refer to our previous observations (*f*), it may be mentioned that the directors of a company having power to issue debentures and borrow money on mortgage or otherwise, were held to be authorised in issuing debentures in payment of existing debts (*g*), and that directors authorised to borrow money, and to secure the repayment of, or to raise any money, authorised to be borrowed by them, by the issue of debentures or in such other manner as they might deem expedient, were held empowered to issue debentures at a discount (*h*). So, if directors are empowered to issue a certain number of debentures at a discount, and all are not taken up, those that remain may be validly mortgaged (*i*). And a director who himself takes some of the debentures is not liable for the difference between the discount and the par price, although he be debited with such price in the company's books (*k*).

A mortgage or debenture may be made a charge on a definite part, or on the whole of a company's property, but in the latter case the mortgagee or debenture holder is not always entitled to realise his security out of the corpus of the property charged, but can only touch the profits and interest arising therefrom; this restriction applies to companies whose assets are of a character similar to those of railway corporations. In many instances the "undertaking" is charged, and the extent of the charge will then depend on the nature of the company and the particular mode in which the charge is created; thus where a steamship company having power to issue mortgages, bonds, or debentures, issued mortgage debentures, charging the "undertaking" and all sums of money arising therefrom, it was held that the debenture holders acquired a charge upon all the property of the company past and future; in this case the

(*f*) *Ante*, pp. 268, 269.

(*g*) *In re* Inns of Court Hotel Co., L. R. 6 Eq. 82.

(*h*) *In re* Anglo-Danubian Steam Navigation and Colliery Co., L. R 20 Eq. 339.

(*i*) *In re* Regent's Canal Iron Works Co., L. R. 3 Ch. D. 43.

(*k*) *In re* Compagnie Générale de Bellegarde; Campbell's Case, L. R. 4 Ch. D. 470.

debentures were expressly made to rank *pari passu* irrespective of their several dates (*l*); but, where no such condition was expressed on debentures purporting to be an assignment of the undertaking and all the real and personal estate of the company, to secure repayment of money at a future date, it was held that each debenture was a charge on all personal estate of the company existing at its date, but not on subsequently acquired personal estate (*m*). Under a power to raise money by mortgage with or without a power of sale, book debts not yet accrued due may be validly charged (*n*). The proceeds of a call already made or determined on may be validly mortgaged under the usual borrowing powers (*o*), but a mortgage of future calls, generally, or, in other words, of the unpaid capital of the company is invalid (*p*).

It thus appears that the property of companies may be charged to an indefinite amount, and that some safeguard is necessary to protect the shareholders and creditors of companies from being defrauded by relying on assets which may at any time be swallowed up by the claims of mortgagees or other incumbrancers whose securities entitle them to priority. Accordingly it is enacted that every limited company registered under the Companies Act, 1862, shall keep a register of all mortgages and charges specifically affecting the property of the company, and shall enter in such register, in respect of each mortgage or charge, a short description of the property mortgaged or charged, the amount of the charge created, and the names of the mortgagees or persons entitled to such charge; that any director, manager, or other officer of the company who knowingly and wilfully authorises or permits the omission of such entry shall incur a penalty not exceeding £50; that the register of mortgages shall be open to inspection by any creditor or

(*l*) *In re* Panama, New Zealand, and Australian Royal Mail Co., L. R. 5 Ch. 318.

(*m*) *In re* New Clydach Sheet and Bar Iron Co., L. R. 6 Eq. 514.

(*n*) Bloomer *v.* Union Coal and Iron Co., L. R. 16 Eq. 383.

(*o*) Pickering *v.* Ilfracombe Rly. Co., L. R. 3 C. P. 235; *In re* Marine Mansions Co., L. R. 4 Eq. 691.

(*p*) Bank of South Australia *v.* Abrahams, L. R. 6 P. C. 562; *In re* Saukey Brook Coal Co., L. R. 9 Eq. 721; 10 Eq. 381; Stanley's Case, 4 De G. J. & S. 407; Gibbs and West's Case, L. R. 10 Eq. 312.

member of the company at all reasonable times; that any officer refusing such inspection and any director or manager authorising, or knowingly or wilfully permitting such refusal, shall incur a penalty not exceeding £5, and a further penalty not exceeding £2 for every day during which such refusal shall continue, and that in addition to the above penalty, as respects companies registered in England and Ireland, any judge sitting in chambers or the Vice-Warden of Stannaries, in the case of companies subject to his jurisdiction, may order an immediate inspection (*q*). These provisions are of a somewhat illusory character, for it is well established that the absence or imperfection of registration does not avoid or postpone charges on the company's property, unless the owner of the charge be an officer of the company whose business it is to see the formalities of the statute complied with, for there the unregistered owner loses his priority over general creditors on the ground that he cannot be permitted to take advantage of his own wrong (*r*). With this single exception, the deficiency of registration entails no other consequence than the prescribed penalties, which can only affect the officers of the company, not their sub-mortgagees (*s*), nor even themselves if they have directed the proper officer duly to register (*t*); hence, even shareholders holding imperfectly registered debentures have priority over the general creditors (*u*).

Section II.

Debentures issued under the Mortgage Debenture Acts, 1865, 1870.

The object of the Mortgage Debenture Acts was to enable certain companies to borrow money on mortgage debentures to

(*q*) 25 & 26 Vict. c. 89, s. 43.

(*r*) *In re* Patent Bread Making Co.; *Ex parte* Valpy & Chaplin, L. R. 7 Ch. 289; *In re* National Iron Ore Co., L. R. 2 Ch. D. 345; *In re* Wynn Hall Coal Co., L. R. 10 Eq. 515; *sed quære In re* Globe, &c., Co., W. N. (1879) 18. *Ante*, p. 225.

(*s*) *In re* International & Paper Pulp Co.; Knowle's Mortgage, L. R. 6 Ch. D. 556.

(*t*) *In re* Borough of Hackney Newspaper Co., L. R. 3 Ch. D. 669.

(*u*) *In re* General South American Co., L. R. 2 Ch. D. 337.

be charged on a fund consisting of securities registered under Lord Westbury's Land Registry Act, 1862 (*x*). This enactment was superseded in 1875 by the Land Transfer Act (*y*), and the registration spoken of in what follows will henceforth be performed by the registrar, and at the Office of Land Registry, existing under the recent statute (*z*). The companies which may borrow on mortgage debentures are the following:—I. Any company incorporated under the Companies Act, 1862, or by any Act of Parliament, and entitled to advance money on the security of land, on complying with the following requisites: The company must by its Act or memorandum of association be limited to one or more of the following objects:—(1). The making of advances of money upon any of the following securities; (1°) Lands and all estates and interests therein. (2°) Rates, dues, assessments, and impositions imposed on owners or occupiers of land by Act of Parliament, Royal Charter, commission of sewers or drainage, or other sufficient legal authority. (3°) Charges and securities upon or affecting lands executed or given under authority of Act of Parliament. (2). The borrowing of money on transferable mortgage debentures, or on one or more of the securities above mentioned.

II. The company must have a paid up capital of not less than £100,000.

III. Each share in the company must be of nominal value of not less than £50, of which not less than one-tenth or more than one-half must have been paid up (*a*). The conditions on which such companies are empowered to issue mortgage debentures are as follows: the debentures must be founded on the prescribed securities registered at the Office of Land Registry, and must never exceed at any one time the then total amount of such registered securities, and never exceed ten times the uncalled amount of the company's subscribed share capital (*b*);

(*x*) 25 & 26 Vict. c. 53.
(*y*) 38 & 39 Vict. c. 87.
(*z*) *Ibid.*, s. 123.
(*a*) 28 & 29 Vict. c. 78, ss. 2, 3.
(*b*) *Ibid.*, ss. 6—11.

before the issue of debentures, the company must file at the Office of Land Registry a return specifying:—

(1°) The amount of the nominal capital of the company.

(2°) The amount per share, and the aggregate amount paid upon the shares.

(3°) The assets or property of the company at the date of the return, and how invested.

(4°) The names, addresses, and occupations of the directors and auditors of the company.

(5°) The registered office of the company (*c*); but the company may issue new debentures in lieu of those paid off (*d*). The prescribed securities correspond with those described above under (1), except that the lands or rates must be in England or Wales, and that the property upon which the securities are founded must not consist of mines, quarries, brickfields, factories, mills, and other buildings for manufacturing purposes, nor of leasehold estates determinable on a life or lives and not renewable, or for a term of which less than fifty years be unexpired, or which are held at a rent exceeding one-fourth of the annual value of the property leased, as estimated at the date of the security given to the company and verified by the declaration of a surveyor (*e*). The total amount of the registered securities is the aggregate of all the principal sums remaining secured by such securities, together with the aggregate amount or value of all annuities and other periodical payments secured thereby (*f*).

The company is to make a quarterly return to the Land Registrar of its registered securities, the aggregate amount of its other investments, and shares in its capital held by registered holders, the numbers and dates of its debentures in force, the names, addresses, and occupations of the directors and auditors of the company, and the registered office of the company (*g*).

(*c*) 33 & 34 Vict. c. 20, s. 6.
(*d*) 28 & 29 Vict. c. 78, s. 13.
(*e*) S. 4, 33 & 34 Vict. c. 20.
(*f*) S. 25, 28 & 29 Vict. c. 78.
(*g*) S. 21—23, 28 & 29 Vict. c. 78; s. 12, 33 & 34 Vict. c. 20.

Mortgage debentures are to be for payment of any principal sum not less than £50, with interest thereon at such rate as may be agreed upon, half yearly or otherwise, either at a fixed time not less than six months or more than ten years from date of the debenture; or, if no time be fixed, at any period upon six calendar months' previous notice to pay off given by the holder for the time being to the company or by the company to the holder for the time being (*h*). On every mortgage debenture must be indorsed (1°) the amount of the company's nominal capital; (2°) the number and amount of the shares into which the capital is divided; (3°) the number of shares issued, and the amount paid up on each; (4°) the amount of the registered securities as declared by the last quarterly return; (5°) the registered office of the company (*i*). Mortgage debentures are to be by deed under the company's common seal, duly stamped as mortgages for the amount secured, and signed by at least two directors, and countersigned by the manager, secretary, or accountant of the company, and to be in the following or similar form (*k*):—

(Form of Mortgage Debenture.)

The Company Mortgage Debenture. No. .

By virtue of the "Mortgage Debenture Act," 1865, we the Company, in consideration of £ paid to us by A. B., of , do hereby charge all the registered securities of the company with the payment to the said A. B., his executors, administrators, and assigns, of the sum of £ , and interest thereon at the rate of per cent. per annum, which sum of £ is to be paid and payable to the said A. B., his executors, administrators, and assigns, at the [place], on the day of (or on the expiration of six calendar months from the leaving at the

(*h*) S. 16, 33 & 34 Vict. c. 20.
(*i*) S. 30, 28 & 29 Vict. c. 78.
(*k*) S. 15, 33 & 34 Vict. c. 20.

registered office of the company of a notice in writing from the said A. B., his executors, administrators or assigns, requiring such payment, or on the expiration of six calendar months from the day succeeding the posting of a registered letter containing notice in writing from the company of their intention to repay the said sum of £), with interest on the same at the rate of per cent. per annum, payable half-yearly, at said place on every day of , and we hereby undertake to pay said sum of £ and interest at the rate aforesaid as above mentioned.

Given under our common seal, this day of

A. B., Director.
C. D., Director.
Countersigned. G. F., Secretary.

Registered (*l*).

The Company's Secretary is to keep a list (*m*), and the Land Registrar a register (*n*) at the Office of Land Registry, of all mortgage debentures; on such list an entry of the number and date of issue of each mortgage debenture, and of the principal money secured thereby, and of the name, description, and residence of the person to whom it is issued shall be made (*o*). A similar entry, omitting the description of the person to whom the debenture is issued, is to be made on the register by the said registrar, who shall thereupon indorse the debenture with a reference to the registration, without which indorsement the debenture cannot charge the registered securities of the company (*p*).

Holders of mortgage debentures are entitled to no priority *inter se* (*q*), nor is notice of any trust in respect of any mortgage debenture receivable by the company or the registrar (*r*).

On production to the Land Registrar of a debenture duly cancelled, he will make an entry on the register of its dis-

(*l*) 33 & 34 Vict. c. 20, Sch. Form (B).
(*m*) S. 31, 28 & 29 Vict. c. 78.
(*n*) S. 32, *ibid.*
(*o*) *Ibid.*, s. 31.
(*p*) *Ibid.*, s. 33.
(*q*) *Ibid.*, s. 15.
(*r*) *Ibid.*, s. 35.

charge (*s*). Mortgage debentures may be transferred by indorsement in the following or similar form (*t*):—

I, A. B., of , in consideration of £ [state true consideration], hereby transfer to C. D., of , his executors, administrators, and assigns, the within mortgage debenture.

(Signed) A. B. (*u*)

Transfers are to be entered in a transfer book by the secretary of the company within thirty days from date of the transfer, or its arrival in the United Kingdom. Upon such entry the transferee becomes entitled to the full benefit of the original mortgage debenture, so far as it is then in force, from which time only is the company bound by the transfer (*x*).

Section III.

Debentures issued pursuant to Companies Clauses Acts, 1845, 1863.

The Companies Clauses Acts were passed in order to dispense with the necessity of repeating in each individual case certain provisions which it had become usual to insert in the special Acts by which companies were incorporated. In the Clauses Acts those provisions are consolidated, and are then by implication or reference engrafted on the Special Acts; by implication, as the provisions of the Act of 1845, which apply to all joint-stock companies incorporated by any Act of Parliament subsequently passed for the carrying on of any undertaking, except so far as the Special Act expressly excepts them (*y*); by reference, as the provisions of part 3 of the Act of 1863, which apply to all companies incorporated for the carrying on of any undertaking, and authorised by any special Act thereafter

(*s*) *Ibid.*, s. 17.
(*t*) *Ibid.*, s. 37.
(*u*) *Ibid.*, Sch. Form (E).
(*x*) *Ibid.*, s. 38.
(*y*) 8 Vict. c. 16, preamble.

passed, and incorporating the said part 3, to create and issue debenture stock (*z*).

It is only to companies incorporated by special Act of Parliament that the Clauses Acts extend, and it is only with the debentures issued in pursuance of the borrowing powers conferred by the latter that we have to do. Between the debentures authorised by the Act of 1845 and those authorised by the Act of 1863, the most material distinction is, that the former are instruments under seal enabling the holder to obtain payment of the principal sum due thereon, as well as interest, by summary proceedings against the company (*a*), whilst the latter are certificates, subject to the same rules as certificates of shares in the company, enabling the holder to obtain payment of the interest due thereon but not of the principal sum by summary proceedings (*b*). The provisions relating to borrowing powers under the Act of 1845 are contained in sections 38–55, and the schedules (C), (D), (E). They may be summarised as follows:—Any company, so far as authorised by its special Act, may from time to time, by an order of a general meeting of the company, borrow money on mortgage or bond to the amount authorised by the Special Act, and for securing repayment of such money, with interest, may give bonds, or mortgage the undertaking and future calls (*c*). Such mortgage or bond is to be by deed under the common seal, duly stamped, wherein the true consideration shall be stated, and may be in the following or similar form:—

(Form of Mortgage.)

The Company.

Mortgage, number

£ : :

By virtue of [here name the special Act], we, "The Company," in consideration of the sum of pounds paid to us

(*z*) 26 & 27 Vict. c. 118, s. 22.

(*a*) 8 Vict. c. 16, ss. 53, 54; Houldsworth *v.* Davenport, L. R. 3 Ch. D. 185.

(*b*) 26 & 27 Vict. c. 118, ss. 25, 26.

(*c*) 8 Vict. c. 16, s. 38.

by A. B., of do assign unto the said A. B., his executors, administrators, and assigns, the said undertaking, ["and" (in case such loan shall be in anticipation of the capital authorised to be raised) "all future calls on shareholders"], and all the tolls and sums of money arising by virtue of the said Act, and all the estate, right, title, and interest of the company in the same, to hold unto the said A. B., his executors, administrators, and assigns, until the said sum of pounds, together with interest for the same at the rate of for every one hundred pounds by the year, be satisfied [the principal sum to be repaid at the end of years from the date hereof, "in case any period be agreed upon for that purpose," at "or any place of payment other than the principal office of the company"]. Given under our common seal, this day of in the year of our Lord (*d*)."

(Form of Bond.)

"The Company."

Bond number £

By virtue of (&c., same as above form to) pounds to us in hand paid by A. B., of do bind ourselves and our successors unto the said A. B., his executors, administrators, and assigns, in the penal sum of pounds.

The condition of the above-written obligation is such that if the said company shall pay to the said A. B., his executors, administrators, or assigns ["at ," in case any other place of payment than the principal office of the company be intended] on the day of , which will be in the year one thousand eight hundred and , the principal sum of pounds, together with interest for the same at the rate of pounds *per centum* per annum, payable half-yearly, on the day of and

(*d*) *Ibid.*, Sch. (C.)

day of , then the above-written obligation is to become void, otherwise to remain in full force. Given under our common seal this day of one thousand eight hundred and (*e*).

Mortgages and bonds so issued may be transferred by the mortgagee or obligee by deed duly stamped in the following or similar form (*f*) :—

(Form of Transfer of Mortgage or Bond.)

I, A. B., of in consideration of the sum of paid to me by G. H., of , do hereby transfer to the said G. H., his executors, administrators, and assigns, a certain bond [or mortgage], number , made by "The company" to bearing date, the day of , for securing the sum of and interest [or if such transfer be by indorsement, "the within security"], and all my right, estate, and interest in and to the money thereby secured [and if the transfer be of a mortgage, "and in and to the tolls, money, and property thereby assigned"]. In witness whereof I have hereunto set my hand and seal this day of , one thousand eight hundred and (*g*).

Every company issuing bonds or mortgages is to keep a register thereof, and an entry of each bond or mortgage issued is to be made thereon by the secretary of the company within fourteen days from the date of the instrument (*h*). In like manner, transfers of mortgages and bonds are to be registered within thirty days after the date of the transfer, or if the transfer be made abroad, then within thirty days after arrival thereof in the United Kingdom. On such registration the transferee becomes entitled to all the rights on the original mortgage or bond, and the company can no longer be discharged or released by the transferor (*i*). Mortgagees, as between

(*e*) *Ibid.*, Sch. (D).
(*f*) *Ibid.*, s. 46.
(*g*) *Ibid.*, Sch. (E).
(*h*) *Ibid.*, s. 45.
(*i*) S. 47, 8 Vict. c. 16.

themselves, and obligees, as between themselves, are to be paid *pari passu*, irrespective of priority of date in their several mortgages and bonds (*k*). If no other time be specified, interest on the mortgage or bond debt is to be paid half-yearly, and that in preference to any dividends to shareholders (*l*); such interest may be transferred by deed duly stamped (*m*). The money borrowed is to be repaid either at a fixed time specifically mentioned, or, where no time is fixed, at the end of a six months' notice to pay off given in writing, either by the holder of the mortgage or bond to the company, or by the company to the holder of the mortgage or bond, at any time after the expiration of twelve months from the date of the instrument; and such repayment, if no other place be specified, is to be made at the company's principal place of business (*n*). Interest is to cease on expiration of the notice to pay off (*o*). Where by the special Act the mortgagees may enforce payment of arrears of interest or of principal and interest by the appointment of a receiver, if interest be thirty days or the principal be six months in arrear and a demand in writing for payment made by a mortgagee or obligee whose debt amounts to the whole sum the company is authorised to borrow, or a demand in writing for payment made by a mortgagee or obligee on behalf of himself and other mortgagees or obligees, whose debts together amount to the whole sum the company is authorised to borrow, be not complied with, such mortgagee or obligee may apply to two justices of the peace for an order in writing under their hands, appointing a receiver of the rents, tolls, and profits of the company; and on such order being made the receiver appointed is empowered to collect all tolls and profits and apply them in discharge of the interest and principal due on mortgages and bonds, and when such interest and principal is satisfied the power of the receiver shall cease. This summary procedure is not to deprive

(*k*) *Ibid.*, s. 42.
(*l*) *Ibid.*, s. 48.
(*m*) *Ibid.*, s. 49.
(*n*) *Ibid.*, ss. 50, 51.
(*o*) *Ibid.*, s. 52.

a mortgagee or obligee of his right to bring an action for recovery of any principal or interest that may be due (*p*).

The provisions of the Companies Clauses Act, 1863, as amended by 30 & 31 Vict. c. 127, ss. 24, 25, and 32 & 33 Vict. c. 48, relating to the borrowing powers of companies, may be thus summarised :—

Any company empowered by any Act of Parliament to raise money on mortgage or bond may, with the sanction of the prescribed proportion of votes of the shareholders and stockholders entitled to vote at a meeting specially convened for the purpose, and, if there be no prescribed proportion, then with the sanction of three-fifths of such votes, raise the money so authorised by the creation and issue of debenture stock, at a fixed and perpetual preferential interest payable half-yearly or otherwise (*q*). Debenture stock with interest thereon is made a charge on the undertaking in priority to shares and stock of the company, and is transferable in the same mode as such other stock (*r*). Interest on debenture stock is payable next after interest on mortgages and bonds legally granted before the creation of the debenture stock (which are unaffected by the Act), and in priority to dividends on any shares or stock of the company, whether ordinary, or preferential, or guaranteed (*s*). Holders of debenture stock are paid *pari passu* irrespective of priority of date in their several titles; the company is from time to time to enter the names of such holders on a register kept for the purpose (*t*), and to deliver to each holder a certificate subject to the same rules as certificates of shares (*u*); the company is also to keep separate accounts of debenture stock (*x*). Holders of debenture stock are not entitled to be present or vote at meetings of the company, but have all the powers of mortgagees of the undertaking, other than the right to require

(*p*) *Ibid.*, ss. 53, 54; *In re* Herne Bay Waterworks Co., L. R. 10 Ch. D. 42.

(*q*) S. 22, 26 & 27 Vict. c. 118; ss. 24, 25, 30 & 31 Vict. c. 127; s. 1, 32 & 33 Vict. c. 48.

(*r*) S. 23, 26 & 27 Vict. c. 118.

(*s*) S. 24, 26 & 27 Vict. c. 118.

(*t*) *Ibid*, s. 28.

(*u*) *Ibid*, s. 29.

(*x*) *Ibid*, s. 33.

repayment of the principal money paid up in respect of debenture stock (*y*). Money raised by debenture stock is exclusively applicable to the discharge of money due by the company on mortgage or bond, or for the purpose to which the same money would be applicable if raised by mortgage or bond (*z*); but advances to meet debentures falling due are within the statutory powers of the company. Interest on debenture stock, when thirty days in arrear, may be recovered by action (*a*), or on application of holders of debenture stock to the amount prescribed by the special Act or, if no amount be specified, of holders to an amount equal to one-tenth of the aggregate sum authorised to be raised by mortgage, bond, or debenture stock, or to the amount of £10,000, whichever sum shall be least, a receiver may be appointed by an order in writing under the hands of two justices of the peace in England or Ireland, or of a judicial factor by an order in writing of the Court of Session in Scotland; such receiver or factor is empowered to receive the whole or a competent part of the tolls or sums liable to the payment of interest, and is to distribute the same amongst the proprietors of debenture stock to whom interest is in arrear after providing for the interest on mortgages and bonds of the company (*b*).

Such, then, are the provisions as to borrowing of money contained in the Companies Clauses Acts; but as those Acts have their most important operation in the case of railway companies, we may notice two recent statutes and some special rules affecting those bodies in particular. The Railway Companies Securities Act, 1866 (*c*), provides, that every railway company shall have the name of the officer empowered to sign instruments on its behalf registered by the Registrar of Joint Stock Companies (*d*); that with such registrar the company shall every half-year deposit a statement of the amounts it has then borrowed (*e*); that on every mortgage deed, bond,

(*y*) *Ibid.*, s. 31.
(*z*) *Ibid.*, s. 32.
(*a*) S. 27, 26 & 27 Vict. c. 118.
(*b*) *Ibid.*, ss. 25, 26.
(*c*) 29 & 30 Vict. c. 108.
(*d*) *Ibid.*, s. 3.
(*e*) *Ibid.*, s. 10, 1st sch.

or certificate of debenture stock issued by the company, the following declaration, signed by two or more of the directors and countersigned by the manager, secretary, or other the registered officer of the company shall be indorsed (*f*):—

"We, the undersigned, being two of the directors of the company, specially authorised and appointed for this purpose, and I, the undersigned registered officer of the company, do hereby declare (each for himself) that the within-written (or as the case may be) mortgage deed (or bond or certificate) is issued under the borrowing powers of the company as registered (1°) on the day of , and is (2°) not in excess of the amount there stated as remaining to be borrowed.

"Dated this day of , 18 .

} Directors.

{ (Secretary or accountant or as the case may be) and registered officer (*g*)."

NOTE.—Where a new borrowing power has been conferred, substitute the following after (1°): "On the day of , and the day of , and is not in excess of the amounts there stated as remaining and authorized to be borrowed."

Dated this, &c., as above.

Where the mortgage deed, bond, or certificate is issued under a power of re-borrowing, substitute the following after (2°): "in substitution for a mortgage deed (or bond), which has since been paid off."

Dated this, &c., as above (*h*).

Mortgage deeds, bonds, and certificates of debenture stock issued without the prescribed declaration, are not for that reason rendered void, or in any way affected; but, for the omission, the company incurs on summary conviction a penalty

(*f*) *Ibid.*, s. 14.
(*g*) *Ibid.*, 2nd sch.
(*h*) *Ibid.*, s. 15.

not exceeding £20, and any director or registered officer of the company who knowingly authorises or permits the issue of an instrument not indorsed, as required by the Act, is liable to fine or imprisonment, if convicted on indictment, or to a penalty not exceeding £10, if summarily convicted (*h*).

The Railway Companies' Act, 1867 (*i*), protects the rolling-stock and plant of any railway company, the whole or part of which railway is open for public traffic, from being seized in execution by judgment creditors, but on petition in a summary way by such creditors to the Chancery Division, a receiver or manager may be appointed, and the judgment debt defrayed out of the tolls received (*k*). The directors of a company unable to meet its engagements with its creditors, may prepare and file a scheme of arrangement in the Chancery Division, with a declaration in writing to that effect under the common seal of the company, and with an affidavit of the truth of such declaration made by the Chairman of the Board of Directors, and by the other directors, or a majority of them, to the best of their judgment and belief (*l*). After the scheme has been filed, the Court may, on application by summons, or motion in a summary way, restrain any action against the company (*m*). Notice of the filing is to be published in the "Gazette" (*n*), and after such publication no execution, attachment, or other process is available against the property of the company without leave of the Court (*o*). Assent to the scheme by three-fourths in value of the mortgagees, obligees, holders of debenture stock, or holders of rent charges on the receipts given for the purchase of the undertaking of another company, binds each of those classes respectively (*p*). So, assent by three-fourths in value of preference shareholders, if there be only one class of such holders, or, if there be several such classes,

(*h*) *Ibid.*, ss. 15—17.
(*i*) 30 & 39 Vict. c. 127.
(*k*) S. 4.
(*l*) S. 6.
(*m*) S. 7; *In re* E. & W. Junction Rly. Co., L. R. 8 Eq. 87; Potteries, Shrewsbury & N. Wales Rly. Co. *v.* Minor, L. R. 6 Ch. 621.
(*n*) S. 8.
(*o*) S. 9.
(*p*) Ss. 10, 11.

then assent by three-fourths in value of each of such classes, binds the preference shareholders (*q*). The assent of ordinary shareholders is given by an extraordinary general meeting specially convened for the purpose (*r*). In case the railway be held on lease, the assent of mortgagees, obligees, &c., of the leasing company, is given by a similar proportion in value of each of these classes (*s*). The assent of any of the above classes of incumbrancers is unnecessary if not affected by the scheme (*t*). A judgment creditor is not bound thereby (*u*), but a debenture holder who has obtained a judgment against the company still continues a debenture holder, and is therefore bound by a scheme (*x*). Within three months from the filing of the scheme or within such extended time as the Court may allow, the directors of the company may apply by petition for confirmation of the scheme. Notice of this application is to be given in the "Gazette." The Court being satisfied that the requisites of the Act have been complied with, and that the proposed arrangement is a suitable one, may confirm the scheme, which is then to be enrolled in the Chancery Division; from such confirmation and enrollment each class of incumbrancers who have assented to the scheme is bound thereby to the same extent as if the scheme had been a special Act of Parliament. Where the scheme contains clauses seriously affecting the rights of outside creditors, the Court requires the assent in writing of every such creditor before it confirms. Notice of the confirmation and enrollment is to be given in the "Gazette." The company are bound under a penalty of £20, and an additional penalty of £5 for each day of default to keep printed copies of the scheme for sale at a sum not exceeding sixpence per copy. There is special provision for the stay of actions against companies whose railways, or part of whose railways are in Scotland, and whose principal office is in England (*y*). In pur-

(*q*) S. 12.
(*r*) S. 13.
(*s*) S. 14.
(*t*) S. 15.
(*u*) Stevens *v.* Mid. Hants Rly. Co; London Financial Association *v.* Stevens, L. R. 8 Ch. 1064.
(*x*) *In re* Bristol & N. Somerset Rly. Co., L. R. 6 Eq. 448.
(*y*) Ss. 16—21, 30 & 31 Vict. c. 127.

suance of a power to that effect, an Order of Court has been made, which regulates the practice as to schemes of arrangement (*z*).

Mortgagees, obligees, and debenture stockholders have priority over all other claims on account of debts or engagements, except rent charges granted in pursuance of the Land Clauses Acts, 1845 and 1860, or rent reserved or payable by the company which is entitled by any Act to rank in priority to, or *pari passu* with, the interest or dividends on mortgages, bonds, or debenture stock, or, lastly, claims for land taken by the company for the purposes of their railways, or improperly affected thereby (*a*).

The word "undertaking" having no certain and settled meaning must, when used in any conveyance of property by a company, be construed according to the obvious intention of those who employ it. It may mean the speculation generally, or even include lands, according to circumstances (*b*). In the case of railway companies, however, the "undertaking" pledged in a debenture means the going concern created by the particular Act of Parliament, which cannot be broken up or interfered with by the mortgagee; the "sums of money" are moneys *ejusdem generis*, as tolls, and earnings of the undertaking which may be made available to satisfy mortgages (*c*). A debenture holder who has recovered judgment against a railway company, after the appointment of a receiver in a suit on behalf of all the debenture holders, will not be permitted to issue execution, except on behalf of himself, and all other debenture holders to be paid *pari passu* with himself (*d*).

(*z*) Hodges' Law of Railways, 6th ed. 913; Eyton *v.* Denbigh, Ruthin and Corwen Rly. Co., L. R. 7 Eq. 439.

(*a*) S. 23, 30 & 31 Vict. c. 127.

(*b*) Wickham *v.* New Brunswick and Canada Rly. Co., L. R. 1 P. C. 64.

(*c*) Gardner *v.* London, Chatham and Dover Rly. Co., L. R. 2 Ch. 201; *In re* Cefn. Cilcen Mining Co., L. R. 7 Eq. 88.

(*d*) Bowen *v.* Brecon Rly. Co.; *Ex parte* Howell, L. R. 3 Eq. 541; Bateman *v.* Mid-Wales Rly. Co, L. R. 1 C. P. 199.

SECTION IV.

Debentures issued in Pursuance of the Commissioners' Clauses Act, 1847.

The Commissioners' Clauses Act, 1847, was framed with the object of supplying a general measure which might be engrafted on special Acts of Parliament authorising the execution of undertakings of a public nature by bodies of commissioners, trustees, or other persons, not being joint-stock companies, in the same manner as the Companies' Clauses Act might be engrafted on special Acts of Parliament creating companies. Hence, the provisions of the Commissioners' and the Companies' Clauses Acts are to a great degree similar (*e*): those of the Act of 1847 extend only to such undertakings and commissioners as shall be authorised or constituted by any subsequent Act of Parliament incorporating the same; the provisions relating to borrowing powers are contained in ss. 75—88, and the schedules (B, C), and may be summarised as follows: Where by this, or by the special Act power is given to effect mortgages or assignations in security on the rates or other property of the undertaking, such mortgages or assignations shall be by deed duly stamped, in which the consideration shall be truly stated and sealed with the common seal of the commissioners or other body, if a corporate body, or executed by such commissioners or other body, or any five of them, if not a corporate body, and such mortgage or assignation may be in the following or similar form (*f*):—

(Form of Mortgage.)

By virtue of (here name the special Act), we (here name the corporation, if the commissioners be incorporated, or if not in-

(*e*) 10 & 11 Vict. c. 16.

(*f*) *Ibid.*, s. 75.

corporated, five of the commissioners) appointed in pursuance of the said Act, in consideration of the sum of , paid to the treasurer to the said commissioners by A. B. of , for the purposes of the said Act, do grant and assign unto the said A. B., his executors, administrators, and assigns, such proportion of the rates, rents, profits, and other moneys arising or accruing by virtue of the said Act from (here describe the rates or other property proposed to be mortgaged) as the said sum of doth or shall bear to the whole sum which is or shall be borrowed upon the credit of the said rates, rents, profits, or moneys, to hold to the said A. B., his executors, administrators, and assigns, from this day until the said sum of , with interest at per centum per annum for the same shall be fully paid and satisfied (the principal sum to be repaid at the end of years from the date hereof, in case any period be agreed upon for that purpose). Given under our corporate seal (or in witness whereof we have hereunto set our hands and seals, or, if the deed be granted in Scotland, insert the testing clause required by the law of Scotland, as the case may be), this day of , one thousand eight hundred and (*g*).

Mortgages or assignations so issued may be transferred by the person entitled by deed, duly stamped, wherein the consideration shall be truly stated (*h*), and such transfers may be in the following or similar form :—

I, A. B., of in consideration of the sum of , paid to me by G. H., of , do hereby transfer to the said G. H., his executors, administrators, and assigns, a certain mortgage (or if the deed be granted in Scotland, a certain assignment in security), number , made by the commissioners for executing the (here name the special Act), to bearing date the day of , for securing the sum of and interest [or if such transfer be by indorsement, "the within security,"] and all my right, estate, and interest in, and to the money thereby

(*g*) *Ibid.*, Sch. B.

(*h*) *Ibid.*, s. 47.

secured, and in and to the rates, rents, and profits, or other moneys thereby assigned. In witness whereof I have hereunto set my hand and seal (or if the deed be granted in Scotland, insert the testing clause required by the law of Scotland), this day of , one thousand eight hundred and (*i*).

The provisions of the Companies' Clauses Act, 1845, as to the registration and right of mortgagees and transferees, as to repayment of the money borrowed, and as to the appointment of a receiver, are re-enacted *mutatis mutandis* in the Commissioners' Clauses Act, 1847 (*k*); but the latter statute further provides that commissioners may at any time borrow money at a lower rate of interest to pay off securities at a higher rate of interest (*l*); that a sinking fund shall be formed for paying off money borrowed on the rates (*m*), and that the commissioners shall determine by lot, when able to pay off one or more of the mortgages or assignations, then payable, without being able to pay off all of the same class, which mortgages or assignations shall be paid off, and give notice accordingly (*n*).

(*i*) *Ibid.*, Sch. (C.)
(*k*) *Ibid.*, ss. 75, 76, 78, 79, 81—83, 86—88. See *In re* Derby Municipal Estates, L. R. 3 Ch. D. 289.
(*l*) *Ibid.*, s. 80.
(*m*) *Ibid.*, s. 84.
(*n*) *Ibid.*, s. 85.

CHAPTER XXVIII.

LLOYD'S BONDS.

FOR the validity of the bonds, debentures, and other instruments upon which bodies corporate raise money, it is necessary that such securities should be duly issued in pursuance of the express or implied borrowing powers of the particular corporation by which the same are issued, otherwise, securities not so authorised are issued, *ultra vires*, and therefore do not bind a body corporate in its aggregate capacity (*a*). Notwithstanding their legal insufficiency, instruments securing the repayment of money improperly borrowed by a corporate body are in wide circulation; for, on the one hand, the public are mostly ignorant of the circumstances which render such instruments ineffectual, and are content to take up a loan which promises well with little or no inquiry, whilst, on the other hand, there is but too great a temptation to the directors of companies to exceed the limits within which they may exercise their powers of borrowing. The abuse of borrowing powers was carried to the farthest extent by railway companies, and so large were the unauthorised advances they obtained by means of loan-notes and other instruments, and so extensive the consequent mischief, that the Legislature at length interposed to prohibit by positive enactment the issue of these obnoxious securities. By the Cheap Trains Act (*b*), s. 19, after reciting that large amounts had been obtained by various railway companies, which they were not empowered to raise, and that all such loans, and the instruments

(*a*) *Ante*, p. 268.

(*b*) 7 & 8 Vict. c. 85.

securing the same, were illegal, it was provided that from and after the passing of the Act, any railway company issuing any loan-note or other negotiable or assignable instrument, purporting to bind the company, as a legal security for money advanced to the said railway company, otherwise than under the provisions of some Act or Acts of Parliament, authorising the said railway company to raise such money and issue such security, shall for every such offence forfeit to her Majesty a sum equal to the sum for which such loan-note or other instrument purports to be such security. A register of all loan-notes and other instruments issued by a railway company is to be kept by the Secretary thereof, and is to be open without fee to the inspection of any shareholder or auditor of the undertaking, and of every person interested in such note or instrument (*c*). The effect of the above legislation is utterly to nullify the validity of any unauthorised loan-note or other security issued by a railway company, upon which money is improperly borrowed; for, everything in respect of which a penalty is imposed by statute, must be taken to be a thing forbidden and absolutely void to all intents and purposes whatsoever (*d*); therefore instruments securing unauthorised railway loans are now illegal by statute as well as at Common Law. It might fairly be supposed that under such restrictions no security emanating from a railway company could be of binding force, unless it were made in direct pursuance of borrowing powers conferred on the company by Act of Parliament, and that there was thus a guarantee that the funds of the company could not be specifically charged beyond the amount authorised to be so borrowed; such, however, is not the result, but just as the omission to register mortgages and charges on the property of joint-stock companies, as prescribed by the Companies Acts, does not in all cases avoid such mortgages and charges, so a compliance with the above cited

(*c*) S. 21, 7 & 8 Vict. c. 85.

(*d*) Chambers *v.* Manchester and Milford Rly. Co., 5 B. & S. 588, 33 L. J. Q. B. 368. *In re* Cork & Youghal Rly. Co., L. R. 4 Ch. 748, see *quære*, *In re* International and Paper Pulp Co., Knowles' Mortgage, L. R. 6 Ch. D. 556.

provision of the Cheap Trains Act is not in every instance a necessary condition of the validity of a security issued by a railway company. There is no rule of Law or Act of Parliament to restrain corporations from the exercise of the general freedom of contract enjoyed by private persons; hence, a railway company or other body corporate, though it may be under a particular disability—*e.g.*, to borrow money—is at full liberty to enter into other engagements, *e.g.*, to purchase property or to hire workmen and servants, and debts so incurred avail against the corporation as they would against an individual debtor, and as such may be secured by covenant or charge on property; thus, a railway company may give a bond, debenture, or mortgage, binding itself and its successors or its property, to secure payment of a debt due for work done or materials supplied; such a security is as good and effectual as a security issued in direct pursuance of borrowing powers. An instrument by which debts of the above description is secured, whether by covenant or by charge on property, is usually called a Lloyd's Bond; in its simplest form it is an acknowledgment by a body corporate of its liability for a sum due to a given person, and a covenant to pay the same to such person, his executors, administrators, or assigns. The following is an example of such an instrument:—

The Carmarthen, &c., Railway Company.

No. Bond for £

The Carmarthen Railway Company do hereby acknowledge that they stand indebted to in the sum of £ for money due and owing from the Company to the said . And the Company for themselves, their successors, and assigns, covenant with the said his executors, administrators, and assigns, to pay the said sum of with interest thereon, at the rate of £5 per cent. per annum from the date hereof, until payment. Such interest to be payable half-yearly upon the day of and the day of

in each year. Given under the common seal of the Company the day of A. B., Secry.

N. B.—On the production of this bond, the interest when due will be paid at the office of the Company (*e*).

The validity (*f*) of Lloyd's Bonds is said to be established on a principle recognised in old cases, beginning with Marlow *v.* Pitfield (*g*), where there was a loan to an infant, and the money was spent in payment for necessaries; and in another case of a more modern date, where there was money actually lent to a lunatic, and it went in paying expenses which were necessary for the lunatic. In such cases it has been held, that although the party lending the money could maintain no action, yet, inasmuch as his money had gone to pay debts which would be recoverable at law, he could come into a Court of Equity and stand in the place of those creditors whose debts had been so paid (*h*). But if there be no debt existing, a Lloyd's Bond cannot create one, nor, if the bond be assigned, put the assignee in a better position than the original obligee or covenantee, and the person holding it could not recover upon it, if it were shown that it were given gratuitously, or was not authorised by statute (*i*). Where the directors of a company have no power to borrow money, the repayment of money borrowed cannot be enforced by the lender against the company; yet, if the money has been *bonâ fide* applied to the purposes of the company, the *bonâ fide* lender is entitled to payment as against the company (*k*), and the holders of Lloyd's Bonds have a valid claim against the assets of a company, so far as the company has had the benefit

(*e*) White *v.* Carmarthen, &c., Rly. Co., 1 H. & M. 786.

(*f*) By 31 & 32 Vict. c. 119, s. 3, and Sch. I., No. 13, amount due on Lloyd's Bonds issued by railway companies, and not included in loan capital statement, is to be set down in general balance-sheet, which every company is bound to make seven days before each ordinary half-yearly meeting.

(*g*) 1 P. Wms. 558, Martineau *v.* Gale, L. R. 4 Ch. D. 428.

(*h*) *In re* National Permanent Building Society: *Ex parte* Williams, L. R. 5 Ch. 313. As to admissibility of evidence to impeach the legality of a Lloyd's Bond, see Blackman *v.* Yates, L. R. 2 Ex. 225.

(*i*) Chambers *v.* Manchester and Milford Rly. Co., 33 L. J. Q. B. 268; 5 B. & S. 588. Per Blackburn, J.

(*k*) Troup's Case, 29 Beav. 356.

of the sums of money in respect of which such bonds were given (*l*). In the present state of the law, therefore, a Lloyd's Bond given to secure a present advance is invalid, but if given to secure a debt other than for money advanced, or even to secure a debt for a past advance which has been *bonâ fide* made and subsequently applied for the use of the borrowing body, the bond will stand good (*m*), and, where debentures were issued by the B. & W. Co., after their borrowing powers arose, in pursuance of an agreement that they would so re-imburse the S. & W. Co. for advances made before their borrowing powers arose, and such advances were to enable the B. & W. Company to complete their line of railway, and were accordingly so supplied, it was held that the debentures were valid to the extent of the amount so advanced, as there was nothing illegal in the agreement upon which they were founded (*n*). It thus appears that the protection afforded parties interested in railway and other companies by the restriction imposed on the borrowing powers of their directors, only prevents a direct extension of the loan capital beyond the amount prescribed, but that, indirectly by means of Lloyd's Bonds, the property of a body corporate may be indefinitely charged, and its liabilities indefinitely increased. Lloyd's Bonds may be issued by any body corporate; they are subject to the provisions in the Companies' Clauses Act (*o*), the Companies Act, or other Statute which applies to the particular body by which they are issued; and, as choses in action, they are taken by an assignee subject to equities (*p*), which latter, however, may be released by conduct, or otherwise, as in other cases (*q*).

(*l*) *In re* Cork *v.* Youghal Rly. Co., L. R. 4 Ch. 748.

(*m*) *Ibid.*

(*n*) *In re* Bagnalstown and Wexford Rly. Co., I. R. 4 Eq. 515.

(*o*) Fountain *v.* Carmarthen Rly. Co., L. R. 5 Eq. 316.

(*p*) Watson *v.* Mid-Wales Rly. Co., L. R. 2 C. P. 593; *post*, pp. 311, 312.

(*q*) *In re* South Essex Estuary Co.; *Ex parte* Chorley, L. R. 11 Eq. 157; *ante*, pp. 265, 266, 272, 273; *post*, pp. 339, 340.

CHAPTER XXIX.

ASSIGNMENTS.

MONEY may be raised either on the creation of an original, or on the assignment of an existing, security: again, an assignment of property or of a right or interest may of itself constitute a security; hence, in the present chapter we shall treat both of a new class of securities and of the mode in which securities in general may be transferred. The subject of an assignment may be real or personal property, or some estate or interest therein, actually vested in the assignor; or it may be a mere debt, or contract, or right, which the assignor is entitled to enforce against some third person. When the subject of the assignment is vested property, and the object is to secure a sum of money, the transaction will as a rule amount to a mortgage; when, on the other hand, the subject assigned is a mere debt, contract, or right, the transaction is usually an absolute transfer of the assignor's claims to the fulfilment of an obligation, the performance of which in his own favour the assignee thenceforth becomes entitled to compel. Of the former class of assignments, which are more properly styled grants or conveyances, enough has already been said; it is, therefore, only with the latter class, under which falls the assignment of securities, that we are now concerned.

It is a fundamental principle of the Common Law (*a*) that no

(*a*) It has been recently urged that the old Common Law did not prohibit the assignability of at least a particular class of choses in action; that in a series of decisions from Ed. III. to Will. III., it was uniformly held that

right, debt, or thing in action can be assigned by act *inter vivos*, or, as legal phraseology has it, a chose in action is not assignable at Common Law; the meaning of which is that, if a creditor transfer a debt or other right recoverable by action, the transferee cannot sue therefor in his own name, but must use the name of the creditor, for which purpose he requires to be authorised by power of attorney (*b*). To the rule so stated there was one notable exception, viz., that of negotiable bills, which, notwithstanding they were choses in action, might be sued upon by any assignee or holder in his own name; but, with this exception, no actionable right could be transmitted at Common Law from one man to another by mere act of the parties (*c*). Far different, however, was the doctrine of the Court of Chancery, for there the assignment of choses in action was in most cases recognised as valid, and the assignee was clothed with all the rights of the assignor, and permitted to

an obligation issued transferable to assigns or bearer might be transferred, and the assignee or bearer sue the obligor in his own name; and that this view was supported by the opinions of Lords Mansfield and Kenyon, and is now confirmed by the judgments in Goodwin *v.* Robarts, L. R. 1 App. Cas. 176, and by s. 25, sub-s. 6 of the Judicature Act, 1873, that, in fact, the idea that such choses in action were not assignable at law arose from a series of erroneous decisions by the King's Bench from 1691 to 1703, as to the non-negotiability of promissory notes, and that the law thus made was abolished by 3 & 4 Anne, c. 9 [II. Macleod's Theory and Practice of Banking, 3rd ed. 400—404]. We deny that Goodwin *v.* Robarts, or anything that fell from their lordships on that occasion, or that the provision in the Judicature Act, lends the slightest support to the truly startling view above propounded, and we ask the reader to look at the Theory of Banking and judge for himself. Mr. Macleod is perfectly aware that his position is utterly at variance with the universal consensus of text writers and the traditions of the profession; but he has become emancipated from the "superstition" in which the limbs of the law are educated by a perusal of the Year Books. Far be it from us to sneer at the explorer who takes a bold plunge into the *fontes juris*, and is rewarded by a discovery which has baffled all previous inquiries; at the same time it is matter for regret that Mr. Macleod does not in the work mentioned refer to some of the authorities in the ancient books that bear out his contention. We strongly suspect we could explain a considerable number by aid of the following:—"If a man hath an obligation, though he cannot grant the thing in action, yet hee may give or grant the parchment and waxe to another, who may cancell and use the same at his pleasure," Co. Litt. 232*b*. However, we admit the question is not free from difficulty. Maund's Case, 7. Rep. 28*b*.

(*b*) Daniel *v.* Freeman, I. R. 11 Eq. 638.

(*c*) Co. Litt. 232*b*.

seek his remedy and recover in his own name; thus, if an obligee assigned a bond-debt, the assignee was entitled to file a bill in Chancery against the obligor to compel payment of what was due (*d*). Besides their assignability in equity choses in action were also made assignable in certain instances by various Acts of Parliament, as, *e.g.*, by the Bankruptcy Acts, by the Policies of Insurance Acts, &c., and in those cases the assignee was empowered to sue on the chose in action in his own name in a Court of Law. By the 18 & 19 Vict. c. 111, the assignee of a bill of lading was empowered to sue in his own name; the property in the goods passes to him, but the right of stoppage *in transitu* is not affected, nor does the assignee stand in a better position than his indorser; the rights of the consignee or indorsee pass from him by indorsement over (*e*). Thus, the consignor of unpaid for goods may, on the bankruptcy of the consignee, stop the goods if the transitus be not complete, even though the consignee have voluntarily indorsed over the bill of lading; but not if the bill of lading being payable to the consignee or his assigns have been indorsed over for value to a *bonâ fide* transferee (*f*), whether such value be an existing debt or a present advance (*g*). By the Judicature Act, the Superior Courts of Common Law and Equity have been transmuted into the High Court of Justice (*h*), and legal choses in action are now, with certain formalities, made generally assignable, so that henceforth the assignee of a legal chose in action, assigned in the mode prescribed, may sue therefor in his own name before any civil tribunal having cognisance of the original cause of action (*i*). The provision by which this change is effected does not in any way

(*d*) But the assignee was not allowed to sue in equity unless the assignor refused to allow him to sue in his name, or had done something to prevent him from recovering in his (the assignor's) name. Hammond *v.* Messenger, 9 Sim. 327.

(*e*) Gurney *v.* Behrend, 3 E. & B. 622; Smurthwaite *v.* Wilkins, 31 L. J. C. P. 214. See Pellas *v.* Neptune, &c., Co., L. R. 4 C. P. D. 139.

(*f*) *Post*, pp. 346, 347.

(*g*) Leask *v.* Scott, L. R. 2 Q. B. D. 376; Lutscher *v.* The Comptoir d'Escompte de Paris, L. R. 1 Q. B. D. 709.

(*h*) 36 & 37 Vict. c. 66, ss. 16, 17.

(*i*) *Ibid.*, s. 25, sub-s. 6.

interfere with or curtail the range of equitable assignment as it existed before the recent legislation; the Chancery Division administers the same jurisprudence as the Court of Chancery formerly administered, except only in such particulars as to which there is an express enactment to the contrary (*k*): hence, the Chancery Division has all the old jurisdiction over equitable assignments, whilst all the Divisions of the High Court as well as inferior Civil Courts, to the extent of their respective powers, will recognise assignments under the Judicature Act (*l*): we shall, therefore, deal first with equitable assignments, and then with assignments under the Judicature Act.

Section I.

Equitable Assignments.

An equitable assignment, it has been said, always operates by way of agreement or contract, amounting in consideration of the Court to this, that one agrees with another to transfer and make good that right or interest, and, like any other agreement, the Court will cause it to be specifically performed (not leaving the assignee to his action for damages) when the assignor is in a condition to transfer the property, or to cause it to be transferred to his assignee (*m*). As, however, a merely voluntary agreement will not be enforced, so, neither will a merely voluntary assignment; therefore an assignor cannot be compelled to carry an assignment into effect, unless made for valuable consideration, though a person entitled to a debt or other chose in action may create a voluntary trust in the same, and such trust will be binding on the person creating it in the same manner as a voluntary conveyance of real property is binding on the grantor thereof (*n*). To constitute an equitable assignment no

(*k*) S. C. J. A. 1875, 38 & 39 Vict. c. 77, s. 21, Sch. head note.

(*l*) S. C. J. A. 1873, 36 & 37 Vict. c. 66, ss. 89—91.

(*m*) Wright *v.* Wright, 1 Ves. 412, per Ld. Hardwicke.

(*n*) See *post*, pp. 411—414.

particular form of words is necessary, so long as the assignor gives an order on his debtor or the trustee of a fund to pay over to the assignee a specific debt or the whole or part of a specified fund; thus, the following order:—"Out of the money due to me from Horace Walpole out of the Exchequer, and what will be due at Michaelmas, pay to Tonson and Conway, value received," was held to be a good assignment (*o*). But if a creditor direct his debtor to pay a sum of money to a third person without specifying any particular debt or fund out of which payment is to be made, such direction is a demand on the personal creditor of the debtor, and may be a bill of exchange, but is not an equitable assignment; hence, it is held that a cheque on a banker does not constitute an equitable assignment (*p*). All property and all interests in property, whether in possession or expectancy, may in general be validly assigned. Thus, a contract in an ante-nuptial settlement to settle after-acquired property on the intended wife of the covenantor, will bind both him and his creditors (*q*), except so far as controlled by the Bankruptcy Act (*r*). So, there may be an assigment of future profits or of the mere expectancy of an heir (*s*). There are, however, certain rights and interests, the assignment of which is prohibited by the policy of the law, and against which even an assignee for valuable consideration cannot enforce a claim. Such are the emoluments of public offices, *e.g.*, the pay of an officer in the Army or Navy—the salary of a judge—but arrerages of pay or salary or pensions for past services, without any duty to perform future services, are assignable (*t*), as is also the proceeds from the sale of a commission in the army (*u*). By the Bank-

(*o*) Row *v.* Dawson, 1 Ves. 332; II. W. & T. Lead. Cas., 5th ed., 726.

(*p*) Schrœder *v.* Central Bank of London, 24 W. R. 710; 34 L. J. 735; Hopkinson *v.* Forster, L. R. 19 Eq. 74; see also Shand *v.* Du Buisson, L. R. 18 Eq. 283.

(*q*) Per Lush, J., at Chambers, 10 W. N. 203; 11 W. N. 64.

(*r*) 32 & 33 Vict. c. 71, s. 91; *ante*, pp. 189, 190.

(*s*) Holroyd *v.* Marshall, 30 L. J. C. 385.

(*t*) Wells *v.* Foster, 8 M. & W. 149; *Ex parte* Hawker; *In re* Keely, L. R. 7 Ch. 214; Willcock *v.* Terrell, L. R. 3 Ex. D. 323.

(*u*) Addison *v.* Cox, L. R. 8 Ch. 76.

ruptcy Act, 1869, portion of the pay, half-pay, or salary of a bankrupt is payable to his creditors (*x*). A mere right of action for tort or fraud, or a mere naked right to overset a legal interest or maintain a suit cannot be assigned (*y*). Nor can an assignment between a creditor and third party to maintain a suit of the former, so that they may share in the profits resulting from success therein, be upheld, nor any other assignment tainted by champerty or maintenance (*z*), unless indeed there be some peculiar relations between the parties, *e. g.*, that of parent and child, or master and servant (*a*); nor is the law prohibiting such transactions affected by the Solicitors' Act, 1870 (*b*). At the same time rights of action, coupled with an interest and pending suits, may be *bonâ fide* assigned (*c*), and a fair agreement to supply funds to carry on a suit in consideration of having a share of the property, if recovered, ought not to be regarded as being *per se* opposed to public policy; but such agreements ought to be carefully watched, and when extortionate, unconscionable, or made for improper objects, ought to be held invalid (*d*).

An equitable assignment may be made either by mere word of mouth, or in writing, nor as between assignor and assignee can the addition or absence of any formality affect the operation of the transaction; thus, an assignment to a volunteer not amounting to a declaration of trust will not be rendered more binding because effected by instrument under seal, whilst a bond or judgment debt may be transferred by mere parol under the same circumstances as any other chose in action (*e*). In the

(*x*) 32 & 33 Vict. c. 71, ss. 89, 90.

(*y*) Prosser *v.* Edmonds, 1 You. & Coll. 481.

(*z*) Elliott *v.* Richardson, L. R. 5 C. P. 744; De Hoghton *v.* Money, L. R. 2 Ch. 164; Hilton *v.* Woods, L. R. 4 Eq. 432; Dickens *v.* Burrell, L. R. 1 Eq. 337.

(*a*) Hartley *v.* Russell, 2 Sim. & Stu. 244; Hutley *v.* Hutley, L. R. 8 Q. B. 112.

(*b*) *In re* Atty. and Solrs. Act, 1870, L. R. 2 Ch. D. 573; *Re* Lewis; *Ex parte* Munro, L. R. 1 Ch. D. 724.

(*c*) Elborough *v.* Ayres, L. R. 10 Eq. 367.

(*d*) Ram Coomar Coondro *v.* Chunder Canto Mookerjee, L. R. 2 App. Cas. 186.

(*e*) Heath *v.* Hall, 4 Taunt. 326. In practice, such debts are always assigned *inter vivos* by instrument under seal, but it is conceived that the text contains the true rule in equity, except where a statute expressly requires some formality; see *Ex parte* Hall; *In re* Whitting, L. R. 10 Ch. D. 615. In Ire-

proposition above laid down we suppose the assignment to take place directly between the assignor and assignee, for it is otherwise if the assignment be directly between the assignor and his debtor or trustee; in the latter case, the assignor has a *locus pœnitentiæ* until he informs the assignee of the assignment, or until the debtor or trustee pays over or agrees with the assignee to hold the debt or fund for his benefit; until either of those events the assignor may at any time recall his previous order.

A writing opening a credit for a particular sum cannot of itself constitute an equitable assignment or specific appropriation of that sum so as to create a trust. It is a mere statement that the person writing it will act as paymaster to the person to whom it is written, up to a certain amount, on his performing the conditions set forth in it; thus the following letter:—"We are instructed by J. to advise you that a special credit for the sum of £40,000 has been opened with us in your favour, and that it will be paid to you rateably as the goods are delivered, upon receipt of the certificate of reception issued by the French Ambassador or G. J."—was held not to constitute an equitable assignment as of a fund in the hands of the writers, or make them trustees thereof (*f*). Nor can an equitable assignment of funds in the hands of a drawee of a bill of exchange be constituted by an assurance on the part of the drawer to the holder of the bill that the same is certain to be met out of the funds so situated (*g*). A promise of payment when the debtor receives a debt due to him from a third person is not an equitable assignment which charges the debt in the hands of such third person (*h*).

It is not necessary to the validity of an assignment of a debt or fund that notice thereof should be given to the debtor or trustee thereof, but if such notice be omitted the assignment

land, judgments were made legally assignable by 9 Geo. II., c. 5 (Ir.), and 25 Geo. II., c. 14 (Ir.).

(*f*) Morgan *v.* Larivière, L. R. 7 H. L. 423.

(*g*) Citizens' Bank of Louisiana *v.* Bank of New Orleans, L. R. 6 H. L. 352.

(*h*) Field *v.* Megaw, L. R. 4 C. P. 60.

may be defeated by the act either of the assignor, of his trustee in bankruptcy, or of some particular assignee. A debtor or trustee is bound by notice of an assignment of the debt or trust fund, and from the time such notice is given he becomes liable, irrespective of any contract on his part with the assignee, to answer to the latter for the subject assigned (*i*), and of successive assignees of the same subject, he, who first gives notice of his claim, obtains the first charge upon the debt or fund assigned (*k*); but this rule only holds good in the case of *bonâ fide* assignees for valuable consideration without notice of any prior disposition by the assignor, for, if the assignees be mere volunteers, or, on taking their assignments, have notice of prior charges, no priority can be acquired by giving notice to the debtor or trustee, but the several assignments will have preference in order of time according to their respective dates. Subject, however, to the qualification just mentioned, the effect of notice given by an assignee to the debtor or trustee liable for the debt or fund assigned, is to perfect the assignment, so that thereupon the assignee's title becomes indefeasible as against the world at large (*l*). Hence, neither the assignor nor his trustee in bankruptcy, nor any particular assignee, has any longer power to disturb the assignment so perfected; but until an assignment is perfected by notice, it may at any time be avoided by the assignor obtaining payment himself, by the assignor becoming bankrupt, or by another assignee giving notice of a different assignment. Formerly the bankruptcy of an assignor before notice was given of the assignment, would in general avoid the assignment; for choses in action, though equitably assigned, are, so long as the assignment remains incomplete for want of notice, within the order and disposition of the assignor, and in that character would devolve on his representative in bankruptcy (*m*). But the Act of 1869 has very

(*i*) *Ex parte* South, 3 Swanst. 393.

(*k*) Foster *v.* Cockerell, 9 Bligh, 332; Bridge *v.* Beadon, L. R. 3 Eq. 664.

(*l*) Loveridge *v.* Cooper, 3 Russ. 30; Dearle *v.* Hall, 3 Russ. 1; Foster *v.* Cockerell, 9 Bligh, 332; *In re* Freshfield's Trust, W. N. (1879) 37.

(*m*) Ryall *v.* Rowles, 1 Ves. 348; II. W. & T. Lead. Cas., 5th ed., 729.

materially narrowed the operation of the old principle, for it is now provided that a trustee in bankruptcy shall not be entitled to the bankrupt's choses in action other than debts due to him in the way of his trade (*n*); therefore the assignment of a chose in action, as for example a policy of insurance (*o*), need not be perfected by notice to stand good against the assignor's trustee in bankruptcy, unless the chose in action assigned be a debt due to the assignor in the way of his trade (*p*). With regard to such debts, notice of the assignment must be given to perfect the assignee's title, and such notice must clearly be given before any notice is given by the assignor's trustee in bankruptcy, otherwise the title of the latter would prevail (*q*); and it would seem that under ss. 15, 17 of the Act of 1869, the assignee must give notice before the commencement of the bankruptcy, and also that no assignment by the bankrupt can under those sections be valid, so as to transfer a debt then due to him in the way of his trade. But the operation of s. 15, sub-s. 5, is held to be modified by s. 94, sub-s. 3 (*r*); and, consequently, a *bonâ fide* assignment by a bankrupt of a debt due to him in the way of his trade might be effectual if made before the date of the order of adjudication, but then such assignment would still require to be perfected by notice, and as between the assignee and the trustee in bankruptcy, priority of notice would give priority of title. Under the present law, debts due to a bankrupt in the way of his trade, and in his order and disposition at the time of the commencement of the bankruptcy, *ipso facto* vest in his trustee in bankruptcy, subject to the limitation under s. 94 just mentioned (*s*); but under the former law no chose in action passed to the assignee in bankruptcy until an order was made by the Court (*t*). Hence, it was formerly held that if the

(*n*) S. 15, sub-s. 5, 32 & 33 Vict. c. 71; *In re* Bainbridge; *Ex parte* Fletcher, L. R. 8 Ch. D. 218.

(*o*) *Ex parte* Ibbotson; *In re* Moore, L. R. 8 Ch. D. 519.

(*p*) *In re* Irving; *Ex parte* Brett, L. R. 7 Ch. D. 419.

(*q*) S. 15, 17, 31 & 32 Vict. c. 71.

(*r*) *Ex parte* Barbidge; *In re* Pooley, L. R. 8 Ch. D. 367.

(*s*) S. 15, 17, 31 & 32 Vict. c. 71.

(*t*) S. 125, 12 & 13 Vict. c. 106.

assignment took place before the bankruptcy, the notice thereof to avail must also be given before the bankruptcy (*u*), for otherwise the subject of the assignment being in the order and disposition of the bankrupt would vest in the bankruptcy assignee on an order of the Court being made, and could not afterwards be divested, and such vesting would relate back to the commencement of the bankruptcy, so as to override any notice given subsequently by the particular assignee (*x*); if, on the other hand, the assignment took place after the bankruptcy, and the particular assignee had no notice thereof at the time of the assignment, then such assignee or the bankruptcy assignee would be entitled according to priority in the notice given by either to the debtor or trustee of the fund assigned: thus, the assignee of a policy of insurance, without notice of the bankruptcy of the assignor, by being the first to give notice of his assignment after the death of the assignor, obtained priority over the latter's assignee in bankruptcy, who had failed to give notice (*y*). These decisions are in England important only so far as ss. 15, 17 are controlled by ss. 94, 95 of the Bankruptcy Act, 1869.

To perfect an assignment notice to the trustee may be given by word of mouth as well as by writing, except where it is otherwise provided by statute (*z*); nor is it necessary the notice should be given by the assignee, for so long as it is distinct and received by the trustee in his official capacity, and acted upon by him, it will well avail (*a*); thus, information of the assignment of shares received in the course of transacting the business of the joint-stock company in which the shares are held, though not through the assignee, by the directors, and acted upon by them, is sufficient to take the shares out of the order and dis-

(*u*) *Ex parte* Caldewell; *In re* Currie, L. R. 13 Eq. 188; *In re* Brown's Trusts, L. R. 5 Eq. 88.

(*x*) *In re* Webb's Policy, 15 W. R. 529; Stuart *v.* Cockerell, L. R. 8 Eq. 637, is no doubt inconsistent.

(*y*) *In re* Foster, I. R. 7 Eq. 294; *In re* Hickey, I. R. 10 Eq. 117; *In re* Russell's Policy Trusts, L. R. 15 Eq. 26.

(*z*) *Ante*, pp. 85, 86.

(*a*) *Ex parte* Agra Bank; *In re* Worcester, L. R. 3 Ch. 555.

position of the assignor; so, where the trustee of a fund sees in a newspaper notice of a petition of his *cestui que trust* to the Bankruptcy Court, and acts on the information so acquired, a subsequent assignee of the *cestui que trust* cannot, by giving formal notice of the assignment, obtain priority over the trustee in bankruptcy (*b*). A person claiming the benefit of an assignment of a contract of purchase must give distinct notice to the vendor of his claim, and of his readiness to put himself in the purchaser's position for completion of the contract (*c*). Notice to the official liquidator of the assignment of a debt, due from the company in liquidation, takes the debt out of the order and disposition of the assignor (*d*), and notice to one of several co-trustees is sufficient notice to all, so long as all material circumstances connected with the trust remain unaltered; but, if the trustee to whom notice is given die or otherwise cease to be trustee (*e*), or if he have an interest in concealing notice from his co-trustees, as where being himself beneficially entitled, he assigns his rights over (*f*), the notice becomes inoperative from the time the trustee ceases to act as such or make such assignment.

The omission in a bill of lading of the usual words—"or order or assigns"—does not fix an indorsee with constructive notice of an equity in the goods comprised in the instrument (*g*).

A trustee who has himself an assignment of the trust fund is not bound in the absence of inquiry to inform an assignee, giving him notice of a subsequent assignment, of his own charge, nor by omitting to do so will he lose his priority (*h*). Where an assignee has done all in his power to perfect the assignment he will be entitled to the benefit thereof, although he fail to accomplish that object before his assignor become

(*b*) Lloyd *v.* Banks, L. R. 3 Ch. 488; *In re* Brown's Trusts, L. R. 5 Eq. 88.

(*c*) Shaw *v.* Foster, L. R. 5 H. L. 321; Tooth *v.* Hallett, L. R. 4 Ch. 242.

(*d*) *In re* Breech-Loading Armoury Co., Wragge's Case, L. R. 5 Eq. 284.

(*e*) Smith *v.* Smith, 2 C. & M. 231.

(*f*) Browne *v.* Savage, 4 Drew. 635; W. & T. L. C., 5th ed., 791.

(*g*) Henderson *v.* The Comptoir d'Escompte de Paris, L. R. 5 P. C. 253.

(*h*) *In re* Lewar; *Ex parte* Wilkes, L. R. 4 Ch. D. 101.

bankrupt (*i*); hence, where a debtor assigned certain effects in the hands of a foreign agent, and a letter giving notice of the assignment was thereupon sent to the agent, but before the same arrived or could arrive the debtor became bankrupt, it was held that the assignee's title was good against the claim of the representative in bankruptcy (*k*). No notice, however, of assignment can have any effect unless at the time it is given the relation of creditor and debtor, or trustee and *cestui que trust*, actually exists between the assignor and the person on whom the notice is served (*l*); thus, where an officer in the army assigned the proceeds that were to arise from the sale of his commission to two different persons, and notice was given to the army agent, through whose hands the money would pass, by one assignee before, and by the other assignee after, the fund came into the agent's possession, it was held that the earlier notice was wholly inoperative, and that the assignee giving the latter notice, which alone was valid, must be preferred (*m*); but, once the fund is in the hands of the agent, notice is good, though the fund be not then payable (*n*).

Under an equitable assignment an assignee can take no better title than that of his immediate assignor, a principle which is expressed by saying that the assignee takes the chose in action subject to the equities attaching to it in the hands of the assignor (*o*). Thus, if a debt be assigned, and the debtor has a right to set off some payment or credit against the assignor, he will have a similar right of set off (though not of counter-claim, under s. 25, sub-s. 6, of the Judicature Act, 1873) against the assignee (*p*); but a debtor cannot set off against an assignee a debt which has accrued due to him from the assignor since notice of the assignment, though resulting

(*i*) Feltham *v.* Clark, 1 De G. & Sm. 307.

(*k*) Burn *v.* Carvalho, 4 My. & Cr. 690.

(*l*) Buller *v.* Plunkett, J. & H. 441.

(*m*) Addison *v.* Cox, L. R. 8 Ch. 76.

(*n*) Calisher *v.* Forbes, L. R. 7 Ch 109.

(*o*) Graham *v.* Johnson, L. R. 8 Eq. 36; Piper *v.* Piper, L. R. 1 Ch. D. 90.

(*p*) Young *v.* Kitchen, L. R. 3 Ex. D. 127.

from a contract entered into previously, unless from the nature of the transaction it appears that the original parties intended there should be a set off (*q*). A chose in action may be successively assigned over any number of times, each successive assignee taking the same title as the immediately preceding assignee, so that the ultimate assignee is bound by all the equities that have arisen whilst the subject of the assignment was being transmitted from one person to another (*r*). We have elsewhere indicated the difference between negotiable and merely assignable choses in action, and shown how the equities on the latter may be released, so as to render them *quasi* negotiable (*s*). Here, therefore, we may allude to the converse case, viz., the mode in which choses in action originally negotiable are rendered merely assignable, so as to become subject to equities, as if of a non-negotiable character. The most remarkable example of this modification is furnished by the transference of overdue bills of exchange, for, on the indorsement of an overdue bill, the indorsee takes it subject to all *its* equities—that is, the equities attaching to the bill itself, not the equities that subsist between the parties (*t*). The following circumstances affix equities to a bill itself:—(1) Actual payment by the drawer of an accommodation bill (*u*); (2) such payment or satisfaction to a holder whose title was only to secure balance of an account due (*x*); (3) the realisation of effects deposited by the acceptor with the drawer, in order that the proceeds might be applied to the discharge of the bill (*y*); (4) the purchase of a bill with stolen money (*z*). Wherever a bill affected by any of these circumstances is indorsed when overdue, the indorsee takes it subject to an equity which debars him from recovering against the acceptor. To touch the title of the

(*q*) Watson *v.* Mid.-Wales Rly. Co., L. R. 2 C. P. 593.

(*r*) Ord *v.* White, 3 Beav. 357.

(*s*) *Ante*, pp. 265, 266.

(*t*) Sturtevant *v.* Ford, 4 M. & G. 101.

(*u*) Cook *v.* Lister, 13 C. B. N. S. 543.

(*x*) Collenridge *v.* Farquharson, 1 Stark, N. P. C. 259.

(*y*) Holmes *v.* Kidd, 3 H. & N. 891.

(*z*) *In re* European Bank; *Ex parte* Oriental Commercial Bank, L. R. 5 Ch. 358.

indorsee of an overdue bill, the equity must be engrafted on the instrument itself, so as to amount to a discharge thereof; therefore, in the absence of such an equity, the indorsee or transferee for value of a bill after its dishonour has a right to recover against the acceptor, whether the bill was given for value or not, and that irrespective of any right of set off the acceptor might have against the drawer, for, though such right establish an equity between the parties, it does not engraft an equity on the instrument (*a*).

The subject of an equitable assignment may either be an unsecured chose in action, a secured chose in action, or a security. In the first instance, nothing can obviously pass except the actual debt; in the latter two instances, there being both a debt and a security, it may be asked, what effect has the transfer of either on the other? As the debt is the principal, and the security but an accessory, the transfer of the former is a transfer of the latter, according to the maxim, *Omne accessorium cedit principali.* Thus, if a debt secured by mortgage (*b*) be assigned, the assignee will be entitled to the benefit of the mortgage, for, in whose hands soever the debt is, there also the securities must likewise be, a mortgagee not being allowed to alienate the securities away from the debt (*c*). So, where in the State of Pennsylvania a vendor of landed property obtained a judgment in ejectment to enforce payment of the balance of the purchase money, and thereupon a creditor of the vendee paid the money due, and took a transfer of the vendor's debt, it was held that such creditor was entitled to the vendor's judgment, which he might revive for his own use, and enforce payment against a purchaser of the vendee's interest at the sheriff's sale, although such purchaser had subsequently received a conveyance from the vendor (*d*). So a surety has an equitable right to all securities the principal gives the creditor,

(*a*) *Ex parte* Swan, 6 L. R. Eq. 344.

(*b*) For assignment by equitable mortgagee by deposit, see Hobson *v.* Mellond, 2 M. & Rob. 342.

(*c*) Walker *v.* Jones, L. R. 1 P. C. 50.

(*d*) Foster *v.* Fox, 4 W. & Serg. 92.

as the latter has to all securities the principal gives the surety (*e*). The effect produced by the assignment of a security simply upon the debt secured depends upon the nature of the security, the mode of assignment, and the intention of the parties. If the debt and security are so related that no action can be brought except on the security, then a due transfer of the latter will operate to transfer the former. Thus, a debt secured by the debtor's bill or note, or merged in a bond or judgment, will pass by due assignment of such bill or note (during its currency), bond, or judgment. If, however, the debt and security support distinct and co-existent causes of action, a transfer of the security does not necessarily transfer the debt. Thus, a mortgage debt does not pass by a conveyance or assignment of the property mortgaged; but upon this matter we shall have more to say at a subsequent stage (*f*).

As to the mode of transferring various securities, we may, in regard to negotiable instruments, refer to our previous observations. As to bonds and judgments, it is doubtful whether they can be transferred otherwise than by instrument under seal, that is, supposing they be not collateral to a simple contract debt, for in the event that they were so, they would follow the assignment of such debt; however, a *bonâ fide* assignee for valuable consideration of a bond or judgment, or a person in whose favour the obligee or judgment creditor declares a trust in the bond or judgment, is not damnified by the absence of a sealed instrument, since the Court will in such case aid the defective assignment (*g*). In every case, however, except that of negotiable instruments, the effect of transferring a security is governed by the intention of the parties; hence, the delivery of an instrument may have no other result than to confer a mere lien thereon, without any right to recover the debt it secures (*h*), and the transferee of a security transferred by delivery will not be deprived of such lien, because there is no

(*e*) Wright *v.* Morley, 11 Ves. 12. *Post*, pp. 407—409.

(*f*) *Post*, pp. 409, 410.

(*g*) *Ante*, p. 303.

(*h*) Gibson *v.* Overbury, 7 M. & W. 555; Williams *v.* Thorp, 2 Sim. 257, 570n.

effectual assignment to him of the debt secured (*i*), unless, indeed, it expressly appears that the only object of delivering the security was to pass the debt, in which case the transferee cannot retain the instrument against the party entitled to the debt (*k*). If the assignor of a security have previously assigned the debt secured, the assignee of the security (except in the case of current negotiable instruments) takes subject to the equities, and will be a trustee for the assignee of the debt, or else have a mere lien on the instrument itself, according to circumstances (*l*). Where, however, M. & Co. deposited with S. & Co. the mortgage deeds of certain colonial property, of which M. & Co. were the mortgagees, for securing a floating balance due from M. & Co. to S. & Co., and subsequently assigned to S. & Co. the mortgage debt, "in addition to the securities then already held by S. & Co., but without making any actual assignment of the mortgage itself, or of the mortgaged property, it was held that S. & Co., nevertheless, continued the equitable mortgagees of the mortgaged property, and were not mere assignees of the debt, and that, consequently, on the bankruptcy of M. & Co. they had a good lien on the property as mortgagees, though as assignees their claim was defeated for want of notice of the assignment" (*m*). There is an implied covenant by the assignor of a debt not to do any act in derogation of his deed (*n*), and he will be restrained from suing the debtor for his own benefit (*o*).

Section II.

Assignments under the Judicature Act, 1873.

We may now pass to Assignments under the Judicature Act, 1873. The following is the enactment in question:—

(*i*) Rummens *v.* Hare, L. R. 1 Ex. D. 169; Barton *v.* Gainer, 27 L. J. Ex. 390.

(*k*) Green *v.* Ingham, L. R. 2 C. P. 525; Searle *v.* Law, 15 Sim. 95.

(*l*) Rodger *v.* The Comptoir d'Escompte de Paris, L. R. 2 P. C. 393.

(*m*) *Ex parte* Smith, *et al.* 2 D. & C. 271.

(*n*) Gerard *v.* Lewis, 2 L. R. C. P. 305.

(*o*) Jeffs *v.* Day, L. R. 1 Q. B. 372.

Any absolute assignment, by writing under the hand of the assignor (not purporting to be by way of charge only), of any debt or other legal chose in action, of which express notice in writing shall have been given to the debtor, trustee, or other person from whom the assignor would have been entitled to receive or claim such debt or chose in action, shall be, and be deemed to have been, effectual in law (subject to all equities which would have been entitled to priority over the right of the assignee if this Act had not passed) to pass and transfer the legal right to such debt or chose in action from the date of such notice, and all legal and other remedies for the same, and the power to give a good discharge for the same, without the concurrence of the assignor: Provided always, that if the debtor, trustee, or other person liable in respect of such debt or chose in action shall have had notice that such assignment is disputed by the assignor or any one claiming under him, or of any other opposing or conflicting claims to such debt or chose in action, he shall be entitled, if he think fit, to call upon the several persons making claim thereto to interplead concerning the same; or he may, if he think fit, pay the same into the High Court of Justice, under and in conformity with the provisions of the Acts for the relief of trustees (*p*).

The general effect of the foregoing provision may, perhaps, at first sight appear to present no difficulty; roughly speaking, it would seem that the old rule at Common Law, which prohibited the assignment of choses in action is now, if not utterly swept away, at least always capable of being defeated; that, in fact, the assignee of a chose in action, assigned in the prescribed manner, has in the present day a legal title which he may enforce before a legal tribunal, where formerly he would have had but an equitable title, which he could only enforce before an equitable tribunal. But then comes the question—Do separate legal and equitable tribunals any longer co-exist, and, if not, in what sense can choses in action be said to have

(*p*) S. 25, sub-s. 6, 36 & 37 Vict. c. 66.

become assignable at law? To this query we answer that in the High Court of Justice there is no distinction into legal and equitable tribunals; there are, indeed, five divisions in the High Court, and certain special matters are assigned to each, and in each the practice is only so far uniform as the recent legislation has expressly made it so, for in the absence of positive enactment to the contrary, the practice that formerly obtained in the several amalgamated Courts prevails in the corresponding divisions of the High Court; but, subject to such differences in the mode of administration, the substantive law administered is the same in all the divisions, consequently an action to enforce a merely legal demand will now be entertained in the Chancery Division (*q*)—an action to enforce a merely equitable demand —in a Common Law Division (*r*). Thus, then, under the general provisions of the Judicature Acts and Orders, the assignee of a chose in action is apparently empowered to sue in a Common Law Division, though his claim be founded on a merely equitable assignment, and, therefore, it may be asked of what avail was it to make choses in action legally assignable, since all branches of the High Court, and all inferior Courts having jurisdiction in equity, are bound to take cognisance of merely equitable assignments. It cannot be denied that the boon conferred by the statutory power of assignment would have been unequivocal did the ancient division into Courts of Law and Courts of Equity still subsist, for, in that case, the assignee of a chose in action would have been entirely indebted to such statutory power for his right to sue in a Court of Law; yet it must not be supposed that the only result of rendering choses in action assignable at law is to extend the forum in which they may be recovered; on the contrary, that is but a consequence of the legal title with which the assignee is clothed; so that whereas formerly the assignee could only have an equitable, he may now acquire a legal, interest in the subject

(*q*) Pooley *v.* Driver, L. R. 5 Ch. D. 458.

(*r*) See obs. of Brett, L.J., in Mostyn *v.* West Mostyn Coal and Iron Co., L. R. 1 C. P. D. 150.

assigned. The duality of legal and equitable estates or interests in the same property is preserved unchanged, although the duality of tribunals from which such separation of estates or interests arose has passed away; therefore, on the equitable assignment of a chose in action, the assignor retains the legal, whilst the assignee acquires the equitable, interest in the matter assigned; but under a legal assignment the assignee would acquire the whole interest. To exemplify the distinction under discussion, let us take the bequest of a debt, such a bequest is evidently a specific legacy, but like other chattels disposed of by will, vests in the executor. Now it is well established that, on the executor's assent to the legacy of a corporeal chattel specifically bequeathed, the property therein vests in the legatee, and he can thereupon maintain an action at law to recover the same, nor can it be doubted that the same is the rule if the legacy be of an incorporeal chattel which is capable of legal transfer, as, for example, an annuity. Supposing, however, the legacy be of an incorporeal chattel, which is only capable of equitable transfer, then it is conceived that the assent of the executor could not vest the property in the legatee, but would only operate as an equitable assignment, and as such could be defeated by the executor so long as it was not perfected by notice or otherwise to the debtor; in truth as between the executor and legatee the effect of the assent would be to raise an express trust, of which the former was the trustee, and the latter the *cestui que trust*, and as the administration of trusts is assigned to the Chancery Division, an action by the legatee against the executor should be instituted in that Division. Applying these observations to the contrast between the legal and the equitable assignment of a chose in action by will, we find that the assent of the executor to the bequest of a debt which satisfies the statutory requirements to constitute a legal assignment, will vest the legal interest in the debt in the legatee, who may thereupon dispose of the same as he pleases, or sue therefor in any Division of the High Court, whilst the assent of the executor to the bequest of a debt which only amounts to

an equitable assignment, will merely vest the express equitable interest in the debt in the legatee, who may thereupon dispose as he pleases of such equitable interest, or sue the executor therefor in the Chancery Division of the High Court. From this example, it is evident that there may co-exist in one and the same debt the duality of legal and equitable interests which may subsist in any corporeal subject of property, and that with consequences relatively as important; hence, the necessity and justification of a measure, which provides for the assignment of the legal interest in choses in action, even though the area for recovery thereof was not in consequence enlarged. Hitherto we have assumed that the legal or equitable assignee of a chose in action may sue indifferently in any Division of the High Court, and, so far as jurisdiction is concerned, there can be little doubt that all Divisions are equally competent to entertain the action; still, as regards such equitable assignments as come within the description of trusts, the assignee should sue in the Chancery Division, to which the administration of trusts is assigned (*s*), otherwise his action in a Common Law Division is liable to be transferred, and for the costs of such transfer he would be held responsible.

With these general remarks we may proceed to a detailed examination of the above quoted sub-section of the Judicature Act; it may be analysed under four heads:—(1) the nature and effect of the assignment; (2) the subject of the assignment; (3) the nature and effect of the notice to be given to the debtor or trustee of the debt or fund assigned; (4) the mode in which such debtor or trustee may obtain relief when the right to such debt or fund is disputed.

1. The assignment must be absolute—must be in writing under the hand of the assignor, and must not purport to be by way of charge only; upon these requisites we put the interpretations following: by an absolute assignment we understand an assignment free from condition or reservation of any kind or

(*s*) S. 34 (3) 36 & 37 Vict. c. 66.

sort; an assignment in writing under the hand of the assignor is clearly open to two explanations,—it may either mean a written assignment signed by the assignor, or an assignment written by the assignor, though not necessarily signed. We adopt the former as the true explanation, as the more likely to secure creditor, debtor, and assignee against imposition, and also as more convenient and beneficial in the transaction of business; the requirement that the assignment must not purport to be by way of charge only seems to imply that in fact the assignment may be by way of charge, provided it is not expressed so to be, otherwise it is difficult to see how the assignment could be of part of a debt or other chose in action; indeed, it is probable that the end here intended was similar to that contemplated by the various registry of title Acts (*t*), viz., to provide a means of transfer which should be unincumbered by trusts. For the validity of an equitable assignment, none of the above requisites are necessary, but, on the other hand, the statute does not make that an assignment which was not one before; it is held, therefore, that the payee of a cheque cannot, as assignee, sue the banker on whom it is drawn, since at law there is no privity between such payee and banker, and in equity a cheque is not an equitable assignment of the drawer's balance at his bank (*u*). An assignment complying with the prescribed requirements does not transfer the legal interest to the assignee, unless or until due notice has been given to the debtor or trustee, who is liable for the debt or other chose in action assigned; but of this anon.

2. The subject of an assignment must be a debt or other legal chose in action, that is, it may be any sum of money, or any right which the assignor is legally entitled to claim from another, but it cannot be anything to which the assignor himself has only an equitable claim. Thus, not only debts due at Common Law, but also shares in companies (*x*) and other incorporeal property, as well as rights or possibilities, whether by

(*t*) *Ante*, pp. 239, 240.

(*u*) Schrœder *v.* Central Bank of London, 24 W. R. 710; L. J. 735; Hopkinson *v.* Forster, L. R. 19 Eq. 74.

(*x*) Tempest *v.* Kilner, 2 C. B. 300.

contract or otherwise, may all now be the subject of legal assignment, so far as they were formerly recoverable at law by the assignor, and capable of equitable assignment; whilst funds and rights held on trust, and only recoverable in a Court of Equity by the *cestui que trust*, are incapable of being by him legally assigned. The sale of real estate furnishes an apt illustration of a chose in action which at one period is, and a chose in action which at another period is not, the subject of legal assignment: the moment a binding contract of sale and purchase is complete, the vendor becomes a trustee for the purchaser of the property, and the purchaser becomes a trustee for the vendor of the purchase money, and on conveyance the purchase money becomes a legal debt due from the purchaser to the vendor; after conveyance the purchase money may be the subject of a legal assignment by the vendor, but before conveyance, or so long as it remains a mere trust fund, it can only be the subject of an equitable assignment at the hands of the vendor. Hence, it appears that legal assignments are confined to a special class of choses in action, whilst equitable assignments extend to choses in action in general.

3. The notice to be given to the debtor or trustee of the assigned debt or fund must be an express notice in writing, but no provision is made as to the party by whom such notice is to be given, nor is the same required to be signed. Therefore, a written notice that is express and definite will suffice, provided it show there has been an absolute assignment, but not otherwise; hence, where A. received notice from B. and C. not to pay money or issue shares to D. and E. as B. and C. claimed to have had the shares assigned to them by D. and E., and A. also received a letter from D. and E. denying the alleged assignment and demanding the issue of the shares to which they were otherwise entitled, it was held there was no sufficient notice of an absolute written assignment, and the application of A. for leave to interplead was accordingly refused (*h*). The effect

(*h*) *Re* The Hamburgh and Brazilian Rly. Co., Bitt. Pr. Cas. cxxx.

of notice is to render the assignment effectual in law (subject to all equities which would have been entitled to priority if the Judicature Act had not passed) to pass and transfer the legal right to the assigned debt or chose in action from the date of such notice, and all legal and other remedies for the same, and the power to give a good discharge for the same, without the concurrence of the assignor (*i*). Hence, where there are successive assignments of the same chose in action, the priority of the assignees will depend on the dates of the notices of the assignments given to the debtor or trustee liable for such chose in action, not on the dates of the assignments themselves; but of course no notice can be operative if given before the debt or chose in action exists as against the debtor or trustee (*k*), or if it be itself insufficient, or if a superior equity overrides the claim of the assignee.

4. The debtor or trustee of an assigned debt or fund has two courses open to avoid personal liability in determining whether the assignment, or which of several opposing or conflicting claims is valid—he may either call upon the several claimants to interplead or he may pay the debt or fund into Court in conformity with the provisions of the Acts for the relief of trustees. Before, however, either of these courses can be adopted, the debtor or trustee must have notice that the right to the debt or fund is disputed, and that, under a valid title; therefore, a debtor or trustee cannot avail himself of either course where the two claimants to the chose in action are, one, the person originally entitled—the other, his alleged assignee, claiming under an assignment of which no sufficient notice has been given, for in such case the debtor or trustee is not bound to take any notice of the assignment, and can incur no liability by payment to the person originally entitled. Where a plaintiff, who had become bankrupt, but who was appealing from the order of adjudication, had assigned a judgment which he had obtained on an award against the defendant, and written notice

(*i*) Brice *v.* Bannister, L. R. 3 Q. B. D. 569.

(*k*) *Ante*, p. 311.

of the assignment was given to the defendant, from whom the plaintiff's trustee in bankruptcy also claimed the judgment, an order was made that the defendant be at liberty to pay the money into Court less his taxed costs, and that as against him proceedings be stayed (*l*). Interpleader is a mode of procedure whereby a person, who is in possession of property in which he himself claims no interest but which is claimed from him by several different parties, may obtain a judicial adjudication as to the disposition of the disputed property, which will at once settle the rights of the parties and relieve him from further liability. The practice in interpleader is that which prevailed in the Courts of Common Law as prescribed by the Interpleader Acts, 1 & 2 Will. IV., c. 58, and 23 & 24 Vict. c. 126 (*m*); it may be summarised as follows: The party in possession of the disputed property applies to a judge at chambers by summons calling on the several claimants to appear and state their respective claims; such application must be founded on an affidavit showing that the applicant does not claim any interest in the subject matter in dispute; that the right thereto is claimed or supposed to belong to some third party who has sued or is expected to sue for the same; that the applicant is ready to bring into Court or dispose of the same as may be ordered, and that he does not collude with such third party (*n*). On default of appearance by a party duly served with the order to appear, the judge may declare such party and all persons claiming by, from, or under him to be barred against prosecuting their claim against the applicant, his executors, or administrators (*o*). On due appearance by the several parties served with orders to appear, the judge may deal with the case in one or other of the following ways: 1. When the subject matter is small, and if it appear desirable, he may, on application of any of the parties, decide the question summarily (*p*). 2. When the

(*l*) Dodds *v.* Shepherd, L. R. 1 Ex. D. 75.
(*m*) 38 & 39 Vict. c. 77, O. I., r. 2.
(*n*) S. 1, 1 & 2 Will. IV., c. 58.
(*o*) *Ibid.*, s. 3.
(*p*) S. 14, 23 & 24 Vict. c. 126.

facts are admitted and the question is one of law he may in his discretion either decide the matter summarily (*q*), or, 3, order a special case (according to the provisions of the Common Law Procedure Acts, 1852, 1854) to be stated for the opinion of the Court. 4. He may direct an issue to be tried and order who shall be plaintiff and who defendant respectively therein (*r*). All rules, orders, matters, and decisions to be made and done in interpleader proceedings may be entered of record, with a note in the margin expressing the true date of such entry, to the end that the same may be evidence in future times, if required, and to secure and enforce the payment of costs directed by any such rule or order; and every such rule or order so entered shall have the force and effect of a judgment in the Supreme Court (*s*).

The above is an account of the procedure when the party in possession, whether sheriff or private person, has not been sued in respect of the disputed property; where, however, an action has been brought against such party by one of the claimants, the application to a judge at chambers for an order to interplead must be made before delivery of defence (*t*), and in such case, and on appearance of a claimant who disputes the plaintiff's title, the judge may order such claimant to make himself defendant in the original action.

Next, as to the relief the debtor or trustee of an assigned debt or chose in action may have under the Trustee Relief Acts; by the first of these statutes, viz., the Trustee Relief Act, 1847, trustees, executors, administrators, or other persons, or the major part of them holding any moneys on trust, or in whose names any annuities or stocks in the books of the Bank of England or of the East India Company, or any Government or Parliamentary securities are standing, upon any trusts whatsoever may, on filing the prescribed affidavit and with the privity of the Paymaster-General, pay such trust moneys or transfer such

(*q*) S. 15, 23 & 24 Vict. c. 126.
(*r*) S. 1, 1 & 2 Will. IV. c. 58.
(*s*) S. 18, 23 & 24 Vict. c. 126.
(*t*) 38 & 39 Vict. c. 77, O. I., r. 2.

annuities, stocks, or securities into Court (*u*). Trust moneys are paid into Court by being paid into the Bank of England to the account of the Paymaster-General, in the matter of the particular trust in trust to attend the orders of the Chancery Division of the High Court; annuities, stocks, and securities are transferred into Court by being transferred into the name of the Paymaster-General, in the matter of the particular trust in trust to attend the orders of the said Division (*x*). The receipt of the cashier of the Bank of England or the certificate of the proper officer is a sufficient discharge to trustees or other persons for money, annuities, stocks, or securities so paid or transferred into Court. Orders for the investment, payment, transfer, or delivery of any moneys, annuities, stocks, or securities paid or transferred into Court are made on summary petition to the Lord Chancellor or Master of the Rolls, who may, however, if they so think fit, direct any suit or suits to be instituted in respect to the funds in question. The affidavit to be filed before funds can be paid into Court is prescribed by Rules of Court, 22nd December, 1874, rule 34, made in pursuance of the Chancery Funds Act, 1872 (*y*); the Chancery Funds Amended Orders, 22nd December, 1874, provide that the person paying funds into Court shall forthwith give notice thereof to the several persons named in his affidavit, and that notice of any application respecting such funds shall be served on the party paying in the funds and the several parties interested therein (*z*).

The Act for the further relief of trustees was passed in 1849; it enables the Chancery Division upon application by a majority of trustees, executors, administrators, or other persons holding any moneys on trust, or in whose names any annuities or stocks in the books of the Bank of England or of the East India Company, or any Government or Parliamentary securities are stand-

(*u*) S. 1, 10 & 11 Vict. c. 96. As to service out of jurisdiction, *In re* Harvey's Trusts, L. R. 10 Ch. App. 275.

(*x*) S. 1, 10 & 11 Vict. c. 96.

(*y*) *Ibid.*, ss. 1, 2; Morgan's Ch. Acts and Orders, 5th ed., 65.

(*z*) *Ibid*, 66; 35 & 36 Vict. c. 44; Povah *v.* Walker, L. R. 15 Eq. 316; *In re* Battersby's Trusts, L. R. 10 Ch. D. 228; *In re* Hardley's Trusts, L. R. 10 Ch. D. 664.

ing, upon any trusts whatsoever, to order the payment or transfer of such annuities, stocks, or securities into Court without the concurrence of the other trustees, executors, administrators, or other persons (*a*). The object of this enactment was to remove certain doubts which had been raised as to the operation of the previous statute in enabling a majority of the trustees or other persons above mentioned to deal with the trust funds as therein specified.

Before the Judicature Act the debtor of an assigned debt was not at liberty to pay the amount due into Court; that privilege belonged only to trustees or persons who actually held money on trust; therefore it was decided that an insurance company had no right to so pay in the moneys due on a policy which had been assigned, though it was clear the company was entitled to refuse payment to the representative of the assignor without proof that the claim of the assignee had been discharged (*b*).

Under the enactment we have been considering, a debt to become due may be assigned, and from due notice the debtor becomes bound, notwithstanding his refusal to recognize the assignment, nor is it necessary to join the assignor in an action thereon, nor is the same subject to any equities save such as have arisen before the notice, or such as arise subsequent thereto otherwise than by the acts of the debtor (*c*). An order from a creditor to his debtor under an ordinary contract for the price of goods or for work and labour, or the like, to pay to a third party, can confer a right on the latter only so far as it operates as an assignment of the debt; it is not an order for the payment (*d*) of money within the Stamp Act (*e*).

(*a*) S. 1, 12 & 13 Vict. c. 74.

(*b*) *In re* Haycock's Policy, L. R. 1 Ch. D. 611; *ante*, p. 88.

(*c*) Brice *v.* Bannister, L. R. 3 Q. B. D. 569; *Ex parte* Hall; *In re* Whitting, L. R. 10 Ch. D. 615; Turquand *v.* Fearon, L. R. 4 Q. B. D. 280.

(*d*) Buck *v.* Robson, L. R. 3 Q. B. D. 686; Fisher *v.* Calvert, 27 W. R. 301.

(*e*) S. 48, 33 & 34 Vict. c. 97; *post*, p. 432.

CHAPTER XXX.

LIENS.

In its most general signification a lien may be defined as a right to retain possession of, or judicially realise the property of another, so long as a debt or other money demand due—either in respect of such property or otherwise—by the owner to the person claiming to exercise the right shall remain unsatisfied. Thus, the right of a tailor or other workman to retain clothes or other chattels for the cost of repairs or other work done thereon, or the right of a salvor to have the property saved realised in payment of his claims, constitutes a lien. It has, indeed, been laid down that "there can be no lien upon any property unless it is in the possession of the party who claims the lien" (*a*), but this proposition must only be understood of possessory liens. It is not true of vendor's lien, in the case of real property, nor of salvor's lien, nor of the lien implied, as we have seen, in a mortgage. A lien must be carefully distinguished from a mortgage, pawn, assignment, or charge; in common with these latter a lien is a security on property, and, so far as it extends, an incumbrance thereon, but the property affected by a mere lien is never in any way during the continuance of the lien transferred to the person holding the same, although, as we shall see, such person may in many cases be entitled, by means of his lien, to have the property transferred or realised in his favour. It is quite otherwise with mortgages and other securities on property;

(*a*) Shaw *v.* Neale, 6 H. L. C. 581, per Chelmsford, L.C.

to the extent of the incumbrancer's interest, an equitable ownership, and, if duly conveyed, a legal ownership also passes to the incumbrancer, and from such ownership springs a right in all cases to have the property applied in discharging the incumbrance, whereas it is only by exception, and not in any respect as an owner, that the holder of a lien enjoys a similar advantage (*b*). There is another point in which a lien is distinguished from other securities on property: it alone, of such securities, may be created by mere operation of law; it may, also, like other securities, be created by agreement of the parties; but the term lien is more properly given to securities of the former description (*c*). The extent and nature of a lien conferred by agreement will depend on the terms agreed upon; it is open to the parties to make what stipulation they please—always, of course, subject to the law and its construction—upon which we need only observe that it is sometimes extremely difficult to ascertain whether the effect is to establish a mere lien, or some other security on the property in question. A lien created by operation of law is lost by the substitution of some other security and acceptance of the same by the person entitled to the lien; the difficulty is to prove by clear evidence that such was the intention of the parties. Liens are either general or specific, according as the right to retain or realise property can be claimed in respect of debts or demands of a general class, or only in respect of debts or demands affecting the property sought to be retained or realised. The law leans against general and in favour of specific liens; hence, no general lien can be claimed except by express agreement, or under a well recognised and established custom. For the purposes of exposition liens may be brought under the four following heads:—

I. Vendor's lien:—1. On real property. 2. On personal property.

(*b*) Attenborough *v.* St. Katharine's Dock Co., L. R. 3 C. P. D. 454.

(*c*) McLean and Hope *v.* Fleming, L. R. 2 H. L. Sc. 128, 137; Chambers *v.* Davidson, L. R. 1 P. C. 296.

II. Liens in particular trades and professions.
III. Maritime liens.
IV. Miscellaneous liens.

Section I.—Part I.

Unpaid Vendor's Lien on Real Property.

As soon as a binding contract for the sale of real estate is entered into, the equitable ownership in such estate becomes vested in the purchaser, and from that moment he and the vendor become reciprocal trustees for each other, the former holding the purchase money, and the latter the estate, in trust for the other (*d*). The position occupied by an unpaid vendor has been forcibly described as something between that of a bare trustee and of a mortgagee (*e*). Such vendor, like a mortgagee, is entitled, though not as owner, to possession of the estate and a charge thereon for his purchase money. On payment of the purchase money he ceases to have any beneficial interest and holds as a bare trustee, if the legal estate be not already conveyed; or, if it be, is deprived of any right whatever over the property. An unpaid vendor has the right in a Court of Equity to say, "Either pay me the purchase money or lose the estate," and, on the purchaser's default to comply with the demand within a given time, to have the contract cancelled by judgment of the High Court of Justice (*f*). The lien obtains not only for the whole purchase money, but also for every part thereof which may remain unpaid; it does not depend on possession, but is derived out of the vendor's former ownership under an implied equity that the price shall be paid before the estate is finally parted

(*d*) Shaw *v.* Foster, L. R. 5 H. L. 333.
(*e*) Lysaght *v.* Edwards, L. R. 2 Ch. D. 506.
(*f*) *Ibid.*

with; hence, it is not defeated by the mere fact of the vendor relinquishing possession, or of his executing a conveyance which expresses, contrary to the fact, that the purchase money has been paid (*g*). As between the vendor and parties (other than purchasers without notice) claiming through the vendee, the lien is as binding as between the vendor and vendee themselves; thus, it binds grantees of the vendee, whether the grant be voluntary or for valuable consideration, with notice of the lien (*h*). It also binds the vendee's trustee in bankruptcy (*i*); but it does not bind purchasers, under which term are to be included mortgagees and other incumbrancers, for valuable consideration having no notice of the lien, and obtaining a conveyance of the legal estate (*j*). Where the legal estate is outstanding, and there is no circumstance to put either party in a more meritorious position, the general principle, *qui prior est tempore, potior est jure*, will secure to the unpaid vendor his lien, even as against a *bonâ fide* purchaser for value without notice (*k*). But it is otherwise if, by his own diligence or by the laches of the vendor, the purchaser come to have a superior equity, for there, notwithstanding his priority of title, the vendor will be postponed; thus, it was held that an equitable mortgagee, with whom the title deeds had been deposited by the purchaser of an unpaid for estate, of which the legal interest was outstanding, must be preferred to the unpaid vendor, who, by his laches in handing over the deeds had forfeited his original priority (*l*). We have elsewhere dealt with this subject more at large, and need here, therefore, only refer to our previous observations for fuller information (*m*). An unpaid vendor may assign over his lien by mere parol (*n*); the assignee, however, can only take subject to the equities (*o*). He should, therefore, give immedi-

(*g*) Mackreth *v.* Symmons, 15 Ves. 329.

(*h*) Winter *v.* Lord Anson, 3 Russ. 488; 1 S. & S. 434.

(*i*) Bowles *v.* Rogers, cited 6 Ves. 95; *Ex parte* Hanson, 12 Ves. 349.

(*j*) Cator *v.* Earl of Pembroke, 1 Bro. C. C. 302.

(*k*) Frere *v.* Moore, 8 Price 475.

(*l*) Rice *v.* Rice, 2 Drew. 73.

(*m*) *Ante*, p. 230, *et seq.*

(*n*) Dryden *v.* Frost, 3 My. & C. 670.

(*o*) Lacy *v.* Ingle, 2 Ph. 313; *ante*, p. 311, *et seq.*

ate notice of the assignment to the purchaser, and to all persons he has reason to believe are in treaty with the latter concerning the estate or any interest therein (*p*). As may be inferred from its mode of transfer, a vendor's lien on real estate is only personal property; consequently, on the death of the vendor, it will devolve on his executor or administrator (*q*). So, conversely, the liability to pay the purchase money is also personal. Accordingly, on the death of the purchaser of an unpaid for estate, the purchase money would formerly have been payable out of the deceased's personal assets (*r*); but now the purchase money due by purchasers dying *testate* after 31st December, 1854, whose wills were made after that date (*s*), and by purchasers dying *intestate* after 31st December, 1877 (*t*), is made a charge on the estate purchased, unless the purchaser shall have signified some contrary or other intention, as described in a former chapter (*u*). The effect of these enactments will in time curtail the necessity for the application of the doctrine of marshalling in the administration of a deceased's estate to a very considerable degree. For some years to come, however, there will be many cases to which the new legislation will not extend, therefore we may say something of the rules adopted by the courts in marshalling assets where a vendor's lien has to be satisfied (*x*). The persons in whose favour marshalling is allowed are the purchaser's creditors, devisees, and legatees, but not his heirs or next of kin (*y*). As regards creditors, the doctrine is applied in the administration of a bankrupt's as well as in that of a deceased's estate; thus, if an unpaid vendor elect to relinquish his lien and prove for the whole debt in the bankruptcy of the purchaser, the latter's trustee will be entitled to stand in his place against the estate, and no benefit will thereby

(*p*) *Ante*, p. 307.

(*q*) Fletcher *v.* Ashburner, 1 Bro. C. C. 497; I. W. & T. L. C. 896, 5th ed.

(*r*) Broome *v.* Monck, 10 Ves. 597.

(*s*) 17 & 18 Vict. c. 113; 30 & 31 Vict. c. 69; Harding *v.* Harding, L. R. 13 Eq. 493.

(*t*) 40 & 41 Vict. c. 34.

(*u*) *Ante*, chap. xvii., pp. 126—129.

(*x*) As to general doctrine of marshalling, see *post*, chap. xxxi.

(*y*) Selby *v.* Selby, 4 Russ. 336.

accrue to any specific incumbrancer thereon (*z*); so, on the death of a purchaser, unsecured creditors will stand in the place of a vendor who is paid out of the personal assets, and specific incumbrancers will not be benefited. As regards devisees of estates other than the unpaid for estate, it is clear that they would stand in the place of the vendor of the latter for any portion of the purchase money that was realised out of property given to them, unless, indeed, such purchase money was expressly charged upon the property so given; and that, whether the unpaid for estate were devised or allowed to descend, and whether the devisees were specific or residuary (*a*). The same results, it would seem, ought to follow in favour of legatees; but some question has been made as to whether a pecuniary legatee whose legacy has been spent in payment of the purchase money of a devised estate ought to be allowed the benefit of marshalling (*b*). We are of opinion that the sounder view is to extend the indulgence to such legatee, and *à fortiori* to a specific or demonstrative legatee.

To the existence of a vendor's lien it is not necessary that the consideration should consist of a gross sum of money to be actually paid into the vendor's own hands; the lien will equally avail whether the consideration be such sum, or be an annuity (*c*), or other series of periodical payments (*d*), or be the discharge of the vendor's debts (*e*), or the performance of any other given act on the part of the purchaser; in these several cases the vendor, on the purchaser's default to make the periodical payment, or discharge the debts, or perform the given act, will be entitled to stand against the estates to the value of the obligation omitted. But here a most important distinction must be noted between the *performance* of a given act and a *covenant or engagement* to perform a given act; for, where the considera-

(*z*) S. 16, 32 & 33 Vict. c. 71; Cracknall *v.* Janson, L. R. 6 Ch. D. 735.

(*a*) Hensman *v.* Fryer, L. R. 3 Ch. 420.

(*b*) Lord Lilford *v.* Powys Keck, L. R. 1 Eq. 347; Wythe *v.* Henniker, 2 My. & K. 635.

(*c*) Tardiffe *v.* Scrughan, cited 1 Bro. C. C. 423; Matthew *v.* Bowler, 6 Ha. 110.

(*d*) Collins *v.* Collins, 31 Beav. 346.

(*e*) Mackreth *v.* Symmons, 15 Ves. 329.

tion for the transfer of an estate is an engagement or covenant on the part of the purchaser to do some given act, and not the performance of some given act, there the vendor will have no lien. Thus, if A. sell an estate to B. in consideration of B.'s covenant to pay a given price, A. will have no vendor's lien, whereas it would be just the reverse had the sale been in consideration of the same price paid or to be paid by B. (*f*). The same rule obtains where the consideration is a sum of money to be payable only on the happening of an uncertain event (*g*), or where the consideration, being indivisible, consists partly of an undertaking which would exclude the lien, and partly of the performance of an act, or series of acts, which would be unattended with that effect. Thus, where a leasehold was assigned to a company by deed, which stated the consideration to be £6,000, to be paid out of 50 per cent. on all sums of money to be received from the sale of shares, and 50 per cent. on all moneys borrowed by the company, until the £6,000 was paid off, and the company proving completely abortive, no part of the purchase money was ever paid, it was held that the vendor's lien was excluded by the nature of the contract (*h*). So, where the business and assets of the Western Insurance Society were transferred to the Albert Insurance Company by a deed which provided that "in consideration of the transfer of the funds and property of the Western Society, the Albert Company shall pay and satisfy all claims and demands upon the said Society when and as the same shall successively arise, and shall take upon itself all other the liabilities of every description of the said Society," it was held that on the failure of the Albert Company, and its default in satisfying the claims against the Western Society, the latter had no lien on certain lands included in the property transferred, inasmuch as the consideration for the transfer consisted partly of an undertaking on

(*f*) Dixon *v.* Gayfere, 1 De G. & J. 655; Sug. V. & P. 673.

(*g*) Clarke *v.* Royle, 3 Sim. 499.

(*h*) *In re* Brentwood Brick and Coal Co., L. R. 4 Ch. D. 562.

the part of the transferees, and was indivisible (*i*). The principle upon which a vendor's lien is excluded where the consideration is a mere covenant on the part of the vendee is, that by accepting such covenant the vendor on the execution of the contract instantly gets all he has bargained for; but this principle cannot apply where the lien is expressly reserved. On the other hand, a vendor may expressly renounce a lien to which he would otherwise be entitled, and that by mere word of mouth (*k*); he may also renounce without any express declaration by acts and conduct on evidence a manifest intention that the lien shall not exist (*l*). Of such acts an important class is constituted by reason of a vendor taking some particular security for his purchase money; how far such security shall operate in defeating the lien depends primarily on the peculiar circumstances of each individual case, and, therefore, no absolute rules on the subject can be laid down. Bearing this observation in mind, we may state it generally that the nature of a security and the object with which it is given are the chief elements which determine its effect in displacing a lien; that personal securities, such as promissory notes (*m*), bills of exchange (*n*), even though with a surety (*o*), bonds, &c. (*p*), do not affect the lien, unless proved to be given *in substitution* therefor, whilst securities on property in many cases raise a strong, and in some a conclusive presumption that the vendor intended to rely on them alone, as in the particular instance of a mortgage of the estate for part of the purchase money, where the lien is held to be waived for the balance (*q*); that where the consideration for an estate is an annuity or other periodical payment with bond or covenant to secure the same, the vendor *primâ facie* retains his lien, but that the transaction

(*i*) *In re* Albert Life Insurance Co.; *Ex parte* Western Life Assurance Society, L. R. 11 Eq. 164.

(*k*) Winter *v.* Lord Anson, 1 S. & S. 445.

(*l*) Mackreth *v.* Symmons, 15 Ves. 329.

(*m*) Gibbons *v.* Baddall, 2 Eq. Ca. Abr. 682*n*.

(*n*) Teed *v.* Carruthers, 2 Y. & C. C. C. 31.

(*o*) Hughes *v.* Kearney, 1 Sch. & Lef. 136.

(*p*) Hearle *v.* Botelers, Cary. 35.

(*q*) Capper *v.* Spottiswoode, Taml. 21

may be such a family or other arrangement as excludes that *primâ facie* right (*r*).

We have said that on the execution of a contract for sale of real estate, the equitable ownership therein becomes vested in the purchaser (*s*); we have now to add that for his deposit (if any), or for any portion, or for the whole, of the purchase money he may pay before conveyance, the purchaser acquires a lien (and that for interest on his purchase money and costs of suit) (*t*) on the estate in the nature of a mortgage (*u*), but this lien is forfeited if the contract go off by his own default (*x*). A purchaser's lien extends in favour of sub-purchasers, and will be enforced against any of the original price that was paid in advance, and is still traceable; thus, where A. sold an estate to B., and B. sub-sold to C., it was held that C. to the extent of what he had paid B. was entitled to a lien on a fund in Court, which consisted of the deposit B. had originally paid A., by whose default the contract with B. went off (*y*).

The mutual rights and liabilities of vendor and purchaser are of general application; they are the same whether the parties be private individuals or public bodies. Thus, it is now settled that a vendor to a railway company has the same lien and remedies as an ordinary vendor (*z*); that such lien will be enforced by sale although the railway be made and open for public use (*a*); that the sale will be made free from all claims of the public to use the line as a highway (*b*); but an interlocutory injunction to restrain a company from running their trains until the lien is discharged will not be granted, nor according to the most recent decision a receiver appointed (*c*), though such an

(*r*) Clarke *v.* Royle, 3 Sim. 499; Parrott *v.* Sweetland, 3 My. & K. 655.

(*s*) *Ante*, p. 329.

(*t*) Torrance *v.* Bolton, L. R. 8 Ch. 118; 14 Eq. 124; Turner *v.* Marriott, L. R. 3 Eq. 744.

(*u*) Rose *v.* Watson, 10 H. L. C. 672; Wythes *v.* Lee, 3 Drew. 396; Shaw *v.* Foster, L. R. 5 H. L. 333.

(*x*) *Ex parte* Burrell; *In re* Parnell, L. R. 10 Ch. 812.

(*y*) Aberaman Iron Works Co. *v.* Wilkes, L. R. 4 Ch. 101.

(*z*) Wing *v.* Tottenham and Hampstead Rly. Co., L. R. 3 Ch. 74.

(*a*) Walker *v.* Ware, Hadham and Buntingford Rly. Co., L. R. 1 Eq. 195.

(*b*) Bishop of Winchester *v.* Mid Hants Rly. Co., L. R. 5 Eq. 17.

(*c*) Latimer *v.* Aylesbury and Buckingham Rly. Co., L. R. 9 Ch. D. 385.

indulgence was formerly granted (*d*); that the lien is not defeated by a deposit and bond under section 85 of the Lands Clauses Act, 1845, or by the acceptance of a deposit in name of trustees in lieu of statutory deposit, if purchase and compensation moneys exceed the sum deposited (*e*).

SECTION I.—PART II.

Unpaid Vendor's Lien on Personal Property.

Between the rights of an owner of real property and the rights of an owner of personal property, there is this fundamental difference: the former are essentially founded on title, the latter on possession; hence, although an unpaid vendor of chattels is *primâ facie* entitled to a lien derived out of his former ownership, he can only claim such lien whilst the chattels are in his own actual or constructive possession, or in the possession of some third party intermediate between him and the purchaser, and cannot, like the owner of real estate, claim any lien when the actual possession has once passed to the purchaser. Again, the lien of a vendor on real property is purely the creature of equity, and before the Judicature Acts came into force would not have been recognized in a court of law; but the lien of a vendor on personal property avails as much, and is governed by the same rules at law as in equity. In the case of real estate we found that an unpaid vendor's lien could not prevail against a *bonâ fide* purchaser for value without notice in whom the legal interest vested; in the case of personal estate no such doctrine obtains, except in four instances, namely (1) where the goods are sold on credit; (2) under circumstances that estop the vendor from setting up his claim; (3) under the Factors Acts

(*d*) Munns *v.* Isle of Wight Rly. Co., L. R. 5 Ch. 414; Lycett *v.* Stafford and Uttoxeter Rly. Co., L. R. 13 Eq. 261; Pell *v.* Northampton and Banbury Junction Rly. Co., L. R. 2 Ch. 100.

(*e*) Walker *v.* Ware, Hadham and Buntingford Rly. Co.; Earl Ferrers *v.* Stafford and Uttoxeter Rly. Co., L. R. 13 Eq. 526.

(4) under a bill of lading. With these four exceptions a vendor's lien on personal property binds a purchaser for value without notice, even though the legal interest and the documents of title (if any) are transferred to him or in his favour. "I take this to be settled law, that as long as the vendor of goods remains in possession as vendor of those goods and is unpaid, he has a lien for the unpaid purchase money. I take it that it is quite immaterial that the vendor has parted with the document, which does, or does not, according to law, transfer a title to the goods. He may have given a bill of lading which passes the legal property in the goods, or he may have given a delivery order, which, though it does not pass the legal title or property in the goods, enables the person receiving it to acquire possession of the goods, and acquire a title in that way; but whatever he has done in that respect does not destroy his right of lien as long as he keeps possession of the goods as vendor, and in no other character" (*a*). From this last-mentioned restriction it is not to be inferred that a vendor who holds possession in a character different from that of vendor will necessarily be deprived of his lien; it may be that a vendor holds both as vendor and warehouseman, or as a warehouseman only; in the first case the lien continues to exist unimpaired; in the second case the lien ceases to exist, but may revive on the insolvency of the purchaser. Thus, where goods were left in possession of the unpaid vendor under an arrangement by which the purchasers were to pay warehouse rent, it was held that as there had been no actual delivery, the vendor's lien revived on the insolvency of the purchasers (*b*).

The question of vendor's lien cannot arise except where the property in the goods sold passes from the vendor; it is, therefore, of importance to observe that documents relating to the transfer of chattels are divisible into (1) documents of title property so called, or those by which the property in the chattels may be passed; and (2) documents which merely authorise a

(*a*) Imperial Bank *v.* London and St. Katharine's Docks Co., L. R. 5 Ch. D. 195. *Per* Jessel, M.R.

(*b*) Grice *v.* Richardson, L. R. 3 App. Cas. 319 (P. C.).

transfer of the property or possession, or furnish evidence that the same is held in some given manner, or for some given purpose, or that some given act has been done. To the former description of documents belong bills of lading and dock or other warrants: by due delivery and indorsement of these instruments the title and property in the goods represented may be transferred. To the latter description of documents belong delivery orders (*c*), and wharfingers, warehouse-keeper's, and other certificates (*d*); these instruments are the mere indicia of property or possession, not the means by which the same may be transferred. Too much stress cannot be laid on the distinction now pointed out, for there is nothing more common in business than to confound the two classes of instruments, and to find out when it is too late that the law and the commercial world view the same matter in very different lights. As an illustration of these remarks, we may adduce the following instance:—A delivery order does not transfer property or constructive possession in goods that are in the hands of the London and St. Katharine's Docks Company until such order is acted on by the holder obtaining (1) either actual delivery; (2) or an entry of his title in the Company's books; (3) or such entry and a dock warrant: therefore, where A., the purchaser, pledged a delivery order with B., it was held that C., who, as surety for A., was entitled to vendor's lien, having subsequently obtained a duplicate delivery order, and an indorsed dock warrant from the vendor, was to be preferred to B., and that, even though B. had been first to give notice of his claim to the Dock Company (*e*).

Under the general law, then, so long as possession does not pass to the purchaser, an unpaid vendor of goods retains his lien; nor is the same defeated by a sale to a *bonâ fide* sub-purchaser for value without notice, even where the documents transferring

(*c*) M'Ewan *v.* Smith, 2 H. L. Ca. 309.

(*d*) Gunn *v.* Bolckow, Vaughan & Co., L. R. 10 Ch. 501.

(*e*) Imperial Bank *v.* London and St. Katharine's Docks Co., L. R. 5 Ch. D. 195.

or relating to the transfer of the goods are also handed over. We have next, therefore, to consider how far the general law is modified by the four exceptional cases above specified.

1. In the first, or that where credit is given for the price of the goods, it is clear that the vendor's lien is originally extinguished, but may revive under certain subsequent circumstances. Thus, a vendor, who takes a bill of exchange in payment, loses his lien, but, if the bill be dishonoured, or if during its currency the vendor becomes openly insolvent, the lien thereupon revives (*e*). It may be doubtful whether such a lien could prevail against a *bonâ fide* sub-purchaser for value without notice who became such in the interval between the original purchase and the dishonour of the bill or open insolvency of the vendee.

2. The second exceptional case, or that under which a vendor is estopped from setting up his lien, is in general governed by the principles we have elsewhere mentioned (*f*); we may consider the present subject under the two heads of (1) estoppel by conduct; (2) estoppel by representations in a document of title. Without pretending to lay down any universal rule, we may state it broadly that a vendor who by his words or conduct wilfully endeavours to make, and does make, a man believe that his lien is satisfied, or, whatever his intentions may be, acts in such a way as to induce that belief in the mind of any reasonable man, is estopped from setting up his lien against a *bonâ fide* purchaser for value who has bought the goods in question under a belief so induced (*g*). Thus, where A., whose granary adjoined a railway station, sold a certain quantity of barley to B., and B. subsold to C., who thereupon requested the station master to ascertain from the vendor if the contract would be duly carried out; and the latter, on being shown C.'s letter, replied to the station master, "All right; when you get the forwarding note I will put the barley on the line;" it was held that the vendor by such allegation was estopped from denying that the property

(*e*) Gunn *v.* Bolckow, Vaughan & Co., L. R. 10 Ch. 501: *Ex parte* Chalmers; *In re* Edwards, L. R. 8 Ch. 289.

(*f*) *Ante*, pp. 265, 266, 272, 273.

(*g*) Carr *v.* London and N. W. Rly. Co., L. R. 10 C. P. 307, 316, 317.

in the barley, notwithstanding the same was unappropriated, had passed to C. (*h*). With regard to estoppel by representations contained in a document of title, it would seem that a vendor is not precluded from insisting on his lien by anything short either of an express statement that his claim is satisfied or of a form of instrument, which is sufficient in law to transfer the property and by usage passes a title free from any claim on the part of the vendor. Thus, vendors who had delivered the following orders for unappropriated goods: "We hereby undertake to deliver to your order indorsed hereon twenty-five tons merchantable sheet zinc off your contract of this date," were held not to be estopped from setting up their lien against sub-vendors of the purchasers (*i*); but where the vendors of iron had issued warrants in the following form:—

"The undermentioned iron will not be delivered to any party but the holder of this warrant.

Phœnix Bessemer Steel Company, Limited.

No. 88.

Dec. 19th, 1874.

Stacked at the works of the *Phœnix Bessemer Steel Company.*

The Ickles, Sheffield.

Warrant for 403 tons, 2 qrs. 9lbs. steel rails. Iron deliverable (f. o. b.) to Messrs. *Gilead A. Smith & Co., of London,* or to their assigns by indorsement hereon;"—

and it was proved that by usage of trade such warrants when indorsed over by a transferee for value, pass the property free from vendor's lien, it was decided that in law also the same exoneration must be allowed (*k*). This decision establishes a principle the application of which must be carefully restricted; it cannot, it is submitted, be extended beyond documents of title, properly so called; it deals with a subject the legal bearings of which are in a very unsatisfactory state.

(*h*) Knights *v.* Wiffen, L. R. 5 Q. B. 660.

(*i*) Farmeloe *v.* Bain, L. R. 1 C. P. D. 444.

(*k*) Banking Co. of London *v.* Phœnix Bessemer Steel Co., L. R. 5 Ch. D. 205.

3. The next exceptional case under which a vendor is estopped from setting up his lien is that under the Factors Acts; these statutes have already engaged our attention in a separate chapter (*l*); we have now, therefore, only to supplement our previous observations by a short view of the mode in which their provisions affect the subject in hand. Let us begin with the three earlier Acts; neither of these measures had any application to the relation of vendor and vendee, who personally contracted with each other; thus, neither a vendor (*m*), who retained the documents of title to goods, nor a vendee (*n*), to whom they were transferred, could, by a pledge or other disposition of such documents, confer a better title on the pledgee or disponee than what he himself possessed, as neither a vendor or a vendee was intrusted with the documents as agent within the meaning of the Acts; hence a transfer of the documents by the vendor did not defeat the vendee's ownership, nor a transfer by the vendee the vendor's lien. It was only when a mercantile agent, such as a factor, was intrusted with the documents of title that a statutory right might be conferred against which the principal vendor could set up no claim (*o*). Under the term "documents of title" are included warehouse-keeper's and wharfingers' certificates, delivery orders, and other documents used in the ordinary course of business as proof of the possession or control of goods (*p*), as well as the instruments which we have described as documents of title properly so called (*q*): thus, as contrasted with the general law, a twofold distinction was introduced by the Factors Acts in regard to documents of title. In the first place, they were made capable, in the hands of a mercantile agent, of passing an absolute title to the goods to which they related; in the second place, they had a more extensive meaning attributed to them. Through these changes

(*l*) *Ante*, chap. xxvi.

(*m*) Johnson *v.* Credit Lyonnais, L. R 3 C. P. D. 32.

(*n*) Jenkyns *v.* Usborne, 8 Sc. N. R. 405.

(*o*) *Ante*, pp. 260, 261.

(*p*) S. 2, 6 Geo. IV. c. 94; s. 4, 5 & 6 Vict. c. 39, *ante*, pp. 254, 255.

(*q*) *Ante*, pp. 337, 338.

an effect was given to the transfer of a document of title under the Acts similar to the effect of such transfer in business. We now come to the Factors Act, 1877 (*r*). This measure, the operation of which is restricted to acts done and rights acquired after 10th August, 1877, enables vendors and vendees who are in possession of the documents of title to goods sold to confer the same rights on persons having no notice of the sale, or of any lien or other right of the vendor or vendee, respectively, as mercantile agents, if intrusted with such documents, might confer (*s*). The statute does not expressly define the meaning it attaches to documents of title, but it is probable that the term will be held to be employed in the same sense as in the earlier Acts. If this be the true interpretation, a uniform system will be established, under which the important question for persons dealing with vendors and vendees on the faith of documents of title in their possession will be—not what is the nature of the document, but—whether all documents relating to the goods are produced, and at what time the dealing takes place. We conceive that, as between adverse claimants under vendor and vendee respectively, priority of title must give priority of right, quite irrespective of the general legal operation of the particular instrument on which the transaction is founded. Thus, suppose an unpaid vendor hands to the vendee a dock warrant and delivery order for the goods sold, and that the vendee pledges, first, the delivery order with A., and then the dock warrant with B., and that both A. and B. make advances *bonâ fide* without notice either of the vendor's lien or of any other document of title than the one he himself received, then both A. and B. would have priority over the vendor, and A. would have priority over B. So, if the vendor had himself retained the dock warrant, only handing over the delivery order, and A. became the vendee's pledgee, and B. the vendor's pledgee, the priority of A. and B. as between each other, would depend, *cæteris paribus*, on which first became a pledgee. It will be observed that, as between

(*r*) 40 & 41 Vict. c. 39.

(*s*) *Ibid.*, ss. 3, 4, *ante*, p. 257.

vendor and vendee themselves, possession of the documents of title gives no advantage under the recent statute. It is only when a dealing with a third person takes place that the new legislation is called into force. But yet it must not be supposed that no distinction is made between the respective powers of a vendor and vendee in possession of documents of title; such a vendor has only the powers of a mercantile agent, but such a vendee has, in addition, an express power, by indorsement or delivery of a document of title to a *bonâ fide* transferee for valuable consideration, of defeating any vendor's lien or right of stoppage *in transitu* to the same extent as the transfer of a bill of lading would have (*t*). The precise effect of this provision is not very clear. We submit that it enlarges the powers of a vendee in the following respects:—(1) It enables him to defeat his immediate vendor's lien in cases not within the other provisions of the Factors Acts; (2) it enables him to defeat the lien of any other vendor; (3) it gives to his due transfer of a document of title a result similar to the transfer of a bill of lading; and this brings us to our next subject of consideration, or the mode in which a vendor's lien may be defeated by such transfer.

4. A bill of lading may be defined to be a contract in writing, whereby the master of a ship acknowledges that the goods therein mentioned have been shipped on board his vessel, and undertakes, if not prevented by the act of God, the Queen's enemies, fire, or accidents of navigation, safely to carry to and deliver such goods at a given place, to a given person, or his order or assigns. Bills of lading are usually made out in sets of three or more counterparts. Of these, the master retains one, the rest—each bearing his signature—are handed over to the shipper or consignor, or other the owner of the goods. By the latter's transfer of a bill of lading, the property in the goods vests in the transferee (*u*), with what effect upon an unpaid vendor's lien we have here to examine. The ship upon which

(*t*) S. 5, 40 & 41 Vict. c. 39; *ante*, pp. 257, 258.

(*u*) Lickbarrow *v.* Mason, 2 T. R. 63; 1 H. Bl. 357; 6 E. 21.

the goods are carried may belong to the vendor, to the vendee, or to a third party. In the first case, as the vendor continues in possession, his lien will be unaffected during the transit; in the second case, on the other hand, possession vests in the vendee from the time of shipment, and from that moment the vendor's lien is defeated (*x*); in the third case, possession passes to an intermediate shipowner or his agent, the master of the ship, who *primâ facie* holds possession in favour of the vendor, and his lien will, during the transit, continue good, as against the vendee personally. By express agreement, the vendor may, of course, renounce or preserve his claim (*y*); but there is no implied renunciation by the goods being shipped on a vessel named, though not owned by the vendee (*z*), even though the master signs bills of lading, making the goods deliverable to the vendee or his order or assigns (*a*), and though the goods are shipped on account and at the risk of the vendee (*b*); it, in fact, requires a new agreement to make an intermediate carrier hold for the vendee, so as to defeat the vendor's lien from time of the shipment (*c*). As between the vendor and vendee themselves, the vendor's lien continues to exist until the vendee obtains possession, or the transit is ended, and the unpaid vendor, on the insolvency of the vendee, may at any time during the transit enforce his lien by stopping the goods and resuming their possession. This "right of stoppage *in transitu*," as it is called, presupposes that the right of possession to the goods, but not the actual possession, is vested in the vendee (*d*); therefore, if either condition fail there can be no exercise of the right (*e*). Many difficult questions arise in determining in different circumstances what constitutes a *transitus*, and when the same

(*x*) Schotsman *v.* Lancashire and Yorkshire Rly. Co., L. R. 2 Ch. 332.

(*y*) Turner *v.* iverpool Docks Co., 20 L. J. Ex. 393.L

(*z*) Berndston *v.* Strang, L. R. 4 Eq. 481; 3 Ch. 588.

(*a*) Moakes *v.* Nicolson, 19 C. B. N. S. 290.

(*b*) Shepherd *v.* Harrison, L. R. 5 H. L. 116.

(*c*) Whitehead *v.* Anderson, 9 M. & W. 518; *Ex parte* Cooper; *In re* McLaren, W. N. (1879) 35.

(*d*) Lickbarrow *v.* Mason, *ubi supra.*

(*e*) Turner *v.* Liverpool Docks, 6 Exch. 543.

terminates. Thus, it does not follow that because the goods are landed on a wharf, or warehoused at the port of destination, or that the vessel has arrived at a port to wait the vendee's orders, that the *transitus* is at an end (*f*); indeed, it may be laid down generally that the *transitus* continues so long as the goods are in charge of a third party, who is contracted with for the purpose of forwarding them (*g*); therefore, where, under an agreement by which the vendor was to have a lien on bills of lading which were to be made out to the purchaser's foreign correspondents or their order, goods were sent by the vendor to a packer, by whom they were then forwarded at the directions of the purchaser to a railway company, and eventually shipped, but the bills of lading were not delivered by the shippers, it was held, on the bankruptcy of the purchaser before the goods reached the port of destination, that a telegram from the vendor ordering the master to deliver the goods to one P. & Co. was an effectual stoppage *in transitu* (*h*). To effect such a stoppage, it is necessary that actual notice should be given by the vendor or some person previously authorised on his behalf to the master of the ship, or other intermediate party having actual possession or control of the goods. Notice by an unauthorised person, unless subsequently ratified by the vendor within the time he might himself have exercised the right (*i*), or notice to the shipowner, unless forwarded, or which might by reasonable diligence have been forwarded, to the party having actual possession or control of the goods, is insufficient (*k*). A delivery of part of the goods to the vendee is not a constructive delivery of the whole, so as to defeat the vendor's lien or right of stoppage *in transitu*, unless the buyer thereby intend to take possession of the whole (*l*); but the vendee may anticipate the termination of the transit by demanding possession before the voyage is con-

(*f*) Fraser *v.* Witt, L. R. 7 Eq. 64.
(*g*) Rodger *v.* Comptoir d'Escompte de Paris, L. R. 2 P. C. 393.
(*h*) *Ex parte* Watson, *In re* Love, L. R. 5 Ch. D. 35.
(*i*) Bird *v.* Brown, 4 Exch. 786.
(*k*) Whitehead *v.* Anderson, 9 M. & W. 518.
(*l*) Tanner *v.* Scovell, 14 M. & W. 431; Bolton *v.* Lancashire, &c. Rly. Co. L. R. 1 C. P. 431.

cluded (*m*), and the carrier cannot, by prolonging the transit after such demand, save the vendor's rights if not already secured by a previous stoppage (*n*). To the existence of a vendor's right to stop goods *in transitu*, it is not requisite that the property therein should ever have been vested in himself. Thus, if A. contract to sell goods then on sea to B., and B. immediately resell to C., to whom the bills of lading are by A. transferred at B.'s request, B. will be entitled to stop the goods on C.'s insolvency (*o*). Generally speaking, no one but a vendor or independent consignor has a right of stoppage *in transitu* (*p*). The same indulgence, however, has been extended to a consignor who ships goods bought in a foreign market and consigned to a home principal, to whom they are sold at a commission (*q*). So a right analogous to stoppage *in transitu* has been given to a vendor who is under a contract to deliver the goods sold in certain instalments, which are to be paid for *pari passu*. In such case, default on the part of the purchaser to make any payment will authorise the vendor to suspend delivery of any further instalment until he is satisfied what is due (*r*). According to the better opinion, the effect of a stoppage *in transitu* is not to rescind the contract; but further than that no precise doctrine as to its operation on the rights of parties can be laid down (*s*).

We have hitherto been engaged with a vendor's rights, as between himself and his immediate vendee. Let us next, therefore, consider the vendor's rights as between himself and subvendees, or other persons claiming under the original vendee. As against volunteers, the vendee's trustee in bankruptcy (subject to the order and disposition clause) and purchasers or incumbrancers for value, with notice that the goods are unpaid for, the vendor's lien avails, and may be enforced in the same

(*m*) Whitehead *v.* Anderson, *ubi supra.*

(*n*) Bird *v.* Brown, *ubi supra.*

(*o*) Jenkyns *v.* Usborne, 8 Sc. N. R. 522.

(*p*) Hathesing *v.* Laing, L. R. 17 Eq. 92; Siffken *v.* Wray, 6 E. 371.

(*q*) Frise *v.* Wray, 3 E. 93.

(*r*) *Ex parte* Chalmers, L. R. 8 Ch. 289.

(*s*) Bloxam *v.* Sandars, 4 B. & C. 948; Wentworth *v.* Outhwaite, 10 M. & W. 451; *Ex parte* Stapleton; *In re* Nathan, L. R. 10 Ch. D. 586.

manner as against the vendee himself, and that whether or not the bill of lading has been passed to the transferee; as against a *bonâ fide* (*t*) purchaser or incumbrancer for value (*u*), without such notice, to whom the bill of lading is duly transferred by the vendee's indorsement and delivery, the vendor's lien and right of stoppage *in transitu*, if not previously enforced, are absolutely or *pro tanto* extinguished, and cannot be set up on the subsequent bankruptcy of the original vendee (*x*). A *pro tanto* extinguishment of the vendor's rights occurs where the *bonâ fide* transferee is an incumbrancer whose incumbrance does not exhaust the value of the goods, and if such incumbrancer have a collateral security, as where he is pledgee of other goods besides the bill of lading, the vendor, having duly exercised his right of stoppage, will be entitled to the benefit of marshalling, so as to have the other goods first applied to the discharge of the incumbrance (*y*). We have already seen that a bill of lading was made assignable in the hands of a consignee, without, however, interfering with the vendor's rights as they existed prior to the statute (*z*), and that a past debt as well as a present advance was good as a valuable consideration to support a transfer against a vendor's claims (*a*). This result must be carefully borne in mind when dealing with the Factors Acts. It should also be observed that as between transferees of different sets of bills of lading, priority of title prevails, even though the transfers be subsequent to the landing of the goods at a sufferance wharf, and that the subsequent transferee has also a dock warrant (*b*).

(*t*) Cumming *v.* Brown, 9 E. 514.

(*u*) Chartered Bank of India, Australia, and China *v.* Henderson, L. R. 5 P. C. 501.

(*x*) Lickbarrow *v.* Mason, *ubi supra.*

(*y*) *In re* Westzinthus, 5 B. & Ad. 817; *Ex parte* Alston, L. R. 4 Ch. 468; Coventry *v.* Gladstone, L. R. 6 Eq. 44.

(*z*) *Ante*, p. 302.

(*a*) Leask *v.* Scott, L. R. 2 Q. B. D. 376.

(*b*) Meyerstein *v.* Barber, L. R. 4 H. L. 317; 2 C. P. 38, 661.

SECTION II.

Liens in Particular Trades and Professions.

The liens treated of in the preceding section grew out of an original ownership on the part of the person claiming to exercise the lien: the liens to be treated of in the present section do not in any way depend on ownership, but are purely founded on possession; hence, two points in which these merely possessory are distinguished from vendor's liens—they are lost by loss of possession; they confer a mere right to retain, not, unless in exceptional cases, a right to realise, apply, or otherwise deal with, the property affected (*a*). "The very notion of a lien," it has been said in a case on this subject, "is that, if the person who is entitled to the lien, for his own benefit, parts with the chattel over which he claims to exercise it, he is guilty of a tortious act. He must not dispose of the chattel so as to give some one else a right of possession as against himself" (*b*). A possessory lien, however, may be acquired and held by one's duly authorised agent as well as by oneself; in either case the possession must be *bonâ fide* and in the ordinary course of business, and not obtained on terms inconsistent with the claim set up. As a lien does not, as a rule, prevent the person exercising it from bringing an action to recover the debt for which it is held, so neither does it entitle him to charge for any expense he may have been put to in retaining a chattel to enforce payment: thus, it was held that a shipwright who had a lien on a ship for repairs could not be allowed anything for the dock charges which he had incurred in keeping the ship (*c*). Unlike vendor's lien on real estate (*d*), a possessory lien is lost by taking a security for a claim in

(*a*) Thames Iron Works Co. *v.* Patent Derrick Co., 29 L. J. Ch. 714.

(*b*) Mulliner *v.* Florence, L. R. 3 Q. B. D. 489.

(*c*) British Empire Shipping Co. *v.* Soames, E. B. & E. 353; 30 L. J. Q B. 229.

(*d*) *Ante*, pp. 334, 335.

respect of which it would otherwise be allowed; hence, a solicitor cannot retain the papers of a client from whom he has received a promissory note, mortgage, or other security for payment of his costs (*e*).

Liens, it has been said, exist (I.) by common law; (II.) by usage; (III.) by agreement (*f*); they may, to whichever of those classes they belong, be either general or specific. All possessory liens, other than those created by agreement of the parties, are frequently described as common law liens. In the above classification, a lien existing by common law only includes such liens as are given to persons who, as carrying on certain trades, are bound by the common law to receive the goods of third persons in the course of their business; a lien existing by usage includes all liens given by the usage of particular trades other than common law liens, as just mentioned.

I. Of common law liens there are two kinds: 1, the lien of carriers, (1) whether by land (2) or by sea; 2, the lien of innkeepers.

(1) By the common law, carriers are either common carriers—*i.e.*, persons who undertake, if they have room, to convey any goods and chattels of a given description that may be brought to them for reward from any one given point to any other given point (*g*)—or private carriers, *i.e.*, persons who convey either passengers or, under a special agreement, convey goods (*h*). Private carriers are not bound to receive goods for conveyance, nor are they, like common carriers, insurers of the goods they carry (*i*), nor is it quite settled if they are entitled to a lien thereon for the price of carriage. It would seem, however, that such a lien ought to be established, inasmuch as there is no legal distinction between the status of private carriers and that of wharfingers and other bailees for hire, whose lien has been admitted (*k*). If admitted,

(*e*) Cowell *v.* Simpson, 16 Ves. 275; Blunden *v.* Desart, 2 D. & W. 423.

(*f*) Naylor *v.* Mangles, 1 Esp. N. P. R. 109; per Kenyon, Ld.

(*g*) Coggs *v.* Bernard, 2 Ld. Raym. 918; Liver Alkali Co. *v.* Johnson, L. R. 7 Ex. 267; 9 Ex. 338; Kendall *v.* L. & S. W. Ry. Co., L. R. 7 Ex. 337.

(*h*) Aston *v.* Heaven, 2 Esp. 533; Wright *v.* Mid. Ry. Co., L. R. 8 Ex. 437.

(*i*) Scaife *v.* Farrant, L. R. 10 Ex. 437.

(*k*) Angell, Law of Carriers, s. 66.

the lien of a private carrier would be similar to that of a common carrier, which, in the absence of express agreement or recognised usage enlarging his rights, is only a special lien, extending, however, over every article conveyed under the same agreement for the full amount of carriage (*l*). A common carrier has no lien in his capacity of warehouseman (*m*), unless he is expressly constituted such, in which case he will have the rights and liabilities of that character (*n*); but as long as the goods carried have not been actually delivered out of his possession or control, they are held by a carrier as such, notwithstanding he may have transferred them to a wharf or warehouse (*o*). By 11 & 12 Vict. c. 18, 16 & 17 Vict. c. 107, s. 60, and 25 & 26 Vict. c. 63, ss. 68—78 (*p*), special provision has been made for preserving freighter's lien on cargoes landed at a wharf or warehouse within the United Kingdom. Irrespective of these statutes, it would seem that the master of a vessel may, on default of the consignee to take delivery, land and warehouse goods consigned to a foreign port, and still retain his lien for freight (*q*). A carrier may refuse to convey goods, unless the price of carriage be paid in advance (*r*); but, if he refrain from insisting on that demand, he cannot sue for the price until he has performed his part of the contract by due delivery of the goods at their proper destination (*s*). To a carrier is given a special property in the goods he carries, and it has been laid down that a carrier's lien will avail against the real owner of goods that have been bailed by a wrongful possessor (*t*); but it may be questioned if such a lien would now be allowed (*u*).

(*l*) Chase *v.* Westmore, 5 M. & S. 180.

(*m*) Great Northern Ry. *v.* Swaffield, L. R. 9 Ex. 132.

(*n*) Mitchell *v.* Lancashire and Yorkshire Ry. Co., L. R. 10 Q. B. 256.

(*o*) Bourne *v.* Gatliff, 5 Sc. 667; 3 Sc. N. R. 1; 8 Sc. N. R. 604; 11 Cl. & F. 45.

(*p*) The Energie, L. R. 6 P. C. 306.

(*q*) Mars-le-Blanch *v.* Wilson, L. R. 8 C. P. 227.

(*r*) Wyld *v.* Pickford, 8 M. & W. 443.

(*s*) Osgood *v.* Groning, 2 Camp. 466; Duthie *v.* Hilton, L. R. 4 C. P. 138; Cargo *ex* Argos, L. R. 4 A. & E. 13.

(*t*) Yorke *v.* Grenaugh, 2 Ld. Raym. 866.

(*u*) Angell, Law of Carriers, s. 364 *et seq.*; Betut *v.* Hartley, L. R. 7 Q. B. 594.

(2) The relations of a carrier by sea are usually much more complex than those of a carrier by land; for, besides consignor, consignee, and carrier, who are ordinarily the only persons concerned in a contract to carry by land, there may also be a separate charterer where the contract is to carry by sea. If there be no separate charterer, the only lien that can arise is for the freight directly due to the shipowner, and the only contract in question is that constituted by the bill of lading, which may or may not specify both the amount and the parties by whom the freight is to be paid (*x*). For the amount so specified, or if no amount be specified, for a reasonable amount, the shipowner or his agent, the master, may detain the goods carried, unless the lien be excluded by the nature of the contract, as where the shipowner stipulates that freight shall not be paid until *after* delivery of the cargo (*y*). And here it is important to observe that a sum of money payable for the carriage of goods *before* (*z*) the arrival of a ship at her port of discharge is not freight (*a*) in the legal meaning of the term, nor can freight be earned unless the goods are carried safely to their destination; therefore, in neither of these events can any lien be claimed (*b*). If the ship be chartered, then a distinction must be taken between a charter which amounts to a demise transferring the ownership, and a charter transferring only the use of the vessel. In the former case, the master and crew become the servants of the charterer, who, through them, obtains possession of the vessel, and the shipowner accordingly can have no lien on the cargo. In the latter case, the master and crew continue the servants of the shipowner, who, through them, remains in possession of the vessel (*c*), and as against the charterer, he will have a lien on the cargo for the hire of the vessel (*d*), but as against a holder for value of a bill

(*x*) Weguelin *v.* Cellier, L. R. 6 H. L. 286; *Ex parte* Cooper; *In re* McLaren, W. N. (1879) 35.

(*y*) Foster *v.* Colby, 28 L. J. Ex. 81.

(*z*) Kirchner *v.* Venus, 12 Moo. P. C.; Acatos *v.* Burns, L. R. 3 Ex. D. 282.

(*a*) Keith *v.* Burrowes, L. R. 2 App. Cas. 636; 2 C. P. D. 183; *ante*, p. 152.

(*b*) Benson *v.* Chapman, 2 H. L. C. 696.

(*c*) Sandeman *v.* Scurr, L. R. 2 Q. B. 86; Newberry *v.* Colvin, 1 Cl. & F. 283.

(*d*) Saville *v.* Campion, 2 B. & Ald. 503.

of lading, only for the amount due thereby for freight, unless the holder when he took the bill had notice of the charter-party (*e*). As agent for charterers, a master will have a lien for freight similar to the lien he has when the shipowner is himself the freighter. The terms of a charter-party are frequently incorporated into a bill of lading, so that the rights of the several parties depend upon the joint construction of the two instruments.

In some charter-parties it is provided that the shipowner shall have a lien on the cargo, not only for actual freight, but also for dead freight—that is, for damages for short loading. To make such a stipulation effectual as against the holder of the bill of lading, it is necessary that he should have had notice thereof, and that the precise amount of damages be ascertainable (*f*). In addition to his right of lien, the shipowner is entitled to sue the charterer for the hire of the vessel, but a cesser of the charterer's liability is often agreed upon as soon as a cargo is loaded (*g*).

2. Innkeeper's lien depends on the fact that the goods come into the innkeeper's possession in his character of innkeeper as belonging to a guest (*h*); hence, an innkeeper receiving the goods of a third person as part of his guest's goods has a lien thereon (*i*), unless he knows the goods are not his guest's, and does not receive them as such (*k*). As the lien can only exist where the relation of innkeeper and guest is established, it is necessary to explain the sense in which the law understands those terms. An innkeeper is a person who maintains a house where the traveller is furnished with everything he has occasion for while on his way, and wherein the owner holds out he will receive all travellers and sojourners who are willing to pay a price adequate to the sort of accommodation provided, and who come

(*e*) Kern *v.* Deslandes, 10 C. B. N. S. 205.

(*f*) McLean and Hope *v.* Fleming, L. R. 2 H. L. Sc. 128; Gray *v.* Carr, L. R. 6 Q. B. 522.

(*g*) French *v.* Gerber, L. R. 2 C. P. D. 247.

(*h*) Smith *v.* Dearlove, 6 C. B. 132.

(*i*) Threfall *v.* Borwick, L. R. 7 Q. B 711.

(*k*) Broadwood *v.* Granara, 24 L. J Ex. 1.

in a situation in which they are fit to be received (*l*). A lodging-house keeper, on the other hand, makes a contract with every man that comes, whereas an innkeeper is bound, without making any special contract, to provide lodging and entertainment for all at a reasonable price (*m*). Under the term innkeeper, then, are included the owners of hotels and other places where persons have a right to be received and fully accommodated as guests for a reasonable remuneration; but no place where food and drink only, or where beds only are furnished, is an inn in legal contemplation; hence, eating, coffee, and public houses, taverns, restaurants, and cafés, are seldom inns, because, whether called so or not, they rarely afford sleeping accommodation (*n*). And even in the case of an inn proper, a person who does not take his meals but only sojourns there under an express contract for lodging for a certain time is not a guest, but merely a lodger (*o*); but it is otherwise if he actually have or simply pay for his diet in the house (*p*).

Once constituted, the relation of innkeeper and guest entitles the former to a lien on all goods brought upon his premises by the latter for debts incurred in that relation; such lien is specific, though it obtains in favour of every part of a debt which consists of several items. Thus, an innkeeper cannot claim to retain his guest's goods for a general balance which is due for entertainment supplied on former occasions, but only for the entertainment supplied on the particular occasion when the goods come into his possession; on the other hand, an innkeeper's lien upon any given article is not limited to a sum he may have a right to charge in respect of that article, but extends to the entire debt in which that sum is included; hence, an innkeeper was allowed a lien on a carriage not only for its own keep, but also for the general bill incurred on the same occasion

(*l*) Thompson *v.* Lacy, 3 B. & A. 283.
(*m*) *Ibid.* As to the liability of innkeepers, see Calye's Case, 8 Rep. 32 *a*, 26 & 27 Vict. c. 41; Spice *v.* Bacon, L. R. 2 Ex. D. 463.
(*n*) Doe *v.* Laming, 4 Camp. 77; The Queen *v.* Rymer, L. R. 2 Q. B. D. 136.
(*o*) Dansey *v.* Richardson, 3 E. & B. 144; Holder *v.* Soulby, 8 C. B. N. S. 254.
(*p*) Parker *v.* Flint, 12 Mod. 255.

by the guest who brought it (*q*). At common law, an innkeeper's was a mere possessory lien: hence, if an innkeeper sold or parted with possession to a stranger of goods subject to his lien, he forfeited such lien and was guilty of a conversion for which the owner might recover damages to the full value of the goods. The law, however, has been changed by the Innkeepers Act, 1878 (*r*), which came into force on 8th August, 1878: it provides that—The landlord, proprietor, keeper, or manager of any hotel, inn, or licensed public house shall, in addition to his ordinary lien, have the right absolutely to sell and dispose by public auction of any goods, chattels, carriages, horses, wares, or merchandise which may have been deposited with or left in the house he keeps, or in the coachhouse, stableyard, or other premises appurtenant or belonging thereunto, when the person depositing or leaving such goods, chattels, carriages, horses, wares, or merchandise shall be or become indebted to the said innkeeper either for any board or lodging or for the keep and expenses of any horse or other animals left with or standing at livery in the stables or fields occupied by such innkeeper; but no such sale is to be made until the goods have been six weeks in the innkeeper's charge or on his premises without the debt having been paid or satisfied, nor for any other or greater debt than one for which the innkeeper could set up a lien at common law; moreover, the innkeeper is at least one month before the sale to advertise notice thereof in one London and one country newspaper, of which the latter circulates in the district where such goods or some of them have been deposited or left, and is bound on a sale taking place to hand over on demand to the person who deposited or left the goods any surplus proceeds after payment of his own debt, and of the costs and expenses of the sale.

II. At common law a workman, employed to do work on goods and chattels delivered into his possession, has a lien

(*q*) Mulliner *v.* Florence, L. R. 3 Q. B. D. 484.

(*r*) 41 & 42 Vict. c. 38.

thereon for his charges of the work done, and that whether those charges be defined by express agreement or arise by implication of law. Such lien is merely possessory and specific; it, however, obtains almost universally, the exceptions being limited to cases like that of agistment (*s*), where the nature of the employment as admitting an immediate resumption of possession by the employer is inconsistent with a right to retain in the employed. Workman's lien, then, is not confined to the mere artisan who effects some physical labour on goods delivered into his hands, but is allowed in favour of business men generally, who in the course of their avocations receive the goods of others to be dealt with by them for reward. In certain trades and professions, however, usage has amplified the ordinary workman's lien by making it a general lien, which in some instances entitles the holder to realise and apply the property affected to the discharge of the debt for which he claims to retain. Until a general lien is recognised as part of the Law Merchant, strict evidence of its existence must be produced by the party claiming its benefit; but once the Courts have enforced a usage so far as to render it part of the Law Merchant, a general lien conferred by such usage must be judicially noticed (*t*). The following are the most important classes of persons in whose favour a general lien is established by usage:— Auctioneers (*u*), bankers, insurance brokers (*x*), factors (*y*), warehouse and dock keepers, wharfingers (*z*), packers (*a*), calico printers (*b*), and solicitors. An auctioneer, factor, or insurance broker, has a general lien on the proceeds of goods of which he has disposed in the way of his business, as well as on the goods themselves, and he is entitled to apply such proceeds in liquidation of his claims; the same is true of stock brokers, who are

(*s*) Jackson *v.* Cummins, 5 M. & W. 342, 349; Judson *v.* Etheridge, 1 C. & M. 743.

(*t*) Brandao *v.* Barnett, 12 Cl. & F.

(*u*) Drinkwater *v.* Goodwin, Cowp. 251.

(*x*) Fisher *v.* Smith, L. R. 4 App. Cas. 1.

(*y*) Kruger *v.* Wilcox and Anr. 252.

(*z*) *Ex parte* Ludlow; *In re* Hancock, W. N. (1879) 65; Moet *v.* Pickering, L. R. 8 Ch. D. 372.

(*a*) *In re* Witt; *Ex parte* Shubrook, L. R. 2 Ch. D. 489.

(*b*) Weldon *v.* Gould, 3 Esp. 268.

proved to have a general lien by local custom (*c*); but in these cases the general lien only warrants an application of the proceeds of a duly authorised sale, not the sale itself; hence, if the authority to sell be expressly revoked, the auctioneer, factor, or broker cannot by virtue of his lien dispose of the goods after such revocation (*d*), but a factor has been allowed to proceed with the sale after notice of the bankruptcy of his principal (*e*). Insurance brokers have a lien for their general balance, commission, and charges on the policies they effect (*f*); but they cannot sell the same to liquidate their claims, though if the moneys become payable and pass through their hands, they may deduct what is due to them. Warehouse and dock keepers, wharfingers, and packers have no power to realise or apply the proceeds of goods over which they have a general lien; they have merely a right of retainer; it is otherwise with bankers, whose rights and those of solicitors demand a more detailed examination.

The general lien of bankers is part of the Law Merchant, and is to be judicially noticed like the negotiability of bills of exchange (*g*); it enables bankers not only to retain, but also to realise and apply all funds and securities of which they become possessed in their business character in satisfying whatever claims they have as bankers against the customer to whom such funds and securities belong (*h*); and so far is the privilege carried that although a bank having several branches is only bound to honour the cheques of a customer at the particular branch where he keeps his account (*i*), yet, if a customer have several accounts at several branches, the bank is entitled, and that without notice, to set off the debt he owes at one against the credit he has at the other and to refuse to cash his drafts upon the latter except for any balance that may then stand in his name (*k*). A banker

(*c*) Jones *v.* Peppercorne, 28 L. J. Ch. 158.

(*d*) Smart *v.* Sanders, 5 C. B. 895.

(*e*) Robson *v.* Kemp, 4 Esp. 232, 236. As to reputed ownership of goods in hands of factor, see *In re* Fawcus; *Ex parte* Buck, L. R. 3 Ch. D. 795.

(*f*) Fisher *v.* Smith, *supra*.

(*g*) Brandao *v.* Barnett, 12 Cl. & F. 787.

(*h*) *Ante*, pp. 227, 228.

(*i*) Prince *v.* Oriental Banking Corporation, L. R. 3 App. Cas. 325.

(*k*) Garnett *v.* M'Kewan, L. R. 8 Ex. 10.

cannot claim a lien on funds or securities with which he is intrusted for some purpose altogether extraneous to banking business; thus, he has no lien on muniments merely deposited with him for safe custody (*l*); and, conversely, if he be a mere gratuitous bailee, he will not be liable for any loss that may befall the bailor, except such as occurs through his gross negligence (*m*). It would be different if, besides being bailee, the banker were intrusted with documents in order to perform some duty for which he was to be paid; in that case the question would be whether the duty was properly within the scope of a banker's business, and if the answer were affirmative, a banker's lien would exist: thus, a banker's lien was allowed on railway shares, the certificates of which were deposited by a customer with his bankers, to whom he allowed a commission for collecting the dividends as they became due (*n*). Banker's lien cannot attach to funds which a customer at the time of lodgment expressly appropriates to some specific object (*o*); but this rule only applies as between the customer and his own banker, not as between the customer of a country banker and the latter's London correspondent, without notice of the appropriation; hence, the London correspondent may retain all remittances except such as he knows are appropriated for his general balance against the remitting bank (*p*). The effect of opening an account described as a trust account is to appropriate all sums paid into such account in favour of the *cestui que trust*, so as to exclude any lien for a balance due from the trustee in his personal capacity (*q*), except to the extent, if any, to which he may be entitled to share in the fund beneficially (*r*).

A solicitor has a lien for his costs on three different subjects, viz.:—1. On books and documents received in his professional capacity. 2. On the fruits of a judgment, decree, or order

(*l*) *Ante*, p. 228.

(*m*) Giblin *v.* McMullen, L. R. 2 P. C. 317.

(*n*) *In re* United Service Co.; Johnston's Claim, L. R. 6 Ch. 212.

(*o*) Kinnaird *v.* Webster, L. R. 10 Ch. D. 139.

(*p*) Johnson *v.* Robarts, L. R. 10 Ch. 505.

(*q*) *Ex parte* Kingston; *In re* Gross, L. R. 6 Ch. 632.

(*r*) Bailey *v.* Finch, L. R. 7 Q. B. 34.

obtained by his exertions. 3. On property recovered or preserved through his instrumentality on which he has obtained a charge under 23 & 24 Vict. c. 127, s. 28.

1. As an almost universal rule, a lien for his general balance is given to a solicitor on all papers of his client which come into his possession in his professional capacity (*s*), nor can anything short of special agreement reduce such lien to a special lien (*t*); thus, deeds deposited by a client with his solicitor for a particular purpose, and then suffered to remain in his hands, become subject to a general lien (*u*). So, the solicitor of a trustee in bankruptcy has a lien on all documents which are the fruits of his own labour or expense, and a new trustee cannot compel a delivery up of the documents until the solicitor's costs are paid (*x*); yet a liquidating defendant may be ordered to produce documents, notwithstanding a lien claimed thereon by his former solicitor (*y*), nor can a solicitor embarrass a suit by keeping papers which belong to an estate that is being administered by the Court, nor use that means of payment (*z*). No lien can be claimed by a solicitor which would be inconsistent with his duty towards his client; thus, a solicitor who acts for a mortgagee or for both mortgagor and mortgagee, can set up no lien (unless expressly reserved) on the title and mortgage deeds as against the mortgagee, even for costs due by the mortgagor of which the mortgagee had notice, for it is the first business of a solicitor acting for a mortgagee to see that his client obtains a valid security, and that is incompatible with a detainer by the solicitor of the muniments upon which such security depends (*a*). It has been held, however, that a solicitor employed by the holder of shares in a liquidating company does not forfeit his lien thereon by accepting a retainer

(*s*) Sheffield *v.* Eden, L. R. 10 Ch. D. 291; *Ex parte* Newland, L. R. 4 Ch. D. 515.

(*t*) *Ex parte* Sterling, 16 Ves. 258.

(*u*) *Ex parte* Pemberton, 18 Ves. 282.

(*x*) *Ex parte* Yalden; *In re* Austin, L. R. 4 Ch. D. 129.

(*y*) Vale *v.* Oppert, L. R. 10 Ch. 340.

(*z*) Belamy *v.* Ffrench, L. R. 8 Ch. 918.

(*a*) *In re* Snell; A Solicitor, L. R. 6 Ch. D. 105; *In re* Mason and Taylor, L. R. 10 Ch. D. 729.

from the transferees of the shares, but is entitled to hold the same for his whole costs (*b*); and, as against a mortgagor, a solicitor acting for him alone, or for both him and mortgagee, is clearly entitled to a lien on the title deeds; thus, a solicitor who held the deeds of a mortgaged estate, was allowed to retain the amount of his costs out of the purchase money of the equity of redemption, which was sold by direction of the mortgagor's trustee in liquidation, and the proceeds paid into the solicitor's hands (*c*). This last case exemplifies the rule that a solicitor receiving moneys of his client in his professional employment is allowed to deduct therefrom the amount of any costs that may be due to him by such client; hence, out of alimony decreed to a married woman in a matrimonial suit and suffered to pass through his hands, a solicitor may retain costs disallowed on taxation as against the husband but allowed as between solicitor and client; to prevent this result the client may insist that the alimony shall be paid directly to herself in person (*d*). A solicitor will be ordered to deliver up deeds of his client when his lien is adequately covered by other deeds; thus, a solicitor to whom £4000 costs were due, and holding deeds representing £20,000 worth of property, was required to deliver up deeds that represented £10,000 worth of the property (*e*). So, on an order for taxation, under 6 & 7 Vict. c. 73, s. 38, it is discretionary with the Court to order a delivery up of papers (*f*). There are many cases also where a solicitor may be compelled to produce, though not to deliver up, documents upon which he has a valid lien; such, for example, are legal proceedings in which the rights of third parties cannot be adjusted without an inspection of the documents in question (*g*). A solicitor, more-

(*b*) General Share Trust Co. *v.* Chapman, L. R. 1 C. P. D. 771.

(*c*) *In re* Messenger; *Ex parte* Calvert, L. R. 3 Ch. D. 317.

(*d*) *Ex parte* Sarah Bremner, L. R. 1 P. & D. 254; R. 94; *In re* Allen; Davies *v.* Chatwood, W. N. (1879) 44.

(*e*) Du Boison *v.* Maxwell, 11 W. N. 146.

(*f*) *Ex parte* Jarman, L. R. 4 Ch. D. 835.

(*g*) Simmonds *v.* Gt. Eastern Ry. Co., L. R. 3 Ch. 797; *In re* South Essex Estuary and Reclamation Co.; *Ex parte* Paine and Layton, L. R. 4 Ch. 215.

over, can claim no higher rights than his client; he cannot retain the papers of third persons—a principle which prevents retainer of a deceased client's will (*h*). The town agent of a country solicitor has no lien against the client, not even for what is due to him as agent in the cause (*i*); but he has a lien to the extent to which the client is indebted to the country solicitor, and an order may be made to tax the bills of both country solicitor and town agent, and that the client pay any balance that may be due by him to the latter. A solicitor forfeits his lien by taking a security for his costs (*k*), or by making himself a trustee of a fund from which he would have a right to retain (*l*), or by discharging himself, but not by being discharged by his client (*m*). Where a solicitor declines to carry on a suit, he discharges himself (*n*); so, where he becomes bankrupt; where, on the other hand, the client takes away his business or becomes bankrupt, the solicitor is discharged by the client (*o*); where, however, the bankrupt client is a firm, one of whose members is also a member in the solicitor's firm, the latter will still be discharged by the client (*p*).

2. A solicitor has a specific lien on the proceeds of a judgment obtained through his exertions in favour of his client for all costs accruing to him in the course of the proceedings, and is entitled to have such proceeds pass through his hands. The lien does not amount to an equitable assignment of the proceeds, nor constitute a trust fund of which the judgment debtor and the judgment creditor's solicitor are the respective trustee and *cestui que trust* (*q*); but it is yet protected by the Court, so that if

(*h*) Georges *v.* Georges, 18 Ves. 294; Balch *v.* Symes, 1 T. & R. 87.

(*i*) Ward *v.* Hepple, 15 Ves. 297; Moody *v.* Spencer, 1 T. & R. 87; 2 D. & R. 6.

(*k*) Blunden *v.* Desart, 2 D. & W. 405; Cowell *v.* Simpson, 16 Ves. 275.

(*l*) *In re* Clark; *Ex parte* Newland, L. R. 4 Ch. D. 515.

(*m*) Twort *v.* Dayrell, 13 Ves. 195.

(*n*) Creswell *v.* Byron, 14 Ves. 271; Robbins *v.* Goldingham, L. R. 13 Eq. 440.

(*o*) *In re* Faithful; *In re* London, Brighton and S. Coast Ry. Co., L. R. 6 Eq. 325; Lord *v.* Wormleighton, Jac. 580.

(*p*) *In re* Moss, L. R. 2 Eq. 345.

(*q*) Mercer *v.* Graves, L. R. 7 Q. B. 499; Barker *v.* St. Quintin, 12 M. & W. 451.

plaintiff and defendant collude and conspire to deprive the solicitor of his costs, an order will be granted calling on one or other to pay same or deliver up any security given by way of compromise (*r*). It is otherwise where there is no fraud and the result is doubtful; as where plaintiff and defendant *bonâ fide* compromise a case in which the unsuccessful party has procured an order for a new trial (*s*). A defendant's solicitor is entitled to a lien on costs ordered to be paid by plaintiff to defendant (*t*), and the same holds where the plaintiff is a company against whom judgment has gone, and that notwithstanding s. 163, 25 & 26 Vict. c. 89 (*u*). A fund that is subject to a solicitor's lien may be assigned over, and the assignee will take according to his priority; thus, where a country solicitor mortgaged his lien to R. to secure £350, part of his costs paid by R. at the request of the client, it was held that R.'s claim must be satisfied out of a fund in Court, payment of which by an existing order had been directed to the solicitor's town agent (*x*).

3. The 23 & 24 Vict. c. 127, s. 28, provides as follows: In every case in which a solicitor shall be employed to prosecute or defend any suit, matter, or proceeding in any court of justice, it shall be lawful for the Court or Judge, before whom any such suit, matter, or proceeding has been heard, or shall be depending, to declare such solicitor entitled to a charge upon the property recovered or preserved, and upon such declaration being made, such solicitor shall have a charge upon or against, and a right to payment out of, the property, of whatsoever nature, tenure, or kind the same may be, which shall have been recovered or preserved through the instrumentality of any such solicitor, for the taxed costs, charges, and expenses of or in reference to such suit, matter, or proceeding; and it shall be lawful for such Court

(*r*) *Ex parte* Games, 33 L. J. Ex. 317; Gould *v.* Davies, 1 C. & J. 415.

(*s*) *Ex parte* Morrison, L. R. 4 Q. B. 45[3].

(*t*) *Ex parte* Cleland; *In re* Davies, L. R. 2 Ch. 808; Pringle *v.* Gloag, L. R. 10 Ch. D. 676.

(*u*) *In re* Bank of Hindustan, China, and Japan; *Ex parte* Smith, L. R. 3 Ch. 127.

(*x*) Cockayne *v.* Harrison, L. R. 15 Eq. 298; Peatfield *v.* Barlow, L. R. 8 Eq. 61.

or Judge to make such order or orders for taxation of or for raising and payment of such costs, charges, and expenses out of the property as to such Court or Judge shall appear just and proper, and all conveyances and acts done to defeat or which shall operate to defeat such charge or right shall, unless made to a *bonâ fide* purchaser for value with possession, be absolutely void and of no effect as against such charge or right, provided always that no such order shall be made by any such Court or Judge in any case in which the right to recover payment of such costs, charges, and expenses is barred by any statute of limitations.

The above provision is couched in the most sweeping language; its judicial interpretation has been equally sweeping: thus, not only on actual property recovered, whether real (on which, apart from this enactment, a solicitor can claim no lien (*y*)) or personal, but also on property preserved or in general benefited by his exertions, a solicitor may now obtain a charge for the costs of the judicial proceedings incurred (*z*). Hence, a charge has been allowed in a suit which resulted in removing an incumbrance, which though entirely valueless threw a cloud upon the title to the property charged (*a*); so, where the result was to establish an infant's title and obtain an order for partition (*b*); so, where the client was a married woman, and the property was an annuity settled to her separate use by her husband, whose action to set aside such settlement was dismissed (*c*). The right to obtain a charge, however, only obtains as against the property of a client, not as against that of third persons; therefore the successful solicitor of a tenant in tail cannot claim to bind remaindermen (*d*); nor can a suit only relating to an easement—*e.g.*, obstruction of ancient lights—be said to be a

(*y*) Shaw *v.* Neal, 6 H. L. C. 600.

(*z*) Scholefield *v.* Lockwood, L. R. 7 Eq. 80; *The Phillipine*, L. R. 1 A. & E. 309; Bulley *v.* Bulley, L. R. 8 Ch. D. 479.

(*a*) Jones *v.* Frost; *In re* Fiddey, L. R. 7 Ch. 773.

(*b*) Pritchard *v.* Roberts, L. R. 17 Eq. 222; Baile *v.* Baile, L. R. 13 Eq. 497.

(*c*) Turnley *v.* Desborough, L. R. 12 Eq. 115.

(*d*) Berrie *v.* Howitt, L. R. 9 Eq. 1.

suit in which property is recovered or preserved, even though a mandatory injunction for pulling down buildings be refused (*e*). If a suit be stopped or compromised by a client, the right of a solicitor to obtain a charge will depend on the nature of the suit (*f*). A fund brought into Court in a subsequent action will be liable to be charged with costs incurred in a prior action in which an order for payment into Court was made (*g*); and the assignment of a special fund for the discharge of costs does not disentitle a solicitor to a charge on funds in Court (*h*). Priority to a charging order will be given over a mortgage by a client of a subject in litigation, although the charging solicitor have perused and approved of the mortgage on behalf of his clients (*i*); so, a charging order of a judgment creditor's solicitor will have priority over an earlier garnishee order attaching the judgment debt (*k*), and payment by the judgment debtor under a garnishee order of which the judgment creditor's solicitor has no notice, will be no discharge of the judgment as against him (*l*). A charging order is made in the branch of the Court to which the suit was attached (*m*); but it cannot be made in regard to a right to recover payment which is barred by any statute of limitations (*n*), a restriction which does not apply to a solicitor's lien on documents (*o*) or on the proceeds of a judgment (*p*).

(*e*) Foxon *v.* Gascoigne, L. R. 9 Ch. 654.

(*f*) Twynam *v.* Porter, L. R. 11 Eq. 181; Pinkerton *v.* Easton, L. R. 16 Eq. 490.

(*g*) Catlow *v.* Catlow, L. R. 2 C. P. D. 362.

(*h*) Pilcher *v.* Arden; *In re* Brook, L. R. 7 Ch. D. 318.

(*i*) Faithfull *v.* Ewen, L. R. 7 Ch. D. 495.

(*k*) Birchall *v.* Pugin, L. R. 10 C. P. 397; *The Jeff Davis*, L. R. 2 A. & E. 1.

(*l*) *The Leader*, L. R. 2 A. & E. 314.

(*m*) Heinrich *v.* Sutton; *In re* Fiddey, L. R. 6 Ch. 805; Higgs *v.* Schrader, L. R. 3 C. P. D. 252.

(*n*) 23 & 24 Vict. c. 127, s. 28.

(*o*) *In re* Broomhead, 16 L. J. 355.

(*p*) Higgins v. Scott, 2 B. & Ad. 413.

SECTION III.

Maritime Liens.

A maritime lien may be defined as a right specifically binding a ship, her furniture, tackle, cargo, and freight, or any of them, for payment of a claim, founded upon the maritime law, and entitling the claimant to take judicial proceedings against the property bound to enforce or to ascertain and enforce satisfaction of his demand; thus, a salvor has a maritime lien on the property saved for such an amount as a Court exercising admiralty jurisdiction shall award. Maritime are distinguished from all other liens in these two chief particulars; they are in no way founded on possession or property in the claimant; they are exercised by taking proceedings against the property itself in a form of action styled an action *in rem* (*a*), and from this and their secret nature they closely resemble the species of security known to Roman law under the name of *Hypotheca* (*b*). Interest, if any allowed, and the costs of enforcing a claim for which a maritime lien exists will be included in such lien (*c*); the claim is usually cognisable only in the Admiralty Division, the rules of which are now in force in the High Court of Justice and Court of Appeal generally (*d*). A maritime lien is universal; that is, it attaches to every part of the *res* to the fullest extent; as long as a plank remains, it is subject to the same claim as the vessel to which it belonged (*e*). It continues to attach to the *res* whatever transfers or dealings take place (*f*), until extinguished either by payment or by acceptance of bail, or other security, on the part of the person entitled (*g*), or by

(*a*) *The Glasgow Packet*, 2 W. Rob. 312, 313; *The Repulse*, 4 N. C. 170.

(*b*) Dig. xiii.

(*c*) *The Margaret*, 3 Hagg. 240.

(*d*) 38 & 39 Vict. c. 77, s. 18. See The General Steam Navigation Co. *v.* The London and Edinburgh Shipping Co., L. R. 2 Ex. D. 467.

(*e*) *The Neptune*, 1 Hagg. 238.

(*f*) *The Bold Buccleugh*, 3 W. Rob. 229.

(*g*) *The Kalamazoo*, 15 Jur. 886; *The William Marry*, 2 Hagg. 136.

judicial sale (*h*), or loss or destruction of the *res*, or by an agreement to postpone payment (*i*), or by want of diligence of the creditor (*k*); but it is not affected by mere delay in enforcing the claim (*l*), or by a sale of the *res* to a *bonâ fide* purchaser for value without notice (*m*), or by an agreement to refer the amount of the claim (*n*), or to receive a certain sum therefor (*o*), or by a receipt given in ignorance (*p*), or by knowledge in the claimant of an intended sale (*q*), or by a release of the owner (*r*). A person entitled to a maritime lien is also in general entitled to a personal remedy for the amount of his claim, and if the *res* be exhausted before such claim is satisfied, he may seek to make good the deficiency in a personal action against the owners or other parties liable (*s*).

The claims for which maritime liens are given are the following:—

1. Bottomry and respondentia.
2. Salvage.
3. Damage.
4. Wages.
5. Pilotage.
6. Towage.

A person who supplies necessaries or materials to a foreign ship is also entitled to a maritime lien for his charges, and our Courts have now jurisdiction to entertain all suits for enforcing the same (*t*); but no maritime lien exists for necessaries supplied to an English ship (*u*), nor is there even an equitable lien

(*h*) *The Nymph*, Swa. 86.

(*i*) *The Royal Arch*, 1 Swa. 269.

(*k*) *The Saracen*, 6 Moo. P. C. 56; 2 W. Rob. 451.

(*l*) *The Mellona*, 5 Notes of Cases, 452.

(*m*) *The Europa*, 1 Bro. & Lush. 97, 98.

(*n*) *The Purisima Concepcion*, 7 Notes of Cases, 150.

(*o*) *The William Lushington*, 7 Notes of Cases, 362.

(*p*) *The Silver Bullion*, 1 Spinks, 74.

(*q*) *The Repulse*, 4 Notes of Cases, 170.

(*r*) *The Chieftain*, 1 Bro. & Lush. 215.

(*s*) *The Orient*, L. R. 3 P. C. 696.

(*t*) 3 & 4 Vict. c. 65, s. 6; 24 Vict. c. 10, ss. 4, 5; *The Anna*, L. R. 1 P. D. 253.

(*u*) 24 Vict. c. 10, s. 4; *The Two Ellens*, L. R. 4 P. C. 161.

against a purchaser with notice of a claim for such necessaries supplied before the purchase (*x*).

1. Bottomry is a contract in writing—usually in the form of a bond—whereby the master of a ship, being otherwise unable to obtain the necessary means for the prosecution of the voyage, hypothecates the ship or the ship and cargo to secure a principal sum advanced and maritime interest or premium thereon, such security to be void if the ship fail to reach her destination (*y*). For the validity of such an instrument, it is absolutely essential, in the absence of the ship or cargo owner's prior consent, that there should be (1) an inevitable physical necessity for the things for which it is given, as repairs or provisions, without which it would be impossible to proceed (*z*); (2) an impossibility of obtaining what was required on the personal credit of the master or owners (*a*); (3) that every effort to communicate with the latter should be made before the contract is entered into (*b*); (4) a maritime risk (*c*); (5) a written contract purporting to be founded on maritime risk, and stating the principal and premium and the nature of the voyage (*d*). Not only may the master or substitute master enter into a contract of bottomry, but also the owner; the owner, however, is, unlike the master, debarred from so contracting in the country where he resides (*e*). Where the object is to raise money to pay the master's debts, a bottomry bond will be invalid (*f*); so, if it merely secure a past debt due to some third person, but not if to secure a past debt and a present substantial advance, except where there is some interested relation between the parties; in which case, as, for instance,

(*x*) *The Aneroid*, L. R. 2 P. D. 189.

(*y*) Doctrine of constructive total loss, as in marine assurance, does not apply to the subject of Bottomry. *The Great Pacific*, L. R. 2 P. C. 516.

(*z*) *The Nelson*, Brown, 1 Hagg. 169; Messina *v.* Petrocochino, L. R. 4 P. C. 144.

(*a*) Heathorn *v.* Darling, 1 Moo. P. C. 5; *The Ida*, L. R. 3 A. & E. 542.

(*b*) *The Panama*, L. R. 3 P. C. 199; *The Karnak*, L. R. 2 P. C. 505; Kleinwoart *v.* Cassa Maritima of Genoa, L. R. 2 App. Cas. P. C. 156.

(*c*) Stainbank *v.* Sheppard, 13 C. B. 418; *The Three Sisters*.

(*d*) *The Zodiac*, Scott, 1 Hagg. 320; *The Great Specific*, *supra*.

(*e*) *The Duke of Bedford*, Morris, 2 Hagg. 295.

(*f*) Smith *v.* Gould, 4 Moo. P. C. 21.

where the obligee is the agent of the insurers or consignee of the cargo, the bond will be invalid to the extent of the past debt (*g*). Respondentia is a contract by which cargo only is hypothecated to secure a loan. In other respects, it is governed by the same principles as bottomry (*h*).

2. The term salvage has a twofold meaning: it signifies both the act or service of rescuing the property of others from damage or loss at sea, and the reward or compensation to be given for such service (*i*). It is in the first of the above senses that salvage must be understood when it is said to confer a maritime lien. We shall accordingly deal with the nature of the services which give rise to such lien, and the extent to which the latter prevails. The subject of a salvage service may be the rescue of human life (*k*), or of a vessel, or of a vessel's cargo; but there can be no claim to a maritime lien for the reward of a service which is unsuccessful in saving any subject (*l*), or which is rendered where there is no cause for danger or distress (*m*), or rendered by the crew or others, whose duty it is to perform such service (*n*). Subject to these conditions, every salvage service confers a maritime lien against the property saved, though it is competent to the parties to exclude such lien by a voluntary agreement ascertaining the amount of compensation to be given to the salvors, the effect of which agreement will be to bind the owners of the ship, cargo, and freight, and their respective executors and administrators (*o*). A seaman, however, is debarred from entering into an agreement to abandon his right to salvage (*p*), except where by the terms of the agreement the ship to which he belongs is to be employed on salvage service (*q*). With this exception, the Court is very much indisposed to set aside any

(*g*) *The Hebe*, 2 W. Rob. 412.

(*h*) *Cargo ex Sultan*, 5 Jur. N. S. 1060.

(*i*) *The Thetis*, 3 Hagg. 48; *The Neptune*, 1 Hagg. 227, 236.

(*k*) S. 458, 17 & 18 Vict. c. 104; s. 9, 24 Vict. c. 10; s. 59, 25 & 26 Vict. c. 63.

(*l*) *The Chetah*, L. R. 2 P. C. 205.

(*m*) *The Union*, 3 Jur. N. S. 462.

(*n*) *The Neptune*, *supra*.

(*o*) Ss. 491, 497, 17 & 18 Vict. c. 104.

(*p*) *Ibid.*, s. 182.

(*q*) S. 18, 25 & 26 Vict. c. 63.

honest agreement, and where there is any doubt, its rule is to adhere to the agreement (*r*); but an agreement which is clearly inequitable will be set aside (*s*). In estimating the value of a salvage service, the circumstances which have most weight are the enterprise and promptitude of the salvors, the danger and distress from which the property saved was rescued, the labour and skill employed and the danger incurred by the salvors, the value of the property saved, the time spent in the service, the loss of profit to the salving vessel (*t*), and the possibility of its being answerable to the owners of the cargo for deviation (*u*). The amount of compensation, however, to be awarded for salvage is a matter of discretion on the part of a Judge of First Instance, and with such discretion a Court of Appeal will not interfere unless satisfied that the sum is so grossly excessive or deficient as to work a manifest injustice (*x*). Between the quantum of remuneration and the value of the property salved there is in general this relation, the larger the property salved the smaller the proportion of the remuneration (*y*). For the saving of life a relatively higher reward is given than for any other salvage service; moreover, the claim of a life salvor has priority over all other claims for salvage, and such claim will now attach, and that rateably, as a maritime lien on whatever portion of a ship or cargo is rescued (*z*), even though the life salvor had no part in saving the property (*a*); and where no property is saved, or what is saved is insufficient to meet a claim for life salvage, a reasonable sum may be awarded to the salvor out of the Mercantile Marine Fund by the Board of Trade (*b*).

A vessel in distress may be rescued by the exertions of persons on board herself, or of persons on board some other vessel. In the first case, as a general rule, there can be no claim for salvage,

(*r*) *The Theodore*, Sw. Adm. 351.
(*s*) *The Medina*, L. R. 1 P. D. 272.
(*t*) *The Thetis*, *supra*; *The Louisa*, 3 W. Rob. 99.
(*u*) *The Sir Ralph Abercrombie*, L. R. 1 P. C. 454.
(*x*) *The Chetah*, L. R. 2 P. C. 205; *The England*, L. R. 2 P. C. 253; *The True Blue*, L. R. 2 P. C. 250.
(*y*) *The Amerique*, L. R. 6 P. C. 468.
(*z*) Ss. 458, 459, 17 & 18 Vict. c. 104.
(*a*) *Cargo ex Schiller*, L. R. 2 P. D. 145.
(*b*) S. 459, 17 & 18 Vict. c. 104.

for it is the duty of all on board, passengers as well as captain, pilot, and crew, to use every ordinary endeavour to secure the safety of the vessel; in the second case, as a general rule, there will be a claim for salvage to be apportioned between the owners and the master and crew of the salving vessel. Where the salving vessel is one of her Majesty's ships, such ship obtains no right to remuneration (*c*); but her commander, officers, and crew have the same rights as the master and crew of a merchant vessel (*d*), but no proceedings to enforce those rights can be taken without the previous consent in writing of the secretary of the Admiralty (*e*), and, where the salvage is rendered abroad, the amount of remuneration is to be fixed by a consular officer, and, on the master of the vessel salved executing a bond binding the owners of such vessel, her freight, and cargo, and their respective heirs, executors, and administrators for payment of the amount so fixed, the right to detain the vessel salved is to cease (*f*).

Within the boundaries of the Cinque Ports a claim for salvage is prosecuted in the manner prescribed by 1 & 2 Geo. IV. c. 76. In other ports of the United Kingdom, if the claim does not exceed £200, the question is to be referred to the arbitration of two Justices of the Peace, to whom, by consent, a claim for any amount may also be referred (*g*); or if the value of the property does not exceed £1,000, the claim is to be referred to two Justices of the Peace specially appointed for the purpose, or selected by the parties, or to a stipendiary magistrate, or County Court Judge (*h*), from the decision of any of whom an appeal lies respectively to the Admiralty Division in England or Ireland, or to the Court of Session in Scotland, provided the sum in dispute exceed £50 (*i*). In all other cases, claims for salvage are pursued in the Admiralty Division of the High Court in England or

(*c*) S. 484, 17 & 18 Vict. c. 104.
(*d*) Cargo ex Woosung, L. R. 1 P. D. 260.
(*e*) S. 485, 17 & 18 Vict. c. 104.
(*f*) *Ibid.*, ss. 486—493.
(*g*) *Ibid.*, s. 460.
(*h*) S. 49, 25 & 26 Vict. c. 63.
(*i*) S. 464, 17 & 18 Vict. c. 104.

Ireland, or in the Court of Session in Scotland (*k*). The receivers of Admiralty Droits are empowered to receive the amount of an ascertained sum for salvage when not exceeding £200, about the apportionment of which there is a dispute (*l*), and also to detain any salved property until the maritime lien thereon is discharged by payment or adequate security (*m*).

3. When by collision or otherwise one vessel sustains damage from another, the right to compensation and to a maritime lien consequent thereon will depend upon whose side the blame for the accident is properly fixed. If the injury be due to *vis major*, both sides are exculpated, and the injured party has no redress; if both parties be in fault, they contribute equally in making good the whole mischief done—a rule which now prevails in all Divisions of the High Court (*o*); if the injury be solely due to the injured party, he can have no redress; if solely due to his opponent, then the latter is responsible for the whole mischief, and a maritime lien for compensation will arise as against the injuring vessel, except so far as restricted by Act of Parliament (*p*). The maritime lien given for damage attaches to a vessel and freight, but in no case does it bind the cargo (*q*). Since the 1st June, 1863, certain regulations for preventing collisions have been in force. These regulations form a code of laws prescribing the lights to be carried, the fog signals to be used, and the rules to be observed in steering and sailing (*r*). Owners and masters of vessels are bound to obey the regulations, and a breach of them leading to damage to person or property is to imply a wilful default on the part of the person in charge of the erring vessel (*s*), and, where a collision takes place, a ship infringing the rules is to be deemed in fault (*t*), except where a

(*k*) *Ibid.*, ss. 460, 476.
(*l*) *Ibid.*, s. 466.
(*m*) *Ibid.*, s. 468.
(*n*) *The William Lindsay*, L. R. 5 P. C. 338, 343; *The Marpesia*, L. R. 4 P. C. 219.
(*o*) 36 & 37 Vict. c. 66, s. 25, sub-s. 9.
(*p*) *The Woodrop*, Sims, 2 Dods. Ad. 85.
(*q*) *The Victor*, Lush. 72.
(*r*) 25 & 26 Vict. c. 63, s. 25, Table C.
(*s*) *Ibid.*, s. 27.
(*t*) *Ibid.*, s. 28.

departure from the rules is necessary (*u*). As an illustration of the construction put upon the above regulations, we may cite a case where it was held that an omission to exhibit proper lights is immaterial, if it be clearly proved that such omission was not the cause of, or did not in any way conduce to, a collision; but that the *onus probandi* in such case lies on the vessel not showing proper lights (*x*). A steamer will be held culpable in a collision with a sailing vessel, if it appears it was in the power of the former to have avoided the collision (*y*).

A maritime lien for damage can only obtain on a ship to the extent the shipowner is liable for the wrong done (*z*); hence, any exemption of the shipowner is a total or *pro tanto* exemption of the ship. At Common Law the shipowner is liable, not only for his own acts and conduct, but also for those of the master and crew, who are his servants (*a*); but his liability in the latter case has been limited where there has been no actual fault or privity on his part as follows: for loss of life or personal injury, to £15 per ton of the ship's tonnage; for loss to ships, goods, merchandise, or other things, to £8 per ton of the ship's tonnage (*b*), such tonnage to be understood as registered tonnage in sailing-ships, and gross tonnage in steamers (*c*). In the case of loss of life or personal injury, the Board of Trade may institute proceedings as plaintiff, making the shipowner defendant. By these proceedings a sum not exceeding £30 for each case of loss of life or personal injury may be assessed as compensation, on payment of which sum the shipowner will be exonerated from any further claim (*d*). There are many instances in which the law requires a ship to be navigated by a duly licensed pilot. In all such instances, so long as the ship is under compulsory pilotage, and no contributory negligence of the master or crew is proved, the pilot in charge is solely responsible, and the

(*u*) 36 & 37 Vict. c. 85, s. 17; 37 & 38 Vict. c. 52, s. 1; *The Lady Downshire*, L. R. 4 P. D. 26.
(*x*) *The Fenham*, L. R. 3 P. C. 212.
(*y*) *The City of Antwerp* and *The Friedrick*, L. R. 2 P. C. 25.
(*z*) *The Flying Fish*, Br. & L. 436.
(*a*) Hibbs *v.* Ross, L. R. 1 Q. B. 543.
(*b*) S. 503, 17 & 18 Vict. c. 104.
(*c*) S. 54, 25 & 26 Vict. c. 63.
(*d*) Ss. 507, 508, 511, 512, 17 & 18 Vict. c. 104.

owners are exempt from the consequences of his neglect or default (*e*), and this exemption will obtain, though damage accrue, within the territory of a foreign state, by whose law a lien against the ship is given, notwithstanding compulsory pilotage (*f*). So, if the ship be in tow of a steam-tug having a duly licensed pilot on board (*g*); but there is no exemption where the pilotage is merely voluntary (*h*).

4. There are two classes of persons to whom a maritime lien for wages is given—sailors and masters of ships; the rights of each are now principally determined by statute. The legal right of a seaman to wages begins either at the time he actually commences work, or at the time agreed upon for such commencement (*i*); from that time he is bound faithfully to fulfil the contract of service he has entered into (*k*); provided he so does his duty, he will be entitled to be paid for his labour whether or not freight be earned (*l*), and for such payment he will acquire a lien on the ship and freight (*m*) which he cannot by any stipulation forego (*n*). A seaman's wages are forfeited by loss or capture of the ship before the end of the voyage except to the extent of wages accrued due before such loss or capture, but a recapture, and eventual arrival at the port of destination cancels the forfeiture (*o*); wages are also forfeited by the seaman's misconduct, mutiny, unwarranted desertion (*p*), or by proof that in case of wreck or loss of the ship he did not exert himself to the utmost to save the same, the cargo, and stores (*q*). If, however, a seaman in the discharge of his duty becomes disabled, or falls sick, and thus becomes incapacitated for work, he will nevertheless be entitled to wages (*r*); so, if he

(*e*) S. 388, 17 & 18 Vict. c. 104; *The Calabar*, L. R. 2 P. C. 238; *The Iona*, L. R. 1 P. C. 426; *The City of Cambridge*, L. R. 5 P. C. 451; *The Hankow*, W. N. (1879) 60.

(*f*) *The Halley*, L. R. 2 P. C. 193.

(*g*) *The Ocean Wave*, L. R. 3 P. C. 205.

(*h*) *The Lion*, L. R. 2 P. C. 525.

(*i*) S. 181, 17 & 18 Vict. c. 104.

(*k*) *The Blake*, Hadden, 1 W. Rob. Ad. 73; *The Mary Ann*, 9 Jur. 94.

(*l*) S. 183, 17 & 18 Vict. c. 104.

(*m*) As to discharge, payment, and savings banks, *Ibid.*, ss. 170—180.

(*n*) *Ibid.*, s. 182.

(*o*) Hernaman *v.* Bawden, 3 Burr. 1844.

(*p*) Bergstrom *v.* Mills, 3 Esp. 36.

(*q*) Ss. 183, 243, 17 & 18 Vict. c. 104.

(*r*) Laws of Oleron, art. 6; Chandler *v.* Grieves, 2 H. Bl. 606, n. (*a*).

leave the vessel in consequence of her employment in an illegal enterprise (*s*); so, he may in some instances claim a proportionate amount of wages even where he has been himself to blame for not performing the contract (*t*). Suits for wages not exceeding £50 are prosecuted before two Justices of the Peace acting for the place at which the service has terminated or at which the seaman has been discharged, or at which any person upon whom the claim is made is or resides; such suits may also be prosecuted before a stipendiary magistrate (*u*); no suit for seaman's wages under £50 can be instituted in a Superior Court of Record in her Majesty's dominions, unless the owner is adjudged bankrupt or declared insolvent, or unless the ship is under arrest or is sold by the authority of such Court as aforesaid, or unless two justices refer the case to be adjudged by such Court, or unless neither the owner nor master is or resides within twenty miles of the place where the seaman is discharged or put ashore (*x*). The same restriction formerly applied to suits in the Court of Admiralty; but the Admiralty Division may now entertain an action for any amount (*y*); the plaintiff, however, is disallowed his costs unless he recovers more than £50, and may incur a similar penalty if the claim do not exceed £150, for which he might sue in the County Court (*z*).

The master has now the same rights for wages as a seaman (*a*); he is also given a lien for his disbursements (*b*) actually and necessarily incurred (*c*). Before suing for wages or disbursements a master is bound to furnish his accounts; otherwise he will not be entitled to his costs (*d*).

5. Pilotage is either voluntary or compulsory; in the former case the pilot's remuneration is fixed by the agreement of the

(*s*) Burton *v.* Pinkerton, L. R. 2 Ex. 340.
(*t*) Button *v.* Thompson, L. R. 4 C. P. 330.
(*u*) Ss. 188, 519, 17 & 18 Vict. c. 104.
(*x*) *Ibid.*, s. 189.
(*y*) 24 Vict. c. 10, s. 10.
(*z*) 31 & 32 Vict. c. 71, s. 9.
(*a*) *Ibid.*, s. 191.
(*b*) S. 10, 24 Vict. c. 10; *The Mary Ann*, L. R. 1 A. & E. 8.
(*c*) *The Feronia*, L. R. 2 Ad. & E. 65; *The Riga*, 3 Ad. 516.
(*d*) *The Fleur de Lis*, L. R. 1 Ad. & Ecc. 49.

parties—in the latter, by a certain scale of charges issued by the particular authorities having jurisdiction over the local maritime traffic. Unless forfeited by misconduct, a maritime lien is given for such remuneration; and the master of a vessel who refuses the services of a duly qualified pilot who produces his licence, incurs severe penalties where the pilotage is compulsory (*e*). A pilot is bound to exercise all proper skill in the management of the ship, and he, therefore, cannot claim any extra reward where by ordinary circumstances navigation is rendered difficult; a storm, however, or other casualty over which the pilot has no control, may place the vessel in danger beyond what it is his duty to meet; in that event a rescue from the peril by the pilot's means will convert the pilotage into a salvage service, and entitle him to a salvor's compensation (*f*).

6. Towage is a service voluntarily accepted by the master of a ship, the remuneration of which is fixed by agreement of the parties, and for which a maritime lien is given to the owner of the tug. The effect of an ordinary contract for towage is not that the vessel towed shall under all circumstances be conveyed from one given point to another, but that every reasonable effort and amount of skill will be employed to effect that object. Hence, as in the case of pilotage, an extraordinary peril not contemplated by the contract and not caused by the tug, may convert a towage into a salvage service, with the more beneficial rights thereto annexed (*g*).

It may not be amiss here to say a few words on priority of maritime liens, which for this purpose may be resolved into two classes: (1) Liens given as a reward for benefit conferred—including bottomry and respondentia, salvage, wages, pilotage, and towage; (2) Liens given as reparation for wrong done, including all cases of damage (*h*). In the first class, liens generally rank in the inverse order in which they attached on the *res*—that is,

(*e*) 17 & 18 Vict. c. 104, ss. 333, 356, 357, 360, 380, 381; 35 & 36 Vict. c. 73, s. 9.

(*f*) *The Frederick*, 1 W. Rob. 17.

(*g*) *The Minnehaha*, 15 Moo. P. C. 133.

(*h*) Macklachlan Merch. Shipp. 2nd ed. 651.

a later is preferred to an earlier lien—on the principle that the last service performed is the immediate means of preserving the *res* for all—*salvam fecit totius pignoris causam* (*i*); but seaman's wages are allowed priority over all other claims of this nature (*k*), and after them comes a master's claim for wages and disbursements, except to the extent he has made himself liable as master (*l*). In the second class, liens rank in the direct order in which they attached on the *res*, and between the two classes claims have preference according to priority of attachment, except where this preference is modified by statute or by equitable considerations. A lien for damage has priority over all antecedent beneficial liens (*m*), and over a subsequent bottomry lien except to the accretion of value the bottomry loan conferred upon the *res* (*n*); so, perhaps, in the case of a foreign but not of a British ship a lien for subsequent wages would be postponed to a prior lien for damage (*o*); it is otherwise with regard to salvage, pilotage, or towage liens, for these have preference over a prior damage lien (*p*).

Section IV.

Miscellaneous Liens.

There are many kinds of lien which do not fall under either of the three preceding sections, and though of a multifarious character may be roughly classified as liens given (1) by statute (*q*), (2) by argreement (*r*), and (3) by equity. Of liens belonging to

(*i*) *The Sydney Cove*, 2 Dods. Ad. 7.

(*k*) *The Union*, Lush Ad. 138.

(*l*) *The Edward Oliver*, L. R. 1 Ad. 379; *The Jenny Lind*, L. R. 3 Ad. 532.

(*m*) *The Benares*, 7 Notes of Cases Supp. 50, 54.

(*n*) Harmer *v.* Bell, 7 Moo. P. C. 267, 285.

(*o*) *The Limder Flor*, 4 Jur. N. S. 172.

(*p*) *The Aline*, 1 W. Rob. 111, 188.

(*q*) Wallis *v.* London & S. W. Ry. Co. L. R. 5 Ex. 62.

(*r*) *In re* Collie; *Ex parte* Manchester and County Bank, L. R. 3 Ch. D. 481; *In re* Pavy's Patent Felted Fabric Co., L. R. 1 Ch. D. 631; Wiltshire Iron Co. *v.* Gt. W. Ry. Co. L. R. 6 Q. B. 101, 776.

either of the first two classes it is sufficient to say that their nature and incidents will depend upon the particular enactment or stipulation by which they are created; it is only of equitable liens, therefore, that we at present propose to speak. Such a lien usually arises by reason of an implied trust; thus, if a person entitled to property deliberately stand by and allow another to expend money thereon under a mistaken notion of right, the latter will have a lien on the property for the amount so expended (*s*), but there will be no lien if both parties are fully aware of the real state of the title (*t*). So, a person who has only a partial interest in a fund as a tenant for life or annuitant will have a lien on the *corpus* for salvage, that is, for such expense as has been necessarily incurred by him for preservation of the fund, hence, where shares were held in trust for A. for life, remainder over, A.'s executor was allowed a lien on the shares for £463, which she advanced out of her separate estate at the request of the trustees to pay a call upon the shares, although the trustees might have thereon raised the requisite sum (*u*). So, a remainder man was given a lien on all that remained of a life estate for interest which had accrued during such estate and which he had paid off (*x*); so, where advances for the improvement of a clubhouse were made with the authority of the managing committee, a lien for such advances was allowed on the property of the club (*y*). But where a legacy was to be forfeited unless the legatee conveyed away his estate, it was decided that no lien attached on the estate when conveyed for the unpaid legacy (*z*). In the case of fraud or breach of trust an equitable lien will bind the property so long as traceable in the hands of volunteers or purchasers for value with notice of the fraud or breach of trust,

(*s*) Unity Joint Stock Mutual Banking Association *v.* King, 27 L. J. Ch. 585.

(*t*) Rennie *v.* Young, 27 L. J. Ch. 753.

(*u*) Todd *v.* Moorhouse, L. R. 19 Eq. 69.

(*x*) Howlin *v.* Sheppard, I. R. 6 Eq. 253, 497; Marshall *v.* Crowther, L. R. 2 Ch. D. 199.

(*y*) Minnitt *v.* Lord Talbot, 1 L. R. Ir. 143.

(*z*) Barker *v.* Barker, L. R. 10 Eq. 438.

but will not affect a legal interest in a trustee's bankruptcy trustee (*a*).

An equitable lien, such as we have now given examples of, is a charge which the holder of the lien is entitled to have realised out of the property affected; in that respect, and also because it exists independently of possession, it resembles vendor's lien on real estate (*b*).

(*a*) Fox *v.* Buckley, L. R. 3 Ch. D. 508.

(*b*) *Ante*, p. 329.

BOOK III.

MISCELLANEOUS.

CHAPTER XXXI.

COLLATERAL SECURITIES.

THE various securities upon which money is advanced may be resolved into (1) those which directly affect specific property, as mortgages, pawns, debentures, and assignments, and (2) those which merely confer a right of action or execution against some given party, as bills of exchange, bonds, guarantees, life policies, and judgments. Where a debt or loan is secured by an instrument directly affecting property, no further security need be required, if the property be amply sufficient to cover the charge and the same be well created, though even in that case it is usual to have some concurrent safeguard; thus, a mortgage debt is generally secured not only by a conveyance of the property mortgaged, but also by a personal covenant, undertaking due payment. *A fortiori*, will a plurality of securities be deemed advisable by a lender or creditor who has nothing but the personal credit of a borrower or debtor to look to; thus, we have seen that insurance companies, on making an advance on a policy, insist that the borrower, besides assigning or depositing the same to or with them, shall also enter into a bond, and, that as a rule, with sureties to pay the amount advanced with interest thereon, and to keep up the policy (*a*). Hence it will be

(*a*) *Ante*, p. 87.

fitting here to say something of collateral securities, by which we understand any two or more instruments securing the same debt; though the term is also sometimes applied to any person or persons jointly liable with another for the discharge of any obligation; we use the phrase in the former signification only. A particular and important branch of the subject now in hand has already engaged our attention in guarantees, which obviously fall within the above description; the treatment of that special matter will be supplemented in the more general observations we are about to make.

In order that two or more instruments should constitute collateral securities, it is necessary that each should continue operative so as to support a separate action; any one of several conjoint securities may cease to be enforcible by action, either by that which renders all the securities inoperative, or by that which renders that particular security inoperative. The relation between a debt, obligation, or engagement, and a security for its payment or performance, is that of principal and accessory; therefore, according to the maxim *omne accessorium cedit principali*, the discharge of a debt is a discharge of the security or securities given or outstanding therefor (*b*). A debt is regularly and properly discharged by the debtor paying his creditor the amount due at the time and in the manner agreed upon by the parties or prescribed by law; the other modes in which a debt may be discharged are by release, by accord and satisfaction, and by substituted contract. By a release, properly so called, the creditor discharges his debtor without receiving payment or other satisfaction; to be effective the release must be under seal (*c*), but this formality is not required to render good a discharge—sometimes also called a release—granted by the creditor for new and valuable consideration. Such a discharge, however, is more correctly styled a discharge by way of accord and satisfaction, and is subject for its validity to the con-

(*b*) Duffield *v.* Elwes, 1 Bligh, N. S. 497.

(*c*) Co. Litt. 264 b.; Bac. Abr. Release (A).

ditions we shall state presently. No particular form of words is necessary to constitute a release; any expression which shows that the creditor has entirely renounced or forgiven the debt or acknowledged satisfaction thereof will operate as a release (*d*), and a general covenant not to sue thereon will have the same effect (*e*), though the result is different if there be a covenant not to sue only for a limited time (*f*). A release under seal avails as a discharge of any debt whatever; thus, even a debt of record may be so discharged (*g*). If several persons be jointly liable to the same debt, a release thereof to any one is a release to all (*h*); but the release of an ostensible partner who may be sued jointly with the debtor, but is not liable to contribution, is no release of the debtor (*i*); but the creditor may release to one of his joint debtors, expressly reserving all his rights against the others (*j*), and such express reservation will be good so as to confine the effect of the release to the particular debtor (*k*), though, even in that case, the transaction only amounts to a covenant not to sue on the part of the creditor, inasmuch as the other joint debtors, if compelled to discharge the debt, are entitled to a rateable contribution from their co-debtor (*l*). Besides releases under seal which are expressly made by act of a party, releases may also be by operation of law, as when a creditor makes his debtor his executor (*m*); the office so conferred works at Common Law a release of the debt, but equitable tribunals, formerly, and, now, all branches of the Supreme Court, do not suffer a debt to be thus technically extinguished, unless that result appears to have been intended by the testator; on the other hand, it is a general rule that, if a release be invalid

(*d*) Hickmot's Case, 9 Co. 52 b.

(*e*) Deux *v.* Jeffries, Cro. Eliz. 352; Ayliff *v.* Scrimshire, 1 Show, 46.

(*f*) Ford *v.* Beech, 11 Q. B. 852; Webb *v.* Spicer, 13 Q. B. 886.

(*g*) Barker *v.* St. Quentin, 12 M. & W. 441.

(*h*) North *v.* Wakefield, 13 Q. B. 536, 541.

(*i*) *Ex parte* Good; *In re* Armitage, L. R. 5 Ch. D. 46.

(*j*) Solly *v.* Forbes, 2 B. & B. 38.

(*k*) Price *v.* Barker, 4 E. & B. 760 777.

(*l*) *Ante*, p. 105.

(*m*) Co. Litt. 264 b. Dorchester *v.* Webb, Sir W. Jones, 345.

at law, it is also invalid in equity, for here equity follows the law; consequently a release to be effectual must comply with the technical requisites of the Common Law, and must also be in keeping with the principles of equitable jurisprudence (*n*). Another mode in which a release is said to take place by operation of law is by merger; of this we shall speak later on (*o*).

Accord and satisfaction consists in an arrangement by the parties to a contract differing from the original stipulations, and entered into and accepted in lieu thereof; such arrangement is made for valuable consideration, but, in order to operate as a discharge of a liquidated debt, must satisfy certain conditions of which the following are the most important: (1) whatever be the nature of the debt, an arrangement, if it is to be for payment, must not be for payment of a less sum than that due, unless some new consideration be added, otherwise such arrangement as *nudum pactum* cannot affect the original demand (*p*); (2) the accord and satisfaction may either consist of mutual promises given and accepted in satisfaction, in which case the discharge is presently complete (*q*), or of a promise given and its performance accepted in satisfaction, in which case there is no discharge until due performance of such promise (*r*); (3) if the debt be other than a simple contract debt, there can be no discharge thereof by accord and satisfaction unaccompanied by other formality; a discharge can only be by matter of as high a nature as the debt itself, thus a bond debt cannot be discharged by parol agreement (*s*), but, if there be valuable consideration, an action on the bond would be answered by an equitable defence setting forth the transaction (*t*).

The discharge of a debt by payment, release, or accord and satisfaction, will be total or partial according to the nature and extent of the quittance, and, according as that discharge is total or partial, any securities held for the debt are absolutely or

(*n*) Strong *v.* Bird, L. R. 18 Eq. 315.
(*o*) *Post*, p. 385, *et seq.*
(*p*) Cumber *v.* Wane, Str. 426, I. Sm. Lead. Cas., p. 341, 7th ed.
(*q*) Gabriel *v.* Dresser, 15 C. B. 622.
(*r*) Evans *v.* Powis, 1 Exch. 601.
(*s*) Clarke *v.* Henty, 3 Y. & Coll, 187. For more concerning accord and satisfaction, see Peyton's Case, 9 C. 77.
(*t*) Lawder *v.* Peyton, I. R. 11, C. L. 41.

pro tanto extinguished. To defeat the right to sue for a debt or on a security therefor, it is not indispensable that the same should be discharged, for a debt or security may continue to subsist, yet the remedy thereon may become barred, as happens by lapse of time under the Statutes of Limitation (*u*). What lapse of time shall operate as a bar (*x*) differs according to the nature of the debt in question; for simple contract debts, the period is six years (*y*); for specialty and judgment debts, the period is twenty and twelve years (*z*) respectively from the time the cause of action accrues (*a*), which in the particular case of bills and notes payable on demand is the date of the bill or note; of mortgage debts secured on land we have already specified the periods minutely (*b*). A specialty creditor who is under the disability of infancy, coverture, or mental incapacity, when a cause of action accrues upon the specialty, may bring an action thereon within twenty years from the time the disability ceases (*c*); a simple contract creditor may, under similar circumstances, bring an action within six years from the time the disability ceases (*d*), nor is there any other limit within which a specialty or simple contract creditor under disability at the time his remedy accrues is bound to institute a suit (*e*). The above periods of twenty and six years respectively are in all cases, whether of disability or not, renewed each time any part of the principal or interest on the debt is paid (*f*), or any acknowledgment of the debt in writing signed by the debtor or his duly authorised agent is

(*u*) Under the Statutes of Limitation affecting real property (3 & 4 W. IV. c. 27, 37 & 38 Vict. c. 57) not merely is the remedy barred, but the right is defeated. A defence under these statutes is not required to be specially pleaded by Ord. XIX., r. 18, Sch., Supreme Court of Judicature Act, 1875 (Dawkins *v.* Lord Penryhn, L. R. 6 Ch. D. 318; 4 App. Cas. 51), though a defence under the other statutes which merely bar the remedy must be specially pleaded (Catling *v.* King, L. R. 5 Ch. D. 660); *sed quære*, Noyes *v.* Crawley, L. R. 10 Ch. D. 31.

(*x*) Boatwright *v.* Boatwright, L. R. 17 Eq. 71. Ecclesiastical Commissioners of England *v.* N. Eastern Rly Co., L. R. 4 Ch. D. 845.

(*y*) 21 Jac. I. c. 16, s. 3; 19 & 20 Vict. c. 97, s. 9.

(*z*) 3 & 4 W. IV. c. 42, s. 3; *ante*, p. 90.

(*a*) Gordon *v.* Bruce, L. R. 3 C. P. 300; Bonomi *v.* Backhouse, 9 H. L. C. 503; Wilkinson *v.* Verity, L. R. 6 C. P. 206.

(*b*) *Ante*, p. 130, *et seq.*

(*c*) 3 & 4 W. IV. c. 42, s. 4.

(*d*) 21 Jac. I. c. 16, s. 7.

(*e*) As to time within which judgment creditors may sue, see *ante*, p. 90, n. (*f*).

(*f*) 3 & 4 W. IV. c. 42, s. 5; 3 & 4 W. IV. c. 27, s. 40; 9 Geo. IV. c. 14, s. 1.

given to the creditor; and we may here remark that the acknowledgment of a debt by an instrument under seal amounts in general to a covenant to pay it, except when the acknowledgment is made for a collateral purpose (*g*).

Under the statutes of James I. and George IV., the payment of part of the principal or of interest operates as an implied promise to pay what remains due, but this implied promise is rebutted if the payment be by compulsion of law (*k*); thus, a simple contract debt is barred although interest has been paid thereon within six years, such payment being made in pursuance of a judgment recovered for such interest. On the other hand, if the transaction be voluntary, it is not necessary that money should actually pass to operate as a renewal of the cause of action (*l*). With regard to written acknowledgments, it is provided that no indorsement or memorandum of any payment, written or made upon any promissory note, bill of exchange, or other writing, by or on the behalf of the party to whom such payment shall be made, shall be deemed sufficient proof of such payment, so as to take the case out of the operation of either of the said statutes (*m*), which, however, are to apply to the case of any defendant either by plea, notice, or otherwise (*n*).

As an interpretation of what is to be considered an effectual acknowledgment we may refer to the following statement:—

"There must be one of these three things to take the case out of the statute: either there must be an acknowledgment of the debt, from which a promise to pay is to be inferred; or, 2ndly, there must be an unconditional promise to pay the debt; or, 3rdly, there must be a conditional promise to pay the debt and evidence that the condition has been performed" (*e*).

Thus, the following letters were held sufficient to take the several matters to which they relate out of the statute:—

(*g*) Saunders *v.* Milsome, L. R. 2 Eq. 573; Isaacson *v.* Harwood, L. R. 3 Ch. 225.

(*k*) Morgan *v.* Rowlands, L. R. 7 Q. B. 493.

(*l*) Maber *v.* Maber, L. R. 2 Ex. 153.

(*m*) 9 Geo. IV. c. 14, s. 3.

(*n*) *Ibid.*, s. 4.

(*e*) *In re* River Steamer Co.; Mitchell's Claim, L. R. 6 Ch. 828, per Mellish, L. J.; Meyerhoff *v.* Froehlich, L. R. 3 C. P. D. 333.

"As soon as we get our affairs arranged we will see you paid" (*f*). "Yours of the 10th inst. received respecting Mrs. W.'s claim upon me. It is totally out of my power at the present time to liquidate the whole or even part of the same. I am in the anticipation of a better position, and, should I be successful, Mrs. W.'s claim shall have my first consideration. Meanwhile I shall be pleased to pay a reasonable interest on the amount. Show this letter to Mrs. W., and tell her the claim has not been forgotten by me, and shall be liquidated at the earliest opportunity." "At present it is utterly out of my power to do anything. I am willing to endeavour to pay it (the debt) off by easy instalments, or I am willing to pay you any reasonable interest to let the matter remain for the present" (*g*). "I shall be obliged to you to send in your account made up to Christmas last. I shall have much work to be done this spring, but cannot give further orders till this be done." "You have not answered my note. I again beg of you to send in your account, as I particularly require it in the course of this week" (*c*). On the other hand, a letter expressly written without prejudice to any defence under the statutes is not a sufficient acknowledgment (*d*), nor a letter, the effect of which is that the writer is not certain a debt is owing, but will have the matter inquired into (*e*); so, the following letter was held to contain an insufficient acknowledgment:—"I do not wish to avail myself of the Statute of Limitations to refuse payment of the debt. I have not the means of payment, and must crave a continuance of your indulgence. My situation as clerk does not afford me the means of paying by a shilling, but in time I may reap the benefit of my services in an augmentation of salary that may enable me to propose some satisfactory arrangement. I am much obliged to you for your forbearance" (*f*). The right to

(*f*) Chasemore *v.* Turner, L. R. 10 Q. B. 500.

(*g*) Wilby *v.* Elgee, L. R. 10 C. P. 497.

(*c*) Quincey *v.* Sharpe, L. R. 1 Ex. D. 72. See also Lee *v.* Wilmot, L. R. 1 Ex. 364; Skeet *v.* Lindsay, L. R. 2 Ex. D. 314.

(*d*) *In re* River Steamer Co.; Mitchell's Claim, L. R. 6 Ch. 822.

(*e*) Collinson *v.* Margesson, 27 L. J. Ex. 305.

(*f*) Rockham *v.* Marriott, 26 L. J. Ex. 315; 25 *ibid.*, 324.

sue upon a subsisting debt or security may also be lost by circumstances which create an estoppel against a creditor enforcing his claim. Of this subject we have already spoken at some length (*g*), and we may here, therefore, summarise the law in the statement, that a creditor who makes a representation to his debtor of some fact relating to the debt or security therefor, intending that the debtor should act on such representation, and the debtor accordingly does act on the representation and so changes his position, cannot be afterwards heard to say that the representation so made was false; hence, if a creditor inform his debtor that the debt is discharged, and the debtor on the strength of that assurance enters into some irrevocable engagement, as that of marriage, to promote which the creditor made such assurance, the debt cannot be enforced afterwards (*h*). If, however, the representation amount to nothing more than a declaration of intention on the part of the person making it, as in the above instance if the creditor had only said he intended to forgive the debt, there is no estoppel, and the debt could be afterwards enforced; to constitute an estoppel the representation must be of an existing fact or state of things, not of a mere intention (*i*).

When a debt is discharged or barred in the manner now described, the securities for it are also discharged and barred, and such discharge or bar is general; we have next, therefore, to allude to the way in which a particular security may be discharged or barred. Suppose, then, a subsequent security be given and accepted in substitution of a prior one, or, being of a higher nature, be co-extensive therewith, such subsequent security will alone avail; thus, let a debt be secured by mortgage, and let it be afterwards agreed that the mortgagee shall give up the mortgage charge on receiving the mortgagor's

(*g*) *Ante*, pp. 265, 266, 272, 273, 339, 340.

(*h*) Pickard *v.* Sears, 6 Ad. & Eb. 469; Freeman *v.* Cooke, 2 Ex. 654.

(*i*) Jordan *v.* Money, 5 H. L. C. 185; Citizens' Bank of Louisiana *v.* First Nat. Bank of N. Orleans, L. R. 6 H. L. 352; Middleton *v.* Pollock; *ex parte* Wetherall, L. R. 4 Ch. D. 49. As to representations by *feme covert* having property to her separate use, see Stanley *v.* Stanley, L. R. 7 Ch. D. 589.

note of hand for the debt; in such case, on the note being duly handed over, the mortgage ceases to be effective by express stipulation of the parties (*k*); or, again, let a non-negotiable bill of exchange be given to secure an advance and subsequently let a bond for the same be given; in such case the bill of exchange ceases to be effective by operation of law, as the simple contract becomes merged in the contract under seal (*l*). The doctrine of merger is so important, as connected with our present subject, that we may be excused if we limit our observations to explaining its operation in the extinction of particular securities. It is a principle of law that a contract of a higher nature merges or extinguishes a contract of a lower nature when the two contracts vary only in degree of solemnity, and from the moment the higher contract is entered into the parties must altogether and absolutely abide thereby (*m*). By the law of England contracts are divided into—1. Simple contracts, that is, agreements by word of mouth only or in writing not under seal; these include pawns, bills of exchange, promissory notes, and, it may be, life policies. 2. Special contracts, that is, agreements in writing under seal commonly called deeds; these include bonds, mortgage deeds of lands, and generally every description of bill of sale. 3. Contracts of record, that is, agreements entered into before a Court of Record and inscribed on the rolls of such court; these include judgments and recognisances. Of the three classes of contracts the lowest are simple contracts, the highest contracts of record, whilst special contracts occupy the middle place, that is, they are higher than simple contracts, lower than contracts of record; hence, a simple contract may be

(*k*) But a creditor having a mortgage for part of his debt on funds of his debtor does not necessarily surrender that mortgage or lower his priority by taking a subsequent mortgage on the same funds for his whole debt; nor is a separate security to A. impeached by a subsequent security to A. and B. jointly on the same funds (Miln *v.* Walton, 2 Y. & Coll. 254); nor do policies of insurance lodged as collateral security with the payee of a bill operate as satisfaction till money is actually received on them, Scott *v.* Lifford, 1 Camp. 246.

(*l*) But a bond given by a stranger does not extinguish a simple contract debt, Maytin *v.* Hooper, Ridg. 209.

(*m*) Higgens's Case, 6 Co. 44 b.

merged by a subsequent contract either special or of record, a special contract can only be merged by a contract of record, whilst a contract of record is incapable of merger. Thus, suppose a debtor successively to give to his creditor a non-negotiable promissory note, a bond, and a warrant of attorney to enter up judgment for one and the same debt; the bond will merge the note, and thenceforth the creditor can only sue on the bond, and if judgment be entered up on the warrant of attorney, the judgment will merge the bond, and thenceforth the creditor can only sue or have execution on the judgment (*n*); and, with the annihilation of the lower contract, the instrument containing it is also annihilated, so that the delivery of a bond upon which judgment had been entered up to an intended donee was held not to avail as a gift of the debt secured, for, however clear the intention of donation might be, the instrument delivered had by the judgment ceased to have any effect (*o*). In the example just given the judgment was voluntary or obtained by mutual consent (*p*), but a judgment *in invitum* or obtained by hostile proceedings is equally efficacious in working a merger, and that, though a less sum than the debt due is recovered by the judgment, for the recovery of a smaller sum when a larger was in litigation is a good answer to a subsequent demand of the larger sum (*q*). But the giving of another security, which in itself could not operate as an extinguishment of the original one, cannot operate as such by being pursued to judgment, unless it produced the fruit of a judgment; therefore, where one of three joint covenantors gave a bill of exchange for part of a debt secured by the covenant, on which bill judgment was recovered, it was held that the judgment was no bar to an action of covenant against the three covenantors, such bill, though stated to have been given for the payment and in satis-

(*n*) *In re* European Central Rly. Co.; *ex parte* Oriental Financial Corporation, L. R. 4 Ch. D. 33.

(*o*) Patterson *v.* Williams, Lo. & Go. Temp. Plunk. 95.

(*p*) Hall *v.* Levy, L. R. 10 C. P. 154.

(*q*) Stewart *v.* Todd, 9 Q. B. 767.

faction of the debt, not being averred to have been accepted in satisfaction, nor to have produced it in effect (*r*). On the other hand, if there be a joint unsecured debt or a joint debt secured by only one instrument, judgment recovered thereon will merge such debt, and no further claim can be made thereon; thus, a judgment (without satisfaction) recovered against one of two joint debtors (or even joint tort feasors) (*s*), is a bar to an action against the other, and where such debtors are partners and become bankrupt no proof against the joint estate is admitted in bankruptcy (*t*); but if a debt be joint and several, recovery of judgment without satisfaction against one of the debtors is no answer to an action against the other (*u*).

The doctrine of merger does not apply unless the higher contract be co-extensive with the lower, nor even in that case, if it appear from the nature of the subsequent transaction or on the face of the higher instrument that the latter was only intended as an additional or collateral security (*x*); thus, where A. and B. gave their promissory note to C. to secure a debt due from A., and subsequently, on a further advance from C., A. assigned over his household goods and chattels by bill of sale under seal to C. to secure both amounts, it was held that C. was not thereby precluded from suing on the note (*y*). Where, however, a warrant of attorney is given by way of better security to enter up judgment for the amount due on a bond, without more, the judgment is not construed to be a collateral, but a substituted security (*z*), and if in such a case a joint judgment be entered up against two obligors who are jointly and severally liable on the obligation, the liability becomes joint only, and can only be so enforced; thus, where a joint judgment was entered up against A. and B. (a minor) on their joint and several bond, and B.

(*r*) Drake *v.* Mitchell, *et al.* 3 E. 251.

(*s*) Brinsmead *v.* Harrison, L. R. 7 C. P. 547; Huffer *v.* Allen, L. R. 2 Ex. 15.

(*t*) *Ex parte* Higgins, *et al.*; *In re* Tyler, 3 De G. & J. 33.

(*u*) King and Anr. *v.* Hoare, 13 M. & W. 494; Kendall *v.* Hamilton, L. R. 3 C. P. D. 403.

(*x*) Holmes *v.* Bell, 3 Sc. N. R. 479.

(*y*) Twopenny *v.* Young, 3 B. & C. 208.

(*z*) *Ex parte* Christie, 2 Mon. & Bli. 352.

survived A., it was held that the judgment could not be raised out of A.'s assets (*a*). But if the bond in the last example had been merely itself a collateral security, the debtor or debtors might have been proceeded against according to their original liability; thus, separate judgments having been entered up on a bond and warrant of attorney given by four brothers trading in partnership and two other persons, who had therein become jointly and severally bound for any sum not exceeding £1000 advanced by a banking company to the partnership, it was decided that the original liability of the partners continued as the bond was but a collateral security, and that, therefore, on the bankruptcy of the partnership, the banking company might prove against the joint estate for the amount covered by the security (*b*). It is a somewhat difficult task to determine in varying circumstances the applicability of the principle of merger. The principle of transit in *rem judicatam*—as it is called when a judgment effects a merger—is said to fall under the wider rule—*Nemo debet bis vexari pro una et eadem causa*, and the true meaning of the merger is limited to a change of remedy, not to an extinction of original right (*c*). Upon this interpretation of the operation of merger a landlord was held entitled to bring ejectment for arrears of rent under the Irish Common Law Procedure Act, although he had previously obtained judgment for the amount due in an action on the covenants in the lease, execution on such judgment not having satisfied his claim (*d*). Where there is only one security for a debt and that security is pursued unto judgment, the judgment can alone be enforced; where there are several securities for a debt, the pursuing of one to judgment cannot affect the others except so far as the debt itself is affected by satisfaction, this, we submit, is the practical rule so far as we are concerned, and as an illustration we would

(*a*) Henry *v.* Archibald, 5 Ir. R. Eq. 559. As to judgment by default against adult for debt contracted during infancy, see *Ex parte* Kibble; *in re* Onslow, L. R. 10 Ch. App. 373.

(*b*) *In re* Clarkes, 2 J. & L. 212.

(*c*) Per Fitzgerald, J., Wakefield *v.* Smythe, 16 Ir. C. L. R. 173.

(*d*) *Ibid.*

adduce the following case: On 6th March, 1854, K. obtained a joint judgment against W. and C. (a surety) in the penal sum of £1146 on foot of their joint and several bond to secure £573. W. by his will, dated 6th May, 1854—the day of his death—charged all his property with payment of his debts, and in 1855 K. executed a release to C. of the judgment, reserving his rights against W.'s representatives; held, that such release did not extinguish the concurrent remedy given by W.'s will against his lands, but that K.'s debt remained chargeable thereon (*e*).

The foregoing distinctions suggest the question—how is a creditor's right to sue for a debt affected by taking a security; can he sue on the original cause of action, or must he bring his action on the security, supposing, of course, that no express stipulation has concluded the matter? In answer to this inquiry a distinction must be taken both as regards the nature of the security and as regards the object with which it is given (*f*); if the security be purely personal, then, in the absence of a positive agreement that the instrument is given only as a collateral security, the creditor, as a rule, has no remedy except on the security, at least in the first instance; thus, a bill of exchange or promissory note given (and that even by a third party) (*g*), and accepted on account of a simple contract debt suspends the right to sue for such debt till the bill or note becomes payable or is dishonoured, but if it be not paid when duly presented, the creditor may then sue on the original debt (*h*), provided he has taken the proper steps to obtain payment, otherwise the conditional discharge effected by the bill or note becomes absolute (*i*). As to personal securities which are of a higher nature than a simple contract debt, as bonds and judgments, these do not merely suspend the right to sue upon the original cause of action, but either extinguish it by merger or else do not

(*e*) *In re* Warnock's Estate, Ir. R. 11 Eq. 212.
(*f*) *In re* Boys, L. R. 10 Eq. 467.
(*g*) Belshaw *v.* Bush, 11 C. B. 191.
(*h*) National Savings Bank *v.* Tranah, L. R. 2 C. P. 556; Cohen *v.* Hole, L. R 3 Q. B. D. 371.
(*i*) Peacock and Anr. *v.* Pursell, 14 C. B. N. S. 728.

interfere therewith, but give co-existent remedies. If the security given for a debt directly affect property, as a mortgage or pawn, then, if no engagement to the contrary be expressly entered into, the creditor has usually two concurrent remedies: he may either sue on the original cause of action, or he may proceed to realise his security. In the case of a mortgage, the mortgagée may sue on the implied assumpsit to recover the mortgage debt without any express stipulation on the part of the mortgagor; if there be an express covenant for repayment, the action must be brought on such covenant whether the same be under seal and so work a merger of the simple debt, or be not under seal, for *Expressum facit cessare tacitum.* Where a creditor takes as security for his demand the assignment of a debt due to his debtor from a third party, and such debt becomes irrecoverable through the creditor's wilful default, he must bear the loss thereof (*k*). Whatever the nature of a security may be, the object with which it is given may change its effect on the creditor's original right of action; thus, a bill of exchange or promissory note may be expressly given as a mere security for a debt, and in that event the creditor's right to sue upon the original cause of action is not suspended (*l*); so, conversely, a mortgage may be effected on the express understanding that the original cause of action shall be suspended or waived. Thus, then, a creditor's right to sue, both upon a debt and upon a security given for the same, depends upon the nature of the latter and the object with which it is given and accepted; and when such double right of action exists the security is sometimes spoken of as a collateral security for payment of the debt, possessing as it does several of the attributes which belong to the securities to which we more particularly apply that designation. These consist, as we stated, in a plurality of instruments, each securing the same debt, and supporting a separate action.

(*k*) Williams *v.* Price, 1 Sim. & Stu. 581.

(*l*) *In re* Oriental Commercial Bank, L. R. 12 Eq. 501; Leather *v.* Simpson, L. R. 11 Eq. 398.

With the explanation now afforded of the chief modes in which such separate action is defeated, let us next address ourselves to the relations collateral securities involve.

The holder of several collateral securities is entitled to proceed upon any one, or upon all at his pleasure, to obtain satisfaction of the debt or claim secured so soon as the same has fallen due; thus, on default in repayment of an advance secured by note of hand, mortgage, and judgment entered up on a warrant of attorney, the lender may bring an action to recover on the note or to foreclose the mortgage, or he may issue execution on the judgment; or, if he so wishes, he may pursue all these remedies at the same time, but, once the debt is satisfied, the securities are at an end and must in many cases be delivered up to the debtor or as he shall direct (*m*). Nor is it necessary to the satisfaction of a debt that the same should be actually paid in money by the debtor; for, if a creditor holding a negotiable bill or note or having a mortgage as security for his debt negotiate the bill or note or foreclose the mortgage, the debt will be thereby extinguished—in the former case, to the extent of the value of the negotiable instrument; in the latter case, absolutely (*n*); so that, if after foreclosure the mortgaged property be sold and fetch less than the debt it secured, the creditor cannot seek to recover the deficiency upon any collateral security he may have (*o*). Accordingly, a creditor who has reason to doubt the sufficiency of a mortgage to cover the amount thereby secured ought not in the first instance to seek a foreclosure, but should rather proceed on all his securities or else claim to have the mortgaged property sold or exercise his power of sale if he have one, for on the inadequacy of the proceeds so realised to

(*m*) Darlow *v.* Cooper, 34 Beav. 281; *Ex parte* Mure, 2 Cox, 63; Binns *v.* Fisher, 43 L. J. Ch. 188; Hinds *v.* Blacker & Coffey, I. R. 11 Eq. 322; 1 L. R. Ir. 233; Kellock's Case, L. R. 3 Ch. 776.

(*n*) So long as the foreclosed property remains in the hands of the mortgagee, he may proceed upon his collateral securities to recover the balance of his debt, but by so proceeding he opens the foreclosure so as to give a new right of redemption to the mortgagor; Palmer *v.* Hendrie, 27 Beav. 349.

(*o*) Palmer *v.* Hendrie, *ubi supra*; Lockhart *v.* Hardy, 9 Beav. 349; Perry *v.* Barker, 8 Ves. 527; Rudge *v.* Richens, L. R. 8 C. P. 358.

meet the debt due, the debtor and any outstanding collateral securities he has given will remain liable for the deficiency. So long as a debt remains wholly or partially unsatisfied, each collateral security remains also unsatisfied until realised; thus, to take our former example of a debt secured by note of hand, mortgage, and judgment entered up on a warrant of attorney, suppose execution is levied on the judgment under a writ of fi. fa., and the result of the seizure is not enough to defray the amount due, then, until return of the writ, the creditor could not levy another execution on the same judgment (*p*), nor, if he had levied under a writ of elegit, and any lands were extended thereunder, could any further execution other than under an elegit be ever had on the judgment (*q*), but in both these cases the creditor can at any time recur to the note or mortgage to recover the balance yet unpaid.

Although the holder of collateral securities is entitled to proceed upon which he pleases, yet he cannot capriciously exercise his option to the prejudice of other creditors of the same debtor; thus, suppose a debtor mortgage Whiteacre and Blackacre to A., and subsequently mortgage Whiteacre to B., then, if Blackacre be sufficient to cover A.'s charge, B. can restrain A. from having recourse to Whiteacre, or, if A. have already realised his security out of Whiteacre, B. will be allowed to stand in A.'s shoes as to Blackacre, and will be entitled to a lien thereon commensurate with his lien on Whiteacre (*r*). So, where T. insured his life on three different policies, X, Y, and Z, and mortgaged the same at different times to the insurance company for three several advances, and, on the last advance, policies X and Y were mortgaged, and H. became surety for repayment of the amount then advanced, and subsequently, on T.'s becoming bankrupt, H. was compelled to pay the sum guaranteed, it was held that, on the death of T., the surplus of

(*p*) Chitty's Archb. Q. B. Pr. 12th ed. 680, 691.
(*q*) *Ibid.*, 691.
(*r*) Aldrich *v.* Cooper, 8 Ves. 388; II. W. & T. Lead. Cas., 5th ed., 80; *In re* International Assurance Society, L. R. 2 Ch. D. 476.

the moneys arising from the policies after liquidation of the company's claims, should go to reimburse H. what he had been so forced to pay, and did not accrue to the bankrupt's general estate (*s*). The doctrine according to which the above substitutions take place is known as the marshalling of securities, and it applies wherever one creditor or one set of creditors has a lien or charge on two or more funds, whilst another creditor or set of creditors of the same debtor has a lien or charge on only one or some of such funds, and there are no other incumbrances on the funds, for in every such case the creditor or creditors having a lien or charge on a single fund only, will, if that fund be exhausted by a creditor or creditors who might resort to another fund, be permitted to claim against the latter fund to the same extent as they might have claimed against the former if unexhausted. For the application of marshalling it is necessary that the double fund should belong to the same debtor; hence, if A. have a charge secured on two funds, one belonging to C. and the other to D., and B. have a charge on C.'s fund only, B. cannot throw A. on D.'s fund. Again, there can be no marshalling if the rights of third parties would be thereby interfered with; hence, if a debtor charge two funds, F 1 and F 2, in favour of A., and subsequently charge F 1 in favour of B., and F 2 in favour of C., B. cannot require A. to satisfy himself out of F 2, because to do so would work an injustice to C., but A. can be compelled to raise his charge rateably out of the two funds. If, however, a third mortgage is made expressly subject to the prior mortgages, the mesne mortgagee is entitled to marshall; thus, where funds X and Y were mortgaged to A., and then X was mortgaged to B., and subsequently X and Y were mortgaged, subject to the prior mortgages being first paid off, to C., and X was absorbed by A.'s mortgage, it was held that B. was entitled to have Y applied in satisfying his mortgage in full in priority to C. (*t*).

(*s*) Heyman *v.* Dubois, L. R. 13 Eq. 158.

(*t*) *In re* Mower's Trusts, L. R. 8 Eq. 110.

Where a man, against whom a judgment binding his lands was in force, settled portion of his estate with a covenant against incumbrances, and after the settlement other judgments affecting his lands were obtained against him, it was held that the first judgment must be thrown on the unsettled lands, and that the holders of the subsequent judgments had no equity to contribution from the settled lands (*u*). In dealing with the present subject, it should be borne in mind that a judgment creditor takes no better title than the judgment debtor possessed at the time of the judgment, and, therefore, cannot insist on marshalling to the same extent as a mortgagee; accordingly, where an owner in fee made a voluntary settlement giving himself a life estate, and after the settlement mortgaged the property so settled, and subsequently a judgment was obtained against him, it was decided that to the extent of the mortgages the settlement was defeated, but that the judgment creditor could take nothing beyond the settlor's life interest; that, as to two sums charged by the settlement on the inheritance for so much thereof as had been actually paid off by the settlor, the judgment creditor would be allowed a charge on the reversion, but that he could not claim to have the life interest further exonerated (*x*). The principle of marshalling obtains not only in the case of payment of securities where the parties are living and solvent, but also in the administration of assets whether of a deceased person or of a bankrupt (*y*); nor does it matter of what nature the funds in question may be, as whether one is real, another personal, property, or whether the title to one be legal, to another be merely equitable (*z*), for, generally, where a double fund exists (and without an actual existence of both double fund and charges well created thereon the principle has no application) for the discharge of one set of claims and a single fund

(*u*) Averall *v.* Wade, L. & G. Temp. Sug. 252.

(*x*) Dolphin *v.* Aylward, L. R. 4 H. L. 486.

(*y*) Farquharson *v.* Floyer, L. R. 3 Ch. D. 109; Tomkins *v.* Colthurst, L. R. 1 Ch. D. 626; Trumper *v.* Trumper, L. R. 14 Eq. 295.

(*z*) Aldrich *v.* Cooper, *ubi supra.*

for the discharge of another set of claims, the parties entitled to the single fund only cannot be disappointed by the exhaustion thereof by the parties entitled to the double fund, except, of course, the double fund is entirely swallowed up in satisfying the claims of the prior incumbrancers.

With regard to specific securities held on the property of a bankrupt or any part thereof, it is provided that the secured creditor may either (1) give up his security and vote and prove for his whole debt, or (2) realise his security and vote and prove for the balance only (if any), or (3) assess the value of his security and vote and prove for the balance only (if any). A secured creditor not complying with the foregoing conditions is excluded from all share in any dividend (*a*). By a secured creditor is meant any creditor holding any mortgage, charge, or lien on the bankrupt's estate or any part thereof as security for a debt due to him; an execution creditor under whose *fi. fa.* the sheriff has seized but not sold prior to any act of bankruptcy to which the title of the trustee relates, is a secured creditor within the above definition, unless the debtor is a trader and the execution for more than £50 (*b*); so a judgment creditor who obtains a garnishee order under the Common Law Procedure Act, 1854, becomes a secured creditor (*c*), and that even before the same is made absolute (*d*); but a judgment creditor whose writ of execution has been merely delivered to the sheriff, and remains unexecuted by seizure (*e*), or who has obtained judgment against the garnishee under an attachment in the Mayor's Court (*f*), or who has a mere licence to seize the

(*a*) 32 & 33 Vict. c. 71, s. 40; RR. 78–81, 99, 136, Gen. RR. 1870, s. 16, sub-s. 5; *In re* Collie; *Ex parte* Manchester and City Bank, L. R. 3 Ch. D. 481.

(*b*) *In re* Lewis; *Ex parte* Chauthner, L. R. 3 Ch. D. 113; *In re* Balburnie; *Ex parte* Jameson, L. R. 3 Ch. D. 488; Slater *v.* Pinder, L. R. 6 Ex. 228; *Ex parte* Rocke, *re* Hall, L. R. 6 Ch. 795; *Ex parte* Lovering, *re* Peacock, L. R. 17 Eq. 452.

(*c*) Emanuel *v.* Bridger, L. R. 9 Q. B. 286; Lowe *v* Blakemore, L. R. 10 Q. B. 485; *Ex parte* Banner; *In re* Keyworth, L. R. 9 Ch. App. 379.

(*d*) *Ex parte* Joselyne; *In re* Watt, L. R. 8 Ch. D. 327.

(*e*) *Ex parte* Williams, *re* Davies, L. R. 7 Ch. 314.

(*f*) *Ex parte* Mauritz, *re* Giles, L. R. 5 Ch. 779; Redhead *v.* Welton, 30 L. J. Ch. 577.

debtor's property still unexecuted at the time of the act of bankruptcy to which the trustee's title relates (*g*), is not a secured creditor as above defined. If a secured creditor elects to assess the value of his security and prove for the balance only, he becomes completely bound by such assessment, so that if the security turn out to be more valuable than was assessed, the trustee will be entitled to the balance in excess (*h*); if less valuable, the creditor cannot increase his proof (*i*); a secured creditor may, however, abstain from seeking any benefit under the bankruptcy administration, and, in that event, though he cannot share in any dividend from the insolvent estate, he may realise or otherwise deal with his security in the same manner as he would have been entitled to realise or deal with the same if the bankruptcy had not supervened (*k*). In the case of a composition, a secured creditor is not bound by the compounding debtor's estimate of the value of the security, nor is he debarred, if he has abstained from taking any part in the composition proceedings, from claiming, after realisation of his security, payment of the composition upon the value which may then remain unsatisfied of the debt (*l*); if, however, he prove under a liquidation petition, he cannot set up his security after a composition has been accepted.

Through the operation of marshalling, a secured creditor may, as we have seen, under certain circumstances, when deprived of the benefit of his own security, be compensated by that of another; that compensating advantage is conferred not by contract, but by a principle of equitable administration. Here, therefore, as having a similar origin, we may take occasion to allude to the rule in *Ex parte* Waring, whereby the holder of a bill of exchange, on the insolvency of both drawer

(*g*) Cole *v.* Kernot, L. R. 7 Q. B. 534.

(*h*) R. 100, Gen. RR. 1870; *Ex parte* Carr; *In re* Hoffman, W. N., (1879) 36.

(*i*) R. 101, Gen. RR. 1870; *Ex parte* King, *re* Palethorpe, L. R. 20 Eq. 273.

(*k*) S. 12; Moor *v.* Anglo-Italian Bank, L. R. 10 Ch. D. 681.

(*l*) *In re* Bestwick; *Ex parte* Bestwick, L. R. 2 Ch. D. 485; *In re* Balburnie; *Ex parte* Jameson, L. R. 3 Ch. D. 488; White *v.* Simmons, L. R. 6 Ch. 555; *Ex parte* Brett; *In re* Howe, L. R. 6 Ch. 838.

and acceptor, is given a specific lien on any securities that may have been appropriated to meet such bill. Thus, suppose the drawer of bills assigns over a mortgage or other security to the acceptor by way of indemnity against any liability incurred by the acceptance, and that, the bills being put into circulation and still outstanding, both drawer and acceptor become bankrupt, then the bill holders will be entitled to the benefit of the assigned security, if it has not been disposed of or dealt with so as to lose its character of indemnity. Here, then, apart from any contract on their part, the bill holders have a specific claim upon the indemnity, and such claim is based on the equity that has to be worked out between the two insolvent estates for whose mutual advantage the lien is allowed to prevail (*m*). A moment's thought will show how completely in accord with justice and equitable principles is this rule; in fact, the matter stands thus: the acceptor is primarily liable for the amounts due on the bills, therefore he could not be compelled to deliver up the indemnifying securities until either the bills were paid off or he was put in funds to meet them; subject, however, to the discharge of the bills, the securities belong to the drawer; now, unless the bill holders are allowed a specific lien, the securities will go to swell the general estate of the acceptor, and the drawer's estate is consequently defrauded, whilst the general creditors of both bankrupts would also suffer—the creditors of the acceptor, because the bill holders to the amount of the bills and the trustee of the drawer to the amount of the indemnifying securities must be let in to prove in full against the general estate of the acceptor; the creditors of the drawer, because the bill holders must be let in to prove against the general estate of the drawer, without allowance for the indemnifying securities. Hence, the specific lien conferred on the bill holders arises by a sort of natural necessity, for otherwise it would be impossible fairly to adjust the various interests at issue between the two estates, the end and object of the Rule in *Ex parte* Waring, the nature and limitations of which we

(*m*) *Ex parte* Waring, 19 Ves. 349.

may now more particularly discuss. For the application of the Rule it is necessary: (1) that there should be a double insolvency involving the forced administration of the estates of both drawer and acceptor of outstanding bills of exchange, and that the bill holders should have the right of double proof against each estate for the full amount; (2) that securities should have been specifically appropriated to meet such bills; (3) that the appropriated securities should remain in *statu quo*—that is, should not have been diverted from the purpose of serving as indemnities; (4) lastly, that there should be no agreement between the bill holders and the drawer or acceptor as to the disposal of the securities (*n*).

1. First, then, the rule requires there should be insolvency of both drawer and acceptor involving a forced administration of their estates. If either drawer or acceptor were solvent, the bill holders would be paid in full; if the administration were voluntary, the conflicting interests would be bound by express agreement—in neither alternative does the necessity for working out an equity between the two estates arise. In the leading case from which the rule derives its name, the facts were these: Bracken & Co., manufacturers in Lancashire, drew bills on Brickwood & Co., bankers in London, who accepted the same on receiving from the drawers an equitable mortgage by deposit of title deeds of premises in London. The bills were negotiated, and, whilst outstanding, both firms became bankrupt. On the application of the bill holders, it was decreed by Lord Eldon that the proceeds from the realization of the property comprised in the equitable mortgage must first be applied to the discharge of the amounts due on the bills, and that any balance belonged to the general estate of the drawer and mortgagor. The rule thus established had its first application in cases of double bankruptcy; afterwards it was allowed to prevail where one of the estates was bankrupt, and the other was being administered in an administration suit as insolvent (*o*); still more recently

(*n*) See The Rule of *Ex parte* Waring, by A. C. Eddis, to which we are much indebted.

(*o*) Powles *v.* Hargreaves, 3 D. M. & G. 430, 23 L. J. Ch. 1.

it has been adopted where the estate or estates is that of an insolvent company being wound up compulsorily or under the supervision of the Court (*p*); and now it would probably be held admissible wherever there was a double insolvency, of whatever kind, of drawer and acceptor, and a consequent involuntary administration of their estates. Such administration must be judicial; therefore, if either drawer or acceptor enter into a mere private composition with his creditors (*q*), or if he be beyond the power of the Court, the rule has no application (*r*). However, it is not necessary that the bill holder should have double proof on the bill itself, it is enough if he can prove against one estate on the bill, and against the other estate on the debt represented by the bill. Thus, a holder, who is also the drawer of a bill, may have the advantage of the rule (*s*). Moreover, it is not essential that the depositor of the indemnifying securities should be directly liable on the bills as drawer or acceptor, for if he be liable in respect of the transaction represented by the bills, that is sufficient (*t*).

2. Next, the rule requires that securities should have been specifically appropriated to meet outstanding accepted bills of exchange. Such acceptance and appropriation are absolutely indispensable. What will suffice to constitute an effective appropriation is frequently a question of great nicety. If securities are expressly transferred to supply an indemnity, the appropriation is *ipso facto* complete; so, according to the later authorities, there may, it would seem, be a sufficient appropriation by virtue of a mere course of dealing, by which, in fact, an acceptor is put in funds before the maturity of the bills, and with those funds is in the habit of discharging the amounts of the acceptances as they fall due (*u*); but an assurance, however

(*p*) *In re* Barned's Banking Co., L. R. 19 Eq. 1; L. R. 10 Ch. 198; Hickie & Co.'s Case, L. R. 4 Eq. 226.

(*q*) *Re* M. an Arranging Debtor, Ir. R. 11 Eq. 193.

(*r*) *In re* Yglesias; *Ex parte* Gomez, L. R. 10 Ch. 639; *In re* Yglesias; *Ex parte* Gen. S. American Co., L. R. 10 Ch. 635.

(*s*) *Ex parte* Smart, L. R. 8 Ch. 220.

(*t*) *Ex parte* Ackroyd, 3 De G. F. & J. 726; *Ex parte* Smart, L. R. 8 Ch. 220.

(*u*) Shepherd *v.* Harrison, L. R. 5

honestly made, by the drawer to the holder of bills, that the same are certain to be duly honoured, inasmuch as they are already covered by funds provided by the acceptor for that purpose, cannot convert dealings between the drawer and acceptor into an appropriation, if not such already (*x*). A direction by a consignor to his consignee to place the invoice price of goods (not the proceeds of the sale) to his credit, and the bills drawn against them to his debit, does not amount to an appropriation of the goods to protect the bills; and it was held that a foreign firm engaged by an English firm to purchase goods as their agents and remit them to England, having accordingly shipped goods to England, and sent the bills of lading directly to the English firm, had, whether as agents of, or vendors to, the English firm, parted with all property in the goods, so as to be unable to direct an appropriation of the proceeds (*y*). To avail the bill holders, however, the appropriation need not be simply as a specific indemnity for payment of the bills, for if funds are appropriated to securing a general credit, which includes advances upon bills, the holders of bills drawn thereunder are entitled to a lien on such funds. Thus, where K. & Co. accepted bills for L. & Co., and the latter mortgaged to the former an estate in Guiana to secure a cash credit granted by K. & Co. to the extent of 75,000 dols., and there was a general current account between the two firms, it was held that, on the double insolvency of K. & Co. and L. & Co., the mortgage was a security for money to meet the bills, and that the holders thereof were entitled to have the mortgage realised in their favour (*z*).

3. Another condition upon which the applicability of the rule depends is that the appropriated securities continue as indemnities at the time when the double insolvency takes place —that the contract between the two parties liable to the bill

H. L. 116; *In re* Yglesias; *Ex parte* Gomez, L. R. 10 Ch. 647. (Trimingham *v.* Maud, L. R. 7 Eq. 201, disapproved.)

(*x*) Citizens Bank of Louisiana *v.* Bank of New Orleans, L. R. 6 H. L. 352.

(*y*) *Ex parte* Banner; *In re* Tappenbeck, L. R. 2 Ch. D. 278.

(*z*) City Bank *v.* Luckie, L. R. 5 Ch. 773.

holders should at the time when the latter make their claim subsist and be incapable of alteration (*a*). Up to that period, it is quite competent to the parties by whom the appropriation was made to enter into an agreement which will put an end to the original compact, and, if such agreement be come to, then the bill holders can claim no lien, though the securities be still in the same hands as when they were appropriated. Thus, where an equitable mortgage stood as indemnity for certain bills, in place of which new bills were given, it was held that the holders of the new bills could not claim the benefit of the mortgage, the new bills having been substituted before the double insolvency of the drawers and acceptors (*b*). However, a misappropriation by the acceptor of part of the indemnifying securities does not impair the right of the bill holders to the benefit of the remainder (*c*).

4. Finally, the rule cannot operate if the bill holders make an express stipulation for the benefit of the appropriated securities, for such positive arrangement overrides the implied equity that might otherwise arise (*d*).

The principle in *ex parte* Waring is admitted where the relation of principal and agent subsists between the parties liable on a bill in the same way as if the parties were strangers; also, whether or not the bill holders are cognisant of the appropriation of the indemnifying securities, nor is it any objection whether these exceed or fall short in value of the amounts due on the bills, for, on realisation, the excess will accrue to the estate of the owner of the securities, the deficiency can be claimed against the two insolvent estates, and the bill holders will be allowed to prove against each *pro tanto*.

The extent to which the drawer, acceptor or indorsee of a bill covered by collateral securities can avail himself thereof

(*a*) *In re* Lindsay; *Ex parte* Lambton, L. R. 10 Ch. 405; *In re* Yglesias; *Ex parte* Gen. S. American Co., L. R. 10 Ch. 635.

(*b*) *Ex parte* Alliance Bank, L. R. 4 Ch. 423.

(*c*) *Ex parte* Carrick, 2 De G. & Jo. 208.

(*d*) *Ex parte* Copeland, 3 Dea. & Ch. 199.

on the insolvency of one of the parties to the bill, must depend upon the particular circumstances of each case and the peculiar relations of the several persons concerned. A person, who was appointed a company's agent for the sale of their goods under an agreement that he should be paid by commission on the sales, and should accept bills for the company for such reasonable amount as was represented by their goods from time to time on his premises, and, if on maturity of the bills he had not sufficient funds, the company were to make good the difference, was allowed, on the failure and winding-up of the company, a lien on their goods then in his hands to the amount of a bill accepted by him, but not yet at maturity (*e*). V. sold to the C. Bank a bill of exchange for £1,200, drawn on his consignees, for price of goods shipped, and handed to the bank as collateral securities for due payment of the bill of exchange, the bill of lading and a policy on the goods for £1,700, with a letter of hypothecation empowering the bank on dishonour of the bill of exchange to sell the goods and apply the proceeds in payment of such bill—the balance, if any, to be placed against any other bills, or any other liability of V. to the bank; the ship and goods were lost at sea, and the policy moneys were paid to the bank, the consignee having dishonoured the bill of exchange. V. had before the loss assigned over the policy moneys subject to the bank's indemnity for valuable consideration, and was at the time the moneys came to the hands of the bank indebted to the same on other bills and liabilities. Under these circumstances, it was held that the bank could only retain £1,200 out of the policy moneys, and that V.'s assignee was entitled to the balance. This decision is founded on two facts, viz., (1) that the general lien of bankers was excluded; that followed from the particular purpose for which the policy was handed over, namely, to secure payment on the bill for £1,200; (2) that a lien on goods consigned does not give a corresponding lien on a policy under which the goods are in-

(*e*) *In re* Pavy's Patent Felted Fabric Co., L. R. 1 Ch. D. 631. See also Ranken *v.* Alfaro, L. R. 5 Ch. D. 786.

sured; hence, the general lien which the Bank had upon the goods, according to the express terms of the letter of hypothecation, did not extend to the proceeds of the insurance (*f*). So, where the consignor of goods, of which there was a partial loss at sea, exercised his right of stoppage in transitu on the insolvency of the consignee, by whom the goods had been previously insured, it was decided that the consignee, not the consignor, was entitled to the money paid under the policy for the loss (*g*). Where a bill of exchange is drawn against a particular cargo in the words "which place to account cargo per A," a lien on the cargo does not necessarily pass to every holder of the bill; to give such lien the bill of lading should be annexed (*h*).

From these cases we may pass to some important points connected with policies of life insurance acting as collateral securities. It will be remembered that a creditor has an insurable interest in the life of his debtor to the extent of the debt due, and that the subsequent discharge of the debt does not discharge the insurer's liability, but that the policy continues to subsist as before (*i*); for whose benefit is the matter we have now to consider. No difficulty can arise where a creditor simply and solely, at his own expense and in his own name, insures the life of his debtor; in such case, whatever becomes of the debt, it is clear the creditor alone and absolutely is entitled to the policy. When, however, the insurance is not merely at the expense of the creditor, then he cannot claim the policy for his own exclusive benefit, but on discharge of the debt it will belong to the person who has advanced the premiums. Accordingly, when the relation of debtor and creditor subsists, and the true construction of the instruments, and the evidence of the real nature of the transaction shows that the policy of assurance was effected by the creditor as a security or indemnity, if the debtor

(*f*) Latham *v.* Chartered Bank of India, L. R. 17 Eq. 207.

(*g*) Berndtson *v.* Strang, L. R. 3 Ch. 588.

(*h*) Robey & Co.'s Perseverance Iron Works *v.* Ollier, L. R. 7 Ch. 695; *Ex parte* Mann; *In re* Kattengell, L. R. 5 Ch. D. 367; Johnson *v.* Robarts, L. R. 10 Ch. 505; Ebsworth *v.* Alliance Marine Insurance Co., L. R. 8 C. P. 596; Steele *v.* Stuart, L. R. 2 Eq. 84.

(*i*) *Ante*, p. 82.

directly or indirectly provides money to defray the expense of that security, he is on a principle of natural equity entitled to have the security delivered up to him when he pays his debt, which it was directly or indirectly at his expense effected to secure: *Qui sentit onus sentire debet et commodum* (*k*). But to gain such an advantage, the debtor must either have actually paid for the insurance, or else there must be distinct evidence of a contract that the creditor has agreed to effect a policy, and that the debtor has agreed to pay the premiums; therefore, where a creditor effected policies on the life of his debtor whom he debited in his books with the premiums, and there was evidence to show that the debtor was aware of the existence of the policies, but not that the premiums were charged to his account, it was decided that the debtor's representatives had no claim to the policies (*l*). It would, however, have been otherwise had the account been sent in to the debtor, and if by payment of the debt during his life he would have had a right to the policy (*m*). In reference to the present subject, it is important to distinguish the sale of an annuity with condition for re-purchase from a mere loan, for a policy effected by the annuitant on the life of the grantor of the annuity can rarely be claimed by the latter on re-purchase of the annuity, though had the transaction been a simple loan the borrower would have been entitled on discharge of the loan to a policy effected on similar conditions by the lender; hence it was held that on re-purchase of an annuity the vendor could not claim an insurance on his life effected by the purchaser who paid the premiums, though there was a condition that the vendor should pay an extra charge on going beyond the seas or entering into military service (*n*). So, where A. agreed to pay 8 per cent. during his life to B., and a further annual sum to cover premiums on a policy for £200 effected by B. on A.'s life, in consideration of an advance of £200, and the annuity so granted was redeemable on

(*k*) Courtenay *v.* Wright, 2 Giff. 351.
(*l*) Freme *v.* Brade, 27 L. J. Ch. 697; Bruce *v.* Garden, L. R. 5 Ch. 32.
(*m*) Morland *v.* Isaac, 20 Beav. 389.
(*n*) Knox *v.* Turner, L. R. 5 Ch. 50; Preston *v.* Neele, W. N. (1879) 57, 58.

re-payment of the advance and all interest and expenses thereon, it was decreed that, on such redemption, A. had no claim to the policy (*o*). If, however, on the grant of a redeemable annuity, it is expressly stipulated that the grantor on redemption shall be entitled to an assignment of all securities held therefor, then policies effected by the annuitant on the life of the grantor will be comprehended under such stipulation, and will pass to the grantor on due redemption (*p*.) The contrast between the right to a policy on a debtor's life, and the right to a policy on the life of the grantor of a redeemable annuity, flows from the entirely different nature of a loan and of a redeemable annuity: in the case of a loan, the borrower is liable for the whole amount lent, and if the creditor with his consent effect a policy on his life, the premiums are, generally, either directly or indirectly, by a higher rate of interest, paid out of the borrower's pocket; in the case of a redeemable annuity, the grantor is not liable for the purchase-money given by the annuitant, but only for an annual payment liable at any time to be defeated by death, and the premiums on a policy effected by the annuitant on the grantor's life are really so much of a deduction from the annuity. In a loan transaction a creditor or debtor's right to a policy is not lost because some of the premiums are paid by the other party, for once the right is established the person entitled originally can claim the policy on re-payment of the advanced premiums (*q*), and premiums paid on the bankruptcy of the insured by the bankrupt were regarded as in the nature of salvage moneys, which ought to be repaid with interest at 4 per cent. out of the policy moneys (*r*). The payment of premiums by tenant for life of a residuary estate including policies of assurance gives him no lien except for interest on the policy moneys (*s*).

Any money received by a creditor on a policy given by his

(*o*) Gottlieb *v.* Cranch, 22 L. J. Ch. 912.
(*p*) Courtenay *v.* Wright, *ubi supra*.
(*q*) Triston *v.* Hardey, 14 Beav. 232; Drysdale *v.* Piggott, 25 L. J. Ch. 878.
(*r*) Spearman *v.* British Empire Mutual Life Assurance Co., L. R. 14 Eq. 4; Gill *v.* Downing, L. R. 17 Eq. 316; Norris *v.* Caledonian Insurance Co., L. R. 8 Eq. 127.
(*s*) *Re* Waugh's Trusts, 25 W. R. 555.

debtor as collateral security for a debt, or to which the debtor would be entitled on payment of the debt, is an absolute or *pro tanto* discharge of such debt; the same rule obtains where the creditor is himself the insurer, and in such case the insurer is in the same position as any other creditor who might have been similarly secured. Accordingly, where a company advanced £1,000 on the borrower insuring his life for that amount in their office and depositing the policy as an equitable mortgage, and giving a further security by mortgage on real property, and the policy was conditioned to be void by suicide of the assured, unless to the extent of any *bonâ fide* interest vested therein at the death in some other person for valuable consideration, it was held that the company was within this exception, and that by the suicide of the assured the policy was not avoided, consequently that the debt to the company was discharged, and that the representatives of the deceased were entitled to a reassignment of the other securities held by the company (*t*). Where a bill of sale of mill fixtures contained a covenant to insure on the part of the grantor, but no provision was made as to the application of the policy moneys, and the premises were burnt down, it was decided that the grantee of the bill had no title to the policy moneys (*u*).

We may here advert to the assignment, delivery up, or cancellation of securities, when the debt secured is transferred or paid off. We may begin with an important enactment relating to sureties and co-debtors. By the Mercantile Law Amendment Act it is provided that every person who, being surety for the debt or duty of another, or being liable with another for any debt or duty, shall pay such debt or perform such duty, shall be entitled to have assigned to him, or to a trustee for him, every judgment, specialty, or other security, which shall be held by the creditor in respect of such debt or duty whether such judgment, specialty, or other security shall or shall not be deemed at law to have been satisfied by the payment of the debt or performance of the duty, and such person shall be

(*t*) White *v.* British Empire Mutual Life Assurance Co., L. R. 7 Eq. 374.

(*u*) Lees *v.* Whiteley, L. R. 2 Eq. 143.

entitled to stand in the place of the creditor, and to use all the remedies, and, if need be, and upon a proper indemnity, to use the name of the creditor in any action or other proceeding at law, or in equity, in order to obtain from the principal debtor, or any co-surety, co-contractor, or co-debtor as the case may be, indemnification for the advances made and the loss sustained by the person who shall have so paid such debt, or performed such duty, and such payment or performance, so made by such surety, shall not be pleadable in bar of any action or other proceeding by him, provided always that no co-surety, co-contractor, or co-debtor shall be entitled to recover from any other co-surety, co-contractor, or co-debtor by the means aforesaid, more than the just proportion to which as between those parties themselves such last-mentioned persons shall be justly liable (*x*). Under this provision (which is held to extend to a contract entered into before the Act provided a breach thereof, and payment is made by the surety after the Act) (*y*), it has been decided that a co-debtor who has paid the entire debt due on a judgment against himself and others, is entitled to an assignment of the judgment, although it be thereby satisfied (*z*); in fact, one of the very objects of the enactment was to sweep away the technicality which prevented a satisfied bond or judgment from being ever after put in suit, and to keep such a bond or judgment alive for the benefit of a surety or joint debtor. Under what circumstances it might be necessary or advisable for a co-debtor or surety to sue in the name of, or jointly with, the creditor on any security held for the debt is doubtful; formerly, the rule in Chancery, as far as equitable assignments were concerned, was that the assignor of a judgment was a necessary party to a suit by the assignee, notwithstanding an express power of attorney (*a*), but that the assignor

(*x*) S. 5, 19 & 20 Vict. c. 97; *In re* Kirkwood's Estate, 1 L. R. Ir. 108.

(*y*) *In re* Cochrane's Estate, L. R. 5 Eq. 209.

(*z*) Batchellor *v.* Lawrence, 6 Jur. N. S. 1306; 9 C. B. N. S. 543; *In re* Swan's Estate, I. R. 4 Eq. 209.

(*a*) Catchart *v.* Lewis, 7 Ves. 463; Partington *v.* Bailey, 6 L. J. Ch. 179.

of a bond was not a necessary party to a suit by the assignee, unless in exceptional cases (*b*).

A creditor who holds several securities for his debt, partly given by the principal debtor and partly by a surety, must retain all securities given by the principal debtor for the benefit of the surety, and if he neglects to do so he discharges the surety (*c*); thus, it appears that as between creditor, principal debtor, and surety the law is sufficiently explicit in fixing the right to the debt and the right to all securities therefor in the same hands. And the same rule obtains, though to a less extent on the one hand, as between the assignor and assignee of an assigned debt, or, on the other hand, as between the debtor and creditor of a satisfied debt (*d*). An assignment of a debt carries the securities, and in some cases the assignment of a security will carry the debt, and where there are several securities for the same debt, an assignment or gift by the creditor of one security is an assignment or gift of the debt, and neither the creditor nor his representatives can be permitted to set up the other securities for the purpose of defeating that assignment, but those who hold the collateral securities become trustees for the assignee or donee of the debt (*e*). Again, when a debtor discharges a debt, he is entitled to a re-assignment of his securities directly affecting property, but not to a delivery up of his personal securities, unless they be valuable to him, or might be made the subject of hostile proceedings. Thus, on the discharge of a debt secured by a mortgage or pawn, the debtor becomes entitled to an immediate re-transfer of the property mortgaged or pawned, nor can a mortgagee who is being redeemed retain any of his securities to answer contingent liabilities of the mortgagor to him, in the absence of an express agreement to that effect; hence, a security to be held as long as any debt shall be due, or growing due, cannot be retained to answer the contingent liability of the mortgagor as drawer or

(*b*) Brace *v.* Harrington, 2 Atk. 235; Turquand *v.* Fearon, L. R. 4 Q. B. D. 280.

(*c*) *Ante*, p. 102.

(*d*) Merchants' Bank of London *v.* Maud, 18 W. R. 312.

(*e*) Duchess of Bucclengh *v.* Hoare, 4 Mad. 476.

indorser of a current bill (*f*). So, it is a principle that the mortgagee should be in a condition to return the mortgaged property in *statu quo ante* when paid the debt, and that if he cannot do this, he will not be allowed to proceed for the debt on any other security he may have; thus, A. gave B. certain promissory notes and a mortgage as collateral security for the purchase-money of the mortgaged estate of which B. was the vendor; C. on receiving an assignment of the mortgage discounted the notes for B.; by a subsequent agreement, A. sold all his interest in the property mortgaged to B., and B. undertook to cancel the notes; subsequent to that agreement, C. reassigned the mortgage to B. in consideration of £4000, without prejudice to any right or remedy on the notes which still remained in his (C.'s) hands; after that, C. brought an action on one of the notes against A., whereupon A. applied for an injunction to restrain C. from prosecuting the action pending a suit instituted by A. for redemption; C. had had notice of A. and B.'s dealings, but A. had had no notice of B. and C.'s dealings; under these circumstances it was held that the application must be granted (*g*), as C. by assignment occupied the same position as a mortgagee, and every mortgagee is charged with a reconveyance to the mortgagor of the property mortgaged on payment of the mortgage debt (*h*). As regards personal securities, such as bonds, bills, notes, &c., the right of a debtor to a re-delivery or cancellation depends in the first place upon whether he himself, or some third person, is liable to be sued thereon. A person who is obligee on a bond, or payee of a bill or note, may assign over the bond, bill, or note as a security for a debt due by himself; in such case, on payment of the debt, the bond, bill, or note must, of course, be re-assigned to the debtor, for to him it has a value the same in kind as corporeal property. If, however, a debtor give his own bond, bill, or note

(*f*) Merchants' Bank of London *v.* Maud, *ubi supra.*

(*g*) Walker *v.* Jones, L. R. 1 P. C. 50.

(*h*) Palmer *v.* Hendrie, and cases cited, *ante*, p. 392. Schoole and Wife *v.* Sall, 1 Sch. & Lef. 176.

as security for a debt, then the right to a delivery up of the instrument on payment of the debt depends upon the nature of the instrument; thus, an obligee is not bound to re-deliver the bond on payment of the debt due thereon by the obligor (*i*), nor can the maker of a non-negotiable note (*k*), nor the acceptor of a bill payable to order, but not indorsed (*l*), refuse payment because the note or bill is not re-delivered. On the other hand, payment on a negotiable bill or note might have been refused, except on re-delivery to the person called upon to pay (*m*); this was the absolute rule at Common Law, but Courts of Equity (*n*), and recently, by a legislative enactment (*o*), Courts of Law, and now, every branch of the Supreme Court, and every Inferior Court having equitable jurisdiction (*p*), permit the payee or indorsee of a lost negotiable instrument to recover thereon on giving a suitable indemnity to the party compelled to pay. Upon the difference in status between the transferee of a merely assignable, and the transferee of a negotiable chose in action, was based the right to a re-delivery as above explained.

A debt may be transferred by gift as well as by assignment for valuable consideration; so, it may be discharged by voluntary cancellation as well as by actual payment, and, as in the case of an assignment or satisfaction for value, so, in the case of a voluntary transfer or discharge, the debt carries the securities, of which, therefore, the donee or forgiven debtor, respectively, has a right to have a delivery (*q*). The donation of a debt may be effected (1) by act *inter vivos*, (2) by *donatio mortis causa*, or (3) by will, and in either of these ways, as well as by other means, it may also be cancelled.

(1.) No voluntary transfer of a debt can avail, unless the gift be complete or unless the intended donee has a binding

(*i*) Binns *v.* Fisher, 43 L. J. Ch. 188.
(*k*) Wain *v.* Bailey, 10 A. & E. 616.
(*l*) Rolt *v.* Watson, 4 Bing. 273, 9 & 10 Will. III. c. 17, s. 3.
(*m*) Redmayne *v.* Burton, 2 Q. T. N. S. 324; M'Donnell *v.* Murray, 9 Ir. C. L. R. 495; King *v.* Zimmerman, L. R. 6 C. P. 466.
(*n*) Walmsley *v.* Child, 1 Ves. 345.
(*o*) S. 87, 17 & 18 Vict. c. 125.
(*p*) S. 25, sub-s. 11, ss. 89–91, 36 & 37 Vict. c. 66.
(*q*) Flower *v.* Marten, 2 My. & Cr. 459.

trust in the debt declared in his favour, for the Court does not interfere on behalf of volunteers claiming under an imperfect grant or conveyance (*r*). At Common Law, as we have said (*s*), no debt or chose in action, except negotiable bills of exchange and promissory notes, was capable of assignment; but now all debts are assignable either in the manner pointed out by the Judicature Act (*t*) or in the modes formerly admitted by the Court of Chancery (*u*). If a debt be transferred to a donee according to the provisions of the above statute, it is conceived that the gift is *ipso facto* complete, but, if the transfer be a mere equitable assignment, the gift cannot become complete until it is perfected by notice to the debtor or by some other act which the Court deems sufficient entirely to divest the donor of the debt and vest the same in the donee (*x*); thus, where the obligee of a bond five days before death indorsed a memorandum on the bond which purported to assign it to a person to whom it was at the same time delivered, it was held that the gift was incomplete, although the intention of the donor was beyond dispute (*y*). So, where a man on his death-bed made his wife a present of certain certificates of railway stock, which he then handed to her, it was decided that the gift was incomplete, and could not stand against the donors' executors (*z*). In fact, no gift is complete unless the donee could institute proceedings to compel the donor to make it good; the right to take such a step is a fair test of the validity of a donation (*a*). A debt may, however, be transferred by a clear declaration of trust on the part of a creditor in favour of a given person, and once the language and intention are unambiguous,

(*r*) Ellison *v.* Ellison, 6 Ves. 656; M'Askie *v.* M'Kay, I. R. 2 Eq. 447.

(*s*) *Ante*, p. 301.

(*t*) S. 25, sub-s. 6, 36 & 37 Vict. c. 66. *Ante*, p. 315, *et seq.*

(*u*) *Ante*, p. 302, *et seq.*

(*x*) The distinction has been taken that a voluntary assignment of an equitable interest is good without notice (Kekewich *v.* Manning, 1 De G. M. & G. 176), if the interest be running, but not if it be in possession, Bridge *v.* Bridge, 16 Beav. 315; I. W. & T. L. C., 5th ed., 309, *et seq.*

(*y*) Edwards v. Jones, 1 My. & Cr. 256.

(*z*) Moore v. Moore, L. R. 18 Eq. 474.

(*a*) *Ibid.*

a trust is raised and complete without other formality; thus, it is easier to transfer a debt by voluntary declaration of trust than by absolute gift, and hence many transactions which failed as gifts because incomplete have been upheld as well created trusts. Indeed, so far was this substitution carried that it was at length considered that by the mere fact of an assignment the assignor constituted himself a trustee for the intended donee of a debt, which did not pass as a gift (*b*); thus, the following memorandum, "I hereby give and make over to Dr. Morris an India bond," was construed by Lord Romilly to mean, "I undertake to hold the bond for you," and so availed as a declaration of trust (*c*). But the class of cases to which Morgan *v.* Malleson belongs, can hardly be any longer regarded as a true exposition of the law, for recently the doctrine in Edwards *v.* Jones, and the earlier authorities (*d*) has been fully vindicated, and it has been decreed that an intention to make an immediate gift is inconsistent with a declaration of trust (*e*); accordingly, where the owner of a lease of a mill indorsed and signed the following memorandum on the lease:—"7th March, 1873.—This deed and all thereto belonging, I give to Ed. Bennett Richards from this time forth, with all the stock-in-trade.—JOHN DELBRIDGE," and then handed over the lease to a third person, on behalf of Ed. Bennett Richards it was held that the transfer could not avail as a gift, because there was no sealed instrument (*f*), nor as a declaration of trust because the intention was to make an immediate gift (*g*). The judgment of Sir George Jessel contains these pertinent observations:—"A man may transfer his property without valuable consideration in one of two ways: he may either do such acts as amount in law to a conveyance or assignment of the property, and thus completely divest himself

(*b*) Kekewich *v.* Manning, 4 De G. M. & G. 176; Richardson *v.* Richardson, L. R. 3, 681.

(*c*) Morgan *v.* Malleson, L. R. 10 Eq. 475.

(*d*) Milroy *v.* Lord, 4 D. F. & J. 264; Antrobus *v.* Smith, 12 Ves. 39.

(*e*) Moore *v.* Moore, L. R. 18 Eq. 474; Warriner *v.* Rogers, L. R. 16 Eq. 340.

(*f*) Richards *v.* Delbridge, L. R. 18 Eq. 11.

(*g*) *Ante*, p. 314.

of the legal ownership, in which case the person who by those acts acquires the property takes it beneficially or on trust, as the case may be; or the legal owner of the property may by one or other of the modes recognised as amounting to a valid declaration of trust constitute himself a trustee, and without an actual transfer of the legal title may so deal with the property as to deprive himself of its beneficial ownership and declare he will hold it from that time forward on trust for the other person. It is true he need not use the words, "I declare myself a trustee," but he must do something which is equivalent to it, and use expressions which have that meaning, for however anxious the Court may be to carry out a man's intention, it is not at liberty to construe words otherwise than according to their proper meaning" (*h*). In the foregoing case there was a mode of transferring the legal ownership in the subject of dominion, and accordingly the Master of the Rolls addressed himself to a contrast between the transfer by a legal conveyance and by a declaration of trust; supposing, however, the subject of dominion is itself an equitable estate or interest, or does not admit of transfer at Common Law, though it may be assigned in Equity, the same contrast it is submitted should subsist between the transfer by equitable assignment and by declaration of trust; therefore, for the gift of a debt it would seem necessary that the donor should either execute a complete statutory or equitable assignment, or else declare an explicit trust in favour of the donee (*i*).

(2.) For the donation of a debt by a *donatio mortis causa*, it is in all cases necessary that the debt should be secured by some instrument or corporeal thing, for otherwise, as a debt is an incorporeal thing, there could be no manual delivery, which is absolutely essential to this mode of transfer. At the same time it is not every instrument securing a debt which can operate by its delivery as a *donatio mortis causa*; thus, the delivery of receipts

(*h*) Richards *v.* Delbridge, L. R. 18 Eq. 11. See also Moore *v.* Ulster Bank, I. R. 11 C. L. 512; Kelly *v.* Walsh, 1 L. R. Ir. 275.

(*i*) Edwards *v.* Jones *ubi supra*; Moore *v.* Moore, *ubi supra*; Jones *v.* Lock, L. R. 1 Ch. 25; Heartley *v.* Nicholson, L. R. 19 Eq. 233.

for South Sea annuities (*k*), of certificates of railway stock (*l*), or of a cheque on a banker (*m*), even when accompanied with the donor's pass book (*n*), if the cheque be not presented before the donor's death, cannot avail as a *donatio mortis causa* of the annuities, stock or money payable on the cheque respectively, and, in general, a delivery by symbol is not sufficient to effect a valid *donatio mortis causa* (*o*). If, however, a cheque delivered as a *donatio mortis causa* be made payable to the donee or order, and be indorsed over by such donee for valuable consideration during the donor's life, although there be no presentation till after the donor's death (*p*), or be presented before the donor's death, then the gift is complete, even though the cheque be not cashed till after the donor's death (*q*), otherwise, as a cheque is but a personal authority to a man's bankers to pay a certain sum, it is revoked by the drawer's death, and cannot be enforced by the donee (*r*). When a man on his death-bed gives to another an instrument such as a bond or promissory note or an I O U, he gives a chose in action, and the delivery of the instrument confers upon the donee all the rights to the chose in action arising out of the instrument (*s*); bills or notes, therefore, whether negotiable or payable to order (*t*) and unindorsed (*u*), bonds (*x*), I O Us, bankers' deposit notes (*y*), policies of insurance (*z*), and the mortgage deeds of real estate (*a*), have been all held capable, when duly delivered, of supporting a good *donatio mortis causa* of the particular debt they respectively secured. A *donatio mortis causa* is a gift made by the donor in immediate contemplation of death by delivering to the donee or some

(*k*) Ward *v.* Turner, 2 Ves. 431. 309.
(*l*) Moore *v.* Moore, *ubi supra.*
(*m*) Tate *v.* Hilbert, 2 Ves. Jun. 111.
(*n*) Beak *v.* Beak, L. R 13 Eq. 489.
(*o*) Gardner *v.* Parker, 3 Madd. 185.
(*p*) Rolls *v.* Pearce, L. R. 5 Ch. D. 730.
(*q*) Bromley *v.* Brunton, L. R. 6 Eq. 275.
(*r*) *Ante*, p. 20.
(*s*) Hewitt *v.* Kaye, L. R. 6 Eq. 198.
(*t*) Rankin *v.* Weguelin, 27 Beav.
(*u*) Veal *v.* Veal, 27 Beav. 303.
(*x*) Snellgrove *v.* Baily, 3 Atk. 214.
(*y*) Hewitt *v.* Kaye, *ubi supra;* Moore *v.* Ulster Bank, I. R. 11 Eq. 512; Dunne *v.* Boyd, I. R. 8 Eq. 609; M'Gonnell *v.* Murray, I. R. 3 Eq. 460.
(*z*) Amis *v.* Witt, 33 Beav. 619.
(*a*) Duffield *v.* Elwes, 1 Bligh, N. S. 497.

person on his behalf the subject of gift; and, according to the form and words used, such gift takes effect so as to vest the property in the donee either immediately, or only upon the death of the donor, but whether immediate or deferred, the gift will be defeated by recovery of the donor. The conditions of a valid *donatio mortis causa* are: (1°) that the gift be made by the donor in immediate contemplation of death, that is, when he is suffering from some malady or attack which he believes will prove fatal and the same does prove fatal; (2°) that the gift is intended to be absolute only in the event of the donor's death; (3°) that possession of the thing given be actually delivered by the donor to the donee or some third person on his behalf, and not merely to the agent of the donor (*b*). When a gift fails as a *donatio mortis causa*, it may sometimes avail as a declaration of trust by the donor in favour of the donee, but only under such circumstances as a similar transaction *inter vivos* would avail as such declaration; upon this point our previous observations as to the inconsistency of an immediate intention to give with a declaration of trust are fully applicable (*c*).

(3.) The donation of a debt by will presents no difficulty; the executors will be bound to assign to, or hold the debt in trust for, the legatee according to the terms of the bequest (*d*).

The cancellation of a debt may, as we have said, be effected by a gift thereof to the debtor in any of the modes above described; thus, where a bond debt was given by the will of the obligee to the obligor it was held that the debt was extinguished (*e*); so, the following entry in one of the obligee's books: "Pye pays no interest, nor shall I ever take the principal unless greatly distressed," was held a conditional discharge of the bond debt due by Pye, which by the obligee's death became absolute (*f*); so, the legatee of £1,000 was held discharged from bond debts to the amount of £1,900 which he had incurred to

(*b*) Farquharson *v.* Cave, 2 Coll. 356, 367.
(*c*) *Ante*, pp. 412—414.
(*d*) Sidney *v.* Sidney, L. R. 17 Eq. 65.
(*e*) Hamilton *v.* Lloyd, 2 Ves. J. 416.
(*f*) Aston *v.* Pye, 5 Ves. 350 *n.*

the testator on evidence in accounts, letters and memorandums in the testator's handwriting, that the debts had been forgiven (*g*); but where a testator declared to his executor that he did not intend to enforce a promissory note, it was held that the maker of the note was not discharged (*h*), whilst a residuary legatee whom the testator in a conversation shortly before death ordered not to proceed upon a bond was restrained from suing thereon, on the ground that the testator had made him a trustee thereof for the debtor, and that in instituting proceedings he was guilty of fraud (*i*). In considering the effect of declarations in extinguishing debts the difference between a statement of fact and of mere intention must be carefully borne in mind (*k*); it should also be observed that a release of debts by will may speak either from date thereof or from the death of the testator (*l*), and that the precise debt released can only be ascertained from the particular language used (*m*). Besides a gift of the debt to the debtor by act *inter vivos*, *donatio mortis causâ*, or will, there are several other ways whereby a voluntary cancellation may be worked; thus, the giving up of a bond by the obligee to the obligor is in law an extinguishment of the debt (*n*); so, where the representatives of a deceased creditor whose debt was secured by a policy given by the debtor agreed to deliver up the same to the latter in consideration of his paying the probate and legacy duty on the debt, it was held that, on a return of the policy in pursuance of such agreement, the debt was discharged; and it would appear that, although the giving up of a security is not in itself a release of the debt, yet when it is given up with a clearly expressed intention of releasing the debt, it may amount to a release even at law, and that notwithstanding the rule that where there is no release of a debt at law there is none in equity, yet there may be considerations which

(*g*) Eden *v.* Smyth, 5 Ves. 341.

(*h*) Byrn *v.* Godfrey, 4 Ves. 6; Cross *v.* Cross, 1 L. R. Ir. 389.

(*i*) Wekett *v.* Raby, 2 Bro. P. C. 386.

(*k*) *Ante*, p. 385. See also Yeomans *v.* Williams, L. R. 1 Eq. 184.

(*l*) Everett *v.* Everett, L. R. 7 Ch. D. 428.

(*m*) *Ex parte* Kirk; *In re* Bennett, L. R. 5 Ch. D. 800.

(*n*) Whitlock *v.* Walham, 1 Salk. 157.

would prevent a debt from being enforced in equity although subsisting at law (*o*). Again, if a mortgage be found cancelled in the possession of the mortgagee, there is a release just as there would be were the cancelled instrument a bond (*p*), and any material alteration in a bond (*q*), bill of exchange (*r*), or other instrument containing words of contract, without the concurrence of the party contracting, will discharge him from all liability thereon, whether such alteration were made by a party to the contract or by a stranger (*s*); thus, the alteration of the date invalidates a cheque and discharges the drawer from liability thereon, although the plaintiff was guilty of no negligence in taking it (*t*). Even an immaterial alteration made by the party who owned the security was formerly sufficient to vitiate the instrument (*u*), but that can no longer be regarded as sound law (*x*); therefore an instrument in which an immaterial alteration has been made, whether by the party entitled to the benefit of the instrument or by a stranger, continues valid. If a security be given not for the payment of money at all events, but for a collateral purpose, the fulfilment of that purpose or the mode in which the party entitled to the security has dealt therewith will or may operate as a cancellation of the security; thus, where a bond securing £4500 was given by a son to his father, and the true construction of the transaction appeared to be to afford the father a pledge for the son's good conduct, and the father had before his death expressed himself satisfied with the son's conduct and had never proceeded upon the bond, it was held that the son was released from the debt (*y*).

X. Before dismissing the subject of collateral securities we

(*o*) Taylor *v.* Manners, L. R. 1 Ch. 418.
(*p*) Harrison *v.* Owen, 1 Atk. 519.
(*q*) Pigot's Case, 11 Co. 26 b.
(*r*) Master *v.* Miller, 4 T. R. 320, I. Sm. L. C., 7th ed., 871; Hirschman *v.* Budd, L. R. 8 Ex. 171.
(*s*) Chitty's Contracts, 10th ed., 718—720.
(*t*) Vance *v.* Lowther, L. R. 1 Ex. D. 176.
(*u*) Pigot's Case, *ubi supra*; Shep. Touch. 69.
(*x*) Aldous *v.* Cornwell, L. R. 3 Q. B. 573.
(*y*) Flower *v.* Marten, 2 My. & Cr. 459.

may say a few words on the relative advantages different securities respectively possess; we may first contrast securities on property, such as mortgages, pawns, debentures and assignments with personal securities, such as bills of exchange, bonds, life policies and judgments. Compared with any personal security which belongs to the class of simple contracts and is not a negotiable instrument, a security on property enjoys a necessary superiority, for, besides a specific lien, it confers also an independent right to sue for the amount secured; thus, a creditor holding a security on property has the same right of action as a creditor holding a personal security of the above nature, and he has, in addition, the benefit of a charge directly affecting a given subject. A personal security that belongs to the class of contracts under seal, or to the class of contracts of record is sometimes more, sometimess less, beneficial than a security on property; the former is the case if the property charged be already so heavily incumbered that the security thereon is practically useless, for then the holder of the personal security has over the holder of the security on property all the advantages a specialty or judgment creditor has over a simple contract creditor; so, if the personal security be a jugdment and the debtor be perfectly solvent, the holder of such security has several advantages over the holder of a perfectly good security on property; thus, he may realise his security by execution much more speedily, and though the debtor be an infant the security is nevertheless valid until the judgment be set aside (*z*). The latter is the case if the property charged be amply sufficient to cover the amount secured, and that in general whatever the nature of the personal security, for insolvency of the debtor may at any time defeat a personal security but cannot affect a security on property. Formerly, indeed, judgments were charges on the real property of the judgment debtor, but it is now enacted that no judgment entered up after 29th July, 1864, shall affect any land until actually delivered in execution (*a*).

(*z*) *Ante*, p. 93.

(*a*) *Ante*, p. 91.

As between themselves securities on different kinds of property depend for their relative values on the special circumstances affecting each case; it may be that a bill of sale of personalty is more valuable than a mortgage of realty, or that an equitable is more valuable than a legal mortgage, either because the property or title in the one case is larger or better than in the other. *Cæteris paribus*, however, a security on real property is preferable to a security on personal property, and a security that vests the legal to a security that vests only an equitable ownership in the creditor secured. The relative values of personal securities as between themselves is in general determined by the respective classes of contracts to which they belong; thus, a judgment security has several advantages over a security merely under seal, and a security under seal has several advantages over a security in writing not under seal; but to this rule negotiable instruments are frequently exceptions, for every person who puts his name to a bill or note becomes a surety for its payment (*b*), and thus the eventual holder may have a better security on the simple contract than he could have had on any other security, either personal or on property.

(*b*) *Ante*, pp. 9, 272.

CHAPTER XXXII.

INTEREST.

MONEY is seldom advanced in the ordinary course of commerce on securities which merely provide for repayment of the loan; as a rule, an additional sum called interest is charged for the accommodation, and this sum, together with the amount or principal upon which it accrues, constitutes the debt secured. Interest being but an accessory, follows the nature of its principal, and will therefore be barred when the latter is barred (*a*). There is now no restriction (except under the statutes relating to pawnbrokers) as to the quantity of interest that may be reserved by agreement of the parties, the 17 & 18 Vict. c. 90 having, with the exception above mentioned, swept away all vestige of the limitations once imposed by the laws against usury. So long, therefore, as there is no fraud, stipulations for any specified rate will be enforced. At the same time, a bargain unconscionable in the eye of the law cannot stand, even though it be untainted by fraud (*b*). Thus, as we have already pointed out, a covenant for a higher amount of interest, in case default be made in payment of a lower amount, cannot be insisted upon, because such a covenant is in the nature of a penalty which it is against the conscience of the Court to execute (*c*); and, generally, all such bargains as no man in his senses and not under delusion

(*a*) Clark *v.* Alexander, 8 Sc. N. R. 147; Partington *v.* The Attorney-General, L. R. 4 H. L. 122.

(*b*) *In re* Slater's Trusts, L. R. 11 Ch. D. 227; Croft *v.* Graham, 2 D. J. & S. 155. See cases cited, *ante*, p. 64.

(*c*) *Ante*, p. 117; Herbert *v.* Salisbury & Yeovil Rly. Co., L. R. 2 Eq. 221; Chapple *v.* Mahon, Ir. R. 5 Eq. 225.

would make, on the one hand, and as no honest and fair man would accept, on the other, are incapable of being upheld (*d*).

In the absence of agreement, express (*e*) or implied, from a course of dealing (*f*), interest may be recoverable (1st) by the Common Law, (2nd) by statute, (3rd) by the practice of the Court (*g*).

1st. At Common Law, interest is only payable on certain instruments, of which the following are the principal:—On bills of exchange and promissory notes, from the time they fall due (*h*); on bonds conditioned for the payment of money, from the time of the obligor's default (*i*); and in some cases interest may be allowed in excess of the penalty (*k*); on the sum a surety has been compelled to pay through default of his principal (*l*); on an account stated for money lent (*m*); on mortgages, legal or equitable (*n*). As a general rule no compound interest can be recovered, except on a contract or promise in a case of mercantile accounts for mutual transactions (*o*).

2nd. By 3 & 4 Wm. IV. c. 42, s. 28, in any trial or inquisition of damages the jury are empowered in their discretion to allow interest to the creditor on all debts or sums certain, at a rate not exceeding the current rate of interest from the time such debts or sums were payable, if payable by virtue of some written instrument at a time certain; or, if payable otherwise, from the time a written demand (*p*) shall have been made, giving the debtor notice that interest will be claimed from the date of such demand until the term of payment (*q*); but interest is still to

(*d*) Chesterfield *v.* Janssen, 2 Ves. 157, per Hardwicke, L. C.

(*e*) Di Sora *v.* Phillipps, 10 H. L. C. 624; Gordillo *v.* Weguelin, L. R. 5 Ch. D. 287, as to construction of bonds with coupons for half-yearly interest.

(*f*) Pim *v.* Harris, I. R. 10 Eq. 442.

(*g*) *In re* Day's Estate, I. R. 10 Eq. 201.

(*h*) Page *v.* Newman, 9 B. & C. 378; Maxwell *v.* Tuohill, 1 L. R. Ir. 250.

(*i*) Farquhar *v.* Morris, 7 T. R. 124.

(*k*) Mathews *v.* Keble, L. R. 3 Ch. 691.

(*l*) Petrie *v.* Duncombe, 20 L. J. Q. B. 242; McKewan's Case, L. R. 6 Ch. D. 447.

(*m*) Blaney *v.* Hendricks, 2 Bl. 761.

(*n*) Carey *v.* Doyne, 5 Ir. Ch. R. 104; *In re* Kerr's Policy, L. R. 8 Eq. 331.

(*o*) Fergusson *v.* Fyffe, 8 Cl. & F. 121.

(*p*) Hill *v.* S. Staffordshire Rly. Co., L. R. 18 Eq. 154.

(*q*) The following form of demand may be adopted:—"Mr. A. B.—I do hereby demand of you the payment of the debt, amounting to ——, now due from you to me; and take notice that I claim interest on the said debt from this day until the debt shall be paid. Dated this — day of ——. (Signed) C. D." Chitty on Contract, 10th ed., p. 399.

be payable in all cases where it was payable at the commencement of the Act (*r*).

Under this section it is not necessary that the day of payment should be mentioned in the written instrument; it is sufficient if the time or event be fixed, the date of which can be afterwards ascertained (*s*). Interest after a given day, upon which day principal and interest secured by a written instrument were made payable, can only be given in the nature of damages (*t*).

By 3 & 4 Will. IV. c. 42, s. 29, the jury may give damages in the nature of interest over and above the value of the goods at the time of the conversion and seizure, in actions of trover or trespass *de bonis aspartatis;* and over and above the money recoverable in actions on policies of assurance made after the Act was passed (*i.e.*, 14th August, 1833).

By 1 & 2 Vict. c. 110, s. 17, every judgment debt carries interest at 4 per cent. per annum from the time of entering up the same, and as a judgment works a merger, interest at a higher rate on the original debt will not be allowed from the entry of the judgment (*u*), unless there be a special agreement that such higher rate shall continue (*x*). Interest is allowed on a judgment on account of delay in execution occasioned by proceedings in error; also where money is paid into Court (*y*).

By Consolidated Order XLII., r. 9, on a decree or order directing an account of the debts of a deceased person, interest will be computed at 4 per cent. per annum from the date of the decree or order; and by r. 10 a similar rate of interest will be allowed on any debt established under a decree or order before a Judge in Chambers (*z*).

(*r*) Barrow's Case, L. R. 3 Ch. 784; Cooper *v.* Cresswell, L. R. 2 Ch. 112; *In re* Bank of Hindustan, China and Japan, L. R. 15 Eq. 394; *In re* International Co.; Hughes' Claim, L. R. 13 Eq. 623; *In re* Overend, Gurney & Co.; *Ex parte* Lintott, L. R. 1 Eq. 484; Harper *v.* Williams, 4 Q. B. 219; Mowatt *v.* Ld. Londesborough, 3 E. & B. 307; 4 E. & B. 1.

(*s*) Duncombe *v.* Brighton Club Co., L. R. 10 Q. B. 371.

(*t*) Cook *v.* Fowler, L. R. 7 H. L. 27.

(*u*) *In re* European Central Rly. Co.; *Ex parte* Oriental Financial Corporation, L. R. 4 Ch. D. 33; Lancashire and Yorkshire Rly. Co. *v.* Gidlow, L. R. 7 H. L. 567; Wheeler *v.* Gill, L. R. 19 Eq. 316.

(*x*) *In re* Agricultural Insurance Co., L. R. 4 Ch. D. 34 *n.*

(*y*) Sinclair *v.* Great Eastern Rly. Co., L. R. 5 C. P. 391.

(*z*) Wheeler *v.* Gill, *supra.* The most

3rd. The general rate when interest is allowed by the Court is 4 per cent. per annum on the debt or money in question, such interest running from the time such debt or money was due. Thus, when a sale is set aside on account of the fiduciary relations of the parties, interest at 4 per cent. per annum will be allowed to the purchaser from the time of payment of the purchase money (*a*). So an equitable mortgagee of a policy, deposited to secure a simple contract debt, was held entitled to 4 per cent. interest both on the debt itself and on the premiums he had paid (*b*). Sometimes, however, a higher rate is allowed; thus, where default under a covenant for payment of money was made, interest was allowed at 5 per cent. (*c*); so, where there is breach of duty and violation of trust (*d*) and compound interest may be allowed against an accounting party who has employed a sum of money in his own business. There is no general rule as to rate of interest on repayment of consideration money, in an absolute assignment treated only as a security (*e*).

important of other statutes relating to interest are 3 & 4 Will. IV. c. 27, s. 42, *ante*, pp. 135—138; 28 & 29 Vict. c. 86 (*Ex parte* Sheil; *In re* Lonergan, L. R. 4 Ch. D. 789); 32 & 33 Vict. c. 71, s. 30 (*Ex parte* Brooker; *In re* Fastnedge, L. R. 2 Ch. D. 57).

(*a*) Calcraft *v.* Roebuck, 1 Ves. J. 221; Child *v.* Lord Abingdon, 1 Ves. J. 94; Acland *v.* Gaisford, 2 Mad. 28.

(*b*) *In re* Kerr's Policy, L. R. 8 Eq. 331.

(*c*) Knapp *v.* Burnaby, 30 L. J. Ch. 844.

(*d*) Burdick *v.* Garrick, L. R. 5 Ch. 233; Tyrell *v.* Bank of London, *et al.*, 10 H. L. C. 26.

(*e*) *In re* Unsworth, 13 W. R. 448.

CHAPTER XXXIII.

STAMPS.

A GLANCE at the various subjects embraced in the preceding chapters will show that, to the constitution of a security, a written instrument is in general necessary, though there are a few exceptional cases, such as pawns and equitable mortgages by deposit, where writing does not enter into the nature of the security. Securities in writing are almost all subject to revenue duty, which is collected by stamps attached to each particular instrument; from such duty, however, there are certain general and special exemptions (*a*), and securities falling within such classes of exemptions, as well as securities not in writing, are excluded from the operation of the stamp laws, which otherwise extend to securities in general, and therefore demand a separate consideration. Up to the year 1871 the legislation by which the stamping of documents was governed had to be sought out from some two hundred and fifty parliamentary enactments (*b*), whereby duties had at different times been imposed, the consequence being a corresponding diversity in the duties payable, and in the modes of levying them. To remedy the inconvenience and inconsistency that thence arose, the Stamp Act (*c*), the Stamp Duties Management Act (*d*), and the Inland Revenue Repeal Act (*e*), were passed in the year 1870. The last-mentioned statute is a general repeal of the stamp laws formerly in force; the other

(*a*) See *post*, pp. 431, 432.
(*b*) Tilsley on the Stamp Laws, 3rd ed., xv.
(*c*) 33 & 34 Vict. c. 97.
(*d*) 33 & 34 Vict. c. 98.
(*e*) 33 & 34 Vict. c. 99.

two statutes, together with the Stamp Amendment Act, 1871 (*f*), form a consolidated digest of the law as it now obtains. The Stamp Duties Management Act regulates the issue of stamps, determines the way in which a licence to deal in stamps may be obtained, and makes the forgery of stamps felony, punishable with penal servitude for life, or for any term not less than five years, or with imprisonment for any term not exceeding two years. Besides the licensed dealers, the chief office in London, and the head offices in Dublin and Edinburgh furnish the direct sources from which stamps may be procured.

The Stamp Act consists of 128 sections and a schedule, which is to be read and construed as part of the Act (*g*). Sections 1—6 provide that the Act shall come into operation on the 1st January, 1871, that the instruments specified in the schedule shall be charged with the duties therein specified; that instruments specifically charged by any Act theretofore passed, and not relating to stamp duties, with the duty of thirty-five shillings, shall in future be chargeable only with the duty of ten shillings; that, in the absence of express provision to the contrary, instruments relating to the property of the Crown shall be charged with the same duty as similar instruments relating to property of the subject; and that all stamp duties are to be paid and denoted according to the regulations of the Act.

The remaining sections are classified under two heads, viz., (1) general regulations (ss. 7—28), which lay down rules applicable to the stamping of all instruments, and furnish a mode whereby the amount of duty payable in any given case may be ascertained; (2) special regulations (ss. 29—128), which deal with the manner in which each individual instrument is to be stamped. Finally, the schedule sets out the precise duty payable in each several case.

Of the matters contained in the special regulations and schedule, as also of the provisions of the Stamp Amendment Act, we are only concerned with such as relate to securities, such relevant matters and provisions we shall transcribe pre-

(*f*) 34 Vict. c. 4.

(*g*) S. 6, 33 & 34 Vict. c. 97.

sently. In the first place, we propose to state a few leading principles applicable to stamping in general, including, so far as necessary, the general regulations above specified (*h*).

If an instrument requiring to be stamped (*i*) be not duly stamped, such unstamped instrument is not admissible as evidence in an action, except for any part thereof which may not require to be stamped (*k*), or in criminal proceedings (*l*), or for some collateral purpose as bankruptcy (*m*), though the amount secured by an instrument inadmissible for want of a stamp may be recoverable from admissions made of the debt being due (*n*). The object of the Stamp Acts being to enforce the payment of a tax, an instrument originally unstamped or insufficiently stamped may, as a rule, be stamped after its execution on the payment of the unpaid duty and of certain penalties (*o*); but to this rule bills of exchange and promissory notes form exceptions, for these cannot under any circumstances be stamped after execution, except in the following cases:—1st. Bills and notes drawn or made out of the United Kingdom (*p*); 2nd. Bills and notes written on material, bearing an impressed stamp of sufficient amount, but of improper denomination (*q*); 3rd. Bills of exchange payable on demand, and liable only to a payment of one penny (*r*). The burden of proving an instrument to be unstamped lies, in the first instance, on the party who objects to its production, on the ground that it is unstamped. Where there is no evidence on either side, it will be presumed to have been stamped. But, when once satisfactory evidence has been given that at a particular time the instrument was unstamped, there is an end to the presumption of law in favour of its having been

(*h*) See p. 430, *et seq.*

(*i*) See Griffin *v.* Weatherley, L. R. 3 Q. B. 753.

(*k*) Rutty *v.* Benthall, L. R. 2 C. P. 488; Matheson *v.* Ross, 2 H. L. C. 286.

(*l*) S. 17, 33 & 34 Vict. c. 99.

(*m*) *Ex parte* Squire; *In re* Gouldwell, L. R. 4 Ch. 47; Ponsford *v.* Walton, L. R. 3 C. P. 167.

(*n*) *In re* Teignmouth *v.* General Mutual Shipping Association, Martin's Claim, L. R. 14 Eq. 148.

(*o*) S. 15, 16, 33 & 34 Vict. c. 97; Clarke *v.* Roche, L. R. 3 Q. B. D. 170.

(*p*) S. 51.

(*q*) S. 53.

(*r*) S. 54; Coupons do not require a stamp; Enthoven *v.* Hoyle *et al.*, 21 L. J. C. P. 100, unless they constitute promissory notes, *see* Palmer's Coy.'s Preceds., 420—423; *In re* Uruguay, etc., Rly. Co., L. R. 11 Ch. D. 372.

stamped, the onus of proof is shifted, and the party who relies on the instrument must prove it to have been duly stamped (*s*). To determine whether any and what stamp duty is chargeable on an instrument, the real and true meaning of the instrument must be ascertained, and the actual description given in the instrument itself by the parties is immaterial; the instrument should be stamped for its leading and principal object (*t*), and this stamp covers everything accessory to that object; thus, where an instrument secured £1000, and contained a covenant that of such £1000, £500 should be paid down, and the remaining £500 should be paid in periodical instalments, it was held that no additional duty was payable in respect of such covenant, inasmuch as the same was merely ancillary to the principal object of the security for which the property duty had been paid (*u*). No objection can be taken to an instrument which, though originally defective in its stamp, appears at the time it is produced in evidence to be duly stamped, for the Court only looks to the instrument itself, and will not allow its validity to be impugned by extrinsic matters (*x*); thus, a post-dated cheque or bill of exchange payable to bearer or order on demand, and only stamped as an instrument payable on demand, is admissible in evidence on, or after, the day of its date, though as originally constituted, and as so continuing up to the day of its date, it required an *ad valorem* stamp as being an instrument payable at a future time (*y*). So, the following draft—

London, 14th Feb., 1873.

M. Misa, Esq.,
41, Crutched Friars.

Please to pay Messrs. Glyn, Mills & Co., or bearer, the sum of nineteen hundred and ninety-nine pounds, three shillings, for bills negotiated to you last post.

£1999 3s. F. De Lizardi & Co.

(*s*) Marine Investment Co. *v.* Haviside, L. R. 5 H. L. 624.

(*t*) Fisher *v.* Calvert, 27 W. R. 301.

(*u*) Limner Asphalte Paving Co. *v.* Commissioners of Inland Revenue, L. R. 7 Ex. 211.

(*x*) Bradlaugh *v.* De Rin, L. R. 3 C. P. 286.

(*y*) Bull *v.* O'Sullivan, L. R. 6 Q. B. 209; Gatty *v.* Fry, L. R. 2 Ex. D. 265; Clarke *v.* Roche, L. R. 3 Q. B. D. 170.

was held to fall within the description of "bill of exchange payable on demand," and therefore sufficiently stamped with a one penny stamp, though it had been issued on the day preceding its date; the grounds of the decision being—1st. That by the usage of bill-brokers the amount of the order was not payable before the day of its date, and therefore was only really payable as an instrument on demand on that day; 2nd. That no object was to be attained by post-dating; 3rd. That the character of the transaction was known to all parties concerned (*z*).

Next, as to the mode of stamping: all stamps are either impressed or adhesive; but, except where express provision is made to the contrary, all duties are to be denoted by impressed stamps only (*a*). Amongst the cases in which such provision is made are the following; to denote (1) the sixpenny duty on agreements (*b*); (2) the fixed duty of one penny on bills of exchange payable on demand (*c*); (3) the *ad valorem* duties upon bills of exchange and promissory notes drawn or made out of the United Kingdom (*d*); (4) the duty upon a notarial act and upon the protest by a notary public of a bill of exchange or promissory note (*e*); (5) the duty in full or in part imposed by the Stamp Act upon policies of insurance (*f*); (6) the duty upon a receipt for money, or for any bill of exchange or promissory note for money, amounting to two pounds or upwards (*g*). In the several foregoing instances, with the exception of the *ad valorem* duties on bills and notes drawn or made out of the United Kingdom, it is optional to employ either an adhesive or an impressed stamp; the *ad valorem* duties on bills and notes drawn or made out of the United Kingdom are required to be denoted by adhesive stamps only. When an instrument is stamped with an adhesive stamp, the same is to be cancelled by the particular person designated in the Stamp Act, writing on or

(*z*) Misa *v.* Currie, L. R. 1 App. Cas. 554.
(*a*) S. 23, 33 & 34 Vict. c. 97.
(*b*) *Ibid.*, s. 36.
(*c*) *Ibid.*, s. 50.
(*d*) *Ibid.*, s. 51.
(*e*) *Ibid.*, s. 116.
(*f*) *Ibid.*, s. 119.
(*g*) *Ibid.*, s. 121.

across the stamp his name or initials, or the name or initials of his firm, together with the true date of his so writing; in the absence of such cancellation an instrument stamped with an adhesive stamp is not to be deemed duly stamped (*h*).

If an instrument requires a stamp, the same must appear on its face, and for each of several such instruments written on the same material a separate stamp must be employed (*i*). In the absence of an express provision to the contrary, an instrument relating to several distinct matters is separately chargeable with duty in respect of each of such matters, and an instrument chargeable with *ad valorem* duty for one consideration is chargeable as a separate instrument for any further or other consideration (*k*). A stamp appropriated by words on its face to a particular description of instrument avails only for such instrument, nor can the latter be otherwise validly stamped (*l*). All the facts and circumstances affecting the liability of any instrument to *ad valorem* duty are required under penalty to be truly set forth in the instrument (*m*). Where an instrument is chargeable with *ad valorem* duty in respect of any money in any foreign or colonial currency, such duty shall be calculated on the value of such money in British currency according to the current rate of exchange on the day of the date of the instrument (*n*). Where an instrument is chargeable with *ad valorem* duty in respect of any stock or of any marketable security, such duty shall be calculated on the value of such stock or security according to the average price thereof on the day of the date of the instrument (*o*). Where an instrument contains a statement of current rate of exchange, or average price, as the case may require, and is stamped in accordance with such statement, it is, so far as regards the subject matter of such statement, to be deemed duly stamped, unless or until it is shown that such statement is untrue, and that the instrument is in fact insufficiently

(*h*) *Ibid.*, s. 24.
(*i*) *Ibid.*, s. 7.
(*k*) *Ibid.*, s. 8.
(*l*) *Ibid.*, s. 9.
(*m*) *Ibid.*, s. 10.
(*n*) *Ibid.*, s. 11.
(*o*) *Ibid.*, s. 12.

stamped (*p*). Where the duty with which an instrument is chargeable depends in any manner upon the duty paid upon another instrument, the payment of such last-mentioned duty shall, if application be made to the Commissioners of Inland Revenue for that purpose, and on production of both the instruments, be denoted in such manner as the commissioners think fit upon such first-mentioned instrument (*q*).

Any person may require the commissioners to express an opinion whether an instrument is chargeable with duty or with what amount of duty it is chargeable (*r*), and from the assessment of the commissioners an appeal lies to the Exchequer Division of the High Court of Justice (*s*). The above provision, however, does not extend to an instrument chargeable with duty, and made as a security for money or stock without limit (*t*). Frauds in relation to adhesive stamps or to any duty are punishable with a general penalty of £50 over and above any particular penalty (*u*); penalties incurred under the Act are recoverable in the Exchequer Division (*x*).

We have said there are certain general and special exemptions from stamp duty; such exemptions may be classed under three heads, viz. :—

I. Exemptions as to matters which have not been brought within the stamp laws, under which fall pawns or equitable mortgages by deposit unaccompanied by agreement, liens, and other securities, to the constitution of which no writing is required (*y*).

II. Exemptions expressly specified in the Stamp Act; these are:—1. General, including (1) transfers of shares in the Government or Parliamentary Stocks or Funds; (2) Instruments for the sale, transfer, or other disposition either absolutely or by way of mortgage, or otherwise, of any ship or vessel, or any part, interest, share, or property of or in any ship or vessel; or, 2. Special, that is, exceptions to a rule imposing a given duty in

(*p*) *Ibid.*, s. 13.
(*q*) *Ibid.*, s. 14.
(*r*) *Ibid.*, ss. 18, 20.
(*s*) *Ibid.*, s. 19; Hadgett *v.* Commissioners of Inland Revenue, L. R. 3 Ex. D. 46.
(*t*) *Ibid.*, s. 18, sub-s. 4 (*b*).
(*u*) *Ibid.*, s. 25.
(*x*) *Ibid.*, s. 26.
(*y*) *Ante*, p. 425.

a certain class of cases; such special exemptions will be found under the several headings below (*z*).

III. Exemptions created by particular Acts of Parliament, of which latter the most important are the Bankruptcy (*a*), the Building Societies (*b*), the Loan Societies (*c*), and the Friendly Societies Acts (*d*).

Subject to the above exemptions, Stamp Duty is payable in the mode and to the amount specified in the special regulations and schedule of the Stamp Act, 1870, as amended by the Stamp Amendment Act, 1871; these, so far as affecting the matters embraced in the present undertaking, we exhibit alphabetically in the subjoined table.

(*z*) 33 & 34 Vict. c. 97, Sch., *post*, p. 433, *et seq.*

(*a*) 32 & 33 Vict. c. 71, s. 113; 20 & 21 Vict. c. 60, s. 400; 19 & 20 Vict. c. 74, s. 184.

(*b*) 6 & 7 Will. IV. c. 32, s. 8; 37 & 38 Vict. c. 42, s. 41.

(*c*) 3 & 4 Vict. c. 110, ss. 9, 12, 14; 6 & 7 Vict. c. 91, s. 26.

(*d*) 18 & 19 Vict. c. 63, s. 37; 38 & 39 Vict. c. 60, s. 15, sub-s. 2; *Re* Royal Liver Friendly Society, L. R. 5 Eq. 78.

TABLE OF STAMP DUTIES.

INCORPORATING THE SPECIAL SECTIONS OF THE STAMP ACT WITH ITS SCHEDULE.

ADDITIONAL or AUXILIARY SECURITY, see *Bond*.

AFFIDAVIT or STATUTORY DECLARATION made under the provisions of 5 & 6 Will. IV. c. 62 . . . . 0 2 6

Exemptions.

(1) Affidavit made for the immediate purpose of being filed, read, or used in any Court, or before any judge, master, or officer of any Court.
(2) Affidavit or declaration made upon a requisition of the commissioners of any public board of revenue, or any of the officers acting under them, or required by law, and made before any justice of the peace.
(3) Affidavit or declaration which may be required at the Bank of England or the Bank of Ireland to prove the death of any proprietor of any stock transferable there, or to identify the person of any such proprietor, or to remove any other impediment to the transfer of any such stock.
(4) Affidavit or declaration relating to the loss, mutilation, or defacement of any bank note or bank post bill.
(5) Declaration required to be made pursuant to any Act relating to marriages in order to a marriage without a licence.

AGREEMENT or CONTRACT, accompanied with a deposit, see *Mortgage, &c.*, and s. 105.

AGREEMENT, or any MEMORANDUM of an AGREEMENT, made in England or Ireland under hand only, or made in Scotland without any clause of registration, and not otherwise specifically charged with any duty, whether the same be only evidence of a contract, or obligatory upon the parties from its being a written instrument . 0 0 6

Exemptions.

(1) Agreement or memorandum the matter whereof is not of the value of £5.
(2) Agreement or memorandum for the hire of any labourer, artificer, manufacturer, or menial servant.
(3) Agreement, letter, or memorandum made for or relating to the sale of any goods, wares or merchandise.
(4) Agreement or memorandum made between the master and mariners of any ship or vessel for wages or any voyage coastwise from port to port in the United Kingdom.

S. 36. The duty of sixpence upon an agreement may be denoted by an adhesive stamp, which is to be cancelled by the person by whom the agreement is first executed.

ALLOTMENT, see *Letter of Allotment.*

ANNUITY, see *Bond, Covenant, &c., Conveyance on Sale,* ss. 72, 75, *Mortgage,* s. 108.

ASSIGNMENT or ASSIGNATION, see *Conveyance, Mortgage, &c.,* and *ante,* p. 326.

ASSURANCE, see *Policy.*

ATTORNEY, see *Letter or Power of Attorney, Warrant of Attorney.*

BACK BOND, see *Mortgage.*

BANK NOTE—

For money not exceeding £1			.	0	0 5
Exceeding £1 and not exceeding	£2		.	0	0 10
,, 2	,,	5	.	0	1 3
5		10	.	0	1 9
10		20	.	0	2 0
20		30	.	0	3 0
30		50	.	0	5 0
50		100	.	0	8 6

S. 45. The term "banker" means and includes any corporation, society, partnership, and persons, and every individual person carrying on the business of banking in the United Kingdom.

The term "bank note" means and includes—

(1) Any bill of exchange or promissory note issued by any banker, other than the Governor and Company of the Bank of England, for the payment of money not exceeding one hundred pounds to the bearer on demand;

(2) Any bill of exchange or promissory note so issued which entitles or is intended to entitle the bearer or holder thereof, without indorsement, or without any further or other indorsement than may be thereon at the time of the issuing thereof, to the payment of money not exceeding one hundred pounds on demand, whether the same be so expressed or not, and in whatever form, and by whomsoever such bill or note is drawn or made.

S. 46. A bank note issued duly stamped, or issued unstamped by a banker duly licensed, or otherwise authorised to issue unstamped bank notes, may be from time to time re-issued without being liable to any stamp duty by reason of such re-issuing.

S. 47. (1) If any banker, not being duly licensed or otherwise authorised to issue unstamped bank notes, issues or causes or permits to be issued, any bank note not being duly stamped, he shall forfeit the sum of fifty pounds.

(2) If any person receives or takes any such bank note in payment or as a security, knowing the same to have been unstamped contrary to law, he shall forfeit the sum of twenty pounds.

BANK POST BILL, see *Affidavit*, Exemptions.

BANKER'S DEPOSIT RECEIPT NOTES, see *Receipt*, and *ante*, pp. 38, 39.

BILL OF EXCHANGE—			
Payable on demand	0	0	1

BILL OF EXCHANGE of any other kind whatsoever (*except a Bank Note*), and PROMISSORY NOTE of any kind whatsoever (*except a Bank Note*) drawn, or expressed to be payable, or actually paid, or endorsed, or in any manner negotiated in the United Kingdom:

Where the amount or value of the money for which the bill or note is drawn or made does not exceed £5	0	0	1
Exceeds £5 and does not exceed £10 . .	0	0	2
„ 10 „ 25 . .	0	0	3

	£	s.	d.
Exceeds £25 and does not exceed £50 . .	0	0	6
„ 50 „ 75 . .	0	0	9
„ 75 „ 100 . .	0	1	0
„ 100 „			
For every £100, and also for any fractional part of £100 of such amount or value . . .	0	1	0

Exemptions.

(1) Bill or note issued by the Governor and Company of the Bank of England or Bank of Ireland.

(2) Draft or order drawn by any banker in the United Kingdom upon any other banker in the United Kingdom, not payable to bearer or to order, and used solely for the purpose of settling or clearing any account between such bankers.

(3) Letter written by a banker in the United Kingdom to any other banker in the United Kingdom, directing the payment of any sum of money, the same not being payable to bearer or to order, and such letter not being sent or delivered to the person to whom payment is to be made, or to any person on his behalf.

(4) Letter of credit granted in the United Kingdom authorising drafts to be drawn out of the United Kingdom payable in the United Kingdom.

(5) Draft or order drawn by the Paymaster-General (35 & 36 Vict. c. 44).

(6) Warrant or order for the payment of any annuity granted by the Commissioners for the Reduction of the National Debt, or for the payment of any dividend or interest on any share in the Government or Parliamentary Stocks or Funds.

(7) Bill drawn by the Lords Commissioners of the Admiralty, or by any person under their authority; under the authority of any Act of Parliament upon and payable by the Accountant-General of the Navy.

(8) Bill drawn (according to a form prescribed by her Majesty's orders by any person duly authorised to draw the same) upon and payable out of any public account for any pay or allowance of the army or other expenditure connected therewith.

(9) Coupon or warrant for interest attached to and issued with any security.

S. 48 (1) The term "bill of exchange" for the purposes of this Act includes also draft, order, cheque, and letter of credit, and any document or writing (except a bank note) entitling or purporting to entitle any person, whether named therein or not, to payment by any other person of, or to draw upon any other person for, any sum of money therein mentioned.

(2) An order for the payment of any sum of money by a bill of exchange or promissory note, or for the delivery of any bill of exchange or promissory note in satisfaction of any sum of money, or for the payment of any sum of money out of any particular fund which may or may not be available, or upon any condition or contingency, which may or may not be performed or happen, is to be deemed for the purposes of this Act a bill of exchange for the payment of money on demand (*a*).

(3) An order for the payment of any sum of money weekly, monthly, or at any other stated periods, and also any order for the payment by any person at any time after the date thereof of any sum of money, and sent or delivered by the person making the same to the person by whom the payment is to be made, and not to the person to whom the payment is to be made, or to any person on his behalf, is to be deemed for the purposes of this Act a bill of exchange for the payment of money on demand.

S. 49 (1) The term "promissory note" means and includes any document or writing (except a bank note) containing a promise to pay any sum of money.

(2) A note promising the payment of any sum of money out of any particular fund which may or may not be available, or upon any condition or contingency which may or may not be performed or happen, is to be deemed for the purposes of this Act a promissory note for the said sum of money.

S. 50. The fixed duty of one penny on a bill of exchange for the payment of money on demand may be denoted by an adhesive stamp, which is to be cancelled by the person by whom the bill is signed before he delivers it out of his hands, custody or power.

S. 51. (1) The *ad valorem* duties upon bills of exchange and promissory notes drawn or made out of the United Kingdom are to be denoted by adhesive stamps.

(*a*) Fisher *v.* Calvert, 27 W. R. 301; Brice *v.* Bannister, L. R. 3 Q. B. D. 569; Buck *v.* Robson, L. R. 3 Q. B. D. 686; *Ex parte* Shellard, L. R. 17 Eq. 109, overruled.

(2) Every person into whose hands any such bill or note comes in the United Kingdom before it is stamped shall, before he presents for payment, or indorses, or transfers, or in any manner negotiates or pays such bill or note, affix thereto a proper adhesive stamp or proper adhesive stamps of sufficient amount, and cancel every stamp so affixed thereto.

(3) Provided as follows:

(*a*) If at the time when such bill or note comes into the hands of any *bonâ fide* holder thereof there is affixed thereto an adhesive stamp effectually obliterated, and purporting and appearing to be duly cancelled, such stamp shall, so far as relates to such holder, be deemed to be duly cancelled, although it may not appear to have been so affixed or cancelled by the proper person.

(*b*) If at the time when any such bill or note comes into the hands of any *bonâ fide* holder thereof there is affixed thereto an adhesive stamp not duly cancelled, it shall be competent for such holder to cancel such stamp as if he were the person by whom it was affixed, and upon his so doing such bill or note shall be deemed duly stamped, and as valid and available as if the stamp had been duly cancelled by the person by whom it was affixed.

(4) But neither of the foregoing provisions is to relieve any person from any penalty incurred by him for not cancelling any adhesive stamp.

S. 52. A bill of exchange or promissory note purporting to be drawn or made out of the United Kingdom is, for the purposes of this Act, to be deemed to have been so drawn or made, although it may in fact have been drawn or made within the United Kingdom.

S. 53. (1) Where a bill of exchange or promissory note has been written on material bearing an impressed stamp of sufficient amount but of improper denomination, it may be stamped with the proper stamp on payment of the duty, and a penalty of forty shillings if the bill or note be not then payable according to its tenor, and of ten pounds if the same be so payable.

(2) Except as aforesaid, no bill of exchange or promissory note shall be stamped with an impressed stamp after the execution thereof.

S. 54. (1) Every person who issues, indorses, transfers, negotiates, presents for payment, or pays any bill of exchange or

promissory note liable to duty and not being duly stamped shall forfeit the sum of ten pounds, and the person who takes or receives from any other person any such bill or note not being duly stamped either in payment, or as a security, or by purchase or otherwise, shall not be entitled to recover thereon, or to make the same available for any purpose whatever.

(2) Provided that if any bill of exchange for the payment of money on demand, liable only to the duty of one penny, is presented for payment unstamped, the person to whom it is so presented may affix thereto a proper adhesive stamp, and cancel the same, as if he had been the drawer of the bill, and may, upon so doing, pay the sum in the said bill mentioned, and charge the duty in account against the person by whom the bill was drawn, or deduct such duty from the said sum; and such bill is, so far as respects the duty, to be deemed good and valid.

(3) But the foregoing proviso is not to relieve any person from any penalty he may have incurred in relation to such bill.

S. 55. When a bill of exchange is drawn in a set according to the custom of merchants, and one of the set is duly stamped, the other or others of the set shall, unless issued or in some manner negotiated apart from such duly stamped bill, be exempt from duty; and upon proof of the loss or destruction of a duly stamped bill, forming one of a set, any other bill of the set which has not been issued or in any manner negotiated apart from such lost or destroyed bill may, although unstamped, be admitted in evidence to prove the contents of such lost or destroyed bill.

BILL OF LADING of or for any goods, merchandise, or effects to be exported or carried coastwise 0 0 6

S. 56. (1) A bill of lading is not to be stamped after the execution thereof.

(2) Every person who makes or executes any bill of lading not duly stamped shall forfeit the sum of fifty pounds.

BILL OF SALE, see *Conveyance on Sale, General Exemptions, Mortgage.*

BOND, see *Conveyance on Sale, Mortgage.*

BOND, COVENANT, or INSTRUMENT of any kind whatsoever.

(1) Being the only or principal or primary security for any annuity (except upon the original creation thereof by way of sale or security), or of any sum or sums of money at stated periods, not being interest for any principal sum secured by a duly stamped instrument, nor rent reserved by a lease or tack.

For a definite and certain period, so that the total amount to be ultimately payable can be ascertained . . . . . The same *ad valorem* duty as a bond or covenant for such total amount.

For the term of life or any other indefinite period . . . . . .

For every £5, and also for any fractional part of £5, of the annuity or sum periodically payable 0 2 6

(2) Being a collateral, or auxiliary, or additional, or substituted security for any of the above-mentioned purposes where the principal or primary instrument is duly stamped.

Where the total amount to be ultimately payable can be ascertained . . . The same *ad valorem* duty as a bond or covenant of the same kind for such total amount.

In any other case:

For every £5, and also for any fractional part of £5 of the annuity or sum periodically payable 0 0 6

BUILDING SOCIETY, *see General Exemptions, Mortgage.*

CHARTER-PARTY, or any agreement or contract for the charter of any ship or vessel, or any memorandum, letter, or other writing between the captain, master, or owner of any ship or vessel and any other person, for or relating to the freight or conveyance of any money, goods, or effects on board of such ship or vessel 0 0 6

S. 66. The duty upon an instrument chargeable with duty as a charter-party may be denoted by an adhesive stamp, which is to be cancelled by the person by whom the instrument is last executed, or by whose execution it is completed as a binding contract.

S. 67. Where any document chargeable with duty as a charter-party, and not being duly stamped, is first executed out of the United Kingdom, any party thereto may, within ten days after it has been first received in the United Kingdom, and before it has been executed by any person in the United Kingdom,

affix thereto an adhesive stamp denoting the duty chargeable thereon, and at the same time cancel such adhesive stamp; and the instrument with an adhesive stamp thereon so affixed and cancelled shall be deemed duly stamped.

S. 68. An executed instrument chargeable with duty as a charter-party, and not being duly stamped, may be stamped with an impressed stamp upon the following terms; that is to say,

(1) Within seven days after the first execution thereof, on payment of the duty and a penalty of four shillings and sixpence;

(2) After seven days, but within one month after the first execution thereof, on the payment of the duty and a penalty of ten pounds;

and shall not in any other case be stamped with an impressed stamp.

CHEQUE, see *Bill of Exchange.*

CIRCULAR NOTE would seem to require or be exempt from same stamp as similar letter of credit, see *Bill of Exchange.*

COGNOVIT requires no stamp (*b*), unless it amount to an agreement involving mutuality (*c*), as where it provides that a debt shall be payable by instalments (*d*).

COLLATERAL SECURITY, see *Bond, Mortgage.*

CONDITIONAL SURRENDER, see *Mortgage.*

CONTRACT, see *Agreement.*

CONTRACT NOTE.—Any note, memorandum, or writing, commonly called a "contract note," or by whatever name the same may be designated, for or relating to the sale or purchase of any stock or marketable security of the value of £5 or upwards 0 0 1

S. 69. (1) The duty on a contract note may be denoted by an adhesive stamp, which is to be cancelled by the person by whom the note is first executed.

(2) Every person who makes or executes any contract note chargeable with duty, and not being duly stamped, shall forfeit the sum of twenty pounds.

(3) No broker, agent, or other person, shall have any legal claim to any charge for brokerage, commission, or agency, with reference to the sale or purchase of any stock or marketable security of the value of five pounds or upwards mentioned or referred to in any contract note, unless such note is duly stamped.

(*b*) Ames *v.* Hill, 2 B. & P. 150.
(*c*) Green *v.* Gray, 1 D. P. C. 150.
(*d*) Reardon *v.* Swabey, 4 East, 188.

CONVEYANCE or TRANSFER, whether on sale or otherwise,

(1) Of any stock of the Governor and Company of the Bank of England	0	7	9
(2) Of any stock of the East India Company . .	1	10	0
(3) Of any debenture stock or funded debt of any company or corporation.			
For every £100, and also for any fractional part of £100 of the nominal amount transferred	0	2	6

S. 78. Every instrument and every decree or order of any Court, or of any commissioners, whereby any property on any occasion, except a sale or mortgage, is transferred to or vested in any person, is chargeable with duty as a conveyance or transfer of property.

Provided that a conveyance or transfer made for effectuating the appointment of a new trustee is not to be charged with any higher duty than ten shillings (*f*).

CONVEYANCE or TRANSFER on sale,

Of any property (except such stock or debenture stock or funded debt as aforesaid),

Where the amount or value of the consideration for the sale does not exceed £5 . .	0	0	6
Exceeds £5 and does not exceed £10 . .	0	1	0
10 " 15 . .	0	1	6
15 20 . .	0	2	0
20 25 . .	0	2	6
25 50 . .	0	5	0
50 75 . .	0	7	6
75 100 . .	0	10	0
100 125 . .	0	12	6
125 150 . .	0	15	0
150 175 . .	0	17	6
175 200 . .	1	0	0
200 225 . .	1	2	6
225 250 . .	1	5	0
250 275 . .	1	7	6
275 " 300 . .	1	10	0
300			
For every £50, and also for any fractional part of £50 of such amount or value . . .	0	5	0

S. 70. The term "conveyance on sale" includes every instrument and every decree or order of any Court or of any commissioners, whereby any property upon the sale thereof is legally or equitably transferred to or vested in the purchaser, or any other person on his behalf or by his direction.

(*f*) Hadgett *v.* Commissioners of Inland Revenue, L. R. 3 Ex. D. 46.

S. 71. (1) Where the consideration, or any part of the consideration, for a conveyance on sale consists of any stock or marketable security, such conveyance is to be charged with *ad valorem* duty in respect of the value of such stock or security.

(2) Where the consideration, or any part of the consideration, for a conveyance on sale consists of any security not being a marketable security, such conveyance is to be charged with *ad valorem* duty in respect of the amount due on the day of the date thereof for principal and interest upon such security.

S. 72. (1) Where the consideration, or any part of the consideration, for a conveyance on sale consists of money payable periodically for a definite period, so that the total amount to be paid can be previously ascertained, such conveyance is to be charged in respect of such consideration with *ad valorem* duty on such total amount.

(2) Where the consideration, or any part of the consideration, for a conveyance on sale consists of money payable periodically in perpetuity, or for any indefinite period not terminable with life, such conveyance is to be charged in respect of such consideration with *ad valorem* duty on the total amount which will or may, according to the terms of sale, be payable during the period of twenty years next after the day of the date of such instrument.

(3) Where the consideration, or any part of the consideration, for a conveyance on sale consists of money payable periodically during any life or lives, such conveyance is to be charged in respect of such consideration with *ad valorem* duty on the amount which will or may, according to the terms of sale, be payable during the period of twelve years next after the day of the date of such instrument.

(4) Provided that no conveyance on sale chargeable with *ad valorem* duty in respect of any periodical payments, and containing also provision for securing such periodical payments, is to be charged with any duty whatsoever in respect of such provision, and no separate instrument made in any such case for securing such periodical payments is to be charged with any higher duty than ten shillings.

S. 73. Where any property is conveyed to any person in consideration wholly or in part of any debt due to him, or subject either certainly or contingently to the payment or transfer of any money or stock, whether being or constituting a charge or

incumbrance upon the property or not, such debt, money, or stock is to be deemed the whole or part, as the case may be, of the consideration, in respect whereof the conveyance is chargeable with *ad valorem* duty.

S. 74. (1) Where any property has been contracted to be sold for one consideration for the whole, and is conveyed to the purchaser in separate parts or parcels by different instruments, the consideration is to be apportioned in such manner as the parties think fit, so that a distinct consideration for each part or parcel is set forth in the conveyance relating thereto, and such conveyance is to be charged with *ad valorem* duty in respect of such distinct consideration.

(2) Where property contracted to be purchased for one consideration for the whole by two or more persons jointly, or by any person for himself and others, or wholly for others, is conveyed in parts or parcels by separate instruments to the persons by or for whom the same was purchased for distinct parts of the consideration, the conveyance of each separate part or parcel is to be charged with *ad valorem* duty in respect of the distinct part of the consideration therein specified.

(3) Where a person having contracted for the purchase of any property, but not having obtained a conveyance thereof, contracts to sell the same to any other person, and the property is in consequence conveyed immediately to the sub-purchaser, the conveyance is to be charged with *ad valorem* duty in respect of the consideration for the sale by the original purchaser to the sub-purchaser.

(4) Where a person having contracted for the purchase of any property, but not having obtained a conveyance, contracts to sell the whole, or any part or parts thereof, to any other person or persons, and the property is in consequence conveyed by the original seller to different persons in parts or parcels, the conveyance of each part or parcel is to be charged with *ad valorem* duty in respect only of the consideration moving from the sub-purchaser thereof, without regard to the amount or value of the original consideration.

(5) Where a sub-purchaser takes an actual conveyance of the interest of the person immediately selling to him, which is chargeable with *ad valorem* duty in respect of the consideration moving from him, and is duly stamped accordingly, any conveyance to be afterwards made to him of the same property by the original seller shall be exempt from the said *ad valorem* duty, and chargeable

only with the duty to which it may be liable under any general description, but such last mentioned duty shall not exceed the *ad valorem* duty.

S. 75. Where upon the sale of any annuity or other right not before in existence, such annuity or other right is not created by actual grant or conveyance, but is only secured by bond, warrant of attorney, covenant, contract, or otherwise, the bond or other instrument, or some one of such instruments, if there be more than one, is to be charged with the same duty as an actual grant or conveyance, and is for all the purposes of this Act to be deemed an instrument of conveyance on sale.

CONVEYANCE or TRANSFER by way of security of any property (*except such stock or debenture stock or funded debt as aforesaid*), or of any security, see *Mortgage.*

CONVEYANCE or TRANSFER of any kind not hereinbefore described 0 10 0

See s. 78, *supra.*

COPYHOLD, see *Mortgage.*

COUPON, see p. 427, n. (r), and p. 436.

COUNTERPART, see *Duplicate.*

COVENANT, see *Bond, Covenant, &c., Conveyance on Sale, Mortgage.*

COVENANT.—Any separate deed of covenant (*not being an instrument chargeable with ad valorem duty as a conveyance on sale or mortgage*) made on the sale or mortgage of any property, and relating solely to the conveyance or enjoyment of, or the title to, the property sold or mortgaged, or to the production of the muniments of title relating thereto, or to all or any of the matters aforesaid.

Where the *ad valorem* duty in respect of the consideration or mortgage money does not exceed 10*s.*	A duty equal to the amount of such *ad valorem* duty.
In any other case	0 10 0

DEBENTURE, see *Mortgage.*

DECLARATION, see *Affidavit.*

DECLARATION of any use or trust of or concerning any property by any writing, not being a deed or will, or an instrument chargeable with *ad valorem* duty as a settlement 0 10 0

DEED, see *Bond, Covenant, &c., Mortgage.*

DEED of any kind whatsoever, not described in this schedule 0 10 0

DEFEAZANCE, see *Mortgage*, s. 105.

DELIVERY ORDER 0 0 1

S. 87. The term "delivery order" means any document or writing, entitling or intended to entitle, any person therein named, or his assigns, or the holder thereof, to the delivery of any goods, wares, or merchandise of the value of forty shillings or upwards lying in any dock or port, or in any warehouse in which goods are stored or deposited on rent or hire, or upon any wharf, such document or writing being signed by or on behalf of the owner of such goods, wares, or merchandise upon the sale or transfer of the property therein.

S. 89. The duty upon a delivery order or warrant for goods may be denoted by an adhesive stamp, which is to be cancelled by the person by whom the instrument is made, executed, or issued.

S. 90. The duty upon a delivery order is, in the absence of any special stipulation, to be paid by the person to whom the order is given, and any person from whom a delivery order chargeable with duty is required may refuse to give it, unless or until the amount of the duty is paid to him.

S. 91. (1) Every document or writing in the nature of a delivery order is to be deemed to have been given upon a sale of, or transfer of the property in, goods, wares, or merchandise of the value of forty shillings or upwards, unless the contrary is expressly stated therein; and every person who—

(*a*) Untruly states, or knowingly or willingly allows it to be untruly stated, in any such document or writing, either that the transaction to which it relates is not a sale or transfer of property, or that the goods, wares, or merchandise to which it relates are not of the value of forty shillings;

(*b*) Makes, signs, or issues any delivery order chargeable with duty, but not being duly stamped;

(*c*) Knowingly or wilfully, either by himself, or by his servant or any other person, procures, or requires, or authorises the delivery of, or delivers, any goods, wares, or merchandise, mentioned in any delivery order which is not duly stamped, or which contains to his knowledge any false statement with reference either to the nature of the transaction, or the value of the goods, wares, or merchandise,

shall forfeit the sum of twenty pounds.

(2) But no delivery order is, by reason of the same being unstamped, to be deemed invalid in the hands of the person having the custody of, or delivering out, the goods, wares, or merchandise therein mentioned, unless such person is proved to have been party or privy to some fraud on the revenue in relation thereto.

DEPOSIT, see *Mortgage*.

DISCHARGE, see *Mortgage*.

DISPOSITION, see *Conveyance on Sale*, *Mortgage*.

DOCK WARRANT, see *Warrant for Goods*.

DRAFT for money, see *Bill of Exchange*.

DUPLICATE or COUNTERPART of any instrument chargeable with any duty.

Where such duty does not amount to 5*s*. .	The same duty as the original instrument.
In any other case	0 5 0

S. 93. The duplicate or counterpart of an instrument chargeable with duty (except the counterpart of an instrument chargeable as a lease, such counterpart not being executed by or on behalf of any lessor or grantor) is not to be deemed duly stamped unless it is stamped as an original instrument, or unless it appears by some stamp impressed thereon that the full and proper duty has been paid upon the original instrument of which it is the duplicate or counterpart.

EIK to a reversion, see *Mortgage*.

EQUITABLE MORTGAGE, see *Mortgage*.

EXCHEQUER BILL or BOND, see *Receipt*, Exemptions.

EXEMPTIONS, see General Exemptions.

FOREIGN SECURITY, see *Mortgage*.

FOREIGN GOVERNMENT SECURITY, see *Letter of Allotment*, *Mortgage*.

FURTHER CHARGE or FURTHER SECURITY, see *Mortgage*.

FUTURE ADVANCE, see *Mortgage*.

GENERAL EXEMPTIONS, *ante*, pp. 431, 432.

GUARANTEE requires a stamp when the principal agreement would require one (see *Agreement*), but not otherwise (*g*).

(*g*) Warrington *v.* Furbor, 8 E. 242.

HERITABLE BOND, see *Mortgage.*

INSURANCE, see *Policy, Mortgage.*

INTEREST, see *Bill of Exchange*, Exemptions (9).

INVENTORY, see *Schedule.*

I O U does not require a stamp (*h*); but an instrument which is really a promissory note or an agreement (though in form an I O U) must be stamped as such note or agreement (*i*).

JUDGMENT SECURITIES, see *Warrant of Attorney, Cognovit.*

LETTER OF ALLOTMENT, or LETTER OF RENUNCIATION, or any other document having the effect of a letter of allotment:

(1) Of any share of any company or proposed company	0	0	1
(2) In respect of any loan raised, or proposed to be raised, by any company or proposed company, or by any municipal body or corporation .			
(3) Issued or delivered in the United Kingdom, of any share of any foreign or colonial company or proposed company, or in respect of any loan raised or proposed to be raised by or on behalf of any foreign or colonial state, government, municipal body, corporation, or company .			

And SCRIP CERTIFICATE, SCRIP, or other document:

(1) Entitling any person to become the proprietor of any share of any company or proposed company	0	0	1
(2) Issued or delivered in the United Kingdom, and entitling any person to become the proprietor of any share of any foreign or colonial company or proposed company			
(3) Denoting, or intended to denote, the right of any person as a subscriber in respect of any loan raised, or proposed to be raised, by any company or proposed company, or by any municipal body or corporation			
(4) Issued or delivered in the United Kingdom, and denoting, or intended to denote, the right of any person as a subscriber in respect of any loan raised or proposed to be raised by or on behalf of any foreign or colonial state, government, municipal body, corporation, or company			

(*h*) Fisher *v.* Leslie, 1 Esp. 426; Childers *v.* Boulnois, 1 D. & R. 8.

(*i*) Waitham *v.* Elsee, 1 Car. & K. 35; Brooks *v.* Elkins, 2 M. & W. 74.

S. 101. Every person who executes, grants, issues or delivers out any document chargeable with duty as a letter of allotment, letter of renunciation, or scrip certificate, or as scrip, before the same is duly stamped, shall forfeit the sum of twenty pounds.

LETTER OF CREDIT, see *Bill of Exchange*.

LETTER OR POWER OF ATTORNEY, or COMMISSION, FACTORY, MANDATE, or other instrument in the nature thereof:

	£	s.	d.
(1) For the sole purpose of appointing or authorising any one person to vote as a proxy at any one meeting at which votes may be given by proxy	0	0	1
(2) By any petty officer, seaman, marine, or soldier serving as a marine, or by the executors or administrators of any such person, for receiving prize-money or wages	0	1	0
(3) For the receipt of the dividends or interest of any stock:			
Where made for the receipt of one payment only	0	1	0
In any other case	0	5	0
(4) For the receipt of any sum of money, or any bill of exchange or promissory note for any sum of money not exceeding £20, or any periodical payments not exceeding the annual sum of £10 (not being hereinbefore charged)	0	5	0
(5) For the sale, transfer, or acceptance of any of the Government or Parliamentary Stocks or Funds:			
Where the value of such stocks or funds does not exceed £20	0	5	0
In any other case	0	10	0
(6) Of any kind whatsoever not hereinbefore described	0	10	0

Exemptions.

(1) Letter or power of attorney for the receipt of dividends of any definite and certain share of the Government or Parliamentary Stocks or Funds producing a yearly dividend of less than £3.
(2) Letter or power of attorney or proxy, filed in the Court of Probate in England or Ireland, or in any Ecclesiastical Court.
(3) Letter or power of attorney for voting on any election of the directors of the East India Company.

S. 102 relates to letters or powers of attorney for voting at elections.

S. 103. A letter or power of attorney for the sale, transfer, or acceptance of any of the Government or Parliamentary Stocks or Funds, duly stamped for that purpose, is not to be charged with any further duty by reason of containing an authority for the receipt of the dividends on the same stocks or funds.

S. 104. A writing under hand only containing an order, request, or direction from the owner or proprietor of any stock to any company or to any officer of any company, or to any banker, to pay the dividends or interest arising from such stock to any person therein named, is not chargeable with duty as a letter or power of attorney.

LIFE POLICY, see *Policy of Insurance.*

LLOYD'S BOND, see *Mortgage.*

MARKETABLE SECURITY, see *Mortgage.*

MEMORIAL to be registered pursuant to any Act of Parliament, made or to be made, for the public registering of deeds and conveyances in England or Ireland:

Where the instrument registered is chargeable with any duty not amounting to 2*s.* 6*d.*	The same duty as the registered instrument.
In any other case	0 2 6

MORTGAGE, BOND, DEBENTURE, COVENANT, WARRANT OF ATTORNEY to confess and enter up judgment, and FOREIGN SECURITY of any kind (except mortgage of any stock or marketable security):

(1) Being the only or principal or primary security for—

The payment or repayment of money not exceeding £25			0	0	8
Exceeding £25, and not exceeding	£50		0	1	3
„ 50 „	100		0	2	6
100 „	150		0	3	9
150 „	200		0	5	0
200 „	250		0	6	3
„ 250 „	300		0	7	6
„ 300					
For every £100, and also for any fractional part of £100, of such amount			0	2	6

Mortgage of any stock or marketable security:

For every £5000, and also for any fractional part of £5000 of the amount secured (*k*)	0	10	0

(*k*) 34 Vict. c. 4, s. 5.

(2) Being a collateral, or auxiliary, or additional, or substituted security, or by way of further assurance for the above-mentioned purpose, where the principal or primary security is duly stamped:

For every £100, and also for any fractional part of £100 of the amount secured . 0 0 6

(3) Transfer, Assignment, Disposition, or Assignation of any mortgage, bond, debenture, covenant, or foreign security, or of any money or stock secured by any such instrument, or by any warrant of attorney to enter up judgment, or by any judgment:

For every £100, and also for any fractional part of £100 of the amount transferred, assigned, or disposed 0 0 6

And also where any further money is added to the money already secured . . } The same duty as a principal security for such further money.

(4) Reconveyance, Release, Discharge, Surrender, Re-surrender, Warrant to Vacate, or Renunciation of any security as aforesaid, or of the benefit thereof, or of the money thereby secured (except release or discharge of a mortgage of stock or marketable security which is not chargeable with any *ad valorem* duty) (*l*):

For every £100, and also for any fractional part of £100, of the total amount or value of the money at any time secured 0 0 6

S. 105. The term "mortgage" means a security by way of mortgage for the payment of any definite and certain sum of money advanced or lent at the time, or previously due and owing, or forborne to be paid, being payable, or for the repayment of money to be thereafter lent, advanced, or paid, or which may become due upon an account current, together with any sum already advanced or due, or without, as the case may be;

And includes—

Conditional surrender by way of mortgage, further charge, wadset, and heritable bond, disposition, assignation, or tack in security, and eik to a reversion of or affecting any lands, estate, or property, real or personal, heritable or moveable, whatsoever:

Also any deed containing an obligation to infeft any person in an annual rent, or in lands or other herit-

(*l*) 34 Vict. c. 4, s. 5.

able subjects in Scotland, under a clause of reversion, but without any personal bond or obligation therein contained for payment of the money or stock intended to be secured :

Also any conveyance of any lands, estate, or property whatsoever in trust to be sold or otherwise converted into money, intended only as a security, and redeemable before the sale or other disposal thereof, either by express stipulation or otherwise, except where such conveyance is made for the benefit of creditors generally, or for the benefit of creditors specified who accept the provision made for payment of their debts in full satisfaction thereof, or who exceed five in number :

Also any defeasance, letter of reversion, back bond, declaration, or other deed or writing for defeating or making redeemable or explaining or qualifying any conveyance, disposition, assignation, or tack of any lands, estate, or property whatsoever, apparently absolute but intended only as a security :

Also any agreement, contract, or bond accompanied with a deposit of title deeds for making a mortgage, wadset, or any such other security or conveyance as aforesaid of any lands, estate, or property comprised in such title deeds, or for pledging or charging the same as a security :

And also any deed whereby a real burden is declared or created on lands or heritable subjects in Scotland.

S. 106. A security for the transfer or re-transfer of any stock is to be charged with the same duty as a similar security for a sum of money equal in amount to the value of such stock, and a transfer, assignment, disposition, or assignation of any such security, and a re-conveyance, release, discharge, surrender, re-surrender, warrant to vacate, or renunciation of any such security, shall be charged with the same duty as an instrument of the same description relating to a sum of money equal in amount to the value of such stock.

S. 107. (1) A security for the payment or repayment of money to be lent, advanced, or paid, or which may become due upon an account current, either with or without money previously due, is to be charged, where the total amount secured or to be ultimately recoverable is in any way limited, with the same duty as a security for the amount so limited.

(2) Where such total amount is unlimited, the security is to be available for such an amount only as the *ad valorem* duty impressed thereon extends to cover.

(3) Provided that no money to be advanced for the insurance of any property comprised in any such security against damage by fire, or for keeping up any policy of life insurance comprised in such security, or for effecting in lieu thereof any new policy, or for the renewal of any grant or lease of any property comprised in such security upon the dropping of any life whereon such property is held, shall be reckoned as forming part of the amount in respect whereof the security is chargeable with *ad valorem* duty.

S. 108. A security for the payment of any rent-charge, annuity, or periodical payments, by way of repayment, or in satisfaction or discharge of any loan, advance, or payment intended to be so repaid, satisfied, or discharged, is to be charged with the same duty as a similar security for the payment of the sum of money so lent, advanced, or paid.

S. 109. No transfer of a duly stamped security, and no security by way of further charge for money or stock, added to money or stock previously secured by a duly stamped instrument, is to be charged with any duty by reason of containing any further or additional security for the money or stock transferred or previously secured, or the interest or dividends thereof, or any new covenant, proviso, power, stipulation, or agreement in relation thereto, or any further assurance of the property comprised in the transferred or previous security.

S. 110. (1) Where any copyhold or customary lands or hereditaments are mortgaged alone by means of a conditional surrender or grant, the *ad valorem* duty is to be charged on the surrender or grant, if made out of court, or the memorandum thereof, and on the copy of court roll of the surrender or grant, if made in court.

(2) Where any copyhold or customary lands or hereditaments are mortgaged, together with other property, for securing the same money or the same stock, the *ad valorem* duty is to be charged on the instrument relating to the other property, and the surrender or grant, or the memorandum thereof, or the copy of court roll of the surrender or grant, as the case may be, is to be charged with duty as if the surrender or grant were not made upon a mortgage, but such last mentioned duty shall not exceed the said *ad valorem* duty.

S. 111. An instrument chargeable with *ad valorem* duty as a mortgage is not to be charged with any other duty by reason of the equity of redemption in the mortgaged property being thereby conveyed or limited in any other manner than to, or in trust for, or according to the direction of, a purchaser.

S. 112. The exemption from stamp duty conferred by the Act of the sixth and seventh years of King William the Fourth, chapter thirty-two, for the regulation of benefit building societies, shall not extend to any mortgage to be made after the passing of this Act, except a mortgage by a member of a building society for securing the repayment to the society of money not exceeding five hundred pounds.

34 Vict. c. 4.

S. 2. The term "foreign security" means and includes every security for money by or on behalf of any foreign or colonial state, government, municipal body, corporation, or company, bearing date or signed after the third day of June, one thousand eight hundred and sixty-two (except an instrument chargeable with duty as a bill of exchange or promissory note),—

(1) Which is made or issued in the United Kingdom; or

(2) Which, the interest thereon being payable in the United Kingdom, is assigned, transferred, or in any manner negotiated in the United Kingdom.

S. 3. Every person who in the United Kingdom makes, issues, assigns, transfers, or negotiates any foreign security, not being duly stamped, shall forfeit the sum of twenty pounds (*m*).

33 & 34 Vict. c. 97.

S. 115. The commissioners may at any time, without reference to the date thereof, allow any foreign security to be stamped without the payment of any penalty, upon being satisfied in any manner that they may think proper, that it was not made or issued, and has not been transferred, assigned, or negotiated within the United Kingdom, and that no interest has been paid thereon within the United Kingdom.

Notarial Act, see *Protest*.

Order for the payment of money, see *Bill of Exchange*.

Pawn, see *ante*, pp. 425, 431.

Pledge, see *ante*, pp. 425, 431.

(*m*) Greenfell *v.* Commissioners of Inland Revenue, L. R. 1 Ex. D. 242.

POLICY OF INSURANCE—

(1) Upon any life or lives, or upon any event or contingency relating to or depending upon any life or lives (*except for the payment of money upon the death of any person only from accident or violence, or otherwise than from a natural cause*):

Where the sum insured does not exceed £10 .	0	0	1
Exceeds £10, but does not exceed £25 . .	0	0	3
Exceeds £25, but does not exceed £500:			
For every full sum of £50, and also for any fractional part of £50, of the amount insured	0	0	6
Exceeds £500, but does not exceed £1000:			
For every full sum of £100, and also for any fractional part of £100, of the amount insured	0	1	0
Exceeds £1000:			
For every full sum of £1000, and also for any fractional part of £1000 of the amount insured	0	10	0

(2) For any payment agreed to be made upon the death of any person, only from accident or violence, or otherwise than from a natural cause, or as compensation for personal injury, or by way of indemnity against loss or damage of or to any property . . 0 0 1

S. 117. (1) The term "insurance" includes assurance, and the term "policy" includes every writing whereby any contract of insurance is made, or agreed to be made, or is evidenced; and except as hereinafter mentioned, this Act does not apply to policies of sea insurance.

(2) A policy of sea insurance made or executed out of, but being in any manner enforceable within, the United Kingdom, is to be charged with duty under the Act of the thirtieth year of her Majesty's reign, chapter twenty-three, and may be stamped at any time within two months after it has been first received in the United Kingdom on payment of the duty only.

S. 118. Every person who—

(1) Receives, or takes credit for, any premium or consideration for any contract of insurance, and does not within one month after receiving or taking credit for such premium or consideration make out and execute a duly stamped policy of such insurance;

(2) Makes, executes, or delivers out, or pays or allows in account, or agrees to pay or allow in account, any money upon or in respect of any policy which is not duly stamped;

shall forfeit the sum of twenty pounds.

S. 119. (1) The duties imposed by this Act upon policies of insurance may be denoted by adhesive stamps, or partly by adhesive and partly by impressed stamps.

(2) When the whole or any part of the duty upon a policy of insurance is denoted by an adhesive stamp, such adhesive stamp is to be cancelled by the person by whom the policy is first executed.

(3) In default of such cancellation, the person making the insurance shall forfeit the sum of twenty pounds.

POST OBIT, see *Bond*.

POST OFFICE ORDER, see *ante*, pp. 56, 57.

POWER OF ATTORNEY, see *Letter of Attorney*.

PROMISSORY NOTE, see *Bank Note, Bill of Exchange*.

PROTEST of any bill of exchange or promissory note :

Where the duty on the bill or note does not exceed 1*s*.	The same duty as the bill or note.
In any other case	0 1 0

S. 116. The duty upon a notarial act, and upon the protest by a notary public of a bill of exchange or promissory note, may be denoted by an adhesive stamp, which is to be cancelled by the notary.

RECEIPT given for, or upon the payment of, money amounting to £2 or upwards 0 0 1

Exemptions.

(1) Receipt given for money deposited in any bank, or with any banker, to be accounted for and expressed to be received of the person to whom the same is to be accounted for.

(2) Acknowledgment by any banker of the receipt of any bill of exchange or promissory note for the purpose of being presented for acceptance or payment.

(3) Receipt given for or upon the payment of any parliamentary taxes or duties, or of money to or for the use of her Majesty.

(4) Receipt given by the Accountant-General of the Navy for any money received by him for the service of the Navy.

(5) Receipt given by any agent for money imprested to him on account of the pay of the Army.

(6) Receipt given by any officer, seaman, marine, or soldier, or his representatives, for or on account of any wages, pay, or pension due from the Admiralty or Army Pay Office.

(7) Receipt given for the consideration money for the purchase of any share in any of the Government or Parliamentary Stocks or Funds, or in stock of the East India Company, or in the stocks and funds of the Secretary of State in Council of India, or of the Governor and Company of the Bank of England or of the Bank of Ireland, or for any dividend paid on any share of the said stocks or funds respectively.

(8) Receipt given for any principal money or interest due on an Exchequer bill.

(9) Receipt written upon a bill of exchange or promissory note duly stamped.

(10) Receipt given upon any bill or note of the Governor and Company of the Bank of England or the Bank of Ireland.

(11) Receipt indorsed or otherwise written upon or contained in any instrument liable to stamp duty, and duly stamped, acknowledging the receipt of the consideration money therein expressed, or the receipt of any principal money, interest, or annuity thereby seecured or therein mentioned.

(12) Receipt given for drawback or bounty upon the exportation of any goods or merchandise from the United Kingdom.

(13) Receipt given for the return of any duties of customs upon certificates of over entry.

(14) Receipt indorsed upon any bill drawn by the Lords Commissioners of the Admiralty, or by any person under their authority, or under the authority of any Act of Parliament upon and payable by the Accountant-General of the Navy.

S. 120. The term "receipt" means and includes any note, memorandum, or writing whatsoever whereby any money amounting to two pounds or upwards, or any bill of exchange or promissory note for money amounting to two pounds or upwards, is acknowledged or expressed to have been received, or deposited, or paid, or whereby any debt or demand, or any part of a debt or demand, of the amount of two pounds or upwards, is acknowledged to have been settled, satisfied, or discharged, or which signifies or imports any such acknowledgment, and whether the same is or is not signed with the name of any person.

S. 121. The duty upon a receipt may be denoted by an adhesive stamp, which is to be cancelled by the person by whom the receipt is given before he delivers it out of his hands.

S. 122. A receipt given without being stamped may be stamped with an impressed stamp upon the terms following: that is to say,

(1) Within fourteen days after it has been given, on payment of the duty and a penalty of five pounds.

(2) After fourteen days, but within one month, after it has been given, on payment of the duty and a penalty of ten pounds, and shall not in any other case be stamped with an impressed stamp.

S. 123. If any person—

(1) Gives any receipt liable to duty and not duly stamped;

(2) In any case where a receipt would be liable to duty refuses to give a receipt duly stamped;

(3) Upon a payment to the amount of two pounds or upwards gives a receipt for a sum not amounting to two pounds, or separates or divides the amount paid with intent to evade the duty;

he shall forfeit the sum of ten pounds.

RECONVEYANCE, RELEASE, or RENUNCIATION of any security, see *Mortgage.*

RELEASE or RENUNCIATION of any property, or of any right or interest in any property.

Upon a sale, see *Conveyance on Sale.*

By way of security, see *Mortgage.*

In any other case 0 10 0

RE-SURRENDER, see *Mortgage.*

REVOCATION of any use or trust of any property by deed, or by any writing, not being a will 0 10 0

SCHEDULE, INVENTORY, or document of any kind whatsoever, referred to in or by, and intended to be used or given in evidence as part of, or as material to, any other instrument charged with any duty, but which is separate and distinct from, and not indorsed on or annexed to, such other instrument:

Where such other instrument is chargeable with any duty not exceeding 10*s.* . . . . The same duty as such other instrument.

In any other case 0 10 0

Exemptions.

(1) Printed proposals published by any corporation or company respecting insurances, and referred to in or by any policy of insurance issued by such corporation or company.

(2) Any public map, plan, survey, apportionment, allotment, award, and other parochial or public document and writing, made under or in pursuance of any Act of Parliament, and deposited or kept for reference in any registry, or in any public office, or with the public books, papers, or writings of any parish.

SCRIP CERTIFICATE OR SCRIP, see *Letter of Allotment.*

SETTLEMENT, see *Mortgage*, s. 111.

SHARE WARRANT.—There shall be charged on every share warrant a stamp duty of an amount equal to three times the amount of the *ad valorem* stamp duty which would be chargeable on a deed transferring the share or shares, or stock specified in the warrant, if the consideration for the transfer were the nominal value of such share or shares or stock (*n*).

S. 127. If a share warrant is issued without being duly stamped, the company issuing the same, and also every person who, at the time when it is issued, is the managing director or secretary, or other principal officer of the company, shall forfeit the sum of fifty pounds (*o*).

STOCK, see *Letter or Power of Attorney, Mortgage, Receipt.*

SURRENDER

Of copyholds, see *Copyhold.*			
Of any other kind whatsoever not chargeable with duty as a conveyance on sale or mortgage . . .	0	10	0

TACK, see *Mortgage.*

TRANSFER, see *Conveyance or Transfer.*

TREASURY BILL, see *Exchequer Bill.*

WADSET, see *Mortgage.*

WARRANT OF ATTORNEY, see *Mortgage.*

WARRANT of any other kind	0	10	0

(*n*) S. 33, 30 & 31 Vict. c. 131.

(*o*) 33 & 34 Vict. c. 97.

WARRANT FOR GOODS 0 0 3

Exemptions.

(1) Any document or writing given by an inland carrier acknowledging the receipt of goods conveyed by such carrier.

(2) A weight note issued together with a duly stamped warrant, and relating solely to the same goods, wares, or merchandise.

S. 88. The term "warrant for goods" means any document or writing, being evidence of the title of any person therein named, or his assigns, or the holder thereof, to the property in any goods, wares, or merchandise lying in any warehouse or dock, or upon any wharf, and signed or certified by or on behalf of the person having the custody of such goods, wares, or merchandise.

S. 89. See *ante*, p. 446.

S. 92. Every person who makes, executes, or issues, or receives or takes by way of security or indemnity any warrant for goods not being duly stamped, shall forfeit the sum of twenty pounds.

WARRANT TO VACATE, see *Mortgage*.

CHAPTER XXXIV.

ACTIONS AND OTHER REMEDIES ON SECURITIES.

In the preceding pages we have endeavoured to describe the nature, form, and effect of the several instruments and assurances upon which money is advanced and secured; it remains, therefore, only to show how those instruments and assurances may be enforced or realised. There are but few instances in which the holder of a security whose rights are disputed can reap the ultimate benefit thereof by his own mere act; indeed, with the exception of a pawnee or a mortgagee, who is enabled to obtain direct satisfaction under a power of sale, there is no important case where a party entitled to proceed upon a security can do so otherwise than by applying to a judicial tribunal. The usual way in which the interference of a judicial tribunal is invoked for redress in civil matters is by the institution of an action, and this may be brought either (1) to recover damages, or (2) to recover a specific sum of money or obtain other specific relief, or (3) both to recover damages and to recover a specific sum of money or obtain other specific relief. The tribunals before which actions may be originally prosecuted are of two kinds—1, the High Court of Justice; 2, Inferior Courts, such as the County and other Courts below the High Court having cognizance of civil matters; for the present, we confine ourselves to proceedings on securities in the High Court (*a*). For the more convenient despatch of business, the High Court is split up into

(*a*) As to proceedings in the County Court, see Sect. VIII., p. 488, *infra*.

five divisions, viz., the Chancery Division, the Queen's Bench Division, the Common Pleas Division, the Exchequer Division, and the Probate, Divorce, and Admiralty Division (*b*). Except the last, each Division has, so far as our subject is concerned, co-ordinate jurisdiction (*c*). The exercise, however, of this jurisdiction is restricted in a twofold manner; on the one hand, certain classes of business are specifically assigned to particular divisions (*e*); on the other hand, it is held that trial by jury cannot take place in the Chancery Division (*f*), so that if the question to be tried is a question of fact, and any party insist on having the matter submitted to a jury, as it is his right to do, except in cases formerly triable without a jury (*g*), the cause cannot be heard in the Chancery Division. In this, as well as in the former case, an order for the transfer of the matter to a Common Law Division may be obtained (*h*), or an issue to try the question in dispute directed thereto (*i*). Subject to these observations, any claim for civil relief may be prosecuted in any of the Divisions of the High Court, the ordinary procedure in an action being now determined by the Judicature Acts and Rules of Court, under which the practice is substantially uniform throughout every branch of the High Court (*k*). An ordinary action is commenced by a writ of summons indorsed with a general statement of the nature of the relief sought by the plaintiff; to such writ the defendant is bound to appear within eight days from service thereof, or on his default to have judgment signed against him; then follow plaintiff's statement of claim, defendant's defence, plaintiff's reply, and joinder of issue or demurrer, whereupon the pleadings close, and the action is ripe for trial (*l*). By such pro-

(*b*) S. 3—5, 16, 36 & 37 Vict. c. 66.

(*c*) S. 31, 33, 36 & 37 Vict. c. 66; s. 11, 38 & 39 Vict. c. 77.

(*e*) S. 34, 36 & 37 Vict. c. 66.

(*f*) Warner *v.* Murdoch, L. R. 4 Ch. D. 750; Hunt *v.* City of London Real Property Co., L. R. 3 Q. B. D. 410.

(*g*) 38 & 39 Vict. c. 77, O. xxxvi. rr. 3, 26; Sugg *v.* Silber, L. R. 1 Q. B. D. 362; Spratt's Patent *v.* Ward & Co., L. R. 11 Ch. D. 240; Ruston *v.* Tobin, L. R. 10 Ch. D. 558.

(*h*) 38 & 39 Vict. c. 77, s. 11; O. li.; Storey *v.* Waddle, L. R. 4 Q. B. D. 289.

(*i*) *Ibid.*, O. xxxvi. rr. 27, 29; s. 29, 36 & 37 Vict. c. 66.

(*k*) Where no other provision is made by the Act or rules, the procedure and practice which obtained in the several courts, incorporated in the High Court, is to obtain in the corresponding Divisions, 38 & 39 Vict. c. 77, s. 21; head note to Rules; Padley *v.* Camphausen, L. R. 10 Ch. D. 550.

(*l*) *Ibid.*, OO. i., ii., xii., xiii., xxi., xxii., xxiv., xxv., xxviii.

ceedings any actionable claim whatsoever may be prosecuted; with regard, however, to all claims for a liquidated sum of money, a much more effective and expeditious mode of procedure may be adopted by commencing the action on a specially indorsed writ of summons. This is the proper procedure for the holder of a security to resort to when he merely seeks to recover the amount due thereon, whether with or without interest, but he cannot so proceed if he also claims damages or any additional relief (*m*). So far as the procedure on a specially indorsed writ differs from the general practice in an ordinary action, it falls within the scope of the present work. The same is true of the procedure under the Bills of Exchange Act (*n*), and of the procedure in an action for redemption or foreclosure, or for other realisation of a security or property (*o*), for the particular procedure in each of these cases is peculiarly applicable to some or all of the subjects herein treated. We shall accordingly deal with these several modes of procedure somewhat in detail, referring the reader to general works of practice for further information.

Section I.

Procedure on Specially Indorsed Writ of Summons.

In all actions where the plaintiff seeks merely to recover a debt or liquidated demand in money payable by the defendant with or without interest, arising upon a contract, express or implied, as, for instance, on a bill of exchange, promissory note, cheque, or other simple contract debt, or on a bond or contract under seal for payment of a liquidated amount of money, or on a statute where the sum sought to be recovered is a fixed sum of money or in the nature of a debt, or on a guaranty, whether under seal or not, where the claim against the principal is in respect of such debt or liquidated demand, bill, cheque, or note,

(*m*) *Ibid.*, O. iii. r. 6.
(*n*) *Infra*, Sect. II., p. 468.
(*o*) *Infra*, Sect. III., p. 472, *et seq.*

or on a trust, the writ of summons may be specially indorsed with the particulars of the amount sought to be recovered, after giving credit for any payment or set-off (*p*). Besides stating the particulars of the amount sought to be recovered, the indorsement must further state that upon payment of the amount and costs within four days after service, or in case of a writ not for service within the jurisdiction within the time allowed for appearance, further proceedings will be stayed (*q*). On default of the defendant duly to appear, the plaintiff, after filing an affidavit of service, or of notice in lieu of service, as the case may be, may immediately sign final judgment for any sum not exceeding the sum indorsed on the writ, together with interest at the rate specified, if any, to the date of the judgment, and a sum for costs, but the Court or a Judge may set aside or vary such judgment upon such terms as may seem just (*r*). Where there are several defendants and one or more of them appear, and another or others of them do not appear, the plaintiff may enter final judgment against such as have not appeared, and may issue execution on such judgment without prejudice to his right to proceed with his action against such as have appeared (*s*). Where the defendant does appear the plaintiff may, on affidavit made by himself, or by any other person who can swear positively to the debt or cause of action, verifying the cause of action, and stating that in his belief there is no defence to the action (*t*), call on the defendant to show cause before the Court or a Judge why the plaintiff should not be at liberty to sign final judgment for the amount so indorsed, together with interest, if any, and costs. A copy of the affidavit shall accompany the summons or notice of motion. The Court or a Judge may thereupon, unless the defendant, by affidavit or otherwise, satisfy the Court or a Judge that he has a good defence to the action on the merits, or disclose such facts as may be deemed sufficient to entitle him

(*p*) 38 & 39 Vict. c. 77; O. iii. r. 6; App. (A.) s. 7; Borland *v.* Curry, 4 L. R. Ir. 273.

(*q*) *Ibid.*, O. iii. r. 7.

(*r*) *Ibid.*, O. xiii. rr. 2, 3.

(*s*) *Ibid.*, r. 4.

(*t*) Lord Bellew *v.* Markey, 2 L. R. Ir. 185.

to defend, make an order empowering the plaintiff to sign judgment accordingly (*u*). The application by the plaintiff for leave to enter final judgment under the last preceding rule shall be made by summons returnable not less than two clear days after service (*x*). The defendant may show cause against such application by offering to bring into Court the sum indorsed on the writ, or by affidavit. In such affidavit he shall state whether the defence he alleges goes to the whole or to part only, and if so, to what part, of the plaintiff's claim. And the Judge may, if he think fit, order the defendant to attend and be examined upon oath; or to produce any books or documents or copies of or extracts therefrom (*y*). If it appear that the defence set up by the defendant applies only to a part of the plaintiff's claim, or that any part of his claim is admitted to be due, the plaintiff shall have judgment forthwith for such part of his claim as the defence does not apply to, or as is admitted to be due, subject to such terms, if any, as to suspending execution, or the payment of the amount levied or any part thereof into Court by the Sheriff, the taxation of costs, or otherwise, as the Judge may think fit. And the defendant may be allowed to defend as to the residue of the plaintiff's claim (*z*). If it appears to the Judge that any defendant has a good defence to, or ought to be permitted to defend the action, and that any other defendant has not such defence, and ought not to be permitted to defend, the former may be permitted to defend, and the plaintiff shall be entitled to enter final judgment against the latter, and may issue execution upon such judgment without prejudice to his right to proceed with his action against the former (*a*). Leave to defend may be given unconditionally or subject to such terms as to giving security, or otherwise, as the Court or a Judge may think fit (*b*). Where the defendant has not dispensed with a statement of claim, it shall be sufficient for the plaintiff to deliver as his statement of claim a notice to the effect that his

(*u*) 38 & 39 Vict. c. 77; O. xiv. r. 1*a*.
(*x*) *Ibid.*, r. 2.
(*y*) *Ibid.*, r. 3.
(*z*) *Ibid.*, r. 4; Dennis *v.* Seymour, L. R. 4 Ex. D. 80.
(*a*) *Ibid.*, r. 5.
(*b*) *Ibid.*, r. 6.

claim is that which appears by the indorsement upon the writ, unless the Court or a Judge shall order him to deliver a further statement. Such notice may be either written or printed, or partly written and partly printed, and shall be marked on the face in the same manner as is required in the case of an ordinary statement of claim. And when the plaintiff is ordered to deliver such further statement, it shall be delivered within such time as by such order shall be directed, and if no time be so limited, within the time prescribed in an action commenced on writ not specially indorsed (*c*). Where leave has been given to a defendant to defend, he shall deliver his defence, if any, within such time as shall be limited by the order giving such leave, or if no time is thereby limited, then within eight days after the order (*d*). All other proceedings are the same as in actions originated by writs not specially indorsed.

Such are the provisions regulating the procedure by specially indorsed writ; their object is to prevent delay and expense where there is really no *bonâ fide* defence (*e*), yet at the same time to secure to a defendant a fair opportunity of meeting the claim that is urged. Hence the special indorsement must accurately state the particulars of the amount demanded, though it is allowable, if only a balance be due, to specify that; if the demand be secured by any instrument, the date thereof and parties thereto should also be accurately stated. Accordingly the following indorsement: "The plaintiffs' claim is £399 9*s.* 7*d.*, the defendant's share or contribution to the payment of certain bills of exchange and promissory notes on which he and the plaintiffs were jointly liable, and which bills and notes have been taken up by the plaintiffs," was held bad, and the judgment signed thereon ordered to be set aside (*f*). The indorsement, as a rule, should furnish the defendant with all the information he can reasonably require; cases may, however,

(*c*) 38 & 39 Vict. c. 77; O. xxi. r. 4; App. (B) No. 3.

(*d*) *Ibid.*, O. xxii. r. 3. Applications for leave or otherwise under the above procedure are made at chambers, and disposed of by the Masters: O. liv.

(*e*) Lloyd's Banking Co. *v.* Ogle, L. R. 1 Ex. D. 262.

(*f*) Walker *v.* Hicks, L. R. 3 Q. B. D. 8.

arise in which although the plaintiff has satisfied the statutory provisions, yet he has failed to give the defendant that exact notice to which he is entitled, and in such cases the defendant may obtain an order for more definite particulars. With regard to the terms upon which a defendant who has appeared will be allowed to defend, it has been laid down that if his affidavit goes beyond the bare statement that he has a defence on the merits, showing what the grounds of his defence are, and giving reasons for thinking that the defence is substantial, he ought not to be compelled to pay money into Court as a condition to his being let in to defend (*g*). To the defendant's affidavit it is in the discretion of the Court or Judge to allow the plaintiff to file an affidavit in reply (*h*).

The effect of notice in lieu of a statement of claim is to substitute the special indorsement on the writ for such statement to all intents and purposes; and, therefore, if the indorsement disclose no good cause of action, *e.g.*, fail to allege consideration where a simple contract is in suit, the same will be demurrable (*i*); nor does the omission of the notice exonerate the defendant from putting in his defence within eight days from obtaining leave to defend, where no different period has been specifically assigned by the order granting leave (*k*); so where the defendant in his appearance dispenses with a statement of claim, and no statement is delivered nor defence filed, the plaintiff can enter judgment for default of pleading (*l*). An order empowering the plaintiff to sign final judgment is interlocutory; hence, an appeal from a divisional Court making or refusing such order must be prosecuted within twenty-one days from the time the order is drawn up (*m*) or refused, respectively (*n*).

(*g*) Runnacles *v.* Mesquita, L. R. 1 Q. B. D. 16.

(*h*) Davis *v.* Spence, L. R. 1 C. P. D. 719.

(*i*) Robertson *v.* Howard, L. R. 3 C. P. D. 280; Meade *v.* Mouillott, 4 L. R. Ir. 207.

(*k*) 38 & 39 Vict. c. 77, Sch.; O. xxii. r. 3; Delasaux *v.* Barling, S. J. (1876) 299.

(*l*) Grimshaw Bridge Paper Co. *v.* M'Dowell, 2 L. R. Ir. 270; 4 L. R. Ir 276; Robertson *v.* Howard, *supra*.

(*m*) *Ibid.*, O. lviii. rr. 9, 15; Donovan *v.* Brown, L. R. 4 Ex. D. 148.

(*n*) Standard Discount Co. *v.* La Grange, L. R. 3 C. P. D. 67. As to time for appeal to a Divisional Court, see Runtz *v.* Sheffield, L. R. 4 Ex. D. 150

SECTION II.

Procedure under the Bills of Exchange Act (*o*).

With respect to actions upon a bill of exchange or promissory note, commenced within six months after the same shall have become due and payable, the procedure under the Bills of Exchange Act (18 & 19 Vict. c. 67) shall continue to be used (*p*). By this statute a special form of writ of summons is given to a plaintiff suing on a bill or note due and payable within six months from issue of the writ; such writ is to be indorsed before service with the name and address of the plaintiff's solicitor, or of the plaintiff himself, if he appear in person, with a statement of the amount claimed as principal and interest, and a sum for noting (*q*) (if any) and costs (*r*); that on payment of the same to the plaintiff or his solicitor within four days of service, further proceedings will be stayed; with a copy of the bill or note, and all indorsements thereon, and with a notice that unless the defendant obtain leave to appear and do appear within twelve days of service (*s*) the plaintiff may at any time after the expiration of such twelve days sign final judgment (*t*) for any sum not exceeding the sum above claimed, and a sum for costs, and issue execution for the same; and that leave to appear may be obtained on application at Judges' Chambers, supported by affidavit showing that there is a defence to the action on the merits, or that it is reasonable that the defendant should be allowed to appear in the action (*u*). The foregoing indorsement summarises

(*o*) The corresponding Irish Act is 24 & 25 Vict. c. 43, amended by 25 Vict. c. 23; Ulster Banking Co. *v.* M'Kinney, 4 L. R. Ir. 51.

(*p*) 38 & 39 Vict. c. 77; O. ii. r. 6.

(*q*) S. 5, 18 & 19 Vict. c. 67.

(*r*) Costs on higher scale may be allowed where the action is properly brought in the Chancery Division. Pooley *v.* Driver, L. R. 5 Ch. D. 458.

(*s*) Allen *v.* Carter, L. R. 5 C. P. 414.

(*t*) For computation of time in Ireland, see Ulster Banking Co. *v.* M'Kinney, *supra*.

(*u*) Casella *v.* Darton, L. R. 8 C. P. 100; Agra Bank *v.* Leighton, L. R. 2 Ex. 56; *Ex parte* Steel and Plant Co.; *In re* Williams, L. R. 8 Ch. D. 192.

the most important provisions of the Act; before, however, the plaintiff can sign final judgment, he must have filed an affidavit of personal service of the writ within the jurisdiction of the Court, or an order for leave to proceed, as provided by the Common Law Procedure Act, 1852, and a copy of the writ of summons and the indorsements thereon (*x*). The defendant can obtain leave to appear as of right by paying the amount claimed into Court within twelve days from service of the writ (*x*); leave will also be granted on satisfactory affidavits (*y*) of defence on the merits, and whenever there is apparently a real defence; the condition of bringing money into Court or finding security will only be imposed where there is reason to doubt its *bona fides*; thus, the affidavit of the defendant is sufficient if it discloses any defence, legal or equitable; but affidavits in answer to the defendant's affidavits may be allowed, and the leave previously given be thereupon rescinded (*z*). Moreover, any judgment or execution may, under special circumstances, be set aside, and leave given to the defendant to appear and defend (*a*). The Court or judge may at any stage order the bill or note proceeded upon to be deposited with an officer of the Court, and also a stay of proceedings until the plaintiff shall have given security for the costs thereof (*b*). A single writ of summons may be issued at the option of the plaintiff against all or any number of the parties to a bill or note, and such writ shall be the commencement of an action or actions against the parties therein named respectively, and all subsequent proceedings against such respective parties shall be in like manner, so far as may be, as if separate writs of summons had been issued (*c*). The provisions of the Common Law Procedure Acts, 1852, 1854, and all rules made thereunder were extended, so far as applicable, to all proceedings under the Bills of Exchange Act (*d*); how far their operation is modified by the new rules is still a question not

(*x*) S. 1, 18 & 19 Vict. c. 67.
(*y*) *Ibid.*
(*z*) Agra Bank *v.* Leighton, *supra*; Ferrhaugh *v.* Farrell, I. R. 9 C. L. 422; Hewat *v.* Fitzimons, I. R. 26 L. 84.
(*a*) S. 3, 18 & 19 Vict. c. 67.
(*b*) *Ibid.*, s. 4.
(*c*) *Ibid.*, s. 6.
(*d*) *Ibid.*, s. 7.

altogether set at rest. It seems obvious that the provision incorporating the procedure under 18 & 19 Vict. must be limited to that portion of the procedure which was created by that statute itself, and does not apply to the ordinary procedure which was common to all actions under the old practice and pleading. At what stage, therefore, was that peculiar procedure at an end? When might the Act be said to be *functus officio*, so as to allow a suit to be thenceforth prosecuted in the usual way? To us the answer appears plain; the object of the statute, as set forth in its preamble, was to prevent frivolous or fictitious defences being set up to actions on bills and notes, and its scope is limited to insuring that result; therefore, for both these reasons, we conceive that the enactment is spent so soon as the defendant has obtained leave to appear, and does duly appear and defend—from that moment the proceedings are the same as in an action commenced by an ordinary writ of summons (*e*). Hence, the issuing of the writ and all subsequent proceedings up to the appearance of the defendant would seem to be governed by the Bills Act; all subsequent steps would seem to be solely governed by the Judicature Acts and Rules (*f*). Accordingly, it has been suggested by a learned Judge that writs issued under the Act must be renewed within six months (*g*), and it has been held that partners cannot be sued in the name of their firm (*h*), nor can an order be granted for substituted service (*i*), nor can a party be joined as defendant on the ground of counter-claim (*i*), but when the defendant has obtained leave to appear he may also obtain leave to join a third party as a proper defendant (*k*), or a new plaintiff may be substituted where the action is commenced in the name of the wrong person (*l*), or a suit may be dismissed for want of prosecution (*m*). At the

(*e*) Ulster Banking Co. *v.* M'Kinney, 4 L. R. Ir. 51.

(*f*) Norris *v.* Beazley, L. R. 2 C. P. D. 80.

(*g*) Per Brett, J., at chambers, 61 (1876) L. T. 283.

(*h*) Pollock and Anr. *v.* Campbell Brothers, L. R. 1 Ex. D. 50.

(*i*) Campbell and Anr. *v.* Im. Thurn and Ors., 60 L. T. (1875) 32, v.

(*k*) *Ibid.* (1876), 214, ccxxiii.

(*l*) Mercantile River Plate *v.* Isaac *Ibid.*, 303, cccix.

(*m*) *Ibid.*, 230, ccxxxii.

same time a strong opinion has been intimated that in an action under the Bills Act, a party cannot be subsequently joined as plaintiff by virtue of the Judicature Act, where he could not originally have been plaintiff under the Act, and this would seem to be the true interpretation of the intention of the Legislature, for otherwise the Bills Act might be extended to almost any claim, and its peculiar procedure up to defendant's appearance be indefinitely invaded (*n*). Further, a writ under the Bills Act may issue out of a district registry, and though neither party resides or carries on business within the district, the notice may require the defendant to apply for leave to appear, and to appear in the district registry, without suggesting that he might obtain leave to appear in London, but a defendant may under O. XXXV. obtain an order for the subsequent proceedings to be had in London (*o*).

It will be observed that the procedure under the Bills of Exchange Act, and on a specially indorsed writ of summons, are closely analogous; in fact the procedure in the latter case was fashioned on the model furnished by the procedure in the former case, hence their mutual relationships. At the same time there are some very important differences which require to be carefully noted: First, a specially indorsed writ may issue for any liquidated demand in money whatsoever, whilst a writ under the Bills Act can only issue to recover on a bill or note, and that not on every bill or note, but merely on such as are not more than six months due and payable. However, a cheque on a banker (*p*) and a note payable on demand are within the Act, and in the latter instance the six months run from the date of the instrument (*q*). Secondly, the defendant appears as of right to a specially indorsed writ, whereas he must obtain leave to appear to a writ under the Bills Act, so that summary final judgment follows in the former case, not unless an application

(*n*) Smith *v.* Richardson, L. R. 4 C. P. D. 112.

(*o*) Ogur *v.* Bradnum, L. R. 1 C. P. D. 334.

(*p*) Eyre *v.* Waller, 5 H. & N. 460; Whistler *v.* Hancock, L. R. 3 Q. B. D. 83.

(*q*) Maltby *v.* Murrells, 5 H. & N. 813.

by the plaintiff is granted—in the latter case as of course, unless an application by the defendant is granted. Thirdly, a specially indorsed writ remains in force for twelve months, but a writ under the Bills Act remains in force for only six months from its date. Lastly, when an action proceeds on a specially indorsed writ, the plaintiff may deliver as his statement of claim a notice that his claim is that which appears by the indorsement on the writ, whilst a regular statement of claim must be delivered when the action proceeds on a writ issued under the Bills Act.

Section III.

Realisation and Redemption of Mortgages of Real Property.

The mode in which a mortgagee of real property obtains the ultimate benefit of his security is by foreclosure or sale; by the former, which is a purely judicial proceeding, the mortgagor's equity of redemption is extinguished, and the mortgagee becomes absolute owner; by the latter, which may be either a judicial or an extra-judicial proceeding, the purchaser becomes absolute owner, and the purchase-money is applied in discharge of the mortgagee's and other incumbrances, any remaining balance accruing to the mortgagor (*r*). In England mortgages of lands, whether legal or equitable (*s*), are, when judicially realised, regularly enforced by decree for foreclosure. We shall accordingly begin by describing the proceedings to be taken in prosecution of that remedy, coupling with that description an account of the correlative proceedings to be taken by a mortgagor for redemption or restoration of the property mortgaged.

A decree for foreclosure or redemption is obtained in an action instituted for that purpose in the Chancery Division (*t*).

(*r*) *Ante*, p. 111.

(*s*) *Ante*, p. 228, n (*n*); James *v.* James, L. R. 16 Eq. 153; II. Seton Decrees, 4th ed., 1125, *et seq.*; York Union Banking Co. *v.* Artley, L. R. 11 Ch. D. 205.

(*t*) S. 34, 36 & 37 Vict. c. 66; *Ex parte* Pannell; *In re* England, L. R. 6 Ch. D. 335.

Such action is governed by the ordinary practice (*u*). We need, therefore, only touch on such points as have a peculiar bearing on the suits we are now considering. The object of foreclosure is to remove the indulgent interference of a Court of Equity in suspending the effect of the legal forfeiture incurred by a mortgagor's default in due payment of the mortgage debt (*x*); hence, it is held that an action for foreclosure is not an action for recovery of land (*y*) within the meaning of Order XVII., r. 2, in the schedule to the Judicature Act, 1875, and that, consequently, no leave for joinder of various other claims in an action for foreclosure is necessary (*z*). On the other hand, it would seem that an action for redemption, at least in the case of a legal mortgage, is an action for recovery of land within the above rule (*a*), and under the Statutes of Limitation actions for either redemption or foreclosure are actions for recovery of land (*b*). A foreclosure action being brought, the mortgagor may either admit or dispute the claim made against him. If he admit both the validity of the mortgage and the amount of the debt claimed, judgment may be entered in pursuance of an order made on application by motion as if the action had been regularly brought to trial (*c*). If he dispute either the validity of the mortgage or the amount of the debt claimed, the action must be brought to trial in the ordinary way. The common decree or judgment for foreclosure first declares the validity of the security, if that be disputed; then, if the amount of the plaintiff's claim be not admitted, directs an account to be taken of what is due to the mortgagee for principal advanced, interest thereon, and taxed costs, and, also, if the mortgagee have been in possession, of what rents and profits he has received, and

(*u*) For form of pleadings, see 38 & 39 Vict. c. 77, Sch.; App. A, Pt. II., ss. 1, 4, 5; App. C, No. 14.

(*x*) *Ante*, pp. 110, 130.

(*y*) Paget *v.* Ede, L. R. 18 Eq. 118.

(*z*) Tawell *v.* Slate Co., L. R. 3 Ch. D. 629; Crowle *v.* Russell, L. R. 4 C. P. D. 186.

(*a*) See Phillipps *v.* Phillipps, L. R. 4 Q. B. D. 127; Cook *v.* Enmarch, L. R. 2 Ch. D. 111; Whetstone *v.* Dewis, L. R. 1 Ch. D. 99; *In re* Taaffe's Estate, 1 L. R. Ir. 387; James *v.* Rumsey, 11 Ch. D. 398.

(*b*) *Ante*, pp. 130—141; Sug. R. P. Stats., 2nd ed., 24—32.

(*c*) 38 & 39 Vict. c. 77, O. xl. r. 11; Mellor *v.* Sidebottom, L. R. 5 Ch. D. 342.

what moneys he has expended in necessary repairs (*d*); that, on payment by the mortgagor of the amount certified to be due by the chief clerk (*e*) within six calendar months from date of the certificate, the mortgagee reconvey the estate free from incumbrances, and deliver up on oath all deeds and documents relating thereto in his possession, power, or control; that, on default in such payment, the mortgagor be absolutely debarred and foreclosed of his equity of redemption (*f*). Where the mortgagee asks in his pleadings for a personal decree for payment, as well as for foreclosure, such personal decree may now be granted (*g*). The place and time for payment appointed by the chief clerk's certificate are the vestry of Rolls chapel, Rolls Garden, Chancery Lane, between the hours of noon and one o'clock on a given day, at which place and time accordingly the mortgagor, or some one on his behalf, should tender the amount to the mortgagee or his duly constituted agent. In default of due payment or tender, final order for foreclosure (*h*) may be obtained by motion of course, on which it is necessary to produce the decree or judgment, the chief clerk's certificate, and an affidavit by the mortgagee, or by the mortgagee and his agent, if he acted by agent, of his or his agent's (*i*) due attendance to receive, and of the mortgagor's default in attending to make payment, of what is due (*k*). Should the mortgagee or his agent have failed to attend at the hour appointed, and so to receive payment, a new time therefor may be fixed by order made on motion or summons applied for or taken out on the part of the mortgagee (*l*); and a similar order to continue the account should be obtained where the mortgagee has received

(*d*) Tipton Green Colliery Co. *v.* Tipton Moat Colliery Co., L. R. 7 Ch. D. 192; Saunders *v.* Dunman, L. R. 7 Ch. D. 825; *ante*, pp. 110, 123—125.

(*e*) For forms of certificate, see Dan. Ch. Forms and Preceds., 3rd ed., pp. 568, 569, 571—573.

(*f*) Seton's Decrees, 4th ed., 1035, 1036, 1066; Pemberton Judgments and Orders, 2nd ed., 436—438.

(*g*) Dymond *v.* Croft, L. R. 3 Ch. D. 512; Hinds *v.* Blacker, 1 L. R. Ir. 233; Ir. R. 11 Eq. 322.

(*h*) In Hungerford *v.* Coghlan, 1 L. R. Ir. 303, final order for payment or sale on defendant's default in pleading; Massy *v.* Donovan, 3 L. R. Ir. 85.

(*i*) Cox *v.* Watson, L. R. 7 Ch. D. 196.

(*k*) Dan. Chancery Forms and Preceds., 3rd ed., pp. 575—577.

(*l*) *Ibid.*, p. 574.

rents between the certificate and the time for payment (*m*). A defendant may likewise for good reason, by motion or summons, obtain an enlargement of the time for payment by six months or other period (*n*). The decree in a redemption suit, after directing payment as in a foreclosure suit (*o*), orders that, on the mortgagor's default in such payment, the action be dismissed with costs; but that if nothing shall be found to be due to the mortgagee, that he reconvey, within twenty-one days from the chief clerk's certificate, and pay to the mortgagor whatever may be certified to be due to him (*p*). A dismissal of the action by the mortgagor's default is equivalent to a foreclosure where the mortgage is legal, but not where the mortgage is equitable (*q*). A final order for redemption or dismissal obtained as above described is necessary to perfect the decree (*r*).

The foregoing are the proceedings as between the original mortgagor and mortgagee where there has been but one mortgage. There may, however, be a transmission of the mortgagor or mortgagee's interest, or there may be several mortgages of the same or of different subjects. The question then arises, who, under such circumstances, are the proper parties, and what their mutual rights in actions for the redemption or foreclosure of the property mortgaged. We have elsewhere stated the relation a person must occupy towards the property to possess the right of redemption (*s*). Whoever possesses such right, and, in general, all persons interested in the security or equity of redemption, must be before the Court, or sufficiently represented (*t*). Thus, where a person is only interested in part of the mortgage money or equity of redemption, foreclosure of a corresponding part of the estate cannot be obtained by or against him without joinder in the action of the other parties interested (*u*).

(*m*) *Ibid.*
(*n*) *Ibid.*, p. 573.
(*o*) *Ante*, pp. 473, 474.
(*p*) II. Seton, 4th ed., pp. 1040, 1041.
(*q*) *Ante*, pp. 228, 229.
(*r*) Dan. Ch. Forms and Preceds., 3rd ed., p. 575.
(*s*) *Ante*, pp. 92, 93, 112.
(*t*) II. Fisher Mortgs., 3rd ed., 883—919.
(*u*) Palmer *v.* Earl of Carlisle, 1 Sm. & G. 423; Caddick *v.* Cooke, 32 Beav. 70.

A *cestui que trust*, however, is now in all cases sufficiently represented by his trustee (*v*), and an action for foreclosure may be brought by one trustee and mortgagee against the mortgagor and his co-trustees and co-mortgagees (*x*). Of successive mortgagees only such as are affected by the action need be parties; thus, if a third seek to foreclose a first mortgagee, the second mortgagee must be a party; otherwise, if a third seek to foreclose a second mortgagee, the first mortgagee is not a necessary party, because, whatever the result of the suit, his priority and security are not disturbed (*y*); nor is a mortgagor a necessary party to a suit for redemption or foreclosure by a sub-mortgagee against the original mortgagee; but in a similar suit against the mortgagor the original mortgagee would be a necessary party (*z*). A person made a party to a redemption or foreclosure suit may disclaim all interest therein, and he will be allowed his costs when such disclaimer is made before the hearing, but not where he appears and only disclaims at the hearing (*a*); so a trustee in bankruptcy may disclaim where the equity of redemption is valueless (*b*).

The decree in a foreclosure suit where there are several consecutive mortgages, is so moulded as to secure payment to the several mortgagees according to their respective priorities, and at the same time to allow the mortgagor a fair opportunity of redeeming, by making the ultimate foreclosure against him (*c*). Thus, if first mortgagee seek to foreclose and there be three mortgages, the decree would be that the second pay what shall be found due to the first mortgagee within six calendar months from date of the chief clerk's certificate, or on default be foreclosed; that, on such default, the third pay what shall then be found due to the first mortgagee within three calendar months

(*v*) 38 & 39 Vict. c. 77; O. xvi., r. 7.

(*x*) Luke *v.* S. Kensington Hotel Co., L. R. 11 Ch. D. 121.

(*y*) Rosa *v.* Page, 2 Sim. 472.

(*z*) Lysaght *v.* Westmacott, 33 Beav. 417; Hobart *v.* Abbot, 2 P. Wms. 343.

(*a*) Ford *v.* Earl of Chesterfield, 16 Beav. 516; Day *v.* Gudgeon, L. R. 2 Ch. D. 209; Roberts *v.* Hughes, L. R. 6 Eq. 20; Maxwell *v.* Whitwick, L. R. 3 Eq. 290.

(*b*) Melbourne Banking Co. *v.* Brougham, L. R. 4 App. Cas. 156, 165; *Ex parte* Fletcher; *In re* Hart, L. R. 10 Ch. D. 610; *Ex parte* Hirst; *In re* Wheerly, L. R. 11 Ch. D. 278.

(*c*) Whitbread *v.* Lyall, 8 D. M. & G. 383.

from date of the chief clerk's certificate, or on default be foreclosed; that, on such default, the mortgagor pay what shall then be found due to the first mortgagee within three calendar months from date of the chief clerk's certificate, or on default be foreclosed; that, if the second duly pay what shall be found due to the first mortgagee, the third pay what shall then be found due both on the second and on the first mortgages, within three calendar months from date of the chief clerk's certificate, or on default be foreclosed; that, on such default, the mortgagor pay what shall then be found due both on the second and on the first mortgages within three calendar months from date of the chief clerk's certificate, or on default be foreclosed; that, if the third duly pay what shall be found due to the second mortgagee, the mortgagor pay what shall then be found due (*d*) on the first, second, and third mortgages within three calendar months from date of the chief clerk's certificate, or be foreclosed. Where there has been tacking (*e*) or consolidation (*f*), those rights will be successively transmitted through subsequent incumbrancers, so as to give corresponding rights to redemption or foreclosure (*g*). In a redemption or foreclosure suit, the mortgagee is in general entitled to his costs (*h*), and the mortgagor must bear the costs of reconveyance whatever mesne assignments may have taken place (*i*); but a mortgagee may be deprived of his costs for (a) vexatious, oppressive, or fraudulent acts, (b) improper resistance of the right to redeem, (c) overpayment before suit with denial thereof, (d) refusal to accept tender of full amount due, (e) loss of mortgage or title deeds (*k*).

We may now allude to the realisation of a mortgage by sale; this, as we have said, may be either judicial or extra-judicial.

(*d*) Pemberton Judgments and Orders, 2nd ed., 438—440; II. Seton Decrees, 4th ed., 1081, 1082.

(*e*) *Ante*, pp. 112—114.

(*f*) *Ante*, pp. 114, 115.

(*g*) Cracknall *v.* Janson, L. R. 11 Ch. D. 1; Bevor *v.* Luck, L. R. 4 Eq. 537; Thornicroft *v.* Crockett, 2 H. L. C. 239, 245; II. Seton Decrees, 4th ed., 1155—1158.

(*h*) II. Fisher's Mortgs., 3rd ed., 999, 1000.

(*i*) King *v.* Smith, 6 Hare, 475; 1 D. G. M. & G. 436.

(*k*) II. Seton Decrees, 4th ed,. 1060, 1061.

Judicial sales (actions for which are brought in, and prosecuted according to the ordinary procedure of the Chancery Division) (*l*) were formerly decreed only in certain special cases, of which the following are an enumeration: (1) where the estate was deficient to pay the incumbrance (*m*); (2) where the mortgagor died, and there was deficiency of personal assets (*n*); or (3) descent of the estate upon an infant (*o*); or (4) bill brought by the mortgagee against the executor or administrator and the heir, alleging his security to be scanty, and praying a sale and payment of any deficiency out of the general estate of the mortgagor (*p*); (5) where the mortgagor became bankrupt, and the mortgagee prayed a sale (*q*); (6) where the mortgage was of a dry reversion (*r*); or (7) of an advowson (*s*); (8) where as in Ireland (*t*) the local law substitutes sale for foreclosure. In the year 1852, a general jurisdiction to decree a sale was conferred on the Court of Chancery by the enactment following:—It shall be lawful for the Court in any suit for the foreclosure of the equity of redemption in any mortgaged property, upon the request of the mortgagee or of any subsequent incumbrancer, or of the mortgagor, or any person claiming under them respectively, to direct a sale of such property, instead of a foreclosure of such equity of redemption, on such terms as the Court may think fit to direct, and if the Court shall so think fit, without previously determining the priorities of incumbrances, or giving the usual or any time to redeem; provided that if such request shall be made by any such subsequent incumbrancer, or by the mortgagor, or by any person claiming under them respectively, the Court shall not direct any such sale without the consent of the mortgagee or the persons claiming under him, unless the party making such request shall deposit in Court a reasonable sum of

(*l*) S. 34, 36 & 37 Vict. c. 66.

(*m*) Dashwood *v.* Bithazey Mosel, 196.

(*n*) Daniel *v.* Skipwith, 2 Bro. Ch. 155.

(*o*) Booth *v.* Rich, 1 Vern. 295; Foster *v.* Parker, L. R. 8 Ch. D. 147.

(*p*) King *v.* Smith, 2 Hare, 239.

(*q*) *Ibid.*

(*r*) How *v.* Vigures, 1 Ch. 32.

(*s*) Mackensie *v.* Robinson, 3 Atk. 559.

(*t*) Stileman *v.* Ashdown, 2 Atk. 477, 608; Story Eq. Jurisprud., s. 1026.

money, to be fixed by the Court for the purpose of securing the performance of such terms as the Court may think fit to impose on the party making such request (*u*).

Under this provision a sale may be decreed though the mortgage deed contain a power of sale (*x*), or though the mortgagor (*y*) or a third mortgagee (*z*) insist on foreclosure, but the Court will exercise a discretion by decreeing foreclosure where a sale would be manifestly injurious to the mortgagor and other parties interested (*a*). If a sale be directed at the request of the mortgagor without the consent of the mortgagee, it is absolutely necessary that the prescribed deposit should be made, the amount of which will be determined by the probable expense of an unsuccessful attempt to sell (*b*). An immediate sale may be ordered (*c*), but usually the decree is framed in the same manner as a foreclosure decree, ordering a sale on default of the amount found due by the chief clerk, being paid within six calendar months from date of his certificate (*d*). The sale may be either by public auction, public tender, or private contract; the proceedings are the same as in other sales directed by the Court (*e*).

Extra-judicial sales are made either under express powers or under the statutory power conferred by the 23 & 24 Vict. c. 145 (*f*); the formalities prescribed in either case should be rigidly observed; thus, due notice of the sale should be given to the mortgagor or person entitled to the equity of redemption, which, when no particular length of notice is specified, should be such as to give such person a reasonable opportunity of saving the estate if he be so disposed (*g*). A mortgagee will be restrained from exercising a power of sale in a fraudulent or

(*u*) S. 48, 15 & 16 Vict. c. 86.

(*x*) Hutton *v.* Sealey, 6 W. R. 350.

(*y*) Newman *v.* Selfe, 33 Beav. 522.

(*z*) Wickham *v.* Nicholson, 19 Beav. 38.

(*a*) Hurst *v.* Hurst, 16 Beav. 375; Cator *v.* Reeves, 16 Jur. 1004.

(*b*) Bellamy *v.* Cockle, 18 Jur. 465.

(*c*) Smith *v.* Robinson, 1 Sm. & Giff. 150; London and County Banking Co. *v.* Dover, L. R. 11 Ch. D. 204.

(*d*) Parkes *v.* Housefield, 2 My. & K. 419; Pemberton, 450, 451.

(*e*) S. 56, 15 & 16 Vict. c. 86; Consol. Ord. r. 13; Regulations, 8th Aug. 1857 rr. 13—15.

(*f*) *Ante*, pp. 120, 121.

(*g*) Metters *v.* Brown, 33 L. J. Ch. 97

inequitable way (*h*), and until an actual contract of sale is entered into he is bound to accept payment of what is due by the mortgagor, and thereupon refrain from selling (*i*). The "usual account against the mortgagee in possession," who has sold the subject mortgaged, includes proceeds actually received or which without his wilful default might have been so received, even though such default is not charged in the pleadings, nor proved at the trial, but the mortgagor is not entitled to question the propriety of the sale, or the adequacy of the price (*k*), nor can a sale purporting to be made in pursuance of a power which was not to be exercised unless default were made in payment of the principal, or unless interest were in arrear, be set aside as against a *bonâ fide* purchaser without notice that the security was satisfied, when, by the terms of the deed, a sale purporting to be so made was to exonerate the purchaser from inquiry, and to be deemed valid (*l*). The title to any surplus moneys after discharge of a mortgagee's claims out of the proceeds of sale will follow the nature of the equity of redemption or be converted according as the sale takes place before or after the mortgagor's death, and according to the express provisions of the mortgage instrument (*m*); a right to such surplus will be barred if the equity of redemption be barred under the Statute of Limitations (*n*).

Under the Land Transfer Act the registered proprietor of a registered charge with a power of sale, may at any time after the expiration of the appointed time, sell the land as if he were registered proprietor (*o*), and may procure the purchaser or himself to be registered as first proprietor (*p*).

(*h*) Robertson *v.* Norris, 1 Gif. 421.
(*i*) Jenkins *v.* Jones, 2 Giff. 99.
(*k*) Mayer *v.* Murray, L. R. 8 Ch. D. 424.
(*l*) Dicker *v.* Angerstein, L. R. 3 Ch. D. 600.
(*m*) Jones *v.* Davies, L. R. 8 Ch. D. 205.
(*n*) *In re* Alison; Johnson *v.* Mounsey, L. R. 11 Ch. D. 284.
(*o*) S. 27, 38 & 39 Vict. c. 87; G. R. 20.
(*p*) *Ibid.*, s. 68.

SECTION IV.

Realization and Redemption of Mortgages and Pawns of Personal Property.

A mortgagee of personal property is in all cases entitled to have his security realised either by foreclosure (*q*) or sale (*r*); a pawnee, on the other hand, is only entitled to a sale (*s*), but such sale, subject to the provisions of the Pawnbrokers, the Factors, the Merchant Shipping, or other Special Acts of Parliament, may in every instance be extra-judicial (*t*). It is frequently laid down that a similar extra-judicial power of sale belongs to a mortgagee of personalty, and undoubtedly such is the law in the case of mortgages of stock (*u*); with respect, however, to other mortgages of personalty, there seems to be no express decision in favour of the general proposition, any supposed authorities for that position having proved on our investigation to be cases of pawn and not of mortgage (*x*). In the absence of an express power of sale, it may well be doubted if the mortgagee of a chattel has the right to sell without application to the Court (*y*); indeed, there is a recent dictum that the mortgagee of a policy would have to seek judicial interference to effect a sale of his security (*z*). The mode of obtaining foreclosure or judicial sale of personal property is by action instituted in the Chancery Division (*a*); such action is prosecuted in a manner and with consequences similar to what we have above described (*b*). An action for redemption of

(*q*) Slade *v.* Rigg, 3 Hare 35; Wayne *v.* Hanham, 15 Jur. 506.

(*r*) Harrison *v.* Hart, 2 Eq. Ca. Abr. 725; 15 & 16 Vict. c. 86, s. 48; *ante*, pp. 153, 157, 164, 238, note (*n*); II. Seton Decrees, 4th ed., p. 1104 (Ships), p. 1092 (Stock).

(*s*) Carter *v.* Wake, L. R. 4 Ch. D. 605.

(*t*) *Ante*, p. 242.

(*u*) Tooker *v.* Wilson, 5 Bro. P. C. 193; *ante*, p. 157.

(*x*) See cases cited, I. Fisher Mortgs., 3rd ed., pp. 485, 486, note (*u*).

(*y*) See Maugham *v.* Sharpe, 17 C. B. N. S. 443.

(*z*) Hinds *v.* Blacker, 1 L. R. Ir. 240, per Ball, L. C.

(*a*) S. 34, 36 & 37 Vict. c. 66.

(*b*) *Ante*, pp. 472—479.

chattels pawned or mortgaged may be brought in the Chancery Division, and prosecuted as above described (*c*); as a rule, however, it may be more expedient for a pawnor or mortgagor to tender the amount due, and claim a specific return of his property (*d*). Where an action is brought to recover, or a defendant in his statement of defence seeks by way of counter-claim to recover specific property other than land, and the party from whom such recovery is sought does not dispute the title of the party seeking to recover the same, but claims to retain the property by virtue of a lien or otherwise as security for any sum of money, the Court or a Judge may, at any time after such last-mentioned claim appears from the pleadings, or, if there be no pleadings, by affidavit or otherwise to the satisfaction of such Court or Judge, order that the party claiming to recover the property be at liberty to pay into Court, to abide the event of the action, the amount of money in respect of which the lien or security is claimed, and such further sum (if any) for interest and costs as such Court or Judge may direct, and that upon such payment into Court being made, the property claimed be given up to the party claiming it (*e*).

SECTION V.

Realization and Redemption of Debentures and Lloyd's Bonds.

The mode of enforcing debentures depends upon the particular statutes under which the company or corporation by which they are issued has been constituted; we shall, therefore, briefly indicate the several remedies appropriate to each of the four classes of debentures previously dealt with (*f*), premising the observation that all alike give a right of action against the

(*c*) Kemp *v.* Westbrook, 1 Ves. 278, *ante*, pp. 472—477.
(*d*) *Ante*, p. 242.
(*e*) 38 & 39 Vict. c. 77; O. lii. r. 6.
(*f*) *Ante*, pp. 269, 294.

company or corporation by which they are issued in addition to the particular kinds of process of which we here treat (*g*).

Debentures issued by Companies registered under the Companies Act.

The holder of a debenture on which principal and interest is due may (1) petition to wind up the company (*h*); (2) apply by summons if the company be in course of winding up either to have his debt, charge, and priority established (*i*), or to be allowed to proceed by action to realise his security (*k*); (3) if the debenture create a charge or mortgage on property, sue for realization thereof on behalf of himself and all other the holders of similar debentures (*l*). If the debenture be a mere bond, the holder cannot proceed against the property of the company (*m*); in many instances, however, debenture bonds are secured by a trust or covering deed whereby the property of the company is vested in trustees with power to sell the same and apply the proceeds after default by the company in payment of the moneys due on such bonds (*n*); in such cases the trustees may either act upon their power of sale or institute an action for administration of the trust (*o*). The Court will exercise a discretion in granting a winding up order on the petition of a debenture holder when the winding up is opposed by the other debenture holders and creditors (*p*), but, as against the company, a debenture holder who cannot otherwise obtain payment is entitled on complying with the Act to a winding up order *ex*

(*g*) *Ante*, pp. 270—294; s. 43, 28 & 29 Vict. c. 78; s. 53, 8 & 9 Vict. c. 16; s. 86, 10 & 11 Vict. c. 16; s. 87, 25 & 26 Vict. c. 89.

(*h*) S. 79—82, 25 & 26 Vict. c. 89; *In re* Paris Skating Rink Co., L. R. 5 Ch. D. 959.

(*i*) *In re* The General South American Co., L. R. 2 Ch. D. 337.

(*k*) Murray *v.* Bush, L. R. 6 H. L. 55, 56.

(*l*) *In re* Longdendale Cotton Spinning Co., L. R. 8 Ch. D. 150.

(*m*) *In re* The Florence Land and Public Works Co., Limited; *Ex parte* Moor, L. R. 10 Ch. D. 530.

(*n*) Palmer's Company Precedents, pp. 402, 403, 440; Gordillo *v.* Weguelin, L. R. 5 Ch. D. 287.

(*o*) *In re* Uruguay, &c., Railway Co., L. R. 11 Ch. D. 372.

(*p*) S. 86, 91, 25 & 26 Vict. c. 89; *In re* St. Thomas Dock Co., L. R. 2 Ch. D. 116.

debito justitiæ (*q*). An action by a debenture holder or mortgagee to realise his security out of the property charged will (except under special circumstances) be allowed to proceed after a winding up order (*r*); in an action by a debenture holder a receiver and manager may be appointed (*s*). Debenture holders are within the Joint Stock Company's Arrangement Act (*t*).

Debentures under Mortgage Debenture Acts, 1865, 1870.

The holder of a debenture, on which interest has been seven days or principal three weeks in arrear, is empowered to obtain the appointment of a receiver after giving the company written notice of his demand for payment with which they have failed to comply. The appointment is obtained, and the removal or other control of the receiver effected by petition or summons to the Chancery Division. A receiver so appointed has power to receive moneys and payment due on the registered securities of the company and apply the same in discharge of the principal and interest due on the debentures *pari passu* (*u*).

Debentures pursuant to Companies Clauses Acts, 1845, 1863.

The holder of these debentures is also empowered to obtain the appointment of a receiver under the conditions and with the powers previously described (*x*); such a specific remedy is held to be a virtual exclusion by the Legislature of the ordinary redress by foreclosure or sale (*y*).

Debentures pursuant to Commissioners Clauses Act, 1847.

The holder of these debentures is also empowered to obtain the appointment of a receiver under conditions and with powers

(*q*) *In re* Western of Canada Oil, Land, and Works Co., L. R. 17 Eq. 1.

(*r*) S. 87, 25 & 26 Vict. c. 89; *In re* Longdendale Cotton Spinning Co., L. R. 8 Ch. D. 150; Lloyd *v.* Lloyd & Co., L. R. 5 Ch. D. 339; *ante*, p. 483.

(*s*) Peek *v.* Trismaran Iron Co., L. R. 2 Ch. D. 115.

(*t*) 33 & 34 Vict. c. 104; Slater *v.* Darlington Steel Co., L. R. 6 Ch. D. 627.

(*u*) S. 41, 42, 44—46, 28 & 29 Vict. c. 78.

(*x*) *Ante*, pp. 285, 287.

(*y*) *In re* Herne Bay Waterworks Co., L. R. 10 Ch. D. 42.

similar to those of a receiver appointed under the Companies Clauses Act, 1845 (*z*).

Lloyd's Bonds.

The remedies of a holder of a Lloyd's Bond depend upon the nature of the instrument and the constitution of the body issuing the same (*a*); according as such body is a company registered under the Companies Act, or a corporation subject to the Companies Clauses Acts, redress similar to that afforded a debenture holder may be respectively obtained (*b*).

SECTION VI.

Mode of enforcing Assignments.

To what we have elsewhere said on the remedies of an assignee of a chose in action (*c*), or of a mortgagee (*d*), it is here only requisite to draw attention to the distinction between an assignment which constitutes a mortgage and an assignment which constitutes a trust to secure a charge with power of sale or a mere charge. In the latter two cases the judicial mode of realization is by decree for sale, not for foreclosure (*e*).

SECTION VII.

Mode of enforcing Liens.

Liens may be distinguished into two classes according as they confer (1) a mere right of retainer, (2) a right to realise the property over which they are claimed; to the former class

(*z*) *Ante*, pp. 285, 294.
(*a*) *Ante*, p. 299.
(*b*) *Ante*, pp. 482—485.
(*c*) *Ante*, pp. 316—319, 322—326
(*d*) *Ante*, pp. 472—482.
(*e*) Tennant *v.* Trenchard, L. R. 4 Ch. 537; Sampson *v.* Pattison, 1 Ha. 533.

belong simple possessory liens (*f*) and vendor's lien on personal property, except so far as modified by the Factors Acts (*g*); to the latter class belong vendor's lien on real property (*h*), liens in particular trades and professions which by custom or statute may be actively enforced (*i*), maritime liens (*k*), and equitable liens (*l*).

Formerly there was no remedy on a lien conferring a mere right of retainer other than the retainer itself; nor could any person claiming such lien be compelled to deliver up the property when his claim was disputed in an action, until the same was determined against him; under the law as it now exists an interlocutory order for delivery up of property other than land may, as we have seen, be made in such circumstances on payment into Court of the amount for which the lien is set up (*m*).

Vendor's and equitable liens on real property are enforced by action in the Chancery Division (*n*); the object and prosecution of such action is in all material respects similar to an action for sale by a mortgagee (*o*).

The most important trades and professions in which a particular lien authorises an application of the property affected to the discharge of the lien holder's demand are those of innkeeper, banker, and factor; the conditions whereon and the manner wherein such application may be made in the above and other cases have been already described (*p*).

Maritime liens are enforced by action in the Admiralty Division; such actions may be either *in rem* or *in personam*—the procedure being jointly fixed by the Judicature Acts and Orders and such of the Rules and Orders of the former Admiralty Court as do not conflict therewith (*q*). An action *in rem* is commenced by writ of summons calling upon the owners of or the parties interested in the property proceeded against to enter an appear-

(*f*) *Ante*, pp. 348—363.
(*g*) *Ante*, pp. 336—347.
(*h*) *Ante*, pp. 329—336.
(*i*) *Ante*, pp. 354—363.
(*k*) *Ante*, pp. 364—375.
(*l*) *Ante*, pp. 375—377.
(*m*) *Ante*, p. 482.
(*n*) S. 34, 36 & 37 Vict. c. 66.
(*o*) *Ante*, pp. 329, 335.
(*p*) *Ante*, pp. 354—363.
(*q*) S. 34, 36 & 37 Vict. c. 66; s. 18, 38 & 39 Vict. c. 77.

ance within eight days from service of the writ (*r*); the service is effected against ship, freight, or cargo on board by nailing the original writ for a short time to the ship's mainmast, and, on taking off the process, leaving a true copy in its place; or, against cargo landed or transhipped, by leaving the original writ for a short time thereon, and on taking off the process, leaving a true copy in its place; or, against cargo in the hands of a custodian who will not permit access thereto, by service on such custodian (*s*). At any time after the issue of a writ of summons in an action *in rem*, and after the prescribed affidavit has been filed, a warrant to arrest the property may be obtained (*t*); such warrant is executed by the Marshal of the Admiralty Division or his substitutes, and must be filed within six days from service in the registry (*u*); when once arrested, a citation *in rem* and *caveat* against release of the property may be obtained in any subsequent action (*x*). A foreign vessel that has done damage to a British subject may, on coming within the territorial waters of the United Kingdom, be seized by summary proceedings (*y*). In an action *in rem* the plaintiff must deliver his statement of claim within twelve days from the defendant's appearance (*z*); the pleadings then proceed as in an ordinary action. Judgment establishing a maritime lien is or is not realised out of the *res* according as the same continues in or has been released from arrest; if the *res* continues in arrest, then a judicial sale and realization out of the proceeds may be ordered; if the *res* has been released on bail bond, then a monition to the obligor and his sureties orders payment of the claim by a given day; if the *res* has been released on payment into Court, an order for payment thereout may be immediately obtained (*a*).

(*r*) *Ibid.*, O. ii. r. 7*a*; App. A., Pt. I., No. 4*a*.

(*s*) *Ibid.*, O. ix. rr. 10*a*—12.

(*t*) *Ibid.*, O. v. r. 11*b*; The Constitution, L. R. 4 P. D. 39:

(*u*) *Ibid.*, O. ix. r. 9*a*.

(*x*) Rules of High Court of Admiralty, r. 16.

(*y*) S. 527—529, 17 & 18 Vict. c. 104.

(*z*) 38 & 39 Vict. c. 77; O. xxi., r. 3.

(*a*) Williams and Bruce's High Court of Admiralty, 227—229.

SECTION VIII.

Actions and other remedies in the County Court.

Of Inferior Courts (*b*), before which an action or other civil remedy on a security may be prosecuted, the chief are the County Courts, which now possess a limited Common Law, Equitable, and—when specially conferred—Admiralty, jurisdiction (*c*). A County Court action is commenced by plaint and summons, such plaint is entered with the registrar of the Court, and thereupon particulars of the plaintiff's demand must in all cases, except that of an ordinary summons for a claim not exceeding 40*s*., be filed (*d*). A peculiar procedure analogous to that by specially indorsed writ (*e*), and the procedure under the Bills of Exchange Act (*f*), or to realise a security on property may, to the extent of the County Court jurisdiction, be adopted in a manner somewhat similar to what obtains in the High Court (*g*).

Under his Common Law jurisdiction a County Court Judge has power to entertain an action for a debt or liquidated demand or for a claim under the Bills of Exchange Act for any sum not exceeding £50 (*h*), provided that in the latter case the sum claimed be not less than £10 (*i*); by due consent of the parties the above jurisdiction may be extended to claims of any amount (*k*).

Under his equitable jurisdiction a County Court Judge has power to entertain a suit or proceedings for the execution of any

(*b*) *Ante*, p. 461.

(*c*) 9 & 10 Vict. c. 95, s. 58; 13 & 14 Vict. c. 61, s. 1; 28 & 29 Vict. c. 99, s. 1; 31 & 32 Vict. c. 71, ss. 2, 3; 32 & 33 Vict. c. 51, s. 2.

(*d*) County Court Rules, 1875, O. iv. r. 1; O. vii. r. 1.

(*e*) *Ibid.*, O. viii. rr. 27—29; O. iv. r. 5; Forms, 8, 15, 16, 18, 19; 38 & 39 Vict. c. 50, s. 1.

(*f*) 18 & 19 Vict. c. 67. Order in Council, 30th January, 1856; O. viii. r. 33; O. xviii. r. 3; O. xxxviii. rr. 47—49.

(*g*) 28 & 29 Vict. c. 99,

(*h*) 9 & 10 Vict. c. 95, s. 58; 13 & 14 Vict. c. 61, s. 1.

(*i*) Order in Council, 27th July, 1863.

(*k*) 19 & 20 Vict. c. 108, s. 23.

trust, or under the Trustee Relief Act, or for foreclosure or redemption, or for enforcing any charge or lien where the value of the trust property or the mortgage, charge, or lien respectively does not exceed £500 (*l*).

By Order in Council (*m*) Admiralty jurisdiction has been conferred on certain County Courts for the following claims: (1) for salvage where the value of the property saved does not exceed £1000, or the amount claimed does not exceed £300; (2) for towage, necessaries, or wages where the amount claimed does not exceed £150; (3) for damage to cargo, or damage by collision, or damage to ships, whether by collision or otherwise, where the amount claimed does not exceed £300; (4) for the use or hire of any ship, or in relation to the carriage of goods in any ship, or for tort to goods so carried, where the amount claimed does not exceed £300; (5) for any of the above demands to any amount where the parties so agree (*n*).

Actions within the Common Law (*o*) or Equitable (*p*) jurisdiction of the County Court may, if instituted in the High Court, be ordered to be tried in the County Court on due application to a judge at chambers. Moreover, a plaintiff suing in the High Court who only recovers £20 in an action founded on contract, or £10 in an action founded on tort, will not be entitled to his costs unless the same be specially allowed (*q*); there is a similar provision as to a plaintiff suing in Admiralty cases where the amount recovered does not exceed the limit of the County Court jurisdiction (*r*). Certain actions may also be transferred from the County to the High Court (*s*).

(*l*) 28 & 29 Vict. c. 99, s. 1; Ward *v.* Wyld, L. R. 5 Ch. D. 779.

(*m*) Dated 14th Jan., 1869, pursuant to 31 & 32 Vict. c. 71, ss. 2, 3; 32 & 33 Vict. c. 51, s. 2.

(*n*) *Ibid.*

(*o*) S. 7, 30 & 31 Vict. c. 142; Insley *v.* Jones, L. R. 4 Ex. D. 16; Foster *v.* Usherwood, L. R. 3 Ex. D. 1; Osborne *v.* Hanburg, L. R. 1 Ex. D. 48.

(*p*) S. 8, 30 & 31 Vict. c. 142.

(*q*) *Ibid.*, s. 5; Fleming *v.* Manchester Rly. Co., L. R. 4 Q. B. D. 81; Pontifex *v.* Midland Rly. Co., L. R. 3 Q. B. D. 23; Bryant *v.* Herbert, L. R. 3 C. P. D. 389, 189; Blake *v.* Appleyard, L. R. 3 Ex. D. 195; Staple *v.* Young, L. R. 2 Ex. D. 324.

(*r*) S. 9, 31 & 32 Vict. c. 71; Hewitt *v.* Corry, 39 L. J. Q. B. 279.

(*s*) 28 & 29 Vict. c. 99, s. 3; 36 & 37 Vict. c. 66, s. 90; O. xx. County Court Rules, 1875.

CHAPTER XXXV.

THE MONEY MARKET AND THE STOCK EXCHANGE.

PRELIMINARY OBSERVATIONS.

MONEY is the medium of exchange, but it is also a commodity; securities for money are either securities for money as the medium of exchange or securities for money as a commodity. If A. take B.'s promissory note for a debt of £1000, the £1000 is so much of the medium of exchange, and the note is security therefor; if C. lend D. £1000, at five per cent. interest, the £1000 is a commodity, and the mortgage is security for the same. Any instrument or transaction which may be employed as a security for money as the medium of exchange may likewise be employed as a security for money as a commodity, and that with similar legal consequences. Thus, a bill of exchange drawn by A., accepted by B., and indorsed to C., will possess similar attributes whether C. be holder in the capacity of creditor or in that of discounter. Hitherto we have treated indifferently of securities for money, whether as the medium of exchange or as a commodity; in the present chapter we shall confine ourselves to securities for money as a commodity.

There are two modes whereby the buyers and sellers of a commodity much in request may be brought together, viz., directly, by mutual knowledge of each other's respective wants; indirectly, through the intervention of a given person or place by whom or at which the business of dealing in the commodity is carried on. Thus, a man having a horse to sell may offer the

same to a neighbour who he knows is anxious to buy, or he may send the horse to be sold at Tattersall's to whatever buyer may be found. The middleman who brings buyer and seller together is denominated a factor or broker, according as he is or is not respectively intrusted with possession of the property to be disposed of; the place where the dealing goes on is termed the market, an appellation which is also given to the supply and demand offered by sellers and buyers. The remuneration paid to the middleman is styled commission, and this may consist of reward for acting merely as agent, or of such reward and an additional compensation for acting as *del credere* agent—that is, for acting as an agent who guarantees performance of the contract on the part of his principal. Principals who contract through the medium of an agent acting within the scope of his authority are bound to the same extent as if they had personally contracted—*Qui facit per alium, facit per se;* and parties who contract in a market are bound by such of the rules and customs thereof as are incorporated with the contract. "It is an axiom of the law of principal and agent that a broker employed to sell cannot himself become the buyer, nor can a broker employed to buy become himself the seller without distinct notice to the principal, so that the latter may object if he think proper. A different rule would give the broker an interest against his duty to pass off a bad bargain or inferior goods. It is also an elementary proposition that a custom of trade may control the mode of performance of a contract, but cannot change its intrinsic character. It may regulate as extrinsic what is done in the market, where the contract does not provide otherwise. It cannot overrule what is agreed upon between the parties, whether intrinsic or extrinsic. The agent may perform the business he is engaged for according to the usages of the market in matters of detail, although the principal be unaware of such usage, because every authority to do a thing, not specifying the way, implies authority to do it in a reasonable way, which the usual way *primâ facie* is. But no usage unknown to the principal can justify a broker in converting himself into a

principal seller" (*a*). A custom in a particular market that a broker who has purchased, and is purchasing, goods of a particular kind in his own name, may take portions of those goods and supply them to principals who have employed him in his character of broker to buy such goods for them, is one of a peculiar nature, and cannot be supported as against a principal not proved to have been acquainted with it when he gave his order; nor will the mere fact of employing a broker to execute a commission as a broker, in a market where such usage prevails, make the principal liable under it (*b*). Where a broker or other agent signs a contract without naming a principal in such contract, then, whether such principal is disclosed or not, he will be liable unless bis liability be determined by election of the other contracting party to look to the agent only (*c*). A broker, however, is not entitled or liable on a contract which he signs as broker for a principal therein named (*d*); so, if no principal be named, provided that it appear on the face of the contract that the broker is contracting as such for a principal, and not for himself as principal (*e*), but in the latter case the custom of a particular trade may qualify the contract so as to make the broker personally responsible. 'Thus, where the following contract note was addressed by the defendants—fruit brokers—to the plaintiffs, the vendors:—"We have this day sold for your account to our principal" so many tons of raisins. (Signed) "M. & W., brokers"—it was held that the custom of the London fruit market rendering the brokers personally liable was admissible in evidence (*f*). What precise language adequately describes the character of an agent so as to debar one entering into a contract on behalf of another from individual rights or

(*a*) Robinson *v.* Mollett, L. R. 5 C. P. 656, per Willes, J.; S. C. L. R. 7 H. L. 802; 7 C. P. 84.

(*b*) *Ibid.*

(*c*) Balder *v.* Dobell, L. R. 6 C. P. 486; Thomson *v.* Davenport, 9 B. & C. 78; Addison *v.* Gandassequi, 4 Taunt. 574; Patterson *v.* Gandassequi, 15 E. 62.

(*d*) Fairlie *v.* Fenton, L. R. 5 Ex. 169.

(*e*) Sharman *v.* Brandt, L. R. 6 Q. B. 720.

(*f*) Fleet *v.* Murton, L. R. 7 Q. B. 126; Humfrey *v.* Dale, 7 E. & B. 266; E. B. & E. 1004.

responsibility is somewhat difficult to determine. If a person subscribe a contract as agent or broker, he is neither entitled nor liable (*g*); but "where a contract is signed by a person without any words importing agency, the person so signing is by virtue of the contract both entitled and liable, unless in the body of the contract a contrary intention is clearly shown" (*h*). It would seem, however, that it is immaterial whether the character of agent appear from the signature or only in the body of the contract; the important point is to distinguish between words of mere description and words intimating the fact that one is acting as agent; thus, the following letter:—"Mr. George Gadd,—We have this day sold to you, on account of James Morand & Co., Valencia, 2000 cases Valencia oranges.—J. C. Houghton & Co."—was held sufficient to show that Houghton & Co. were acting as brokers (*i*).

The fundamental facts and principles we have now stated apply as much to the buying and selling of money and securities for money as to the buying and selling of any other commodity; thus, money may be bought and sold privately or in the market—directly or through the intervention of an agent—the rights and liabilities arising out of such purchase or sale being determined by the express terms of the contract, the nature of the commodity, and the rules or usages of the market, as legally incorporated into the transaction. We propose to consider the legal bearings of dealings in money and securities in general, as specially modified by the nature of the commodity and the rules of the Money Market. The proposed inquiry may be prosecuted under the following heads, viz.:—I. Money and Securities as Commodities. II. The Discount Market. III. The Stock Exchange.

(*g*) Fairlie *v.* Fenton, L. R. 5 Ex. 169; Alexander *v.* Sizer, L. R. 4 Ex.

(*h*) Paice *v.* Walker, L. R. 5 Ex. 176, per Kelly, C. B.

(*i*) Gadd *v.* Houghton, L. R. 1 Ex. D. 357; Southwell *v.* Bowditch, L. R. 1 C. P. D. 374; Hough *v.* Manzanos, L. R. 4 Ex. D. 104.

PART I.

MONEY AND SECURITIES AS COMMODITIES.

SECTION I.

Discount and Investment Securities.

As itself an article of commerce money may be employed in two different ways:—(1) in the way of trade to produce a profit, as where a capitalist discounts bills of exchange, or makes short loans to be repaid with a bonus; (2) in the way of investment to produce an income, as where money is permanently lent out on mortgage or otherwise at a certain rate of interest. Securities for money have a corresponding twofold function; they serve as a means of ensuring payment either of a gross amount or of an annual or other periodical dividend, with or without ultimate repayment of the principal from which such dividend actually or hypothetically accrues. Bills of exchange and promissory notes are practically the only securities which directly ensure the payment of money employed in the way of trade to produce profit; all securities, however, may indirectly subserve the same purpose by being mortgaged or pledged for short loans. So, on the other hand, may all securities be made a means of ensuring payment of money employed in the way of investment to produce income; but bills of exchange, promissory notes, and personal securities in general are seldom so employed with advantage. Securities, therefore, may be distinguished into discount and investment securities, according as they respectively reserve the payment of money employed to produce profit or to produce income. Of discount securities we shall treat hereafter (*k*); investment securities engage our immediate attention.

Of such securities there are two classes—(1) private securities, or securities only open to individual investors; (2) public securities, or securities open to investment by the community

(*k*) *Post*, p. 504, *et seq.*

at large: the former are not dealt in in the open market, are therefore not the subject of speculation, yield a fixed income, and are usually of a terminable character; the latter are bought and sold in the open market, are the subject of constant speculation, may yield either a fixed or varying income, and may be either of a terminable or of a perpetual character. By a security of a terminable character we mean a security which ensures payment of a certain annual or other periodical sum for a definite period; by a security of a perpetual character we mean a security which ensures such payment either for an absolutely indefinite period or for a period definable only at the will of the person or body liable thereon. A mortgage is a terminable security: so, a bond or covenant securing an annuity or rent-charge for a given number of years or for a life or lives; on the other hand, a bond or covenant securing an annuity or rent-charge either for ever or until the grantor shall offer to redeem the same, is a perpetual security. Annuities and rent charges are the chief subjects in which money is invested in private securities of a perpetual character; a security ensuring payment of an annuity or rent-charge is distinguished from other private securities by the fact that it involves no obligation to repay the original principal advanced, and by the further fact that it may be made to descend as real or personal property, whereas all other private securities can only devolve as personal property.

PART I.—SECTION II.

Public Securities in General.

Public securities, to which we shall henceforth devote our remarks, are likewise either terminable or perpetual; under the former category fall bonds, debentures, and other instruments giving a right to repayment of a principal sum at a future period, with interest thereon in the meantime; under the

latter category fall stocks and shares in companies. In the foregoing statement it will be observed that the term public security is used in two different senses,—first, to signify the instrument under which an investor holds his title; secondly, to signify the subject of investment. It is in this second sense the term is commonly understood. As so understood, there are two distinct kinds of investment to which the word is applied: I. Investments in public loans; in these the investor becomes interested as an annuitant or creditor. II. Investments in the capital of public bodies; in these the investor becomes interested as a partner. The terms of a public loan may be that the same shall be redeemable at a given time by repayment of the principal, in which case the loan and debt are sometimes designated as unfunded; or that the same shall be irredeemable or redeemable only at the option of the borrower, in which case the loan and debt are sometimes designated as funded: thus, the debt of a railway company on its debentures (*l*) is unfunded, on its debenture stock (*m*) funded. To the phrases funded and unfunded, however, a more restricted signification is usually attached; their employment is limited to expressing the contrast between irredeemable and redeemable Government loans: thus, a Government loan, the subscribers to which obtain in return for every £100 subscribed an annuity of £3, not redeemable otherwise than at the option of the Government, is termed a funded loan or debt; whilst a Government loan, the subscribers to which are entitled to have the amounts they subscribe repaid at a given time, is termed an unfunded loan or debt. At the present day the interest and repayment of the funded and unfunded debt contracted by the Government of the United Kingdom are defrayed in precisely the same manner, viz., out of the supplies annually voted by Parliament. Supplies so appropriated, and the principal of the debt, both funded and unfunded, are called indifferently the "Funds," the "British Funds," the "Government Funds," the "Public Funds," the

(*l*) *Ante*, p. 281.

(*m*) *Ante*, p. 286.

"Government Securities" (*n*). Literally the word "fund," derived from the Latin *fundus*, signifies a farm or stock—that which produces something, or from which something grows. As first applied to government loans, it signified the particular tax or source of revenue on which a particular loan was charged, it being formerly the practice to assign particular taxes to the discharge of particular debts; but it has long signified the principal of the loans themselves (*o*). In the case of foreign securities, the terms funded and unfunded bear a twofold interpretation; sometimes they indicate a contrast similar to that between English government securities; sometimes a contrast between securities, to which a fund is, and those to which a fund is not, specifically appropriated. The words stock and stocks denote a genus, of which the subjects denoted by fund and funds are species; thus, not only are our own government funds and those of foreign countries spoken of as public stocks and foreign stocks respectively, but generally any public fund or loan in the profits whereof the parties interested are entitled to participate, without liability to contribute any further amount than that already subscribed, and whereof the capital is indefinitely divisible, is designated as stock. There are various general enactments by which paid-up shares in companies may be converted into corresponding amounts of stock (*p*). Here it is sufficient to point out the distinction between such shares and stock. "Shares are not necessarily converted into stock as soon as they are paid up; they may exist either as paid-up shares or as not paid-up shares. But as regards stock, that can only exist in the paid-up state. It cannot (and I follow now the words of the Consolidation Act, 8 & 9 Vict. c. 16, s. 61) be railway stock until it is consolidated, and shares in a railway company cannot be consolidated until they are paid up . . . There is a certain extent of change as well as consolidation in these paid-up shares. They are

(*n*) Slingsby *v.* Grainger, 7 H. L. C. 280.

(*o*) McCulloch's Commercial Dictionary, "Funds."

(*p*) *Post*, p. 502.

changed from ordinary shares in this respect, that they are no longer incapable of being sub-divided" (*q*). In popular language, however, a stockholder in a railway is known as a shareholder, and in law he possesses so much of the same essential character that a bequest by a testator, who was both a share and a stock-holder, of all his "railway shares" was held to pass the stock (*r*).

With these general observations we may proceed to consider briefly the various kinds of public securities.

PART I.—SECTION III.

The British Funds.

I. The funded debt, redeemable at par at the option of the government, includes the following annuities:—

1. Three per cent. consols, originated in 1751 by an Act of Parliament, consolidating (hence the name which is an abbreviation for consolidated annuities) several separate stocks at three per cent. into one general stock.
2. Three per cent. reduced, established in 1757 by conversion of annuities at a higher rate.
3. New three per cents., established in 1844.
4. New three and a half per cents., established in 1830.
5. New five per cents., also established in 1830.
6. New two and a half per cents. guaranteed against reduction till 1894.
7. Three per cent. Bank of England debt.
8. Three and a half per cent Bank of Ireland debt (*s*).

(*q*) Morrice *v.* Aylmer, L. R. 7 H. L. 717, per Hatherley, Ld.
(*r*) *Ibid.*, 1 Ch. D. 148.
(*s*) McCulloch's Commercial Dictionary, "Funds;" Fenn on the Funds.

II. Unfunded debt, redeemable according to the express conditions under which it is constituted includes: 1, exchequer bills; 2, exchequer bonds; 3, treasury bills (*t*).

The funded debt is the public national debt. The title of a stockholder is constituted by an entry on the books of the Bank of England, which acts as the agent of the government. To effect a transfer the stockholder or his agent, duly authorised under a power of attorney, attested by two or more credible witnesses, must subscribe the entry; the transferee may then, if he thinks fit, intimate his acceptance of the transfer (*u*). On the death of a stockholder his interest is transferable by his executors or administrators, notwithstanding any specific bequest thereof; but before allowing such transfer the bank may insist on probate of the will or letters of administration being left with it for registration, and that all the executors who have proved shall join in the transfer (*x*). The books of the bank may be closed on the day preceding that when the dividends are payable, but are not to be closed at any time for more than fifteen days. The person inscribed as stockholder on the day of closing is entitled as against his transferee to the current half-year's dividends (*y*). The holder of stock in the three per cents., three per cents. reduced, or new three per cents. may obtain a stock certificate with coupons entitling bearer to dividends for stock to the amount of £50, or any multiple thereof not exceeding £1000 (*z*); but trustees are disabled from holding stock certificates, nor is notice of any trust in respect of any stock certificate or coupon receivable by the bank (*a*). Stock represented by a certificate is not transferable by entry on the books so long as the certificate is outstanding (*b*); the coupons are to be for not less than five years' dividends from date of the certificate, and are payable within three or five days from presentation at the head or branch establishments, respectively, more than ten miles from the head establish-

(*t*) *Ante*, pp. 65—72.
(*u*) S. 22,-33 & 34 Vict. c. 71 (The National Debt Act, 1870).
(*x*) *Ibid.*, s. 23.
(*y*) *Ibid.*, s. 25.
(*z*) *Ibid.*, ss. 26—28, 32.
(*a*) *Ibid.*, ss. 29, 30.
(*b*) *Ibid.*, s. 31.

ment (*c*). The half-yearly dividends on the public stocks formerly due on the 10th are now due on the 5th October in each year; and a stockholder may now have his dividends paid by dividend warrants (*d*) transmitted through the post; such warrants may be crossed as and with the same consequences as a cheque (*e*).

The bank stands in relation to stock as the depositee of goods in relation to goods; the bank can only be made responsible for a transfer after distinct notice given of a claim upon the stock (*f*); a secret trust as against the party who has the open legal title will not affect the bank (*g*). The bank will be compelled in a Court of equity to reinvest stock in the name of a trustee sold out by his co-trustee under a forged power of attorney (*h*); and, in general, it is the duty of the bank to prevent an unauthorised transfer (*i*); but though the property in stock is not transferred from the owner by being placed, under a forged power of attorney, to the name of another person in the books of the bank, yet the holder may, by his negligence, disable himself from recovering stock so transferred (*k*).

To what we have elsewhere said of the British unfunded securities (*l*), we need only add that trustees are now enabled to invest in exchequer bills as well as in two and a half per cents., three per cents. reduced, and new three per cents. (*m*).

Part I.—Section IV.

Indian and Colonial Government Securities.

The Acts which authorise loans for the Indian government

(*c*) *Ibid.*, ss. 34, 35.

(*d*) Partridge *v.* Bank of England, 15 L. J. Q. B. 395; 13 L. J. Q. B. 281.

(*e*) 32 & 33 Vict. c. 104; *ante*, pp. 23—25.

(*f*) Humberstone *v.* Chase, 2 Y. & C. Ex. 209.

(*g*) Lady Mayo's Case, Lofft. 65.

(*h*) Sloman *v.* Bank of England, 14 Sim. 475. See 33 & 34 Vict. c. 58.

(*i*) Davis *v.* Bank of England, 9 Moo. 747; 5 B. & C. 185.

(*k*) Cole *v.* Bank of England, 10 A. & E. 437; Bank of Ireland *v.* Evans' Charities, 5 H. L. C. 389.

(*l*) *Ante*, p. 65, *et seq.*

(*m*) 23 & 24 Vict. c. 38, s. 12; G. O. 1861.

allow the same to be created by the issue either of stock or of bills, bonds, and debentures (*n*). Such stock is usually unfunded in the sense of being repayable at a given date. Colonial government securities are created by the special Acts of the several colonies, wherein the terms of the loan are specified.

Part I.—Section V.

Foreign Stocks.

The terms upon which foreign governments borrow are of an extremely variable character; the important points to distinguish are whether the loan be funded or unfunded (*o*), and whether the title of a stockholder be transferable by an instrument of a negotiable character (*p*). Upon this subject we may refer to our former remarks (*q*), and to what we shall have to say at a subsequent stage (*r*); here we may observe that stock in the foreign funds means a foreign security for which the faith of the foreign government is pledged (*s*), and that under such government is comprehended any of the United States of America (*t*), but no British colonies (*u*).

Part I.—Section VI.

Stock and Shares in Railways.

Stock and shares in English railway companies may be distinguished into—1, ordinary; 2, preference; 3, guaranteed, and 4, debenture stock. The distinction between paid-up shares and

(*n*) *Ante*, p. 72.
(*o*) *Ante*, pp. 496, 497.
(*p*) *Ante*, pp. 263, 264.
(*q*) *Ante*, pp. 74, 75.
(*r*) *Post*, pp. 505, 506.
(*s*) Ellis *v.* Eden, 23 Beav. 543.
(*t*) Cadett *v.* Earle, L. R. 5 Ch. D. 710.
(*u*) Hull *v.* Hill, L. R. 4 Ch. D. 97.

the stock into which they may be consolidated under the 8 & 9 Vict. c. 16 has been already pointed out (*x*). Proprietors of such stock are entitled to the same dividends and privileges as owners of corresponding amounts of shares (*y*). Where a railway company is authorised by special Act to raise additional capital, it may do so by the creation either of new ordinary shares or stock, or new preference shares or stock (*z*); in either case, if the existing ordinary shares be at a premium, the first offer of the new shares and stock must be made to the existing shareholders (*a*). As the name implies, the distinction between preference shares and stocks and other shares is that the dividends thereon are first payable out of the profits realised (*b*), but no dividends can be declared which would reduce capital, nor can a deficit of dividend in one year be made up out of the profits of another year (*c*). Railway stock is included in "government or other stock" (*d*), but preference railway stock is not included in "funds of companies incorporated by Act of Parliament" (*e*), nor are French redeemable railway shares within a power to invest in the "bonds, debentures, or stocks of any colony or foreign country" (*f*). Shares in railways are transferred by deed duly executed by the transferor and transferee, and by entry of the transfer on the register of shareholders; until such entry the title of the transferee is not complete (*g*).

Guaranteed shares and stocks are in ordinary parlance such as are specifically secured on a given subject other than the mere profits of the undertaking; thus, shares or stock entitling the holders to a charge on the surplus lands of a railway company would be described as guaranteed. Sometimes, however, the term is used in almost the same sense as the word preference or preferred; sometimes in the sense of a guarantee

(*x*) *Ante*, pp. 497, 498.
(*y*) 8 & 9 Vict. c. 16, ss. 61—64.
(*z*) 26 & 27 Vict. c. 118, ss. 12—15.
(*a*) *Ibid.*, ss. 16—21.
(*b*) Sturge *v.* Eastern Union Rly. Co., 7 De G. M. & G. 158; Henry *v.* Gt. Northern Rly. Co., 27 L. J. Ch. 1.
(*c*) 8 & 9 Vict. c. 16, ss. 120—123.
(*d*) *Re* Matheson, 1 D. M. & G. 448.
(*e*) Harris *v.* Harris, 29 Beav. 107; Stewart *v.* Sanderson, L. R. 10 Eq. 26.
(*f*) *In re* Langdale's Settlement Trusts, L. R. 10 Eq. 39.
(*g*) 8 & 9 Vict. c. 16, ss. 14, 15, Sch. B.; Hodge's Railways, 6th ed., 101, *et seq.*

properly so called (*h*). In the case of foreign railways a guarantee is frequently given by the foreign state; so Indian railway stock is charged on the revenue of India.

Part I.—Section VII.

Stock and Shares in other Undertakings.

There are many undertakings, such as dock, waterworks, canal, and gas companies, subject to the Companies' Clauses Acts, in which stock and shares are held on conditions similar to those on which stock and shares are held in railways. To these we need not more particularly allude. Of other stocks and shares some are held in companies incorporated by special statute or royal charter, some in companies registered under the Companies' Act. By the Companies' Act paid-up shares may be converted into stock (*i*); for such paid-up shares or stock, warrants may be issued on the terms previously described (*j*).

The liability of a shareholder in a corporate body is determined by the conditions of incorporation. Without express provision no member of a corporate body is individually liable for the corporate debts (*k*). A company may be registered under the Companies' Act with limited or unlimited liability; according to the nature of such registration, a shareholder will be liable to contribute, respectively, the unpaid amount on his shares, or to the extent of the company's guarantee, or indefinitely (*k*).

(*h*) Smith *v.* Cork and Bandon Rly. Co., I. R. 3 Eq. 356; Bouch *v.* Sevenoaks Rly. Co., L. R. 4 Ex. D. 133.

(*i*) 25 & 26 Vict. c. 89, ss. 12, 28, 29, Sch. I., Tab. A. *Ante*, p. 156.

(*j*) I. Lindley's Partnership, 4th ed.' 382, 383 .

(*k*) See *In re* Ennis & W. Clare Rly. Co., 3 L. R. 94; Bath's Case, L. R. 11 Ch. D. 386.

PART II.

THE DISCOUNT MARKET.

Let A. be a merchant in London, and B. and C. merchants in Paris, and let A. be B.'s debtor for £100 and C.'s creditor for a similar amount; under these conditions a bill of exchange drawn by A. on C. payable to B. will afford a simple and convenient solution of their mutual obligations. Suppose, however, that C., instead of being A.'s, is D.'s (also a merchant in London) debtor; then D. may draw on C. in favour of B. and sell the bill to A., and thus, again, a simple solution of obligations is effected. If D. have no creditor in Paris it will be as much for his advantage as for A.'s, that the debt due by C. should be so assigned. It would, however, be next to impossible that A. and D. should be directly brought together; hence, the necessity for a market in which bills of exchange may be bought and sold.

In the United Kingdom the business of dealing in bills is carried on by a class of persons styled bill brokers, who are also known under the name of foreign bankers—dealing in bills constituting the essential character of a banker abroad, as opening an account to be operated upon by cheques constitutes the essential character of a banker at home. Rothschilds are the greatest of foreign bankers, but so far are they from being bankers in the English sense that a member of their house sits as a director of the Bank of England—a position which no English banker is allowed to occupy (*l*). Bankers and bill brokers, then, are in this country totally different; no doubt a banker may discount his customer's bill, but he does not make a trade of discounting; that now practically belongs to the bill broker. It must not, however, be supposed that there is no connection between the two businesses; on the contrary, it would be

(*l*) Lombard Street, by W. Bagehot, Chap. VIII.

impossible for the bill broker to do without the banker, or for the banker to act as profitably without the bill broker. Owing to causes which it would be beyond our province to specify, our modern banking has assumed the form of a deposit system, wherein the banker is, as it were, a vast reservoir in which money is stored by his several customers to be drawn out by them as they require (*m*). To meet the daily demands of the persons who deal with him, a banker need only keep by him a small proportion of the aggregate amount committed to his care; to provide against ordinary contingencies he need hold in reserve only about one-third of the sum that constitutes his ultimate liabilities, the remaining two-thirds he has at command. Of this, he invests a portion in Government or other fixed securities, the rest he puts out as floating capital at interest on short loans repayable either at a given time, or after notice, or on demand. Such short loans are chiefly in request by bill brokers and stock jobbers, who, by the nature of their business, have to depend almost entirely on borrowed capital. The advance made to the bill broker is usually secured by a pledge of the bills he receives in the course of his business, that to the stock jobber by a pledge or mortgage of public securities.

Public securities are the subject of either a legal (*n*) or an equitable (*o*) mortgage; in either case, according to the custom of the London money market, an implied power of sale is given to the mortgagee on default of repayment by the next settling day. To what extent an equitable mortgagee by deposit obtains an unimpeachable title to public securities depends upon the nature of the documents deposited, the mode in which the security may be transferred, and the notice (if any) given to the officers by whom the list or register of legal holders is kept (*p*). If the rights of the holder of a public security are both evidenced and conferred by an instrument which passes by

(*m*) *Ibid.*, Chap. III.
(*n*) *Ante*, pp. 155—158.
(*o*) *Ante*, p. 223, *et seq.*
(*p*) *Ante*, pp. 306—309.

mere delivery, as a stock or share warrant, or a negotiable bond or debenture, the mortgagee acquires a title as indefeasible as the pledgee of a bill of exchange payable to bearer (*r*); if, on the other hand, the rights of the holder of a public security are only evidenced but not conferred by a given instrument, or if, being so conferred, the instrument is non-negotiable, the mortgagee acquires a defeasible title; thus, the depositee of share or stock certificates, or of scrip, bonds, or debentures not legally transferable to bearer, takes a title subject to equities (*s*), and such title is liable to be defeated by the bankruptcy of the mortgagor where the security is not a chose in action within the exception in the order and disposition clause, and no notice of the mortgage is given (*t*).

The bills pledged for an advance by a bill broker are of two kinds: (1) bills he has himself bought or discounted; (2) bills pledged or entrusted to him by his customers to raise money on; hence, we have to distinguish between discount and pledge.

By the discount is meant the purchase of a bill for a certain sum of money, so as to transfer the absolute property therein to the purchaser or discounter; by the pledge is meant the transfer of a bill by way of security, so as to vest a special property in the transferee or pledgee to the extent of the sum secured (*u*). As against the world at large, the discounter takes an absolute or qualified title according as the bills discounted are current and negotiable (*x*), or overdue (*y*) and non-negotiable (*z*); thus, whatever be the sum paid by the discounter, he has a right to recover for his own benefit from the acceptor or other parties liable the whole amount for which negotiable bills are drawn, and in case of the bankruptcy of these parties he may prove for such amount; but no such proof will be allowed on sham bills, the true character of which is in the actual or constructive knowledge of the discounter at the time

(*r*) *Post*, pp. 507—509.
(*s*) *Ante*, p. 224.
(*t*) *Ex parte* Littledale; *In re* Pearse, 24 L. J. Bkpy. 9.
(*u*) *Ante*, p. 241.
(*x*) *Ante*, pp. 5, 7, 9.
(*y*) *Ante*, pp. 312, 313.
(*z*) *Ante*, pp. 3, 9.

of purchase. At the most, proof can only be admitted for the price given by him (*a*), and it would seem that proof by an accommodation holder would in like manner be curtailed to the actual advance he had made (*b*), though it was formerly considered just to allow proof for the full amount of the bills, limiting the receipt of dividends to the sum advanced (*c*). An indorsement to the transferee is *primâ facie* evidence that the transfer of a bill is by way of discount (*d*). The object of the indorsement, however, may be to enable the transferee to collect the bill when it falls due for the benefit of the transferor, or to raise money thereon to meet future advances by the transferee; in this latter case the bill, so long as retained by the transferee, is a mere pledge applicable to the demands of the transferor (*e*). The drawer of a bill may transfer his right to have the proceeds of goods deposited with the acceptor applied in the first instance in retiring the bill to a discounter, who may then maintain a suit to have the goods applied accordingly (*f*); but in the absence of such transfer the discounter has no necessary claim upon the goods (*g*). If, however, the acceptor pledge bills accepted by him, and also all funds the drawer may remit to meet the bills, the pledgee will, on obtaining possession, be entitled to such funds as against the drawer, notwithstanding the subsequent dishonour of the acceptance (*h*); but the drawee of a bill of exchange to cover goods included in a bill of lading cannot retain the latter without acceptance of the former (*i*).

As against third parties the rights of the pledgee of a bill are similar to those of a discounter; thus, a pledgee is entitled to recover the full amount for which a negotiable bill is drawn from the acceptor and other parties liable, and to prove for such amount on their bankruptcy. Of any surplus, however, re-

(*a*) *In re* Gomersall, L. R. 1 Ch. D. 137; Jones *v.* Gordon, L. R. 2 App. Cas. 616.

(*b*) *Ibid.*; *Ex parte* Schofield; *Re* Frith, 40 L. T. N. S. 464.

(*c*) *Ex parte* Bloxam, 6 Ves. 449.

(*d*) *Ex parte* Twogood, 19 Ves. 227.

(*e*) *Ex parte* Pease, 19 Ves. 25.

(*f*) Inman *v.* Clare, Johns. 769.

(*g*) *Ante*, pp. 402—404.

(*h*) Banco de Lima *v.* Anglo-Peruvian Bank, L. R. 8 Ch. D. 160.

(*i*) Shepherd *v.* Harrison, L. R. 5 H. L. 116.

covered beyond his own debt the pledgee will be trustee for the pledgor (*k*); moreover, to the extent of such debt only can the pledgee in an action against the pledgor whose name is on the bill recover, and in case of the latter's bankruptcy. proof by the pledgee will be limited to the excess (if any) of such debt beyond the proceeds realised by a sale of the bill. Between the pledge of a bill payable to bearer and the pledge of a corporeal chattel there is this fundamental difference: that by a wrongful disposition the pledgee may absolutely bar the pledgor's rights in the bill, but cannot affect his rights in the chattel (*l*); thus, a *bonâ fide* transferee of the bill for value without notice that his transferor holds only as pledgee obtains as good a title as if the transferor were full owner, and if the transfer be by way of repledge for a sum exceeding that due on the original pledge, the original pledgor can only redeem the transferee by tender of the amount advanced on the repledge (*m*). A transferee from the pledgee of a bill payable to bearer having notice of the pledge at the time of transfer can take no higher rights than those of his transferor; the same is true even in the absence of such notice where the bill transferred is non-negotiable (*n*) or overdue (*o*); the transferee in these several cases, just as a transferee by repledge of a chattel corporeal, is bound, so long as he continues holder, to restore the bill to the pledgor on satisfaction of the original pledgee's claim (*p*). It is the duty of the pledgee of a bill to take all proper steps to obtain payment thereof, and if he fail duly to present, give notice of dishonour of, or protest the bill, not only will he forfeit the claim secured by the pledge, but he will also expose himself to a demand on the part of the pledgor for the value of the bill over and above that claim (*q*). On the other hand, a pledgee who takes all necessary steps, but fails to get his claim satisfied out of the proceeds of a pledged bill, has the same right as the pledgee of

(*k*) Reid *v.* Furnival, 1 Cr. & M. 538.
(*l*) *Ante*, pp. 5, 7, 9, 263, 264.
(*m*) Collins *v.* Martin, 1 B. & P. 648.
(*n*) *Ante*, pp. 3, 9.
(*o*) *Ante*, pp. 312, 313.
(*p*) *Ante*, pp. 243, 244.
(*q*) Peacock *v.* Purssell, 32 L. J. C. P. 266.

a corporeal chattel (*r*) which is lost without default of the latter to proceed personally against the pledgor; and, indeed, this same right continues during the currency of the bill, unless excluded by agreement of the parties express or implied.

We are now in a position to understand the rights acquired by a capitalist who makes an advance on the pledge or deposit of bills by a bill broker; in such bills as the broker has himself purchased or discounted the capitalist acquires an interest commensurate with the loan secured; so, in regard to such current negotiable bills as are pledged or entrusted to the broker to raise money on, and are taken *bonâ fide* by the capitalist without notice of the pledge or trust; otherwise if the capitalist have such notice, or if the bills be non-negotiable or overdue, for in such cases the capitalist can claim no higher interest than the broker. Thus stands the law as between pledgor and pledgee generally, where the pledge is made in consideration of a present advance; let us next, therefore, inquire how the effect of a pledge is modified by being given to secure a past debt, and by the peculiar character of the parties to the contract. In the first place, it is clear that a pledge to secure a past debt and a present advance, where the subject of pledge includes bills of the pledgor sufficient to cover the past debt, will stand on the same footing as a pledge to secure a present advance only (*s*). The question is—Can a pledgee or person authorised to obtain the discount of a current negotiable bill transfer the same to secure a past debt due by himself to a creditor without notice of the pledgee's limited title, so as to bind the original pledgor or owner? There appears to be no direct decision upon this point, but it would seem that on the analogy of a bill of lading (*t*) and from the essential nature of negotiable instruments (*u*) it would follow that by such transfer the original pledgor or owner would be bound. The effect of the transfer would also seem to be subject to the established usage of the money market in the

(*r*) *Ante*, pp. 243, 391.
(*s*) Foster *v.* Pearson, 1 C. M. & R. 849.
(*t*) Leask *v.* Scott, L. R. 2 Q. B. D. 276; *ante*, p. 302.
(*u*) *Ante*, pp. 263, 264.

same manner as the transfer of bills in a mass by a bill broker, the legal operation of which will be gathered from the following passages: "According to the general law a bill broker who receives a bill merely for the purpose of procuring it to be discounted for his customer has no right to mix it with bills of his other customers and to pledge the whole mass as a security for an advance of money, for the consequence of this would in many cases be that the bill of one customer might be detained for a loss arising from the dishonoured bills of other customers. Still less has the bill broker a right to deposit bills which are received merely for the purpose of discount as a security or part security for money previously due from him (*x*)." Hence, if a bill broker employed by different persons to obtain the discount of their several bills mix up and pledge the same for a lump sum, the pledgee, if he have notice or reasonable ground to suspect at the time of pledge that the bills belong to the pledgor's customers, cannot retain such bills as against the customers (*y*). These general rules have been thus explained: "In the absence of evidence as to the nature of such an employment, a bill broker must be taken to be an agent to procure the loan of money on each customer's bills separately, and, therefore, to have no right to mix bills together and pledge the mass for one entire sum. In truth, a bill broker is not a character known to the law with certain prescribed duties; but his employment is one which depends entirely upon the course of dealing. It may differ in different parts of the country, it may have powers more or less extensive in one place than in another; what is the nature of its powers and duties in any instance is a question of fact, and is to be determined by the usage and course of dealing in the particular place" (*z*). Accordingly, an indiscriminate pledge of the bills of various customers for a present lump advance by a bill broker of the City of London has been held valid under a local usage in favour of a pledgee who had notice that such

(*x*) Haynes *v.* Foster, 2 C. & M. 237, per Lyndhurst, C.B.

(*y*) *Ibid.*

(*z*) Foster *v.* Pearson, 1 C. M. & R. 849, per Parke, B.

bills were entrusted to the pledgor for the purpose of procuring them to be discounted (*a*). In the above case it was unnecessary to decide whether a pledge to secure a past debt, but otherwise made under circumstances similar to those just mentioned, would be upheld in law; on general principles, it would seem that the owner of bills so pledged could not be bound without his actual consent or notice of the custom (*b*), but the grounds on which the reasonableness of a custom to pledge for a present advance are based may be deemed as applicable to a custom to pledge for an antecedent debt. "On the one hand, the custom is attended with inconvenience, because one proprietor may have to answer for the non-payment of another's bill; but, on the other hand, the custom may give facilities to the raising of money on negotiable paper, for it may well happen that a great capitalist would advance money in this way who would not discount each particular bill" (*c*).

As the holder of the largest amount of floating capital, it is from the banker the bill broker obtains most of the borrowed money with which he carries on his business; he may, however, have dealings with any other capitalist, between the rights of whom and a banker capitalist there is no distinction, except where the relation of banker and customer exists so as to confer the benefit of banker's lien (*d*).

A bill broker acts as an intermediary between the borrowing public and the less qualified capitalist; the latter may, of course, be solely guided by his own judgment, but, as a rule, he relies on the standing and sagacity of the bill broker for the soundness of the paper upon which he advances (*e*). The question then arises—Are the terms upon which bills are discounted affected by any legal regulation, or are they solely determined by the conditions of the market? We reply—the law neither directly nor indirectly interferes with the market, and the prices of bills

(*a*) *Ibid.*; *Ex parte* Schofield; *Re* Frith, 40 L. T. N. S. 464.
(*b*) *Ante*, pp. 491, 492.
(*c*) Foster *v.* Pearson, *supra*.
(*d*) *Ante*, pp. 356, 357.
(*e*) Bagehot's Lombard Street, Chap. XI.

are entirely governed by economic principles. Bills may be distinguished into those that are first-class and those that are other than first-class, according to the estimation entertained of their being duly honoured. Taking a first-class bill as certain to be met at maturity, it is clear that its price must first depend upon the time it has to run; less will be given for a three months' than for a seven days' bill where all the parties reside in the same place. Except as so modified by the period at which it matures, the price of first-class inland bills is entirely governed by the law of supply and demand of and for money. The Bank of England, which, unlike all other banks, never deposits money with the bill brokers, save in time of panic, when by the constitution of the money market it is compelled to do so in its own interest, lays down a minimum rate of interest at which it will discount (*f*). This minimum, or bank rate as it is called, is a good index as a rule of the state of the money market, and to this the rates of other discounters more or less conform. But there is no legal necessity in this, nor is there even any economic necessity, for though the bank as the holder of the ultimate reserve may completely control the momentary value of money, the permanent value is settled by the law of supply and demand, and the market rate is determined by the deposits with bankers and brokers as compared with good securities (*g*).

The price of foreign bills is governed by the supply and demand of and for such bills, and of and for money. Bills being the instruments in which international indebtedness is ultimately embodied, will vary in quantity according to the balance one country owes or has to receive from the rest of the world. Where a country is general creditor, bills drawn on the rest of the world will be in excess, and will consequently fall in value; the exchanges are then said to be in favour of the country; where a country is general debtor, bills drawn on the rest of the world will be scarce and will consequently rise in value;

(*f*) Bagehot's Lombard Street, Chap. XI. (*g*) *Ibid.*, Chaps. V., XII.

the exchanges are then said to be against the country, the range of the variations from the par of exchange, or the price when there is no balance on either side, being limited to the cost of exporting bullion to meet the international demand (*h*).

PART III.

THE STOCK EXCHANGE.

SECTION I.

Its Constitution.

In one sense the Money Market may be said to comprehend both the discount and the investment markets; it is, perhaps, however, more correct to make the Money Market co-extensive only with the discount market; the investment markets, or the markets in which public securities are bought and sold are styled, in English-speaking countries, Stock Exchanges, in foreign-speaking countries, Bourses. Between the London Stock Exchange and all other stock exchanges and bourses there is one striking difference: the buying and selling on the London Stock Exchange are carried on by two sets of intermediaries, viz., (1) dealers or jobbers who buy stock and shares to sell again, and make a profit by the turn of the market (*i*); (2) brokers who buy and sell stock and shares as agents for the public through the dealers, and receive remuneration by a commission for their services; whereas the buying and selling on all other stock exchanges and bourses are carried on through one set of intermediaries, viz., the brokers, who, when employed to buy or sell, treat directly with each other (*k*). In relation to the outer

(*h*) Goschen's Theory of Foreign Exchanges.

(*i*) See Grissell *v.* Bristowe, L. R. 4 C. P. 42.

(*k*) London Stock Exchange Commission Report, 1878, p. 9.

world dealers are principals acting on their own account; brokers are agents acting on account of some third party; to execute a commission on the London Stock Exchange the broker addresses himself to some dealer, who, if the security sought to be dealt in be current, or, in other words, belong to a class of which there is a large amount, and for which there is an active market, will "make a price"—that is, state two prices, at one of which he binds himself to buy, and at the other of which he binds himself to sell, the securities in question—whereupon the broker is entitled to announce himself as either a buyer or a seller at the prices named, and to insist on the acceptance of the contract by the dealer for any amount within certain prescribed limits (*l*); to execute a commission on any provincial exchange or foreign bourse, a broker has to seek out some other broker who is commissioned to buy or sell the securities he is authorised to sell or buy. "The dealer is ready to take at a moment's notice, and in cases where required even to pay for at a moment's notice, almost any quantity of a current security, with the knowledge that he can, perhaps, within the same day, or, at any rate, before the next account day, sell the same again at the margin of profit which is involved in the difference between the two prices that he named, and he acts without hesitation on this facility. The result to the public is that the buyer or seller can make his bargain at once without seeking out some one else who wants to buy what he has to sell, or who wants to part with what he wants to buy. So great is the accommodation provided by the system that purchases required on the provincial exchanges or the foreign bourses are constantly sent to London to be made on the Stock Exchange there" (*m*). It is of the latter alone we shall treat; much of what we shall have to say applies to other investment markets, the transactions in which, however, are necessarily modified in all legal respects which derive their essential character from the presence or absence of a dealer.

The London Stock Exchange is a voluntary association of

(*l*) *Ibid.*, p. 8.

(*m*) *Ibid.*, p. 9.

those who deal in the various securities which pass by the common name of "stocks and shares," and which we have elsewhere designated as "public securities." The association consists of two distinct bodies: (1) the shareholders or proprietors who own the building where business is transacted, and who are interested as members of a joint-stock undertaking; (2) the subscribers, or persons generally described as members of the Stock Exchange, or members of the house, who transact the business. To the shareholders, whose interests are represented by nine elected managers, the entrance fees and subscriptions of members accrue as substantially a rent paid for the use of the building; the members are annually elected and re-elected by the Committee for General Purposes, a body consisting of thirty persons, who are themselves elected by and represent the members. The managers are the trustees of the property, and have exclusive control over the income and expenditure of the Stock Exchange, but no control over the business transacted by the members. They appoint all officials except the Secretary to the Committee for General Purposes and the official assignees, and they superintend all matters connected with the building and its arrangements. The Committee for General Purposes appoint their own secretary and the official assignees, and exercise a general control over the mode in which business is transacted in the house, and the conduct of its members. A shareholder, unless also a member or duly empowered clerk, has no right of entry into the building, which is strictly confined to members who are either jobbers or brokers, and to such of their clerks as obtain admission under the regulations of the Committee for General Purposes (*n*). To practice as broker within the city of London a license is required to be taken out, for which a yearly fee of £5 is payable to the City (*o*); under such license certain persons act as stockbrokers without being members of the Stock Exchange; it is only of the latter we shall speak; these, as we

(*n*) *Ibid.*, pp. 5—7.
(*o*) *Ibid.*, pp. 7, 26; Scott *v.* Cousins; Same *v.* Insley, L. R. 4 C. P. 177; Scott *v.* North, L. R. 2 C. P. 270.

have said, are either jobbers who remain in the house ready to deal with any one who comes to them, or brokers who come into the house only when they have business to transact—jobbers and brokers being allowed to interchange their mutual characters *ad libitum*, though not to act in the double capacity at the same time (*p*).

Part III.—Section II.

Its Rules.

Like most other markets, the Stock Exchange has a peculiar set of usages and customs that govern the relations of parties contracting therein; to what extent such usages and customs may modify the contracts entered into may be gathered from the propositions we have already laid down (*q*), and the more special observations we shall hereafter make (*r*); here it is necessary to speak somewhat in detail of the usages and customs themselves. These usages and customs are elaborately set forth in a code of rules drawn up by the Committee for General Purposes; the rules are entered at Stationers' Hall, and can be bought by any person for one shilling, they may be classified under two heads, viz., (1) Rules relating to internal organisation, and affecting the members only, they deal with the following subjects: the committee (rr. 1—17), admissions (*s*), re-elections, and re-admissions (rr. 18—35), partnerships (rr. 36—40), clerks (rr. 41—49), failures (rr. 142—165), official assignees (rr. 166—172); (2) Rules relating to market transactions, and affecting the public as well as the members, they deal with the following subjects: general rules applicable to Stock Exchange transactions (rr. 50—72), rules applicable to English and Indian stocks, &c. (rr. 73—82), rules applicable to securities of companies, deliverable by deed or transfer (rr. 83—104), rules applicable to securities to bearer

(*p*) London Stock Exchange Commission Report, 1878, p. 7.
(*q*) *Ante*, pp. 490—493.
(*r*) *Post*, pp. 521—524.
(*s*) See Leathley *v.* Spyer, L. R. 5 C. P. 595.

(rr. 105—123), special settling days and official quotation of new loans, shares and stocks (rr. 124—131), ordinary settling days and official quotation of prices (rr. 132—141).

With regard to rules classified under the first of the above heads, we may notice "that great as are the powers of the committee over their own members, they can act in the case of non-members by consent only, and that no person not a member of the association can be compelled to submit to their jurisdiction" (*t*). Thus, the rules as to defaulting members are rules of a domestic forum, which have no influence on the rights of those who are not amenable as members to the jurisdiction of that body. They cannot, therefore, govern the rights of the general creditors of a defaulting member (*e.g.*, rr. 153, 167, cannot overrule the general law of bankruptcy), and money paid in pursuance of those rules is a fraudulent preference within Section 92 of the Bankruptcy Act, 1869 (*u*). By becoming a member of the Stock Exchange under the Stock Exchange Rules, an honorary but not a legally enforceable agreement is entered into (*x*). We may here remark that the term "assets" in Rule 167 means the whole of a defaulter's available property (*y*); and further, that a defaulter on the Stock Exchange differs from a bankrupt under the general law, inasmuch as he obtains no discharge from his debts (*z*).

Of the rules relating to market transactions some concern the mode of introducing new securities to the Stock Exchange, and regulate the conditions to which bargains in such securities are made subject; the rest are concerned with securities which have an established place on the Exchange. The large majority of contracts in the investment market are made not for immediate but for future execution (*a*); there are

(*t*) London Stock Exchange Commission Report, 1878, p. 8.

(*u*) Tomkins *v.* Saffery, L. R. 3 App. Cas. 203; Nicholson *v.* Gooch, 25 L. J. Q. B. 137; Mortimer *v.* M'Callan, 6 M. & W. 58; London Stock Exchange Commission Report, p. 23.

(*x*) *Ibid.*

(*y*) Tomkins *v.* Saffery, *supra.*

(*z*) Lacey *v.* Hill; Crowley's Claim, L. R. 18 Eq. 182.

(*a*) London Stock Exchange Commission Report, 1878, p. 8.

regular days called "account or settlement" days in each month on which established securities are to be delivered and paid for; the first step, therefore, to establish a new security is to obtain a special account-day, or day of settlement. The right of granting or refusing a settlement is confided to the Committee for General Purposes, and has to be exercised in conformity with the rules which apply to that subject; the same is true with respect to quotation in the official list (*b*). As soon as a new loan or company is made known to the public, dealings in its scrip or shares commence on the Stock Exchange; these dealings are made for the special account-day to be fixed by the committee, who, if they refuse a settlement, render all bargains nugatory and void (*c*). With the exception of shares in joint-stock banks (*d*), there is no legal impediment to the purchase or sale of shares in companies (*e*), or scrip in loans before allotment; the consequence is that such dealings are frequently resorted to for the purpose of floating worthless companies or foreign loans of a disreputable character, and furnish unusual facilities and temptation for and to mere gambling and dishonest practices; hence the recommendation that all dealings before allotment, whether in foreign loans or the shares of new companies, should be prohibited by law under sufficient penalties (*f*).

Established securities quoted in the official list are of two kinds: (1) current, or those for which there is an active market, and in which the dealers make a price; (2) non-current, or those for which there is but an inactive market, and in which dealers do not make a price. In the buying and selling of the latter, brokers still apply to the dealer or jobber, who acts as a sort of middleman, without, however, offering to buy or sell until he has found some specific member who desires to sell or buy, the result being that the dealer is able to exact so disproportionate a remuneration for his services that it is proposed by the

(*b*) *Ibid.*, p. 13.
(*c*) *Ibid.*
(*d*) 30 Vict. c. 29.
(*e*) The prohibition in the Joint-Stock Companies Act, 1844 (7 & 8 Vict. c. 110, s. 26), was repealed by the Joint-Stock Companies Act, 1856 (19 & 20 Vict. c. 47, s. 107).
(*f*) London Stock Exchange Commission Report, 1878, p. 19.

Royal Commissioners that a register should be kept on the Stock Exchange, in which brokers might enter particulars of the non-current securities which they are commissioned to obtain or dispose of, in order that by that means they may be able to treat with each other directly without the jobber's intervention (*g*). Securities, whether of the current or non-current class, may be bought and sold "for money" or "for the account" (*h*), according as the contract provides respectively, for immediate or for future execution. A contract for money is concluded straight off; the buyer's broker pays the dealer down, and in return receives a transfer to the name given by his clients of the subject purchased; a contract for the account is a present binding agreement to be performed at a future time, according to the usages and customs of the market. As a rule, the broker and dealer enter a note of the agreement in their note-books, but no written contract passes between them; the broker sends a written note of the contract to his client, which seldom mentions the name of the jobber with whom the broker has dealt. For Government stocks there is one, and for all other stocks two, fixed account days in each month, on which days contracts for the account are performed, unless some fresh bargain is made by which the execution of the contract is annulled or practically deferred until the next account day. If the bargain, however, is completed on the original account-day, it is not necessarily carried out between the original parties to it, for the seller may have bought similar stock from some third person, and he in like manner from another, and so on through several hands, so that the whole series of bargains is settled by the ultimate seller delivering to the ultimate buyer (*k*). To enable the above arrangement to be carried out, a purchasing member is bound on the day preceding the account-day, and

(*g*) *Ibid.*, p. 10.

(*h*) The "Account" consists of three successive days, viz: (1) the carrying over or contango day; (2) the name day; (3) the settling day. Digby's Sale and Transfer of Shares in Companies, p. 7. Melsheimer and Laurence's Stock Exchange 8, 15—18.

(*i*) *Ibid.*, p. 8.

(*k*) *Ibid.*

known as the "Name Day," to pass to the member from whom he purchased a ticket issued either by the member himself or by some other member and duly passed to him, on which ticket appears the name furnished by the member who issued the ticket. The original vendor may then pass this ticket on to the member from whom he purchased, from whom it may pass on in succession to the ultimate vendor, by whose principal a transfer of the securities to the name given on the ticket will be executed on payment of the purchase-money (*l*). A ticket need not be passed on in its integral state; it is allowed to be split, that is, any member to whom it is passed may divide the amount of stock or shares into separate parts, and apportion the same by separate new tickets amongst separate members, the member splitting a ticket being required to retain the original ticket and indorse his name on the separate tickets he issues in its place (*m*). The consideration expressed in the transfer is the purchase-money paid by the ultimate buyer, but the transferor or ultimate seller only receives the price he has contracted for; the differences in price in intermediate sales are received and paid by the intermediate brokers and jobbers (*n*); the costs of the transfer are borne by the transferee; but each party pays his own broker's commission. Default of the buying jobber to furnish a name by the name-day empowers the selling broker to "sell out" and charge any loss to the jobber; so, default of the seller to deliver stock he has sold within ten days entitles the buyer to "buy the stock in" against him (*o*); and default of a selling broker to deliver the transfer and certificates (if any) and to obtain the purchase-money within fifteen clear days from receiving the name of the ultimate buyer discharges his immediate buyer from loss by default of the former's broker to pay the purchase-money (*p*). Buying-in or selling-out consists in an official broker announcing on the market that he wants,

(*l*) Grissell *v.* Bristowe, L. R. 4 C. P. 45, 46.

(*m*) Bowring *v.* Shepherd, L. R. 6 Q. B. 309.

(*n*) *Ibid.*

(*o*) Nickalls *v.* Merry, L. R. 7 H. L. 530.– R. 99.

(*p*) Nickalls *v.* Merry, *supra*.

and that for what purpose, to obtain or dispose of the quantity of stock or shares in the transfer or payment for which default has been made, the original seller or buyer in default having to pay any difference between the price in the original contract and that paid or realised by the official broker (*q*). It is a principle upon which the Stock Exchange act throughout their rules in respect to bargains that all members as between themselves stand in the position of principals; that members should be entitled to look to the members with whom they deal as if they were the principals in these dealings, and as if the principal outside the house, for whom bargains are made, did not exist. Under this system the committee (who have absolute power over their own members) are enabled to enforce bargains and adjust disputes with speed and facility; but the legal relations of a client or principal outside the house who employs a broker to execute a commission within the house ought not to be affected by the above principle (*r*).

PART III.—SECTION III.

Legal Operativeness of Rules.

Such, then, being the chief rules which govern the ordinary transactions on the Stock Exchange, we have next to inquire more particularly into their legal operation on the contracts entered into. Now, in the first place, it is clear that "neither the rules of the exchange nor the usages of the market can of themselves make a contract between two parties. A contract there or elsewhere can be created only by the acts of the parties themselves or their authorised agents. When once the relation of vendor and purchaser is thus established, the terms of the contract may be implied from or modified by the usages of the

(*q*) London Stock Exchange Commission Report, pp. 8, 9.

(*r*) *Ibid.*, pp. 7, 9; Maxted *v.* Paine (2nd action), L. R. 6 Ex. 132.

market." In the next place (*s*) "the cases of Grissell *v.* Bristowe (*t*), and Coles *v.* Bristowe (*u*), with several other decisions in Equity establish, and it has now become settled law, that where a contract for the purchase and sale of shares has been entered into between individuals through their respective brokers, or with the intervention, as purchasers or sellers, of jobbers, members of the Stock Exchange, the lawful usages and rules of the Stock Exchange are incorporated into and become part and parcel of all such contracts, and the rights and liabilities of individuals, parties to any such contracts, are determined by the operation upon the contracts of these rules and usages" (*x*). Hence, the substitution of liability in the contract is not like the assignment of a chose in action (*y*); the transaction is not, as has been supposed, that the seller of shares constitutes an agent to find out and enter into a contract with some particular buyer, or, on the other hand, that the buyer does the same as to the seller, but both parties agree to be bound by the usage of the Stock Exchange. Nor does the transaction resemble a contract by which A. sells to B., B. to C., C. to D., and D. to E., and at the request of B. C. D., A. executes the transfer to E.; it is rather an engagement entered into by A. on one side, and E. on the other, that through the instrumentality of certain other persons, whoever they may be, certain shares shall be sold and bought, and they undertake to complete the contract with the person, whoever he may be, who buys on the one hand and sells on the other (*z*). It is a fallacy to suppose that the bargain made is not fulfilled, but something else done instead. This is not so; the jobber gives a name other than his own by virtue of and in pursuance of the original contract (*a*). Where A. purports to buy of B. for the account, what he really does is this: A. in effect says, "I will on the account-day take of you and pay

(*s*) Sheppard *v.* Murphy, Ir. R. 1 Eq. 490, per Chatterton, V.C. See *ante*, p. 491.
(*t*) L. R. 3 C. P.; 4 C. P.
(*u*) L. R. 4 Ch. 3.
(*x*) Bowering *v.* Shepherd, L. R. 6 Q. B. 327, per Kelly, C.B.
(*y*) *Ibid.*
(*z*) Hodgkinson *v.* Kelly, L. R. 6 Eq. 496, per Romilly, M.R.
(*a*) Maxted *v.* Paine (2nd action), L. R. 4 Ex. 203, per Bramwell, B.

you for certain shares, or I will find some person who will do it for me." And B., on the other hand, says, "On that day I will transfer to you certain shares and receive from you payment for them, or I will find somebody who will do it." That is the true explanation of the Stock Exchange contract (*b*). In this substitution, however, there is an admitted departure from the ordinary incidents of a contract, such as would have attached on a contract for the sale of shares if effected outside the walls of the Stock Exchange (*c*); for, at Common Law, the parties to a contract could not have been changed without express provision to that effect in the original agreement. It is in virtue of the practice and custom of the Stock Exchange that the jobber has the option of saying, "I will give to you the name of a person who has authorised me to give his name instead of my own, and who will perform my contract for me; and when that name is given to you, you shall have an opportunity of inquiring into that person's name, and you shall thereby satisfy yourself that the person I name is a person whom I may reasonably propose to you as the person who is to perform the contract which I have entered into with your broker, after which the contract which I have made will cease, and that he is a person whom it is reasonable for me to substitute for myself as contractor with you" (*d*). The opportunity for inquiry as to the substituted purchaser is furnished by a rule (*e*) which allows the vendor ten days from the passing of the ticket for completion of the contract; during that time the vendor may give notice to the original purchaser of objection to the proposed transferee as being incompetent to relieve him of liability, and if such objection be made good, the original purchaser will continue bound. In Grissell *v.* Bristowe the court held that where, according to the reasonable construction of the usage of the Stock Exchange, the first buyer, in availing himself of the right afforded by the

(*b*) Bowering *v.* Shepherd, L. R. 6 Q. B. 309, per Bramwell, B.; Davis *v.* Haycock, L. R. 4 Ex. 373.

(*c*) Grissell *v.* Bristowe, L. R. 4 C. P.

(*d*) Nickalls *v.* Merry, L. R. 7 H. L. 547.

(*e*) R. 99.

usage, and, therefore, implied by and comprehended within the terms of the original contract, of substituting another buyer for himself, was bound to give the name of a person willing and able to fulfil the contract; yet, if the seller, instead of objecting to the person so proposed, accepted such person as buyer and proceeded to transfer the shares to him, he took him for better or worse, and in so doing released the original buyer from all further liability; in other words, that there is no implied warranty of the sufficiency of the substituted buyer, or of the performance of the contract in its ulterior details by him, but simply an obligation, if he availed himself of his right of substituting a buyer, to provide one to whom the seller could not reasonably object; while, on the other hand, the right of the seller to object would be waived if, instead of availing himself of the opportunity of inquiring, and of his right to object, he at once accepts the party proposed as buyer and proceeds to transfer the shares to him (*f*). Accordingly, a man of straw may be objected to as transferee within the fifteen days, but if no objection be made he becomes a valid transferee (*g*), there being a sort of analogy in the ten days allowed for objection and the time for giving notice of dishonour of a promissory note (*h*).

From these general propositions we may pass to the respective rights and liabilities of jobbers, brokers, and principals considered separately; these rights and liabilities have been chiefly discussed in cases where the subject of transfer was shares in companies; accordingly, many of the succeeding remarks do not completely apply to other investment securities.

PART III.—SECTION IV.

Of Jobbers.

The contract of a jobber is to accept the shares or to furnish the name of a person able and willing to accept them; and the

(*f*) Maxted *v.* Paine, L. R. 6 Ex. 132, per Cockburn, C.J.

(*g*) *Ibid.*, L. R. 4 Ex. 208.

(*h*) *Ibid.*, L. R. 6 Ex. 132.

time limited by the rules of the Stock Exchange for the approval or rejection of the name of the ultimate purchaser applies only to the responsibility, and not to the personal capacity and willingness of the person whose name is given. If, therefore, the name given is that of one who had no legal capacity to accept the shares, though the time limited is allowed to go by without objection to him, the original contractor, the jobber, will remain liable. His engagement implies that a valid contract is to be transferred, and the rules of the Stock Exchange imply that the name of the person given as the ultimate purchaser of shares must be that of one able and willing to purchase, and they are not satisfied if the name given is that of a non-existing person, a lunatic, infant, married woman, or a person who has not given authority for the use of his name. In all such cases the jobber will be liable to indemnify the vendor for calls on shares which the latter is compelled to pay in consequence of the disability of the transferee named by the former, even though the transfer be without fraud on the part of the jobber (*i*); but, as between its own members, the Committee of the Stock Exchange require a purchasing broker to indemnify a selling broker who has been put upon the list of contributories by reason of the disability of the transferee, and this rule will be enforced notwithstanding two years have elapsed from the registration of the transferee under disability (*k*). In the absence of special contract, it is no part of the duty of a jobber to procure registration of the buyer he names as transferee, that duty is cast upon the purchaser (*l*); but a sale note indorsed "with registration guaranteed," leaves a jobber liable to indemnify a vendor who is compelled to pay calls through non-registration of the transferee. And this rule is not confined to members of the house (*m*).

A jobber, therefore, who, on the name-day, substitutes as

(*i*) Nickalls *v.* Merry, L. R. 7 H. L. 7 Ch. 751.
(*k*) Capper's Case, L. R. 3 Ch. 458.
(*l*) Merry *v.* Nickalls, *supra*; Sheppard *v.* Murphy Ir. R. 2 Eq. 414; Taylor *v.* Stray, 26 L. J. C. P. 288.
(*m*) Cruse *v.* Paine, L. R. 4 Ch. 441, 6 Eq. 641.

buyer a party to whom the seller cannot reasonably except is discharged from liability as soon as there is a transfer to and an acceptance and payment of the price by such party, and no action will thereafter lie against the jobber for specific performance or for indemnity, but the sole remedy is against the transferee (*n*). An unauthorised transfer may be validated by the transferee's acquiescence, so as to render him liable for calls, and, after the lapse of such a period as a month, it may be too late for the transferee to object that he had bought on account of others, and without a guarantee that he should be registered (*o*). Whatever be the real nature of a transaction, the jobber's mode of conducting his business is of a uniform character; thus, where there is a "continuation of account"—an arrangement whereby a vendor for a consideration paid by the purchaser enters into two contracts with the latter, viz., (1) for purchase of same amount of stock as he has sold for next settling-day (which practically cancels the subsisting contract); (2) for sale of same amount on next settling-day but one—the jobber with whom the contract is made is in precisely the same position towards the broker and his customer as if there had been no previous contract, and an original contract had been made with the jobber for the ensuing account (*p*). So, where shares are "taken in"—an arrangement whereby one member agrees with another to take shares from him or to deliver to him a name or names for shares for the then account, upon the terms that an equal number of shares are to be returned by the member so taking shares or a name or names received for them by him on the following account-day—no difference appears in the jobber's books distinguishing it from ordinary transactions (*q*). Any person who consents and is not under disability may be the "nominee" or individual substituted as transferee by the

(*n*) Grissell *v.* Bristowe, L. R. 4 C. P.; Coles *v.* Bristowe, L. R. 4 Ch. 3; Taylor *v.* Stray.

(*o*) Shepherd *v.* Gillespie, L. R. 3 Ch. 764, 5 Eq. 293; Hawkins *v.* Maltby, L. R. 3 Ch. 188.

(*p*) Lacey *v.* Hill; Crowley's Claim, L. R. 18 Eq. 182; Duncan *v.* Hill, L. R. 8 Ex. 242.

(*q*) Allen *v.* Graves, L. R. 5 Q. B. 478.

jobber; it is not necessary that the nominee should also be purchaser (*r*), and a ticket endorsed "J. G. pays," means that J. G. is to be applied to by the vendor's brokers for the purchase-money and a name, but it does not necessarily mean that he is to be the transferee (*s*).

Part III.—Section V.

Of Stockbrokers.

It is a fundamental rule of the Stock Exchange that its members in their dealings with each other are principals (*t*), and that the names of real principals outside the house are not disclosed until the name-day or completion of the contract (*u*). In law a stockbroker executing a commission for a third party is as much an agent as any other kind of broker; hence, the ultimate contract in a Stock Exchange transaction is not between the vendor's broker and the purchaser's broker, but between the vendor and purchaser named on the ticket, and the broker issuing the ticket, though liable to make good untrue representations, is not liable on the contract as purchaser at all (*x*). Stocks and shares are not goods, wares, or merchandise within the Seventeenth Section of the Statute of Frauds, consequently no agreement relating to them need be in writing under that section (*y*); there are perhaps, however, some few undertakings in the investment market which involve interests in land within the Fourth Section of the Statute; to bind parties contracting in the subject of such undertakings it would seem sufficient that there is a duly signed memorandum entered in the broker's book (*z*). A purchase or sale of shares made by one who is not a member of the Stock Exchange, and made through a

(*r*) Grissell *v.* Bristowe, L. R. 3 C. P. 135, per Byles, J.

(*s*) Allen *v.* Graves, *supra.*

(*t*) *Ante*, p. 521.

(*u*) Maxted *v.* Paine (2nd action), L. R. 6 Ex. 132.

(*x*) Merry *v.* Nickalls, L. R. 7 Ch. 733.

(*y*) Heseltine *v.* Siggers, 18 L. J. Ex. 166; Walker *v.* Bartlett, 18 C. B. 845.

(*z*) Thompson *v.* Gardiner, L. R. 1 C. P. D. 777.

broker who is a member of that body will be treated as made subject to the rules of the Stock Exchange (*a*); the acceptance of the transfer by the broker is the acceptance of the principal—as binding upon the principal as if he had been present and taken the transfers with his own hands—and the non-execution of the transfers by the purchaser after acceptance, being his own voluntary act, is immaterial (*b*).

In Equity an agent is entitled to be indemnified against liability as well as against loss incurred on behalf of his principal (*c*); thus, where bank shares were bought by the plaintiffs as brokers for the defendant on the 28th of August, 1856, for the account on the 15th September, and the bank stopped on the 3rd September and committed an act of bankruptcy on the 8th of that month, it was held, notwithstanding notice on the 11th of September, that defendants would not accept the shares and that plaintiffs were not to pay for same; that the plaintiffs, having subsequently accepted and paid for the shares, were entitled to recover from the defendant the purchase-money and their commission (*d*). So, a call paid by a vendor in pursuance of 8 & 9 Vict. c. 16, s. 6, and, according to the usage of the Stock Exchange, paid by the purchaser's broker, is recoverable by the latter from the purchaser (*e*); so, the difference which a vendor (*f*) or purchaser's (*g*) broker is compelled to pay to the purchaser or vendor's broker by reason of default in delivery or payment on the part of his principal is recoverable from such principal, and, notwithstanding Section 151 of the Companies Act (*h*), a purchaser is bound to indemnify a broker who pays for and takes a transfer of shares in a company after commencement of the winding-up (*i*). By the usage of the London Stock

(*a*) Nickalls *v.* Merry, L. R. 7 H. L. 530.

(*b*) Sheppard *v.* Murphy, Ir. R. 2 Eq. 569; Bowering *v.* Shepherd, L. R. 6 Q. B. 309.

(*c*) Lacey *v.* Hill; Crowley's Claim, L. R. 18 Eq. 182.

(*d*) Taylor *v.* Stray, 26 L. J. C. P. 185.

(*e*) Bayley *v.* Wilkins, 18 L. J. C. P. 273.

(*f*) Bayliffe *v.* Butterworth, 17 L. J. Ex. 78.

(*g*) Pollock *v.* Stables, 17 L. J. Q. B. 352.

(*h*) 25 & 26 Vict. c. 89.

(*i*) Chapman *v.* Shepherd, L. R. 2 C. P. 228; Whitehead *v.* Izod, L. R. 2 C. P. 228; Emmerson's Case, L. R. 1 Ch. 433.

Exchange, stockbrokers who with their own money have purchased stock for a principal are justified on the latter's death, bankruptcy, or insolvency in immediately selling out (*k*); and may claim against their principal's estate the balance due on the account subject to deduction for any loss that may have accrued before the next settling day; a principal is insolvent within this rule when he is unable to pay his debts in the ordinary course of business (*l*). A principal is liable to pay differences to his broker which have accrued on an account day when he directs a continuation till the next account day, but he is not liable to pay the difference which arises when the broker prematurely fails (*m*). Vendor's brokers who signed the sold note as principals were held liable to purchaser for purchase-money and interest of debentures transferred under an instrument forged by one of three co-trustees and ordered to be retransferred to the trustees (*n*); on the other hand, the broker of a vendor of forged scrip certificates was allowed to recover from his principal the sum paid by the purchasers, but not the sum which the committee of the Stock Exchange by subsequent resolution put upon the scrip and called upon the broker to pay to the purchasers (*o*).

It seems doubtful whether a broker has an implied authority to continue the account without his principal's express orders (*p*); under such orders a broker cannot be authorised to fill in a deed executed by a vendor in blank except by deed; if not filled in such blank deed is void (*q*), and a deed of transfer executed in blank as to the name of the purchaser is void, and cannot be subsequently filled in with the name of a sub-purchaser (*r*). A broker is not authorised in selling stock standing in the joint

(*k*) Lacey *v.* Hill; Scrimgeour's Claim, L. R. 8 Ch. 921; Lacey *v.* Hill; Crossley's Claim, L. R. 18 Eq. 182.

(*l*) *Ibid.*

(*m*) Duncan *v.* Hill, L. R. 8 Ex. 242.

(*n*) Roy. Exch. Ass. Co. *v.* Moore, 11 W. R. 592.

(*o*) Westropp *v.* Solomon, 19 L. J. C. P. 1.

(*p*) Sheppard *v.* Murphy, Ir. R. 2 Eq. 561, 562.

(*q*) Hawkins *v.* Maltby, L. R. 3 Ch. 194; Tayler *v.* Gt. Indian Peninsular Rly. Co., 4 De G. & J. 559.

(*r*) Hibblewhite *v.* M'Morine, 6 M. & W. 200. The deed is void as such, but blank transfers avail where a sealed instrument is unnecessary. See I. Lindley's Law of Partnership, 4th ed., 705—709.

names of trustees on an order of one trustee who undertakes to procure but fails in procuring the concurrence of his co-trustees (*s*), nor can a broker recover from a company the price of its own shares bought by its order, as such order is *ultra vires* (*t*).

The position of a broker is not that of a banker but of an agent into whose hands money is put to be applied in a particular way, and money paid to him can therefore be followed by the customer; *à fortiori* if the money be trust money of which trust the broker had notice (*u*). Accordingly, where a stockbroker had notice that his employer was only an agent, it was decided—(1) that, though the agent had authority to receive the purchase-money, payment by the stockbroker giving credit in account between them was no discharge as against the principal; (2) that the rules of the Stock Exchange apply only to sales on the Exchange and not to subsequent transactions; (3) that the rule that the stockbroker could only recognise his principal, and obey his directions as to the disposal of the proceeds of a sale could not be upheld as a reasonable custom (*x*).

Part III.—Section VI.

Of Principals Outside the House.

A purchaser of shares has a right, before he parts with his money, to have the shares transferred, and the vendor has a right, before he parts with the shares, to have the money paid (*y*), and the instrument of transfer executed by the purchaser, and he may insist on registration being made in the name of the new buyer or his nominee, as part of the transaction (*z*), or subsequently bring an action to have the contract specifically

(*s*) Leyton *v.* Sneyd, 2 Moo. 583.

(*t*) *In re* London, Hamburg & Continental Exchange Bank; Zulueta's Claim, L. R. 5 Ch. 444.

(*u*) *Ex parte* Cooke; *In re* Strachan, L. R. 4 Ch. D. 123.

(*x*) Pearson *v.* Scott, L. R. 9 Ch. D. 198.

(*y*) Maxted *v.* Paine (2nd action), L. R. 6 Ex. 132.

(*z*) Grissell *v.* Bristowe, L. R. 4 C. P. 50.

performed (*a*), laying as consideration the money paid by the ultimate purchaser, not that for which he himself sold to the jobber (*b*). Where an order to purchase for the account is given and executed, the purchaser is liable to become the transferee, though the company fail before the account day (*c*); and it is the duty of the vendor to execute the transfer after the commencement of the winding up of a company registered under the Companies' Act (*d*), and that, though the sanction of the liquidator be not procured, for under section 131 the transfer is not rendered illegal, but only void (*e*). By the execution of a transfer to the buyer named by the jobber, a vendor puts it out of his power to give the jobber the consideration which formed the basis of the contract; consequently, the purchaser can claim no indemnity from the jobber, unless, indeed, the buyer have no capacity to contract, for a contract of indemnity cannot be enforced against a party whose position has been unnecessarily deteriorated by acts or laches of the party seeking to enforce the same (*f*). In considering the question of indemnity, it is necessary to distinguish between the rights of a vendor as against a purchaser and as against the company:—"Whether A. shall remain on the list of shareholders or B. be substituted for him is a question between A. and the company—that is, between him and all the other shareholders of the company—but the question whether B. shall indemnify A. against the consequences of A. remaining a shareholder is a question solely between A. and B. with which the company—that is, the rest of the shareholders—have nothing to do" (*g*). Where the articles of association require a transfer to be executed by both parties, the Court has no power under sections 35, 98, of the Companies' Act to rectify the register by removing the transferor's name in

(*a*) Musgrave and Hart's Case, L. R. 5 Eq. 193.

(*b*) Hawkins *v.* Maltby, L. R. 3 Ch. 188.

(*c*) Bowring *v.* Shepherd, L. R. 6 Q. B. 309; Paine *v.* Hutchinson, L. R. 3 Ch. 388; 3 Eq. 257.

(*d*) 25 & 26 Vict. c. 89.

(*e*) Biderman *v.* Stone, L. R. 2 C. P. 504.

(*f*) Grissell *v.* Bristowe, L. R. 4 C. P. 51.

(*g*) Hodgkinson *v.* Kelly, L. R. 6 Eq. 496, per Romilly, M.R.

the absence of an execution of the transfer by the transferee (*h*). The mere fact that directors have a discretionary power of refusing registration will not invalidate a transfer executed before, but not left for registration until after the commencement of the winding up of a company (*i*); there is a clear distinction between a sale effected after a winding up order is made, and a sale where directors have power to refuse a transfer but do not exercise it (*k*).

There seems to be some doubt whether a purchaser of shares can avoid liability to indemnify a vendor by taking the purchase in some third person's name, to whom the transfer is made. It is settled that if the transferee be an infant, the vendor is entitled to indemnity from the real owner (*l*); the same right would seem to obtain wherever the transferee had no capacity to contract (*m*). But whether a similar rule should apply where the transferee is under no disability, is open to dispute. On the one hand, a court of law has decided that a vendor cannot recover indemnity from a purchaser who has had the shares transferred by deed to a nominee, from whom the purchaser received no consideration, but whose name he was authorised to use (*n*); on the other hand, a court of equity has held in a similar case (where the form of transfer does not appear) that the vendor is a trustee for the purchaser, and that the latter, as *cestui que trust*, is bound to indemnify the former (*o*). On the whole, it is, perhaps, more correct to regard the relation created by a Stock Exchange transaction as that of vendor and purchaser simply and absolutely (*p*), not that of trustee and *cestui que trust*, and therefore, in the absence of actual fraud, to allow the vendor no indemnity, except as against the actual transferee.

(*h*) Musgrave and Hart's Case, L. R. 5 Eq. 193.

(*i*) Evans *v.* Wood, L. R. 5 Eq. 9.

(*k*) Paine *v.* Hutchinson, L. R. 3 Ch. 388; 3 Eq. 257.

(*l*) Brown *v.* Black, L. R. 8 Ch. 939; 15 Eq. 363.

(*m*) *Ante*, pp. 525, 526.

(*n*) Torrington *v.* Lowe, L. R. 4 C. P. 26.

(*o*) Castellan *v.* Hobson, L. R. 10 Eq. 47.

(*p*) Sheppard *v.* Murphy, Ir. R. 544; *ante*, p. 524.

In the case of the British Government Stocks the right to accruing dividends is now expressly prescribed by statute (*q*), so that no question can be raised as to whether a transferee is or is not entitled. With regard to shares in companies, it has been recently decided that where nothing is said about the dividend, the same passes to the purchaser, though the purchase is not actually completed until after the dividend is declared. Thus, where sales of shares were made on the 1st and 21st August for the account on the 29th August, and on 8th August notice was issued of the half-yearly meeting to be held on 28th August, on which day the dividend for the half year ending 30th June (on which day the vendor was registered owner) was declared, the dividend was held to pass to the purchaser (*r*).

PART III.—SECTION VII.

Speculation and Time Bargains.

According to the usage and custom of the Stock Exchange, a person who buys or sells for the account (*s*) need not himself either actually receive or actually transfer the subject sold. Subject to the conditions we have previously mentioned (*t*), he may substitute some third person as buyer or seller in his place. A., for instance, may order his broker on one day to buy £1000 consols, and on another day to sell the same for the ensuing account; in such case A.'s contract to buy from B. can be fulfilled by A.'s contract to sell to C., and *vice versâ*, it being allowable for A. to name C. as buyer from B. By means of the above substitution, which may take place either with or without the intervention of jobbers, one contract may be practically made to cancel another, so as to entail no other right or liability (besides the broker's commission) than that of receiving or pay-

(*q*) *Ante*, p. 499.
(*r*) Black *v.* Homersham, L. R. 4 Ex. D. 24; De Gendre *v.* Kent, L. R. 4 Eq. 283.
(*s*) *Ante*, p. 518.
(*t*) *Ante*, p. 519, *et seq.*

ing the difference between the two prices at which the party contracting, respectively, bought and sold. Between two account days the prices of any given security may vary very considerably; that they will vary to some extent is a necessary result of the continuous changes to which the market is subject; hence the opportunity and temptation for speculating on the Stock Exchange. The object of the speculator is to buy cheaply and sell dearly and to pocket the difference, without having the subject bought and sold ever actually on his hands. In this respect, and also in the fact that his labour confers no intrinsic value on the commodity dealt in, he differs from the ordinary trader. It sometimes happens that the speculator is unable to balance one transaction against another—that, having bought or sold stock for the account, he finds it out of his power to sell or buy a corresponding amount of stock for the same account. Under these circumstances he may usually have the contract carried over to the next account day on payment of a certain consideration called "contango," if he be a buyer, and "backwardation," if he be a seller. A speculator who buys stock for an expected rise, so that he may subsequently re-sell at a higher price, is termed a "Bull;" a speculator who sells stock for an expected fall, so that he may subsequently re-buy at a lower price, is termed a "Bear." By properly manipulated bull and bear transactions a factitious value may be temporarily put upon any given security. A bull transaction on a large scale, by creating an excessive demand, raises, and a similar bear transaction, by creating an excessive supply, depresses the price of any given investment; but such fluctuation in an established security would not profit the body of bulls or bears, inasmuch as the equation of supply and demand would be readjusted on the account day without any change being effected as regards them. It is otherwise where speculation takes place in a security not yet allotted, for by a bull operation the price may be indefinitely raised above the fixed rate charged on allotment, and the bulls being the allottees and having tempted the public to invest by the apparent premium, will be able to secure that premium for themselves;

conversely, a bear operation may be resorted to to ruin a new undertaking, for by excessive sales the price of the shares may be so depressed below the fixed rate charged on allotment, that no one will apply to become an allottee (*u*).

Stock Exchange speculation, such as we have now described, is, in fact, gambling. Let us, therefore, trace briefly the course the law has pursued in regard to this matter. By the 7 Geo. II. c. 2 (the Stockjobbing Act), contracts for the payment of differences or in the nature of wagers relating to the price of the public stocks were prohibited under penalties and rendered null and void. This enactment, which was repealed by the 23 & 24 Vict. c. 28, did not extend to any shares or stocks, home or foreign, other than the British Government Securities (*x*). By 8 & 9 Vict. c. 109, s. 18, "all contracts or agreements, whether by parol or in writing, by way of gaming or wagering, shall be null and void, and no suit shall be brought or maintained in any court of law or equity, for recovering any sum of money or valuable thing alleged to be won upon any wager, or which shall have been deposited in the hands of any person to abide the event on which any wager shall have been made." Under this provision the prohibited contracts are rendered void but not illegal. A contract, therefore, constituting a bet cannot be enforced, but a contract collateral thereto is not affected (*y*); hence, A. cannot recover from B. the amount of a wager between them, but A. can recover from B. the amount of a wager lost by B. and paid by A. at B.'s request to the winner (*z*).

Again, money actually paid by the loser on a lost bet cannot be recovered, nor money deposited in the hands of a stakeholder to abide the event of a bet and actually paid over by him to the winner, unless, indeed, the loser before such payment give notice to the stakeholder not to part with the money, in which case

(*u*) London Stock Exchange Commissioners' Report, 1878, pp. 14—18.

(*x*) Williams *v.* Trye, 23 L. J. Ch. 860; Nicholson *v.* Gooch, 25 L. J. Q. B. 137.

(*y*) Thacker *v.* Hardy, 27 W. R. 158.

(*z*) Oldham *v.* Ramsden, 44 L. J. C. P. 309; Bubb *v.* Yelverton, 24 L. T. 822; Higginson *v.* Simpson, L. R. 2 C. P. D. 76; Beeston *v.* Beeston, L. R. 1 Ex. D. 13; *Ex parte* Pyke; *In re* Lister, L. R. 8 Ch. D. 754.

the stakeholder will be liable to refund the deposit (*a*). Applying these principles to Stock Exchange transactions, the following important results have been deduced as to the liability of a principal to indemnify his broker for money paid as differences; where a principal employs a broker on an agreement—

(1) That the broker shall buy and sell stock, but in no case claim more than differences—the transaction is within the 8 & 9 Vict., and the broker is debarred from recovering either what he has paid as differences or his commission;

(2) That the broker should make time bargains with the jobbers—the transaction between the broker and jobber is within the Act, and consequently as the broker has incurred no legal liability, he can make no claim against his principal;

(3) That the broker should make contracts with jobbers, and that the principal should never be called upon to pay or receive more than differences, if the broker succeeded—the transaction is not within the Act, and the principal is liable on an implied as merely collateral contract, to indemnify the broker and pay his commission (*b*).

Had the contract in this last instance been directly between the jobber and outside principal it would have stood on the same footing as that in (1), and could not be enforced by either party; but bargains between a jobber and broker are real bargains.

A time bargain, merely because it is one, is not invalid; but a time bargain so called (as in (2) *supra*), where the agreement is that differences only shall be payable, is as between the immediate parties invalid (*c*).

Except as above stated, a broker is entitled to recover indemnity and commission from his principal (*d*); and, on the other hand, a principal cannot bring an action for the specific performance of a contract to deliver stock; he can only recover as damages the difference between the price he agreed to pay

(*a*) Hampden *v.* Walsh, L. R. 1 Q. B. D. 189; Batson *v.* Newman, L. R. 1 C. P. D. 573; Diggle *v.* Higgs, L. R. 2 Ex. D. 422.

(*b*) Thacker *v.* Hardy, 27 W. R. 158.

(*c*) Grizewood *v.* Blane, 11 C. B. 538.

(*d*) Knight *v.* Cambers, 24 L. J. C. P. 121; Knight *v.* Fitch, 24 L. J. C. P. 122.

and the current price of the stock on the day the contract was broken (*e*).

Besides a purchase and resale, there is another mode of speculation by so-called "Options," which are either a "Put and Call," or a "Put" or a "Call." A "Put and Call" is an option to take or deliver stock at a fixed price at some future day, for which money is paid on the day the bargain is made. "A Put" is an option of delivering stock at a certain time, the price and date being fixed at the time the option money is given. "A Call" is an option of claiming stock at a certain time, the price and date being fixed at the time the option money is given. Option money is paid by the principal to his broker at the time the transaction is effected. If the price be the same at the expiration of the option-time as the price fixed, the person giving the money is allowed to declare whether he buys, sells, or does nothing (*f*). Puts, calls, and options were within the 7 Geo. II. c. 8; whether they are covered by the provisions of the present Betting Act seems to be a question that has not yet received judicial investigation (*g*).

(*e*) Cuddee *v.* Rutter, 5 Vin. Ab. 538, Pl. 21.

(*f*) Fenn on the Funds.

(*g*) London Stock Exchange Commissioners' Report, 1878, pp. 20—22.

APPENDIX.

APPENDIX (A).

THE CROSSED CHEQUES ACT, 1876.

39 & 40 VICT. c. 81.

An Act for Amending the Law relating to Crossed Cheques. A. D. 1876

[15*th August*, 1876.]

Be it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords spiritual and temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :

Short title

1. This Act may be cited as The Crossed Cheques Act, 1876.

Repeal of Acts in schedule.

2. The Acts described in the schedule to this Act are hereby repealed, but this repeal shall not affect any right, interest, or liability acquired or accrued before the passing of this Act.

3. In this Act—

Interpretation.

"Cheque" means a draft or order on a banker payable to bearer or to order on demand, and includes a warrant for payment of dividend on stock sent by post by the governor and company of the Bank of England or of Ireland, under the authority of any Act of Parliament for the time being in force :

"Banker" includes persons or a corporation or company acting as bankers.

General and special crossings.

4. Where a cheque bears across its face an addition of the words "and company," or any abbreviation thereof, between two parallel transverse lines, or of two parallel transverse lines simply, and either with or without the words "not negotiable," that addition shall be deemed a crossing, and the cheque shall be deemed to be crossed generally.

Where a cheque bears across its face an addition of the name of a banker, either with or without the words "not negotiable," that addition shall be deemed a crossing, and the cheque shall be deemed to be crossed specially, and to be crossed to that banker.

Crossing after issue.

5. Where a cheque is uncrossed, a lawful holder may cross it generally or specially.

Where a cheque is crossed generally, a lawful holder may cross it specially.

Where a cheque is crossed generally or specially, a lawful holder may add the words "not negotiable."

Where a cheque is crossed specially, the banker to whom it is crossed may again cross it specially to another banker, his agent for collection.

Crossing material part of cheque.

6. A crossing authorised by this Act shall be deemed a material part of the cheque, and it shall not be lawful for any person to obliterate or, except as authorised by this Act, to add to or alter the crossing.

Payment to banker only.

7. Where a cheque is crossed generally, the banker on whom it is drawn shall not pay it otherwise than to a banker.

Where a cheque is crossed specially, the banker on whom it is drawn shall not pay it otherwise than to the banker to whom it is crossed, or to his agent for collection.

Cheque crossed specially more than once not to be paid.

8. Where a cheque is crossed specially to more than one banker, except when crossed to an agent for the purpose of collection, the banker on whom it is drawn shall refuse payment thereof.

Protection of banker and drawer where cheque crossed specially.

9. Where the banker on whom a crossed cheque is drawn has in good faith and without negligence paid such cheque, if crossed generally to a banker, and if crossed specially to the banker to whom it is crossed, or his agent for collection being a banker, the banker paying the cheque and (in case such cheque has come to the hands of the payee) the drawer thereof shall respectively be entitled to the same rights, and be placed in the same position in all respects, as they would respectively have been entitled to and have been placed in if the amount of the cheque had been paid to and received by the true owner thereof.

Banker paying cheque contrary to provisions of Act to be liable to lawful owner.

10. Any banker paying a cheque crossed generally otherwise than to a banker, or a cheque crossed specially otherwise than to the banker to whom the same shall be crossed, or his agent for collection, being a banker, shall be liable to the true owner of the cheque for any loss he may sustain owing to the cheque having been so paid.

Relief of banker from responsibility in some cases.

11. Where a cheque is presented for payment, which does not at the time of presentation appear to be crossed, or to have had a crossing which has been obliterated, or to have been added to or altered otherwise than as authorised by this Act, a banker paying the cheque, in good faith and without negligence, shall not be responsible or incur any liability, nor shall the payment be questioned, by reason of the cheque having been crossed, or of the crossing having been obliterated, or having been added to or altered otherwise than as authorised by this Act, and of payment being made otherwise than to a banker or the banker to whom the cheque is or was crossed, or to his agent for collection being a banker (as the case may be).

Title of holder of cheque crossed specially.

12. A person taking a cheque crossed generally or specially, bearing in either case the words "not negotiable," shall not have and shall not be capable of giving a better title to the cheque than that which the person from whom he took it had.

But a banker who has in good faith and without negligence received payment for a customer of a cheque crossed generally or specially to himself shall not, in case the title to the cheque proves defective, incur any liability to the true owner of the cheque by reason only of having received such payment.

SCHEDULE.

ACTS REPEALED.

19 & 20 Vict. c. 25	An Act to amend the law relating to drafts on bankers.
21 & 22 Vict. c. 79	An Act to amend the law relating to cheques or drafts on bankers.

APPENDIX (B).

LOCKE KING'S ACT,* 1854.

17 & 18 VICT. C. 113.

An Act to Amend the Law relating to the Administration of the Estates of Deceased Persons.

[11*th August*, 1854.]

Whereas it is expedient that the law whereunder the real and personal assets of deceased persons are administered should be amended: Be it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords spiritual and temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

Heir or devisee of real estate not to clai payment o mortgage out of per- sonal asset

1. When any person shall, after the thirty-first day of December, one thousand eight hundred and fifty-four, die seised of or entitled to any estate or interest in any land or other hereditaments which shall at the time of his death be charged with the payment of any sum or sums of money by way of mortgage, and such person shall not, by his will or deed or other document, have signified any contrary or other intention, the heir or devisee to whom such land or hereditaments shall descend or be devised shall not be entitled to have the mortgage debt discharged or satisfied out of the personal estate or any other real estate of such person, but the land or hereditaments so charged shall, as between the different persons claiming through or under the deceased person, be primarily liable to the payment of all mortgage debts with which the same shall be charged, every part thereof, according to its value, bearing a proportionate

* So called from its author, J. Locke King, Esq.

part of the mortgage debts charged on the whole thereof: Provided always, that nothing herein contained shall affect or diminish any right of the mortgagee on such lands or hereditaments to obtain full payment or satisfaction of his mortgage debt either out of the personal estate of the person so dying as aforesaid or otherwise: Provided also, that nothing herein contained shall affect the rights of any person claiming under or by virtue of any will, deed, or document already made or to be made before the first day of January, one thousand eight hundred and fifty-five.

ot to ect rights aimed nder any ill, &c., efore 1st an., 1855.

2. This Act shall not extend to Scotland.

xtent of ct.

LOCKE KING'S AMENDMENT ACT, 1867.

30 & 31 VICT. c. 69.

An Act to explain the operation of an Act passed in the seventeenth and eighteenth years of her present Majesty, chapter one hundred and thirteen, intituled an Act to Amend the Law relating to the Administration of the Estates of Deceased Persons.

[25*th July*, 1867.]

Whereas by an Act passed in the seventeenth and eighteenth years of her present Majesty it is enacted, among other things, when any person shall, after the thirty-first of December one thousand eight hundred and fifty-four, die seised of or entitled to any estate or interest in any land or other hereditaments which shall at the time of his death be charged with the payment of any sum or sums of money by way of mortgage, and such person shall not, by his will or deed or other document, have signified any contrary or other intention, the heir or devisee to whom such land or hereditaments shall descend or be devised shall not be entitled to have the mortgage debt discharged or satisfied out of the personal estate or any other real estate of such person, but the land or hereditaments so charged shall, as between the different persons claiming through or under the deceased person, be primarily liable to the payment of all mortgage debts with which the same shall be charged, every part thereof, according to its value, bearing a proportionate part of the mortgage debts charged on the whole thereof:

And whereas doubts may exist upon the construction of the said Act, and it is expedient that such doubts should for the future be removed;

Be it therefore enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords spiritual and temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

n con- truing , gene- al direction or payment

1. In the construction of the will of any person who may die after the thirty-first day of December, one thousand eight hundred and sixty-seven, a general direction that the debts or that all the debts of the testator shall be paid out of his personal estate shall not

be deemed to be a declaration of an intention contrary to or other than the rule established by the said Act, unless such contrary or other intention shall be further declared by words expressly or by necessary implication referring to all or some of the testator's debts or debt charged by way of mortgage on any part of his real estate.

of debts on of personalty not to include mortgage debts, unless such intention expressly implied.

2. In the construction of the said Act and of this Act, the word "mortgage" shall be deemed to extend to any lien for unpaid purchase-money upon any lands or hereditaments purchased by a testator.

Interpretation of word "mortgage"

3. This Act shall not extend to Scotland.

Extent of Act.

LOCKE KING'S AMENDMENT ACT, 1877.

40 & 41 VICT. c. 34.

An Act to amend the Acts seventeenth and eighteenth Victoria, chapter one hundred and thirteen, and thirtieth and thirty-first Victoria, chapter sixty-nine. [*2nd August*, 1877.]

Be it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords spiritual and temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

1. The Acts mentioned in the schedule hereto shall, as to any testator or intestate dying after the thirty-first December, one thousand eight hundred and seventy-seven, be held to extend to a testator or intestate dying seised or possessed of or entitled to any land or other hereditaments of whatever tenure which shall at the time of his death be charged with the payment of any sum or sums of money by way of mortgage, or any other equitable charge, including any lien for unpaid purchase-money; and the devisee or legatee or heir shall not be entitled to have such sum or sums discharged or satisfied out of any other estate of the testator or intestate unless (in the case of a testator) he shall within the meaning of the said Acts have signified a contrary intention; and such contrary intention shall not be deemed to be signified by a charge of or direction for payment of debts upon or out of residuary real and personal estate or residuary real estate.

Application of Acts in schedule.

2. This Act shall not extend to Scotland.

Act not to extend to Scotland.

SCHEDULE.

17 & 18 Vict. c. 113 -	- An Act to amend the law relating to the administration of the estates of deceased persons.
30 & 31 Vict. c. 69	- An Act to explain the operation of the Act 17 & 18 Vict. c. 113.

APPENDIX (C).

THE BILLS OF SALE ACT, 1878.

41 & 42 VICT. c. 31.

A. D. 1878. *An Act to consolidate and amend the Law for preventing Frauds upon Creditors by secret Bills of Sale of Personal Chattels.*

[22*nd July*, 1878.]

Whereas it is expedient to consolidate and amend the law relating to bills of sale of personal chattels:

Be it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords spiritual and temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

Short title. 1. This Act may be cited for all purposes as The Bills of Sale Act, 1878.

Commencement. 2. This Act shall come into operation on the first day of January, one thousand eight hundred and seventy-nine, which day is in this Act referred to as the commencement of this Act.

Application of Act. 3. This Act shall apply to every bill of sale executed on or after the first day of January, one thousand eight hundred and seventy-nine (whether the same be absolute, or subject or not subject to any trust), whereby the holder or grantee has power, either with or without notice, and either immediately or at any future time, to seize or take possession of any personal chattels comprised in or made subject to such bill of sale.

Interpretation of terms. 4. In this Act the following words and expressions shall have the meanings in this section assigned to them respectively, unless there be something in the subject or context repugnant to such construction; (that is to say,)

The expression "bill of sale" shall include bills of sale, assignments, transfers, declarations of trust without transfer, inventories of goods with receipt thereto attached, or receipts for purchase-moneys of goods, and other assurances of personal chattels, and also powers of attorney, authorities, or licenses to take possession of personal chattels as security for any debt, and also any agreement, whether intended or not to be followed by the execution of any other instrument, by which a right in equity to any personal chattels, or to any charge or security thereon, shall be conferred, but shall not include the following documents; that is to say, assignments for the benefit of the creditors of the person making or giving the same, marriage settlements, transfers or assignments of any ship or vessel or any share thereof, transfers of goods in the ordinary course of business of any trade or calling, bills of sale of goods in foreign parts or at sea, bills of lading, India warrants, warehouse keepers'

certificates, warrants, or orders for the delivery of goods, or any other documents used in the ordinary course of business as proof of the possession or control of goods, or authorising or purporting to authorise, either by indorsement or by delivery, the possessor of such document to transfer or receive goods thereby represented :

The expression "personal chattels" shall mean goods, furniture, and other articles capable of complete transfer by delivery, and (when separately assigned or charged) fixtures and growing crops, but shall not include chattel interests in real estates, nor fixtures (except trade machinery as hereinafter defined), when assigned together with a freehold or leasehold interest in any land or building to which they are affixed, nor growing crops when assigned together with any interest in the land on which they grow, nor shares or interest in the stock, funds, or securities of any government, or in the capital or property of incorporated or joint stock companies, nor choses in action, nor any stock or produce upon any farm or lands which by virtue of any covenant or agreement or of the custom of the country ought not to be removed from any farm where the same are at the time of making or giving of such bill of sale :

Personal chattels shall be deemed to be in the "apparent possession" of the person making or giving a bill of sale, so long as they remain or are in or upon any house, mill, warehouse, building, works, yard, land, or other premises occupied by him, or are used and enjoyed by him in any place whatsoever, notwithstanding that formal possession thereof may have been taken by or given to any other person :

"Prescribed" means prescribed by rules made under the provisions of this Act.

Application of Act to trade machinery.

5. From and after the commencement of this Act trade machinery shall, for the purposes of this Act, be deemed to be personal chattels, and any mode of disposition of trade machinery by the owner thereof which would be a bill of sale as to any other personal chattels shall be deemed to be a bill of sale within the meaning of this Act.

For the purposes of this Act—

"Trade machinery" means the machinery used in or attached to any factory or workshop ;

1st. Exclusive of the fixed motive powers, such as the water wheels and steam engines, and the steam boilers, donkey engines, and other fixed appurtenances of the said motive powers ; and,

2nd. Exclusive of the fixed power machinery, such as the shafts, wheels, drums, and their fixed appurtenances, which transmit the action of the motive powers to the other machinery, fixed and loose ; and,

3rd. Exclusive of the pipes for steam, gas, and water in the factory or workshop.

The machinery or effects excluded by this

section from the definition of trade machinery shall not be deemed to be personal chattels within the meaning of this Act.

"Factory or workshop" means any premises on which any manual labour is exercised by way of trade, or for purposes of gain, in or incidental to the following purposes or any of them; that is to say,

(*a*) In or incidental to the making any article or part of an article; or

(*b*) In or incidental to the altering, repairing, ornamenting, finishing of any article; or

(*c*) In or incidental to the adapting for sale any article.

Certain instruments giving powers of distress to be subject to this Act.

6. Every attornment, instrument, or agreement, not being a mining lease, whereby a power of distress is given or agreed to be given by any person to any other person by way of security for any present, future, or contingent debt or advance, and whereby any rent is reserved or made payable as a mode of providing for the payment of interest on such debt or advance, or otherwise for the purpose of such security only, shall be deemed to be a bill of sale, within the meaning of this Act, of any personal chattels which may be seized or taken under such power of distress.

Provided, that nothing in this section shall extend to any mortgage of any estate or interest in any land, tenement, or hereditament which the mortgagee, being in possession, shall have demised to the mortgagor as his tenant at a fair and reasonable rent.

Fixtures or growing crops not to be deemed separately assigned when the land passes by the same instrument.

7. No fixtures or growing crops shall be deemed, under this Act, to be separately assigned or charged by reason only that they are assigned by separate words, or that power is given to sever them from the land or building to which they are affixed, or from the land on which they grow, without otherwise taking possession of or dealing with such land or building, or land, if by the same instrument any freehold or leasehold interest in the land or building to which such fixtures are affixed, or in the land on which such crops grow, is also conveyed or assigned to the same persons or person.

The same rule of construction shall be applied to all deeds or instruments, including fixtures or growing crops, executed before the commencement of this Act and then subsisting and in force, in all questions arising under any bankruptcy, liquidation, assignment for the benefit of creditors, or execution of any process of any court, which shall take place or be issued after the commencement of this Act.

Avoidance of unregistered bill of sale in certain cases.

8. Every bill of sale to which this Act applies shall be duly attested and shall be registered under this Act, within seven days after the making or giving thereof, and shall set forth the consideration for which such bill of sale was given, otherwise such bill of sale, as against all trustees or assignees of the estate of the person whose chattels, or any of them, are comprised in such bill of sale under the law relating to bankruptcy or liquidation, or under any assignment for the benefit of the creditors of such person, and also as against all sheriffs officers and other persons seizing any chattels comprised in

such bill of sale, in the execution of any process of any court authorising the seizure of the chattels of the person by whom or of whose chattels such bill has been made, and also as against every person on whose behalf such process shall have been issued, shall be deemed fraudulent and void so far as regards the property in or right to the possession of any chattels comprised in such bill of sale which, at or after the time of filing the petition for bankruptcy or liquidation, or of the execution of such assignment, or of executing such process (as the case may be), and after the expiration of such seven days, are in the possession or apparent possession of the person making such bill of sale (or of any person against whom the process has issued under or in the execution of which such bill has been made or given, as the case may be).

Avoidance of certain duplicate bills of sale

9. Where a subsequent bill of sale is executed within or on the expiration of seven days after the execution of a prior unregistered bill of sale, and comprises all or any part of the personal chattels comprised in such prior bill of sale, then, if such subsequent bill of sale is given as a security for the same debt as is secured by the prior bill of sale, or for any part of such debt, it shall, to the extent to which it is a security for the same debt or part thereof, and so far as respects the personal chattels or part thereof comprised in the prior bill, be absolutely void, unless it is proved to the satisfaction of the court having cognisance of the case that the subsequent bill of sale was *bonâ fide* given for the purpose of correcting some material error in the prior bill of sale, and not for the purpose of evading this Act.

Mode of registering bills of sale

10. A bill of sale shall be attested and registered under this Act in the following manner :

(1). The execution of every bill of sale shall be attested by a solicitor of the Supreme Court, and the attestation shall state that before the execution of the bill of sale the effect thereof has been explained to the grantor by the attesting solicitor :

(2). Such bill, with every schedule or inventory thereto annexed or therein referred to, and also a true copy of such bill and of every such schedule or inventory, and of every attestation of the execution of such bill of sale, together with an affidavit of the time of such bill of sale being made or given, and of its due execution and attestation, and a description of the residence and occupation of the person making or giving the same (or in case the same is made or given by any person under or in the execution of any process, then a description of the residence and occcupation of the person against whom such process issued), and of every attesting witness to such bill of sale, shall be presented to and the said copy and affidavit shall be filed with the registrar within seven clear days after the making or giving of such bill of sale, in like manner as a warrant of attorney in any personal action given by a trader is now by law required to be filed :

(3). If the bill of sale is made or given subject to any defeasance or condition, or declaration of trust not contained in the

body thereof, such defeasance, condition, or declaration shall be deemed to be part of the bill, and shall be written on the same paper or parchment therewith before the registration, and shall be truly set forth in the copy filed under this Act therewith and as part thereof, otherwise the registration shall be void.

In case two or more bills of sale are given, comprising in whole or in part any of the same chattels, they shall have priority in the order of the date of their registration respectively as regards such chattels.

A transfer or assignment of a registered bill of sale need not be registered.

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11. The registration of a bill of sale, whether executed before or after the commencement of this Act, must be renewed once at least every five years, and if a period of five years elapse from the registration or renewed registration of a bill of sale without a renewal or further renewal (as the case may be), the registration shall become void.

The renewal of a registration shall be effected by filing with the registrar an affidavit stating the date of the bill of sale and of the last registration thereof, and the names, residences, and occupations of the parties thereto as stated therein, and that the bill of sale is still a subsisting security.

Every such affidavit may be in the form set forth in the Schedule (A) to this Act annexed.

A renewal of registration shall not become necessary by reason only of a transfer or assignment of a bill of sale.

Form of register.

12. The registrar shall keep a book (in this Act called "the register") for the purposes of this Act, and shall, upon the filing of any bill of sale or copy under this Act, enter therein in the form set forth in the Second Schedule (B) to this Act annexed, or in any other prescribed form, the name, residence, and occupation of the person by whom the bill was made or given (or in case the same was made or given by any person under or in the execution of process, then the name, residence, and occupation of the person against whom such process was issued, and also the name of the person or persons to whom or in whose favour the bill was given), and the other particulars shown in the said schedule or to be prescribed under this Act, and shall number all such bills registered in each year consecutively, according to the respective dates of their registration.

Upon the registration of any affidavit of renewal the like entry shall be made, with the addition of the date and number of the last previous entry relating to the same bill, and the bill of sale or copy originally filed shall be thereupon marked with the number affixed to such affidavit of renewal.

The registrar shall also keep an index of the names of the grantors of registered bills of sale with reference to entries in the register of the bills of sale given by each such grantor.

Such index shall be arranged in divisions corresponding with the letters of the alphabet, so that all grantors whose surnames begin with the same letter (and no others) shall be comprised in one

division, but the arrangement within each such division need not be strictly alphabetical.

The registrar.

13. The masters of the Supreme Court of Judicature attached to the Queen's Bench Division of the High Court of Justice, or such other officers as may for the time being be assigned for this purpose under the provisions of the Supreme Court of Judicature Acts, 1873 and 1875, shall be the registrar for the purposes of this Act, and any one of the said masters may perform all or any of the duties of the registrar.

36 & 37 Vic c. 66.

38 & 39 Vic c. 77.

Rectification of register.

14. Any judge of the High Court of Justice, on being satisfied that the omission to register a bill of sale or an affidavit of renewal thereof within the time prescribed by this Act, or the omission or mis-statement of the name, residence, or occupation of any person, was accidental or due to inadvertence, may in his discretion order such omission or mis-statement to be rectified by the insertion in the register of the true name, residence, or occupation, or by extending the time for such registration on such terms and conditions (if any) as to security, notice by advertisement or otherwise, or as to any other matter, as he thinks fit to direct.

Entry of satisfaction

15. Subject to and in accordance with any rules to be made under and for the purposes of this Act, the registrar may order a memorandum of satisfaction to be written upon any registered copy of a bill of sale, upon the prescribed evidence being given that the debt (if any) for which such bill of sale was made or given has been satisfied or discharged.

Copies may be taken, &

16. Any person shall be entitled to have an office copy or extract of any registered bill of sale, and affidavit of execution filed therewith, or cop thereof, and of any affidavit filed therewith, if any, or registeredy affidavit of renewal, upon paying for the same at the like rate as for office copies of judgments of the High Court of Justice, and any copy of a registered bill of sale, and affidavit purporting to be an office copy thereof, shall in all courts and before all arbitrators or other persons, be admitted as *primâ facie* evidence thereof, and of the fact and date of registration as shown thereon. Any person shall be entitled at all reasonable times to search the register and every registered bill of sale, upon payment of one shilling for every copy of a bill of sale inspected; such payment shall be made by a judicature stamp.

Affidavits.

17. Every affidavit required by or for the purposes of this Act may be sworn before a master of any division of the High Court of Justice, or before any commissioner empowered to take affidavits in the Supreme Court of Judicature.

Whoever wilfully makes or uses any false affidavit for the purposes of this Act shall be deemed guilty of wilful and corrupt perjury.

Fees.

18. There shall be paid and received in common law stamps the following fees, viz.:

On filing a bill of sale	2s.
On filing the affidavit of the execution of a bill of sale	2s.
On the affidavit used for the purpose of re-registering a bill of sale (to include the fee for filing)	5s.

19. Section Twenty-six of the Supreme Court of Judicature Act, (Consolidation

fees under 38 & 39 Vict. c. 77, s. 26.

1875, and any enactments for the time being in force amending or substituted for that section, shall apply to fees under this Act, and an order under that section may, if need be, be made in relation to such fees accordingly.

Order and disposition.

32 & 33 Vict. c. 71.

20. Chattels comprised in a bill of sale which has been and continues to be duly registered under this Act shall not be deemed to be in the possession, order, or disposition of the grantor of the bill of sale within the meaning of the Bankruptcy Act, 1869.

Rules.

36 & 37 Vict. c. 66.

38 & 39 Vict. c. 77.

21. Rules for the purposes of this Act may be made and altered from time to time by the like persons and in the like manner in which rules and regulations may be made under and for the purposes of the Supreme Court of Judicature Acts, 1873 and 1875.

Time for registration.

22. When the time for registering a bill of sale expires on a Sunday, or other day on which the registrar's office is closed, the registration shall be valid if made on the next following day on which the office is open.

Repeal of Acts.

17 & 18 Vict. c. 36.

23. From and after the commencement of this Act, the Bills of Sale Act, 1854, and the Bills of Sale Act, 1866, shall be repealed: Provided that (except as is herein expressly mentioned with respect to construction and with respect to renewal of registration) nothing in this Act shall affect any bill of sale executed before the commencement of this Act, and as regards bills of sale so executed the Acts hereby repealed shall continue in force.

29 & 30 Vict. c. 96.

Extent of Act.

Any renewal after the commencement of this Act, of the registration of a bill of sale executed before the commencement of this Act, and registered under the Acts hereby repealed, shall be made under this Act in the same manner as the renewal of a registration made under this Act.

Section 11.

24. This Act shall not extend to Scotland or to Ireland.

SCHEDULE A.

I [*A.B.*] of do swear that a bill of sale, bearing date the day of 18 [*insert the date of the bill*], and made between [*insert the names and descriptions of the parties in the original bill of sale*], and which said bill of sale [*or*, and a copy of which said bill of sale, *as the case may be*] was registered on the day of 18 [*insert date of registration*], is still a subsisting security.

Section 12.

Sworn, &c.

SCHEDULE B.

Satisfaction entered.	No.	By whom given (or against whom process issued).			To whom given.	Nature of instrument.	Date.	Date of registration.	Date of registration of affidavit of renewal.
		Name.	Residence.	Occupation.					

APPENDIX D.

THE FACTORS ACTS.

4 GEO. IV. c. 83.

An Act for the better Protection of the Property of Merchants and others, who may hereafter enter into Contracts or Agreements in relation to Goods, Wares, or Merchandises intrusted to Factors or Agents.

[18*th July*, 1823.]

Whereas it has been found that the law, as it now stands, relating to goods shipped in the names of persons who are not the actual proprietors thereof, and to the deposit or pledge of goods, affords great facility to fraud, produces frequent litigation, and proves, in its effects, highly injurious to the interests of commerce in general: Be it therefore enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords spiritual and temporal, and Commons, in this present Parliament assembled, and by the authority of the same, that from and after the passing of this Act, any person or persons intrusted, for the purpose of sale, with any goods, wares, or merchandise, and by whom such goods, wares, or merchandise shall be shipped in his, her, or their own name or names, or in whose name or names any goods, wares, or merchandise shall be shipped by any other person or persons, shall be deemed and taken to be the true owner or owners thereof, so far as to entitle the consignee or consignees of such goods, wares, and merchandise, to a lien thereon, in respect of any money or negotiable security or securities advanced or given by such consignee or consignees to or for the use of the person or persons in whose name or names such goods, wares, or merchandise shall be shipped, or in respect of any money or negotiable security or securities received by him, her, or them to the use of such consignee or consignees, in the like manner to all intents and purposes as if such person or persons was or were the true owner or owners of such goods, wares, and merchandise; provided such consignee or consignees shall not have notice, by the bill of lading for the delivery of such goods, wares, or merchandise, or otherwise, at or before the time of any advance of such money or negotiable security, or of such receipt of money or negotiable security, in respect of which such lien is claimed, that such person or persons so shipping in his, her, or their own name or names, or in whose name or names any goods, wares, or merchandise shall be shipped by any person or persons, is or are not the actual and *bonâ fide* owner or owners, proprietor or proprietors of such goods, wares, and merchandise so shipped as aforesaid, any law, usage, or custom to the contrary thereof in anywise notwithstanding: Provided also, that the person or persons in whose name or names any such goods, wares, or merchandise are so shipped as aforesaid, shall be taken for

Persons in whose names goods shall be shipped, shall be deemed to be the true owners, so as to entitl consignees to a lien thereon in respect of their advances, or o money or negotiable securities received by the shipper to the use of the consignees, provided the consignees have no notice that the consignors are not the actual proprietors of such property.

the purposes of this Act to have been intrusted therewith, unless the contrary thereof shall appear or be shown in evidence by any person disputing such fact.

Any person may take goods or bill of lading in deposit from any consignee; but such person shall not acquire any further right than the consignee possessed.

II. And be it further enacted, That it shall be lawful to and for any person or persons, body or bodies politic or corporate, to accept and take any goods, wares, or merchandise, or the bill or bills of lading for the delivery thereof, in deposit or pledge, from any consignee or consignees thereof, but then and in that case such person or persons, body or bodies politic or corporate shall acquire no further or other right, title, or interest, in or upon or to the said goods, wares, or merchandise, or any bill of lading for the delivery thereof, than was possessed or could or might have been enforced by the said consignee or consignees at the time of such deposit or pledge as a security as aforesaid; but such person or persons, body or bodies politic or corporate, shall and may acquire, possess, and enforce such right, title, or interest as was possessed and might have been enforced by such consignee or consignees, at the time of such deposit or pledge as aforesaid; any rule of law, usage, or custom to the contrary notwithstanding.

Right of the true owner to follow his goods while in the hands of his agent, or of his assignees in case of bankruptcy, or to recover them from assignees, &c., upon paying his advances secured upon them, &c.

III. Provided always, That nothing herein contained shall be deemed, construed, or taken to deprive or prevent the true owner or owners, proprietor or proprietors of such goods, wares, or merchandise, from demanding and recovering the same from his, her, or their factor or factors, agent or agents, before the same shall have been so deposited or pledged, or from the assignee or assignees of such factor or factors, agent or agents, in the event of his, her, or their bankruptcy; nor to prevent any such owner or owners, proprietor or proprietors, from demanding or recovering of and from any person or persons, or of or from the assignees of any person or persons in case of his or her bankruptcy, or of or from any body or bodies politic or corporate, such goods, wares, or merchandise, so consigned, deposited, or pledged, upon repayment of the money, or on restoration of the negotiable security or securities, or on payment of a sum of money equal to the amount of such security or securities, for which money or negotiable security or securities such person or persons, his, her, or their assignee or assignees, or such body or bodies politic or corporate, may be entitled to any lien upon such goods, wares, or merchandise; nor to prevent the said owner or owners, proprietor or proprietors, from recovering of and from such person or persons, body or bodies politic or corporate, any balance or sum of money remaining in his, her, or their hands, as the produce of the sale of such goods, wares, or merchandise, after deducting thereout the amount of the money or negotiable security or securities so advanced or given upon the security thereof as aforesaid: Provided always, that in case of the bankruptcy of such factor or agent, the owner of the goods so pledged and redeemed as aforesaid shall be held to have discharged *pro tanto* the debt due by him to the bankrupt's estate.

6 Geo. IV. c. 94.

An Act to alter and amend an Act for the better Protection of the Property of Merchants and others, who may hereafter enter into Contracts or Agreements in relation to Goods, Wares, or Merchandise intrusted to Factors or Agents.

[*5th July*, 1825.]

Whereas an Act passed in the fourth year of the reign of His present Majesty, intituled "an Act for the better Protection of the Property of Merchants and others, who may hereafter enter into Contracts or Agreements in relation to Goods, Wares, or Merchandise intrusted to Factors or Agents," And whereas it is expedient to alter and amend the said Act, and to make further provisions in relation to such contracts or agreements as hereinafter provided: Be it therefore enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords spiritual and temporal, and Commons, in this present Parliament assembled, and by the authority of the same, that from and after the passing of this Act, any person or persons intrusted for the purpose of consignment or of sale, with any goods, wares, or merchandise, and who shall have shipped such goods, wares, or merchandise in his, her, or their own name or names, and any person or persons in whose name or names any goods, wares, or merchandise shall be shipped by any other person or persons, shall be deemed and taken to be the true owner or owners thereof, so far as to entitle the consignee or consignees of such goods, wares, and merchandise to a lien thereon, in respect of any money or negotiable security or securities advanced or given by such consignee or consignees to or for the use of the person or persons in whose name or names such goods, wares, or merchandise shall be shipped, or in respect of any money or negotiable security or securities received by him, her, or them, to the use of such consignee or consignees, in the like manner to all intents and purposes as if such person or persons was or were the true owner or owners of such goods, wares, and merchandise; provided such consignee or consignees shall not have notice by the bill of lading for the delivery of such goods, wares, or merchandise, or otherwise, at or before the time of any advance of such money or negotiable security or of such receipt of money or negotiable security in respect of which such lien is claimed, that such person or persons so shipping in his, her, or their own name or names, or in whose name or names any goods, wares, or merchandise shall be shipped by any person or persons, is or are not the actual and *bonâ fide* owner or owners, proprietor or proprietors of such goods, wares, and merchandise so shipped as aforesaid, any law, usage, or custom to the contrary thereof in anywise notwithstanding: Provided also, that the person or persons in whose name or names any such goods, wares, or merchandise are so shipped as aforesaid, shall be taken for the purposes of this Act, to have been intrusted therewith for the purpose of consignment or of sale, unless the contrary thereof shall be made to appear by bill of discovery or otherwise, or be made to appear, or be shown in evidence by any person disputing such fact.

4 Geo. 4, c. 83.

Factors or agents having goods or merchandise in the possession shall be deemed to be the true owners, so as to give validity to contracts with persons dealing *bona fide* upon the faith of such property.

Persons in possession of bills of lading, &c., to be the owner so far as to make valid contracts.

II. And be it further enacted, That from and after the first day of October, one thousand eight hundred and twenty-six, any person or persons intrusted with and in possession of any bill of lading, India warrant, dock warrant, warehouse keeper's certificate, wharfinger's certificate, warrant or order for delivery of goods, shall be deemed and taken to be the true owner or owners of the goods, wares, and merchandise described and mentioned in the said several documents hereinbefore stated respectively, or either of them, so far as to give validity to any contract or agreement thereafter to be made or entered into by such person or persons so intrusted and in possession as aforesaid, with any person or persons, body or bodies politic or corporate, for the sale or disposition of the said goods, wares, and merchandise, or any part thereof, or for the deposit or pledge thereof, or any part thereof, as a security for any money or negotiable instrument or instruments advanced or given by such person or persons, body or bodies politic or corporate, upon the faith of such several documents or either of them; provided such person or persons, body or bodies politic or corporate, shall not have notice by such documents or either of them, or otherwise, that such person or persons so intrusted as aforesaid is or are not the actual and *bonâ fide* owner or owners, proprietor or proprietors of such goods, wares, or merchandise so sold or deposited or pledged as aforesaid; any law, usage, or custom to the contrary thereof in anywise notwithstanding.

No person to acquire a security upon goods in the hands of an agent for an antecedent debt, beyond the amount of the agent's interest in the goods.

III. Provided always, and be it further enacted, That in case any person or persons, body or bodies politic or corporate, shall, after the passing of this Act, accept and take any such goods, wares, or merchandise in deposit or pledge from any such person or persons so in possession and intrusted as aforesaid, without notice as aforesaid, as a security for any debt or demand due and owing from such person or persons so intrusted and in possession as aforesaid, to such person or persons, body or bodies politic or corporate, before the time of such deposit or pledge, then and in that case such person or persons, body or bodies politic or corporate, so accepting or taking such goods, wares, or merchandise in deposit or pledge, shall acquire no further or other right, title, or interest in or upon or to the said goods, wares, or merchandise, or any such document as aforesaid than was possessed, or could or might have been enforced by the said person or persons so possessed and intrusted as aforesaid, at the time of such deposit or pledge as a security as last aforesaid; but such person or persons, body or bodies politic or corporate, so accepting or taking such goods, wares, or merchandise in deposit or pledge, shall and may acquire, possess, and enforce such right, title, or interest as was possessed and might have been enforced by such person or persons so possessed and intrusted as aforesaid; any rule of law, usage, or custom to the contrary notwithstanding.

Persons may contract with known agents in the ordinary course of business, or out of that

IV. And be it further enacted, That from and after the first day of October, one thousand eight hundred and twenty-six, it shall be lawful to and for any person or persons, body or bodies politic or corporate, to contract with any agent or agents, intrusted with any goods, wares, or merchandise or to whom the same may be consigned, for the purchase of any such goods, wares, and merchandise, and to

receive the same of and pay for the same to such agent or agents; and such contract and payment shall be binding upon and good against the owner of such goods, wares, and merchandise, notwithstanding such person or persons, body or bodies politic or corporate, shall have notice that the person or persons making and entering into such contract, or on whose behalf such contract is made or entered into, is an agent or agents; provided such contract and payment be made in the usual and ordinary course of business, and that such person or persons, body or bodies politic or corporate, shall not, when such contract is entered into or payment made, have notice that such agent or agents is or are not authorised to sell the said goods, wares, and merchandise, or to receive the said purchase money.

course if within the agent's authority.

V. And be it further enacted, That from and after the passing of this Act, it shall be lawful to and for any person or persons, body or bodies politic or corporate, to accept and take any such goods, wares, or merchandise, or any such document as aforesaid, in deposit or pledge from any such factor or factors, agent or agents, notwithstanding such person or persons, body or bodies politic or corporate, shall have such notice as aforesaid, that the person or persons making such deposit or pledge is or are a factor or factors, agent or agents; but then and in that case such person or persons, body or bodies politic or corporate, shall acquire no further or other right, title, or interest in or upon or to the said goods, wares, or merchandise, or any such document as aforesaid, for the delivery thereof, than was possessed or could or might have been enforced by the said factor or factors, agent or agents, at the time of such deposit or pledge as a security as last aforesaid; but such person or persons, body or bodies politic or corporate, shall and may acquire, possess, and enforce such right, title, or interest as was possessed and might have been enforced by such factor or factors, agent or agents, at the time of such deposit or pledge as aforesaid; any rule or law, usage or custom to the contrary notwithstanding.

Persons ma accept and take goods &c., in pled from know agents; bu in that cas shall acqui no further interest tha was posses ed by such agent at t time of suc pledge.

VI. Provided always, and be it enacted, That nothing herein contained shall be deemed, construed, or taken to deprive or prevent the true owner or owners, or proprietor or proprietors, of such goods, wares, or merchandise, from demanding and recovering the same from his, her, or their factor or factors, agent or agents, before the same shall have been so sold, deposited, or pledged, or from the assignee or assignees of such factor or factors, agent or agents, in the event of his, her, or their bankruptcy; nor to prevent such owner or owners, proprietor or proprietors, from demanding or recovering of and from any person or persons, body or bodies politic or corporate, the price or sum agreed to be paid for the purchase of such goods, wares, or merchandise, subject to any right of set-off on the part of such person or persons, body or bodies politic or corporate, against such factor or factors, agent or agents; not to prevent such owner or owners, proprietor or proprietors, from demanding or recovering of and from such person or persons, body or bodies politic or corporate, such goods, wares, or merchandise so deposited or pledged, upon repayment of the money, or on restoration of the negotiable instrument or instruments so advanced or given on the

Right of t true owne to follow goods whi in the han of his agen or of his assignee, case of ban ruptcy, or recover th from a thi person, up paying his advances secured upon them

security of such goods, wares, or merchandise as aforesaid, by such person or persons, body or bodies politic or corporate, to such factor or factors, agent or agents ; and upon payment of such further sum of money, or on restoration of such other negotiable instrument or instruments (if any) as may have been advanced or given by such factor or factors, agent or agents, to such owner or owners, proprietor or proprietors, or on payment of a sum of money equal to the amount of such instrument or instruments ; nor to prevent the said owner or owners, proprietor or proprietors, from recovering of and from such person or persons, body or bodies politic or corporate any balance or sum of money remaining in his, her, or their hands, as the produce of the sale of such goods, wares, or merchandise, after deducting thereout the amount of the money or negotiable instrument or instruments so advanced or given upon the security thereof as aforesaid : Provided always, that in case of the bankruptcy of any such factor or agent, the owner or owners, proprietor or proprietors of the goods, wares, and merchandise so pledged and redeemed as aforesaid, shall be held to have discharged *pro tanto* the debt due by him, her, or them to the estate of such bankrupt.

In case of bankruptcy of factor, the owner of goods so pledged and redeemed shall be held to have discharged *pro tanto* the debt due from him to bankrupt.

[*VII. And whereas it is expedient to prevent the improper deposit or pledge of goods, wares, or merchandise, or the documents relating to such goods, wares, or merchandise, intrusted or consigned as aforesaid to factors or agents ; be it therefore enacted, That if any such factor or agent, at any time from and after the said first day of October one thousand eight hundred and twenty-six, shall deposit or pledge any goods, wares, or merchandise, intrusted or consigned as aforesaid to his or her care or management, or any of the said several documents so possessed or intrusted as aforesaid, with any person or persons, body or bodies politic or corporate, as a security for any money or negotiable instrument or instruments borrowed or received by such factor or agent, and shall apply or dispose thereof to his or her own use, in violation of good faith, and with intent to defraud the owner or owners of any such goods, wares, or merchandise, every person so offending, in any part of the United Kingdom, shall be deemed and taken to be guilty of a misdemeanor, and being convicted thereof according to law, shall be sentenced to transportation for any term not exceeding fourteen years, or to receive such other punishment as may by law be inflicted on persons guilty of a misdemeanor, and as the Court before whom such offender may be tried and convicted shall adjudge.]

Agents fraudulently pledging the goods of their principals deemed guilty of a misdemeanor ;

may be transported not exceeding fourteen years, &c.

[VIII. Provided always, and be it further enacted, That nothing herein contained shall extend or be construed to extend to subject any person or persons to prosecution, for having deposited or pledgd any goods, wares, or merchandise so intrusted or consigned to him, her, or them, provided the same shall not be made a security for or subject to the payment of any greater sum or sums of money than at the time of such deposit or pledge was justly due and owing to such person or persons from his, her, or their principal or principals :

Not to extend to cases in which the agent has not made the goods a security for any sum beyond the extent of his own lien.

* S. 7—10 are repealed as to England (7 & 8 Geo. IV. c. 27), and Ireland (9 Geo. IV. c. 53), and are now replaced by 24 & 25 Vict. c. 96, ss. 75—79, 85, 86.

Provided nevertheless, that the acceptance of bills of exchange by such person or persons drawn by or on account of such principal or principals, shall not be considered as constituting any part of such debt so due and owing from such principal or principals within the true intent and meaning of this Act, so as to excuse the consequence of such a deposit or pledge, unless such bills shall be paid when the same shall respectively become due.]

Acceptance of bills by a agent not t create a lie so as to ex- cuse the pledge, un- less the bil are paid when due.

[IX. Provided also, and be it further enacted, That the penalty by this Act annexed to the commission of any offence intended to be guarded against by this Act, shall not extend or be construed to extend to any partner or partners or other person or persons of or belonging to any partnership, society, or firm, except only such partner or partners, person or persons, as shall be accessory or privy to the commission of such offence; anything herein contained to the contrary in anywise notwithstanding.]

Act not to extend to partners no being privy to the offence.

[X. Provided also, and be it further enacted, That nothing in this Act contained, nor any proceeding, conviction, or judgment to be had or taken thereupon, shall hinder, prevent, lessen, or impeach any remedy at law or in equity, which any party or parties aggrieved by any offence against this Act might or would have had or have been entitled to against any such offender if this Act had not been made, nor any proceeding, conviction, or judgment had been had or taken thereupon; but nevertheless, the conviction of any offender against this Act shall not be received in evidence in any action at law or suit in equity against such offender: And further, that no person shall be liable to be convicted by any evidence whatever as an offender against this Act, in respect of any Act, matter, or thing done by him, if he shall at any time previously to his being indicted for such offence have disclosed any such matter or thing on oath under or in consequence of any compulsory process of any Court of law or equity, in any action, suit, or proceeding in or to which he shall have been a party, and which shall have been *bonâ fide* instituted by the party aggrieved by the Act, matter, or thing which shall have been committed by such offender aforesaid.]

Act not to lessen any remedy at law or equity which the party ag- grieved ma be entitled to adopt.

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5 & 6 Vict. c. 39.

An Act to Amend the Law relating to Advances bonâ fide *made to Agents Intrusted with Goods.*

[30*th June*, 1842.]

Whereas by an Act passed in the sixth year of the reign of his late Majesty King George the Fourth, intituled An Act to alter and amend an Act for the better Protection of the Property of Merchants and others who may hereafter enter into Contracts or Agreements in relation to Goods, Wares, and Merchandise intrusted to Factors or Agents—validity is given, under certain circumstances, to contracts or agreements made with persons intrusted with and in possession of the documents of title to goods and merchandise, and consignees making advances to persons abroad who are intrusted with any goods and merchandise are entitled, under certain circumstances, to a lien

6 Geo. 4, c. 94.

thereon, but under the said Act and the present state of the law advances cannot safely be made upon goods or documents to persons known to have possession thereof as agents only: And whereas by the said Act it is amongst other things further enacted, "That it shall be lawful to and for any person to contract with any agent intrusted with any goods, or to whom the same may be consigned, for the purchase of any such goods, and to receive the same of and to pay for the same to such agent, and such contract and payment shall be binding upon and good against the owner of such goods, notwithstanding such person shall have notice that the person making such contract, or on whose behalf such contract is made, is an agent; provided such contract or payment be made in the usual and ordinary course of business, and that such person shall not, when such contract is entered into or payment made, have notice that such agent is not authorised to sell the same, or to receive the said purchase-money:" And whereas advances on the security of goods and merchandise have become an usual and ordinary course of business, and it is expedient and necessary that reasonable and safe facilities should be afforded thereto, and that the same protection and validity should be extended to *bonâ fide* advances upon goods and merchandise as by the said recited Act is given to sales, and that owners intrusting agents with the possession of goods and merchandise, or of documents of title thereto, should in all cases where such owners by the said recited Act or otherwise would be bound by a contract or agreement of sale be in like manner bound by any contract or agreement of pledge or lien for any advances *bonâ fide* made on the security thereof: And whereas much litigation has arisen on the construction of the said recited Act, and the same does not extend to protect exchanges of securities *bonâ fide* made, and so much uncertainty exists in respect thereof that it is expedient to alter and amend the same, and to extend the provisions thereof, and to put the law on a clear and certain basis: Be it therefore enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords spiritual and temporal, and Commons, in this present Parliament assembled, and by the authority of the same, That from and after the passing of this Act any agent who shall thereafter be intrusted with the possession of goods, or of the documents of title to goods, shall be deemed and taken to be owner of such goods and documents, so far as to give validity to any contract or agreement by way of pledge, lien, or security *bonâ fide* made by any person with such agent so intrusted as aforesaid, as well for any original loan, advance, or payment made upon the security of such goods or documents, as also for any further or continuing advance in respect thereof, and such contract or agreement shall be binding upon and good against the owner of such goods, and all other persons interested therein, notwithstanding the person claiming such pledge or lien may have had notice that the person with whom such contract or agreement is made is only an agent.

Bona fide advances to persons intrusted with the possession of goods or documents of title, though known to be agents, protected

Bona fide deposits in exchange protected;

II. And be it enacted, That where any such contract or agreement for pledge, lien, or security shall be made in consideration of the delivery or transfer to such agent of any other goods or merchandise, or document of title, or negotiable security, upon which the person

so delivering up the same had at the time a valid and available lien and security for or in respect of a previous advance by virtue of some contract or agreement made with such agent, such contract and agreement, if *bonâ fide* on the part of the person with whom the same may be made, shall be deemed to be a contract made in consideration of an advance within the true intent and meaning of this Act, and shall be as valid and effectual, to all intents and purposes, and to the same extent, as if the consideration for the same had been a *bonâ fide* present advance of money: Provided always, that the lien acquired under such last-mentioned contract or agreement upon the goods or documents deposited in exchange shall not exceed the value at the time of the goods and merchandise which, or the documents of title to which, or the negotiable security which shall be delivered up and exchanged.

but no lie beyond th value of th goods give up.

III. Provided always, and be it enacted, That this Act, and every matter and thing herein contained, shall be deemed and construed to give validity to such contracts and agreements only, and to protect only such loans, advances, and exchanges as shall be made *bonâ fide* and without notice that the agent making such contracts or agreements as aforesaid has not authority to make the same, or is acting *malâ fide* in respect thereof against the owner of such goods and merchandise; and nothing herein contained shall be construed to extend to or protect any lien or pledge for or in respect of any antecedent debt, owing from any agent to any person with or to whom such lien or pledge shall be given, nor to authorise any agent intrusted as aforesaid in deviating from any express orders or authority received from the owner; but that, for the purpose and to the intent of protecting all such *bonâ fide* loans, advances, and exchanges as aforesaid, (though made with notice of such agent not being the owner, but without any notice of the agent's acting without authority), and to no further or other intent or purpose, such contract or agreement as aforesaid shall be binding on the owner and all other persons interested in such goods.

But the statute to construed protect on transactio *bona fide*, without notice tha the agent pledging i acting wit out autho- rity, or *ma fide* agains the owner

IV. And be it enacted, That any bill of lading, India warrant, dock warrant, warehouse keeper's certificate, warrant, or order for the delivery of goods, or any other document used in the ordinary course of business as proof of the possession or control of goods, or authorising or purporting to authorise, either by indorsement or by delivery, the possessor of such document to transfer or receive goods thereby represented, shall be deemed and taken to be a document of title within the meaning of this Act; and any agent intrusted as aforesaid, and possessed of any such document of title, whether derived immediately from the owner of such goods, or obtained by reason of such agent's having been intrusted with the possession of the goods, or of any other document of title thereto, shall be deemed and taken to have been intrusted with the possession of the goods represented by such document of title as aforesaid, and all contracts pledging or giving a lien upon such document of title as aforesaid shall be deemed and taken to be respectively pledges of and liens upon the goods to which the same relates; and such agent shall be deemed to be possessed of such goods or documents, whether the same shall be in his actual custody, or shall be held by any other person subject to his control

Meaning o the term "documer of title;"

and when agent in- trusted;

and when possession.

or for him or on his behalf; and where any loan or advance shall be *bonâ fide* made to any agent intrusted with and in possession of any such goods or documents of title as aforesaid, on the faith of any contract or agreement in writing to consign, deposit, transfer, or deliver such goods or documents of title as aforesaid, and such goods or documents of title shall actually be received by the person making such loan or advance, without notice that such agent was not authorised to make such pledge or security, every such loan or advance shall be deemed and taken to be a loan or advance on the security of such goods or documents of title within the meaning of this Act, though such goods or documents of title shall not actually be received by the person making such loan or advance till the period subsequent thereto; and any contract or agreement, whether made direct with such agent as aforesaid, or with any clerk or other person on his behalf, shall be deemed a contract or agreement with such agent; and any payment made, whether by money or bills of exchange, or other negotiable security, shall be deemed and taken to be an advance within the meaning of this Act; and an agent in possession as aforesaid of such goods or documents shall be taken, for the purposes of this Act, to have been intrusted therewith by the owner thereof, unless the contrary can be shown in evidence.

What to be deemed a "contract or agreement," and "advance."

Possession *prima facie* evidence of intrusting.

V. Provided always, and be it enacted, That nothing herein contained shall lessen, vary, alter, or affect the civil responsibility of an agent for any breach of duty or contract, or non-fulfilment of his orders or authority in respect of any such contract, agreement, lien, or pledge as aforesaid.

Agent's civil responsibility not to be diminished.

[*VI. Provided always, and be it enacted, That if any agent intrusted as aforesaid shall, contrary to or without the authority of his principal in that behalf, for his own benefit and in violation of good faith, make any consignment, deposit, transfer, or delivery of any goods or documents of title so intrusted to him as aforesaid, as and by way of a pledge, lien, or security; or shall, contrary to or without such authority, for his own benefit and in violation of good faith, accept any advance on the faith of any contract or agreement to consign, deposit, transfer, or deliver such goods or documents of title as aforesaid; every such agent shall be deemed guilty of a misdemeanor, and being convicted thereof, shall be sentenced to transportation for any term not exceeding fourteen years nor less than seven years, or to suffer such other punishment by fine or imprisonment, or by both, as the Court shall award; and every clerk or other person who shall knowingly and wilfully act and assist in making any such consignment, deposit, transfer, or delivery, or in accepting or procuring such advance as aforesaid, shall be deemed guilty of a misdemeanor, and being convicted thereof, shall be liable, at the discretion of the Court, to any of the punishments which the Court shall award, as hereinbefore last mentioned: Provided nevertheless, that no such agent shall be liable to any prosecution for consigning, depositing, transferring, or delivering any such goods or documents of title, in case the same shall not be made a security for

Agent making consignments contrary to instruction of principal, guilty of misdemeanor.

* S. 6 repealed except as to Scotland (24 & 25 Vict. c. 95), and now replaced by 24 & 25 Vict. c. 96, ss. 78—85.

or subject to the payment of any greater sum of money than the amount which at the time of such consignment, deposit, transfer, or delivery was justly due and owing to such agent from his principal, together with the amount of any bills of exchange drawn by or on account of such principal, and accepted by such agent: Provided also, that the conviction of any such agent so convicted as aforesaid shall not be received in evidence in any action at law or suit in equity against him, and no agent intrusted as aforesaid shall be liable to be convicted by any evidence whatsoever in respect of any act done by him, if he shall, at any time previously to his being indicted for such offence, have disclosed such act, on oath, in consequence of any compulsory process of any Court of law or equity in any action, suit, or proceeding which shall have been *bonâ fide* instituted by any party aggrieved, or if he shall have disclosed the same in any examination or deposition before any commissioner of bankrupt.]

Right of owner to redeem;

VII. Provided also, and be it enacted, That nothing herein contained shall prevent such owner as aforesaid from having the right to redeem such goods or documents of title pledged as aforesaid, at any time before such goods shall have been sold, upon repayment of the amount of the lien thereon, or restoration of the securities in respect of which such lien may exist, and upon payment or satisfaction to such agent, if by him required, of any sum of money for or in respect of which such agent would by law be entitled to retain the same goods or documents, or any of them, by way of lien as against such owner, or to prevent the said owner from recovering of and from such person with whom any such goods or documents may have been pledged, or who shall have any such lien thereon as aforesaid, any balance or sum of money remaining in his hands as the produce of the sale of such goods, after deducting the amount of the lien of such person under such contract or agreement as aforesaid: Provided always, that in case of the bankruptcy of any such agent the owner of the goods which shall have been so redeemed by such owner as aforesaid shall, in respect of the sum paid by him on account of such agent for such redemption, be held to have paid such sum for the use of such agent before his bankruptcy, or in case the goods shall not be so redeemed, the owner shall be deemed a creditor of such agent for the value of the goods so pledged at the time of the pledge, and shall, if he shall think fit, be entitled in either of such cases to prove for or set off the sum so paid, or the value of such goods, as the case may be.

or to recov
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proceeds.

In case of
bankrupt
owner to
prove for
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or for valu
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Interpreta
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VIII. And be it enacted, That in construing this Act the word "person" shall be taken to designate a body corporate or company as well as an individual; and that words in the singular number shall, when necessary to give effect to the intention of the said Act, import also the plural, and *vice versâ*; and words used in the masculine gender shall, when required, be taken to apply to a female as well as a male.

Not to affe
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IX. Provided also, and be it enacted, That nothing herein contained shall be construed to give validity to or in anywise to affect any contract, agreement, lien, pledge, or other act, matter, or thing made or done before the passing of this Act.

An Act to amend the Factors Acts.

[10*th August*, 1877.]

A.D. 1877.

Whereas doubts have arisen with respect to the true meaning of certain provisions of the Factors Acts, and it is expedient to remove such doubts and otherwise to amend the said Acts, for the better security of persons buying or making advances on goods, or documents of title to goods, in the usual and ordinary course of mercantile business:

Be it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords spiritual and temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

Factors Acts defined.

1. In this Act, the expression "the principal Acts" means the following Acts; that is to say,

The Act of the 4th Geo. IV. (1823) c. 83.

The Act of the 6th Geo. IV. (1825) c. 94.

The Act of the 5th and 6th of her Majesty (1842) c. 39.

And the said Acts and this Act may be cited for all purposes as the "Factors Acts, 1823 to 1877."

Amendment of law with respect to secret revocation of entrustment or agency.

2. Where any agent or person has been entrusted with and continues in the possession of any goods, or documents of title to goods, within the meaning of the principal Acts as amended by this Act, any revocation of his entrustment or agency shall not prejudice or affect the title or rights of any other person who, without notice of such revocation, purchases such goods, or makes advances upon the faith or security of such goods or documents.

With respect to vendors permitted to retain documents of title to goods.

3. Where any goods have been sold, and the vendor or any person on his behalf continues or is in possession of the documents of title thereto, any sale, pledge, or other disposition of the goods or documents made by such vendor or any person or agent entrusted by the vendor with the goods or documents within the meaning of the principal Acts, as amended by this Act, so continuing or being in possession, shall be as valid and effectual as if such vendor or person were an agent or person entrusted by the vendee with the goods or documents within the meaning of the principal Acts, as amended by this Act, provided the person to whom the sale, pledge, or other disposition is made has not notice that the goods have been previously sold.

With respect to vendees permitted to have possession of documents of title to goods.

4. Where any goods have been sold or contracted to be sold, and the vendee, or any person on his behalf, obtains the possession of the documents of title thereto from the vendor or his agents, any sale, pledge, or disposition of such goods or documents by such vendee so in possession or by any other person or agent entrusted by the vendee with the documents within the meaning of the principal Acts as amended by this Act shall be as valid and effectual as if such vendee or other person were an agent or person entrusted

by the vendor with the documents within the meaning of the principal Acts, as amended by this Act, provided the person to whom the sale, pledge, or other disposition is made has not notice of any lien or other right of the vendor in respect of the goods.

With respe to transfer of docu- ments of title.

5. Where any document of title to goods has been lawfully indorsed or otherwise transferred to any person as a vendee or owner of the goods, and such person transfers such documents by indorsement (or by delivery where the document is by custom, or by its express terms transferable by delivery, or makes the goods deliverable to the bearer) to a person who takes the same *bonâ fide* and for valuable consideration, the last-mentioned transfer shall have the same effect for defeating any vendor's lien or right of stoppage *in transitu* as the transfer of a bill of lading has for defeating the right of stoppage *in transitu*.

Act not to be retro- spective.

6. This Act shall apply only to acts done and rights acquired after the passing of this Act.

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